IMPORTANT NOTICE

THIS OFFERING IS AVAILABLE ONLY TO INVESTORS MEETING THE QUALIFICATIONS DESCRIBED IN THE ATTACHED PRIVATE PLACEMENT MEMORANDUM (THE "MEMORANDUM").

IMPORTANT: You must read the following before continuing. The following applies to the Memorandum following this page, and you are therefore advised to read this carefully before reading, accessing or making any other use of the Memorandum. In accessing the Memorandum, you agree to be bound by the following terms and conditions, including any modifications to them any time you receive any information from us as a result of such access.

NOTHING IN THIS ELECTRONIC TRANSMISSION CONSTITUTES AN OFFER OF SECURITIES FOR SALE IN ANY JURISDICTION WHERE IT IS UNLAWFUL TO DO SO. THE OFFERED CERTIFICATES HAVE NOT BEEN, AND WILL NOT BE, REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, OR THE SECURITIES LAWS OF ANY STATE OR OTHER JURISDICTION AND THE OFFERED CERTIFICATES MAY NOT BE OFFERED OR SOLD EXCEPT PURSUANT TO AN EXEMPTION FROM, OR IN A TRANSACTION NOT SUBJECT TO, THE REGISTRATION REQUIREMENTS OF THE SECURITIES ACT OF 1933, AS AMENDED, AND APPLICABLE STATE OR LOCAL SECURITIES LAWS. THE ACQUISITION AND TRANSFER OF THE OFFERED CERTIFICATES ARE SUBJECT TO ANY ADDITIONAL RESTRICTIONS DESCRIBED IN THE MEMORANDUM.

EXCEPT AS SET FORTH IN THE MEMORANDUM, THE MEMORANDUM MAY NOT BE FORWARDED OR DISTRIBUTED TO ANY OTHER PERSON AND MAY NOT BE REPRODUCED IN ANY MANNER WHATSOEVER. ANY FORWARDING, DISTRIBUTION OR REPRODUCTION OF THIS DOCUMENT IN WHOLE OR IN PART IS UNAUTHORIZED. FAILURE TO COMPLY WITH THIS DIRECTIVE MAY RESULT IN A VIOLATION OF THE SECURITIES ACT OF 1933, AS AMENDED, OR THE APPLICABLE LAWS OF OTHER JURISDICTIONS.

Confirmation of your Representation: In order to be eligible to view this Memorandum, investors must be (i) qualified institutional buyers (within the meaning of Rule 144A under the Securities Act of 1933, as amended) or (ii) not a "U.S. Person" (as defined in Regulation S under the Securities Act of 1933, as amended) in compliance with Regulation S under the Securities Act of 1933, as amended. This Memorandum is being sent at your request and by accepting this e-mail and accessing this Memorandum, you shall be deemed to have represented to us that you are a qualified institutional buyer (within the meaning of Rule 144A under the Securities Act of 1933, as amended) or not a "U.S. Person" (as defined in Regulation S under the Securities Act of 1933, as amended) and that you consent to delivery of this Memorandum by electronic transmission.

You are reminded that this Memorandum has been delivered to you on the basis that you are a person into whose possession this Memorandum may be lawfully delivered in accordance with the laws of the jurisdiction in which you are located and you may not, nor are you authorized to, deliver this Memorandum to any other person.

This Memorandum has been sent to you in an electronic form. You are reminded that documents transmitted via this medium may be altered or changed during the process of electronic transmission and consequently none of J.P. Morgan Securities LLC, AmeriVet Securities, Inc., Drexel Hamilton, LLC, Loop Capital Markets LLC, Raymond James & Associates, Inc., Robert W. Baird & Co. Incorporated, Stifel, Nicolaus & Company, Incorporated, any person who controls J.P. Morgan Securities LLC, AmeriVet Securities, Inc., Drexel Hamilton, LLC, Loop Capital Markets LLC, Raymond James & Associates, Inc., Robert W. Baird & Co. Incorporated or Stifel, Nicolaus & Company, Incorporated, or any director, officer, employee or agent of such person or affiliate of such person accepts any liability or responsibility whatsoever in respect of any difference between the Memorandum distributed to you in electronic format and the hard copy version available to you on request from J.P. Morgan Securities LLC, AmeriVet Securities, Inc., Drexel Hamilton, LLC, Loop Capital Markets LLC, Raymond James & Associates, Inc., Robert W. Baird & Co. Incorporated or Stifel, Nicolaus & Company, Incorporated.

CONFIDENTIAL

$186,391,076 (APPROXIMATE)

J.P. MORGAN MORTGAGE TRUST 2023-HE1

Issuing Entity

MORTGAGE PARTICIPATION PASS-THROUGH CERTIFICATES, SERIES 2023-HE1

J.P. MORGAN MORTGAGE ACQUISITION CORP.

JPM Sponsor and Participation Certificate Seller

BLUE RIVER MORTGAGE IV LLC

Retaining Sponsor

J.P. MORGAN ACCEPTANCE CORPORATION II

Depositor

The issuing entity will issue twelve classes of certificates, each of which is offered hereby. The initial class principal amount or class notional amount, as applicable, of each class of certificates and pass-through rates thereon are listed in the table that begins on page 1 of this Private Placement Memorandum (this "Memorandum"). The certificates represent the obligations of the issuing entity only and do not represent obligations of, or any interest in, any of the sponsors, the participation certificate seller, the depositor or any of their affiliates.

The assets of the issuing entity will primarily consist of a participation certificate representing a 100% beneficial ownership interest in a fixed pool of draws related to a pool of adjustable rate, revolving home equity lines of credit secured by second liens on one- to three-family residential properties, attached and detached planned unit developments, condominiums, townhomes and a site condo with original terms to maturity of up to 30 years having the additional characteristics described in *"Description of the Mortgage Pool"* in this Memorandum.

Certain proportions of certain classes of certificates are exchangeable for certain proportions of other classes of certificates to be delivered at the time of exchange, and vice versa, as described in this Memorandum. See footnote 5 to the table that begins on page 1 of this Memorandum for a detailed listing of the classes of certificates that are exchangeable.

Principal of and interest on the certificates entitled thereto will be payable monthly, beginning on the distribution date in July 2023, as described in this Memorandum. Credit enhancement for the certificates will consist of loss allocation features, the subordination of certain classes of certificates to other classes of certificates and excess monthly cashflow, as described herein.

The issuing entity will be relying on an exclusion or exemption from the definition of "investment company" under the Investment Company Act of 1940, as amended (the "Investment Company Act"), contained in Rule 3a-7 of the Investment Company Act, although there may be additional exclusions or exemptions available to the issuing entity. The issuing entity is being structured so as not to constitute a "covered fund" for purposes of the Volcker Rule under the Dodd-Frank Act (both as defined in this Memorandum).

THE CERTIFICATES HAVE NOT BEEN AND WILL NOT BE REGISTERED UNDER THE UNITED STATES SECURITIES ACT OF 1933, AS AMENDED (THE "SECURITIES ACT"), OR REGISTERED OR QUALIFIED UNDER ANY APPLICABLE STATE SECURITIES LAWS AND ARE BEING OFFERED ONLY TO (A) PERSONS THAT ARE QUALIFIED INSTITUTIONAL BUYERS (AS DEFINED IN RULE 144A UNDER THE SECURITIES ACT ("RULE 144A")) IN RELIANCE ON THE EXEMPTION FROM THE REGISTRATION REQUIREMENTS PROVIDED BY RULE 144A AND (B) OTHER THAN WITH RESPECT TO THE REGULATION S RESTRICTED CERTIFICATES, NON-U.S. PERSONS OUTSIDE THE UNITED STATES PURSUANT TO THE REQUIREMENTS OF REGULATION S UNDER THE SECURITIES ACT. ACCORDINGLY, THE CERTIFICATES WILL NOT BE TRANSFERABLE EXCEPT UPON SATISFACTION OF CERTAIN CONDITIONS AS DESCRIBED HEREIN. INVESTORS SHOULD BE AWARE THAT THEY MAY BE REQUIRED TO BEAR THE FINANCIAL RISKS OF THIS INVESTMENT FOR AN INDEFINITE PERIOD OF TIME.

Prospective investors should consider carefully the risk factors beginning on page 28 of this Memorandum.

J.P. Morgan Securities LLC, AmeriVet Securities, Inc., Drexel Hamilton, LLC, Loop Capital Markets LLC, Raymond James & Associates, Inc., Robert W. Baird & Co. Incorporated and Stifel, Nicolaus & Company, Incorporated, each acting as an initial purchaser with respect to the certificates (to the extent described herein under "Method of Distribution") (each, in such capacity, an "Initial Purchaser"), have proposed to offer such certificates from time to time for sale in negotiated transactions, or otherwise, at varying prices to be determined at the time of each sale. As a result, the purchase price paid by any investor in a portion of the certificates may be higher or lower than the price paid by a different investor in the same class sold in this offering.

The certificates are being offered by the Initial Purchasers, as and to the extent specified herein, subject to receipt and acceptance by them and subject to their respective rights to reject any order in whole or in part. The certificates are being offered when, as and if issued, and subject to prior sale or withdrawal, cancellation or modification of this offer without notice and subject to approval of certain legal matters and certain other conditions. It is expected that delivery of the certificates to investors will be made in book-entry form, except for the Class A-R Certificates, which will be delivered in fully registered, physical form, in each case on or about June 30, 2023 against payment therefor in immediately available funds.

Sole Bookrunner

J.P. Morgan

Co-Managers

AmeriVet **Drexel Hamilton** **Loop Capital Markets**

Raymond James **Baird** **Stifel**

June 22, 2023

NOTICE TO INVESTORS

THIS MEMORANDUM IS FURNISHED ON A CONFIDENTIAL BASIS SOLELY FOR THE PURPOSE OF EVALUATING THE INVESTMENT OFFERED HEREBY. THE INFORMATION CONTAINED HEREIN MAY NOT BE REPRODUCED OR USED IN WHOLE OR IN PART FOR ANY OTHER PURPOSE.

THE INFORMATION HEREIN AND ANY OTHER INFORMATION PROVIDED TO YOU IN CONNECTION WITH THE OFFERING OF THE CERTIFICATES (INCLUDING ANY LOAN TAPE) (COLLECTIVELY, THE "OFFERING INFORMATION") IS PROPRIETARY AND CONFIDENTIAL AND MAY NOT BE COPIED, SHOWN, DISCLOSED OR DISTRIBUTED TO ANY OTHER PERSON. THE OFFERING INFORMATION IS PROTECTED BY FEDERAL PRIVACY LAWS AND MAY BE USED ONLY FOR PURPOSES OF CONSIDERING AN INVESTMENT IN THE CERTIFICATES. YOU MAY NOT USE THE OFFERING INFORMATION TO SEEK TO IDENTIFY ANY INDIVIDUAL WHOSE TRANSACTION IS DESCRIBED IN SUCH INFORMATION.

THE INFORMATION CONTAINED IN THIS MEMORANDUM HAS BEEN PREPARED BY THE DEPOSITOR FOR THE USE OF THE INITIAL PURCHASERS IN CONNECTION WITH THE OFFERING OF THE CERTIFICATES AS DESCRIBED HEREIN. THE INITIAL PURCHASERS MAKE NO REPRESENTATION OR WARRANTY AS TO THE ACCURACY OR COMPLETENESS OF SUCH INFORMATION OR ANY OTHER OFFERING INFORMATION, AND NOTHING CONTAINED IN THIS MEMORANDUM OR ANY OTHER OFFERING INFORMATION IS OR SHOULD BE RELIED ON AS A PROMISE OR REPRESENTATION AS TO THE FUTURE PERFORMANCE OF THE ISSUING ENTITY, THE PARTICIPATION AGENT, THE 23-HE1 PC, THE MORTGAGE LOANS, OR CERTIFICATES.

AS DESCRIBED HEREIN, THE MORTGAGE LOANS ARE DRAWS ON REVOLVING HOME EQUITY LINES OF CREDIT PURSUANT TO WHICH THE RELATED BORROWERS MAY HAVE THE ABILITY TO MAKE ADDITIONAL DRAWS ON THEIR REVOLVING HOME EQUITY LINES OF CREDIT. IN ADDITION, THE MORTGAGE LOANS ARE RELATED TO SECOND LIEN HOME EQUITY LINES OF CREDIT, AND THE ASSOCIATED FIRST LIEN LOANS ON THE RELATED MORTGAGED PROPERTIES ARE NOT INCLUDED IN THE MORTGAGE POOL. AS A RESULT, WITH RESPECT TO EACH SECOND LIEN HOME EQUITY LINE OF CREDIT, INFORMATION REGARDING EACH ASSOCIATED FIRST LIEN LOAN ON THE RELATED MORTGAGED PROPERTY, INCLUDING ITS OR THEIR UNPAID PRINCIPAL BALANCE, DELINQUENCY, DEFAULT AND LOSS MITIGATION HISTORY AND STATUS AS OF THE CUT-OFF DATE OR ANY OTHER DATE, AND THE SPECIFIC IDENTITY OF THE RELATED SERVICER, IS GENERALLY UNAVAILABLE. NO ASSURANCE CAN BE MADE THAT A BORROWER WILL MAKE OR CONTINUE TO MAKE PAYMENTS ON ITS SECOND LIEN HOME EQUITY LINE OF CREDIT OR ON ANY SUCH ASSOCIATED FIRST LIEN LOAN OR LOANS OR THAT THE RELATED MORTGAGED PROPERTY PROVIDES SUFFICIENT SECURITY FOR THE RELATED SECOND LIEN HOME EQUITY LINE OF CREDIT. THE UNPAID PRINCIPAL BALANCE OF ANY SUCH ASSOCIATED FIRST LIEN LOAN OR LOANS ALONE, OR TOGETHER WITH THE UNPAID PRINCIPAL BALANCE OF THE RELATED SECOND LIEN HOME EQUITY LINE OF CREDIT, MAY EXCEED THE VALUE OF THE RELATED MORTGAGED PROPERTY. IN ADDITION, AS A RESULT OF LIMITED LOAN DILIGENCE AS FURTHER DETAILED HEREIN, AS WELL AS LIMITED INFORMATION OBTAINABLE EVEN FOR SECOND LIEN HOME EQUITY LINES OF CREDIT THAT HAVE BEEN DILIGENCED, LIMITED INFORMATION IS AVAILABLE AS TO ANY ADDITIONAL LIENS WHICH MAY BE SENIOR TO THE SECOND LIEN HOME EQUITY LINE OF CREDIT, SUCH AS MECHANICS LIENS, TAX LIENS, HOA LIENS, MUNICIPAL LIENS, AND ANY SIMILAR LIENS OR ASSESSMENTS. AS A RESULT OF THE FOREGOING, THE LOAN-TO-VALUE RATIOS FOR THE SECOND LIEN HOME EQUITY LINES OF CREDIT SHOWN IN THIS MEMORANDUM ARE "BLENDED" FIGURES THAT USE, FOR EACH SECOND LIEN MORTGAGE LOAN, THE PRINCIPAL BALANCE OF THE RELATED ASSOCIATED FIRST LIEN LOAN AT ORIGINATION AND THE TOTAL UNPAID PRINCIPAL BALANCE OR CREDIT LIMIT, AS APPLICABLE, OF THE RELATED SECOND LIEN HOME EQUITY LINE OF CREDIT AS OF THE CUT-OFF DATE AND DO NOT TAKE INTO ACCOUNT THE OBLIGATIONS UNDER ANY OTHER LIENS (SUCH AS MECHANICS LIENS, TAX LIENS, HOA LIENS, MUNICIPAL LIENS OR ANY OTHER SIMILAR LIENS OR ASSESSMENTS) THAT MAY BE IN A SENIOR POSITION TO SUCH SECOND LIEN HOME EQUITY LINE OF CREDIT. INVESTORS SHOULD NOTE THAT THE RELATED SERVICER IS UNLIKELY TO FORECLOSE ON ANY SECOND LIEN HOME EQUITY LINE OF CREDIT SERVICED BY IT

AND THEREFORE DISTRIBUTIONS ON THE CERTIFICATES IN RESPECT OF MORTGAGE LOANS RELATED TO THE SECOND LIEN HOME EQUITY LINES OF CREDIT ARE DEPENDENT ON BORROWER PAYMENTS ON SUCH HOME EQUITY LINES OF CREDIT. SEE *"RISK FACTORS—INCREASED RISK OF LOSS DUE TO SECOND LIEN HOME EQUITY LINES OF CREDIT; LIMITED AVAILABLE INFORMATION REGARDING THE ASSOCIATED FIRST LIEN LOANS"* HEREIN.

INVESTORS SHOULD NEVERTHELESS UNDERSTAND AND CONSIDER THAT, GIVEN THE PRACTICAL INABILITY FOR A SERVICER TO FORECLOSE ON A SECOND LIEN HOME EQUITY LINE OF CREDIT SERVICED BY IT (AS FURTHER DESCRIBED IN THIS MEMORANDUM), IN CERTAIN RESPECTS THE CERTIFICATES COULD BE VIEWED AS BEING BACKED, IN PART, BY LOANS THAT ARE UNSECURED, THE CONSEQUENCE OF WHICH, AMONG OTHER THINGS, IS THAT THE VALUE OF THE RELATED MORTGAGED PROPERTIES MAY BE UNAVAILABLE TO SATISFY ANY AMOUNTS OWED ON THE SECOND LIEN HOME EQUITY LINES OF CREDIT.

THERE IS CURRENTLY NO SECONDARY MARKET FOR THE CERTIFICATES AND THERE CAN BE NO ASSURANCE THAT A SECONDARY MARKET FOR THE CERTIFICATES WILL DEVELOP.

THE CERTIFICATES HAVE NOT BEEN AND WILL NOT BE REGISTERED UNDER THE SECURITIES ACT, OR REGISTERED OR QUALIFIED UNDER ANY APPLICABLE STATE SECURITIES LAWS AND ARE BEING OFFERED ONLY TO (A) PERSONS THAT ARE QUALIFIED INSTITUTIONAL BUYERS (AS DEFINED IN RULE 144A) IN RELIANCE ON THE EXEMPTION FROM THE REGISTRATION REQUIREMENTS PROVIDED BY RULE 144A AND (B) OTHER THAN WITH RESPECT TO THE REGULATION S RESTRICTED CERTIFICATES, NON-U.S. PERSONS OUTSIDE THE UNITED STATES PURSUANT TO THE REQUIREMENTS OF REGULATION S UNDER THE SECURITIES ACT. ACCORDINGLY, THE CERTIFICATES WILL NOT BE TRANSFERABLE EXCEPT UPON SATISFACTION OF CERTAIN CONDITIONS AS DESCRIBED HEREIN. INVESTORS SHOULD BE AWARE THAT THEY MAY BE REQUIRED TO BEAR THE FINANCIAL RISKS OF THIS INVESTMENT FOR AN INDEFINITE PERIOD OF TIME.

NO TRANSFER OF A CERTIFICATE WILL BE MADE UNLESS SUCH TRANSFER IS NOT SUBJECT TO REGISTRATION UNDER THE SECURITIES ACT OR ANY APPLICABLE STATE OR FOREIGN SECURITIES LAWS. IF AN INVESTOR DESIRES TO TRANSFER ITS INTERESTS IN A CERTIFICATE, PROSPECTIVE TRANSFEREES WILL BE REQUIRED TO MAKE OR BE DEEMED TO HAVE MADE CERTAIN REPRESENTATIONS WITH RESPECT TO THEIR ABILITY TO INVEST IN THE CERTIFICATES AS SET FORTH IN AN INVESTMENT LETTER, FORMS OF WHICH ARE ATTACHED TO THE TRUST AGREEMENT (AS DEFINED HEREIN).

NO PERSON HAS BEEN AUTHORIZED TO GIVE ANY INFORMATION OR TO MAKE ANY REPRESENTATIONS OTHER THAN THOSE CONTAINED IN THIS MEMORANDUM AND, IF GIVEN OR MADE, SUCH INFORMATION OR REPRESENTATIONS MUST NOT BE RELIED UPON. THIS MEMORANDUM DOES NOT CONSTITUTE AN OFFER TO SELL OR A SOLICITATION OF AN OFFER TO BUY ANY SECURITIES OTHER THAN THE CERTIFICATES OFFERED HEREBY AND IS NOT AN OFFER OF SUCH CERTIFICATES TO ANY PERSON IN ANY STATE OR OTHER JURISDICTION IN WHICH SUCH OFFER WOULD BE UNLAWFUL. THE DELIVERY OF THIS MEMORANDUM AT ANY TIME DOES NOT IMPLY THAT INFORMATION HEREIN IS CORRECT AS OF ANY TIME SUBSEQUENT TO THE DATE HEREOF.

IT IS EXPECTED THAT THE INVESTORS INTERESTED IN PARTICIPATING IN THIS PRIVATE PLACEMENT WILL CONDUCT AN INDEPENDENT INVESTIGATION OF THE RISKS POSED BY AN INVESTMENT IN THE CERTIFICATES. OFFICERS OF THE DEPOSITOR WILL BE AVAILABLE TO ANSWER QUESTIONS CONCERNING THE ISSUING ENTITY AND WILL, UPON REQUEST, MAKE AVAILABLE SUCH OTHER INFORMATION AS INVESTORS MAY REASONABLY REQUEST, WHICH INFORMATION WILL BE FURNISHED ON A CONFIDENTIAL BASIS SOLELY FOR THE PURPOSE OF EVALUATING THE INVESTMENT OFFERED HEREBY.

THIS MEMORANDUM IS NOT INTENDED TO FURNISH LEGAL, REGULATORY, TAX OR ACCOUNTING ADVICE TO ANY PROSPECTIVE PURCHASER OF THE CERTIFICATES. THIS MEMORANDUM AND THE ANNEXES AND APPENDICES HERETO SHOULD BE REVIEWED BY EACH PROSPECTIVE PURCHASER AND ITS LEGAL, REGULATORY, TAX AND ACCOUNTING ADVISORS.

THE CERTIFICATES ARE NOT EXPECTED TO CONSTITUTE "MORTGAGE RELATED SECURITIES" FOR PURPOSES OF THE SECONDARY MORTGAGE MARKET ENHANCEMENT ACT OF 1984, AS AMENDED. IF YOUR INVESTMENT ACTIVITIES ARE SUBJECT TO LEGAL INVESTMENT LAWS AND REGULATIONS, REGULATORY CAPITAL REQUIREMENTS, OR REVIEW BY REGULATORY AUTHORITIES, THEN YOU MAY BE SUBJECT TO RESTRICTIONS ON INVESTMENT IN THE CERTIFICATES. YOU SHOULD CONSULT YOUR OWN LEGAL ADVISORS FOR ASSISTANCE IN DETERMINING THE SUITABILITY OF AND CONSEQUENCES TO YOU OF THE PURCHASE, OWNERSHIP, AND SALE OF THE CERTIFICATES. SEE *"LEGAL INVESTMENT"* HEREIN.

THE ACQUISITION AND HOLDING OF ANY OFFERED CERTIFICATE OR ANY INTEREST THEREIN ELIGIBLE TO BE ACQUIRED BY (I) AN EMPLOYEE BENEFIT PLAN (AS DEFINED IN SECTION 3(3) OF THE EMPLOYEE RETIREMENT INCOME SECURITY ACT OF 1974, AS AMENDED ("ERISA"), THAT IS SUBJECT TO TITLE I OF ERISA, A PLAN (AS DEFINED IN SECTION 4975(E)(1) OF SECTION 4975 OF THE INTERNAL REVENUE CODE OF 1986, AS AMENDED (THE "CODE")) THAT IS SUBJECT TO SECTION 4975 OF THE CODE, OR ANY ENTITY WHOSE UNDERLYING ASSETS ARE DEEMED TO INCLUDE PLAN ASSETS BY VIRTUE OF SUCH EMPLOYEE BENEFIT PLAN'S OR PLAN'S INVESTMENT IN SUCH ENTITY (EACH, A "PLAN") OR (II) ANY GOVERNMENTAL PLAN, CHURCH PLAN OR NON-U.S. PLAN THAT IS SUBJECT TO ANY FEDERAL, STATE, LOCAL OR OTHER LAW SUBSTANTIALLY SIMILAR TO TITLE I OF ERISA OR SECTION 4975 OF THE CODE ("SIMILAR LAW") OR A PERSON ACTING ON BEHALF OF OR USING ASSETS OF ANY SUCH PLAN OR PLAN SUBJECT TO SIMILAR LAW COULD RESULT IN "PROHIBITED TRANSACTIONS" UNDER ERISA OR SECTION 4975 OF THE CODE OR VIOLATION OF SIMILAR LAW. ACCORDINGLY, A FIDUCIARY OF A PLAN OR A PLAN SUBJECT TO SIMILAR LAW OR ANY PERSON ACTING ON BEHALF OF OR USING ASSETS OF A PLAN OR A GOVERNMENTAL, CHURCH OR NON-U.S. PLAN SUBJECT TO SIMILAR LAW SHOULD CAREFULLY REVIEW WITH ITS LEGAL ADVISORS WHETHER THE ACQUISITION OR HOLDING OF ANY OFFERED CERTIFICATES COULD GIVE RISE TO A TRANSACTION PROHIBITED OR NOT OTHERWISE PERMISSIBLE UNDER ERISA, SECTION 4975 OF THE CODE OR SIMILAR LAW. SEE "*ERISA CONSIDERATIONS*" IN THIS MEMORANDUM.

THE APPROPRIATE CHARACTERIZATION OF THE OFFERED CERTIFICATES UNDER VARIOUS LEGAL INVESTMENT RESTRICTIONS, AND THUS THE ABILITY OF INVESTORS SUBJECT TO THESE RESTRICTIONS TO PURCHASE SUCH OFFERED CERTIFICATES, IS SUBJECT TO SIGNIFICANT INTERPRETIVE UNCERTAINTIES. ACCORDINGLY, INVESTORS WHOSE INVESTMENT AUTHORITY IS SUBJECT TO LEGAL RESTRICTIONS SHOULD CONSULT THEIR OWN LEGAL ADVISORS TO DETERMINE WHETHER AND TO WHAT EXTENT THE OFFERED CERTIFICATES CONSTITUTE LEGAL INVESTMENTS FOR THEM.

PROSPECTIVE INVESTORS SHOULD NOTE THAT NO PARTY TO THIS TRANSACTION IS REQUIRED, OR INTENDS, TO RETAIN AN ECONOMIC INTEREST OR TAKE ANY OTHER ACTION IN A MANNER PRESCRIBED OR CONTEMPLATED BY THE EU SECURITIZATION REGULATION AND UK SECURITIZATION REGULATION AS DETAILED IN "*RISK FACTORS—RISKS PRIMARILY RELATED TO THE CERTIFICATES—ILLIQUIDITY IN THE MORTGAGE-BACKED SECURITIES MARKET MAY ADVERSELY AFFECT THE MARKET VALUE OF YOUR CERTIFICATES*." AS A RESULT, IN GENERAL, AN SR INSTITUTIONAL INVESTOR (AS DEFINED HEREIN) SEEKING TO INVEST IN THE CERTIFICATES (EITHER ON THE CLOSING DATE OR THEREAFTER) WILL BE UNABLE TO COMPLY WITH THE SR INVESTOR REQUIREMENTS (AS DEFINED HEREIN) IN RESPECT OF SUCH INVESTMENT. FAILURE TO COMPLY WITH THE SR INVESTOR REQUIREMENTS MAY RESULT IN THE IMPOSITION OF AN ADDITIONAL REGULATORY CAPITAL CHARGE ON ANY CERTIFICATES ACQUIRED BY SUCH AN INVESTOR AND/OR OTHER REGULATORY SANCTIONS. FOR A FURTHER DESCRIPTION OF SUCH RULES AND THE TERMS USED IN THIS PARAGRAPH, SEE "*RISK FACTORS—RISKS PRIMARILY RELATED*

TO THE CERTIFICATES—ILLIQUIDITY IN THE MORTGAGE-BACKED SECURITIES MARKET MAY ADVERSELY AFFECT THE MARKET VALUE OF YOUR CERTIFICATES."

FOR NORTH CAROLINA RESIDENTS ONLY

THE CERTIFICATES HAVE NOT BEEN APPROVED OR DISAPPROVED BY THE COMMISSIONER OF INSURANCE FOR THE STATE OF NORTH CAROLINA, NOR HAS THE COMMISSIONER OF INSURANCE RULED UPON THE ACCURACY OR ADEQUACY OF THIS MEMORANDUM. ANY BUYER IN NORTH CAROLINA UNDERSTANDS THAT THE ISSUING ENTITY IS NOT LICENSED IN NORTH CAROLINA PURSUANT TO CHAPTER 58 OF THE NORTH CAROLINA GENERAL STATUTES NOR COULD IT MEET THE BASIC ADMISSION REQUIREMENTS IMPOSED BY SUCH CHAPTER AT THE PRESENT TIME.

NOTICE TO CANADIAN INVESTORS

THE CERTIFICATES MAY BE SOLD ONLY TO INVESTORS PURCHASING, OR DEEMED TO BE PURCHASING, AS PRINCIPAL THAT ARE ACCREDITED INVESTORS, AS DEFINED IN NATIONAL INSTRUMENT 45-106 *PROSPECTUS EXEMPTIONS* OR SUBSECTION 73.3(1) OF THE *SECURITIES ACT* (ONTARIO), AND ARE PERMITTED CLIENTS, AS DEFINED IN NATIONAL INSTRUMENT 31-103 *REGISTRATION REQUIREMENTS, EXEMPTIONS AND ONGOING REGISTRANT OBLIGATIONS*. ANY RESALE OF THE CERTIFICATES MUST BE MADE IN ACCORDANCE WITH AN EXEMPTION FROM, OR IN A TRANSACTION NOT SUBJECT TO, THE PROSPECTUS REQUIREMENTS OF APPLICABLE SECURITIES LAWS.

SECURITIES LEGISLATION IN CERTAIN PROVINCES OR TERRITORIES OF CANADA MAY PROVIDE AN INVESTOR WITH REMEDIES FOR RESCISSION OR DAMAGES IF THIS MEMORANDUM (INCLUDING ANY AMENDMENT HERETO) CONTAINS A MISREPRESENTATION, PROVIDED THAT THE REMEDIES FOR RESCISSION OR DAMAGES ARE EXERCISED BY THE INVESTOR WITHIN THE TIME LIMIT PRESCRIBED BY THE SECURITIES LEGISLATION OF THE INVESTOR'S PROVINCE OR TERRITORY. THE INVESTOR SHOULD REFER TO ANY APPLICABLE PROVISIONS OF THE SECURITIES LEGISLATION OF THE INVESTOR'S PROVINCE OR TERRITORY FOR PARTICULARS OF THESE RIGHTS OR CONSULT WITH A LEGAL ADVISOR.

PURSUANT TO SECTION 3A.3 (OR, IN THE CASE OF SECURITIES ISSUED OR GUARANTEED BY THE GOVERNMENT OF A NON-CANADIAN JURISDICTION, SECTION 3A.4) OF NATIONAL INSTRUMENT 33-105 *UNDERWRITING CONFLICTS* ("NI 33-105"), THE INITIAL PURCHASERS ARE NOT REQUIRED TO COMPLY WITH THE DISCLOSURE REQUIREMENTS OF NI 33-105 REGARDING UNDERWRITER CONFLICTS OF INTEREST IN CONNECTION WITH THIS OFFERING.

NOTICE TO INVESTORS: THE UNITED KINGDOM

PROHIBITION ON SALES TO UK RETAIL INVESTORS

THE OFFERED CERTIFICATES ARE NOT INTENDED TO BE OFFERED, SOLD OR OTHERWISE MADE AVAILABLE TO AND SHOULD NOT BE OFFERED, SOLD OR OTHERWISE MADE AVAILABLE TO ANY UK RETAIL INVESTOR IN THE UNITED KINGDOM. FOR THESE PURPOSES, A "UK RETAIL INVESTOR" MEANS A PERSON WHO IS ONE (OR MORE) OF: (I) A RETAIL CLIENT AS DEFINED IN POINT (8) OF ARTICLE 2 OF COMMISSION DELEGATED REGULATION (EU) 2017/565 AS IT FORMS PART OF UNITED KINGDOM DOMESTIC LAW BY VIRTUE OF THE EUROPEAN UNION (WITHDRAWAL) ACT 2018 (AS AMENDED, "EUWA"); (II) A CUSTOMER WITHIN THE MEANING OF THE PROVISIONS OF THE FINANCIAL SERVICES AND MARKETS ACT 2000 (AS AMENDED, THE "FSMA") AND ANY RULES OR REGULATIONS MADE UNDER THE FSMA TO IMPLEMENT DIRECTIVE (EU) 2016/97, WHERE THAT CUSTOMER WOULD NOT QUALIFY AS A PROFESSIONAL CLIENT, AS DEFINED IN POINT (8) OF ARTICLE 2(1) OF REGULATION (EU) NO 600/2014 AS IT FORMS PART OF UNITED KINGDOM DOMESTIC LAW BY VIRTUE OF THE EUWA; OR (III) NOT A QUALIFIED INVESTOR AS DEFINED IN ARTICLE 2 OF

REGULATION (EU) 2017/1129 AS IT FORMS PART OF UNITED KINGDOM DOMESTIC LAW BY VIRTUE OF THE EUWA (AS AMENDED, THE "UK PROSPECTUS REGULATION").

CONSEQUENTLY NO KEY INFORMATION DOCUMENT REQUIRED BY REGULATION (EU) NO 1286/2014 AS IT FORMS PART OF UNITED KINGDOM DOMESTIC LAW BY VIRTUE OF THE EUWA (AS AMENDED, THE "UK PRIIPS REGULATION") FOR OFFERING OR SELLING THE OFFERED CERTIFICATES OR OTHERWISE MAKING THEM AVAILABLE TO UK RETAIL INVESTORS IN THE UNITED KINGDOM HAS BEEN PREPARED AND THEREFORE OFFERING OR SELLING THE OFFERED CERTIFICATES OR OTHERWISE MAKING THEM AVAILABLE TO ANY UK RETAIL INVESTOR IN THE UNITED KINGDOM MAY BE UNLAWFUL UNDER THE UK PRIIPS REGULATION.

OTHER UNITED KINGDOM OFFERING RESTRICTIONS

IN THE UNITED KINGDOM, THIS MEMORANDUM IS BEING DISTRIBUTED TO AND DIRECTED ONLY AT PERSONS WHO (I) HAVE PROFESSIONAL EXPERIENCE IN MATTERS RELATING TO INVESTMENTS AND ARE INVESTMENT PROFESSIONALS FALLING WITHIN ARTICLE 19(5) OF THE FINANCIAL SERVICES AND MARKETS ACT 2000 (FINANCIAL PROMOTION) ORDER 2005 (AS AMENDED, THE "FINANCIAL PROMOTIONS ORDER"), (II) ARE PERSONS FALLING WITHIN ARTICLE 49(2)(A) THROUGH (D) ("HIGH NET WORTH COMPANIES, UNINCORPORATED ASSOCIATIONS ETC") OF THE FINANCIAL PROMOTIONS ORDER OR (III) ARE PERSONS TO WHOM IT MAY OTHERWISE LAWFULLY BE DISTRIBUTED OR DIRECTED UNDER THE FINANCIAL PROMOTIONS ORDER (ALL SUCH PERSONS TOGETHER BEING REFERRED TO AS "RELEVANT PERSONS"). THIS MEMORANDUM MUST NOT BE ACTED ON OR RELIED ON BY PERSONS WHO ARE NOT RELEVANT PERSONS. ANY INVESTMENT OR INVESTMENT ACTIVITY TO WHICH THIS MEMORANDUM RELATES, INCLUDING WITH RESPECT TO THE OFFERED CERTIFICATES, IS AVAILABLE ONLY TO RELEVANT PERSONS AND WILL BE ENGAGED IN ONLY WITH RELEVANT PERSONS.

THIS MEMORANDUM IS NOT A PROSPECTUS FOR THE PURPOSES OF THE UK PROSPECTUS REGULATION. THIS MEMORANDUM HAS BEEN PREPARED ON THE BASIS THAT ANY OFFER OF OFFERED CERTIFICATES IN THE UNITED KINGDOM WILL BE MADE ONLY TO A LEGAL ENTITY WHICH IS A QUALIFIED INVESTOR UNDER THE UK PROSPECTUS REGULATION ("UK QUALIFIED INVESTOR"). ACCORDINGLY, ANY PERSON MAKING OR INTENDING TO MAKE AN OFFER IN THE UNITED KINGDOM OF OFFERED CERTIFICATES WHICH ARE THE SUBJECT OF THE OFFERING CONTEMPLATED IN THIS MEMORANDUM MAY ONLY DO SO WITH RESPECT TO UK QUALIFIED INVESTORS. NONE OF THE ISSUING ENTITY, THE PARTICIPATION AGENT, THE DEPOSITOR OR ANY INITIAL PURCHASER HAS AUTHORIZED, NOR DO THEY AUTHORIZE, THE MAKING OF ANY OFFER OF OFFERED CERTIFICATES IN THE UNITED KINGDOM OTHER THAN TO UK QUALIFIED INVESTORS.

UK MIFIR PRODUCT GOVERNANCE

ANY PERSON SUBSEQUENTLY OFFERING, SELLING OR RECOMMENDING THE OFFERED CERTIFICATES (A "DISTRIBUTOR") SUBJECT TO THE UK FINANCIAL CONDUCT AUTHORITY'S HANDBOOK PRODUCT INTERVENTION AND PRODUCT GOVERNANCE SOURCEBOOK (THE "UK MIFIR PRODUCT GOVERNANCE RULES") IS RESPONSIBLE FOR UNDERTAKING ITS OWN TARGET MARKET ASSESSMENT IN RESPECT OF THE OFFERED CERTIFICATES AND DETERMINING ITS OWN DISTRIBUTION CHANNELS FOR THE PURPOSES OF THE UK MIFIR PRODUCT GOVERNANCE RULES. NONE OF THE ISSUING ENTITY, THE PARTICIPATION AGENT, THE PARTICIPATION REGISTRAR, THE PARTICIPATION OWNER TRUSTEE, THE OWNER TRUSTEE, THE SECURITIES ADMINISTRATOR, THE REVIEWER, THE DEPOSITOR OR ANY INITIAL PURCHASER MAKES ANY REPRESENTATIONS OR WARRANTIES AS TO A DISTRIBUTOR'S COMPLIANCE WITH THE UK MIFIR PRODUCT GOVERNANCE RULES.

NOTICE TO INVESTORS: EUROPEAN ECONOMIC AREA

PROHIBITIONS ON SALES TO EEA RETAIL INVESTORS

THE OFFERED CERTIFICATES ARE NOT INTENDED TO BE OFFERED, SOLD OR OTHERWISE MADE AVAILABLE TO AND SHOULD NOT BE OFFERED, SOLD OR OTHERWISE MADE AVAILABLE TO ANY EEA RETAIL INVESTOR IN THE EUROPEAN ECONOMIC AREA ("EEA"). FOR THESE PURPOSES, AN "EEA RETAIL INVESTOR" MEANS A PERSON WHO IS ONE (OR MORE) OF: (I) A RETAIL CLIENT AS DEFINED IN POINT (11) OF ARTICLE 4(1) OF DIRECTIVE 2014/65/EU (AS AMENDED, "MIFID II"); (II) A CUSTOMER WITHIN THE MEANING OF DIRECTIVE (EU) 2016/97 (AS AMENDED) (KNOWN AS THE INSURANCE DISTRIBUTION DIRECTIVE), WHERE THAT CUSTOMER WOULD NOT QUALIFY AS A PROFESSIONAL CLIENT AS DEFINED IN POINT (10) OF ARTICLE 4(1) OF MIFID II; OR (III) NOT A QUALIFIED INVESTOR, AS DEFINED IN REGULATION (EU) 2017/1129 (AS AMENDED, THE "EU PROSPECTUS REGULATION").

CONSEQUENTLY NO KEY INFORMATION DOCUMENT REQUIRED BY REGULATION (EU) NO 1286/2014 (AS AMENDED, THE "EU PRIIPS REGULATION") FOR OFFERING OR SELLING THE OFFERED CERTIFICATES OR OTHERWISE MAKING THEM AVAILABLE TO EEA RETAIL INVESTORS IN THE EEA HAS BEEN PREPARED AND THEREFORE OFFERING OR SELLING THE OFFERED CERTIFICATES OR OTHERWISE MAKING THEM AVAILABLE TO ANY EEA RETAIL INVESTOR IN THE EEA MAY BE UNLAWFUL UNDER THE EU PRIIPS REGULATION.

OTHER EEA OFFERING RESTRICTIONS

THIS MEMORANDUM IS NOT A PROSPECTUS FOR THE PURPOSES OF THE EU PROSPECTUS REGULATION. THIS MEMORANDUM HAS BEEN PREPARED ON THE BASIS THAT ANY OFFER OF OFFERED CERTIFICATES IN THE EEA WILL ONLY BE MADE TO A LEGAL ENTITY WHICH IS A QUALIFIED INVESTOR UNDER THE EU PROSPECTUS REGULATION (AN "EU QUALIFIED INVESTOR"). ACCORDINGLY, ANY PERSON MAKING OR INTENDING TO MAKE AN OFFER IN THE EEA OF OFFERED CERTIFICATES WHICH ARE THE SUBJECT OF THE OFFERING CONTEMPLATED IN THIS MEMORANDUM MAY ONLY DO SO WITH RESPECT TO EU QUALIFIED INVESTORS. NONE OF THE ISSUING ENTITY, THE PARTICIPATION AGENT, THE DEPOSITOR OR ANY INITIAL PURCHASER HAS AUTHORIZED, NOR DO THEY AUTHORIZE, THE MAKING OF ANY OFFER OF OFFERED CERTIFICATES IN THE EEA OTHER THAN TO EU QUALIFIED INVESTORS.

MIFID II PRODUCT GOVERNANCE

ANY DISTRIBUTOR SUBJECT TO MIFID II IS RESPONSIBLE FOR UNDERTAKING ITS OWN TARGET MARKET ASSESSMENT IN RESPECT OF THE OFFERED CERTIFICATES AND DETERMINING ITS OWN DISTRIBUTION CHANNELS FOR THE PURPOSES OF THE MIFID II PRODUCT GOVERNANCE RULES UNDER COMMISSION DELEGATED DIRECTIVE (EU) 2017/593 (AS AMENDED, THE "DELEGATED DIRECTIVE"). NONE OF THE ISSUING ENTITY, THE PARTICIPATION AGENT, THE PARTICIPATION REGISTRAR, THE PARTICIPATION OWNER TRUSTEE, THE OWNER TRUSTEE, THE SECURITIES ADMINISTRATOR, THE REVIEWER, THE DEPOSITOR OR ANY INITIAL PURCHASER MAKES ANY REPRESENTATIONS OR WARRANTIES AS TO A DISTRIBUTOR'S COMPLIANCE WITH THE DELEGATED DIRECTIVE.

FORWARD-LOOKING STATEMENTS

THIS MEMORANDUM CONTAINS "FORWARD-LOOKING" STATEMENTS WITHIN THE MEANING OF SECTION 27A OF THE SECURITIES ACT, AND SECTION 21E OF THE SECURITIES EXCHANGE ACT OF 1934, AS AMENDED (THE "EXCHANGE ACT"), WHICH ARE INTENDED TO BE COVERED BY THE SAFE HARBORS CREATED THEREBY. IN ADDITION, CERTAIN STATEMENTS MADE IN ORAL AND WRITTEN STATEMENTS MADE BY OR WITH THE DEPOSITOR'S APPROVAL MAY CONSTITUTE FORWARD-LOOKING STATEMENTS. IF AND WHEN INCLUDED IN THIS MEMORANDUM, THE WORDS "EXPECTS," "INTENDS," "ANTICIPATES," "ESTIMATES" AND ANALOGOUS EXPRESSIONS AND ALL STATEMENTS THAT ARE NOT HISTORICAL FACTS, INCLUDING STATEMENTS ABOUT OUR BELIEFS OR EXPECTATIONS, ARE INTENDED TO IDENTIFY FORWARD-LOOKING STATEMENTS. ANY FORWARD-LOOKING STATEMENTS ARE MADE SUBJECT TO RISKS AND UNCERTAINTIES WHICH COULD CAUSE ACTUAL RESULTS TO DIFFER MATERIALLY FROM THOSE STATED. THOSE RISKS AND UNCERTAINTIES INCLUDE, AMONG OTHER THINGS, DECLINES IN GENERAL ECONOMIC AND BUSINESS CONDITIONS, INCREASED COMPETITION, CHANGES IN DEMOGRAPHICS, CHANGES IN

POLITICAL AND SOCIAL CONDITIONS, REGULATORY INITIATIVES AND CHANGES IN CUSTOMER PREFERENCES, MANY OF WHICH ARE BEYOND THE DEPOSITOR'S CONTROL AND THE CONTROL OF ANY OTHER PERSON OR ENTITY RELATED TO THIS OFFERING. THE FORWARD-LOOKING STATEMENTS MADE IN THIS MEMORANDUM ARE MADE AS OF THE DATE STATED ON THE COVER. THE DEPOSITOR EXPRESSLY DISCLAIMS ANY OBLIGATION OR UNDERTAKING TO DISSEMINATE ANY UPDATES OR REVISIONS TO ANY FORWARD-LOOKING STATEMENTS TO REFLECT CHANGES IN EVENTS, CONDITIONS OR CIRCUMSTANCES ON WHICH ANY FORWARD-LOOKING STATEMENT IS BASED.

AVAILABLE INFORMATION

TO PERMIT COMPLIANCE WITH RULE 144A IN CONNECTION WITH SALES OF THE CERTIFICATES, THE DEPOSITOR WILL BE REQUIRED TO FURNISH, UPON THE REQUEST OF ANY HOLDER OF THE CERTIFICATES, TO SUCH HOLDER AND A PROSPECTIVE PURCHASER DESIGNATED BY SUCH HOLDER, THE INFORMATION REQUIRED TO BE DELIVERED UNDER RULE 144A(D)(4) UNDER THE SECURITIES ACT.

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PRIVATE PLACEMENT MEMORANDUM

SUMMARY

This summary highlights selected information from this Memorandum and does not contain all the information that you need to consider in making your investment decision. Please read this entire Memorandum carefully for additional information about the offered certificates.

THE OFFERED CERTIFICATES

The Mortgage Participation Pass-Through Certificates, Series 2023-HE1 consist of the classes of certificates listed in the table below, which are being offered by this Memorandum:

CLASS	INITIAL CLASS PRINCIPAL AMOUNT OR CLASS NOTIONAL AMOUNT(1)(15)	APPROXIMATE INITIAL PASS-THROUGH RATE(2)	SUMMARY INTEREST RATE FORMULA(3)	TYPE	EXPECTED RATINGS(4)		RULE 144A CUSIP	REGULATION S CUSIP
					Fitch	KBRA		
Class A-1	$126,186,000	6.81655%	(6)	Senior/Floater/Pro Rata	AAA(sf)	AAA(sf)	46656UAA1	U48875AA3
Class M-1	$14,073,000	7.56655%	(6)	Mezzanine/Floater/Pro Rata	AA(sf)	AA(sf)	46656UAB9	U48875AB1
Class M-2	$12,115,000	8.06655%	(6)	Mezzanine/Floater/Pro Rata	A(sf)	A(sf)	46656UAC7	U48875AC9
Class M-3	$12,582,000	8.56655%	(6)	Mezzanine/Floater/Pro Rata	BBB(sf)	BBB+(sf)	46656UAD5	U48875AD7
Class B-1(5)	$6,057,000	9.56655%	(6)	Subordinate/Floater/Depositable	BB(sf)	BBB-(sf)	46656UAE3	U48875AE5
Class B-2(5)	$3,449,000	10.06655%	(6)	Subordinate/Floater/Depositable	B(sf)	BB(sf)	46656UAF0	N/A
Class B-3(5)	$4,473,000	10.06655%	(6)	Subordinate/Floater/Depositable	Not Rated	B+(sf)	46656UAG8	N/A
Class B-4(5)	$7,456,076	N/A(7)	(7)	Subordinate/Principal Only/Depositable	Not Rated	Not Rated	46656UAH6	N/A
Class BX	$21,435,076(9)	(8)	(8)	Exchangeable	Not Rated	Not Rated	46656UAJ2	N/A
Class A-IO-S	$112,814,180(10)	0.39948%	(11)	Notional/Excess Servicing	Not Rated	Not Rated	46656UAK9	N/A
Class X(5)	$186,391,076(12)	(13)	(13)	Subordinate/Monthly Excess Cashflow/Depositable	Not Rated	Not Rated	46656UAL7	N/A
Class A-R	N/A(14)	N/A(14)	N/A(14)	REMIC Residual	Not Rated	Not Rated	46656UAM5	N/A

(1) These initial class principal amounts and class notional amounts are approximate and are subject to an increase or decrease of up to 5%, as described in this Memorandum. On the Closing Date, JPMorgan Chase Bank, National Association, an affiliate of one of the sponsors, may purchase directly from the depositor all or a portion of one or more classes of the senior or mezzanine certificates.

(2) Reflects the pass-through rate as of the closing date based on the 23-HE1 PC described in this Memorandum.

(3) Notwithstanding anything in this Memorandum to the contrary, the pass-through rate on a class of certificates (other than the Class A-R Certificates) will not be less than 0.00% with respect to any distribution date (and the related accrual period).

(4) The expected ratings presented are those of Fitch Ratings, Inc. ("Fitch") and Kroll Bond Rating Agency, LLC ("KBRA") which the depositor hired to rate certain of the offered certificates. A rating is not a recommendation to buy, sell or hold securities. These ratings may be lowered or withdrawn at any time by any of the rating agencies. One or more other nationally recognized statistical rating organizations that were not hired by the depositor may use information they receive pursuant to Rule 17g-5 under the Securities Exchange Act of 1934, as amended, to rate or provide market reports and/or published commentary related to the offered certificates. There can be no assurance as to what ratings a non-hired rating agency would assign or that their reports will not express differing, possibly negative, views of the 23-HE1 PC, the mortgage loans and/or the offered certificates. See "*Risk Factors—Risks Primarily Related to the Certificates—Ratings of the Certificates Have Substantial Limitations*" and "*Ratings*" in this Memorandum.

(5) Certain proportions of the Class B-1, Class B-2, Class B-3, Class B-4 and Class X Certificates are exchangeable for certain proportions of the Class BX Certificates, and *vice versa*, in the combinations identified in Annex C to this Memorandum. The maximum initial class principal amount of the Class BX Certificates is set forth in the table above. See *"Description of the Certificates—Exchangeable Certificates"* in this Memorandum.

(6) The Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2 and Class B-3 Certificates are floating rate certificates. The pass-through rate on the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2 and Class B-3 Certificates with respect to any distribution date (and the related accrual period) will be an annual rate equal to the lesser of (i) the related Benchmark plus the applicable margin for such class of Certificates and (ii) the Net WAC for such distribution date. The applicable margin for the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2 and Class B-3 Certificates will be 1.75000 %, 2.50000 %, 3.00000 %, 3.50000 %, 4.50000 %, 5.00000 % and 5.00000 %, respectively. As further described under *"Description of the Certificates—Distributions of Interest—Determination of Benchmark for Floating Rate Certificates"* in this Memorandum, the Benchmark as of the closing date for the floating rate certificates will be the SOFR Rate. If the Securities Administrator notifies the Depositor that it cannot determine the SOFR Rate in accordance with the methods prescribed in the securitization sale agreement and a benchmark transition event has not yet occurred, the SOFR Rate for such accrual period will be the SOFR Rate as calculated for the immediately preceding accrual period. Following the occurrence of a benchmark transition event, a benchmark other than SOFR will be selected for purposes of calculating the pass-through rate on the floating rate certificates previously based on the SOFR Rate as further described herein under *"Description of the Certificates—Distributions of Interest—Determination of Benchmark for Floating Rate Certificates."* See *"Risk Factors—Risks Primarily Related to the Certificates— Risks Related to Floating Rate Certificates Calculated Using SOFR," "— Risks related to Compounded SOFR and Term SOFR," "—The Occurrence of a Benchmark Transition Event May Affect Yields on the Floating Rate Certificates" and "Description of the Certificates—Distributions of Interest—Determination of Benchmark for Floating Rate Certificates"* in this Memorandum.

(7) The pass-through rate on the Class B-4 Certificates with respect to any distribution date (and the related accrual period) will be equal to 0.00% per annum. The Class B-4 Certificates are entitled to distributions of principal only and will not receive any distributions of interest.

(8) The pass-through rate on the Class BX Certificates with respect to any distribution date (and the related accrual period) will be an annual rate equal to (a) the product of (i) 12 and (ii) an amount equal to the sum of (x) the aggregate amount of interest accrued on the Class B-1, Class B-2 and Class B-3 Certificates for such distribution date and (y) the aggregate amount distributed to the Class X Certificates pursuant to clause (4) under "*Description of the Certificates—Priority of Distributions—Distribution of the Monthly Excess Cashflow*" for such distribution date divided by (b) the class principal amount or class notional amount of the Class BX Certificates, as applicable.

(9) The class principal amount or class notional amount of the Class BX Certificates will be determined as either (i) for so long as the class principal amount of the Class BX Certificates is greater than zero, the aggregate class principal amount of the Class B-1, Class B-2, Class B-3 and Class B-4 Certificates on such distribution date (without giving effect to any distributions of principal or allocations of realized losses or certificate writedown amounts to be made on such distribution date) or (ii) for so long as the class principal amount of the Class BX Certificates is equal to zero, the outstanding class notional amount of the Class X Certificates immediately prior to such distribution date.

(10) The Class A-IO-S Certificates with respect to any distribution date will have a class notional amount equal to the aggregate unpaid principal balance of the SLS Serviced Mortgage Loans as of the first day of the related monthly period and will not be entitled to distributions of principal.

(11) With respect to any distribution date, the Class A-IO-S Certificates will be entitled to the aggregate Excess Servicing Strip Amount.

(12) The Class X Certificates with respect to any distribution date will have a class notional amount equal to the aggregate unpaid principal balance of the 23-HE1 PC as of the first day of the related monthly period and will not be entitled to distributions of principal.

(13) The pass-through rate on the Class X Certificates with respect to any distribution date (and the related accrual period) will be an annual rate equal to the Class X accrual rate.

(14) The Class A-R Certificates will not have a class principal amount or class notional amount and are the class of certificates representing the residual interest in the issuing entity. The Class A-R Certificates are not expected to receive distributions.

(15) The retaining sponsor will comply with regulation RR promulgated pursuant to Section 15G of the Securities Exchange Act of 1934, as amended. The retaining sponsor intends to meet this requirement by retaining (directly or through one or more majority-owned affiliates) an eligible horizontal residual interest in the issuing entity through ownership of the risk retained certificates in accordance with regulation RR. See *"Credit Risk Retention"* in this Memorandum.

The Mortgage Participation Pass-Through Certificates, Series 2023-HE1 will also have the following characteristics:

CLASS	RECORD DATE[(1)]	DELAY/ ACCRUAL PERIOD[(2)]	INTEREST ACCRUAL CONVENTION[(3)]	EXPECTED FINAL DISTRIBUTION DATE[(4)]	FINAL SCHEDULED DISTRIBUTION DATE[(5)]	MINIMUM DENOMINATION OR PERCENTAGE INTEREST FOR RULE 144A GLOBAL CERTIFICATES	MINIMUM DENOMINATION OR PERCENTAGE INTEREST FOR REGULATION S PERMANENT GLOBAL CERTIFICATES	INCREMENTAL DENOMINATIONS
Class A-1	DD	0 day	Actual/360	January 2031	November 2053	$25,000	$100,000	$1
Class M-1	DD	0 day	Actual/360	January 2031	November 2053	$25,000	$250,000	$1
Class M-2	DD	0 day	Actual/360	January 2031	November 2053	$25,000	$250,000	$1
Class M-3	DD	0 day	Actual/360	January 2031	November 2053	$25,000	$250,000	$1
Class B-1	DD	0 day	Actual/360	March 2032	November 2053	$25,000	$250,000	$1
Class B-2	DD	0 day	Actual/360	January 2033	November 2053	$25,000	N/A	$1
Class B-3	DD	0 day	Actual/360	August 2034	November 2053	$25,000	N/A	$1
Class B-4	DD	N/A	N/A	June 2053	November 2053	$25,000	N/A	$1
Class BX	DD	0 day	30/360	June 2053	November 2053	$25,000	N/A	$1
Class A-IO-S	DD	0 day	30/360	May 2053	November 2053	$25,000	N/A	$1
Class X	DD	0 day	30/360	June 2053	November 2053	$25,000	N/A	$1
Class A-R	N/A	N/A	N/A	N/A	N/A	100%	N/A	(6)

(1) "DD" means, for any distribution date, the close of business on the business day immediately preceding that distribution date. "DD" for the initial distribution date means the closing date.

(2) "0 day" means, for any distribution date, the accrual period will be the period from and including the 20th day of the month immediately preceding such distribution date to and including the 19th day of the month in which such distribution occurs. With respect to the initial distribution date, the accrual period will be the period beginning on the closing date and ending on the 19th day of the month in which such distribution date occurs.

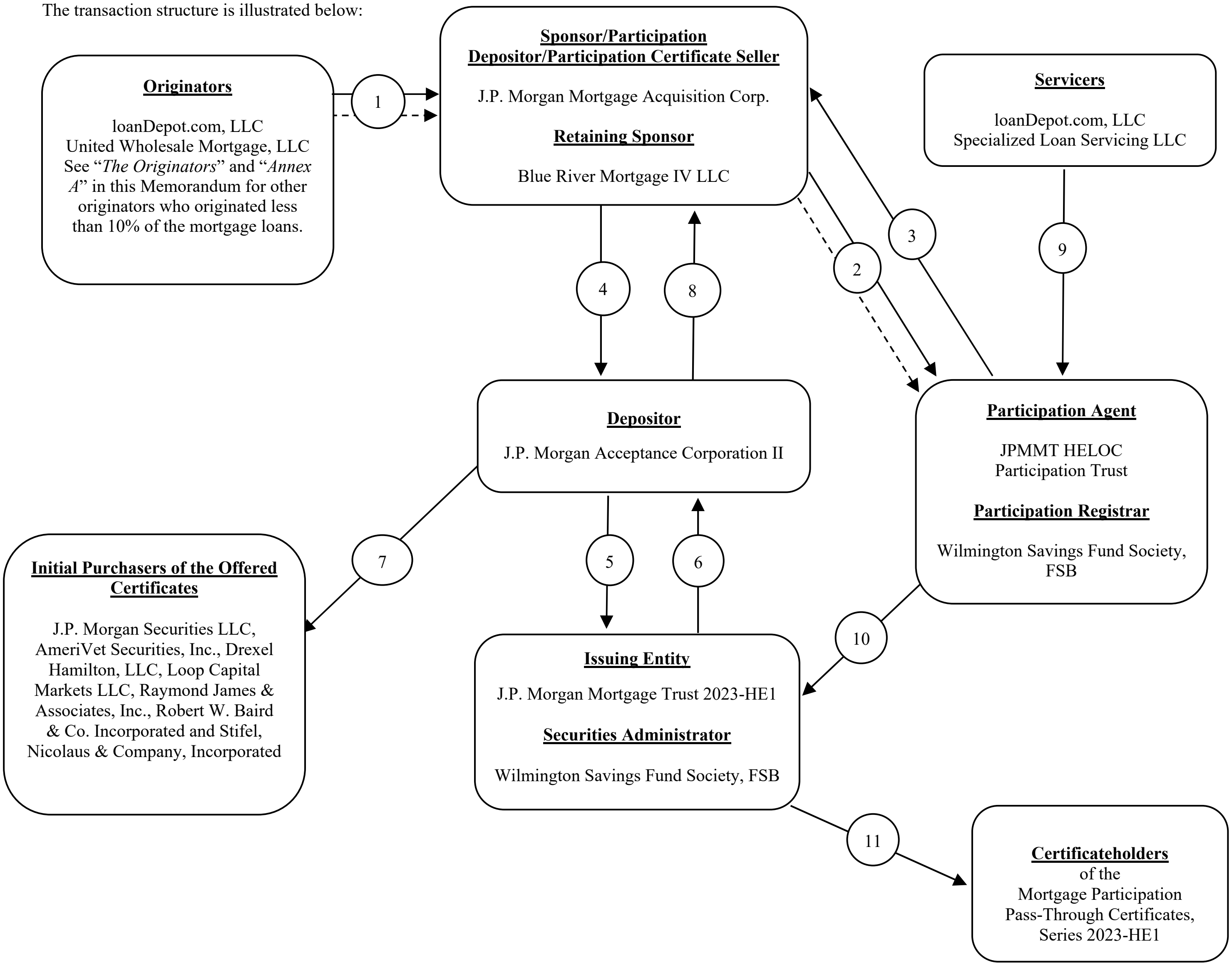
(3) With respect to the floating rate classes, interest accrues at the rate specified based on the actual number of days in the interest accrual period, based on a 360-day year. With respect to the Class BX, Class A-IO-S and Class X Certificates, interest accrues at the rate specified based on a 360-day year that consists of twelve 30-day months.

(4) Calculated based on the assumptions set forth in "*Yield, Prepayment and Weighted Average Life—Structuring Assumptions,*" a CPR of 25% and assuming that the certificates are held to maturity and that neither of the Optional Clean-Up Call nor the Optional Redemption is exercised.

(5) Calculated as described in this Memorandum under "*Description of the Certificates—Final Scheduled Distribution Date.*"

(6) The Class A-R Certificates will be issued in definitive, fully registered form, representing the entire percentage interest of such class.

The transaction structure is illustrated below:



1. JPMMAC purchases HELOCs from the Originators pursuant to various Purchase Agreements.
2. JPMMAC as Participation Depositor transfers legal title to the HELOCs to the Participation Agent. Each Originator will enter into an assignment agreement and make representations and warranties to the Participation Agent on behalf of the holders of the 23-HE1 PC and any other participation certificateholder with an interest in such HELOC.
3. The Participation Agent issues the JPM PC to JPMMAC, which represents a 100% Participation Interest in each draw related to the HELOCs. On the Closing Date, the Participation Agent reallocates the Participation Interests from the JPM PC to the 23-HE1 PC and issues the 23-HE1 PC to JPMMAC.
4. JPMMAC sells the 23-HE1 PC to the Depositor. JPMMAC as the Participation Depositor will represent that with respect to certain of the representations and warranties made by the Originators to the Participation Agent, no action or event has taken place between the date that the related Originator made the applicable representation and warranty and the Closing Date (or the Cut-off Date if specified in such representation) to make such representation or warranty untrue.
5. The Depositor sells the 23-HE1 PC to the Issuing Entity.
6. The Issuing Entity issues the Mortgage Participation Pass-Through Certificates, Series 2023-HE1 and transfers the Certificates to the Depositor.
7. The Depositor sells the Offered Certificates to the Initial Purchasers in return for cash and the Initial Purchasers will sell the Offered Certificates to the certificateholders, including the Retaining Sponsor or one or more of its majority-owned affiliates, with respect to the portion of the Offered Certificates to be retained by such entity to comply with the U.S. credit risk retention rules.
8. The Depositor transfers to JPMMAC certain retained Certificates and/or the cash from the sale of the Offered Certificates as consideration for the 23-HE1 PC.
9. The Servicers service the HELOCs and remit principal and interest collections on the HELOCs to the custodial accounts as described under "*Servicing of the HELOCs—Accounts*" and remit the collections (net of certain fees and expenses of the Servicers) to the Participation Account on each Servicer Remittance Date.
10. The Participation Registrar distributes collections on the HELOCs on each Participation Distribution Date and will distribute any such amounts distributable on the Mortgage Loans to the 23-HE1 PC to the Distribution Account.

11. On each Distribution Date, the Securities Administrator withdraws funds on deposit in the Distribution Account and distributes the Interest Remittance Amount and the Principal Remittance Amount to the Certificateholders pursuant to the payment priorities described under "*Description of the Certificates—Priority of Distributions*."

RELATIONSHIP BETWEEN CERTIFICATES, THE 23-HE1 PC, THE HELOCS AND THE MORTGAGE LOANS

The offered certificates represent beneficial ownership interests in the issuing entity, the assets of which will consist primarily of the participation certificate (the "23-HE1 PC") representing participation interests in a fixed pool of draws related to a pool of home equity line of credit mortgage loans. The 23-HE1 PC represents interests in specified draws under the related home equity lines of credit.

Unless otherwise specified whenever reference is made in this Memorandum to:

(i) the "mortgage loans," such reference will refer to the draws related to the home equity lines of credit that are represented by a participation interest that has been allocated to the 23-HE1 PC;

(ii) the "HELOCs," such reference will refer to the participation agent's legal ownership of the home equity lines of credit related to the mortgage loans; and

(iii) the unpaid principal balance of, or a percentage of, some or all of the mortgage loans or the 23-HE1 PC, such percentage is determined on the basis of the aggregate unpaid principal balance of the mortgage loans in the mortgage pool or the aggregate unpaid principal balance of the 23-HE1 PC, as applicable, as of the cut-off date.

ISSUING ENTITY

J.P. Morgan Mortgage Trust 2023-HE1, a statutory trust formed under the laws of the State of Delaware, will issue the certificates. The issuing entity will be formed pursuant to a trust agreement between the depositor and the owner trustee, which will be amended and restated as of the closing date among the depositor, the securities administrator and the owner trustee (as amended and restated, the "trust agreement"). The certificates represent beneficial ownership interests solely in the issuing entity created under the trust agreement and are not an interest in, or the obligation of, the depositor, the owner trustee, the securities administrator or any other person.

THE OWNER TRUSTEE AND THE SECURITIES ADMINISTRATOR

Wilmington Savings Fund Society, FSB ("WSFS"), a federal savings bank, will act as owner trustee of the issuing entity under the trust agreement.

WSFS will also act as securities administrator under the securitization sale agreement and the trust agreement.

THE DEPOSITOR

On the closing date, J.P. Morgan Acceptance Corporation II, a Delaware corporation, will assign all of its interest in the 23-HE1 PC to the issuing entity.

THE SPONSORS

Blue River Mortgage IV LLC ("BRM"), a Delaware limited liability company, will act as retaining sponsor (the "retaining sponsor") and together with J.P. Morgan Mortgage Acquisition Corp. ("JPMMAC" as the "JPM Sponsor"), a Delaware corporation, will act as the sponsors.

THE PARTICIPATION CERTIFICATE SELLER

JPMMAC acquired the 23-HE1 PC directly from the participation agent. On the closing date, JPMMAC, as participation certificate seller under the securitization sale agreement, will sell all of its interest in the 23-HE1 PC to the depositor.

THE PARTICIPATION AGENT

JPMMT HELOC Participation Trust, a Delaware statutory trust (the "participation agent"), will hold title and legal ownership in the HELOCs and issue the 23-HE1 PC representing 100% of the beneficial economic interests in the related mortgage loans to the participation certificate seller. The participation agent will also hold title and legal ownership in home equity lines of credit other than the HELOCs relating to the mortgage loans represented by the 23-HE1 PC, and the beneficial ownership interest in all draws related to such other home equity lines of credit as well as any draws on the HELOCs other than the mortgage loans will be represented by participation certificates other than the 23-HE1 PC.

THE PARTICIPATION OWNER TRUSTEE AND THE TRUST PAYING AGENT

WSFS will act as participation owner trustee of the participation agent under the participation trust agreement.

WSFS will also act as participation registrar and trust paying agent under the master participation agreement and the participation trust agreement.

THE PARTICIPATION DEPOSITOR AND PARTICIPATION CERTIFICATEHOLDER OF THE JPM PC

JPMMAC acquired the HELOCS directly from the originators. Prior to the closing date, JPMMAC transferred legal title to the HELOCs to the participation agent in exchange for a 100% participation interest in each draw related to such HELOCs which are represented by a participation certificate issued by the participation agent to JPMMAC (the "JPM PC").

On the closing date, the participation agent will reallocate the participation interests related to the mortgage loans from the JPM PC to the 23-HE1 PC, a new participation certificate which will be issued by the participation agent and purchased by the participation certificate seller.

JPMMAC will also purchase participation interests in all additional draws funded by the participation agent with respect to the HELOCs, and participation interests in such additional draws will be allocated to the JPM PC. Participation interests in funded draw amounts may be allocated from the JPM PC to new participation certificates issued by the participation agent from time to time. No additional participation interests in additional draws (on the HELOCs or any other home equity lines of credit) will be added to the 23-HE1 PC after the cut-off date.

THE ORIGINATORS

Approximately 39.47% and 49.30% of the mortgage loans, by aggregate unpaid principal balance of the mortgage loans as of the cut-off date, were originated by loanDepot.com, LLC ("loanDepot") and United Wholesale Mortgage, LLC ("UWM"), respectively. No other originator originated more than 10% of the mortgage loans. A listing of the originators of the HELOCs relating to mortgage loans is included in Annex A to this Memorandum in the table entitled "Originator."

We refer you to "*Description of the Mortgage Pool*" in this Memorandum for more information.

THE CUSTODIAN

Computershare Trust Company, N.A. will maintain custody, on behalf of the participation agent, of the documents relating to all of the HELOCs pursuant to the custody agreement. Certain other custodians may act as custodian on behalf of the participation agent with respect to other home equity lines of credit owned by the participation agent from time to time.

THE SERVICERS

Specialized Loan Servicing LLC ("SLS") will service the HELOCs relating to approximately 60.53% of the mortgage loans on behalf of the participation agent for the benefit of the issuing entity. loanDepot will own the mortgage servicing rights for the HELOCs relating to approximately 39.47% of the mortgage loans, and will service such mortgage loans on behalf of the participation agent for the benefit of the issuing entity.

SLS and loanDepot are referred to in this Memorandum as the "servicers."

SLS will be obligated to service the HELOCs serviced by it pursuant to a servicing agreement between SLS and the participation agent. loanDepot will be obligated to service the HELOCs serviced by it pursuant to an existing servicing agreement between loanDepot and JPMMAC, which will be assigned to the participation agent and modified by an assignment agreement, among loanDepot, JPMMAC and the participation agent on behalf of the related participation certificateholders from time to time party to a participation supplement. The issuing entity will sign joinders on the closing date pursuant to which the related servicer will service the HELOCs related to the mortgage loans for the benefit of the issuing entity as holder of the 23-HE1 PC. The aforementioned servicing agreements are collectively referred to herein as the "servicing agreements." We refer you to "*Servicing of the HELOCs*" in this Memorandum for more information.

The servicers are contractually obligated to the participation agent to service the related mortgage loans. However, the servicers may perform their servicing obligations through subservicers. None of the participation agent, the issuing entity the securities administrator, the participation registrar, the owner trustee, the participation owner trustee, the participation certificate seller, the depositor, the participation depositor or any other person will have any rights under any subservicing agreement, and no subservicer will have any contractual obligations to those entities under any subservicing agreement.

If a servicer is terminated as servicer, ownership of the servicing rights with respect to the HELOCs serviced by such servicer will transfer to a successor servicer appointed in accordance with the transaction documents.

We refer you to "*The Servicers*" *and* "*Servicing of the HELOCs*" in this Memorandum for more information.

AFFILIATIONS AND CERTAIN RELATIONSHIPS AMONG CERTAIN TRANSACTION PARTIES

JPMCB may be the initial owner of all or a portion of one or more classes of the senior certificates or mezzanine certificates, and is an affiliate of (i) JPMMAC, the participation depositor, the participation certificate seller, the holder of the JPM PC and a sponsor, (ii) J.P. Morgan Acceptance Corporation II, the depositor and (iii) J.P. Morgan Securities LLC, an initial purchaser.

WSFS is the owner trustee and the securities administrator under this securitization and is the participation owner trustee, participation registrar and trust paying agent of the participation agent.

SLS is a servicer of the HELOCs and is an affiliate of Computershare Trust Company, N.A., the custodian.

The roles and relationships described above may give rise to conflicts of interest. See "*Risk Factors—Certain Conflicts and Other Risks—Various Other Securitization-Level Conflicts of Interest May Have an Adverse Effect on Your Certificates*," "*Risk Factors—Certain Conflicts and Other Risks—Potential Conflicts of Interest of the Initial Purchasers and Their Respective Affiliates*" *and* "*Affiliates and Related Transactions*" in this Memorandum.

CUT-OFF DATE

The close of business on May 31, 2023. The cut-off date is the date after which the issuing entity will be entitled to receive all distributions on and proceeds of the 23-HE1 PC.

PARTICIPATION DISTRIBUTION DATE AND DISTRIBUTION DATE

The participation distribution date for the 23-HE1 PC and the distribution date for the certificates will be the 20th day of each month or, if such day is not a business day, the next business day thereafter, commencing in July 2023. Distributions on each distribution date will be made to certificateholders of record as of the related record date.

RECORD DATE

The record date for each distribution date and each class of certificates will be the close of business on the business day immediately preceding the related distribution date. The record date for the initial distribution date will be the closing date.

FINAL SCHEDULED DISTRIBUTION DATE

The final scheduled distribution date for the certificates is the distribution date in November 2053, which is the distribution date in the sixth month following the scheduled maturity date for the latest maturing HELOC.

THE CERTIFICATES

The classes of J.P. Morgan Mortgage Trust 2023-HE1, Mortgage Participation Pass-Through Certificates, Series 2023-HE1 will consist of the classes issued with the initial approximate characteristics set forth under "*Summary—The Offered Certificates*" in the table that begins on page 1 of this Memorandum.

The offered certificates (other than the Class A-R Certificates) will be issued in book-entry form through The Depository Trust Company and its participating institutions, and in the minimum denominations (or multiples thereof) set forth in the table that begins on page 3 of this Memorandum.

The Class A-R Certificates will be issued in fully registered certificated form.

The offered certificates will be subject to certain restrictions on transfer described in this Memorandum.

Each class of certificates will have different characteristics, some of which are reflected in the following general designations.

- *Senior certificates*: Class A-1 Certificates.
- *Mezzanine certificates*: Class M-1, Class M-2 and Class M-3 Certificates.
- *Subordinate certificates*: Class B-1, Class B-2, Class B-3, Class B-4 and Class X Certificates.
- *Depositable certificates*: Class B-1, Class B-2, Class B-3, Class B-4 and Class X Certificates.
- *Exchangeable certificates*: Class BX Certificates.
- *Excess servicing certificates*: Class A-IO-S Certificates.
- *Floating Rate certificates*: Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2 and Class B-3 Certificates.
- *Principal Only certificates*: Class B-4 Certificates.
- *Residual certificates*: Class A-R Certificates.
- *Offered certificates*: The senior certificates, the mezzanine certificates, the subordinate certificates, the exchangeable certificates, the excess servicing certificates and the residual certificates.

Distributions of principal and interest on the certificates entitled thereto will be based on distributions from the 23-HE1 PC which will be based on collections from the mortgage loans.

The rights of holders of the subordinate certificates to receive distributions of principal (other than the Class X Certificates) and interest (other than the Class X and Class B-4 Certificates) will be subordinate to the rights of holders of the mezzanine certificates, the senior certificates and those other classes of subordinate certificates having a senior distribution priority, and the rights of the holders of the mezzanine certificates to receive distributions of principal and interest will be subordinate to the rights of holders of the senior certificates, in each case, to the extent provided under the priority of distributions, as described under "*Description of the Certificates—Priority of Distributions*" in this Memorandum.

The offered certificates will have an approximate aggregate initial certificate principal amount of $186,391,076 as of the closing date. The initial class principal amount or class notional amount, as applicable, of each class may be increased or decreased by up to 5% to the extent that the aggregate unpaid principal balance of the mortgage loans represented by the 23-HE1 PC is increased or decreased as described in "*Description of the Mortgage Pool*"; provided, that the initial aggregate certificate principal amount of the certificates will not be adjusted if the initial aggregate certificate principal amount of the certificates exceeds the aggregate unpaid principal balance of the mortgage loans represented by the 23-HE1 PC as of the cut-off date and the participation certificate seller deposits (or causes to be deposited) in the distribution account on the closing date, an amount equal to such difference, plus one month of accrued interest on such difference based on an interest rate equal to the weighted average (based on unpaid principal balance as of the cut-off date) of the mortgage rates (less the related servicing fee rate allocable to the removed mortgage loans) of the related removed mortgage loans as of the cut-off date.

The residual certificates will have no principal or notional balance.

EXCHANGEABLE CERTIFICATES

Certain classes of certificates (referred to in this Memorandum as the depositable certificates) in combinations referred to in this Memorandum as the exchangeable combination, are exchangeable for certain other classes of certificates (referred to in this Memorandum as the exchangeable certificates). Exchanges may only take place on the dates for exchange specified for the related classes of certificates described in this Memorandum. The exchangeable combination and related depositable certificates and exchangeable certificate are identified in Annex C to this Memorandum. See *"Description of the Certificates—Exchangeable Certificates"* in this Memorandum.

In the event that any depositable certificates are exchanged for exchangeable certificates in an exchangeable combination, principal and interest distributable to those depositable certificates and allocable to such exchangeable certificates will be distributed to such exchangeable certificates on each distribution date on which those exchangeable certificates are outstanding. In addition, the exchangeable certificates in an exchangeable combination will bear a proportionate share of losses, interest shortfalls and cap carryover amounts, as applicable, allocable to each class of related depositable certificates. Principal and interest distributions will be made to the exchangeable certificates in an exchangeable combination in the manner described in this Memorandum. See "*Description of the Certificates—Exchangeable Certificates*" and "*—Distributions with Respect to Exchangeable Certificates*" in this Memorandum.

The distribution priority of the exchangeable certificates in an exchangeable combination will reflect the distribution priority of the related depositable certificates. Annex C to this Memorandum identifies the depositable certificates and the related exchangeable certificates. A description of certain characteristics of the depositable certificates and the exchangeable certificates is set forth in the table that begins on page 1 of this Memorandum. See *"Description of the Certificates—Exchangeable Certificates—Procedures"* in this Memorandum for a description of exchangeable certificates and exchange procedures and fees.

We refer you to *"Description of the Certificates—Exchangeable Certificates"* in this Memorandum for more information.

DISTRIBUTIONS OF INTEREST

On each participation distribution date, to the extent interest collections are available from the HELOCs, the 23-HE1 PC will be entitled to receive a proportionate share of interest remittance amounts on the HELOCs determined on the basis of the funded participation percentage as of the date the related servicer reported receiving any interest remittance amount on the HELOCs during the related monthly period.

The funded participation percentage for the 23-HE1 PC with respect to the mortgage loan related to any HELOC will be calculated as the unpaid principal balance of the mortgage loan as a percentage of the aggregate outstanding unpaid principal balance of all draws related to a particular HELOC (including those that are not allocated to the 23-HE1 PC). The funded participation percentage with respect to the 23-HE1 PC may change from time to time as JPMMAC on behalf of the participation agent funds additional draws with respect to the HELOCs related to the 23-HE1 PC. Such additional draws on such HELOCs will initially be added to the JPM PC.

On each distribution date, to the extent interest remittance amounts are available from the 23-HE1 PC, each class of interest-bearing certificates will be entitled to receive accrued interest determined on the basis of the outstanding class principal amount or class notional amount, as applicable, of such class immediately prior to such distribution date, the applicable pass-through rate and the related accrual period, and any interest remaining unpaid from prior distribution dates (and interest accrued thereon at the then-applicable pass-through rate).

Any unpaid interest amount will be carried forward and added to the amount of interest that holders of each affected class of senior certificates, mezzanine certificates and subordinate certificates (other than the Class B-4 Certificates and Class X Certificates) will be entitled to receive on the next distribution date. The Class X Certificates will be entitled to receive the Class X distribution amount from monthly excess cashflow.

Additionally, on any distribution date, with respect to the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2 or Class B-3 Certificates, the excess of (i) the amount of interest such class would have accrued with respect to such distribution date based on its pass-through rate (calculated without regard to clause (ii) of its respective pass-through rate) over (ii) the current interest for such class and such distribution date computed at the Net WAC for such distribution date, together with the undistributed portion of any such excess from prior distribution dates (and interest accrued thereon at the then-applicable pass-through rate) will be the "cap carryover amount." This amount will be carried over to subsequent distribution dates and distributed as described in this Memorandum.

For each distribution date (other than the initial distribution date) and each class of interest-bearing certificates, the accrual period will be the period from and including the 20th day of the month immediately preceding such distribution date to and including the 19th day of the month in which such distribution date occurs (and for the initial distribution date, the accrual period will be the period beginning on the closing date and ending on the 19th day of the month in which such distribution date occurs), calculated on the basis of (i) with respect to the Class X Certificates, the excess servicing certificates and the Class BX Certificates, a 360-day year consisting of twelve 30-day months and (ii) with respect to the floating rate certificates, the actual number of days in the accrual period and a 360-day year.

The pass-through rate on the floating rate certificates will vary over time based on the related benchmark, which will be calculated by the securities administrator in accordance with the securitization sale agreement. As of the closing date and prior to the occurrence of a benchmark transition event, the benchmark will be the SOFR rate, which for each accrual period (other than the first accrual period) will be determined by the securities administrator on the second U.S. government securities business day immediately prior to the commencement of such accrual period. The SOFR rate for the first accrual period will be determined on the pricing date for the certificates, and will initially be based on compounded SOFR unless and until certain conditions, as determined by the depositor and as set forth herein, have occurred, in which case, the SOFR rate will then be based on term SOFR. If the securities administrator notifies the depositor that the SOFR rate cannot be determined for an accrual period in accordance with the methods prescribed in the securitization sale agreement, and a benchmark transition event has not yet occurred, the pass-through rate on the floating rate certificates will be calculated using the SOFR rate as determined for the immediately preceding accrual period. *See* "*Description of the Certificates—Distributions of Interest—Determination of Benchmark for Floating Rate Certificates.*"

As further described under "*Description of the Certificates—Distributions of Interest—Determination of Benchmark for Floating Rate Certificates*" in this Memorandum, following the occurrence of a benchmark transition event, a benchmark replacement will be determined by the depositor, and such benchmark replacement will replace the SOFR rate and will be the benchmark for the next following accrual period and each accrual period thereafter (unless and until a subsequent benchmark transition event is determined to have occurred). Any determination made by the depositor with respect to the occurrence of a benchmark transition event or a benchmark replacement, and any calculation by the securities administrator of the applicable benchmark for an accrual period, will be final and binding on the certificateholders in the absence of manifest error.

In connection with a benchmark transition event and the determination of a benchmark replacement, the transaction documents will be deemed to have been amended to reflect such determinations, as well as any necessary technical, administrative or operational changes related thereto, without satisfaction of any amendment provision of any transaction document and without the consent of any certificateholder.

Each certificateholder, by its acceptance of a certificate or a beneficial interest in a certificate, will be deemed to waive and release any and all claims against the issuing entity, the participation certificate seller, the depositor, the owner trustee and the securities administrator relating to any determination made by the depositor in connection with a benchmark transition event or a benchmark replacement (including, without limitation, the determination to refrain from taking any action). The issuing entity will indemnify the participation certificate seller and the depositor against any losses, claims, damages, liabilities, forfeitures, fines, penalties, costs, fees or expenses (including attorneys' fees) sustained by the participation certificate seller or the depositor in connection with, or arising out of, any action taken by the depositor in connection with a benchmark replacement as described under "*Description of the Certificates—Distributions of Interest—Determination of Benchmark for Floating Rate Certificates*" in this Memorandum or the decision by the depositor to refrain from taking any action permitted to be taken by the depositor in connection with a benchmark replacement.

See "*Description of the Certificates—Distributions of Interest—Determination of Benchmark for Floating Rate Certificates*" in this Memorandum for more information regarding the calculation of the SOFR rate and the effects of an occurrence of a benchmark transition event and the determination of a benchmark replacement.

We refer you to *"Description of the Certificates—Distributions of Interest Remittance Amount"* in this Memorandum for more information.

When a borrower makes a full or partial prepayment on a HELOC, the amount of interest that the borrower is required to pay, and thus the amount of interest that is passed through on the 23-HE1 PC to the certificateholders, may be less than the amount of interest holders of the senior certificates, mezzanine certificates and subordinate certificates (other than the Class X and Class B-4 Certificates) would otherwise be entitled to receive with respect to the mortgage loan. On any participation distribution date, the aggregate amount of interest shortfalls resulting from prepayments on the mortgage loans will reduce the interest remittance amount available for distributions on the 23-HE1 PC, which will in turn reduce the interest available on the related distribution date for each class of certificates entitled thereto by the amount of any such interest shortfalls for that distribution date.

The interest remittance amount for a distribution date may also be reduced by one or more of the following: (i) modifications following the cut-off date that reduce a related mortgage loan's mortgage interest rate; (ii) defaults and non-payment by the related borrower in respect of the related mortgage loan; (iii) a reduction in interest received due to prepayments or the application of the Servicemembers Civil Relief Act (the "Relief Act") or similar legislation; and/or (iv) amounts representing reimbursement of servicing advances on the second lien HELOCs prior to being charged-off.

On each distribution date on which an exchangeable certificate is outstanding, the outstanding exchangeable certificate in an exchangeable combination will be entitled to the interest distributions on the related depositable certificates that have been exchanged. *See "Description of the Certificates—Distributions with Respect to Exchangeable Certificates" for a description of how interest distributions will be made to the exchangeable certificates.*

DISTRIBUTIONS OF PRINCIPAL

On each participation distribution date, to the extent principal collections are available from the HELOCs, the 23-HE1 PC will be entitled to receive a proportionate share of principal remittance amounts on the HELOCs determined on the basis of the funded participation percentage as of the date the related servicer reported receiving any principal remittance amount on the HELOCs during the related monthly period.

On each distribution date, certificateholders (other than holders of the Class X Certificates, the excess servicing certificates or the residual certificates, none of which are entitled to distributions of principal) will only receive a distribution of principal on their certificates if principal distributions on the 23-HE1 PC are available on that date for the distribution of principal according to the principal distribution rules described in this Memorandum under "*Description of the Certificates—Distributions of Principal Remittance Amount.*"

On each distribution date and for any exchangeable certificates in an exchangeable combination, principal distributions otherwise distributable to the related depositable certificates that have been exchanged will be distributed to the exchangeable certificates entitled to principal in the related exchangeable combination.

PC INTEREST REMITTANCE AMOUNT AND PC PRINCIPAL REMITTANCE AMOUNT

The interest remittance amount and principal remittance amount to be distributed on the 23-HE1 PC for any participation distribution date generally consists of the funded participation percentage of the following with respect to the HELOCs (after payment of the funded participation percentage of fees and expenses related to the HELOCs that are allocated to the 23-HE1 PC under the master participation agreement described under "*Fees and Expenses of the Participation Agent*" and reimbursement of the funded participation percentage of certain servicing advances and other amounts owing to the servicers):

With respect to interest remittance amounts to be distributed on the 23-HE1 PC:

- all monthly payments of interest received on the mortgage loans in the related monthly period;
- the interest portion of any insurance policies with respect to the mortgage loans received during the related monthly period, to the extent such proceeds are not applied to the restoration or repair of the related mortgaged property or released to or held for the related borrower in accordance with the related servicer's normal servicing procedures;
- the interest portion of net proceeds from the liquidation of defaulted mortgage loans by foreclosure or otherwise received during the related monthly period;
- the interest portion of subsequent recoveries with respect to the mortgage loans received during the related monthly period; and
- the interest portion of any repurchase price (or in certain cases, loss payment amounts) received during the related monthly period in respect of a mortgage loan related to a HELOC that is repurchased.

With respect to principal remittance amounts to be distributed on the 23-HE1 PC:

- all monthly payments of principal received on the mortgage loans in the related monthly period;
- the principal portion of all proceeds of any insurance policies with respect to the mortgage loans received during the related monthly period, to the extent such proceeds are not applied to the restoration or repair of the related mortgaged property or released to or held for the related borrower in accordance with the related servicer's normal servicing procedures;
- the principal portion of net proceeds from the liquidation of defaulted mortgage loans by foreclosure or otherwise received during the related monthly period;
- the principal portion of subsequent recoveries with respect to the mortgage loans received during the related monthly period; and
- the principal portion of repurchase price (or in certain cases, loss payment amounts) received during the related monthly period in respect of a mortgage loan related to a HELOC that is repurchased.

INTEREST REMITTANCE AMOUNT AND PRINCIPAL REMITTANCE AMOUNT

The interest remittance amount and principal remittance amount for any distribution date generally consists of the following with respect to the 23-HE1 PC (after payment of the fees and expenses described under "*Fees and Expenses of the Issuing Entity*" and payment of the aggregate excess servicing strip amount):

With respect to interest remittance amounts:

- all monthly payments of interest received on the 23-HE1 PC in the related monthly period;
- the interest portion of any "optional clean-up call price" for the 23-HE1 PC paid in exercising the right to terminate the issuing entity and all amounts received pursuant to clause (ii) of the definition of "optional clean-up call price" paid in exercising the right to terminate the issuing entity to be applied on such distribution date as described under "*Description of the Certificates—Optional Clean-Up Call and Optional Redemption*" in this Memorandum;
- the interest portion of any "optional redemption price" or "subordinate class purchase price," as applicable, for the 23-HE1 PC paid in exercising the right to purchase all of the outstanding certificates from the certificateholders thereof and all amounts received pursuant to clause (iii) of the definition of "optional redemption price" paid in exercising the right to purchase all of the outstanding certificates from the certificateholders thereof to be applied on such date as described under "*Description of the Certificates—Optional Clean-Up Call and Optional Redemption*" in this Memorandum;
- with respect to the first distribution date following the closing date, the interest portion of any closing date substitution amount received during the related monthly period; and
- amounts withdrawn from the excess reserve account for such distribution date.

With respect to principal remittance amounts:

- all monthly payments of principal received on the 23-HE1 PC in the related monthly period;
- the principal portion of any "optional clean-up call price" for the 23-HE1 PC paid in exercising the right to terminate the issuing entity;
- the principal portion of any "optional redemption price" or "subordinate class purchase price," as applicable, for the 23-HE1 PC paid in exercising the right to purchase all of the outstanding certificates from the certificateholders thereof; and
- with respect to the first distribution date following the closing date, the principal portion of any closing date substitution amount received during the related monthly period.

PRIORITY OF DISTRIBUTIONS

Distribution of the Interest Remittance Amount

On each distribution date, the securities administrator will distribute the interest remittance amount for such distribution date, to the extent available, in the following order of priority:

first, to the Class A-1 Certificates, any interest distribution amount and interest carryforward amount thereon;

second, to the Class M-1 Certificates, any interest distribution amount and interest carryforward amount thereon;

third, to the Class M-2 Certificates, any interest distribution amount and interest carryforward amount thereon;

fourth, to the Class M-3 Certificates, any interest distribution amount and interest carryforward amount thereon;

fifth, to the Class B-1 Certificates, any interest distribution amount and interest carryforward amount thereon;

sixth, to the Class B-2 Certificates, any interest distribution amount and interest carryforward amount thereon;

seventh, to the Class B-3 Certificates, any interest distribution amount and interest carryforward amount thereon; and

eighth, any remaining interest remittance amount as part of monthly excess cashflow.

Distribution of the Principal Remittance Amount

On each distribution date that a trigger event is not in effect, the securities administrator will distribute the principal remittance amount for such distribution date, to the extent available, in the following order of priority:

first, concurrently, to the Class A-1, Class M-1, Class M-2 and Class M-3 Certificates, pro rata, based on the respective class principal amount of each such class of certificates, until their respective class principal amount is reduced to zero;

second, to the Class B-1 Certificates, until the class principal amount thereof is reduced to zero;

third, to the Class B-2 Certificates, until the class principal amount thereof is reduced to zero;

fourth, to the Class B-3 Certificates, until the class principal amount thereof is reduced to zero;

fifth, to the Class B-4 Certificates, until the class principal amount thereof is reduced to zero; and

sixth, any remaining principal remittance amount as part of monthly excess cashflow.

On each distribution date that a trigger event is in effect, the securities administrator will distribute the principal remittance amount for such distribution date, to the extent available, in the following order of priority:

first, to the Class A-1 Certificates, until the class principal amount thereof is reduced to zero;

second, to the Class M-1 Certificates, until the class principal amount thereof is reduced to zero;

third, to the Class M-2 Certificates, until the class principal amount thereof is reduced to zero;

fourth, to the Class M-3 Certificates, until the class principal amount thereof is reduced to zero;

fifth, to the Class B-1 Certificates, until the class principal amount thereof is reduced to zero;

sixth, to the Class B-2 Certificates, until the class principal amount thereof is reduced to zero;

seventh, to the Class B-3 Certificates, until the class principal amount thereof is reduced to zero;

eighth, to the Class B-4 Certificates, until the class principal amount thereof is reduced to zero; and

ninth, any remaining principal remittance amount as part of monthly excess cashflow.

With respect to any locked out class, such locked out class will only receive distributions of the principal remittance amount after the aggregate class principal amount of each such class of certificates ranking senior in right of distribution priority to such locked out class has been reduced to zero.

A “trigger event” will be in effect on any distribution date if any of the following events have occurred and are continuing:

(i) a credit support depletion event, which is the first distribution date on which the aggregate class principal amount of the subordinate certificates has been reduced to zero, prior to any distributions or allocations on that distribution date;

(ii) a cumulative loss trigger event, which occurs, with respect to any distribution date, if the percentage equivalent of the aggregate realized losses attributable to the 23-HE1 PC since the cut-off date through the end of the monthly period related to such distribution date divided by the aggregate certificate principal amount of all certificates (other than the Class A-1 Certificates) as of the last day of the related monthly period exceeds 5%; or

(iii) a delinquency trigger event, which occurs if the six month average of the monthly percentage equivalent of (a) the aggregate unpaid principal balance of the mortgage loans related to HELOCs that are 60 days or more delinquent pursuant to the MBA delinquency methodology (including mortgage loans related to HELOCs in foreclosure, REO property or bankruptcy status, but not including the related unpaid principal balance of any charged-off loan or any mortgage loan related to a HELOC that is subject to a forbearance plan), divided by (b) the aggregate certificate principal amount of all certificates (other than the Class A-1 certificates) as of the last day of the related monthly period, exceeds 5%.

Distribution of Monthly Excess Cashflow

As more fully described herein, on each distribution date the sum of (i) the remaining interest remittance amount after making payments pursuant to clauses *first* through *seventh* above under “*—Distribution of the Interest Remittance Amount*” and (ii) the remaining principal remittance amount after making payments pursuant to clauses *first* through *fifth* under “*—Distribution of the Principal Remittance Amount*” above if no trigger event is in effect and clauses *first* through *eighth* under “*—Distribution of the Principal Remittance Amount*” above if a trigger event is in effect, the securities administrator will distribute the monthly excess cashflow received in the following order of priority (in each case, to the extent available):

first, up to the amount of any realized losses for such distribution date, sequentially, to the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2, Class B-3 and Class B-4 Certificates, in that order, in reduction of the class principal amount thereof, until the class principal amount of each of the A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2, Class B-3 and Class B-4 Certificates is reduced to zero;

second, up to the amount of any previously applied certificate writedown amounts, sequentially, to the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2, Class B-3 and Class B-4 Certificates, in that order, to reimburse each such class of certificates for certificate writedown amounts previously allocated to such class (to the extent the applicable class principal amount for such class has not been increased by prior applications of certificate writeup amounts);

third, from the monthly excess cashflow otherwise distributable to the Class X Certificates (i) to the cap carryover reserve account, up to the aggregate cap carryover amounts for the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2, and Class B-3 Certificates, for such distribution date, and then (ii) sequentially, from amounts on deposit in the cap carryover reserve account, to the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2, and Class B-3 Certificates, in that order, any unpaid cap carryover amounts thereon;

fourth, to the Class X Certificates, the Class X distribution amount for such distribution date;

fifth, to the transaction parties, on a pro rata basis, any remaining unpaid trust expenses without regard to the securities administrator/trustee annual expense cap; and

sixth, to the excess reserve account, any remaining amounts as provided in the securitization sale agreement.

We refer you to “*Description of the Certificates—Priority of Distributions*” *and “–Distributions with Respect to Exchangeable Certificate”* in this Memorandum for more information.

LIMITED RECOURSE

The only source of cash available to make interest and principal distributions on the certificates entitled thereto will be the assets of the issuing entity. The issuing entity will have no source of cash other than distributions on the 23-HE1 PC and distributions on the 23-HE1 PC will only be available to the extent of collections and recoveries on the mortgage loans. No other entity will be obligated or expected to make any distributions on the certificates.

ALLOCATION OF CERTIFICATE WRITEDOWN AMOUNTS

The unpaid principal balance of the 23-HE1 PC with respect to any date of determination will be equal to the aggregate unpaid principal balance of all mortgage loans allocated to the 23-HE1 PC. The unpaid principal balance of a mortgage loan with respect to any date of determination will be the unpaid principal balance of such mortgage loan as of the cut-off date, after giving effect to payments of principal received and any servicing modifications; provided, however the unpaid principal balance of a mortgage loan will not include any portion of the unpaid principal balance on which interest does not accrue and liquidated mortgage loans and charged-off loans will have an unpaid principal balance of zero. As a result, realized losses on a HELOC related to a mortgage loan will reduce the unpaid principal balance of the mortgage loan, and consequently, the 23-HE1 PC. Any subsequent recovery on a HELOC related to a mortgage loan will in turn be allocated in part to the related mortgage loan and result in an increase in amounts available for distribution to the 23-HE1 PC.

On each distribution date, after distributions of the principal remittance amount and monthly excess cashflow on such distribution date, if the aggregate class principal amount of the certificates (other than the Class A-IO-S and Class X Certificates) exceeds the unpaid principal balance of the 23-HE1 PC as of the end of the related monthly period, the resulting excess will be allocated sequentially as a certificate writedown amount to the Class B-4, Class B-3, Class B-2, Class B-1, Class M-3, Class M-2, Class M-1 and Class A-1 Certificates, in that order, until their respective class principal amounts are reduced to zero. Any reduction of a class principal amount for such classes of certificates will not be reversed or reinstated (except in the case of certificate writeup amounts).

ALLOCATION OF CERTIFICATE WRITEUP AMOUNTS

On each distribution date, after distributions of the principal remittance amount and monthly excess cashflow on such distribution date, if the aggregate unpaid principal balance of the 23-HE1 PC as of the end of the related monthly period exceeds the aggregate class principal amount of the certificates (other than the Class A-IO-S and Class X Certificates), the class principal amount of the most senior class of certificates to which certificate writedown amounts have been allocated to will be increased up to the amount of certificate writedown amounts previously allocated thereto.

CREDIT ENHANCEMENT

Credit enhancement for the certificates consists of payment subordination, loss allocation and monthly excess cash flow features to enhance the likelihood that holders of more senior classes of certificates will receive regular distributions of interest and principal.

Payment Subordination. The subordinate certificates (other than the Class X Certificates) will provide credit enhancement for each class of subordinate certificates with a higher distribution priority of interest remittance amount (other than with respect to the Class B-4 Certificates) and principal remittance amount and for the mezzanine certificates and the senior certificates. The mezzanine certificates will provide credit enhancement for the class of senior certificates. After certain triggers, the senior certificates will have a distribution priority over the Class M-1, Class M-2 and Class M-3 Certificates, and in all cases will have distribution priority over the Class B-1, Class B-2, Class B-3 and Class B-4 Certificates; after certain triggers, the Class M-1 Certificates will have distribution priority over the Class M-2 and Class M-3 Certificates, and in all cases will have distribution priority over the Class B-1, Class B-2, Class B-3 and Class B-4 Certificates; after certain triggers, the Class M-2 Certificates will have distribution priority over the Class M-3 Certificates, and in all cases will have distribution priority over the Class B-1, Class B-2, Class B-3 and Class B-4 Certificates; the Class M-3 Certificates will have distribution priority over the Class B-1, Class B-2, Class B-3 and Class B-4 Certificates; the Class B-1 Certificates will have a distribution priority over the Class B-2, Class B-3 and Class B-4 Certificates; the Class B-2 Certificates will have a distribution priority over the Class B-3 and Class B-4 Certificates; and the Class B-3 Certificates will have a distribution priority over the Class B-4 Certificates, to the extent described under "*Description of the Certificates—Priority of Distributions*."

Writedown Allocation. Certificate writedown amounts will be allocated in the priority described above under "*—Allocation of Certificate Writedown Amounts and Certificate Writeup Amounts*" on each distribution date.

If a certificate writedown amount has been allocated to reduce the class principal amount of your certificate, it is unlikely that you will receive any distribution in respect of that reduction.

Monthly Excess Cashflow. The 23-HE1 PC is expected to generate more interest than is needed to pay interest on the certificates that are entitled to receive an interest distribution amount because the net WAC applicable to the 23-HE1 PC is expected to be higher than the weighted average rate at which interest accrues on the certificates. On each distribution date, monthly excess cashflow will be available to, among other things, (i) make distributions of principal to and among certain classes of the certificates, in an aggregate amount not to exceed the amount of realized losses incurred during the related monthly period, until the aggregate certificate principal amount of such classes of certificates have been reduced to zero, (ii) make distributions of principal, up to the amount of previously applied certificate writedown amounts to and among certain classes of the certificates, in an aggregate amount not to exceed the amount of certificate writedown amounts previously allocated to such classes of certificates (to the extent not previously increased by a certificate writeup amount), (iii) fund the Cap Carryover Reserve Account, up to the aggregate Cap Carryover Amount, if any, (iv) make distributions to the Class X Certificates, (v) reimburse certain transaction parties for trust expenses in excess of the related expense cap and (vi) make distributions, if any, to the excess reserve account.

We refer you to *"Risk Factors—Risks Primarily Related to the Certificates—Potential Inadequacy of Credit Enhancement," "Description of the Certificates—Subordination of Distributions to the Subordinate Certificates," "Description of the Certificates—Priority of Distributions" and "Description of the Certificates—Allocation of Certificate Writedown Amounts and Certificate Writeup Amounts"* in this Memorandum.

THE 23-HE1 PC

As of the cut-off date, the 23-HE1 PC has an unpaid principal balance of approximately $186,391,076. The sponsors selected the mortgage loans to be allocated to the 23-HE1 PC by the participation agent.

THE MORTGAGE LOANS

Pool Characteristics. As of the cut-off date, the aggregate mortgage pool consists of mortgage loans related to 2,269 HELOCs with the mortgage loans having an aggregate unpaid principal balance of approximately $186,391,076.

The HELOCs consist of a pool of second lien, adjustable rate, revolving home equity lines of credit secured by one- to three-family residential properties, attached and detached planned unit developments, condominiums, townhomes and a site condo. All of the HELOCs have original terms to maturity of up to 30 years. As of the cut-off date, 28 HELOCs, representing approximately 1.30% of the aggregate unpaid principal balance of the mortgage loans as of the cut-off date, have experienced one or more periods of delinquency in the 12-month period prior to the cut-off date, however, no mortgage loan relates to a HELOC that was 30 or more days delinquent as of the cut-off date.

All of the mortgage loans as of the cut-off date are related to HELOCs that are second lien HELOCs, which are junior in priority to a related first lien loan on the same mortgaged property. None of the associated first lien loans are included in the mortgage pool.

Borrowers under home equity lines of credit typically may make draws in respect of such home equity lines of credit, which will increase the principal balance thereof up to the related credit limit, though such right to make draws may be frozen (temporarily or permanently) in certain circumstances, as further described in this Memorandum. The "credit limit" for any HELOC and any date of determination is the total available credit under the related line of credit agreement (regardless of any amounts drawn under such line of credit agreement). As of the cut-off date, the ability to make draws had not been permanently frozen or terminated on any of the HELOCs. Any draws funded on a HELOC will be funded by JPMMAC on behalf of the participation agent and the participation interest in such draws will be added to the JPM PC. No participation interests in additional draws will be added to the 23-HE1 PC after the cut-off date.

The HELOCs generally have draw periods of 10 years, a repayment period at the end of the draw period of either 10 or 20 years and a total original term to maturity equal to 20 or 30 years. The balance of each HELOC as of the end of the draw period is fully amortized over the repayment period for such HELOC with required principal payments of 1/120th or 1/240th, as applicable, of the balance at the end of the related interest-only draw period due each month. During the draw period of a HELOC, borrowers are generally only required to make payments in respect of accrued and unpaid interest on the HELOCs as well as certain fees or charges that may become due under such HELOC. No principal payments are generally required to be made during the draw period under a HELOC, except to the extent the principal balance of such HELOC exceeds the related credit limit.

As of the cut-off date, all of the HELOCs have adjustable mortgage rates and provide for payment of interest at the related mortgage rate, but no payment of principal, for the period specified on the related mortgage note.

In addition, as of the cut-off date, all of the mortgage loans related to HELOCs have their interest calculated on a daily simple interest basis.

We refer you to *"Risk Factors—Risks Primarily Related to the Mortgage Loans—Increased Risk of Loss Due to Second Lien HELOCs; Limited Available Information Regarding the Associated First Lien Loans"* in this Memorandum.

Each HELOC may be prepaid in full or in part at any time and without penalty, but with respect to each HELOC, the related borrower may have the right during the related draw period to make a draw in the amount of any prepayment previously made with respect to such HELOC, up to the credit limit of such HELOC and to the extent allowed under the related line of credit agreement.

References in this Memorandum to the "credit limit" of any HELOC and any date of determination is the total dollar amount permitted to be drawn under the related line of credit agreement as of such date of determination. As of the cut-off date, the aggregate credit limit with respect to the HELOCs is approximately $224,377,217 and the total remaining amount available to draw is approximately $37,986,141. The weighted average current credit line utilization on the HELOCs as of the cut-off date is approximately 88.43%. As of the cut-off date, the funded participation percentage of the 23-HE1 PC is 100%. To the extent each of the HELOCs was drawn to the aggregate credit limit, the funded participation percentage of the 23-HE1 PC as of the cut-off date would be approximately 83.07%.

We refer you to "*Description of the Mortgage Pool*" in this Memorandum for more information.

Statistical Information. The statistical information on the mortgage loans presented herein is based on the unpaid principal balance of such mortgage loans as of the close of business on May 31, 2023 (referred to herein as the "cut-off date"). Such information does not take into account defaults, delinquencies and prepayments that may have occurred with respect to the HELOCs related to the mortgage loans since such date. As a result, the statistical distribution of the characteristics in the final mortgage pool as of the closing date will vary from the statistical distribution of such characteristics as presented in this Memorandum.

Summary Collateral Statistics as of the Cut-off Date	
Aggregate Unpaid Principal Balance	$186,391,076
Number of Mortgage Loans:	2,269
Weighted Average Current Mortgage Rate:	10.714%
Weighted Average Gross Margin:	2.719%
Average Unpaid Principal Balance:	$82,147
Weighted Average Original Credit Score:[1]	745
Weighted Average Current Credit Score: [1, 2]	745
Weighted Average Drawn LTV:[3]	15.42%
Weighted Average Maximum LTV:[4]	17.46%
Weighted Average Drawn Combined LTV: [5]	66.60%
Weighted Average Maximum Combined LTV:[6]	68.63%
Second Lien:	100.00%
Average Senior Loan Amount:	$366,701
Weighted Average Original Debt-to-Income Ratio:	42.05%
Weighted Average Original Term to Maturity:	343 months
Weighted Average Remaining Term to Maturity:	341 months
Weighted Average Original HELOC Draw Period:	120 months
Weighted Average Remaining HELOC Draw Period:	117 months
Occupancy Type:	Owner-occupied 99.39% / Second Home 0.61%
Weighted Average Current Credit Line Utilization:	88.43%
Refinance Cash-out / Purchase / Refinance Rate-Term:	97.63% / 2.32% / 0.05%
Origination Channel:	Broker (55.51%) / Correspondent (3.74%) / Retail (40.75%)
Self-Employed:	14.01%
Top 3 States:	California (41.56%) / Florida (14.66%) / Arizona (6.37%)

(1) Credit scores represent one of three credit scores obtained from the following credit bureaus: Experian, TransUnion and Equifax, based on credit information for each borrower. If scores were obtained from more than one bureau, the credit score is determined by taking the middle of three or lesser of two scores received. If only one score is received, then that score is the credit score. For HELOCs with two or three borrowers, the lowest credit score is used.

(2) Current credit scores, including original credit scores where used, were obtained from a single provider between December 3, 2022 and May 25, 2023. The sponsors requested scores from all three credit bureaus; however, in not all cases were three scores received. An updated credit score is generally ordered by the sponsors if (i) the most recent credit score included in the related mortgage file is as of a date that is 6 months or more prior to the cut-off date and/or (ii) the most recent credit score included in the related mortgage file is lower than the minimum credit score threshold established by the sponsors. If an updated credit score was not ordered with respect to the borrower of any HELOC, the original credit score of such borrower was used in the calculation of the weighted average current credit score. The sponsors did not order an updated current credit score for 1,629 HELOCs due to loan age or other factors resulting in the inability to obtain such information, and the original credit score was used instead.

(3) Drawn LTV for each second lien HELOC equals a percentage calculated by dividing (a) the unpaid principal balance of such HELOC as of the cut-off date by (b) the related property value of the mortgaged property at origination (which is generally the lesser of the sales price, if applicable, and the original valuation used at the time of origination).

(4) Maximum LTV for each second lien HELOC equals a percentage calculated by dividing (a) the aggregate credit limit of such HELOC as of the cut-off date by (b) the related property value of the mortgaged property at origination (which is generally the lesser of the sales price, if applicable, and the original valuation used at the time of origination). Maximum LTV ratio is rounded to two decimal places, and can have a tolerance up to 0.01% due to the use of pre-rounded data.

(5) Drawn Combined LTV for each second lien HELOC equals a percentage calculated by dividing (a) the sum of the unpaid principal balance of such HELOC and the principal balance of the related associated first lien loan(s) and any known subordinate financing as of the cut-off date by (b) the related property value of the mortgaged property at origination (which is generally the lesser of the sales price, if applicable, and the original valuation used at the time of origination).

(6) Maximum Combined LTV for each second lien HELOC equals a percentage calculated by dividing (a) the sum of the aggregate credit limit of such HELOC and the principal balance of the related associated first lien loan(s) and any known subordinate financing as of the cut-off date by (b) the related property value of the mortgaged property at origination (which is generally the lesser of the sales price, if applicable, and the original valuation used at the time of origination). Maximum Combined LTV ratio is rounded to two decimal places, and can have a tolerance up to 0.01% due to the use of pre-rounded data.

ADVANCES

Neither the related servicer nor any other party participating in this transaction will be obligated to make any monthly advances of principal or interest due in respect of any HELOC. In addition, neither the related servicer nor any other party participating in this transaction will be obligated to make interest payments to compensate in part for any shortfall in interest payments on any HELOC which results from a borrower prepayment thereon or from a sale thereof.

Under each servicing agreement, the related servicer is required to make certain servicing advances in accordance with accepted servicing practices with respect to the costs of preservation, restoration and protection of a mortgaged property or REO property, in each case, to the extent such servicer has determined such amount to be recoverable.

We refer you to "*Servicing of the HELOCs*" in this Memorandum for more detail.

CHARGE OFFS

With respect to any second-lien HELOC that is one hundred eighty (180) or more days delinquent (or earlier, in accordance with the servicer's servicing practices) (other than due to such HELOC being or becoming subject to a forbearance plan), such servicer will charge off such HELOC, at which time the related mortgage loan related to such HELOC will be considered a charged-off loan and the unpaid principal balance of such mortgage loan will be reduced to zero (each, a "charged-off loan"). Once a HELOC has been charged-off, such HELOC will be treated as a liquidated mortgage loan giving rise to a realized loss in the amount of the outstanding unpaid principal balance for such HELOC, and with respect to the related mortgage loan, a realized loss in the amount of the outstanding unpaid principal balance for such mortgage loan. However, any charged-off loans will remain assets of the participation agent and may be sold by the participation owner trustee as further described in this Memorandum. The related servicer will only be entitled to (i) servicing fees on any such charged-off loan to the extent such servicing fees accrued prior to the date such HELOC became a charged-off loan and (ii) reimbursement of servicing advances and pass-through expenses on such charged-off loans made in accordance with the related servicing agreement prior to the date such HELOC became a charged-off loan. To the extent provided in the related servicing agreement, the servicer may be entitled to a portion of any amounts the servicer recovers from the related borrower following the date on which such HELOC becomes a charged-off loan as a recovery fee. Any recoveries on such charged-off loans (net of any such previously accrued and unpaid servicing fees, servicing advances, pass-through expenses and any applicable recovery fees) will be treated as liquidation proceeds distributable to the participation agent.

SLS may incur certain recoverable expenses on a charged-off loan (including attorneys' fees, consulting fees, filing costs or similar types of costs incurred to collect proceeds on a charged-off loan) (any such expenses, the "recoverable expenses"). Any recoverable expenses that are payable or reimbursable to SLS in respect of the charged-off loans will be reimbursed solely from any recoveries on the charged-off loans. SLS will also be entitled to a recovery fee on any charged-off loan from any recoveries on such charged-off loan, other than proceeds resulting from a sale directed by the participation agent.

No servicer will be permitted to sell a charged-off loan other than upon direction from the participation agent. To the extent a HELOC becomes a charged-off loan, the issuing entity as holder of the 23-HE1 PC, JPMMAC as holder of the JPM PC or any other participation certificateholder with a participation interest in the related HELOC will have the right to direct the participation owner trustee, in writing, to conduct an auction pursuant to the master participation agreement. Upon receipt of such written direction from a participation certificateholder and upon obtaining all information necessary to solicit bids for an auction (including the identification of market participants from whom the participation owner trustee is to solicit bids and any other information reasonably requested by the participation owner trustee needed to effect such auction), the participation owner trustee will be required to conduct an auction to attempt to effect the sale of the related charged-off loan. The securities administrator will cause the issuing entity, as a participation certificateholder, to direct the participation owner trustee to conduct an auction to sell a charged-off loan upon the direction of the holder(s) of at least a majority of the voting interests of the class of subordinate certificates (other than the Class X Certificates) (in each case, voting as a single class) with the lowest distribution priority outstanding on such date of determination (the "subordinate enforcement holder"), and payment by the subordinate enforcement holder of the amounts required to be paid by a participation certificateholder to the participation owner trustee for such participation certificateholder to direct the participation owner trustee to facilitate the auction.

The costs of the auction will be paid by the participation certificateholder directing such auction, and will be recoverable by such participation certificateholder from the proceeds of any HELOC sale. With respect to the 23-HE1 PC, these costs will be paid and recoverable by the subordinate enforcement holder.

The participation owner trustee will solicit bids from at least two (2) unaffiliated market participants and will provide notice of the highest bid to all participation certificateholders with a participation interest in such HELOC (and the securities administrator will provide such notice to the subordinate enforcement holder) and to JPMMAC as holder of the JPM PC. Each such participation certificateholder, if interested in purchasing such charged-off loan, must provide written notice of its counteroffer to the participation owner trustee, and the participation owner trustee will cause such charged-off loan to be sold to the related bidder or participation certificateholder with the highest offer. With respect to the 23-HE1 PC, such right may be exercised by the subordinate enforcement holder and to the extent the subordinate enforcement holder is the highest bidder, such HELOC will be sold to the subordinate enforcement holder.

We refer you to *"Servicing of the HELOCs—Servicing With Respect to the HELOCs—Charged-off Loans"* in this Memorandum for more detail.

HELOC REPRESENTATIONS AND WARRANTIES

Each representing party has made to the participation agent the applicable representations and warranties set forth in Appendix II-A to this Memorandum concerning the related HELOCs pursuant to an assignment agreement or the master participation agreement, as applicable.

Each originator that enters into an assignment agreement will make representations and warranties concerning the related HELOCs to the participation agent on behalf of holders of the 23-HE1 PC and any other participation certificateholder with an interest in such HELOC. The representations and warranties made by each such originator (except for loanDepot and UWM), will be made as of the date the HELOC was originally transferred to the participation agent, and the representations and warranties made by loanDepot and UWM will be made as of the date such originator originally sold such HELOC to JPMMAC, prior to the date JPMMAC sold such HELOC to the participation agent. JPMMAC will represent solely with respect to the representations and warranties set forth in Appendix II-B to this Memorandum that no action or event has taken place between the date that the related originator made the applicable representation and warranty and the closing date (or the cut-off date if specified in such representation) to make such representation or warranty untrue.

None of the participation certificate seller, the retaining sponsor, the depositor or any other party will backstop the obligations of any originator with respect to breaches of the HELOC representations and warranties.

Upon discovery of a potential breach of a representation or warranty, the participation owner trustee will request that the related representing party cure any breach or repurchase a HELOC to the extent such breach materially and adversely affects the value of the HELOC or a participation certificateholder's interest in such HELOC. To the extent the related representing party fails to cure such breach or repurchase the related HELOC, upon direction from any participation certificateholder with an interest in such HELOC, along with payment to the participation owner trustee of satisfactory indemnity and any anticipated fees and expenses, the participation owner trustee will enforce the obligations of the related representing party to repurchase such HELOC.

In addition, to the extent the securities administrator receives notice from the participation registrar that any HELOC has become 120 or more days delinquent, the securities administrator will post such information to the securities administrator's website. Upon direction from any participation certificateholder with an interest in such HELOC (which includes the issuing entity as holder of the 23-HE1 PC), along with payment to the participation owner trustee of satisfactory indemnity and any anticipated fees and expenses, the participation owner trustee will engage a third party to review of such HELOC to determine whether a breach of any representation or warranty has occurred, and the securities administrator will post the findings from such review to the securities administrator's website. The participation owner trustee will request the related representing party to repurchase such HELOC to the extent such review concluded that a breach of a representation and warranty that materially and adversely affects the value of the HELOC exists.

If a representing party fails to repurchase the related HELOC following a determination of breach, or to the extent a participation certificateholder with an interest in such HELOC directs the participation owner trustee to seek an enforcement proceeding notwithstanding that the review findings did not result in a determination of breach, upon direction from any participation certificateholder with an interest in such HELOC, along with payment to the participation owner trustee of satisfactory indemnity and any anticipated fees and expenses, the participation owner trustee will enforce a remedy obligation with respect to such HELOC.

The securities administrator will cause the issuing entity, as a participation certificateholder, to provide any direction or notice to the participation owner trustee with respect to a review or enforcement of a remedy on a HELOC upon the direction of any certificateholder and payment by such certificateholder of the amounts required to facilitate the engagement of the reviewer or any enforcement action, as applicable, under the master participation agreement.

Any proceeds recovered from the repurchase of a HELOC will be used to reimburse the participation certificateholder or participation owner trustee who funded any review or enforcement action (which if directed to a participation certificateholder will then be allocated to the related certificateholders who funded such amount), and the remaining proceeds will be paid as PC interest remittance amounts or PC principal remittance amounts in accordance with the master participation agreement.

We refer you to *"HELOC Representations and Warranties"* in this Memorandum for more detail.

FEES AND EXPENSES OF THE PARTICIPATION AGENT

Before distributions of interest are made on the 23-HE1 PC on any participation distribution date, each servicer will be paid a servicing fee with respect to the HELOCs serviced by it and if a successor servicer is the servicer, the successor servicer will be paid the successor servicing fee with respect to the HELOCs serviced by it. The servicing fee for SLS will equal the sum of certain base servicing fees, incentive servicing fees and distressed asset surcharges with respect to the HELOCs serviced by it that accrue during the related monthly period as further described in this Memorandum; provided, however, that the aggregate servicing fee payable with respect to any HELOC for any participation distribution date will not exceed an amount equal to 0.50000% per annum of the unpaid principal balance of such HELOC as of the first day of the related monthly period. The servicing fee for loanDepot will equal 0.50000% per annum of the unpaid principal balance of each HELOC serviced by it as of the first day of the related monthly period. For a further description of the servicing fees payable to SLS, we refer you to *"Fees and Expenses of the Participation Agent" and the definitions of "Base Servicing Fees," "Incentive Servicing Fees" and "Distressed Asset Surcharges" in the "Glossary of Defined Terms"* in this Memorandum.

Each servicer may withdraw its servicing fee with respect to a HELOC from interest actually collected on such HELOC, prior to such amounts being available to make distributions on the related participation certificates.

The servicers will also be entitled to certain other charges and other ancillary income in respect of the related HELOCs.

In addition, before distributions of interest are made on the participation certificates on any participation distribution date, (i) the participation owner trustee and participation registrar will be entitled to payment of their fee, calculated with respect to each HELOC as an amount equal to the product of (x) the unpaid principal balance of such HELOC as of the first day of the related monthly period and (y) 1/12th of 0.02500% ("participation owner trustee/participation registrar fee") and any unpaid participation owner trustee/participation registrar fee from any prior participation distribution date and (ii) the custodian will be entitled to a monthly fee, calculated as an amount equal to 1/12th of $12 for each HELOC ("custodian fee") and any unpaid custodian fee from any prior participation distribution date.

The servicing fees, the participation owner trustee/participation registrar fee and the custodian fee comprise the expense fees of the participation agent.

Subject to certain expense caps described herein, certain expenses of the participation agent, the participation owner trustee, the participation registrar and the custodian and certain indemnification payments and expenses of the parties to the master participation agreement and the participation trust agreement, will be reimbursed by the participation agent before distributions are made on the 23-HE1 PC.

Any fee and expense of the participation agent will be allocated among the participation certificateholders based on the date such fee or expense was incurred, the HELOC to which such fee or expense relates and the related participation certificateholder's funded participation percentage with respect to such HELOC as of such date.

See "*Fees and Expenses of the Participation Agent*" in this Memorandum.

FEES AND EXPENSES OF THE ISSUING ENTITY

Before distributions of interest are made on the certificates (other than the excess servicing certificates) on any distribution date (i) the securities administrator will be entitled to payment of its fee, an amount equal to $4,000 for each distribution date ("securities administrator fee") and any unpaid securities administrator fee from any prior distribution date and (ii) the owner trustee will be entitled to payment of its fee, calculated as an amount equal to 1/12th of $15,000 for each distribution date ("owner trustee fee") and any unpaid owner trustee fee from any prior distribution date.

The owner trustee fee and the securities administrator fee comprise the expense fees of the issuing entity.

Subject to certain expense caps described herein, certain expenses of the issuing entity, the owner trustee and the securities administrator and certain indemnification payments and expenses of the parties to the securitization sale agreement and the trust agreement, will be reimbursed by the issuing entity before distributions of interest are made on the certificates (other than the excess servicing certificates).

See "*Fees and Expenses of the Issuing Entity*" in this Memorandum.

OPTIONAL CLEAN-UP CALL OF THE CERTIFICATES AND OPTIONAL REDEMPTION

On any distribution date on which the aggregate unpaid principal balance of the 23-HE1 PC is less than 10% of the unpaid principal balance of the mortgage loans as of the cut-off date that are allocated to the 23-HE1 PC, the retaining sponsor will have the option to purchase the participation certificate, thereby causing an early retirement of the certificates.

No certificateholders will have any right to exercise the clean-up call option.

In addition, on any date on or after the date that is the earlier of (i) three years after the closing date or (ii) the date on which the unpaid principal balance of the 23-HE1 PC is less than or equal to 30% of the unpaid principal balance of the mortgage loans as of the cut-off date that are allocated to the 23-HE1 PC, the retaining sponsor may, at its option, purchase all of the outstanding certificates from the certificateholders thereof.

We refer you to "*Description of the Certificates—Optional Clean-Up Call and Optional Redemption*" in this Memorandum for more information.

CERTAIN FEDERAL INCOME TAX CONSEQUENCES

For federal income tax purposes, the issuing entity will consist of a trust ("EC Trust") beneath which are one or more REMICs consisting of one or more underlying REMICs (each, an "underlying REMIC") (if any) and the master REMIC (the "master REMIC"). The assets of the lowest underlying REMIC in this tiered structure (or the master REMIC if there are no underlying REMICs) will consist of participation interests in the mortgage loans, which is represented by the 23 HE1 PC, and any other assets designated in the securitization sale agreement (exclusive of the assets, rights, obligations, or arrangements that are excluded under the securitization sale agreement). The master REMIC will issue multiple classes of uncertificated REMIC regular interests, all of which will be held by the EC Trust. The EC Trust will issue Certificates (other than the Class A-R Certificates), all of which will represent beneficial ownership of one or more of such uncertificated master REMIC regular interests along with, in the case of the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2, Class B-3 and Class X Certificates, certain contractual rights and obligations. The master REMIC will also issue a single class of REMIC residual interest. The Class A-R Certificates will represent ownership of both the residual interest in the master REMIC and the residual interest in each underlying REMIC, if any.

The Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2 and Class B-3 Certificates (collectively, the "Capped Certificates") will also represent the right to receive Cap Carryover Amounts and the Class X Certificates will also represent the obligation to make payments of Cap Carryover Amounts to the Cap Carryover Reserve Account and indirect ownership of the Cap Carryover Reserve Account.

Although the matter is not entirely clear, the issuing entity intends to treat the arrangement under which (i) the Capped Certificates are entitled to receive Cap Carryover Amounts and (ii) the Class X Certificates are obligated to pay Cap Carryover Amounts to the Cap Carryover Reserve Account as a notional principal contract for federal income tax purposes ((i) and (ii) together, the "Notional Principal Arrangement"). See "*Certain Federal Income Tax Consequences—Additional Considerations for the NPC Certificates*" in this Memorandum for further information concerning certain federal income tax consequences of the Capped Certificates and the Class X Certificates (collectively, the "NPC Certificates") in respect of such notional principal contract.

We refer you to *"Certain Federal Income Tax Consequences"* in this Memorandum for more information.

ERISA MATTERS

Subject to the ERISA considerations described herein, the offered certificates (other than the Class B-2, Class B-3, Class B-4, Class BX, Class X, Class A-IO-S and Class A-R Certificates) generally are eligible to be acquired by, on behalf of, or with assets of employee benefit plans as defined in Section 3(3) of ERISA that are subject to Title I of ERISA, plans as defined in Section 4975(e)(1) of the Code that are subject to Section 4975 of the Code or any entity whose underlying assets are deemed to include plan assets by reason of such employee benefit plan's or plan's investment in such entity, if certain conditions are met.

Subject to the ERISA considerations described herein, the Class B-2, Class B-3 and Class B-4 Certificates may only be acquired by, on behalf of, or using assets of, plan investors that are insurance company general accounts, if certain conditions are met.

Any offered certificates of a class identified in the two preceding paragraphs as eligible to be acquired by, on behalf of, or using assets of, plan investors that are (1) purchased directly from the depositor by the JPM sponsor or one of its affiliates on the closing date or (2) retained by the JPM sponsor or one of its affiliates on the closing date, will not be so eligible to be acquired by, on behalf of, or using assets of, plan investors on the closing date; provided however, any such certificates may be eligible to be acquired by, on behalf of, or using assets of, plan investors at a later date if such certificates are the subject of an ERISA qualifying underwriting and certain other conditions are met.

Subject to the considerations described herein, any class of offered certificates (other than the Class BX, Class A-R, Class A-IO-S and Class X Certificates) may be acquired by, on behalf of, or using assets of, a governmental plan, church plan or non-U.S. plan that is subject to any federal, state, local or other law that is substantially similar to Title I of ERISA or Section 4975 of the Code ("similar law").

The Class BX, Class A-IO-S, Class X and Class A-R Certificates may not be acquired or held by, on behalf of or using assets of, any plan or governmental, church or non-U.S. plan subject to Similar Law.

We refer you to "*ERISA Matters*" in this Memorandum for more information.

CREDIT RISK RETENTION

BRM, as retaining sponsor will comply with the applicable credit risk retention rules promulgated pursuant to Section 15G of the Exchange Act, which have been implemented through the adoption of regulation RR under the Exchange Act ("regulation RR"). The retaining sponsor intends to meet this requirement by retaining (directly or through one or more majority-owned affiliates) the Class X Certificates of the issuing entity and, upon pricing, any additional class or additional classes of certificates (or a portion of a class of certificates) required to satisfy regulation RR (the "risk retained certificates"). As of the closing date, the risk retained certificates will represent at least five percent (5%) of the aggregate fair value of all of the certificates issued by the issuing entity (other than the Class A-R Certificates) (the "required credit risk") as determined using the fair value measurement framework under GAAP. Following the closing date, the retaining sponsor or such majority-owned affiliate may transfer any portion of the certificates retained by it that are in excess of the required credit risk.

The retaining sponsor or one or more majority-owned affiliates of the retaining sponsor will be required to hold the required credit risk until the earlier of (x) the date on which the retaining sponsor is no longer required to comply with regulation RR due to a change in law related thereto and (y) the later of (i) the fifth anniversary of the closing date and (ii) the date on which the aggregate unpaid principal balance of the

23-HE1 PC has been reduced to 25% of the aggregate unpaid principal balance of the 23-HE1 PC as of the cut-off date, but in any event no longer than the seventh anniversary of the closing date (the "RR sunset date").

It is possible that regulation RR will be amended, perhaps materially, prior to the RR sunset date. Investors should note that, to the extent that regulation RR is amended or repealed following the closing date, the relevant restrictions on the retaining sponsor described in this memorandum will automatically be amended or repealed to reflect the modified or repealed regulation RR.

For further information regarding the U.S. credit risk retention rules and the retaining sponsor's compliance with respect thereto, see "*Credit Risk Retention*" in this memorandum.

LEGAL INVESTMENT

Under current law, the certificates are not expected to constitute "mortgage related securities" for purposes of the Secondary Mortgage Market Enhancement Act of 1984, on the closing date. *See* "*Risk Factors—Risks Primarily Related to the Certificates—Governmental Intervention, Financial Regulatory Reforms and Proposed Regulations Could Have a Significant Impact on the Participation Certificate Seller, the Depositor, the Issuing Entity, the Participation Agent, the Servicers or Other Parties or on the Value or Marketability of the Certificates*" *for a discussion of pending changes to the definition of "mortgage related securities."*

There are other restrictions on the ability of certain types of investors to purchase the certificates that prospective investors should consider.

RATINGS

It is a condition to the issuance of the certificates, other than the Class B-4, Class BX, Class X, Class A-IO-S and Class A-R Certificates, that they receive at least the ratings listed in the table beginning on page 1 of this Memorandum from Fitch and KBRA (the "Rating Agencies"), as applicable. A rating is an opinion of the assigning rating agency based on its analysis, and none of the ratings assigned to the certificates have been or will be verified or analyzed by the participation certificate seller, the depositor, the initial purchasers or any other party to the transactions described herein. A rating is not a recommendation to buy, sell or hold securities, and a rating agency may revise or withdraw its rating at any time.

DBRS, Inc. ("DBRS") and S&P Global Ratings ("S&P") provided preliminary loss feedback on the pool of HELOCs . Based on such preliminary feedback, the sponsors did not request a rating from any such rating agency on the senior certificates, the mezzanine certificates or the subordinate certificates as without additional credit enhancement, it was expected that the ratings that each such rating agency would have assigned to the senior certificates, the mezzanine certificates and subordinate certificates would have been in a similar or lower rating category as compared to the ratings assigned to such certificates by Fitch and KBRA, as applicable. Had the sponsors selected DBRS or S&P to rate the classes of senior certificates, mezzanine certificates or subordinate certificates, we cannot assure you as to the ratings that DBRS or S&P would ultimately have assigned to those classes of certificates. Additionally, had the sponsors selected Fitch to rate the Class B-3 Certificates, we cannot assure you as to the rating that Fitch would ultimately have assigned to the Class B-3 Certificates.

The sponsors did not request a rating on the Class B-4, Class BX, Class X, Class A-IO-S or Class A-R Certificates from any rating agency.

The sponsors have not requested a rating on the rated certificates from any rating agency other than the Rating Agencies. Other nationally recognized statistical rating organizations may be furnished from time to time with information regarding the participation certificate, the mortgage loans and the issuing entity that may enable them to issue unsolicited credit ratings on one or more classes of offered certificates. Neither the depositor nor any other person or entity will have any duty to notify you if any such other rating organization issues, or delivers notice of its intention to issue, unsolicited ratings on one or more classes of certificates. There can be no assurance as to whether another rating agency will rate any class of certificates or, if it were to rate any class of certificates, what rating would be assigned by it.

There is no assurance that the ratings assigned to the rated certificates will continue for any period of time or that such ratings will not be revised or withdrawn entirely by such rating agency if, in its judgment, circumstances so warrant (including as a result of revising its models and ratings methodology). A revision or withdrawal of any such ratings may have an adverse effect on the market price of the certificates.

RISK FACTORS

You should carefully consider the risks described below before making an investment decision. Your investment in the certificates will involve some degree of risk. If any of the following risks actually occur or materialize, your investment could be materially and adversely affected. Distributions on the certificates will depend on payments received on, and other recoveries with respect to, the mortgage loans, and, therefore, you should carefully consider the risk factors relating to the mortgage loans and the related HELOCs in assessing the risks related to the performance of the certificates.

The risks and uncertainties described below are not the only ones relating to your certificates. Additional risks and uncertainties not presently known to us or that we currently deem immaterial may also impair your investment. This Memorandum also contains forward-looking statements that involve risks and uncertainties. Actual results could differ materially from those anticipated in these forward-looking statements as a result of certain factors, including the risks described below and elsewhere in this Memorandum. In connection with the information presented in this Memorandum relating to risks that may relate to certain of the mortgage loans, the HELOCs or the mortgage loans or HELOCs in general, examples are sometimes given with respect to a particular risk and a particular mortgage loan or HELOC. However, the fact that examples are given should not be interpreted as meaning that such examples reflect all of the mortgage loans in the issuing entity or all of the related HELOCs to which such risk is applicable.

Special Risks Associated with the HELOCs and the Securitization Transaction

Special Risks Associated with Revolving Home Equity Lines of Credit

As more fully described herein, as of the cut-off date, the mortgage loans will consist of draws on 2,269 adjustable rate, revolving home equity lines of credit secured by second lien mortgages on one- to three- family residential properties, attached and detached planned unit developments, condominiums, townhomes and a site condo, having an aggregate unpaid principal balance of approximately $186,391,076. The mortgage loans relate to HELOCs that bear interest at an adjustable rate based on the WSJ Prime Rate index plus the respective margin, subject to (i) a minimum floor of 2.500% per annum and (ii) a maximum cap of 18.750% per annum. As of the cut-off date all of the mortgage loans relate to second lien HELOCs.

Each HELOC has a "draw period" during which the related borrower may make draws in respect of such HELOC, resulting in an increase in the total unpaid principal balance of such HELOC (up to the related credit limit), though such right to make draws may be frozen (temporarily or permanently) in certain circumstances, as further described in this Memorandum. Such increased balance as a result of additional draws funded after the cut-off date will not be allocated to the 23-HE1 PC but will reduce the funded participation percentage with respect to the 23-HE1 PC.

As of the cut-off date, the maximum amount available to be drawn on the HELOCs is equal to approximately $224,377,217 and approximately $37,986,141 has not been drawn and is still available to be drawn. As of the cut-off date, the ability to make draws had not been permanently frozen or terminated on any of the HELOCs. Certain of the originators do not permit subsequent draws for ninety (90) days after the date of the related line of credit agreement, and these HELOCs will have the status of "Temporary Freeze" until the 90 day period is over. As of the cut-off date, the unpaid principal balance of the mortgage loans related to HELOCs flagged as "Temporary Freeze" is equal to approximately $37,570,825, or approximately 20.16% of the mortgage loans by aggregate unpaid principal balance as of the cut-off date. To the extent a borrower's right to make draws becomes temporarily frozen, such borrower may nevertheless again access its credit limit in the event the circumstances that caused such credit line to be frozen have been cured. If a borrower's right to make draws on its HELOC is unfrozen, such HELOC will be serviced in the same manner as any other HELOC with the ability to make a draw (including a requirement of the related servicer to fund draws on such HELOC).

The HELOCs generally have draw periods of 10 years, a repayment period at the end of the draw period of either 10 or 20 years and a total original term to maturity equal to 20 or 30 years. The balance of each HELOC as of the end of the draw period is fully amortized over the repayment period for such HELOC with required principal payments of 1/120th or 1/240th, as applicable, of the balance at the end of the related interest-only draw period due each month. During the draw period of a HELOC, borrowers are generally only required to make payments in respect of accrued and unpaid interest on the HELOCs as well as certain fees or charges that may become due under such HELOC. No principal payments are generally required to be made during the draw period under a HELOC, except to the extent the principal balance of such HELOC exceeds the related credit limit.

With respect to mortgage loans related to HELOCs that were used for debt consolidation or debt management, there can be no assurance that the related borrower will not incur or has not incurred further debt. This reloading of debt could impair the ability of borrowers to service their debt, which in turn could result in higher rates of delinquency and loss on the HELOCs and the related mortgage loans. In addition, a borrower could make a large draw on their HELOC for a life event (e.g., a wedding, college tuition, purchase of a business, expenses related to a business for which they have an ownership interest, or a down payment for additional real property) or due to changing economic conditions generally, or the deteriorating financial condition of a borrower, and not be prepared financially or able to repay such draw.

Each HELOC generally has an open draw period for the first 120 months (subject to the related credit limit) and no principal payments are generally required for the first 10 years of the term of such HELOC. Beginning generally in the 121st borrower payment period, the related borrower can no longer make any additional draws and each such HELOC becomes a closed-end, adjustable rate HELOC that amortizes the then-outstanding total unpaid principal balance generally over the remaining 120 months (*i.e.*, 10 years) at 1/120th of the balance at the end of the related interest-only draw period due each month with respect to 20-year HELOCs or 240 months (*i.e.*, 20 years) at 1/240th of the balance at the end of the related interest-only draw period due each month with respect to 30-year HELOCs. Principal is also due on a HELOC in the event the total unpaid principal balance of such HELOC is higher than the then-current credit limit for such HELOC, in which case the difference is due as principal, although a borrower may also voluntarily make a principal payment at any time.

Revolving open home equity lines of credit with terms like the HELOCs pose a special payment shock risk because the borrower may be required to begin making substantially higher monthly payments at the start of the repayment period during which the total unpaid principal balance of a HELOC (at the end of the draw period) is due in monthly installments, together with accrued interest. In particular, after the draw period for such HELOC, a payment shock to the related borrower could occur in the event the borrower’s monthly payment is significantly increased, the degree of which will depend on many factors, including the then-current outstanding principal balance, credit line utilization and floating interest rate on each such HELOC, which is based on the WSJ Prime Rate plus a margin. If the borrower is unable to make such payment or payments, the borrower may default. Investors may suffer a loss if the related mortgaged property, and the other forms of credit enhancement, are insufficient or unavailable to cover the loss, which may be more likely in the case of a second lien HELOC in which foreclosure on the related mortgaged property may not be pursued. Collections on the HELOCs may also vary due to seasonal purchasing and payment habits of borrowers. As a result, there may be limited collections available to make payments of principal on the certificates (other than in the case of a prepayment) and investors should consider that they may receive payments of principal more slowly than anticipated.

Due to the flexible nature of a revolving home equity line of credit allowing a borrower to increase the total unpaid principal balance of their HELOC, the HELOCs are more sensitive to economic factors and the financial circumstances of the borrowers, which could affect the ability of borrowers to pay their obligations or the value of the related mortgaged properties. Additionally, due to the seasoning of the HELOCs, a borrower’s creditworthiness at origination may not accurately reflect their current ability to pay their HELOC and their credit profile may have materially changed since origination.

As of the cut-off date, all of the HELOCs are interest-only loans that are still in their interest-only open draw periods. Following the open draw period, the applicable interest-only period will end on the related HELOC and the related monthly payment will be increased to an amount sufficient to amortize the balance of such HELOC over the remaining term and to pay interest at the applicable mortgage rate. Borrowers may view the absence of any obligation to make a payment of principal during the interest-only period following origination as a disincentive to prepayment. Finally, with respect to the HELOCs, a rising interest rate environment can increase the risk of default as borrowers may continue to make draws, increasing the interest bearing principal balance of the related HELOCs subject to an interest rate that they may no longer be able to repay. Conversely, however, borrowers may be more likely to refinance their HELOCs when the related interest-only period expires, resulting in increased prepayments.

If prepayments occur at a faster rate for HELOCs with higher net mortgage rates than for HELOCs with lower net mortgage rates, the net WAC rate will be reduced, which may in turn, to the extent that the net WAC rate is less than the applicable pass-through rate for such class of certificates, reduce the rate at which interest accrues on such certificates.

After a borrower's monthly payment has been increased to include principal amortization, and assuming the borrower does not refinance the related HELOC, delinquency or default may be more likely.

Increased Risk of Loss Due to Second Lien HELOCs; Limited Available Information Regarding the Associated First Lien Loans

As of the cut-off date, all of the mortgage loans relate to HELOCs that are secured by second liens on the related mortgaged properties, which are junior in priority to the related first lien mortgage on the related mortgaged property. The second lien HELOCs are subordinate to the rights of the mortgagee or mortgagees under each first lien loan on the related mortgaged property, none of which are included in the mortgage pool (each such first lien loan not included in the mortgage pool, an "associated first lien loan"). Information regarding an associated first lien loan, including its delinquency, default and loss mitigation history and status as of the cut-off date or any other date, and the specific identity of the related servicer, is generally unavailable, except for the total unpaid principal balance of such associated first lien loan as of the origination date of the second lien HELOC. No assurance can be made that a borrower will make or continue to make payments on its second lien HELOC or on such associated first lien loan or loans or that the related mortgaged property provides sufficient security for the related second lien HELOC. In addition, due to the limited information available for second lien HELOCs with respect to the loan level diligence review performed, as described under "*Risk Factors—Risks Primarily Related to the Mortgage Loans—Pre-offering Review of the HELOCs May Not Reveal Aspects of the HELOCs Which Could Lead to Losses*" below, there is limited information available as to any additional liens which may be senior to the second lien HELOCs, such as mechanics liens, tax liens, HOA liens, municipal liens and any other similar liens or assessments.

Generally, the holder of a second lien HELOC will be subject to a loss of its mortgage if the holders of the related associated first lien loans are successful in foreclosure of their respective mortgagees, because no liens or encumbrances survive such a foreclosure. To the extent that an associated first lien loan on any mortgaged property becomes delinquent and the servicer of such associated first lien loan is unable to work out alternative arrangements with the related borrower, such servicer may foreclose on such associated first lien loan and sell the related mortgaged property without any regard to whether the proceeds of such sale would be sufficient to satisfy the payment of additional liens more subordinate to such associated first lien loan, which would include the principal balance of the related second lien HELOC. In addition, the holders of other liens (such as mechanics liens, tax liens, HOA liens, municipal liens and other similar liens and assessments) may seek to foreclose on the related mortgaged property. In such instances, the holder of a second lien HELOC will be subject to potential losses up to 100% of the balance of such second lien HELOC if the holder of a related associated first lien loan or another more senior lien (such as mechanics liens, tax liens, HOA liens, municipal liens and other similar liens and assessments) is successful in foreclosure, because all liens or encumbrances, to the extent not satisfied, are extinguished in a foreclosure. In addition, due to the priority of an associated first lien loan, the holder of the related second lien HELOC may not be able to control the timing, method or procedure of any foreclosure action relating to the mortgaged property. Furthermore, any liquidation, insurance or condemnation proceeds received with respect to a mortgaged property on a second lien HELOC will be available to satisfy the principal balance of the related second lien HELOC only to the extent that the claim of each related associated first lien loan has been satisfied in full, including any related foreclosure costs. In certain cases, the servicer of an associated first lien loan may be required to advance delinquent principal and interest payments on such associated first lien loan, which would further reduce the proceeds available from a foreclosure sale to satisfy the related second lien HELOC since such proceeds would first be available to reimburse such servicer for any such advances. Accordingly, if net liquidation proceeds are insufficient to satisfy the combined principal balance of (1) a second lien HELOC and (2) any related associated first lien loan, including any other more senior liens (such as mechanics liens, tax liens, HOA liens, municipal liens and other similar liens and assessments), the certificateholders will bear the risk that no remaining proceeds may be available.

Investors should nevertheless understand and consider that, given the practical inability for the related servicer to foreclose on the second lien HELOCs (as further described in this Memorandum), in certain respects the certificates could be viewed as being partially backed by loans that are unsecured, the consequence of which, among other things, is that the value of the related mortgaged properties may be unavailable to satisfy any amounts owed on the second lien HELOCs.

Moreover, borrowers with little equity, no equity, or in certain circumstances, negative equity, may not have the ability to sell their home or to refinance, and a second lien holder would be unlikely to foreclose if there is little to no chance of recovery. If the net proceeds from the liquidation of a mortgaged property available after satisfaction of all related associated first lien loans are insufficient to satisfy the related second lien HELOC, the certificateholders may incur a loss on investment if the available credit enhancement is insufficient to cover the loss (to the extent such HELOC was not previously charged-off). See "*—Increased Risk of Loss Due to Second Lien HELOCs; Limited Available Information Regarding the Associated First Lien Loans*" in this memorandum.

Investors should consider that borrowers who have little equity, no equity, or, in certain circumstances, negative equity in their properties may be more likely to default and may be more likely to submit to foreclosure proceedings. Because all other lien positions are not necessarily known to the sponsors (as there is limited information available regarding the amount of any associated first lien loans, other than the total principal balance at origination of each associated first lien loan, and any other liens against the mortgaged property), in many cases a borrower's actual equity may be less than the loan-to-value ratios shown in this memorandum may suggest. See "—*Risk Relating to High Loan-to-Value Ratios; Valuation of Mortgaged Properties*" in this memorandum.

The Servicers are Not Required to Make Delinquency Advances and Servicing Advances Will Be Reimbursed from General Collections; Charged-off Loans Are Not Expected to Produce Significant Recoveries

Delinquencies in the payment of interest on, or principal of, the mortgage loans will adversely affect the yield on the certificates because, unlike many securitizations of mortgage loans, no servicer nor any other entity will be required to make any advances of scheduled monthly payments on any delinquent or defaulted HELOC. Although the related servicer will not be required to make advances of scheduled monthly payments in respect of the mortgage loans serviced by it, the related servicer may be required to make servicing advances in respect of the HELOCs serviced by it (other than charged-off loans) and REO properties in connection with the performance of its servicing obligations under the terms of the related servicing agreement (including its servicing standard). See "*Servicing of the HELOCs—Advances*" in this Memorandum.

"Servicing advances" generally include, but are not limited to (i) preservation, restoration and repair of a mortgaged property, (ii) any enforcement or judicial proceedings with respect to a HELOC, including foreclosure actions, (iii) the management and liquidation of REO property, (iv) any PMI policy premiums (including LPMI Fees), and (v) taxes, assessments, water rates, sewer rents and other charges which are or may become a lien upon the mortgaged property, and fire and hazard insurance coverage.

However, unlike many securitization servicing agreements, with respect to any unreimbursed servicing advance for a HELOC or REO property, the servicing agreements will allow the related servicer to be reimbursed for the funded participation percentage of such amounts by the participation registrar on a monthly basis following the cut-off date from amounts on deposit in the participation account in respect of the PC interest remittance amount or PC principal remittance amount related to all HELOCs serviced by such servicer rather than solely the collections and/or liquidation proceeds received in respect of the related HELOC or REO property for which the servicing advance was made.

With respect to any HELOC that becomes 180 or more days delinquent (or earlier, in accordance with the servicer's servicing practices) (other than due to such HELOC being or becoming subject to a forbearance plan), the related servicer will charge off such HELOC. If a HELOC becomes a charged-off loan, the related servicer will no longer be entitled to the monthly servicing fee or reimbursement for any servicing advances or pass-through expenses for such HELOC, but will be entitled to reimbursement of servicing advances and pass-through expenses that accrued prior to the date such HELOC became a charged-off loan. In certain circumstances, a payment in respect of a charged-off loan may be made by the related borrower or other collections may be received in respect of a charged-off loan, but there is very little expectation of any such receipt of payment after charge off by the related servicer.

SLS may incur recoverable expenses on a charged-off loan, and any recoverable expenses and recovery fees that are payable or reimbursable to SLS in respect of the charged-off loans will be reimbursed from any recoveries on the related charged-off loans other than, with respect to any recovery fees, proceeds resulting from a sale directed by the participation agent. loanDepot is not entitled to any recovery fee with respect to charged-off loans.

Even though it is not anticipated that certificateholders will receive any material proceeds with respect to the charged-off loans, any participation certificateholder with a participation interest in a charged-off loan will have the right to direct the participation owner trustee to conduct an auction to sell such charged-off loan. See "*Servicing of the HELOCs—Servicing with Respect to the HELOCs—Waiver or Modification of HELOC Terms*" in this Memorandum. Any sales proceeds or recovery amounts with respect to such charged-off loans, net of certain reimbursement amounts or recovery fees due to the related servicer, will be allocated to the respective participation certificate on the next participation distribution date.

Special Risks Related to the Funding of Additional Draws

As further described in this Memorandum, in connection with the acquisition of the HELOCs, the participation agent will assume the obligation to make additional draws with respect to such HELOCs, and JPMMAC will agree, pursuant to the master participation agreement, to fund such draws on behalf of the participation agent in exchange for a participation interest in the related draw. The related servicer will process the funding of additional draws, as set forth in the related servicing agreement, from amounts deposited by JPMMAC into the related HELOC reserve account. Notwithstanding its obligation to fund additional draws on behalf of the participation agent, if JPMMAC fails to deposit funds into the HELOC reserve account for the funding of such additional draws, as there is no other transaction party obligated to fund such draw, the participation agent may be in breach of the terms of the related line of credit agreement, and the related borrower may withhold payments on their HELOC and may initiate a lawsuit against the participation agent (as the owner of the related HELOC), the issuing entity, the certificateholders or other parties to this transaction which could lead to substantial losses on the certificates.

Participation Certificateholders Other than the Issuing Entity May Have Participation Interests in the HELOCs, and such Other Participation Certificates May Be Subject to Securitizations Separate from this Securitization Transaction

The participation agent will hold title and legal ownership in the HELOCs and issue the 23-HE1 PC representing 100% of the beneficial economic interests in the related mortgage loans to the participation certificate seller. The participation agent will also hold title and legal ownership in home equity lines of credit other than the HELOCs relating to the mortgage loans represented by the 23-HE1 PC, and the beneficial ownership interest in all draws related to such other home equity lines of credit as well as any draws on the HELOCs other than the mortgage loans will be represented by participation certificates other than the 23-HE1 PC. These other participation certificates may become subject to securitizations separate from this securitization transaction.

The 23-HE1 PC will be entitled to distributions from the HELOCs and will be responsible for a portion of certain expenses and transaction party fees related to the HELOCs based on the funded participation percentage of the 23-HE1 PC as of the relevant date of determination. The funded participation percentage for the 23-HE1 PC with respect to any HELOC will be calculated as the unpaid principal balance of the mortgage loan as a percentage of the aggregate outstanding unpaid principal balance of all draws related to a particular HELOC (including those that are not allocated to the 23-HE1 PC). The funded participation percentage with respect to the 23-HE1 PC will change from time to time to the extent JPMMAC on behalf of the participation agent funds additional draws with respect to HELOCs related to the 23-HE1 PC. Such additional draws on such HELOCs will initially be added to the JPM PC.

Participation interests in such draws may also be allocated from the JPM PC to other participation certificates which may be sold in connection with securitization transactions other than the securitization transaction involving the issuing entity. Principal payments on the HELOCs are allocated among all draws outstanding on a HELOC on a pro rata basis, based on the related funding participation percentage. Although a borrower may repay an amount equal to the unpaid principal balance of the mortgage loans as of the cut-off date, to the extent such borrower has requested additional draws on a HELOC after the cut-off date prior to repaying the outstanding principal balance of such HELOC as of the cut-off date, the principal balance of the certificates may not amortize as rapidly as would have otherwise been expected in connection with any prepayment on the HELOCs. This is because collections on the HELOCs are allocated among the participation certificateholders with an interest in such HELOC pro rata based on their funded participation percentages, rather than on a first-in first-out basis.

The allocation of participation interests related to the HELOCs among various securitization transactions and the JPM PC will also affect the allocation of voting rights to the issuing entity and control rights with respect to the HELOCs and will result in shared rights among the issuing entity and any other participation certificateholders with an interest in a particular HELOC. Participation certificateholders with an interest in the HELOCs will have rights similar to those of the holder of the 23-HE1 PC to initiate the enforcement of repurchase obligations and the initiation of an auction in connection with a charged-off loan. There can be no assurance that the interests of any other participation certificateholder with an interest in the HELOCs will be aligned with the interests of the issuing entity or the certificateholders. See "*HELOC Representations and Warranties*," "*Description of the 23-HE1 PC—Voting Interests*," "*Description of the Certificates—Voting Interests*," and "*Servicing of the HELOCs—Servicing with respect to the HELOCs—Charged-off Loans*" in this Memorandum.

Risks Primarily Related to the Certificates

The COVID-19 Outbreak May Adversely Affect the Performance, Liquidity and Market Value of Your Certificates

In early 2020, a global outbreak of a novel coronavirus and a related respiratory disease ("COVID-19") spread throughout the world, including the United States, causing a global pandemic. The COVID-19 outbreak and resulting emergency measures imposed by governments and the private sector led (and may continue to lead) to significant disruptions in the global supply chain, global capital markets, the economy of the United States and the economies of other nations, as well as extreme volatility in the stock market.

One of the first federal responses to the COVID-19 outbreak, the Coronavirus Aid, Relief, and Economic Security Act (the "CARES Act") provided wide-reaching protections for homeowners experiencing financial difficulties due to the COVID-19 outbreak. The provisions of the CARES Act included forbearance programs and policies for borrowers of federally backed mortgage loans, regardless of delinquency status, to request and obtain loan forbearance for up to a six-month period, which could be extended for another six-month period if requested by the borrower. In addition to rights to request and receive forbearance, the CARES Act also provided for a suspension of furnishing negative consumer credit information during an accommodation, including a forbearance, deferral, modification or other assistance or relief related to COVID-19. Many of the provisions of the CARES Act formed the basis for mortgage loan servicers' responses to the COVID-19 outbreak for non-federally guaranteed mortgage loans such as the HELOCs included in this transaction. Subsequent to the passage of the CARES Act, additional laws were passed by Congress that provided similar relief to that included in the CARES Act.

In addition, some states and local jurisdictions implemented requirements relating to payment forbearance and other relief, and moratoriums on foreclosures and evictions in efforts to lessen the impact that COVID-19 had on Americans' income and ability to pay their monthly mortgage and rent obligations (including in states where mortgaged properties securing the HELOCs are located). The state and local requirements have prevented some borrowers from evicting certain tenants who are not current on their monthly payments of rent and who qualify for relief under an eviction moratorium, which may present a greater risk that the borrower will stop making monthly payments on the HELOCs. While these moratoria have generally expired, any future moratoria or bans could adversely impact the cashflow on the HELOCs and the related mortgage loans and therefore the performance of the offered certificates.

On June 28, 2021, the Consumer Financial Protection Bureau ("CFPB") issued a final rule (the "2021 Mortgage Servicing COVID-19 Rule") amending the Real Estate Settlement Procedures Act ("RESPA") and Regulation X with the stated intent to seek to help prevent impending foreclosure actions as various emergency COVID-19 related foreclosure protections expire. The 2021 Mortgage Servicing COVID-19 Rule only applies to a mortgage loan secured by the borrower's principal residence, and as such, generally does not apply to investment properties or second homes. The 2021 Mortgage Servicing COVID-19 Rule became effective on August 31, 2021. The 2021 Mortgage Servicing COVID-19 Rule includes temporary provisions that: (i) temporarily require special

COVID-19 procedural safeguards and generally prohibits servicers from starting foreclosure until after December 31, 2021, with certain limited exceptions, (ii) provide servicers the ability to offer borrowers certain COVID-19-related streamlined loan modifications without a complete loss mitigation application, with certain limitations in place to protect borrowers who enter into a streamlined loan modification, (iii) until October 1, 2022, amended the early intervention obligations to help ensure that servicers communicate timely and accurate information to certain delinquent borrowers regarding their loss mitigation options, and (iv) establish timing requirements for when servicers must renew reasonable diligence efforts to obtain complete loss mitigation applications from certain borrowers. The 2021 Mortgage Servicing COVID-19 Rule's temporary restrictions on foreclosure and other requirements to provide additional information (to the extent applicable to the HELOCs) could delay or adversely impact the servicer's ability to manage loss mitigation strategies and therefore affect the cashflow on the applicable HELOCs or the offered certificates.

In response to the COVID-19 outbreak, many state and local governments adopted a number of emergency measures and recommendations, including imposing travel bans, "shelter in place" restrictions, curfews, cancelling events, banning large gatherings, closing non-essential businesses, and generally promoting social distancing (including in the workplace, which has resulted in a significant increase in employees working remotely). While almost all of these measures have been rescinded, any similar future actions may adversely affect the market value of the certificates.

In the event of further COVID-19 outbreaks or the spread of more contagious and/or more deadly COVID-19 variants, it is unclear whether the same mitigation or containment measures taken by various governments (including at the federal, state and local level) or private enterprises will be reimplemented and the degree to which such measures will be applied, or if different measures will be implemented, and what impact such measures will have on the national or global economy.

There is little certainty as to when and to what extent the United States economy will fully recover from the disruption caused by the COVID-19 outbreak, especially as new variants continue to appear. The disruption and volatility in the credit markets may continue for an extended period or indefinitely. The risk factor disclosure contained in this Memorandum related to the occurrence and consequences of the 2008 financial crisis and other similar economic crises, should be considered by investors also as potential consequences of the COVID-19 outbreak, any of which could significantly and adversely affect payments on the HELOCs and the related mortgage loans and, consequently, distributions on the offered certificates.

Furthermore, as a result of the measures discussed above, many organizations (including banks, trustees, servicers, courts and federal and state agencies) have either closed or implemented policies requiring their employees to work at home. Such remote working policies are dependent upon a number of factors to be successful, including communications, internet connectivity and the proper functioning of information technology systems, all of which can vary from organization to organization. As a result, such closures and remote working policies may lead to delays in otherwise routine functions that are not foreseeable at this time, including routine support functions on securitization transactions. The disruption in day-to-day business activities may also have an impact on the ability of parties to this transaction to perform their responsibilities. If any transaction party or other relevant party (such as the securities administrator, the participation registrar, any originator, any servicer, the owner trustee, the participation owner trustee or any other transaction party) is unable to adequately perform its obligations due to a remote working environment, this may adversely impact the performance of the mortgage loans and the timing and amount of distributions on the certificates.

The secondary market for mortgage-backed securities may experience extremely limited liquidity and such conditions could continue or worsen in the future. Recent volatility in the mortgage-backed securities market as a result of the COVID-19 related-economic disruptions could similarly result in liquidity issues. Limited liquidity in the secondary market for mortgage-backed securities could adversely affect a certificateholder's ability to sell its certificates or the price such certificateholder receives for such certificates and may continue to have a severe adverse effect on the market value of mortgage-backed securities such as the certificates, especially those that are more sensitive to prepayment or credit risk.

To the extent that borrowers of the HELOCs become unemployed or have their wages reduced, delinquencies on the HELOCs could increase and may adversely affect payments on the related HELOCs, and as a result, the mortgage loans, which, in turn, could result in delays in distributions on, or potential losses in respect of, the offered certificates. Borrowers experiencing unemployment, or reduced employment, may be unable to (x) make their monthly payments of principal and interest on their HELOCs, (y) refinance their HELOCs, and (z) sell their mortgaged properties for an amount sufficient to pay off the principal balance of their HELOCs. Borrowers may also prioritize payment obligations other than their HELOCs if they experience, or anticipate experiencing, a loss in wages or employment. Borrowers may also request forbearance or other modifications from servicers.

Any of the circumstances concerning COVID-19 described above or elsewhere in this Memorandum could have an adverse impact on (i) the ability of borrowers to make timely payments on their HELOCs and (ii) the mortgage and financial markets in general, either of which in turn may also have an adverse impact on the performance, liquidity and market value of the certificates.

The Certificates May Not Be a Suitable Investment for You and Are Subject to Significant Transfer Restrictions

The certificates are not suitable investments for all investors. In particular, you should not commit to purchase any class of certificates unless you understand and are able to bear the complex prepayment, credit, liquidity, market event and counterparty risks associated with that class of certificates. There will not be any active secondary market for the certificates. The certificates will not be listed on any exchange, and no party to the transaction intends or is obligated to list the certificates on any exchange or to quote them in an automated quotation system of any registered securities organization.

As described below in more detail in this section of the Memorandum, the yields to maturity and the amount and timing of distributions on the certificates are subject to material variability from period to period and over the life of the certificates. The interaction of the following factors and the other factors described in this Memorandum and their effects are impossible to predict and will change over time. As a result, an investment in the certificates involves substantial risks and uncertainties and should be considered only by sophisticated institutional investors with substantial investment experience with similar types of securities and who have conducted appropriate diligence.

The certificates are being offered in a private placement to (a) "qualified institutional buyers" within the meaning of Rule 144A of the Securities Act and (b) other than with respect to the Regulation S restricted certificates, non-U.S. persons outside the United States pursuant to the requirements of Regulation S under the Securities Act, and will not be registered under the Securities Act or any state or foreign securities or "blue sky" laws, and no party is obligated to register the certificates under the Securities Act or any such other laws. No transfer or sale of the certificates offered hereby will be made unless such transfer is not subject to registration under the Securities Act or any applicable state securities laws, and is made in accordance with the other restrictions on transfer described in this Memorandum. As a result, certificates may be resold or transferred only to (a) "qualified institutional buyers" as defined in Rule 144A under the Securities Act or (b) other than with respect to the Regulation S restricted certificates, non-U.S. persons outside the United States pursuant to the requirements of Regulation S under the Securities Act and, in each case, in compliance with the Securities Act. The certificates are subject to additional restrictions on transfer as described under "*Description of the Certificates—Form of the Certificates,*" "*—Limitations on Transfers of Certificates*," "*ERISA Matters*" and "*Notice to Investors*," and the Class A-R Certificates are subject to additional restrictions generally described under "*Certain Federal Income Tax Consequences—Noneconomic Class A-R Certificates*" in this Memorandum.

Investors Are Receiving No Assurance, Guarantee or Representation and Should Make Their Own Determinations and Seek Independent Advice

None of the participation certificate seller, the depositor, the issuing entity, the initial purchasers, the securities administrator, the participation registrar, any originator, any servicer, the owner trustee, the participation owner trustee, any sponsor, any other transaction party, or any of their respective affiliates makes any assurance, guarantee or representation as to the expected or projected success, return, timing or amount of payments, performance result, effect, consequence or benefit (including legal, regulatory, tax, financial, accounting, regulatory capital, legal investment or otherwise) to any investor of ownership of any class of the certificates, and none of the foregoing will have a fiduciary relationship with respect to any investor or prospective investor in the certificates.

No investor may rely on any such party for a determination of expected or projected success, return, performance result, effect, consequence or benefit (including legal, regulatory, tax, financial, accounting or otherwise) with respect to any investor in connection with its ownership of the certificates. Each certificateholder will be required or deemed to represent that, among other things, it has consulted with its own legal, regulatory, tax, business, investment, financial and accounting advisors regarding investment in the certificates as it has deemed necessary and that the investment by it is within its powers and authority, is permissible under applicable laws governing such purchase, has been duly authorized by it and complies with applicable securities laws and other laws and regulations.

The Class B-4 Certificates Are Subject to Substantial Risks

To the extent not covered by monthly excess cashflow, the Class B-4 Certificates are the most subordinate class of certificates and will bear realized losses allocated to the mortgage loans and any certificate writedown amounts prior to any other class of certificates. Holders of the Class B-4 Certificates should expect that the Class B-4 Certificates will suffer from realized losses and/or certificate writedown amounts.

In addition, participation interest distributions will be reduced by any participation aggregate expense fees. Interest distributions and amounts that would otherwise be available to pay interest on the certificates (other than the principal only certificates and the excess servicing certificates) will be reduced by any aggregate expenses fees. See *"Fees and Expenses of the Issuing Entity"* in this Memorandum. Because the Class B-4 Certificates are the most subordinate certificates entitled to principal remittance amounts, this may cause the principal remittance amount available to pay principal on the Class B-4 Certificates to be reduced to zero for an extended period of time if a number of HELOCs related to the mortgage loans are delinquent, which may result in additional certificate writedown amounts.

The Certificates Lack SMMEA Eligibility and May Lack Liquidity, Which May Limit Your Ability to Resell the Certificates

As of the closing date, the certificates do not constitute "mortgage related securities" for purpose of the Secondary Mortgage Market Enhancement Act of 1984, as amended ("SMMEA"). Accordingly, many institutions with legal authority to invest in SMMEA-eligible securities will not be able to invest in the certificates, thereby limiting the market for such certificates. In light of those risks, you should consult your own counsel as to whether you have the legal authority to invest in non-SMMEA-eligible securities such as the certificates. See "*Legal Investment Considerations*" in this Memorandum.

Turbulence in the Financial Markets, the Mortgage Market and the Economy Is Likely to Adversely Affect the Performance and Market Value of Your Certificates, and These Conditions May Not Improve

Although there has been improvement in recent years, market and economic conditions during certain years in the recent past, in particular the period between 2008 and the years immediately thereafter, caused significant disruption in the credit markets, including the general absence of investor demand for and purchases of residential mortgage-backed securities ("RMBS") and other structured finance products. Among other things, future outbreaks of COVID-19 or its variants and recent increases in interest rates, may lead to recessions and/or real estate bubbles, which could be deeper than the recession caused by the financial crisis or the initial recession caused by the COVID-19 outbreak, and may result in a decline in property values. Continued concerns about the availability and cost of credit, the U.S. mortgage market, some real estate markets in the U.S., the systemic impact of inflation or deflation, energy costs, geopolitical issues and economic conditions in the United States, Europe and Asia as well as the impact of COVID-19 (as further described under "*—The COVID-19 Outbreak May Adversely Affect the Performance, Liquidity and Market Value of Your Certificates*") generally have contributed to increased market volatility and diminished growth expectations for the U.S. economy. Increased market uncertainty and instability in both U.S. and international capital and credit markets, combined with declines in business and consumer confidence and increased unemployment, have contributed to volatility in domestic and international markets.

On February 24, 2022, Russian-led military forces attacked and invaded multiple regions of Ukraine. The country members of the North Atlantic Treaty Organization ("NATO") and other countries have and may in the future provide weapons and other supplies to Ukraine, and the conflict may widen into other countries joining the conflict directly or indirectly. Members of NATO and other countries have imposed certain sanctions, bans and other measures on Russia, Russian banks and other entities and individuals and on certain Russian commodities. Russia has also imposed sanctions. Businesses are also cutting or limiting ties with Russian business entities. The conflict and resulting sanctions and other measures has led and may lead to further global supply issues, increased oil and gas prices and other inflationary pressures, as well as significant market volatility. The sanctions and other actions may have an adverse impact on the central banks and economies of other countries. It is uncertain at this time what future impact the Russo-Ukrainian War will have on the economy, the financial markets and the value of the offered certificates.

As a result of these market conditions, regulatory changes and other factors, the cost and availability of credit has been and in the future is likely to be adversely affected by illiquid credit markets and wider credit spreads. Concern about the stability of the markets and the creditworthiness of counterparties has led many lenders and institutional investors to reduce, and in some cases cease, lending to certain borrowers. Continued turbulence in the U.S. and international markets and economies would be likely to negatively affect the U.S. housing market and the credit performance and market value of residential mortgage loans and related securities.

Particular uncertainty persists regarding the prospects for growth in the U.S. economy, and a number of factors have contributed to this uncertainty, including high structural underemployment, rising government debt levels, prospective Federal Reserve policy shifts, the withdrawal of government interventions into the financial markets, changing U.S. consumer spending patterns, the decline in fossil fuel prices and the negative impact on oil, gas and coal-producing areas, pending and recently implemented regulations (including with respect to asset-backed securitization), political instability, and changing expectations for inflation and deflation. Income growth and employment prospects affect borrowers' ability to repay mortgage loans, and there is risk that economic activity could be weaker than anticipated.

Prior to Congress' approval to increase the debt ceiling in June 2023, the total amount of money that the U.S. government was authorized to borrow to meet its existing legal obligations, including social security and Medicare benefits, military salaries, interest on the national debt, tax refunds and other payments, was about $31.4 trillion. The debt limit does not authorize new spending commitments, but simply allows the U.S. government to finance existing legal obligations. Prior to the most recent debt ceiling legislative package, a failure to increase the debt limit would have caused the government to default on its legal obligations and could have triggered a spike in interest rates, a drop in stock prices and potentially precipitated another financial crisis that would have threatened the global economy. While such a failure was averted, the legislation that was passed only suspended the borrowing limit to January 2025, and it is possible that Congressional approval may be subject to similar delayed negotiations or that the government may fail to find a resolution in time, which would have a severely adverse impact on the U.S. residential housing market and the market value of the certificates.

In addition, after many years of historically low inflation, consumer prices in the United States are experiencing steep increases. The Consumer Price Index for All Urban Consumers, a widely followed inflation gauge published by the Bureau of Labor Statistics, increased by greater than 7.0% during 2021 and remained significantly higher than 2021 throughout 2022. The general effects of inflation on the economy of the United States can be wide ranging, evidenced by rising wages and rising costs of consumer goods and necessities. If a borrower's income growth fails to keep pace with the rising costs of necessary goods, then such borrower may have less funds available to make towards their mortgage payments. The long term effects of inflation on the general economy and on any individual borrower are unclear, and in certain cases, rising inflation may affect a borrower's ability to repay his/her related HELOC, which could negatively impact the certificates.

Potential anti-inflationary steps in the future, coupled with recent macroeconomic trends, may serve to increase the risk of economic recession in the near or intermediate term. Any such developments may be expected to slow the rate of home price increases and may potentially result in declines in domestic home prices in coming years. A decline in property values, or the failure of property values to increase where the outstanding balances of the HELOCs and any other financing on the related mortgaged properties approach or exceed the related property values, may result in higher delinquencies, foreclosures and losses. In addition, declining property values may create an oversupply of homes on the market, which may increase negative home equity. Furthermore, declines in property values may be more severe for HELOCs secured by high cost properties. Investors in the certificates should consider that the ratings of the certificates do not represent a guaranty of the values of the mortgaged properties securing the certificates and certificateholders may incur losses regardless of the ratings.

Moreover, while the United States has recently lifted certain tariffs imposed on imports from foreign countries, it is unknown to what extent any other tariffs will be lifted or if further tariffs will be imposed or increased. Such tariffs could have the effect of, among other things, raising prices to consumers and potentially eliciting reciprocal tariffs, which could slow the global economy. Furthermore, several state and local governments in the United States are experiencing, and may continue to experience, severe budgetary strain. One or more states, territories or significant local governments could default on their debt or seek relief from their debt under the U.S. bankruptcy code or by agreement with their creditors. Any or all of the circumstances described above may lead to further volatility in, or disruption of, the credit markets and adversely affect the value of your certificates. Moreover, other types of events may affect financial markets, such as uncertainty over, and the outcome or effect of, elections, war, revolt, insurrection, armed conflict, terrorism, political conflict, political crisis, natural disasters and man-made disasters. We cannot predict such matters or their effect on the mortgage markets generally, or on the value or performance of the HELOCs, the mortgage loans or your certificates.

Investors should consider that general conditions in the residential real estate and mortgage markets and any changes in those conditions may adversely affect the performance of the HELOCs, the mortgage loans and the performance or market value of the certificates. There can be no assurance that governmental or other actions will improve these conditions. In addition, in connection with all the circumstances described above, you should be aware in particular that:

- such circumstances may result in substantial delinquencies and defaults on the HELOCs and adversely affect the amount of liquidation proceeds allocable to the mortgage loans that the issuing entity would realize in the event of foreclosures and liquidations;

- defaults on the HELOCs may occur in large concentrations over a short period of time, which might result in rapid declines in the value of your certificates;

- the values of the related mortgaged properties may have declined since the HELOCs were originated and may decline following the issuance of the certificates and such declines may be substantial and occur in a relatively short period following the issuance of the certificates, and such declines may occur for reasons largely unrelated to the circumstances of the particular mortgaged property;

- if you desire to sell your certificates, you may be unable to do so or you may be able to do so only at a substantial discount from the price you paid, and this may occur within a relatively short period following the issuance of the certificates and for reasons unrelated to the then current performance of the certificates or the mortgage loans (and if you do sell your certificates at a substantial discount, the price of those certificates could increase substantially in a short time period thereafter);

- if you desire to obtain financing for your certificates, you may be unable to do so or you may be able to do so only at higher interest rates, and this may occur within a relatively short period following the issuance of the certificates and for reasons unrelated to the then current performance of the certificates or the mortgage loans;

- such circumstances may result in increased or decreased prepayment activity with respect to the HELOCs, and as a result, the related Mortgage Loans, which may affect the performance and market value of one or more classes of certificates;

- such circumstances may result in substantial delinquencies on the HELOCs, which may become the subject of modifications, including reductions in the principal balance of the HELOCs, and as a result, the related mortgage loans;

- if the HELOCs default, then the yield on your investment may be substantially reduced notwithstanding that liquidation proceeds may be sufficient to result in the repayment of the principal of and any accrued interest on your certificates; and

- the time periods to resolve defaulted HELOCs may be long, and those periods may be further extended because of borrower bankruptcies, borrower litigation instituted for the purpose of delaying foreclosure or other loss mitigation, court delays due to capacity issues and any federal and state legislative, regulatory and/or administrative actions or investigations.

See also "*—The COVID-19 Outbreak May Adversely Affect the Performance, Liquidity and Market Value of Your Certificates*" for the impact of COVID-19 on the residential real estate and mortgage markets.

In light of the circumstances described above, the risks we describe elsewhere under "*Risk Factors*" in this Memorandum are heightened substantially, and you should review and carefully consider such risk factors in light of such circumstances.

Bank Failures May Adversely Affect the Certificates and Result in Market Disruption

On March 10, 2023, the California Department of Financial Protection and Innovation closed Silicon Valley Bank and appointed the Federal Deposit Insurance Corporation ("FDIC") as receiver, following a major outflow of deposits from Silicon Valley Bank and its failure to raise new capital. On March 12, 2023, the New York State Department of Financial Services closed Signature Bank and appointed the FDIC as receiver after its customers withdrew more than $10 billion in deposits at the bank. Utilizing the systemic risk exception, the FDIC immediately transferred all the deposits and substantially all of the assets of Signature Bank to Signature Bridge Bank, N.A., a full-service bank operated by the FDIC. On March 13, 2023, the FDIC applied the systemic risk exception again and transferred all deposits and substantially all assets of Silicon Valley Bank to Silicon Valley Bridge Bank, N.A., a full-service bank operated by the FDIC.

As a result of the FDIC's application of the systemic risk exception to Silicon Valley Bank and Signature Bank, depositors of such banks are fully insured by the FDIC. On March 20, 2023, the FDIC entered into a purchase and assumption agreement for substantially all deposits and certain loan portfolios of Signature Bridge Bank, N.A., with Flagstar Bank, N.A., a wholly-owned subsidiary of New York Community Bancorp, Inc. Depositors of Signature Bridge Bank, N.A., other than cash depositors related to the digital-asset banking businesses, will automatically become depositors of Flagstar Bank, N.A. On May 1, 2023, the FDIC entered into a purchase and assumption agreement for substantially all deposits and certain loan portfolios of First Republic Bank by J.P. Morgan Chase Bank, N.A.

The failures of Silicon Valley Bank, Signature Bank and First Republic Bank represent some of the largest U.S. bank failures. The failure of such banks has resulted in significant concern regarding the health of other banking institutions and the ability of such institutions to withstand the economic conditions posed by rapidly increasing interest rates including a decline in value of securities and loan portfolios, and it is unclear if there will be additional bank failures. To the extent a failure of a bank at which a servicer's custodial account or the paying agent's distribution account is maintained, such failure could result in a delay or failure by certificateholders to receive the funds held in such accounts and, unless such accounts are subject to certain exceptions, only $250,000 in any such account would be federally insured. Following the announcement of the failures of Silicon Valley Bank and Signature Bank, the yields on United States treasury securities fell significantly as investors sought the safety of government securities over more speculative investments. Although it is not clear at this time what impact such bank failures will have on RMBS, it is possible that the liquidity and market value of the certificates may be adversely affected and that investors may not be able to sell their certificates following the closing date.

Illiquidity in the Mortgage-Backed Securities Market May Adversely Affect the Market Value of Your Certificates

Your certificates will not be listed on any national securities exchange or traded on any automated quotation systems of any registered securities association, and there is currently no secondary market for the certificates. The certificates also have significant transfer restrictions, including the restriction that any purchaser must be a "qualified institutional buyer" as defined in Rule 144A under the Securities Act or, other than with respect to the Regulation S restricted certificates, a non-U.S. person outside the United States pursuant to the requirements of Regulation S under the Securities Act. No representation is made by any transaction party as to what the market value of any certificate will be at any time. In recent years, the RMBS market has experienced greatly reduced liquidity and could continue to experience significant disruptions resulting from reduced investor demand for mortgage loans and mortgage-backed securities, increased investor yield requirements, capital and regulatory requirements, lack of issuance and investor participation in the RMBS market and fluctuating investor confidence. There can be no assurance that a secondary market for the certificates will develop or, if it does develop, that it will continue. Accordingly, you may not have an active or liquid secondary market for your certificates.

In addition, as of the cut-off date, the certificates are backed entirely by participation interests in revolving home equity lines of credit pursuant to which the related borrower may have the ability to make additional draws. To the knowledge of the sponsors, since 2008, there have been very few rated issuances of non-agency mortgage backed securities backed, in part or in whole, by revolving home equity lines of credit. Investors should carefully consider that this may adversely affect the marketability and liquidity of the certificates, and may make it difficult to accurately value the certificates or sell the certificates at an acceptable price (or at all).

It is possible that investors who desire to sell their certificates in the secondary market may find no or few potential purchasers and experience lower resale prices than expected. Investors who desire to obtain financing for their certificates similarly may have difficulty obtaining any credit or credit with satisfactory interest rates which may result in lower leveraged yields and lower secondary market prices upon the sale of the certificates.

We make no representation as to the proper characterization of the certificates for legal investment, regulatory, financial reporting or other purposes, as to the ability of particular investors to purchase the certificates under applicable legal investment or other restrictions or as to the consequences of an investment in the certificates for such purposes or under such restrictions. However, the following are examples of statutory and regulatory developments that may adversely affect the ability of particular investors to hold or acquire RMBS or the consequences to them of an investment in RMBS and, thus, the ability of investors in the certificates to resell their certificates in the secondary market.

- Investors should be aware, and in some cases are required to be aware, of the requirements that apply in the European Union (the "EU") and the United Kingdom in respect of investments in securitizations (as defined in the applicable legislation).

  Pursuant to Regulation (EU) 2017/2402 of the European Parliament and of the Council of December 12, 2017 (as amended, the "EU Securitization Regulation") and certain related regulatory technical standards, implementing technical standards and official guidance (together with the EU Securitization Regulation, the "EU Securitization Rules") certain requirements are imposed (the "EU Investor Requirements") with respect to "institutional investors" (as defined in the EU Securitization Regulation), being (subject to certain conditions and exceptions): (a) institutions for occupational retirement provision; (b) credit institutions (as defined in Regulation (EU) No 575/2013, as amended ("CRR"); (c) alternative investment fund managers ("AIFMs") that manage and/or market alternative investment funds in the EU; (d) investment firms (as defined in the CRR); (e) insurance and reinsurance undertakings and undertakings for collective investment in transferable securities ("UCITS"); and (f) management companies of UCITS funds (or internally managed UCITS); and the EU Investor Requirements apply also to certain consolidated affiliates of such credit institutions and investment firms. Each such institutional investor and each relevant affiliate is referred to herein as an "EU Institutional Investor."

  United Kingdom legislation comprising Regulation (EU) 2017/2402, as it forms part of United Kingdom domestic law by virtue of the EUWA and as amended (including by the Securitisation (Amendment) (EU Exit) Regulations 2019) (the "UK Securitization Regulation") and certain related technical standards and guidance (together with the UK Securitization Regulation, the "UK Securitisation Rules") impose certain requirements (the "UK Investor Requirements") with respect to "institutional investors" (as defined in the UK Securitization Regulation), being (subject to certain conditions and exceptions): (a) insurance undertakings and reinsurance undertakings as defined in the FSMA; (b) occupational pension schemes as defined in the Pension Schemes Act 1993 that have their main administration in the United Kingdom, and certain fund managers of such schemes; (c) alternative investment fund managers as defined in the Alternative Investment Fund Managers Regulations 2013 which market or manage alternative investment funds in the United Kingdom; (d) UCITS as defined in the FSMA, which are authorized open ended investment companies as defined in the FSMA, and management companies as defined in the FSMA; and (e) CRR firms as defined in Regulation (EU) No 575/2013 as it forms part of United Kingdom domestic law by virtue of the EUWA; and the UK Investor Requirements apply also to certain consolidated affiliates of such CRR firms. Each such institutional investor and each relevant affiliate is referred to herein as a "UK Institutional Investor."

In this Memorandum: (a) the EU Securitization Regulation and the UK Securitization Regulation are referred to together as the "Securitization Regulations"; (b) the EU Investor Requirements and the UK Investor Requirements are referred to together as the "SR Investor Requirements"; (c) EU Institutional Investors and UK Institutional Investors are referred to together as "SR Institutional Investors"; and (d) a reference to the "applicable" Securitization Regulation or SR Investor Requirements means, in relation to any SR Institutional Investor, as the case may be, the Securitization Regulation or the SR Investor Requirements to which such SR Institutional Investor is subject. In addition, for the purpose of the following paragraph, a reference to a "third country" means (i) in respect of an EU Institutional Investor and the EU Securitization Regulation, a country other than an EU member state, or (ii) in respect of a UK Institutional Investor and the UK Securitization Regulation, a country other than the United Kingdom.

In the case of a securitization in respect of which (as in the case of the transaction described in this Memorandum) each of the originator, the original lender, the sponsor and the securitization special purpose entity (as each such term is defined in the applicable Securitization Regulation) is established in a third country, an SR Institutional Investor is permitted by the applicable SR Investor Requirements to invest in such securitization only if (amongst other things): (i) in each case, it has verified that the originator, sponsor or original lender retains, on an ongoing basis, a material net economic interest in the relevant securitization which, in any event, may not be less than 5%, determined in accordance with Article 6 of the applicable Securitization Regulation, and discloses the risk retention to investors; (ii) in the case of an EU Institutional Investor, it has verified that the originator, the sponsor or the securitization special purpose entity has, where applicable, made available the information required by Article 7 of the EU Securitization Regulation, in accordance with the frequency and modalities provided for in such Article 7; (iii) in the case of a UK Institutional Investor, it has verified that the originator, sponsor or securitization special purpose entity has, where applicable, made available information which is substantially the same as that which it would have made available under Article 7 of the UK Securitization Regulation if it had been established in the United Kingdom, and has done so with such frequency and modalities as are substantially the same as those with which it would have made information available if it had been established in the United Kingdom; and (iv) in each case, it has verified that the originator or original lender grants all the credits giving rise to the underlying exposures on the basis of sound and well-defined criteria and clearly established processes for approving, amending, renewing and financing those credits and has effective systems in place to apply those criteria and processes in order to ensure that credit-granting is based on a thorough assessment of the obligor's creditworthiness.

Failure to comply with the applicable SR Investor Requirements may result in various penalties including, in the case of an SR Institutional Investor subject to regulatory capital requirements, the imposition of a punitive capital charge on the certificates acquired by the relevant SR Institutional Investor.

None of the originators, the participation certificate seller, the sponsors, the depositor or any other party to the securitization transaction described in this Memorandum is required, or intends, to retain an economic interest, to disclose any information, or to take any other action, with regard to such transaction in a manner prescribed or contemplated by the Securitization Rules. In particular, no such person undertakes to take any action for purposes of, or in connection with, compliance by any SR Institutional Investor with any applicable SR Investor Requirement.

Consequently, the certificates may not be a suitable investment for any SR Institutional Investor; and this may, among other things, have a negative impact on the value and liquidity of the certificates, and otherwise affect the secondary market for the certificates.

Prospective investors and certificateholders are responsible for analyzing their own legal and regulatory position; and are encouraged (where relevant) to consult their own legal, accounting and other advisors and/or any relevant regulator or other authority regarding the suitability of the certificates for investment, and, in particular, the scope and applicability of the Securitization Regulations, the information as to such matters included in this Memorandum and their compliance with any applicable SR Investor Requirements.

- Section 939A of the Dodd-Frank Wall Street Reform and Consumer Protection Act (the "Dodd-Frank Act") requires the U.S. federal banking agencies and other federal regulators to modify their existing regulations to remove any reliance on credit ratings and establish alternative standards of credit-worthiness. As a general rule, national banks are permitted to invest only in "investment grade" instruments, which under pre-existing regulations has been determined based on the credit ratings assigned to these instruments. These national bank investment-grade standards are incorporated into statutes and regulations governing the investing authority of most state banks, and thus most state banks are required to adhere to these same investment grade standards. The primary regulator of national banks (the Office of the Comptroller of the Currency (the "OCC")) revised its regulatory definition of "investment grade" to require a bank's determination regarding whether "the issuer of a security has adequate capacity to meet financial commitments under the security for the projected life of the asset or exposure." While national banks may continue to consider credit ratings, they may not rely exclusively on such ratings and must conduct separate due diligence to confirm the investment grade of the instruments. Likewise, the federal banking regulators adopted amendments to the market risk capital rules to reflect the appropriate capital treatment of debt and securitization positions without reliance on the credit ratings assigned to those instruments. These developments may limit the ability or willingness of national banks to purchase certificates, which in turn may adversely affect the liquidity of the certificates in the secondary market. This could adversely affect your ability to transfer certificates or the price you may receive upon your sale of certificates.

- In connection with agreements reached by the Basel Committee on Banking Supervision ("BCBS") in revising the risk-based capital and leverage requirements set forth in *Basel III: A Global Regulatory Framework for More Resilient Banks and Banking Systems*, including subsequent amendments and consultative papers (together, "Basel III"), the federal banking agencies adopted revisions to the general risk-based capital and leverage guidelines applicable to U.S. banking organizations. The changes to these guidelines generally will cause exposures to RMBS held by U.S. banking organizations to be calculated in a different manner, and in some cases to become subject to risk weights that are higher and, for more subordinated classes of certificates, substantially higher, or otherwise may adversely affect the treatment of RMBS for regulatory capital purposes. This and other changes that are proposed and/or adopted, including the adoption of final rules regarding liquidity coverage ratio, may limit the ability or willingness of banks to purchase RMBS, which in turn may adversely affect the liquidity of the certificates in the secondary market. This could adversely affect your ability to transfer certificates or the price you may receive upon your sale of certificates. The Economic Growth, Regulatory Relief, and Consumer Protection Act (the "EGRRCPA") relaxes (or eliminates) certain risk-based capital and leverage requirements for community banks with less than $10 billion in assets that maintain a certain "community bank leverage ratio" that bank regulators are directed to develop, but the impact and effect of the foregoing on market liquidity is uncertain.

- The Financial Accounting Standards Board adopted changes to the accounting standards for structured products such as the certificates. These changes, or any future changes, may affect the manner in which you must account for your investment in any certificates and, under some circumstances, may require that you consolidate the entire issuing entity on your balance sheet. No representation or warranty is made regarding the treatment of any certificates of the issuing entity for purposes of any accounting standards.

Prospective investors in the certificates should consult their accounting advisors to determine the effect that accounting standards may have on them. The imposition of these standards could affect the ability or willingness of various entities to purchase certificates, which in turn may adversely affect the liquidity of the certificates in the secondary market. This could adversely affect your ability to transfer certificates or the price you may receive upon your sale of certificates.

In addition, future statutory or regulatory developments may further limit the ability or desire of investors in the certificates to resell their certificates in the secondary market. Accordingly, all prospective investors in the certificates should consider the possible effects of legal investment, regulatory capital, accounting, tax and other restrictions and requirements on the liquidity and value of their certificates, whether or not those requirements and restrictions would apply in connection with their initial investments in the certificates or to other investors or prospective investors in mortgage-backed securities. In any event, all prospective investors whose investment activities are subject to legal investment laws and regulations, regulatory capital requirements, or review by regulatory authorities should consult with their own legal, accounting, tax and other advisors in determining whether, and to what extent, the certificates will constitute legal investments for them or are subject to investment or other restrictions, unfavorable accounting treatment, reporting requirements, due diligence requirements, capital charges or reserve requirements.

The SEC has recently amended Exchange Rule 15c2-11, which governs the publication or submission of quotations in the over-the-counter securities markets. On November 30, 2022, the staff of the SEC issued a no-action letter providing interpretive guidance under Exchange Act Rule 15c2-11. This no-action letter superseded a previous no-action letter on the same topic dated December 16, 2021. The November 30, 2022 no-action letter provides that the amended information requirements will not be applicable to certain categories of fixed income securities, including asset-backed securities offered under Rule 144A where the broker or dealer reasonably believes that the issuing entity will provide information as and when required under Rule 144A(d)(4). However, the November 30, 2022 guidance is temporary and expires on January 4, 2025. The amended rule presents certain implementation issues, some of which the SEC staff has attempted to address by the November 30, 2022 guidance. If these implementation issues are not resolved in a timely manner, the amended rule may further restrict the ability or willingness of brokers and dealers to publish quotations on the certificates on any interdealer quotation system or other quotation medium after January 4, 2025, which could have an adverse effect on the development of a secondary market and the liquidity of the certificates. Additionally, the ability of any initial purchaser or any other person to make a secondary market in the certificates may be adversely impacted in the future by the implementation or adoption of other regulatory requirements applicable to the marketing, holding and trading of, and issuing quotations with respect to, the certificates.

Governmental Intervention, Financial Regulatory Reforms and Proposed Regulations Could Have a Significant Impact on the Participation Certificate Seller, the Depositor, the Issuing Entity, the Participation Agent, the Originators, the Servicers or Other Parties or on the Value or Marketability of the Certificates

Disruptions in the global financial markets have led to extensive and unprecedented governmental intervention. Such intervention was in certain cases implemented on an expedited basis, suddenly and substantially eliminating market participants' ability to continue to implement certain strategies or manage the risk of their outstanding positions. In addition, these interventions often have been unclear in scope and application, resulting in confusion and uncertainty which in itself has been materially detrimental to the efficient functioning of the markets as well as previously successful investment strategies.

Recent legislative initiatives and completed and pending regulatory implementation and any uncertainty about the nature and timing of the regulations, including the Dodd-Frank Act and related implementing regulations and recently-adopted and proposed amendments to laws and regulations related to asset-backed securities, may create uncertainty in the credit and other financial markets. Such uncertainty may affect the performance of the transaction parties and may adversely affect the value or marketability of the certificates.

The Dodd-Frank Act and Regulatory Implementation.

In response to the financial crisis, the Dodd-Frank Act was enacted and made sweeping changes to the regulation of financial institutions generally and specifically in connection with their asset-backed securitization businesses. The Dodd-Frank Act required the creation of new federal regulatory agencies, including the CFPB, to regulate consumer financial services and products and the inter-agency Financial Stability Oversight Council to identify, monitor and address emerging systemic risks posed by the activities of financial services firms and make recommendations to the Federal Reserve to alleviate that risk. The law also provided for enhanced regulation of derivatives and mortgage-backed securities offerings, restrictions on executive compensation and enhanced oversight of credit rating agencies. The Dodd-Frank Act also limited the ability of federal laws to preempt state and local consumer laws.

Several provisions of the Dodd-Frank Act are required to be implemented through rulemaking by the applicable federal regulatory agencies, and some of this rulemaking has yet to occur. Therefore, the full impact of financial regulatory reform on the financial markets and its participants and on the asset-backed securities market in particular is not known and may not be known for some time. No assurance can be given that the Dodd-Frank Act and its implementing regulations, or the imposition of additional regulations or removal of existing regulations, will not have a significant adverse impact on the value of the certificates, on the servicing of the HELOCs or on the participation certificate seller, the depositor, the issuing entity, the participation agent, the owner trustee, the participation owner trustee, the originators, the servicers, the securities administrator, the participation registrar or the custodian.

U.S. Credit Risk Retention Rule

In October 2014, various federal regulators adopted rules under the Dodd-Frank Act regarding credit risk retention that, among other things, require securitizers of RMBS and other asset-backed securities to initially retain at least 5% of the credit risk of the assets underlying the securities, subject to certain exemptions and exclusions. The credit risk retention rules became effective for asset-backed securities issued on or after December 24, 2015. There is still uncertainty with respect to certain interpretive issues. If the retaining sponsor fails to comply with these rules it is likely to have an adverse effect on the liquidity and market value of the certificates.

In accordance with these requirements, a majority-owned affiliate of the retaining sponsor will retain an eligible horizontal residual interest equal to not less than 5% of the fair value of the certificates (other than the Class A-R Certificates) as determined using a fair value measurement framework under GAAP. See "*Credit Risk Retention*" in this Memorandum. In addition, any initial purchaser, or one of its affiliates, may provide secured financing of the offered certificates retained by the retaining sponsor. Such financing will be full recourse to the retaining sponsor and otherwise in accordance with the credit risk retention rules. In the event there is an event of default under such secured financing, the retained offered certificates may be subject to foreclosure and the retaining sponsor may become out of compliance regulation RR. At this time, it is unclear what effect a failure of the retaining sponsor to be in compliance with regulation RR at any time will have on the market value or liquidity of the offered certificates.

Investment Company Act/Volcker Rule

The issuing entity will be relying on an exclusion or exemption under the Investment Company Act contained in Rule 3a-7 of the Investment Company Act, although there may be additional exclusions or exemptions available to the issuing entity. The issuing entity is being structured so as not to constitute a "covered fund" for purposes of the regulations adopted to implement Section 619 of the Dodd-Frank Act (such statutory provision together with such implementing regulations, the "Volcker Rule"). The Volcker Rule generally prohibits "banking entities" (which is broadly defined to include U.S. banks and bank holding companies and many non-U.S. banking entities, together with their respective subsidiaries and other affiliates) from (i) engaging in proprietary trading, (ii) acquiring or retaining an ownership interest in or sponsoring a "covered fund" and (iii) entering into certain relationships with such funds. Under the Volcker Rule, unless otherwise jointly determined otherwise by specified federal regulators, a "covered fund" does not include an issuer that may rely on an exclusion or exemption from the definition of "investment company" under the Investment Company Act other than the exclusions contained in Section 3(c)(1) and Section 3(c)(7) of the Investment Company Act. However, the EGRRCPA will exempt from the Volcker Rule banking entities with less than $10 billion in assets and trading assets and trading liabilities less than 5% of total assets. The applicable federal regulators recently proposed revisions to the Volcker Rule implementing regulations. The proposed revisions that are related to covered funds are more limited than those that are related to proprietary trading. However, the applicable federal regulators requested comment regarding many aspects of the covered fund restrictions in respect of which revisions were not proposed. It is not clear whether or when any of the proposed revisions, or any other revisions, will be adopted, how any such revisions would be implemented or what effect, if any, any such revisions would have on the certificates or on the participation certificate seller, the depositor, the issuing entity, the participation agent, the owner trustee, the participation owner trustee, the servicers, the custodian or the initial purchasers. Any prospective investor in the certificates, including a U.S. or foreign bank or a subsidiary or other affiliate thereof, should consult its own legal advisors regarding such matters and other effects of the Volcker Rule.

EGRRCPA

The EGRRCPA was signed into law on May 24, 2018, and, among other things, it modifies certain provisions of the Dodd-Frank Act related to mortgage lending, consumer protection, regulatory relief for large banks, regulatory relief for community banks and regulatory relief in securities markets. For example, the EGRRCPA creates a new qualified mortgage compliance option for mortgage loans that depositories with less than $10 billion in assets originate and hold in their portfolio that is less restrictive (including with respect to product-feature restrictions) than the CFPB's current requirements for small creditor portfolio qualified mortgages. In addition, originators that originate fewer than 500 closed-end mortgage loans in each of the preceding two years and fewer than 500 open-end lines of credit in each of the preceding two years will be exempt from certain reporting requirements under the Home Mortgage and Disclosure Act, many of which were implemented by the Dodd-Frank Act. The EGRRCPA will also relax or eliminate so-called "enhanced regulation" of banks falling into certain ranges of asset value and, as described herein, will impact the application of the Volcker Rule and Basel III to certain banks.

Amendments to Regulation AB

In August 2014, the SEC adopted rules that substantially revise Regulation AB and other rules governing the offering process, disclosure and reporting for asset-backed securities issued in registered transactions. Among other things, as of November 23, 2016, the changes require disclosure of asset-level information at the time of the securitization and on an ongoing basis for RMBS. Revised Regulation AB introduced new shelf eligibility requirements for depositors, including a requirement that the chief executive officer of the depositor or the chief executive officer in charge of securitization for the depositor deliver a certification with respect to the prospectus and the transaction structure. As required under Section 939A of the Dodd-Frank Act, the new shelf eligibility requirements remove any reliance on investment-grade credit ratings. No assurance can be given that the newly-adopted standards will not be applied by other issuing entities of RMBS relying on the Rule 144A safe harbor, and, if so, what effect (if any) any such issuance will have on the value or marketability of the certificates since this transaction does not comply with all of the requirements imposed by Regulation AB or Form SF-3 on shelf-registered issuances of asset-backed securities.

Certain elements of proposed Regulation AB remain outstanding, including the proposal conditioning reliance by issuers of structured finance products (including RMBS) on the Rule 144A and Rule 506 safe harbors on the inclusion of provisions in the transaction documents requiring an issuer to provide, and represent that it will provide, on request, the same initial and ongoing information (including asset-level information) as would be required if the offering were a registered offering. It is not clear when or whether any of the proposed revisions to Regulation AB that remain outstanding will be adopted or how those standards will be implemented, what effect those standards will have on outstanding securitization transactions and to what extent the participation certificate seller, the depositor, the issuing entity, the participation agent, the owner trustee, the participation owner trustee, the originators, the servicers, the securities administrator, the participation registrar or the custodian will be affected. No assurance can be given that the proposed standards, if implemented, will not apply to this transaction or have an adverse impact on the value or marketability of the certificates.

Other Dodd-Frank Provisions

There have been a number of lawsuits alleging that the organizational structure of the CFPB violates the separation of powers provisions found in the United States Constitution. In May 2019, the United States Court of Appeals for the Ninth Circuit held in *Consumer Financial Protection Bureau v. Seila Law LLC* that the organizational structure of the CFPB is constitutional. However, on June 29, 2020, the Supreme Court of the United

States held on appeal that the structure of the CFPB violates the separation of powers provisions of the United States Constitution, and that, even though the CFPB may continue to operate, the Director of the CFPB must be removable by the President at will. Most recently, on October 19, 2022, the United States Court of Appeals for the Fifth Circuit held in Community Financial Services Association of America v. Consumer Financial Protection Bureau that the CFPB's funding structure is unconstitutional as the funding mechanism violates the separation of powers doctrine and CFPB funding requires congressional appropriation. While the CFPB has appealed this ruling to the Supreme Court of the United States, if affirmed, this decision could conceivably threaten all of the CFPB's actions since its inception. Furthermore, legislative proposals remain in Congress which, among other proposed amendments to the Dodd-Frank Act, would significantly reform the CFPB's structure, authority, and/or mandate. As a result of these judicial and legislative actions, there is, and will continue to be, uncertainty regarding the nature of the going-forward impact of the Dodd-Frank Act and the CFPB on the residential mortgage lending and mortgage-backed securities markets.

In general, compliance with applicable law and regulations is likely to be costly because new processes, forms, controls and additional infrastructure are usually required to comply with new requirements. Any failure to comply with these laws and regulations could result in significant statutory civil and criminal penalties, monetary damages, attorneys' fees and costs, possible revocation of licenses and damage to reputation, brand and valued customer relationships. This could have an adverse effect on the market value of your certificates. In particular, HELOCs originated in violation of TILA expose subsequent purchasers of such HELOCs (including the participation agent) to liability in respect of such violations.

In addition, proposals to change the laws and regulations governing the banking and financial services industries have been proposed or adopted by, and are frequently introduced in, the U.S. Congress, state legislatures and the various bank regulatory or financial regulatory agencies. The U.S. Congress and the federal government have continued to evaluate and develop legislation, programs and initiatives designed to, among other things, stabilize the financial and housing markets and prevent future financial crises by further regulating, or in other cases, deregulating, the financial services industry. As a result of the financial crisis and the challenging economic environment, additional regulatory scrutiny of the financial industry in general and a particularly high level of regulatory scrutiny of residential mortgage loan securitizers, originators and servicers are expected to continue. This scrutiny may result in additional regulation that could prohibit or discourage the use of foreclosure as a remedy for certain residential mortgage loan defaults or otherwise adversely affect the timeliness and amount of collections that the servicers are able to realize on the HELOCs. It is not clear whether and when the final form of proposed programs or initiatives or any related legislation or regulation will go into effect, or the impact they may have on the participation certificate seller, the depositor, the issuing entity, the participation agent, the originators, the servicers or any successor servicer and on the market value of the certificates.

Various legislative and regulatory changes have been proposed which may substantially revise or repeal the foregoing laws and regulations. In addition, other proposals may substantially and fundamentally affect the housing market. It is unclear which proposals will be adopted. The effects of such proposals on the housing market and the value of your certificates are unknown and could include substantial drops in the housing market or speculative housing bubbles caused by an increase in speculative investing in residential real estate or a rapid increase in the purchases of residential homes.

In addition, other proposals, such as the adoption of prohibitions contained in the original Glass-Steagall Act or similar prohibitions, could substantially affect the financial markets and the banking industry, which in turn, would likely affect the housing market and the liquidity and market value of your certificates.

Changes to the Federal Income Tax Laws Could Have an Adverse Impact on the Certificates

Federal income tax laws and regulations, as well as the administrative interpretations of those laws and regulations, are regularly under review and may be changed at any time, possibly with retroactive effect. No assurance can be given as to whether, when, or in what form the federal income tax laws applicable to an investment in the offered certificates may be enacted. We cannot predict whether, when or to what extent new federal income tax laws, Treasury regulations, interpretations or rulings will be issued, the impact of those on the housing market or the certificates or the long-term impact of recently enacted tax reforms. Prospective investors are urged to consult their tax advisors prior to purchasing the certificates.

No Gross Up in Respect of the Certificates

It is not expected that any withholding tax would be imposed on the distributions of interest or principal of the offered certificates to a certificateholder that provides the appropriate forms and documentation to the securities administrator (including the information required under the Foreign Account Tax Compliance Act ("FATCA")) including with respect to cap carryover amounts received by a certificateholder so long as the arrangement under which such any cap carryover amounts are deemed paid is respected as a notional principal contract for federal income tax purposes (see "*Certain Federal Income Tax Consequences—Additional Considerations for the NPC Certificates*" and "*—Foreign Persons*" in this Memorandum). However, the issuing entity cannot assure you that, as a result of any change in any applicable law, treaty, rule or regulation, or interpretation of any applicable law, treaty, rule or regulation, the distributions on the offered certificates or with respect to any cap carryover amounts (or any deemed payments in respect of cap carryover amounts) will not in the future become subject to withholding taxes. To the extent that any U.S. withholding tax is imposed, neither the issuing entity nor any other party will have an obligation to make any "gross-up" payments to certificateholders in respect of such taxes and such withholding tax would therefore result in a shortfall to affected certificateholders.

The United Kingdom's Withdrawal from the European Union and Downgrade of Ratings of Sovereigns May Adversely Affect the Market Value of the Certificates

The global markets have seen an increase in volatility due to uncertainty surrounding the level and sustainability of sovereign debt of certain countries that are part of the European Union, as well as the sustainability of the European Union itself. On January 30, 2020 the United Kingdom formally left the European Union and following a transition period ceased to be part of the EU Single Market, Customs Union and trade deals on December 31, 2020. On December 30, 2020 a Trade and Cooperation Agreement (the "Trade and Cooperation Agreement") was executed on behalf of the European Union and the United Kingdom. The Trade and Cooperation Agreement was approved on December 30, 2020 by the United Kingdom parliament and received royal assent and passed into law in the United Kingdom on December 31, 2020. The Trade and Cooperation Agreement remains to be formally approved by the European Parliament but pending such approval is being provisionally applied from January 1, 2021. The Trade and Cooperation Agreement provides for tariff-free trade in goods and limited market access in terms of services. An agreement in relation to financial services remains to be reached.

The withdrawal by the United Kingdom, any delays in the ratification of the Trade and Cooperation Agreement or the interpretation and implementation of the Trade and Cooperation Agreement are likely to lead to legal uncertainty and divergent national laws and regulations, which could adversely affect economic and market conditions in the United Kingdom, in the EU and its member states and elsewhere, and could contribute to uncertainty and instability in global financial markets. In particular, these matters could significantly impact volatility, liquidity and/or the market value of securities, including the certificates.

In response to the economic situation facing the European Economic and Monetary Union, or Eurozone, based on factors including tightening credit conditions, higher risk premiums on Eurozone sovereigns and disagreement among European policy makers as to how best to address the declining market confidence with respect to the Eurozone, on January 13, 2012, S&P downgraded the long-term credit ratings on nine members of the Eurozone, including Austria, Cyprus, France, Italy, Malta, Portugal, Slovakia, Slovenia and Spain. In addition, on April 18, 2013, Fitch downgraded the long-term credit ratings on the United Kingdom and further downgraded such ratings on June 27, 2016. On October 10, 2014, S&P downgraded the long-term credit ratings on Finland and on June 27, 2016, S&P downgraded the long-term credit ratings on the United Kingdom. The preceding sentences do not purport to be a complete description of all ratings actions with respect to various sovereigns as other adverse rating actions may have occurred or may occur in the future.

Several nations, particularly within the EU, are currently suffering from significant economic distress. There can be no assurance as to the resolution of the economic problems in those countries, nor as to whether such problems will spread to other countries or otherwise negatively affect economies or markets. A downgrade of ratings of any sovereign nation, a debt default by a sovereign nation or other potential consequences of these economic problems may trigger additional crises in the global credit markets and overall economy which could have a significant adverse effect on the market value and liquidity of fixed-income instruments generally, including the certificates.

Changes in the Market Value of the Certificates May Not Be Reflective of the Performance or Anticipated Performance of the HELOCs related to the Mortgage Loans Underlying the Certificates

The market value of the certificates can be volatile. Market values can change rapidly and significantly, and changes can result from a variety of factors. However, a decrease in market value may not necessarily be the result of deterioration in the performance or anticipated performance of the HELOCs related to the mortgage loans underlying the certificates. For example, changes in interest rates, Federal Reserve policy, adverse events with respect to the transaction parties, perceived risk, supply and demand for similar or other investment products, ratings criteria, applicable law, accounting standards, capital requirements that apply to regulated financial institutions, and other factors that are not directly related to the HELOCs related to the mortgage loans underlying the certificates can adversely and materially affect the market value of the certificates.

In particular, the market value of the certificates may decline as a result of changes in interest rates. The weighted average lives of the certificates are likely to be extended in the event the general level of interest rates increase, as an increase in the general level of interest rates, to the extent mortgage rates also increase, generally prevents or acts as a disincentive to the refinancing of the HELOCs by the borrowers and is likely to limit the borrowers' ability to sell their homes or to move to a new location. In addition, an increase in interest rates, to the extent mortgage rates also increase, may result in a decrease in the value of mortgaged properties generally. There can be no assurance that the current level of interest rates will be stable. The rate of any change may be rapid and may result in a substantial decline in the value of the certificates, even in the absence of losses on the HELOCs and the related mortgage loans.

The Rate of Principal Payments, Including Principal Prepayments, on the HELOCs Will Affect the Yields on the Certificates

The rate of distributions of principal and the yields to maturity on the certificates will be directly related to, among other things, (i) the rate and timing of monthly payments of principal, remaining months in the related draw periods, and principal prepayments (for this purpose, the term "principal prepayment" includes prepayments received in the related prepayment period and any other recovery of principal in advance of the scheduled due date, including payments received in connection with the repurchase of a HELOC (or payment of a loss amount) and payments received in connection with HELOC liquidations due to default, casualty, condemnation or otherwise) on the applicable HELOCs, (ii) additional draws on the HELOCs and (iii) the amount and timing of defaults by borrowers that result in losses on the applicable HELOCs. All of the mortgage loans relate to HELOCs that are permitted to be prepaid in whole or in part at any time without payment of a prepayment penalty. The principal payments on the HELOCs may be in the form of scheduled principal payments or principal prepayments. Any of these prepayments will result in distributions to you of amounts that would otherwise be distributed over the remaining term of the applicable HELOCs. You must make your own decisions as to the appropriate prepayment and default assumptions to be used when purchasing certificates.

Principal payments, including principal prepayments, on the HELOCs and principal distributions on the certificates will be affected by the following, among other things:

- the amortization schedules of the HELOCs;
- the rate of partial prepayments and full prepayments by borrowers due to refinancing, job transfer, changes in property values or other factors;
- liquidations of, or modifications in reduction of the principal balance of, HELOCs;
- the time it takes for defaulted HELOCs to be modified or liquidated;
- the availability of loan modifications for delinquent or defaulted HELOCs;
- repurchases of HELOCs (or payment of a loss amount) by the related representing party as a result of defective documentation or breaches of representations or warranties;

- repurchases of HELOCs by the participation depositor in connection with certain payment defaults related to the first three monthly payments after loan origination that are payable on a HELOC;

- additional draws made by borrowers on the HELOCs;

- relief measures promulgated by federal and state governments designed to suspend payments on the HELOCs as a result of a pandemic or any other reason;

- the exercise of due-on-sale clauses by a servicer in connection with transfers of mortgaged properties;

- the optional clean-up call of the 23-HE1 PC on a distribution date following the date on which the aggregate unpaid principal balance of the 23-HE1 PC is less than 10% of the unpaid principal balance of the mortgage loans as of the cut-off date that are allocated to the 23-HE1 PC or the optional redemption of the certificates on the date that is the earlier of (i) three years after the closing date or (ii) the date on which the unpaid principal balance of the 23-HE1 PC is less than or equal to 30% of the unpaid principal balance of the mortgage loans as of the cut-off date that are allocated to the 23-HE1 PC;

- general and targeted solicitations for refinancing by any servicer; and

- the amount, if any, of the closing date substitution amount.

The rate of principal payments, including principal prepayments, on the HELOCs will depend greatly on the level of mortgage interest rates. If prevailing interest rates for similar home equity lines of credit fall below the interest rates on the HELOCs held by the participation agent, the rate of prepayment is likely to increase. Conversely, if prevailing interest rates for similar home equity lines of credit rise above the interest rates on the HELOCs held by the participation agent, the rate of prepayment is likely to decrease. In general, a contraction of the availability of, or an increase in the cost of, credit may decrease refinancing activity, which would be expected to decrease the rate of prepayment even if interest rates are comparably low. However, the expansion of credit could result in an increase in refinancing activity even in a rising interest rate environment if credit standards are relaxed and underwriting guidelines expanded. In addition, the mortgage rate on certain HELOCs (referred to herein as "ACH Mortgage Loans"), may increase pursuant to the terms thereof due to the termination of an automatic debit or direct deposit account, and such increase in the mortgage rate could increase the rate of prepayments on such HELOC.

HELOCs that were originated by correspondents or HELOCs that are serviced by an entity other than the related originator are generally more likely to prepay at higher rates. See "*—Risks Primarily Related to the Mortgage Loans—HELOCs Made by Correspondent Lenders May Present a Greater Risk.*"

No representation is made as to the rate of principal payments, including principal prepayments, on the HELOCs or as to the yield to maturity of any class of certificates. In addition, there can be no assurance that any of the HELOCs will or will not be prepaid prior to maturity. Investors are urged to make an investment decision with respect to any class of certificates based on the anticipated yield to maturity of that class of certificates resulting from its purchase price and the investor's own determination as to anticipated HELOC prepayment and default rates under a variety of scenarios. The extent to which any class of certificates is purchased at a discount or a premium and the degree to which the timing of payments on the class of certificates is sensitive to prepayments will determine the extent to which the yield to maturity of the class of certificates may vary from the anticipated yields.

If you are purchasing certificates (other than the excess servicing certificates, the Class X or the Class A-R Certificates) at a discount, you should consider the risk that if principal payments on the HELOCs and as a result, the applicable mortgage loans, occur at a rate slower than you expected, your yield will be lower than you expected.

With respect to any class of certificates with a pass-through rate based upon, equal to or limited by Net WAC, including the floating rate certificates, the respective pass-through rate (and, accordingly, the yield) on those classes of certificates could (or, in the case of any class of certificates with a pass-through rate based upon or equal to Net WAC, will) be adversely affected by a reduction in the Net WAC applicable to the 23-HE1 PC, which may occur as a result of (i) modifications of defaulted HELOCs which result in a reduction of the related mortgage rate, (ii) HELOCs with relatively high mortgage rates prepaying at a faster rate than HELOCs with relatively low mortgage rates and (iii) trust expenses. The Net WAC may also decrease as a result of the HELOCs being adjustable rate HELOCs, as a result of, among other factors, the dates of adjustment, the gross margins and changes in the applicable index. In addition, even if the applicable index increases, a maximum mortgage interest rate or an applicable periodic rate cap may limit the mortgage interest rate, which could adversely affect the yields on the certificates. Any class of certificates whose interest entitlement for a distribution date is limited by Net WAC, including the floating rate certificates, will be entitled to distribution on any later distribution date of any shortfall caused by such limitation to the extent such class is entitled to cap carryover amounts, as described herein. See "*Summary—The Offered Certificates*" in this Memorandum.

If you are purchasing certificates (other than the Class A-R Certificates) at a premium, or if you are purchasing the Class X Certificates (which are entitled to certain excess amounts) or excess servicing certificates (which have no class principal amount), you should consider the risk that if principal payments on the HELOCs occur at a rate faster than you expected, your yield will be lower than you expected. If you are purchasing the excess servicing certificates or the Class X Certificates, you should consider the risk that a rapid rate of principal payments on the HELOCs could result in your failure to recover your initial investment. See "*Yield, Prepayment and Weighted Average Life*" in this Memorandum.

None of the mortgage loans are related to HELOCs that require the borrower to pay a premium if the borrower prepays (sometimes other than as a result of selling the mortgaged property) the HELOC , which may make a borrower more inclined to prepay the HELOC. The timing of changes in the rate of prepayments may significantly affect the actual yield to you, even if the average rate of principal prepayments is consistent with your expectations. In general, the earlier the payment of principal of the HELOCs, the greater the effect on your yield to maturity. As a result, the effect on your yield of principal prepayments occurring at a rate higher (or lower) than the rate you anticipate during the period immediately following the issuance of the certificates may not be offset by a subsequent like reduction (or increase) in the rate of principal prepayments.

Interest Shortfalls Resulting from Principal Prepayments and the Servicemembers Civil Relief Act and Similar State Laws Will Reduce Distributions of Interest Remittance Amount on the Senior Certificates, the Mezzanine Certificates and Subordinate Certificates and Monthly Excess Cashflow

When a HELOC is prepaid in full, the borrower is charged interest only up to the date on which payment is received, rather than for an entire month. When a borrower makes a partial principal prepayment on a HELOC, the borrower is not charged interest on the amount prepaid for the month in which such principal prepayment was received. The servicers will not be required to cover (i) any shortfall in interest collections that are attributable to prepayments in full or in part on the HELOCs or (ii) shortfalls in interest collections due to the application of the Servicemembers Civil Relief Act (the "Relief Act") or due to the application of any state law providing for similar relief. Any increase in military activities by the United States that requires the use of additional military personnel could increase the risk of such shortfalls.

As a result, distributions on the certificates will be made solely from amounts actually collected or recovered by the servicers in respect of the HELOCs (or the related REO Properties) that are allocated to the mortgage loans, including monthly borrower interest and principal payments and liquidation proceeds or work-out amounts in respect of defaulted HELOCs and charged-off loans, which in each case might be less than the amount of available funds in an instance where transaction parties were required to cover shortfall in interest due to prepayments or the application of the Relief Act.

Participation Trust Expenses and Trust Expenses Will Reduce the Amount Available for Distribution on the Senior Certificates, Mezzanine Certificates and Subordinate Certificates

For each participation distribution date, the participation registrar, as trust paying agent on behalf of the participation agent, will use amounts available from collections on the HELOCs to pay various fees, out-of-pocket expenses and other liabilities of the participation agent, prior to related portion of such amounts allocable to the 23-HE1 PC being available for distribution on the 23-HE1 PC. Fees and expenses of the participation agent include (1) servicing fees, certain custodial fees, participation owner trustee/participation registrar fees, certain costs incurred in connection with the transfer of servicing of mortgage loans and eminent domain expenses and (2) certain costs and expenses of the participation registrar, the servicers, the custodian, the participation owner trustee and payments in respect of indemnification to which the parties to the master participation agreement, any servicing agreement, the participation trust agreement and the custody agreement are entitled. Amounts described in clause (2) of the immediately preceding sentence are subject to the caps as further described in this Memorandum; however, all other amounts described under clause (1) of the immediately preceding sentence are not subject to any cap; provided, however, that the servicing fee payable to SLS for any participation distribution date will not exceed 0.50000% per annum for any HELOC.

For each distribution date, the securities administrator, as paying agent on behalf of the issuing entity, will use amounts available from collections on the 23-HE1 PC to pay various fees, out-of-pocket expenses and other liabilities of the issuing entity, prior to such amounts being available for distribution on the classes of certificates (other than the excess servicing certificates). Fees and expenses of the issuing entity include (1) securities administrator fees and the owner trustee fees and (2) certain costs and expenses of the securities administrator and the owner trustee and payments in respect of indemnification to which the parties to the securitization sale agreement and the trust agreement are entitled. Amounts described in clause (2) of the immediately preceding sentence are subject to the caps as further described in this Memorandum; however, all other amounts described under clause (1) of the immediately preceding sentence are not subject to any cap.

Any capped participation trust expenses incurred will reduce the interest distributed on the 23-HE1 PC and any capped trust expenses and reduction in interest distributed on the 23-HE1 PC will reduce the interest entitlement of the classes of senior certificates, the mezzanine certificates or subordinate certificates and reduce the Class X allocation amount with respect to the Class X Certificates, and on any participation distribution date on which capped participation trust expenses exceed the weighted average net mortgage rate of the HELOCs, and any distribution date on which the capped trust expenses exceed the net WAC of the participation certificate prior to subtracting such capped trust expenses, such excess amount together with any participation trust expenses that are not capped participation trust expenses or trust expenses that are not capped trust expenses, will reduce the interest distributed on the 23-HE1 PC (with respect to participation trust expenses) and will be realized by the holders of the senior certificates, mezzanine certificates and subordinate certificates then outstanding with the lowest distribution priority (other than the Class X Certificates) in reverse order of distribution priority as described in this Memorandum (beginning with the class of subordinate certificates (other than the Class X Certificates)), and such amounts will reduce or eliminate the amount of monthly excess cashflow available for the Class X Certificates.

To the extent the reimbursement of a participation trust expenses or a trust expense results in a shortfall of principal distributed to the 23-HE1 PC and principal distributions to any class of senior certificates, mezzanine certificates or subordinate certificates (other than the Class X Certificates), a certificate writedown amount will be applied with respect to that distribution date. To the extent the reimbursement of a participation trust expense or a trust expense or distribution of interest carryforward amount results in a reduction of monthly excess cashflow, the distribution to the Class X Certificates will be reduced for such distribution date.

Risk of Securities Administrator or Other Transaction Party Holdback

In connection with the recent termination of certain RMBS transactions, the related trustee and one or more other transaction parties have held back a significant portion of the purchase proceeds to cover anticipated post-termination costs and expenses related to their defense of litigation concerning the related trusts. Such holdbacks resulted in the allocation of losses to the certificates of such RMBS transactions at the time of termination. At the time of an optional termination of the issuing entity or an optional redemption, to the extent that the owner trustee or the securities administrator anticipates that it or one or more other transaction parties will be responsible for ongoing expenses following the optional termination of the issuing entity or optional redemption, one of those parties may require in a similar manner that a portion of the optional termination price, optional redemption price or subordinate class purchase price, as applicable, be held back from distribution to the certificateholders, resulting in a loss to certificateholders at the time of termination.

Servicing and Certain Subservicing Transfers May Result in Decreased or Delayed Collections and Losses

Following the occurrence of an event of default under a servicing agreement, the participation agent will remove the defaulting servicer and appoint a successor servicer. The successor servicer will be entitled to reimbursement from the predecessor servicer for its costs of effecting the servicing transfer or from the assets of the participation agent if the predecessor fails to pay. In the event that reimbursement to the successor servicer is made from the assets of the participation agent, that reimbursement will be made prior to distributions on the 23-HE1 PC and will not be subject to any expense cap, and the resulting shortfall will be borne by the certificateholders on the basis of the funded participation percentage as of the date the defaulting servicer is removed. During the pendency of a servicing transfer or for some time thereafter, borrowers may delay making their monthly payments or may inadvertently continue making payments to the predecessor servicer, potentially resulting in delays in distributions on the certificates.

A transfer of servicing involves some risk of disruption in collections due to data input errors, misapplied or misdirected payments, inadequate borrower notification, system incompatibilities and other reasons. As a result, the affected HELOCs are likely to experience increased delinquencies and defaults, at least for a period of time, until all of the borrowers are informed of the transfer and the related servicing records and all the other relevant data has been obtained by the new servicer. There can be no assurance as to the extent or duration of any disruptions associated with the transfer of servicing or as to the resulting effects on the yields on the certificates. Any related losses or shortfalls will be incurred by the holders of classes of the offered certificates as described under "*Description of the Certificates—Priority of Distributions*." In addition, any higher default rate resulting from such transfer may result in an acceleration of prepayments on these HELOCs.

In addition, in connection with any servicing transfer whether following an event of default or otherwise, the servicer to whom servicing is transferred will not be liable for any errors or omissions in the servicing of the related HELOCs (including any errors or omissions in the transfer of such servicing) by any previous servicer.

In August 2014, the CFPB issued a compliance bulletin and policy guidance advising servicers that the CFPB will be carefully reviewing servicers' compliance with federal consumer financial laws applicable to servicing transfers, and that servicers should expect that the CFPB will, in appropriate cases, require servicers to prepare and submit informational plans describing how they will be managing the related risks to consumers. The failure of a servicer or any successor servicer to comply with CFPB guidance or any laws and regulations applicable to the servicing of the HELOCs may result in delays in the collection of payments or realization of proceeds on the HELOCs, including the portion allocable to the mortgage loans, any of which may adversely affect the yields on the certificates.

In addition, the servicing fee for a servicer may need to be increased in order to procure a replacement servicer. The fee payable to SLS as servicer is the sum of various fee types incurred with respect to the related HELOC, and the fee payable to loanDepot as a servicer is based on a fee rate equal to a percentage of the aggregate unpaid principal balance of the related HELOCs serviced by that servicer. A portion of such fee will be allocated to the 23-HE1 PC based on the related funded participation percentage. No assurance can be made that such servicing fees in the future will be sufficient to attract a replacement servicer to accept an appointment and the participation owner trustee will have the right to increase the servicing fee if necessary and appropriate in order to engage a replacement servicer. Any increase in the servicing fee paid to a successor servicer will decrease and possibly eliminate the amount of collections available for distribution to the certificateholders of the excess servicing certificates on a distribution date and could decrease the amount of collections available for distribution on the senior certificates, mezzanine certificates and subordinate certificates (other than the Class B-4 and Class X Certificates) and reduce or eliminate the monthly excess cashflow available to the Class X certificateholders.

It may also be more difficult to find a successor servicer to the related servicer because of the draw mechanics relating to the HELOCs. There can be no assurance as to the extent or duration of any disruptions associated with the transfer of servicing to a successor servicer in the future following the resignation or termination of a servicer or as to the resulting effects on the yields on the certificates.

Under each servicing agreement, the related servicer will have the right to designate subservicers from time to time without the consent or approval of any other person, including the issuing entity (or any party on its behalf) or any certificateholder, and the related servicer will be responsible for its subservicer's fees and expenses. In the event a subservicer engaged by a servicer resigns or is terminated, whether at the discretion of such servicer or for cause, including in connection with events of bankruptcy, insolvency, conservatorship or receivership of the subservicer, the transfer of subservicing to a successor subservicer will disrupt the normal servicing process in the manner described above with respect to a servicing transfer. In addition, there can be no assurance that the related servicer will be able to service the HELOCs or retain one or more subservicers to service the HELOCs. In that event, the certificates are likely to experience reduced liquidity and market values and are more likely to experience losses and delays in distributions. The issuing entity also will have no rights or remedies under the subservicing agreement between the related servicer and the related subservicer, and the related subservicer will only have contractual obligations to the related servicer under the related subservicing agreement, and such subservicer will have no contractual obligation to any of the participation agent, the issuing entity, the securities administrator, the participation registrar, the participation certificate seller or the depositor. Any of the above circumstances may adversely affect the interests of certificateholders.

The increased number of delinquencies, forbearance plans and other loss mitigation activities described above and elsewhere herein may adversely impact servicer performance and could increase the risk that servicing will be required to be transferred.

Limited Source of Distributions—No Recourse to any Transaction Party

The 23-HE1 PC representing participation interests in the mortgage loans will be the sole source of distributions on the certificates. The certificates will not represent an interest in or obligation of the participation certificate seller, the depositor, the initial purchasers, the sponsors, the originators, the servicers, the securities administrator, the participation registrar, the custodian, the owner trustee, the participation owner trustee or any of their respective affiliates, except for a representing party's limited obligations as described in this Memorandum relating to certain breaches of its representations and warranties or the participation depositor's obligation in connection with EPD mortgage loans, and limited obligations of the servicers with respect to their respective servicing obligations. None of the certificates, the 23-HE1 PC, the HELOCs or the mortgage loans will be guaranteed or insured by any governmental agency or instrumentality or any other entity. Consequently, in the event that payments on the mortgage loans and distributions on the 23-HE1 PC are insufficient or otherwise unavailable to make all distributions required on your certificates, there will be no other source of payments available.

If the issuing entity does not have sufficient assets to distribute the full amount due and payable to you as a certificateholder, your yield will be impaired, and the return of your principal may even be impaired, without your having recourse to anyone else. Furthermore, certain assets of the participation agent and the issuing entity may be released and paid out to other persons, such as service providers, or any other person entitled to payments from the issuing entity prior to making distributions on the 23-HE1 PC or the certificates (other than the excess servicing certificates). Those assets will no longer be available to make distributions to you.

Potential Inadequacy of Credit Enhancement

The certificates are not insured by any financial guaranty insurance policy or guaranteed by any person. The credit enhancement features of payment subordination, loss allocation and monthly excess cashflow are intended to enhance the likelihood that holders of more senior classes of certificates will receive regular distributions of interest and principal, but these credit enhancement features are limited in nature and may be insufficient to cover all losses on the mortgage loans. There is no other form of credit enhancement for the certificates.

The amount of any realized loss experienced on a HELOC that is allocated to a mortgage loan that is not covered by monthly excess cashflow will result in a certificate writedown amount which, to the extent not covered by monthly excess cashflow, will be applied to reduce the class principal amount of the class of subordinate certificates (other than the Class X Certificates, which have no class principal amount) with the lowest principal distribution priority, until the class principal amount of that class has been reduced to zero. If such loss allocation to the subordinate certificates (other than the Class X Certificates) is insufficient to absorb all certificate writedown amounts, then any certificate writedown amounts in excess of the aggregate class principal amount of the subordinate certificates (other than the Class X Certificates) will be allocated to holders of the mezzanine classes of certificates and then to holders of the senior class of certificates, as described in this Memorandum. Certificates to which certificate writedown amounts are allocated may never receive all of their principal distributions. You should consider that, if you buy a certificate and losses on the mortgage loans exceed the aggregate class principal amount of the certificates with a lower principal distribution priority, the class principal amount of your certificates will be reduced proportionately with the class principal amounts of the other certificates of such class by the amount of that excess. Investors should be aware that to the extent their certificates are not covered by available credit enhancement, they will bear all the risks resulting from the allocation of realized losses on the HELOCs that are allocated to the mortgage loans and the certificate writedown amounts. Investors in the class of senior certificates should further note that the initial aggregate class principal amount of the mezzanine certificates is substantially smaller than the initial class principal amount of the class of senior certificates.

With respect to any exchangeable combination, certificate writedown amounts applied to any depositable certificates in such exchangeable combination will also be allocated in reduction of the certificate principal amount of each of the related exchangeable certificates in such exchangeable combination. See "*Description of the Certificates—Allocation of Certificate Writedown Amounts*" in this Memorandum.

Delay in Receipt of Liquidation Proceeds; Liquidation Proceeds May Be Less Than Mortgage Balance

Substantial delays in distributions of principal of and interest on the certificates could be encountered in connection with the liquidation of delinquent mortgage loans. Delays in foreclosure proceedings are likely to ensue in states experiencing increased volumes of delinquent mortgage loans. Further, reimbursement of accrued and unpaid servicing fees and servicing advances made by the servicers and liquidation expenses such as legal fees, real estate taxes and maintenance and preservation expenses, will reduce the portion of liquidation proceeds distributable to certificateholders since the reimbursements of such fees, servicing advances and expenses are made prior to distributions on the certificates. If a mortgaged property fails to provide adequate security for the related HELOC, you could incur a loss on your investment if the applicable credit enhancement is insufficient to cover the loss. See "*—Special Risks Associates with the HELOCs and the Securitization Transaction—Increased Risk of Loss Due to Second Lien HELOCs; Limited Available Information Regarding the Associated First Lien Loans*" in this Memorandum.

Subordination of Subordinate Certificates Increases Risk of Loss

Subordinate certificateholders (other than the Class X certificateholders) are more likely to bear certificate writedown amounts as a result of losses or delinquencies on the HELOCs that are allocated to the mortgage loans or certain participation trust expenses or trust expenses than are the mezzanine certificateholders or the senior certificateholders. The rights of each class of subordinate certificates (other than the Class X Certificates) to receive distributions of interest and principal and the Class X Certificates to receive distributions of monthly excess cashflow are subordinated to the rights of the senior and mezzanine certificates and each class of subordinate certificates higher in order of distribution priority. For example, the Class B-1 Certificates will not be entitled to receive principal or interest, as applicable, on a distribution date until the senior and mezzanine certificates have received the amounts to which they are entitled on that distribution date. In addition, certain participation trust expense and any losses that are realized on the HELOCs and allocated to the mortgage loans and certain trust expenses that are not covered by monthly excess cashflow will result in a certificate writedown amount that will be allocated to the subordinate certificates (other than the Class X Certificates) beginning with the Class B-4 Certificates, then to the Class B-3 Certificates, and so on, in reverse order of distribution priority, until the outstanding class principal amounts of the subordinate certificates (other than the Class X Certificates) have been reduced to zero. The Class X Certificates will not be entitled to receive any distributions of monthly excess cashflow until all classes of senior certificates, mezzanine certificates and all other subordinate certificates have been reimbursed for any realized losses or certificate writedown amounts previously applied and all cap carryover amounts for such distribution date have been paid.

For a more detailed description of the subordination feature of the subordinate certificates, see "*Description of the Certificates—Priority of Distributions*" in this Memorandum.

Investors Have No Direct Right to Enforce Remedies and Must Direct the Owner Trustee or the Securities Administrator

Certificateholders do not have the right to institute any suit, action or proceeding in equity or at law upon or under or with respect to any of the transaction documents other than in limited instances set forth in the trust agreement and the securitization sale agreement, but instead must rely on the issuing entity to enforce their rights under these agreements. If the issuing entity is not required or does not have the right to take action under the terms of the applicable transaction document, or if the owner trustee (or the securities administrator, in certain circumstances) on behalf of the issuing entity, fails to take action, certificateholders could experience losses. To the extent the issuing entity has any rights, powers or remedies under the transaction documents, certificateholders evidencing more than 50% (or in certain cases, 25%) of the aggregate voting interests, or in some cases any certificateholder or the subordinate enforcement holder will need to direct the owner trustee (or the securities administrator, in certain circumstances) to enforce such rights, exercise such powers or pursue such remedies and will be required to provide the owner trustee (or the securities administrator, in certain circumstances) with any required indemnity and fees in connection therewith. In the absence of adequate indemnity, the owner trustee (or the securities administrator, as applicable) will have no obligation to exercise any rights, powers or remedies of the issuing entity under the transaction documents.

A certificateholder generally is not permitted to commence legal proceedings under the trust agreement, the securitization sale agreement or its certificates unless:

- holders of certificates evidencing more than 50% of the aggregate voting interests of the certificates have made written request to the issuing entity (or the owner trustee on its behalf) to institute proceedings and such certificateholders have offered to the issuing entity (or the owner trustee on its behalf) reasonable indemnity against the costs, expenses and liabilities to be incurred by the issuing entity (or the owner trustee on its behalf) in complying with such request;

- the issuing entity (or the owner trustee on its behalf), for 30 days after its receipt of such notice, request and offer of indemnity, has failed to institute any such proceeding; and

- no direction inconsistent with the written request has been given to the issuing entity (or the owner trustee on its behalf) during such 30-day period by holders of certificates evidencing more than 50% of the aggregate voting interests of the certificates.

These provisions limit your personal ability to enforce the provisions of the transaction documents. Although the certificateholders will have the right in certain circumstances to direct the review of a HELOC or an enforcement action with respect to a HELOC, in no event will the certificateholders have the right to direct the participation agent to investigate whether or not a breach of a representation or warranty made by an originator, the participation depositor, the depositor or the participation certificate seller has occurred. In addition, directing the securities administrator to direct the issuing entity to take action under the master participation agreement, together with any resulting arbitration proceeding initiated by the participation owner trustee, will be the sole method to determine whether any breach of a representation or warranty made by a representing party would trigger a repurchase (or payment of a loss amount), and judicial review is not permitted. Determinations made by any arbitrator will be final and binding and not subject to appeal.

In addition, certain amendments, modifications or waivers to the securitization sale agreement and the other transaction documents require the consent of holders representing only a certain percentage interest of the certificates and certain amendments, modifications or waivers to the securitization sale agreement and other transaction documents (including amendments related to a benchmark replacement) do not require the consent of any certificateholder. As a result, certain amendments, modifications or waivers to the securitization sale agreement and other transaction documents are permitted to occur even without your consent. See "*HELOC Representations and Warranties,*" "*The Trust Agreement—Amendment,*" "*The Securitization Sale Agreement—Amendment,*" "*The Master Participation Agreement—Amendment,*" "*The Participation Trust Agreement—Amendment*" and "*Description of the Certificates—Distributions of Interest—Determination of Benchmark for Floating Rate Certificates*" in this Memorandum.

One or more purchasers of certificates may purchase substantial portions of one or more classes of certificates. The participation certificate seller, the depositor, the owner trustee, the participation owner trustee, the initial purchasers, the originators, the servicers, the securities administrator, the participation registrar and any of their respective affiliates may purchase certificates, which could cause a conflict of interest. See "—*Certain Conflicts and Other Risks—Various Other Securitization-Level Conflicts of Interest May Have an Adverse Effect on Your Certificates*." If any certificateholder or group of certificateholders holds more than 50% of the aggregate voting interests of the certificates and disagrees with any proposed action, suit or proceeding requiring consent of more than 50% of the aggregate voting interests of certificates, that certificateholder or group of certificateholders may block the proposed action, suit or proceeding, and the issuing entity will not be required to move forward with the proposed action, suit or proceeding. The sponsors or one or more of their affiliates may retain certain certificates on the closing date and, accordingly, the sponsors may retain certain voting rights with respect thereto in conjunction with such ownership. See the definition of "Certificateholder" in the "*Glossary of Defined Terms*" in this Memorandum.

In some circumstances, the holders of a specified percentage of the certificates will be entitled to direct, consent to or approve certain actions. In these cases, this direction, consent or approval will be sufficient to bind all holders of certificates regardless of whether you agree with such direction, consent or approval.

Book-Entry System for Certain Classes of Certificates May Decrease Liquidity, Delay Payment and Have Other Adverse Consequences

The certificates (other than the Class A-R Certificates) will be initially represented by one or more certificates registered in the name of Cede & Co. ("Cede"), as the nominee for DTC, and will not be registered in your name. As a result, you will not be recognized as a certificateholder or as a holder of record of your certificates. As a consequence, investors may experience difficulties in identifying or communicating with other investors in the certificates for the purpose of exercising remedies, taking collective action or otherwise.

Because transactions in the classes of book-entry certificates generally can be effected only through DTC, DTC participants and indirect DTC participants,

- you may be unable to sell book-entry certificates in the secondary market because certain prospective investors may be unwilling to purchase certificates for which they cannot obtain a physical security representing the certificates;

- your access to information regarding the certificates may be limited since conveyance of notices and other communications by DTC to its participating organizations, and directly and indirectly through those participating organizations to you, will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect at that time;

- you may experience delays in your receipt of distributions of interest and principal on book-entry certificates because distributions will be made by the securities administrator to Cede & Co., as nominee for DTC, rather than directly to you, which then will be required to credit those distributions to the accounts of its participating organizations and only then will they be credited to your account either directly or indirectly through DTC's participating organizations; and

- you may experience delays in your receipt of payments on book-entry certificates in the event of misapplication of payments by DTC, DTC participants or indirect DTC participants or bankruptcy or insolvency of those entities, and your recourse will be limited to your remedies against those entities.

See "*Description of the Certificates—Book-Entry Certificates*" in this Memorandum.

Ratings of the Certificates Have Substantial Limitations

The ratings assigned to the rated certificates by the applicable nationally recognized statistical rating organizations engaged by the sponsors are based on, among other things, the characteristics of the mortgage loans and other relevant features of the transaction. The ratings assigned to the rated certificates reflect only the opinions of the respective rating agencies as of the date such ratings were issued. Future events or conditions could have an adverse impact on such ratings. The ratings may be reviewed, revised, suspended, downgraded, qualified or withdrawn entirely by the applicable rating agency for any reason, including changes to the applicable rating agency's ratings criteria. The ratings do not consider to what extent the certificates will be subject to prepayment or that the outstanding principal amount of any class of certificates will be prepaid. None of the participation certificate seller, the depositor, the issuing entity, the sponsors, the participation agent, the initial purchasers, any originator, any servicer, the securities administrator, the participation registrar, the participation owner trustee or the owner trustee has independently verified the ratings on any class of certificates or verified that any rating agency adhered to its ratings criteria in assigning a rating to any class of certificates.

Furthermore, the ratings assigned to the certificates and the amount, type and nature of credit support, if any, provided with respect to the certificates may have been determined on the basis of the criteria and methodologies established by each hired rating agency. These criteria and methodologies are sometimes based upon analysis of the behavior of mortgage loans in a larger group and have in the past been substantially revised resulting in downgrades and then shortly thereafter revised again resulting in additional downgrades. These criteria and methodologies, including those that may have been used to assign ratings to the certificates, may be further revised in the future and such revisions may result in downgrades. In addition, we cannot assure you that the particular criteria or methodologies were followed, that the criteria or methodology that was used by a rating agency conformed to the general criteria and methodology used for similar securities by that rating agency or that the historical data supporting a rating agency's analysis will accurately reflect future experience or that the data derived from a large pool of mortgage loans will accurately predict the delinquency, foreclosure or loss experience of the mortgage loans represented by the 23-HE1 PC transferred to the issuing entity. As evidenced by the significant number of downgrades, qualifications and withdrawals of ratings assigned to previously-issued RMBS during the financial crisis, the rating agencies' assumptions regarding the performance of the mortgage loans related to such RMBS were not, in all cases, correct. The assignment by a rating agency of a credit rating to a class of certificates should not be interpreted to mean that there is no risk, or a reduced risk, of loss on that class. Further, no credit rating should be interpreted to be an indication of the expected return on a class of certificates.

We are not obligated to maintain any particular rating with respect to any class of certificates. Changes affecting the mortgage loans, the HELOCs, the mortgaged properties, the owner trustee, the participation owner trustee, the securities administrator, the participation registrar, any servicer, any originator or any other transaction party (including changes in the corporate credit ratings or other ratings assigned to a transaction party by a rating agency), or changes to ratings criteria employed by the rating agencies may have an adverse effect on the ratings of the certificates and on the liquidity, market value and regulatory characteristics of the certificates. Any adverse change to the ratings of your certificates would likely have an adverse effect on the market value of your certificates. A security rating does not represent an assessment of the yield to maturity that you may experience. See "*Ratings*" in this Memorandum.

The sponsors have hired two nationally recognized statistical rating organizations that will rate the particular classes of offered certificates identified in *"Summary—The Offered Certificates."* We cannot assure you as to whether another rating agency will rate any class of certificates or, if it were to rate any class of certificates, what rating would be assigned by it. Additionally, other nationally recognized statistical rating organizations that we have not hired to rate the certificates may nevertheless issue unsolicited credit ratings on one or more classes of certificates on the basis of information they receive pursuant to Rule 17g-5 under the Exchange Act or otherwise, or may provide market reports and/or published commentary related to the certificates. If any such unsolicited ratings are issued, we cannot assure you that those unsolicited ratings would be the same as, higher than or lower than the ratings assigned by the hired rating agencies to the same class or classes of certificates. In addition, any market reports or published commentary may express differing and/or potentially negative views regarding features of the securitization transaction, the mortgage loans, the HELOCs and/or the certificates. The issuance of unsolicited ratings on one or more classes of the certificates that are lower than the ratings assigned by the rating agencies engaged by the sponsors or the issuance of negative commentary is likely to adversely affect the liquidity and market value of those classes of certificates and may also adversely affect their regulatory characteristics.

DBRS and S&P provided preliminary loss feedback on the pool of HELOCs. Based on such preliminary feedback, the sponsors did not request a rating from any such rating agency on the senior certificates, the mezzanine certificates, the excess servicing certificates or the subordinate certificates as without additional credit enhancement, it was expected that the ratings that each such rating agency would have assigned to the senior certificates, the mezzanine certificates and subordinate certificates would have been in a similar or lower rating category as compared to the ratings assigned to such certificates by KBRA and Fitch. Had the sponsors selected DBRS or S&P to rate the classes of senior certificates, mezzanine certificates or subordinate certificates, we cannot assure you as to the ratings that DBRS or S&P would ultimately have assigned to those classes of certificates. Additionally, had the sponsors selected Fitch to rate the Class B-3 Certificates, we cannot assure you as to the rating that Fitch would ultimately have assigned to the Class B-3 Certificates.

Although unsolicited ratings on any class of certificates may be issued by any rating agency, a rating agency might be more likely to issue an unsolicited rating on a class of certificates if it was not selected to rate such class of certificates after having provided preliminary feedback to the depositor.

Under the rules and regulations of the SEC, information provided to a hired rating agency for the purpose of assigning or monitoring the ratings on the certificates is required to be made available to non-hired rating agencies in order to make it possible for such rating agencies to assign unsolicited ratings on the certificates. As of the date of this Memorandum, the sponsors are not aware of the existence of any unsolicited rating provided by any rating agency not hired to rate one or more classes of the certificates, and have not been contacted by any other rating agency expressing an interest in providing an unsolicited rating. An unsolicited rating could be assigned at any time, including prior to the closing date, and none of the participation certificate seller, the depositor, the issuing entity, the participation agent, the initial purchasers, the sponsors, the originators, the servicers, the owner trustee, the participation owner trustee, the securities administrator, the participation registrar, the custodian or any of their respective affiliates or any other person or entity will have any duty to notify you if any such other rating agency issues, or delivers notice of its intention to issue, unsolicited ratings on one or more classes of certificates after the date of this Memorandum. Rating agencies, including the hired rating agencies, have different methodologies, criteria, models and requirements.

In addition, if the sponsors fail to make available to the non-hired rating agencies any information provided to a hired rating agency for the purpose of assigning or monitoring the ratings on the certificates, a hired rating agency could withdraw its ratings on the certificates, which could adversely affect the liquidity, market value and regulatory treatment of your certificates.

Furthermore, the SEC may determine that any one or more of the rating agencies engaged by the sponsors no longer qualifies as a nationally recognized statistical rating organization, or is no longer qualified to rate the certificates. Any such determination may adversely affect the liquidity, market value and regulatory characteristics of your certificates, and you may not be able to sell or obtain financing for your certificates, or you may be able to sell only at a substantial discount from the price you paid or obtain financing at interest rates in excess of current interest rates. No entity will be required to obtain a substitute rating from another rating agency.

The rating agencies rely on the accuracy and completeness of the data, reports and information provided to them in connection with the assignment of a credit rating, and the rating agencies have no duty to (and generally do not) verify or audit such data, reports and information. In addition, the rating agencies, including the hired rating agencies, disclaim that they are "experts" for any purpose, including under any securities laws.

Security ratings are not recommendations or suggestions to buy, sell or hold the certificates nor do security ratings address the adequacy of market price, marketability, the suitability of any security for any particular investor (including, but not limited to, any accounting and/or regulatory treatment) or the tax-exempt nature or taxability of payments made in respect of any security. Rather, ratings are an assessment by the applicable rating agency of (i) the likelihood of the ultimate receipt by certificateholders of all principal distributions to which such certificateholders are entitled and (ii) the likelihood of the receipt by certificateholders of the amount of interest actually received by the issuing entity to the extent payable to each class in accordance with the priorities described in this Memorandum (as such interest received by the issuing entity may have been reduced, as a result of net interest shortfalls or any other cause, and as such interest entitlement may be further reduced by the allocation of aggregate expense fees, participation aggregate expense fees and the aggregate excess servicing strip amount as described herein). Ratings do not consider to what extent the certificates will be subject to prepayment or that the principal of any class of certificates will be paid prior to the final scheduled distribution date for that class of certificates, nor do the ratings consider the prices of the certificates. Rating agencies attempt to evaluate the safety of principal and interest payments and do not evaluate the risks of fluctuations in market value; therefore, ratings do not fully reflect the true risks of an investment. Consequently, credit ratings of any class of certificates should not be considered a reliable indicator of investment quality. Prospective investors in the certificates should make their own evaluation of the creditworthiness of the mortgage loans and the applicable credit enhancement on the certificates, and prospective investors should not rely on the ratings assigned by any rating agency to any of the certificates.

A rating agency may revise or withdraw the ratings at any time in its sole discretion, including as a result of a failure by the sponsors to comply with their obligation to post information provided to the hired rating agencies on a website that is accessible by a rating agency that is not a hired rating agency. The ratings of any certificates may be lowered by a rating agency (including the hired rating agencies) following the initial issuance of the certificates, including as a result of losses on the HELOCs related to the mortgage loans in excess of the levels contemplated by such rating agency at the time of its initial rating analysis or as a result of revising its models and ratings methodology. None of the participation certificate seller, the depositor, the issuing entity, the participation agent, the initial purchasers, the sponsors, any originator, any servicer, the securities administrator, the participation registrar, the custodian, the participation owner trustee, the owner trustee or any other person will have any obligation to replace or supplement any credit support or to take any other action to maintain any ratings of the certificates.

Accordingly, we cannot assure you that the ratings assigned to any certificate on the date on which the certificate is originally issued will not be lowered or withdrawn by any rating agency at any time thereafter. If any rating with respect to a class of certificates is revised or withdrawn, the liquidity, market value and regulatory characteristics of that class of certificates will likely be adversely affected.

The rating agencies have been hired by the sponsors to provide their ratings on the certificates (other than the Class B-4, Class BX, Class X, the excess servicing certificates and Class A-R Certificates). Neither the sponsors nor the depositor has engaged any rating agency to rate the Class B-4, Class BX, Class X, the excess servicing certificates or Class A-R Certificates on the closing date. The lack of a rating reduces the potential liquidity of the Class B-4, Class BX, Class X, the excess servicing certificates and Class A-R Certificates and thus adversely affects the market value of the Class B-4, Class BX, Class X, the excess servicing certificates and Class A-R Certificates. In addition, the lack of a rating reduces the potential for, and increases the cost of, financing the purchase and/or holding of the Class B-4, Class BX, Class X, the excess servicing certificates or Class A-R Certificates. An unsolicited rating could be assigned to the Class B-4, Class BX, Class X, the excess servicing certificates or Class A-R Certificates at any time, including prior to the closing date, and none of the sponsors, the depositor, the initial purchasers or any other party will have any obligation to inform you of any such unsolicited rating.

A rating agency may have a conflict of interest where, as is the case with the ratings of the rated certificates, the sponsors, the participation certificate seller, the depositor or the issuing entity with respect to a security pays the fee charged by the rating agency for its rating services.

Actions to Enforce Breaches of Representations and/or Warranties Relating to HELOC May Take a Significant Amount of Time or Cause Delays or Reductions in the Amount of Payments Made to Certificateholders and May Become Barred by the Statute of Limitations

The process for determining whether there has been a breach of a representation and warranty that materially and adversely affects the value of, or the interest of the participation certificateholders in, a HELOC, and the obligation to cure such breach in respect of or to repurchase such HELOC, may be time-consuming and could result in delays in distributions on the certificates. As described under "*The Agreements—Representations and Warranties*" below, any certificateholder, upon payment of the amounts required to facilitate any enforcement action and the requisite indemnity for the participation owner trustee, may cause the securities administrator on behalf of the issuing entity to request the participation owner trustee to pursue an action to enforce an alleged breach, which may include an arbitration proceeding. Additionally, any certificateholder can similarly request a review by a third party of a HELOC that has been delinquent for more than 120 days, other than any such HELOC that was the subject of a previous arbitration proceeding, to determine whether any breaches of the representations and/or warranties given by the originator under the related purchase agreement have occurred or if the participation depositor has an obligation to cure a breach in respect of, or repurchase the related HELOC pursuant to the master participation agreement. If certain conditions are satisfied, the certificateholders may compel the participation owner trustee to pursue an action even if, based upon the review, the reviewer concluded that there was no evidence of a breach of a representation and warranty. These procedures may take substantial time, which could result in delays, increased costs and losses to certificateholders.

The New York Court of Appeals, which is New York State's highest court, has ruled that under New York law, any claim for a breach of representations or warranties concerning the characteristics of mortgage loans accrues on the date the representations and warranties are made, and not on the date that the breach is discovered. This rule may apply even if the breach is not discovered until after the statute of limitations has run. The statute of limitations under New York law for these types of claims is generally six (6) years. Most, if not all, of the HELOCs have been acquired pursuant to purchase agreements with the originators that are governed by New York law, and the master participation agreement is also governed by New York law. If New York law applies to the claims, any claims for breach of representations and warranties concerning the HELOCs, including failure to repurchase a HELOC, may be barred if litigation is not commenced within six (6) years after the date the representations and warranties are made by the related originator under the related purchase agreement or by the participation depositor under the master participation agreement. A shorter or longer statute of limitations may apply if another state's law is found applicable.

On October 16, 2018, *in Deutsche Bank Nat'l Tr. Co. Tr. for Harborview Mortg. Loan Tr. v. Flagstar Capital Markets Corp.*, the New York Court of Appeals addressed an "accrual clause" in a contract that purported to delay the accrual of a cause of action for a breach of representation and warranty on mortgage loans until after discovery of the breach, failure to cure or repurchase and demand for compliance. The court ruled the accrual clause was unenforceable on the grounds that these provisions did not constitute a substantive condition precedent to defendant's obligation to deliver loans that complied with the representations and warranties. The court also held that any such accrual provision in a contract specifying a set of conditions that would have delayed accrual of a breach of contract cause of action was unenforceable as against public policy. More recently, on November 25, 2019, in *Deutsche Bank National Trust Company, et al v. Barclays Bank PLC et al.*, the New York Court of Appeals held that California's four-year statute of limitations applied to breach of representations and warranties claims brought by a securitization trustee of a New York common law trust under transaction documents that were governed by New York law. The court held that the plaintiff trustee's state of incorporation and principal place of business in California provides the place of location of the plaintiff's injury for purposes of assessing which state's statute of limitations applies. Any application of a jurisdiction's statute of limitations could reduce the amount recoverable by the participation agent and have an adverse impact on the performance of the certificates.

The participation certificate seller and the depositor, and certain of their affiliates are and have been parties to cases brought by securitization trustees and others generally alleging breaches of various representations and warranties regarding securitized mortgage loans and seeking repurchase of those loans, as well as indemnification of attorneys' fees and costs and other remedies.

Financial Difficulties of Originators, Servicers and Subservicers May Impact the Return on the Certificates

The financial difficulties of originators, servicers and subservicers of residential mortgage loans may be exacerbated by higher delinquencies and defaults that reduce the value of their mortgage loan portfolios, requiring originators to sell their portfolios at greater discounts to par. In particular, non-bank mortgage companies are especially vulnerable to liquidity pressures in both their loan origination and servicing activities, and as result, may have minimal or no resources available in an adverse economic environment.

Many originators that also have large servicing portfolios have experienced rising costs of servicing as mortgage loan delinquencies have increased, without an increase in servicing compensation, including for originators that also have large servicing portfolios. In addition, increased regulation, increased regulatory oversight, proposed legislation and/or governmental intervention designed to protect consumers has had and may continue to have an adverse impact on originators and servicers, resulting in consolidation and, in some cases, the cessation of operations. These factors, among others, are likely to have the overall effect of increasing costs and expenses of originators, servicers and subservicers while at the same time decreasing servicing cash flow and loan origination revenues. Financial difficulties may result in the inability of representing parties to repurchase HELOCs or undertake any of the other available remedies in the event of loan representation and warranty breaches, which would also have a negative impact on the market value of the certificates. Financial difficulties may also have a negative effect on the ability of servicers and subservicers to pursue collections on HELOCs that are experiencing increased delinquencies and defaults and to maximize recoveries on the sale of underlying properties following foreclosure.

If a servicer or a subservicer is experiencing financial difficulties, it may not be able to perform its servicing duties or its advancing obligations. To the extent a servicer or a subservicer fails to fully perform its servicing obligations, the certificates are likely to be less liquid and have a lower market value and could experience losses. Furthermore, an increased level of delinquencies in HELOCs serviced by a servicer or a subservicer may result in delays in foreclosure proceedings on the HELOCs. In response to these circumstances, federal, state and local authorities have enacted and continue to propose new legislation, rules and regulations relating to the origination, servicing and treatment of HELOCs in default or in bankruptcy. These initiatives are likely to result in delayed or reduced collections from borrowers, limitations on the foreclosure process and generally increased servicing costs. The servicing fees payable to a servicer may not be reflective of the increased costs of servicing in that event. Certain of these initiatives could also permit a servicer or a subservicer to take actions, including modification of HELOCs, that might adversely affect the certificates without any remedy or compensation to the holders of the certificates. In addition, the servicers may not be able to individually address the needs of each borrower if they are forced to confront an overwhelming number of requests for modifications.

In the current economic environment, many servicers are experiencing higher delinquencies and defaults than they have in the past and, as a result, there is a risk that their operational infrastructures cannot properly process this increased volume. To the extent a servicer fails to fully perform its obligations, the liquidity and market value of the certificates are likely to be adversely affected, and the certificates could experience losses.

There is no assurance that a servicer or a subservicer will not resign (or, following an event of default in respect of a servicer or a subservicer, will not be terminated) as a servicer or a subservicer of the HELOCs serviced (or subserviced) by it, and the cost of replacing such servicer or such subservicer may adversely affect the certificates. The replacement of a servicer or subservicer may also adversely affect the future performance of the related HELOCs. See *"—Servicing and Certain Subservicing Transfers May Result in Decreased or Delayed Collections and Losses."* From time to time, investors in certificates similar to the offered certificates have alleged that a particular servicer has not serviced a group of mortgage loans properly in a securitization transaction. No assurance can be given that such allegations will not be made against a servicer in the future with respect to the HELOCs to be transferred to the participation agent or in other securitization transactions. Only the participation agent will have the right to pursue any remedy against a servicer.

Cyber-attacks or Other Security Breaches Could Have a Material Adverse Effect on the Business of the Transaction Parties

In the normal course of business, the sponsors, the servicers and the other transaction parties may collect, process and retain sensitive and confidential information regarding their customers (including HELOC borrowers and applicants). The sharing, use, disclosure and protection of this information is governed by the privacy and data security policies of such parties. Moreover, there are federal, state and international laws regarding privacy and the storing, sharing, use, disclosure and protection of personally identifiable information and user data. Although the transaction parties may devote significant resources and management focus to ensuring the integrity of their systems through information security and business continuity programs, their facilities and systems, and those of their third-party service providers, are vulnerable to external or internal security breaches, acts of vandalism, computer viruses, misplaced or lost data, programming or human errors, or other similar events. These events could interrupt the business or operations of the sponsors, the servicers or the other transaction parties, and may result in significant legal and financial exposure, supervisory liability, damage to the reputation of such parties or a loss of confidence in the security of the systems, products and services of such parties. Information security risks for organizations like the sponsors, the servicers and the other transaction parties have increased recently in part because of new technologies, the use of the internet and telecommunications technologies (including mobile and other connected devices) to conduct financial and other business transactions and the increased sophistication and activities of organized crime, perpetrators of fraud, hackers, terrorists and others. In addition to cyberattacks or other security breaches involving the theft of sensitive and confidential information, hackers recently have engaged in attacks against organizations that are designed to disrupt key business services.

The sponsors, the servicers and the other transaction parties may not be able to anticipate or implement effective preventive measures against all security breaches of these types, especially because the techniques used change frequently and because attacks can originate from a wide variety of sources. The access by unauthorized persons to, or the improper disclosure by the sponsors, the servicers or any other transaction party of, confidential information regarding their customers or their own proprietary information, software, methodologies and business secrets could interrupt such party's business or operations, result in significant legal and financial exposure, supervisory liability, damage to their reputation or a loss of confidence in the security of their systems, products and services, some of which could have a material adverse impact on their business, financial condition and results of operations (including the servicing of the HELOCs). Cyber-attacks or other breaches, whether affecting the sponsors, the servicers or other transaction parties, could intensify consumer concern and regulatory focus and result in increased costs, which could have a material adverse effect on a sponsor's, a servicer's or another transaction party's businesses. If the business of any representing party or any of its affiliates is materially adversely affected by such events, such party may not be able to fulfill its remedy obligations with respect to a HELOC following a breach of a representation and warranty. In addition, if the business of a servicer or another transaction party is materially adversely affected by such events, such party may not be able to fulfill its obligations under the related servicing agreement.

Bankruptcy or Insolvency of a HELOC Originator Could Result in Losses on the Certificates

The participation depositor has acquired the HELOCs directly from the related originator. The participation depositor will sell the HELOCs to the participation agent in exchange for participation interests in the related draws on such HELOCs represented by the JPM PC. The participation agent will cause certain draws on the HELOCs to be reallocated to the 23-HE1 PC and will sell such participation certificate to the participation certificate seller. The participation certificate seller will sell the 23-HE1 PC to the depositor, and the depositor will sell the 23-HE1 PC to the issuing entity. The depositor believes that each transfer of the HELOCs by the originator to the participation depositor will be a sale, so that the participation depositor will be the owner of the HELOCs. In the case of the participation depositor, an opinion of counsel will be rendered on the closing date, based on certain facts and assumptions and subject to certain qualifications, to the effect that the transfer of the applicable HELOCs by the participation depositor to the participation agent would generally be respected in the event of a bankruptcy or insolvency of the participation depositor, that the transfer of the 23-HE1 PC by JPMMAC as participation certificate seller to the depositor would generally be respected in the event of a bankruptcy or insolvency of participation certificate seller and that the transfer of the 23-HE1 PC by the depositor to the issuing entity would generally be respected in the event of a bankruptcy or insolvency of the depositor. Nonetheless, if any originator were to go into bankruptcy or become the subject of a receivership or conservatorship, and the FDIC, a bankruptcy trustee, if applicable, or another party in interest (including the transferor) were to assert that the transfer of the HELOCs to the participation depositor was not a sale, but rather should be recharacterized as the grant of a security interest in the HELOCs to secure a borrowing by the originator, delays in distributions on the certificates could result. If a court were to adopt such a position, then delays or reductions in distributions on, or other losses with respect to, the certificates could result. Even if a challenge were not successful, it is possible that distributions on the certificates would be delayed while a court resolves the claim.

Should an originator go into bankruptcy or become the subject of a receivership or conservatorship, there could be other adverse effects that could result in delays or reductions in distributions on, or other losses with respect to, the certificates. For example, the parties are likely to be prohibited (unless authorization is obtained from the court or the receiver or conservator) from taking any action to enforce any obligations of the originator under any transaction document or to collect any amount owing by the originator under any transaction document, including in connection with any repurchase related to a breach of a representation or warranty or otherwise. In addition, with the authorization of the court or the receiver or conservator, the originator may repudiate any of the transaction documents to which it is a party. Such a repudiation would excuse the originator from performing any of its obligations, and the rights of the transferee under the transaction documents would be limited or eliminated. Such a repudiation could also excuse the other parties to the transaction documents from performing any of their obligations. In particular, an originator may be able to repudiate its obligations to cure breaches or repurchase or pay a loss amount for the HELOCs as required by the transaction documents.

One or more of the originators are banks that are subject to regulation by the FDIC. The FDIC recently has indicated that it is permitted to treat as property of a bank in receivership or conservatorship (i) any property that is shown as an asset on the financial statements of a bank or (ii) any property that the bank previously transferred if the bank retains a continuing economic interest in the transferred assets. The FDIC has indicated that it is permitted to assert these positions notwithstanding that the assets have been sold as a matter of law. It is possible that an originator that is a bank will purchase certificates and as a result, the FDIC will take the position that the bank has retained a continuing economic interest in the HELOCs. The depositor cannot provide any assurance that a court will not accept the FDIC's positions. As a result, if (1) an originator that is a bank becomes the subject of a receivership or conservatorship, (2) the HELOCs are shown as assets on its financial statements or it owns any certificates, and (3) the FDIC's position prevails, then the participation agent will not own all the HELOCs and there may be delays in distributions or losses on the certificates and there is likely to be a reduction in the market value and liquidity of the certificates. There may also be delays in distributions while these issues are being resolved by the FDIC or a court.

The transfers of the HELOCs by the bank originators or participation interests in such HELOCs by the participation certificate seller are not expected to qualify for the securitization safe harbor adopted by the FDIC for securitizations sponsored by insured depository institutions (12 C.F.R. § 360.6); however, the safe harbor is non-exclusive. Nevertheless, we cannot assure you that the FDIC or another interested party would not attempt to assert that the transfers of those HELOCs were not a sale. Even if a challenge were not successful, it is possible that distributions on your certificates would be delayed while the claim is resolved. In addition, the transfers of the participation interest in the mortgage loans in the form of the 23-HE1 PC by the participation certificate seller and the depositor may not be treated as a sale for accounting purposes. If that is the case, there is a higher risk that the transfer of the 23-HE1 PC will not be treated as a sale, but would instead be recharacterized as the grant of a security interest in the 23-HE1 PC to secure a borrowing by the related transferor.

Title II of the Dodd-Frank Act contains an orderly liquidation authority under which the FDIC can be appointed as receiver of certain systemically important non-bank financial companies and their direct or indirect subsidiaries in certain cases. In January 2011, the acting general counsel of the FDIC issued an opinion in which he expressed his view that, under then-existing regulations, the FDIC, as receiver under the orderly liquidation authority, will not, in the exercise of its orderly liquidation authority repudiation powers, recover as property of a financial company's assets transferred by the financial company, provided that the transfer satisfies the conditions for the exclusion of assets from the financial company's estate under the bankruptcy code. The acting general counsel's opinion further noted that, while the FDIC staff may be considering recommending further regulations under orderly liquidation authority, the acting general counsel would recommend that such regulations incorporate a 90-day transition period for any provisions affecting the FDIC's statutory power to disaffirm or repudiate contracts, and until such time, the acting general counsel's opinion would remain in effect. However, as no regulations specifically addressing the FDIC's repudiation powers under the orderly liquidation authority in the context of assets transferred in a securitization have yet to be promulgated, it appears that such interpretation continues to remain in effect. If, however, the FDIC were to disregard or differently interpret the acting general counsel's opinion, or if it were independently to be appointed as receiver of an originator of the HELOCs or of a subsidiary special purpose entity that was the issuer of a securitization, delays or reductions in distributions on the certificates could occur. In addition, because the transfer of the HELOCs will occur after the expiration of the transition period, you may not be able to rely on the acting general counsel's opinion unless it is extended to cover transfers made after the transition period. As such, we cannot assure you that a bankruptcy would not result in a delay or reduction in distributions on the certificates.

There may be other possible effects of a bankruptcy or insolvency of a HELOC originator that could result in delays or reductions in distributions on, or other losses with respect to, the certificates. In the event of the bankruptcy or insolvency of an originator, the participation agent, the participation certificate seller or the depositor, it is possible that the issuing entity's right to payment from or ownership of the 23-HE1 PC and the related participation interests in the mortgage loans could be challenged, and if such challenge were successful, delays, reductions in distributions and/or losses on the certificates could occur. In addition, even if the issuing entity's claim is undisputed, the issuing entity will not receive any payment for any outstanding or future claims against any such originator in connection with a breach of any representation or warranty with respect to the HELOCs or otherwise if the bankruptcy estate does not have sufficient funds to pay all or any part of such claim.

Regardless of any ruling made by a court, the mere fact that an originator or any of its affiliates has become insolvent or subject to bankruptcy, conservatorship, or receivership proceedings is likely to have an adverse effect on the value of the HELOCs and on the liquidity and value of the certificates.

Receivership, Conservatorship, Bankruptcy or Insolvency of a Servicer or Subservicer Could Result in Losses on the Certificates

Each servicer (or the related subservicer) will be permitted to commingle collections on the HELOCs with its own funds for up to two business days. In addition, each servicer (or the related subservicer) will deposit collections in an account that is not under the control of the participation agent, and collections will be held in this account before they are remitted each month to the participation agent. In some cases, the related servicer may be permitted to commingle amounts deposited to such account with amounts held for the benefit of a separate securitization trust or other person. In the event a servicer or subservicer goes into bankruptcy or becomes the subject of a receivership or conservatorship, the participation agent will not have a perfected interest or priority interest in any collections on HELOCs that are in such servicer's or subservicer's possession at the time of the commencement of the bankruptcy or similar proceeding, and a servicer may not be required to remit to the participation agent any such collections. In addition, to the extent that a servicer or a subservicer has commingled collections of HELOCs with its own funds, the holders of the certificates may be required to return to such servicer or subservicer certain distributions received on the certificates.

If a servicer or a subservicer were to go into bankruptcy or become the subject of a receivership or conservatorship, it may stop performing its functions as servicer or subservicer and it may be difficult to find a third party to act as successor. Alternatively, a servicer or a subservicer may take the position that unless the amount of its compensation is increased or the terms of its obligations are otherwise altered, it will stop performing its functions as servicer or subservicer, as applicable. This will include the servicer's obligation to fund draws on behalf of the participation agent with amounts deposited by JPMMAC, which could cause the participation agent to breach the terms of the related line of credit agreement and may result in related borrowers initiating lawsuits against the participation agent (as the owner of the related HELOCs), the issuing entity, the certificateholders or other parties to this transaction, which could lead to substantial losses on the certificates. If it were difficult to find a third party to act as successor, the applicable parties, as a practical matter, may have no choice but to agree to the demands of such servicer. Any increase in the servicing fee paid to a servicer or a successor servicer will decrease and possibly eliminate the aggregate excess servicing strip amount available for distribution to the certificateholders of the excess servicing certificates on a distribution date and, to the extent the applicable servicing fee rate increases to a percentage greater than 0.50000% per annum, may also reduce the interest entitlement for a distribution date for any class of senior certificates, mezzanine certificates or subordinate certificates (other than the Class B-4 and Class X Certificates) with a pass-through rate based upon, equal to or limited by Net WAC and may reduce the Class X distribution amount for a distribution date and on the Class X Certificates. Each servicer also has the power, with the approval of the court or the receiver or conservator, to assign its rights and obligations as servicer to a third party without the consent, and even over the objection, of the parties, and without complying with the requirements of the applicable documents, although, because of the unique features of the HELOCs, it may be more difficult to find a successor servicer who is willing to agree to service the HELOCs for a reasonable fee (or at all).

If the related servicer is in bankruptcy or is the subject of a receivership or conservatorship, then, despite the terms of the related subservicing agreement, the parties will generally be prohibited from terminating the related subservicer or the servicer. In addition, the related servicer is likely to have the power, with the approval of the bankruptcy court or the receiver or conservator, to transfer servicing from the related subservicer to a third party, or to transfer its rights as servicer to a third party, without the consent, and even over the objection, of the parties, and without complying with the requirements of the applicable agreement. Such an assignment would have the effect of terminating the existing subservicer or servicer, and replacing it with a new subservicer or servicer, regardless of the terms of the applicable agreement.

If a servicer or a subservicer is in bankruptcy or the subject of a receivership or conservatorship, then the parties will be prohibited (unless authorization is obtained from the court or the receiver or conservator) from taking any action to enforce any obligations of such servicer or a subservicer under the applicable documents or to collect any amount owing by such servicer or subservicer under the applicable documents, and the parties may be prohibited from terminating the servicer and appointing a successor servicer. A servicer or a subservicer may be eligible to become a debtor under the United States Bankruptcy Code or enter into receivership under the Federal Deposit Insurance Act (the "FDIA"). If a servicer or a subservicer were to become a debtor under the United States Bankruptcy Code or enter into receivership under the FDIA, the related servicing agreement provides that such an event would be an event of default entitling the issuing entity to terminate the related servicer; however, such a provision would most likely not be enforceable. However, a rejection of a servicing agreement by the related servicer in a bankruptcy proceeding or repudiation of such agreement in a receivership under the FDIA would be treated as a breach of the related servicing agreement and give the issuing entity a claim for damages and the ability to appoint a successor servicer. An assumption under the United States Bankruptcy Code would require a servicer to cure its pre-bankruptcy defaults, if any, and demonstrate that it is able to perform following assumption. The bankruptcy court may permit the related servicer to assume the servicing agreement and assign it to a third party. An insolvency by an entity governed by state insolvency law would vary depending on the laws of the particular state. We cannot assure you that a bankruptcy or receivership of a servicer would not adversely impact the servicing of the HELOCs or that the participation agent would be entitled to terminate such servicer in a timely manner or at all.

It is possible that a period of adverse economic conditions resulting in high defaults and delinquencies on the HELOCs and other mortgage loans serviced by a servicer will increase the risk of that servicer becoming subject to bankruptcy or receivership proceedings if its servicing compensation is less than its cost of servicing.

The occurrence of any of these events could result in delays or reductions in distributions on, or other losses with respect to, the certificates. There may also be other possible effects of a bankruptcy, receivership or conservatorship of a servicer that could result in delays or reductions in distributions on, or other losses with respect to, the certificates. Regardless of any specific adverse determinations in a bankruptcy, receivership or conservatorship of a servicer, the fact that such a proceeding has been commenced could have an adverse effect on the value of the HELOC, and as a result, the related mortgage loans, and the liquidity and value of the certificates.

The Transaction Parties Have Been, Are and May Become Subject to Litigation or Governmental Proceedings

There has been a significant amount of litigation against, and numerous governmental proceedings involving, transaction parties associated with offerings of RMBS, including the participation certificate seller, the depositor, their affiliates and other sponsors, servicers and trustees. In particular, the participation certificate seller and its affiliates have been subject to significant litigation, governmental investigations and regulatory enforcement actions, including settlements and consent orders, related to the origination and purchase of residential mortgage loans, the servicing of residential mortgage loans and the underwriting and issuance of mortgage-backed securities, including due diligence and disclosure matters related to the issuance of mortgage-backed securities. Certain transaction parties are, and they and other transaction parties may in the future, become subject to litigation or governmental proceedings in connection with their respective residential mortgage businesses, the HELOCs or the mortgaged properties, and this may increase the costs and expenses of the issuing entity, the participation agent, the servicers, the securities administrator, the participation registrar, the owner trustee, the participation owner trustee and the custodian. Such costs and expenses are generally paid prior to distributions on the certificates. In addition, if a servicer or its subservicer becomes subject to additional litigation or governmental proceedings, this may affect the ability of that servicer or subservicer to perform its obligations under the related agreements, even if such litigation is not related to the issuing entity, the participation agent or the HELOC. If the participation depositor or an originator becomes subject to litigation or a governmental proceeding, this may affect the ability of the participation depositor or such originator to undertake any of the available remedies with respect to a HELOC for which there has been a breach of representations and warranties and satisfaction of the conditions to repurchase or as otherwise required under the transaction documents. This could result in a delay in or reduction of distributions on the certificates. No assurances can be made as to the effect any such litigation or governmental proceedings may have on the value of, or distributions on, the certificates.

In addition, the CFPB has also successfully asserted the power to investigate and bring enforcement actions directly against securitization vehicles. On December 13, 2021, in an action brought by the CFPB, the U.S. District Court for the District of Delaware denied a motion to dismiss filed by a number of student loan securitization trusts by holding that each trust is a "covered person" under the Consumer Financial Protection Act, Title X of the Dodd-Frank Act, and thus subject to investigation and enforcement activity by the CFPB, because it engages in the servicing of loans and collecting of debt, even if indirectly through servicers and subservicers. While the court did not decide whether the trusts could be held liable for the conduct of its servicers at this stage of the case, the CFPB may now proceed with its enforcement action and make that argument. The CFPB may rely on this decision as precedent in investigating and bringing enforcement actions against other trusts, including the issuing entity, in the future. On April 29, 2022, the U.S. Court of Appeals for the Third Circuit granted a petition for permission to appeal and agreed to hear two certified questions from the district court in the interlocutory appeal. The parties, and numerous amici curiae, have submitted briefs to the Third Circuit. Oral argument on the merits occurred on May 17, 2023. There can be no assurances as to the final disposition of the case or if the lower court's ruling with respect to a securitization trust being a "covered person" under the Consumer Financial Protection Act, Title X of the Dodd-Frank Act, will withstand legal appeals and challenges.

The participation certificate seller and certain other transaction parties have been named as defendants in numerous legal proceedings related to their participation in mortgage loan securitizations and the residential mortgage market.

Each Servicer's Discretion Over the Servicing of the Related HELOCs May Impact the Amount and Timing of Funds Available to Make Distributions on the Certificates

The HELOCs will be serviced by different servicers, and the individual performance of such servicers (including their related subservicers) will vary. As a result, the performance of the HELOCs may similarly vary, which may adversely affect the certificates.

Each servicer will be obligated to service the related HELOCs in accordance with its customary servicing procedures. Each servicer has discretion in servicing the related HELOCs including the ability to waive or modify any term of a HELOC and to determine the timing and method of collection and foreclosure procedures, subject to the limitations of the related servicing agreement. See "*Servicing of the HELOCS—Waiver or Modification of HELOC Terms*" in this Memorandum. Each servicer also has different advance recoverability and determination procedures. In addition, each servicer's customary servicing procedures may change from time to time and those changes could reduce collections on the related HELOCs. Although each servicer's customary servicing procedures at any time will apply to all HELOCs serviced by such servicer, without regard to whether a HELOC has been sold to the participation agent, such servicer is not obligated to maximize collections from the HELOCs. Consequently, the manner in which a servicer exercises its servicing discretion or changes its customary servicing procedures could have an impact on the amount and timing of collections on the related HELOCs sold to the participation agent, which will impact the amount and timing of funds available to make distributions with respect to the mortgage loans on the 23-HE1 PC and on the certificates.

Dependence Upon the Performance of the Servicers

Investors will depend in large part for receipt of distributions on the certificates upon the skill and diligence of the servicers in the servicing, management and disposition of the HELOCs.

With respect to any HELOC that becomes one hundred eighty (180) or more days delinquent (or earlier, in accordance with the servicer's servicing practices) (other than due to such HELOC being or becoming subject to a forbearance plan) the related servicer will charge off such HELOC. If a HELOC becomes a charged-off loan, the related servicer will no longer be entitled to the monthly servicing fee for such HELOC or any servicing advances or pass-through expenses, but will be entitled to reimbursement of any servicing advances and pass-through expenses that accrued prior to the date such HELOC became a charged-off loan. In certain circumstances, a payment in respect of a charged-off loan may be made by the related borrower or other collections may be received in respect of a charged-off loan, but there is very little expectation of any such receipt of payment after charge off by the related servicer.

SLS may incur recoverable expenses on a charged-off loan in the event the SLS recovery team performs recovery work, and any recoverable expenses and recovery fees that are payable or reimbursable to SLS in respect of the charged-off loans will be reimbursed from any recoveries on the related charged-off loans other than, with respect to certain recovery fees other than certain recovery termination fees incurred on initiated recovery services, proceeds resulting from a sale directed by the participation agent. loanDepot is not entitled to any recovery fee with respect to charged-off loans. No servicer will be permitted to sell a charged-off loan other than upon direction from the participation agent. See "*Servicing of the HELOCs—Servicing with respect to the HELOCs—Charged-off Loans*" in this Memorandum.

To the extent that a HELOC becomes delinquent, certificateholders will be largely dependent on the skill and diligence of the related servicer to successfully modify such HELOC in such a way that the related borrower resumes making payments. If, however, where a loan modification is either not successful or is not expected to maximize proceeds, certificateholders will be dependent in large part for receipt of payments upon the skill and diligence of the related servicer in managing the orderly and prompt liquidation of such HELOC for the maximum possible recovery. This includes the ability of the related servicer to foreclose upon and liquidate such HELOC (including by the sale of the related REO property) in a timely and efficient manner; *provided, however*, the related servicer may pursue foreclosure for the related HELOCs and such HELOCs, including the related mortgage loans, may be charged-off in certain circumstances described in this Memorandum with limited expectation of further recovery. The challenge of obtaining satisfactory net liquidation proceeds will be compounded by the fact that for a substantial percentage of the HELOCs, the value of the related mortgaged property (and any REO property acquired in respect of the related HELOC) may be less and, in many cases, substantially less, than the total unpaid principal balance of such HELOC and, because all of the HELOCs are second lien HELOCs, any associated first lien loans and other first liens (such as mechanics liens, tax liens, HOA liens, municipal liens, and any other similar liens or assessments). This ability will be further limited by (i) any additional draws made by the borrowers on the HELOCs and/or (ii) a decrease in the value of the related mortgaged property. In the case of these so-called "underwater" HELOCs, if the servicer of any associated first lien loan or the related servicer may also engage in non-foreclosure loss mitigation activities such as short sales or acceptance of a deed-in-lieu of foreclosure, both of which are more likely options for first lien loans, the lien of the related second lien HELOC would be extinguished and losses could occur (to the extent such HELOCs have not already been charged off). Furthermore, liquidation expenses, such as legal fees, real estate taxes and maintenance and preservation expenses, as well as higher servicing fees that apply to non-performing loans, may reduce the related liquidation proceeds. As a result, in many cases the liquidation proceeds received will be insufficient to avoid a realized loss. If residential property values decline, there is a significant risk that the net liquidation proceeds that the related servicer is able to generate will be sufficiently low such that the yields on the certificates will be significantly reduced, and certificateholders could suffer significant principal losses and/or interest shortfalls and may fail to recoup their initial investment. There can be no assurance that the servicers, or any successor servicer, will service and administer the HELOCs (including the related REO properties) in a manner that will ensure collection or recovery of amounts sufficient to pay all interest and principal due to certificateholders.

Certificateholders Should Consider the Characteristics and Risks Associated with the Related Depositable Certificates and a Number of Factors that Will Limit Their Ability to Exchange Depositable Certificates for Related Exchangeable Certificates

The characteristics of the exchangeable certificates in an exchangeable combination will reflect the characteristics of the related depositable certificates. The exchangeable certificates are not separate legal obligations of the issuing entity but are certificates issued by the issuing entity that represent combinations (as set forth in the Annex C to this Memorandum) of classes of depositable certificates with the distribution rights and obligations of such depositable certificates. Consequently, any risks related to a particular class of depositable certificates will generally be applicable to the exchangeable certificates in the related exchangeable combination. A prospective investor in a class of exchangeable certificates should consider the characteristics and risks of each related class of depositable certificates and the information in this Memorandum regarding each related class of depositable certificates.

Investors should also consider that there are a number of factors that will limit a certificateholder's ability to exchange depositable certificates for related exchangeable certificates and vice versa, including the following:

- At the time of the proposed exchange, a certificateholder must own certificates of the related class or classes in the proportions necessary to make the desired exchange as shown in Annex C to this Memorandum and must pay the exchange fee.

- A certificateholder that does not own the certificates may be unable to obtain the necessary depositable certificates or exchangeable certificates to effect the desired exchange.

- The certificateholder of needed certificates may refuse to sell them at a reasonable price (or any price) or may be unable to sell them.

- Certain certificates may have been purchased or placed into other financial structures and thus may be unavailable for exchange.

- Principal distributions will decrease the amounts available for exchange over time and may eliminate the possibility of certain exchanges.

- Only the combinations listed on Annex C to this Memorandum are permitted.

We make no statement as to the possible merits of any exchange.

The Class X Certificates and the Excess Servicing Certificates Will Be Subject to Certain Risks

The yields on the Class X Certificates and excess servicing certificates will be sensitive to the rate and timing of principal prepayments, draws, liquidations and repurchases of the HELOCs related to the mortgage loans. Investors in the Class X Certificates and excess servicing certificates should be aware that HELOCs with higher mortgage rates are more likely to prepay faster than HELOCs with lower mortgage rates. If the HELOCs are prepaid at a rate faster than an investor assumed at the time of purchase, the yield to investors in the Class X Certificates and excess servicing certificates may be adversely affected. In addition, investors in the Class X Certificates and excess servicing certificates should note that the provisions contained herein with respect to breaches of representations and warranties and certain other repurchase obligations related to HELOC deficiencies could materially affect their yield. Investors in the Class X Certificates and excess servicing certificates should fully consider the risk that a rapid rate of prepayments, reduction of mortgage rates, liquidations and repurchases of the HELOCs related to the mortgage loans could result in the failure of these investors to fully recover their investments. If HELOCs with mortgage rates that are higher than the Net WAC of the mortgage pool prepay, are modified, default or are otherwise liquidated or repurchased, the Net WAC of the mortgage pool will decline, which will reduce the pass-through rate on the Class X Certificates which is then determined on the basis of Net WAC.

See *"—The Rate of Principal Payments, Including Principal Prepayments, on the HELOCs Will Affect the Yields on the Certificates"* in this Memorandum.

In addition, the yield on the excess servicing certificates will be sensitive to the amount of fees paid and increases in the servicing fee due to SLS as a servicer of certain HELOCs related to the mortgage loans. If the rate of delinquencies with respect to the HELOCs serviced by SLS increases, the amount of servicing fees payable to SLS (or a successor servicer, if applicable) will also increase, and the yield to investors in the excess servicing certificates will be adversely affected. The SLS fee arrangement may require payment of a servicing fee rate up to an amount equal to 0.50000% per annum on each HELOC, which would reduce and possibly eliminate the aggregate excess servicing strip amount payable to the excess servicing certificates. Furthermore, if either loanDepot or SLS is replaced as servicer of the HELOCs, the successor servicing fee arrangement may require payment of a servicing fee rate in excess of the then-existing servicing fee rate, and possibly equal to or in excess of 0.50000% per annum, which would reduce and possibly eliminate the aggregate excess servicing strip amount payable to the excess servicing certificates and reduce the interest distribution amount available to pay interest on the other certificates. See "*Servicing and Certain Subservicing Transfers May Result in Decreased or Delayed Collections and Losses*" in this memorandum.

Special Risks Associated with the Principal-Only Certificates

The Class B-4 Certificates have a pass-through rate equal to 0.00% per annum and thus will only be entitled to payments in respect of principal. Therefore, the Class B-4 Certificates have a yield to maturity (or early termination) that is highly sensitive to prepayments on the HELOCs.

If you purchase a Class B-4 Certificate, you should consider the risk that you may receive a lower than expected yield. In particular, if you purchase a Class B-4 Certificate at a discount, a slower than expected rate of prepayments on the HELOCs will likely result in a lower than expected yield on such Class B-4 Certificate. See "*Yield, Prepayment and Average Weighted Life*" in this memorandum.

The Floating Rate Certificates Will Be Subject to Certain Risks

The Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2 and Class B-3 Certificates (which are floating rate certificates) will have a pass-through rate that will vary directly with the rate of the related benchmark. Accordingly, these certificates will be sensitive to changes in the rate of the related benchmark (referred to in the following paragraphs as the "Index"). In addition, payment of interest on the certificates is dependent on cash flows and assets that are not linked to the related benchmark but instead are based on WSJ Prime Rate. Accordingly, there may be basis risk with respect to the Mortgage Loans, which could result in shortfalls that could adversely affect the value and return on the certificates. See "*—The Occurrence of a Benchmark Transition Event May Affect Yields on the Floating Rate Certificates,*" "*—Risks related to Floating Rate Certificates Calculated Using SOFR,*" "*—Risks related to Compounded SOFR and Term SOFR,*" "*—SOFR May Be More Volatile Than Other Benchmark or Market Rates,*" "*—Any Failure of SOFR to Gain Market Acceptance Could Adversely Affect the Floating Rate Certificates*" and "*Yield, Prepayment and Weighted Average Life—Floating Rate Certificates*" in this Memorandum for more detail.

If you invest in floating rate certificates, you should consider the following risks:

- if you own floating rate certificates, lower Index levels than you expect could result in yields lower than you expected.

- when mortgage interest rates are generally low, which usually results in faster prepayments, the applicable Index value may be high. On the other hand, when mortgage interest rates are generally high, which usually results in slower prepayments, the applicable Index value could be low. Either of these scenarios could result in a lower than expected yield on your certificates.

- no Index will remain constant at any value. Even if the average value of an Index is consistent with what you expect, the timing of any changes in that value may affect your actual yield. In general, the earlier a change in the value of the applicable Index, the greater the effect on your yield. As a result, a negative effect on your yield produced by an Index value that is higher (or lower) than you expect early in your investment is not likely to be offset by an equivalent reduction (or increase) in that value in later periods.

Risks related to Floating Rate Certificates Calculated Using SOFR

On June 22, 2017, the Alternative Reference Rates Committee ("ARRC") convened by the Board of Governors of the Federal Reserve System and the Federal Reserve Bank of New York identified SOFR as the rate that, in the consensus view of the ARRC, represented best practice for use in certain new U.S. dollar derivatives and other financial contracts.

The New York Federal Reserve ("FRBNY") publishes SOFR on the FRBNY's website. SOFR is intended to be a broad measure of the cost of borrowing cash overnight collateralized by Treasury securities. SOFR is calculated as a volume-weighted median of transaction-level tri-party repo data collected from The Bank of New York Mellon as well as General Collateral Finance repo transaction data and data on bilateral Treasury repo transactions cleared through The Fixed Income Clearing Corporation's delivery-versus-payment service. The FRBNY notes that it obtains information from DTCC Solutions LLC, an affiliate of DTCC. The FRBNY states on its publication page for SOFR that the use of SOFR is subject to important limitations and disclaimers, including that the FRBNY may alter the methods of calculation, publication schedule, rate revision practices or availability of SOFR at any time without notice.

The activities of the FRBNY may directly affect prevailing SOFR rates in ways we are unable to predict. There can be no guarantee that SOFR will not be discontinued or fundamentally altered in a manner that is materially adverse to the interests of investors in certificates calculated based on SOFR. If the manner in which SOFR is calculated is changed or if SOFR is discontinued, that change or discontinuance may result in a reduction of the amount of interest payable on certificates calculated based on SOFR and the trading prices of such certificates.

The FRBNY began to publish SOFR in April 2018. The FRBNY has also been publishing historical indicative secured overnight financing rates going back to 2014. Investors should not rely on any historical changes or trends in SOFR as an indicator of future changes or trends in SOFR. As an overnight lending rate, SOFR may be subject to higher levels of volatility relative to other interest rate benchmarks. Also, because SOFR is a relatively new market index, the certificates with interest calculated based on SOFR will likely have no established trading market when issued, and an established trading market may not develop or may not provide significant liquidity. Market terms for certificates with interest calculated based on SOFR, such as the spread over the rate reflected in interest rate provisions, may evolve over time, and as a result, trading prices of such certificates may be lower than those of later-issued certificates by other issuers with interest rates based on SOFR. Similarly, if SOFR does not become widely adopted for securities like the certificates with interest calculations based on SOFR, the trading prices of such certificates may be lower than those of securities like the certificates linked to indices that are more widely used. Investors in certificates with interest calculated based on SOFR may not be able to sell such certificates at all or may not be able to sell such certificates at prices that will provide them with yields comparable to those of similar investments that have a developed secondary market, and may consequently experience increased pricing volatility and market risk.

The use of SOFR may present additional risks that could adversely affect the value of and return on the certificates with interest calculated based on SOFR. In contrast to other indices, SOFR may be subject to direct influence by activities of the FRBNY, which activities may directly affect prevailing SOFR rates in ways we are unable to predict.

Risks related to Compounded SOFR and Term SOFR

The FRBNY began to publish, in March 2020, compounded averages of SOFR, which are used to determine compounded SOFR, and term SOFR is currently in development and no assurance can be provided that its development will be completed. It is possible that there will be limited interest in securities products based on compounded SOFR or term SOFR. As a result, investors should consider whether any future reliance on compounded SOFR or term SOFR may adversely affect the market values and yields of the certificates with interest calculations based on SOFR due to potentially limited liquidity and resulting constraints on available hedging and financing alternatives.

The certificates with interest calculations based on SOFR will be based on the SOFR rate. The SOFR rate will be based on compounded SOFR unless and until certain conditions are satisfied, in which case the SOFR rate will then be based on term SOFR. The depositor may, from time to time, make SOFR adjustment conforming changes, which could change the methodology used to determine the SOFR rate. There can be no assurance that the methodology used to calculate compounded SOFR, or, if later adopted, term SOFR, will not be adjusted as described in the prior sentence and, if so adjusted, that the resulting interest rate will yield the same or similar economic results over the lives of the affected certificates relative to the results that would have occurred had the interest rates been based on compounded SOFR or term SOFR, as applicable, without such adjustment or that the market value will not decrease due to any such adjustment in methodology.

We can provide no assurance that the SOFR rate will eventually be based on term SOFR or, if based on term SOFR in the future, that the resulting interest rate on the related floating rate certificates will yield the same or similar economic results over the lives of the affected certificates relative to the results that would have occurred had the related interest rates been based on compounded SOFR or that the market value will not decrease due to the move from compounded SOFR to term SOFR.

Investors in the floating rate certificates, all of which have interest rates based on SOFR, should carefully consider the foregoing uncertainties prior to purchasing those certificates. In general, events related to SOFR and alternative reference rates may adversely affect the liquidity, market value and yield of such certificates.

SOFR May Be More Volatile Than Other Benchmark or Market Rates

Since the initial publication of SOFR, daily changes in SOFR have, on occasion, been more volatile than daily changes in other benchmark or market rates, such as U.S. dollar London Inter-Bank Offered Rate ("LIBOR"). Although changes in compounded SOFR generally are not expected to be as volatile as changes in daily levels of SOFR, the return on and value of the floating rate certificates may fluctuate more than floating rate debt securities that are linked to less volatile rates. In addition, the volatility of SOFR has reflected the underlying volatility of the overnight Treasury repo market. The Federal Reserve Bank of New York has at times conducted operations in the overnight Treasury repo market in order to help maintain the federal funds rate within a target range. There can be no assurance that the Federal Reserve Bank of New York will continue to conduct such operations in the future, and the duration and extent of any such operations is inherently uncertain. The effect of any such operations, or of the cessation of such operations to the extent they are commenced, is uncertain and could be materially adverse to investors in the floating rate certificates.

Any Failure of SOFR to Gain Market Acceptance Could Adversely Affect the Floating Rate Certificates

According to the ARRC, SOFR was developed for use in certain U.S. dollar derivatives and other financial contracts as an alternative to U.S. dollar LIBOR in part because it is considered a good representation of general funding conditions in the overnight Treasury repo market. However, as a rate based on transactions secured by Treasury securities, it does not measure bank-specific credit risk and, as a result, is less likely to correlate with the unsecured short-term funding costs of banks. This may mean that market participants would not consider SOFR a suitable replacement or successor for all of the purposes for which U.S. dollar LIBOR historically has been used (including, without limitation, as a representation of the unsecured short-term funding costs of banks), which may, in turn, lessen market acceptance of SOFR. Any failure of SOFR to gain market acceptance could adversely affect the return on and value of the floating rate certificates and the price at which investors can sell the floating rate certificates in the secondary market.

In addition, if SOFR does not prove to be widely used as a benchmark in securities that are similar or comparable to the floating rate certificates, the trading price of the floating rate certificates may be lower than those of securities that are linked to rates that are more widely used. Similarly, market terms for floating rate debt securities linked to SOFR, such as the spread over the base rate reflected in interest rate provisions or the manner of compounding the base rate, may evolve over time, and trading prices of the floating rate certificates may be lower than those of later-issued SOFR-based debt securities as a result. Investors in the floating rate certificates may not be able to sell the floating rate certificates at all or may not be able to sell the floating rate certificates at prices that will provide them with a yield comparable to similar investments that have a developed secondary market, and may consequently suffer from increased pricing volatility and market risk.

The Occurrence of a Benchmark Transition Event May Affect Yields on the Floating Rate Certificates

Upon the occurrence of a benchmark transition event, the depositor will determine a benchmark replacement to the SOFR rate in accordance with the applicable provisions of the securitization sale agreement, which benchmark replacement will be used to calculate the pass-through rate on the floating rate certificates for the next following accrual period and for each accrual period thereafter. Such a change to the method of determining the pass-through rate on the floating rate certificates may adversely affect the yield to maturity of the floating rate certificates. In addition, prior to the occurrence of a benchmark transition event, if the securities administrator is unable to determine the SOFR rate in accordance with the methods prescribed in the securitization sale agreement, the pass-through rate on the floating rate certificates will be calculated using the SOFR rate as determined for the immediately preceding accrual period, which may negatively affect the market value and liquidity of the floating rate certificates. In connection with a benchmark transition event and the determination of a benchmark replacement, the transaction documents will be deemed to have been amended to reflect such determinations, as well as any necessary technical, administrative or operational changes related thereto, without satisfaction of any amendment provision of any transaction document and without the consent of any certificateholders, and each certificateholder nevertheless will be bound thereby. Any determination made by the depositor with respect to or in connection with a benchmark transition event and determination of a benchmark replacement, and any calculation by the securities administrator of the applicable benchmark with respect to an accrual period, in each case, will be final and binding on the certificateholders in the absence of manifest error.

In addition, each certificateholder, by its acceptance of a certificate or a beneficial interest in a certificate, will be deemed to waive and release any and all claims against the issuing entity, the participation certificate seller, the depositor, the owner trustee, the sponsors, the participation owner trustee, the securities administrator, the participation agent and each servicer relating to any determination made by the depositor in connection with a benchmark transition event or a benchmark replacement (including, without limitation, the determination to refrain from taking any action). The issuing entity will indemnify the participation certificate seller and the depositor against any losses, claims, damages, liabilities, forfeitures, fines, penalties, costs, fees or expenses (including attorneys' fees) sustained by the participation certificate seller or the depositor in connection with, or arising out of, any action taken by the depositor in connection with a benchmark replacement as described under "*Description of the Certificates—Distributions of Interest—Determination of Benchmark for Floating Rate Certificates*" in this Memorandum or the decision by the depositor to refrain from taking any action permitted to be taken by the depositor in connection with a benchmark replacement, and the payment of such indemnification amounts will not be subject to any annual expense cap.

Further, as described under "*Description of the Certificates—Distributions of Interest—Determination of Benchmark for Floating Rate Certificates,*" the benchmark replacement will depend on the availability of various alternative benchmarks, which are not currently specified.

See "*Description of the Certificates—Distributions of Interest—Determination of Benchmark for Floating Rate Certificates*" in this Memorandum for more information.

The Limited Experience and Financial Resources of a Servicer or its Subservicer May Adversely Affect the Certificates

Certain of the servicers may have limited experience in servicing HELOCs and a servicer or a subservicer may have insufficient financial resources to meet their obligations under the related servicing agreement, including, in the case of a servicer, its obligation to the participation agent to make servicing advances in respect of the related HELOCs. Limited experience servicing HELOCs may result in increased delinquencies, defaults and losses on the HELOCs, foreclosure delays, failures in expeditiously implementing loss mitigation measures and other circumstances that may result in delayed payments to, or losses on, the certificates. Limited financial resources may result in a diminished servicing capability, a delay or failure in making servicing advances and other circumstances that may result in increased delinquencies, defaults and losses on the HELOCs, foreclosure delays, failures in expeditiously implementing loss mitigation measures, servicing transfers and other circumstances causing delayed payments to, or losses on, the certificates. In addition, if a servicer relies on an advance facility to provide it with the requisite liquidity to make servicing advances, and such facility becomes unavailable for any reason and a replacement facility is not entered into promptly, that servicer may not have the financial resources to meet its advancing obligations. Even if a servicer or subservicer has adequate financial resources currently, it may not have such resources in the future or it may not have sufficient financial resources to meet its obligations if a larger number of HELOCs serviced or subserviced by it experience delinquencies or defaults. None of the sponsors, the depositor, the participation certificate seller, the participation agent, the initial purchasers or any other party makes any assurance that any servicer or subservicer has the requisite experience or financial resources to comply with its obligations under the related servicing agreement or subservicing agreement. See "*—Financial Difficulties of Originators, Servicers and Subservicers May Impact the Return on the Certificates*" above.

Assignment by a Servicer of All or a Portion of Its Servicing Fees May Have an Adverse Effect on Its Performance

If a servicer assigns all or a portion of its servicing fee, it is likely to have a reduced incentive to ensure that its servicing obligations are fully and properly performed. This may result in increased delinquencies, defaults and losses on the HELOCs, foreclosure delays, failures in expeditiously implementing loss mitigation measures, servicing transfers and other circumstances causing delayed payments to, or losses on, the certificates. A servicer may wish to assign the right to payment of all or a portion of its servicing fee if it has contracted with a subservicer to pay a subservicing fee that is less than the servicing fee payable to the servicer. This assignment would allow the servicer to monetize those servicing fees, and the servicer would no longer receive all or a portion of the servicing fees payable to it under the related servicing agreement. While certain of the servicing agreements may limit the ability of a servicer to assign its rights under the related servicing agreement in certain circumstances, such a provision may be rendered unenforceable pursuant to applicable law. One or more of the servicers may also assign their servicing fees at any time in the future, and the certificateholders may receive no notice of such assignment.

Risks Primarily Related to the Mortgage Loans

Developments in the Residential Mortgage Market May Adversely Affect the Performance and Market Value of Your Certificates

Since late 2006, delinquencies, defaults, modifications, foreclosures and losses with respect to residential mortgage loans have increased relative to the period prior to 2006, and although there has subsequently been a decline in most areas since then (subject to the recent impact of COVID-19), delinquencies, defaults, modifications, foreclosures and losses could increase in the future. The higher rates of delinquencies, defaults, modifications and foreclosures have not been limited to "subprime" mortgage loans, which are made to borrowers with impaired credit, but also affected "Alt A" mortgage loans, which are made to borrowers often with more limited documentation, and "prime" mortgage loans, which are made to borrowers with better credit who often provide full documentation.

Losses on all types of residential mortgage loans increased due to declines in residential real estate values, resulting in reduced home equity. Although home prices have shown greater stability and have increased in many geographic areas, there can be no assurance that a future decline will not occur and continue for an indefinite period of time, especially in areas, such as New York and California, where housing prices have rapidly appreciated over a short period of time and have recently shown evidence of slowing or, in some cases, decreasing from recent highs. A decline in property values or the failure of property values to increase where the outstanding balances of the HELOCs and any secondary financing on the related mortgaged properties are close to or in excess of the value of the mortgaged properties will likely result in higher delinquencies, foreclosures and losses. Any decline in real estate values may be more severe for HELOCs secured by high-value properties. Declining property values will likely create an oversupply of homes on the market, which may increase negative home equity.

In addition, over the last several years, home-building activity has been slower than the historical average. This has resulted in lower housing inventory which has resulted in rising prices. If home-building activity increases, existing home prices may decline as additional housing units become available. This may result in a general reduction in existing home values and result in increased delinquencies and losses.

Current market conditions may impair borrowers' ability to refinance or sell their residential properties, which may also contribute to higher delinquency and default rates. In response to increased delinquencies and losses with respect to mortgage loans, many residential mortgage loan originators implemented more conservative underwriting criteria for mortgage loans, which has resulted in reduced availability of financing alternatives for some borrowers seeking to refinance their mortgage loans. The reduced availability of refinancing options for some borrowers has resulted in slower rates of prepayments and higher rates of delinquencies and defaults and losses on the related mortgage loans. These risks would be exacerbated to the extent that prevailing mortgage interest rates increase from current levels. Any future decline in housing values may prevent borrowers with insufficient equity in their homes from refinancing. Furthermore, borrowers who intend to sell their homes on or before the maturity dates on their HELOCs may find that they cannot sell their properties for an amount equal to or greater than the unpaid principal balance of their loans. While some mortgage loan originators and servicers have created or otherwise are participating in modification programs in order to assist borrowers with refinancing or otherwise meeting their payment obligations, not all borrowers will qualify for or take advantage of these opportunities.

These trends may reduce alternatives for borrowers seeking to refinance their HELOCs. The reduced availability of refinancing options for borrowers may result in higher rates of delinquencies and losses on the HELOCs and may also make it more difficult to engage a successor servicer if a servicer is in default.

In response to some of the circumstances described above, federal, state and local authorities have enacted and continue to propose new legislation, rules and regulations relating to the origination, servicing and treatment of mortgage loans in default or in bankruptcy, including as described above under "*—Risks Primarily Related to the Certificates—Governmental Intervention, Financial Regulatory Reforms and Proposed Regulations Could Have a Significant Impact on the Participation Certificate Seller, the Depositor, the Issuing Entity, the Participation Agent,* *the Originators, the Servicers or Other Parties or on the Value or Marketability of the Certificates*." These initiatives could result in delayed or reduced collections from borrowers, limitations on the foreclosure process and generally increased servicing costs. Certain of these initiatives could also permit or require the servicers to take actions, such as modification of HELOCs, including the reduction of principal due on the HELOC that might adversely affect the certificates, without any remedy or compensation to the holders of the certificates.

The conservatorships of the Federal National Mortgage Association (commonly referred to as "Fannie Mae") and the Federal Home Loan Mortgage Corporation (commonly referred to as "Freddie Mac") in September 2008 have impacted both the real estate market and the value of real estate assets generally. While Fannie Mae and Freddie Mac currently act as the primary sources of liquidity in the residential mortgage markets, both by purchasing mortgage loans for their own portfolios and by guaranteeing mortgage-backed securities, their long-term role is uncertain as various government officials have proposed reducing and, in some cases, eliminating their role in the residential mortgage markets. On March 27, 2019, former President Donald Trump signed a memorandum calling for an end of the conservatorship of Fannie Mae and Freddie Mac. The memorandum details programs and objectives that the government agencies are asked to analyze for reform. On September 5, 2019, in response to the former President's memorandum, the Treasury and the U.S. Department of Housing and Urban Development ("HUD") released plans detailing how such agencies believe the housing finance system should be reformed. The plans consist of a series of recommended legislative and administrative reforms to end the conservatorship of Fannie Mae and Freddie Mac, while still guaranteeing support for single- and multifamily lending and affordable housing initiatives. In addition, Fannie Mae and Freddie Mac were projected to exhaust their capital in 2017, but reached an agreement with the Treasury Department which allowed each entity to retain $3 billion in capital. If Fannie Mae and Freddie Mac exhaust their capital reserves, this may result in a draw under their line of credit from the Treasury Department. A reduction in the ability of mortgage loan originators to access Fannie Mae and Freddie Mac to sell their mortgage loans may adversely affect the financial condition of mortgage loan originators and have a negative impact on the housing market as a whole. In addition, any decline in the value of securities issued by Fannie Mae and Freddie Mac may affect the value of RMBS in general. It remains unclear whether, and if so on what timeline, the Biden-Harris Administration will address the conservatorships of Fannie Mae and Freddie Mac and any such comprehensive housing reform.

In addition, on June 23, 2021, the Supreme Court of the United States held on appeal in *Collins v. Yellin* that the Federal Housing Finance Agency (the "FHFA") did not exceed its authority under the Housing and Economic Recovery Act of 2008 (the "Recovery Act") as a conservator of Fannie Mae and Freddie Mac, the anti-injunction provisions of the Recovery Act bar the statutory claim brought by shareholders of those entities and the Recovery Act's structure, which restricts the President's power to remove the FHFA director, violates the separation of powers. On the same day, FHFA Director Mark Calabria was removed as the director of the FHFA, and the Biden-Harris Administration appointed Sandra Thompson to serve as acting director and she has since been confirmed as director of the FHFA. We cannot predict such matters or their effect on the mortgage markets generally, or on the market value or performance of the HELOCs or the offered certificates.

The ability or willingness of borrowers to make payments on their HELOCs, including prepayments, may be affected by a variety of social and economic factors. Economic factors include interest rates, unemployment levels, home prices, adjustments in a borrower's payment obligations under other indebtedness incurred by such borrower, the rate of inflation and consumer perceptions of economic conditions generally. Social factors include changes in consumer confidence levels and changing attitudes in respect of incurring debt and changing attitudes regarding the stigma of personal bankruptcy, property foreclosure, or delinquency. Following the recent housing decline and the related governmental and regulatory responses including mandating changes in servicing and loss mitigation processes focusing on modification, principal forgiveness and deferral and borrower home retention versus foreclosure, new market practices may have changed the willingness of borrowers to make payments on their HELOCs and in the event of a decline in the price or the value of their underlying mortgaged property, the willingness of a borrower to strategically default may be increased, thereby increasing the risks associated with regional and national home price declines. Economic conditions may also be impacted by localized weather events, environmental disasters and terrorist events or a deterioration or improvement in economic conditions in one of the markets where borrowers of the HELOCs are concentrated. See "—*Geographic Concentration May Increase Risk of Loss Due to Adverse Economic Conditions or Natural Disasters including Geographic Concentrations in Recently Designated Disaster Areas.*"

These adverse changes in market and credit conditions may have the effect of depressing the market values of RMBS generally, and substantially reducing the liquidity of RMBS generally. These developments may adversely affect the performance, marketability and overall market value of your certificates.

Appraisals May Not Accurately Reflect the Value or Condition of the Mortgaged Property

In general, appraisals represent the subjective analysis and opinion of the person performing the appraisal at the time the appraisal is prepared and are not guarantees of, and may not be indicative of, past, present or future value. There can be no assurance that another person would not have arrived at a different, and perhaps a substantially different, valuation, even if that person used the same general approach to and same method of valuing the property, or that different valuations would not have been reached by any originator based on its internal review of such appraisals. Investors are encouraged to make their own determination as to whether an appraisal is an accurate representation of the value of a mortgaged property.

The appraisals obtained in connection with the origination of the HELOCs were intended to establish the amount a typically motivated buyer would pay a typically motivated seller at the time the appraisals were prepared. In determining the price a "typically motivated" buyer would be willing to pay, appraisers examine comparable sales in a specified locality and adjust the price upward or downward based on the characteristics of the related property. An appraisal does not reflect the insurance replacement value of a particular home. The price a "typically motivated" buyer would be willing to pay is subject to the appraiser's subjective analysis and opinion and could be significantly higher than the amount that would be obtained from the sale of a mortgaged property under a distressed or liquidation sale. In addition, appraisers may use substantially different methods to establish or estimate a buyer's "typical motivations" with respect to an individual property.

Appraisers commonly use historical comparable sale data and current comparable listings in appraising the value of a home. Historical comparable sale data may not accurately reflect more current trends in property values in a particular geographic area, which may contribute to overstated or understated appraised values. Moreover, the prices of comparable sale properties used to establish the price a "typically motivated" buyer would pay for a subject property, particularly a home with a higher appraised value, may have been influenced by factors unrelated to the appraiser's analysis.

An original valuation was made in connection with the origination of all of the HELOCs. A review of a portion of the appraisals of the mortgaged properties for the HELOCs was part of the pre-offering review of the HELOCs. A description of the procedures that were used, and the limitations of the pre-offering review process, can be found under "*Pre-Offering Review of HELOCs*" in this Memorandum.

The appraisals, which took place between December 30, 2021 and April 13, 2023, were generally prepared in connection with the underwriting and origination of the related HELOC. Appraisals were conducted using a full interior appraisal with respect to HELOCs related to approximately 42.43% of the mortgage loans by aggregate unpaid principal balance as of the cut-off date, using an automated valuation model ("AVM") with respect to HELOCs related to approximately 51.99% of the mortgage loans by aggregate unpaid principal balance as of the cut-off date, a hybrid appraisal that combines an exterior review with a local, appraiser-completed desktop valuation with respect to HELOCs related to approximately 0.15% of the mortgage loans by aggregate unpaid principal balance as of the cut-off date and a broker's price opinion ("BPO") with respect to HELOCs related to approximately 2.65% of the mortgage loans by aggregate unpaid principal balance as of the cut-off date. A BPO represents a broker's opinion as to the value of a particular mortgaged property. A BPO is not an appraisal and does not include any interior inspection of the mortgaged property and only involves a very limited exterior inspection of the mortgaged property. An AVM is a statistical model that provides an estimated property value based on the analysis of comparable home price data along with an AVM confidence score and a forecast standard deviation ("FSD"). FSD is a statistical measure that scores the likeliness that a valuation is accurate. Most AVM confidence scores are based on the calculated FSD produced along with the value prediction. The FSD can be used to determine a highly probable value range around the property's value. The AVMs obtained did not include an actual inspection of the property. Therefore, as compared to a full appraisal, any value based on an AVM may not accurately reflect the value of the related mortgaged property. In addition, approximately 2.78% of the mortgage loans by aggregate unpaid principal balance as of the cut-off date related to HELOCs that were subject to an exterior-only appraisal, which is an appraisal that is based on an exterior inspection of the subject property. While an appraiser conducting an exterior-only appraisal may source interior pictures, review video-tours or rely on other trusted sources of information in connection with making a determination of value, there is a risk that the condition details of the property cannot be verified to the same extent had the appraiser been provided access to the interior of the home and no assurance can be given that the sources of information used in making any value determination were reliable. There also can be no assurance that the values obtained in connection with any exterior-only appraisals are as accurate as those obtained in connection with a full appraisal; therefore the value of the mortgaged properties could be lower, and in some cases significantly lower, than the values indicated in the exterior-only appraisals. Updated valuations were not obtained with respect to any HELOCs in the mortgage pool, and the current market value of the mortgaged properties could be lower, and in some cases significantly lower, than the values indicated in the appraisals obtained at the origination of the HELOCs and included in the loan-to value ratios reflected in this Memorandum. Therefore, the current market value of the mortgaged properties could be lower, and in some cases significantly lower, than the values indicated in the appraisals obtained at the origination of the HELOCs. Investors are encouraged to make their own determinations as to the proper valuation of the mortgaged properties securing the HELOCs.

Mortgage loans with an unpaid principal balance over $350,000, which constitute approximately 6.17% of the aggregate unpaid principal balance of the mortgage loans as of the cut-off date, may present a greater risk than mortgage loans with a lower principal balance because defaults on a mortgage loan with a larger principal balance may result in greater losses allocated to the certificateholders. Mortgage loans for which the related first lien mortgage loans have an unpaid principal balance over $650,000 at the time of the origination of the related second-lien HELOC, constitute approximately 17.51% of the aggregate unpaid principal balance of the mortgage loans as of the cut-off date. Such mortgage loans present a greater risk than mortgage loans for which the related first lien mortgage loan has a lower principal balance because defaults on such mortgage loan may result in greater losses allocated to the certificateholders.

Risks Relating to High Loan-to-Value Ratios; Valuation of Mortgaged Properties

The drawn combined loan-to-value ratio for each HELOC is a fraction, expressed as a percentage, (i) the numerator of which is the sum of the unpaid principal balance on such HELOC and the principal balance of the related associated first lien loan(s) and any known subordinate financing as of the cut-off date, and (ii) the denominator of which is the related mortgaged property value at origination (which is generally the lesser of the sales price, if applicable, and the original valuation used at the time of origination). The drawn loan-to-value ratio for each HELOC is a fraction, expressed as a percentage, (i) the numerator of which is the sum of the unpaid principal balance on such HELOC and (ii) the denominator of which is the related mortgaged property value at origination (which is generally the lesser of the sales price, if applicable, and the original valuation used at the time of origination). The maximum combined loan-to-value ratio for each HELOC is a fraction, expressed as a percentage, (i) the numerator of which is the sum of the aggregate credit limit of such HELOC and the principal balance of the related associated first lien loan(s) and any known subordinate financing as of the cut-off date and (ii) the denominator of which is the related mortgaged property value at origination (which is generally the lesser of the sales price, if applicable, and the original valuation used at the time of origination). The maximum loan-to-value ratio for each HELOC is a fraction, expressed as a percentage, (i) the numerator of which is the aggregate credit limit of such HELOC and (ii) the denominator of which is the related mortgaged property value at origination (which is generally the lesser of the sales price, if applicable, and the original valuation used at the time of origination).

The loan-to-value ratios disclosed in this Memorandum that are based on an appraisal are based solely on the appraised values provided by the related appraiser. Appraisals are opinions of the related appraisers and may not accurately reflect the value or condition of the mortgaged property, particularly during periods of volatility in the applicable real estate market (whether local, regional or national). Prospective investors should consider that if an appraisal overestimates the value of a mortgaged property, the proceeds from the liquidation of that mortgaged property may be significantly less than anticipated by investors.

The actual loan-to-value ratios for the HELOCs may be higher than the loan-to-value ratios shown in this memorandum due to (i) declines in the values of the related mortgaged properties since the dates such values were obtained or due to inaccuracies of such values or (ii) any unknown, inaccurate or incomplete data regarding the balance or presence of any associated first lien loans or liens (such as mechanics liens, tax liens, HOA liens, municipal liens, and any other similar liens or assessments) senior to the related second lien HELOC, despite the originator's review for these items during the origination process.

The loan-to-value ratios and the subordinate financing statistics that are described in this Memorandum are determined based on the amount of any known other mortgage loan secured by a lien on the same mortgaged property. The loan-to-value ratio of any HELOC and the subordinate financing statistics will not reflect the presence or amount of any other mortgage loans secured by the same mortgaged property if the related originator does not have sufficient information to provide the relevant other mortgage loan information. Such information may not be available, for example, if the related other mortgage loan was made by a party other than the related originator or the other related mortgage loan is a refinancing of an existing mortgage loan. Neither the depositor nor any initial purchaser or any other transaction party has conducted or will conduct any lien searches to determine if additional liens may exist on the mortgaged properties securing the HELOCs. Accordingly, the loan-to-value ratios that are described in this Memorandum may be higher, in some cases significantly higher, than the actual loan-to-value ratios that would be determined if other mortgage loan information were known.

In addition, in the event foreclosure proceedings are brought due to any defaulted associated first lien loan, there may be insufficient equity in the related mortgaged property to generate proceeds available to satisfy the unpaid principal balance of the related HELOC. The borrowers of second lien HELOCs with high loan-to-value ratios may have little equity or no equity and may in the future have negative equity in the related mortgaged property, and may be more likely to experience borrower default and foreclosure (and losses upon liquidation) than HELOCs with lower loan-to-value ratios. A high rate of foreclosure on second lien HELOCs with high loan-to-value ratios is likely to result in significant losses on such HELOCs. With respect to the HELOCs where there is little equity or negative equity, if the servicer of the associated first lien loan forecloses on the related mortgaged property, any HELOC will be extinguished and the entire amount of such HELOC may be lost. See "*—Special Risks Associated with the HELOCs and the Securitization Transaction—Special Risks Associated with Revolving Home Equity Lines of Credit*" in this memorandum. In addition, to the extent that a borrower defaults on a HELOC where there is little equity, no equity, or in certain circumstances, negative equity in the related mortgaged property, the related servicer may elect to delay foreclosure for an extended period of time if such servicer deems it unlikely that liquidation of the related HELOC would produce meaningful liquidation proceeds, potentially resulting is losses. In addition, HELOCs with high loan-to-value ratios are more likely to be subject to a judicial reduction of the loan amount in bankruptcy or other proceedings than HELOCs with lower loan-to-value ratios. If a court relieves a borrower's obligation to repay amounts otherwise due on a HELOC that has not been charged-off, the related servicer will not be required to make any servicing advance in respect of such amounts, and any loss in respect thereof may reduce the amounts available to be distributed on the certificates.

The related servicer may, but is not required to, suspend or otherwise limit the ability of a borrower to make further draws on their HELOC if such servicer becomes aware that the value of their mortgaged property has significantly decreased. No assurance can be made that such servicer will either become aware of any such decrease in value or that it will restrict future draws in the event it does in fact become aware. See "*Description of the Mortgage Pool*" for the reasons in which the related servicer may freeze a borrower's ability to make draws.

Investors in the certificates should note that, while in the draw period, none of the HELOCs will require any principal payments. As a result, there will likely be no principal included in the monthly payment made by the borrower for some time, and the interest only payments will not provide any protection against a decline in property values. Investors in the certificates will be exposed to the risk of a decline in property values for an extended period of time. In addition, no HELOCs in the mortgage pool have primary mortgage insurance coverage. See "*—No Primary Mortgage Insurance*" below. Investors in the certificates should also note that the ratings of the certificates are not a guaranty of the value of the mortgaged properties related to the HELOCs and certificateholders may incur losses regardless of the rating.

Investors are encouraged to make their own determination as to the degree of reliance they place on the loan-to-value ratios that are disclosed in this Memorandum.

Certain Statistical Information Regarding the HELOCs May Not Reflect All Relevant and Current Data

The table entitled "Original Debt-to-Income Ratios" in Annex A of this Memorandum is based on data collected by the originators in connection with the origination of the related HELOCs. No assurance can be made that the information regarding a borrower's or co-borrower's income, debt or assets was accurately and completely collected and reported, and no assurance can be given that the information regarding a borrower's or co-borrower's income, debt or assets that was collected by, or reported to, the related originator reflected the actual income, debt or assets of the related borrower or co-borrower. For example, certain debts such as loans that are not reported to the related originator and loans that were not discoverable by the related originator may not have been included in the debt-to-income ratio calculation. Similarly, assets whose values are difficult to determine may not have been accurately reported to or valued by the related originator and may have resulted in the borrower's or co-borrower's assets being overstated. In addition, since a borrower's and/or co-borrower's income, debt and assets may fluctuate significantly in a short period of time, no assurance can be given that if that information was collected shortly before or after origination of the related HELOC, that the information would not have varied from the information that was collected in connection with the origination of the HELOC. Moreover, a tax transcript may not have been obtained in the underwriting process. Investors are encouraged to make their own determination as to the degree of reliance they place on the information included in the table entitled "Original Debt-to-Income Ratios" in Annex A of this Memorandum. See "*—Special Risks Associated with the HELOCs and the Securitization Transaction—Special Risks Associated with Revolving Home Equity Lines of Credit*" in this Memorandum.

Underwriting Guidelines May Not Identify or Appropriately Assess Repayment Risks

Each originator that enters into an assignment agreement will represent that it generally underwrites HELOCs in substantial conformance with certain underwriting guidelines subject, in certain cases, to exceptions to those guidelines. A process for approving and originating HELOCs with exceptions is generally outlined in such underwriting guidelines. The underwriting guidelines pursuant to which the HELOCs were underwritten may not identify or appropriately assess the risk that the interest and principal payments due on a HELOC will be repaid when due, or at all, or whether the value of the mortgaged property will be sufficient to otherwise provide for recovery of such amounts. No assurance can be given that any HELOCs complied with the related originator's underwriting guidelines or that any HELOCs had compensating factors in the event that those HELOCs did not comply with the related originator's underwriting guidelines. The underwriting guidelines might underestimate the risk associated with certain features of the HELOC or certain aspects of the mortgaged property and/or the financial condition of the borrower. The underwriting guidelines might also underestimate the additional risks created by risk layering. The inclusion of the HELOCs in the mortgage pool is not a representation by the participation depositor or the depositor or any affiliate thereof that the HELOCs were originated in conformity with the related underwriting guidelines.

To the extent exceptions are made in originating a HELOC, those exceptions are subjective and may increase the risk that principal and interest amounts may not be received or recovered, and compensating factors, if any, which may have been the premise for making an exception may not in fact compensate for any additional risk. There can be no assurance that compensating factors were properly documented in the mortgage loan file. Even without any exceptions, strict adherence to underwriting guidelines does not guarantee that a borrower will fulfill its financial obligations and is at best a guideline to help originators form an opinion of a borrower's ability to perform.

The pre-offering review of the HELOCs is limited and may not reveal every variance from the underwriting guidelines. A description of the procedures that were used, and the limitations of the pre-offering review process, can be found under "*Pre-Offering Review of HELOCs*" in this Memorandum. Furthermore, the calculation of certain data fields during the underwriting process is subjective and there could be substantial differences in calculations among various underwriters and/or valuation specialists (including the review vendor). See Appendix I to this Memorandum for exceptions to the underwriting guidelines that were noted as part of the pre-offering review. You are encouraged to make your own assessment of the exceptions.

The HELOC Origination Process Is Dependent on Data Provided by Third Parties

In connection with the origination of a HELOC, an originator generally obtains from third parties information (or verification of information) regarding the borrower's income, assets and credit history and the related mortgaged property. If third parties provide inaccurate or misleading information that is used by the originator to make a lending decision, that may result in a HELOC being approved in circumstances where it would not have been had the originator been provided with accurate data. Consequently, HELOCs that were approved in such circumstances are more likely to default than HELOCs that were approved based on accurate and complete data provided by third parties. No assurance can be given that an originator received accurate and complete information from each third party involved in supplying information to such originator in connection with the approval of any HELOC.

Fraudulent Activity in Connection With, or Before or After, HELOC Origination May Result in Losses on the Certificates

Mortgage fraud may arise prior to, in connection with, or after the origination of, a HELOC. Mortgage fraud is generally understood to be a material misstatement, misrepresentation, or omission relied on by an underwriter or lender to fund or purchase a HELOC. Mortgage fraud also includes activities that result in an unintended or unauthorized transfer of a borrower's payments, proceeds from a mortgaged property or an interest in a mortgaged property, including a transfer of a mortgaged property for less than reasonably equivalent value. Prevalent mortgage fraud schemes include schemes related to loan origination, loan servicing, foreclosure rescue, real estate investment, equity skimming, short sale, property flipping, title/escrow/settlement services and builder bailout. Home equity line of credit fraud, reverse mortgage fraud and loan modification schemes are of rising concern. For example, in a loan modification scheme, the owner of a mortgaged property may be induced to transfer their interest in a mortgaged property to an entity or individual that promises to assist the owner in obtaining a HELOC modification or other relief. In addition, there have also been other instances where the owner of a mortgaged property has been induced to transfer, or unknowingly transferred, their interest in a mortgaged property for little or no consideration. This may arise as a result of, among other things, deception by a third party or adverse possession by a third party. Home equity line of credit fraud can occur when, among other things, fraudulent transactions are conducted as a result of identity theft.

Mortgage fraud perpetrators may include, but are not limited to, borrowers, mortgage brokers, lenders, servicers, appraisers, underwriters, accountants, real estate agents, settlement attorneys, land developers, investors, builders, financial institution representatives and other persons. Perpetrators target individual and institutional victims, either online or in person. Fraud may also occur during a legitimate transaction, with perpetrators using social engineering or technology tools to unlawfully gain access to e-mail or bank accounts of individuals or institutions. With access, perpetrators can assume the identity of a buyer, seller, servicer, investor, title agency personnel or another party to the transaction to redirect funds into bank accounts under criminal control.

For certain types of mortgage fraud in connection with the origination of a HELOC, investors in the certificates may receive some protection from the representations and warranties provided with respect to that HELOC. In other instances, investors in the certificates may not have any protection from fraud related to a HELOC because the fraud did not occur in connection with the origination of the HELOC, the fraud is discovered after the relevant survival period or statute of limitations for the representation or warranty related to fraud or the fraud occurred after the cut-off date or closing date (e.g., in connection with a loan modification scheme or fraudulent title transfer).

Mortgage fraud will likely result in liquidation proceeds being lower than expected or a lengthier foreclosure process, especially if ownership of the related mortgaged property is in dispute as a result of the fraudulent activity or litigation arises as a result of the mortgage fraud. Although the representations and warranties with respect to the HELOCs may address certain fraudulent activity, those representations and warranties generally apply only to fraudulent activity related to the origination of the HELOCs and are subject to limitations related to the enforcement mechanism as further described under "*—Risks Primarily Related to the Certificates—Actions to Enforce Breaches of Representations and/or Warranties Relating to HELOC Characteristics May Take a Significant Amount of Time or Cause Delays or Reductions in the Amount of Payments Made to Certificateholders and May Become Barred by the Statute of Limitations*." As a result, if there is any fraudulent activity in respect of a HELOC or the related mortgaged property, certificateholders are likely to suffer a loss.

Pre-offering Review of the HELOCs May Not Reveal Aspects of the HELOCs Which Could Lead to Losses

The sponsors or one of their respective affiliates engaged and paid a review vendor to undertake limited loan file review procedures with respect to various aspects of their respective segments of the HELOCs, including a credit review, compliance review and property valuation review. In conducting these reviews, the review vendor relied on information and resources available to it (which were limited and which, in most cases, were not independently verified) and, in certain cases, may have engaged one or more third party agents to assist in performing its review. In certain instances, the review vendor also relied on interpretations of the law by various courts, which may be subject to reversal by higher-level courts. The review procedures employed by the review vendor were intended to uncover certain material discrepancies and possible material defects in the HELOCs. However, the sponsors believe that these procedures did not constitute a re-underwriting of the HELOCs based on any updated information concerning the borrower and were not designed or intended to uncover every possible discrepancy or defect. The review vendor also assessed and validated the original valuations of the HELOCs on a portion of the pool of mortgage loans. For the remaining loans, a limited review of the original valuation was performed. In addition, the review vendor attempted to verify a portion of the data regarding characteristics of the HELOCs, which data was used in certain cases to generate the numerical information about the mortgage pool included in this Memorandum. There can be no assurance that any of the reviews that were conducted uncovered relevant facts that could be determinative of how the HELOCs will perform. Investors are encouraged to make their own determination as to whether the review procedures as further described under "*Pre-Offering Review of HELOCs*" are sufficient to meet their investment criteria.

The underwriting of the HELOCs was conducted by individuals who may have made errors or mistakes in connection with the HELOCs. The originators may not conduct any quality review or have any quality controls over their underwriting practices. Different people may have different opinions regarding whether or not a HELOC satisfies certain provisions of the related underwriting guidelines. As a result, there may be HELOCs included in the mortgage pool that do not conform to the related underwriting guidelines. The pre-offering review of the HELOCs is limited and may not reveal every variance from the related underwriting guidelines. See *"Pre-Offering Review of HELOCs"* in this Memorandum.

Furthermore, to the extent that the limited review conducted by the review vendor did not reveal factors that could affect how the HELOCs will perform, the review vendor may have, due to the subjective nature of the assessment, incorrectly assessed the potential severity of those factors or incorrectly performed the review. None of the sponsors, the participation certificate seller, the depositor, any originator, any servicer or any initial purchaser guarantees the accuracy of the results of the investigation performed by the review vendor.

Delinquencies and Losses on the HELOCs May Adversely Affect Your Yield

As of the cut-off date, 28 HELOCs, representing approximately 1.30% of the aggregate unpaid principal balance of the mortgage loans as of the cut-off date, have experienced one or more periods of delinquency in the 12-month period prior to the cut-off date. The servicers will be responsible for servicing the HELOCs regardless of whether the HELOCs are performing or have become delinquent or are otherwise in default. As delinquencies or defaults occur, the servicers will be required to utilize an increasing amount of resources to work with borrowers to maximize collections on the HELOCs. However, the related servicer will charge off any HELOC that is 180 or more days delinquent (or earlier, in accordance with the servicer's servicing practices) (other than due to such HELOC being or becoming subject to a forbearance plan), and, with respect to any charged-off loans, the related servicer may not pursue any loss mitigation or other collection strategies or foreclosure in respect of such charged-off loans. At each step in the process of trying to bring a defaulted HELOC current or in maximizing proceeds, the servicers will be required to invest time and resources not otherwise required when collecting payments on performing HELOCs. Investors should note that in connection with considering a modification or other type of loss mitigation, the servicers may incur or bear related out-of-pocket expenses, which would be reimbursed to the servicers from the participation agent prior to distributions on the certificates; provided, however, the servicers will not be entitled to recover any servicing fees or servicing advances once a HELOC becomes a charged-off loan but in some instances may be entitled to a portion of any recoveries on such charged-off loan.

Delinquencies on the HELOCs are not required to be advanced by the servicers and may adversely affect the yields on the certificates. Shortfalls in principal payments resulting from delinquencies will reduce the PC principal remittance amount for the related participation distribution date and will reduce amounts available for distribution to the certificates. Such shortfalls will be borne on such distribution date first by the subordinate certificates (other than the Class X Certificates) (in reverse order of distribution priority), then by the classes of mezzanine certificates (in reverse order of distribution priority), and then by the class of senior certificates, based on their respective class principal amounts, as described in this Memorandum.

The amount of any losses allocated to classes of certificates senior to the most subordinate class or classes of certificates may significantly increase if there are delays in liquidating or modifying defaulted HELOCs.

Any realized losses on HELOCs allocated to the mortgage loans for a distribution date that are not covered by monthly excess cashflow and will result in certificate writedown amounts that will be borne initially by the subordinate certificates (other than the Class X Certificates), in reverse sequential order, until each class has been reduced to zero, and then by each class of mezzanine certificates in reverse sequential order until its class principal amount has been reduced to zero and then by the senior certificates, until the class principal amount has been reduced to zero, in each case as described in this Memorandum under "*Description of the Certificates—Allocation of Certificate Writedown Amounts and Certificate Writeup Amounts*."

Realized losses, which will result in certificate writedown amounts, will reduce the yields on the certificates that would otherwise be received in the absence of realized losses or certificate writedown amounts. As a result, the yields on the certificates will depend on the rate and timing of realized losses on the HELOCs and certificate writedown amounts.

Special Risks Associated with Associated First Lien Loans and Other Liens

In addition to any associated first lien loan (in the case of a second lien HELOC), there may be additional liens which may be senior to a HELOC, such as mechanics liens, tax liens, HOA liens, municipal liens, and any other similar liens or assessments. With respect to the HELOCs (all of which are second liens), the servicer is not required to actively track whether or not such liens, deficiencies or charges are being paid by the borrower or the servicer of any associated first lien loan. If the associated first lien loan or another senior lien were foreclosed upon, the related servicer may have little or no knowledge of such event and therefore will not be in a position to be able to cure such delinquency prior to the lien being extinguished (provided there is a determination that the related servicing advance would be recoverable). In such cases, the second lien could be extinguished, resulting in losses in respect of the certificates.

Although it is unlikely that a servicer would pursue foreclosure as a loss mitigation option for any second lien HELOC, no assurance can be given that the related servicer will not foreclose on a second lien HELOC if market conditions and other considerations permit, nor can any assurance be given that the servicer with respect to any associated first lien loan will not foreclose, thereby extinguishing the lien of the related second lien HELOC. Due to the priority of the related associated first lien loans, the related servicer may not be able to control the timing, method or procedure of any foreclosure action relating to a second lien HELOC.

Credit Scores May Not Accurately Predict the Likelihood of Default

Each originator generally uses credit scores as part of its underwriting process. Credit scores are generated by models developed by third party credit reporting organizations which analyzed data on consumers in order to establish patterns which are believed to be indicative of a borrower's probability of default. A credit score represents an opinion of the related credit reporting organization of a borrower's creditworthiness. The credit score is based on a borrower's historical credit data provided to the credit reporting organization, which may include, among other things, payment history, delinquencies on accounts, levels of outstanding indebtedness, length of credit history, types of credit, and bankruptcy experience. Credit reporting organizations rely on the accuracy of the information that is reported to them, and if that information is inaccurate or incomplete, the related credit score may not accurately reflect the default probability of the related borrower. Credit scores can range from approximately 300 to approximately 850, with higher scores indicating an individual with a more favorable credit history compared to an individual with a lower score. A credit score purports only to be a measurement of the relative degree of risk a borrower represents to a lender, i.e., that a borrower with a higher score is statistically expected to be less likely to default in payment than a borrower with a lower score. However, borrowers that have the same credit score may also have different default probabilities since, as noted below, all credit history information for a particular borrower may not be taken into account in generating a credit score. For example, a borrower with a prior bankruptcy that is no longer noted on a credit report may have a higher probability of default than a borrower without a prior bankruptcy; however, both borrowers' credit scores may be the same since their credit scores were generated based only on the information currently noted on the applicable credit report.

In addition, credit scores were developed to indicate a level of default probability over a two-year period, which does not correspond to the life of most HELOCs. Credit scores do not necessarily correspond to the probability of default over the life of the related HELOC, because they reflect past credit history, rather than an assessment of future payment performance. Furthermore, credit scores were not developed specifically for use in connection with HELOCs, but for consumer loans in general. Therefore, credit scores do not address particular HELOC characteristics that influence the probability of repayment by the borrower. In addition, credit scores are subject to manipulation and can be inflated by taking certain actions, and recent reports have indicated that a significant percentage of loan applicants attempt to artificially inflate their credit scores prior to submitting a loan application. Recent reports have also indicated that credit scores have generally inflated over the last few years as economic conditions have improved, which makes it more likely that credit scores are currently underestimating the default risk of the borrowers.

Credit scores may be based on limited information since all of a borrower's creditors may not report to the relevant credit reporting organizations or those creditors may report a limited amount of information to the credit reporting organizations. Creditors may also report information to a credit reporting organization on a delayed basis or on an infrequent basis. Applicable law also requires third party credit reporting organizations to exclude certain aged data from credit reports after a specified period of time (e.g., bankruptcy), and credit reporting organizations may exclude aged data prior to the date on which applicable law requires such aged data to be excluded. Consequently, credit scores may not take into account all prior credit history of a borrower, and consequently, credit scores may be higher than would otherwise be the case.

In addition, one credit reporting organization, Equifax® Inc., recently reported a coding issue that may have resulted in errors to consumer credit scores and credit data reported by Equifax from March 17, 2022 to April 6, 2022. Any person that received credit report data directly from Equifax online or via a third-party consumer reporting agency/reseller over this time period may be affected by this coding issue.

For the reasons set forth above and others, credit scores should not be considered as an accurate predictor of the likelihood of repayment of the HELOCs or of the creditworthiness of a particular borrower. None of the participation depositor, the depositor, any initial purchaser or any other transaction party makes any representation or warranty as to any borrower's credit score as of the date of this Memorandum or the actual performance of any HELOC or that a particular credit score should be relied upon as a basis for an expectation that a borrower will repay its HELOC according to its terms.

HELOCs Made by Correspondent Lenders May Present a Greater Risk

Mortgage loans related to HELOCs made by correspondent lenders that apply the underwriting and origination guidelines of an originator, which constitute approximately 3.74% of the aggregate unpaid principal balance of the mortgage loans as of the cut-off date, generally demonstrate higher rates of delinquency and default than HELOCs made by originators through retail channels. Originators may acquire or indirectly originate HELOCs through correspondent lending channels where a third party mortgage lender, for payment of a fee, applies the underwriting and origination guidelines of an originator and reviews borrower documentation and otherwise evaluates borrowers for qualification under the applicable origination program, but may not directly fund the HELOC. Correspondent lenders are subject to periodic monitoring and examination by originators for compliance with agreements between such parties and accurate application of origination standards. Originators may review only a sample of approved HELOCs for compliance with underwriting guidelines, and do not in all cases re-underwrite all HELOCs approved by correspondent lenders. The misapplication of underwriting guidelines or the failure of an originator to properly monitor correspondent lenders may result in increased delinquency or default on HELOCs originated through correspondent lending channels.

In addition, HELOCs that were indirectly originated by correspondents may prepay at higher rates. See *"—Risks Primarily Related to the Certificates—The Rate of Principal Payments, Including Principal Prepayments, on the HELOCs Will Affect the Yields on the Certificates"* in this Memorandum.

HELOCs Made to Self-Employed Borrowers May Present a Greater Risk

HELOCs made to borrowers who are "self-employed," which constitute HELOCs related to approximately 14.01% of the aggregate unpaid principal balance of the mortgage loans as of the cut-off date, may present a greater risk that the borrower will default on the HELOC than HELOCs made to salaried or commissioned borrowers for a number of reasons, including the ones noted below. First, the income used to qualify self-employed borrowers may be based on tax returns that only indicate the income for the related borrower during the prior year which may not be reflective of that borrower's income at the time the HELOC was made to the borrower. In addition, any reserves that may have been used to qualify the related borrower for the related HELOC may be used by the borrower to fund expenses of, or investments by, the borrower's business. Second, the income of self-employed borrowers may vary significantly depending on expenses incurred in the operation of the borrower's business. If the business incurs significant expenses without a commensurate increase in revenue, that will reduce the amount of the business' revenue that is distributable to the borrower. Third, self-employed borrowers frequently have less predictable income since the borrower's amount of income is dependent on the business having sufficient revenue to cover all of its expenses, and any shortfall in revenue may result in the borrower receiving less income. Fourth, many self-employed borrowers may be personally liable for their business debt, and if the business has insufficient revenue to make all ongoing debt payments when due, the borrower may use personal funds (or reduce distributions from the business) to ensure that all indebtedness related to the business is paid when due. In addition, creditors of the borrower's business may seek to enforce the borrower's obligation to pay the related business debt which may result in the creditor having insufficient income to make payments on the related HELOC or result in the borrower filing for bankruptcy. Fifth, creditors of a self-employed borrower, including holders of that borrower's HELOC, are exposed to any business risks related to the borrower's business as any adverse change in the borrower's business will likely have an adverse effect on the ability of the borrower to continue making full and timely payments on the related HELOC. As a result of the reasons stated above and others, investors should consider that a higher number of self-employed borrowers may result in increased defaults on the HELOCs.

Prospective investors should note that borrowers that were not identified as "self-employed" may also have qualified for the related HELOCs based on income that included self-employment income, so a larger percentage of the HELOCs than that set forth in the immediately preceding paragraph are subject to the risks identified above.

HELOCs Secured by Two- to Three- Family Properties May Present a Greater Risk

Approximately 1.34% of the aggregate unpaid principal balance of the HELOCs as of the cut-off date are secured by two- to three- family properties. Such HELOCs may present a greater risk than HELOCs secured by single-family properties because such HELOCs have exhibited a higher default probability and higher loss severities when such loans are liquidated. Two- to three-family properties are more likely to be located in lower income census tracts compared to single-family properties, to be older leading to greater maintenance and improvement costs, and to be less liquid due to limited financing options.

HELOCs Made to Retirees May Present a Greater Risk

HELOCs made to borrowers who are retired may present a greater risk that the borrower will default on the HELOC than HELOCs made to borrowers who continue to earn income. Retirees frequently rely on fixed income, such as social security, pension payments (often from a former employer) and investment income and returns on retirement accounts, and may be subject to increased risk of rising health care costs. Retirees who rely on pension payments from a former employer are subject to the risk that the employer no longer has the financial capacity to make full and timely payment of pension obligations or the employer enters into a bankruptcy proceeding which results in the employer not being required to make full and timely payment of pension obligations. Retirement accounts expose retirees to comparably higher inflation risk and asset return risk, including during periods of economic stress. Consequently, investors should consider that a concentration of retiree borrowers may result in increased defaults on the HELOCs.

Geographic Concentration May Increase Risk of Loss Due to Adverse Economic Conditions or Natural Disasters including Geographic Concentrations in Recently Designated Disaster Areas

Approximately 41.56% of the aggregate unpaid principal balance of the mortgage loans as of the cut-off date, are related to HELOCs secured by properties located in California; approximately 14.66% of the aggregate unpaid principal balance of the mortgage loans as of the cut-off date, are secured by properties related to HELOCs located in Florida; approximately 6.37% of the aggregate unpaid principal balance of the mortgage loans as of the cut-off date, are secured by properties located in Arizona; and approximately 5.79% of the aggregate unpaid principal balance of the mortgage loans as of the cut-off date, are secured by properties related to HELOCs located in Georgia. Furthermore, within these state concentrations are significant concentrations of HELOCs secured by mortgaged properties located within certain cities and regional areas within one or more states. Adverse economic conditions (including weakness in the regional housing market) and natural disasters in those regions or states with a higher concentration of HELOCs will have a disproportionate impact on the rate of delinquencies, defaults and losses on the HELOCs. Volatility in regional and local housing markets similarly may have a disproportionate impact on the rate of prepayments, delinquencies, defaults and losses on the HELOCs. See *"—Price Volatility in Regional Residential Mortgage Markets May Increase the Risk of Delinquency, Default and Loss on the HELOCs."*

In November of 2022, Hurricane Nicole made landfall in Florida and caused flooding and other damage. Hurricane Nicole affected certain counties in Florida, including Brevard, Flagler, Lake, Putnam, St. Johns and Volusia Counties, which have been subject to a major disaster declaration by FEMA for which individual assistance is available. Seven (7) of the mortgage loans in the mortgage pool, representing approximately 0.20% of the aggregate unpaid principal balance of the mortgage loans as of the cut-off date, relate to HELOCs related to mortgaged properties located in three (3) of the affected counties in Florida, for which the original valuation date was prior to the date of the related disaster.

In December 2022 and January 2023, severe winter storms, flooding, landslides and mudslides affected Alameda, Amador, Calaveras, Contra Costa, Mendocino, Merced, Monterey, Sacramento, San Joaquin, San Luis Obispo, San Mateo, Santa Barbara, Santa Clara, Santa Cruz and Ventura counties in California. One hundred twenty-two (122) of the mortgage loans in the mortgage pool, representing approximately 6.39% of the aggregate unpaid principal balance of the mortgage loans as of the cut-off date, relate to HELOCs related to mortgaged properties located in eleven (11) of the affected counties in California, for which the original valuation date was prior to the date of the related disaster.

In January 2023, severe storms, straight-line winds, and tornadoes affected Butts, Henry, Jasper, Meriwether, Newton, Pike, Spalding and Troup counties in Georgia. Two (2) of the mortgage loans in the mortgage pool, representing approximately 0.07% of the aggregate unpaid principal balance of the mortgage loans as of the cut-off date, relate to HELOCs related to mortgaged properties located in two (2) of the affected counties in Georgia, for which the original valuation date was prior to the date of the related disaster.

In February 2023 through date of memorandum, severe winter storms, straight-line winds, flooding, landslides and mudslides affected Butte, Kern, Madera, Mariposa, Mendocino, Mono, Monterey, San Benito, San Bernardino, Santa Cruz, Tulare and Tuolumne counties in California. One hundred and one (101) of the mortgage loans in the mortgage pool, representing approximately 4.57% of the aggregate unpaid principal balance of the mortgage loans as of the cut-off date, relate to HELOCs related to mortgaged properties located in nine (9) of the affected counties in California, for which the original valuation date was prior to the date of the related disaster.

In March and April of 2023, severe storms, straight-line winds and tornadoes affected Allen, Benton, Clinton, Grant, Howard, Johnson, Lake, Monroe, Morgan, Owen, Sullivan and White counties in Indiana. Six (6) of the mortgage loans in the mortgage pool, representing approximately 0.13% of the aggregate unpaid principal balance of the mortgage loans as of the cut-off date, relate to HELOCs related to mortgaged properties located in two (2) of the affected counties in Indiana, for which the original valuation date was prior to the date of the related disaster.

In April of 2023, severe storms, tornadoes and flooding affected Broward county in Florida. Thirty-three (33) of the mortgage loans in the mortgage pool, representing approximately 1.30% of the aggregate unpaid principal balance of the mortgage loans as of the cut-off date, relate to HELOCs related to mortgaged properties located in the affected county in Florida, for which the original valuation date was prior to the date of the related disaster.

Prospective investors should also be aware that HELOCs that are secured by mortgaged properties located in the areas described in the preceding six paragraphs may be subject to damage and destruction, and that such damage and destruction may adversely affect the related HELOCs and, correspondingly, the certificates. There can be no assurance as to the effect of the disasters set forth in such paragraphs on the rate of delinquencies or losses on the HELOCs secured by mortgaged properties that have been affected by such disaster. Moreover, the participation depositor has ordered post-disaster inspections with respect to the mortgaged properties referenced in the preceding six paragraphs, and, if the Disaster Damage Ranking indicated in such post-disaster inspection was other than "1 (No Damage)" or "2 (Damage Exists)" with an "Estimated total cost to repair damage" of under $1,000, the related HELOC was excluded from the mortgage pool. Although no material visible damage may have been detected from certain inspections, such inspections are conducted from the closest public road. No assurance can be made as to whether such mortgaged properties have been damaged, regardless of the findings of such inspections.

While each such mortgaged property is covered by a hazard insurance policy, no assurance can be made that such insurance will adequately cover damage sustained to such mortgaged properties, especially if the damage is due to flooding as opposed to excessive wind. In addition, unless such mortgaged properties are in an area identified in the Federal Register by FEMA as having special flood hazards, it is not expected that such mortgaged properties would be covered by flood insurance policies. Investors in the offered certificates should note that borrowers living in mortgaged properties located in areas subject to damage caused by a natural disaster may be more likely to become delinquent, especially if they are unable to live in their mortgaged properties for an extended period of time as a result of storm damage. As a consequence, certificate writedown amounts could result.

The long term regional and local economic and other effects of the damage caused by hurricanes, wildfires, tornadoes, earthquakes and any other similar natural disasters affecting the mortgage pool, are not yet fully known. Potential economic effects could include regional interruptions in travel and transportation, tourism and economic activity generally in the affected areas or in the areas to which evacuees have fled. It is not possible to determine how long these effects may last. Furthermore, we cannot assure you that displaced residents of the affected areas will return, that the economies in the affected areas will recover sufficiently to support income producing real estate at pre-disaster levels or that the costs of clean-up will not have a material adverse effect on the economies of the affected areas. Additionally, mortgaged properties located in disaster-affected areas, regardless of whether damage has occurred to the specific property, may experience depressed property values due to the condition of surrounding properties.

In the event of future environmental disasters such as hurricanes, a servicer will likely provide disaster relief on a disaster-area-wide basis, which may include, among other things, foreclosure moratoriums, term extensions, and capitalization of delinquent payments.

Each originator that enters into an assignment agreement and the participation depositor, as applicable, will represent and warrant that, as of (i) in the case of each originator other than loanDepot and UWM, the date the related HELOC was originally transferred to the participation agent and (ii) in the case of loanDepot and UWM, the date such originator originally sold such HELOC to JPMMAC, each mortgaged property was free of material damage caused by certain natural conditions (e.g. fire, earthquake or tornado). With respect to certain of the representations and warranties made by the related originators, the participation depositor will represent that no action or event took place between the date the related originator made the applicable representation and warranty and the closing date (or the cut-off date if specified in such representation) to make such representation or warranty untrue. If any damage caused by flooding, storms, wildfires, landslides or earthquakes (or other causes) occurs after the closing date, it will not be covered by any representation or warranty of any party. Also, damage to a mortgaged property as of the closing date of $1,000 or less will not be considered material and no material breach of a representation and warranty will result from the existence of such damage. In addition, the standard hazard policies covering the mortgaged properties generally do not cover damage caused by earthquakes, volcanic activity, hurricanes, flooding and landslides, and earthquake, volcano, hurricane, flood or landslide insurance may not have been obtained with respect to such mortgaged properties. Except in the case of flood insurance, the participation depositor and the depositor have made no investigation to determine whether such insurance is necessary. As a consequence, certificate writedown amounts could result. A severe earthquake or other natural or manmade catastrophe in any of the states or cities in which there are significant concentrations of related mortgaged properties could result in significant losses on the certificates, including the senior certificates. In addition, significant changes in regional climate conditions could have effects that are difficult to foresee. To the extent that a locality becomes more susceptible to extreme temperatures or weather events or otherwise becomes less desirable as a place to live, property values could be adversely affected and rates of default could increase.

There are also significant concentrations of HELOCs in other states. *See Annex A to this Memorandum.* Consequently, losses and prepayments on the HELOCs and the resultant distributions on the certificates may be affected significantly by changes in the housing markets and the regional economies in any of these areas and by the occurrence of natural disasters, such as earthquakes, volcanic activity, hurricanes, landslides, wildfires, mudslides and floods in these areas.

Price Volatility in Regional Residential Mortgage Markets May Increase the Risk of Delinquency, Default and Loss on the HELOCs

Certain regional residential mortgage markets, including portions of California, New York, Florida and Texas, have recently experienced rapid home price increases (and, in some circumstances, decreases) that reflect factors independent of general prevailing economic, employment or demographic conditions in a particular region. Such factors may include increased incidence of home purchases for investment or other revenue-generating purposes, including home purchases made by individuals or entities with the intention of reselling the home for a profit in the near future, in some cases after making improvements, and, in markets where home rental rates are rising, purchases for the purpose of generating rental income, and other investment property acquisitions. This phenomenon may occur more frequently in coastal or other geographic areas that have higher property values, and which, in many cases, are also in areas most at risk for natural disasters. Any inflation of home prices may be temporary and unsustainable, and may be followed by a period of rapid price decline. The factors described above may contribute to prolonged periods of higher inventory of homes available in a particular market than would otherwise be the case at more natural levels of residential home purchase activity. Higher inventory, diminished interest among home buyers, falling home prices and other factors may alone or in combination lead to a severe and prolonged decline in prevailing home prices in a given geographic area, which may result in greater delinquencies, defaults and losses on the affected HELOCs. The HELOCs with relatively higher loan-to-value ratios will be particularly affected by any decline in real estate values and a decline in real estate values also may be more severe for HELOCs secured by high cost properties than those secured by low cost properties. Any decrease in the value of the HELOCs will decrease the value of the mortgage loans and may result in certificate writedown amounts. We cannot assure you that any of the factors above would not impact the prevailing property values of the mortgaged properties in a given geographic area or more broadly.

There May Be Losses if Other Interests in the HELOCs Have Priority Over the Interest of the Participation Agent

The issuing entity will not physically possess the mortgage files. Instead, the custodian will have possession of the mortgage files on behalf of the participation agent for the benefit of the issuing entity and certificateholders. As a result, if a third party (other than the custodian) without knowledge of the transfer to the participation agent for the benefit of the issuing entity were to obtain physical possession of the mortgage files, the participation agent for the benefit of the issuing entity's interest in the mortgage loans could be defeated, thereby possibly resulting in delays or reductions in distributions on the certificates. Similarly, if there is more than one original note with respect to any HELOC, and a third party (other than the custodian) were to obtain physical possession of the duplicate original note, the issuing entity's interest in the related mortgage loan could be defeated, thereby possibly resulting in delays or reductions in distributions on the certificates.

Changes in Rates of National or Regional Population Growth May Affect the Housing Prices

Increases or decreases in the rates of national or regional population growth may affect housing prices, particularly if housing starts to outpace or are outpaced by population growth trends. Any increases in home prices resulting from a mismatch between population growth and housing stock may result in a correction as housing stock is increased. Similarly, any unexpected reductions in population growth (due to proposed legislative action or otherwise) could adversely affect home prices.

Assessments and Energy Efficiency Liens May Take Priority Over the Mortgage Lien

Mortgaged properties securing the HELOCs may be subject to a lien for property taxes and/or assessments. These liens may be superior to the liens securing the HELOCs, irrespective of the date of the mortgage. In some instances, HELOCs secured by properties that have a homeowners' association and/or condominium association (a "HOA") may be subject to super-priority liens of HOAs to secure payment of periodic dues. If the related HOA or other lien owner were to enforce the lien for non-payment of dues, there can be no assurance that a foreclosure sale would not occur and that the liquidation proceeds received would be sufficient to satisfy the related HELOC.

In other instances, individual borrowers may be able to elect to enter into contracts with governmental agencies for Property Assessed Clean Energy (PACE) or similar assessments that are intended to secure the payment of energy and water efficiency and distributed energy generation improvements that are permanently affixed to their properties, possibly without notice to or the consent of the mortgagee. These assessments may also have lien priority over the mortgages securing HELOCs. No assurance can be given that any mortgaged property so assessed will increase in value to the extent of the assessment lien. Additional indebtedness secured by the assessment lien would reduce the amount of the value of the mortgaged property available to satisfy the affected HELOC. No representing party makes any representation or warranty with respect to any such lien nor will any representing party be required to take any actions or be subject to any liability with respect to any such lien.

Homeowner Association Super Priority Liens May Impair or Extinguish Mortgage Liens

In at least 20 states and the District of Columbia, common interest associations', including HOAs, assessment liens can take priority over HELOCs or deeds of trust under certain circumstances. The number of these so called "super lien" jurisdictions has increased in the past few decades and may increase further. Depending on the jurisdiction, the priority may be limited to a payment priority or may be a true priority allowing the HELOC to be extinguished. Moreover, the type of priority may not be explicitly stated in the law, may be subject to judicial interpretation, and may change. The highest courts in certain jurisdictions have interpreted super priority statutes as providing the HOA or condominium association with a true lien priority rather than a payment priority from the proceeds of the sale, creating the ability to extinguish the existing senior mortgage and greatly increasing the risk of losses on HELOCs secured by homes whose owners fail to pay HOA or condominium fees.

The laws of HOA "super lien" jurisdictions vary in terms of: (a) the type of association entitled to priority; (b) the duration of the priority period; (c) the assessments secured by the HOA lien (charges can include not only unpaid HOA assessments, but also late charges, collection costs, attorney fees, foreclosure costs, fines and interest); (d) the notice, if any, HOAs must give lenders with liens encumbering the mortgaged property of the homeowner's failure to pay the assessment; and (e) the statute of limitations on HOA foreclosure rights.

There is currently no effective mechanism available to loan servicers to track the status of borrowers' payments of HOA assessments that are governed by super lien statutes. In fact, there is neither a unified database for HOA information (such as amount and frequency of assessments or where payments should be made), nor a centralized place for HOAs and loan servicers to contact one another. Consequently, in some of the super lien jurisdictions there often is no practical, systematic method for the servicer to determine when an HOA assessment is unpaid or when the HOA initiates foreclosure of its lien. In some circumstances, the servicer may make servicing advances to pay delinquent HOA assessments or for the costs of determining whether any mortgaged property is subject to an HOA assessment or a related lien. If such servicing advances are not recovered from the related borrower or liquidation proceeds with respect to the related HELOC, they will be paid to the servicer from collections on all HELOCs and, to the extent allocable to the mortgage loans, reduce amounts payable to certificateholders.

The foreclosure of a true priority HOA super lien extinguishes any underlying mortgage lien. In those instances, the certificateholders could suffer a loss of the entire outstanding principal balance of the mortgage loan, plus interest and other costs (such as escrow advances). Where permitted by law, the servicer may attempt to recover on an unsecured basis by suing the borrower personally for the balance; recovery in those circumstances will be unlikely if the borrower has no meaningful assets against which to recover.

The HELOCs May Have Limited Recourse to the Related Borrower, Which May Result in Losses with Respect to These HELOCs

Some or all of the HELOCs sold to the participation agent will be nonrecourse loans or loans for which recourse may be restricted or unenforceable. As to those HELOCs, recourse in the event of borrower default will be limited to the specific real property and other assets, if any, that were pledged to secure the HELOC. However, even with respect to those HELOCs that provide for recourse against the borrower and its assets generally, there can be no assurance that enforcement of the recourse provisions will be practicable or permitted by applicable law, or that the other assets of the borrower will be sufficient to permit a recovery in respect of a defaulted HELOC in excess of the liquidation value of the related mortgaged property. In addition, in light of the current regulatory environment, servicers have no obligation, and may be reluctant, to pursue deficiency judgments, even where permitted by applicable law. A servicer has no obligation to pursue deficiency judgements and no obligation to service HELOCs that have been charged off. If a deficiency is pursued, a subservicer may be employed and that subservicer would generally be entitled to receive a significant percentage, and possibly a majority, of any potential recoveries. Any risks associated with HELOCs with no or limited recourse may affect the yields to maturity of the certificates to the extent losses caused by these risks are not covered by credit enhancement or covered by the repurchase, loss amount payment or substitution remedies with respect to breaches of representations and warranties.

No Primary Mortgage Insurance

None of the HELOCs have primary mortgage insurance coverage. As a result, if a borrower defaults under a HELOC and the value of the related mortgaged property is not adequate to pay principal and accrued interest on the HELOC along with related costs and expenses, there is no other source of payments available to reduce the amount of losses that would be incurred on that HELOC.

The Recording of the Mortgages in the Name of MERS and Mortgages Assigned to MERS Could Increase the Risk of Loss

The mortgages or assignments of mortgage for some of the HELOCs have been recorded in the name of Mortgage Electronic Registration Systems, Inc., or "MERS," solely as nominee for the related originator and its successors and assigns, including the participation agent. Subsequent assignments of those mortgages are registered electronically through the MERS system. Each servicer will covenant that it will remove from registration on the MERS system any MERS mortgage loans serviced by it after the occurrence of certain specified events. However, there can be no assurance that any MERS mortgage loan will be removed from registration on the MERS system. Certain courts have also held that servicers must obtain an assignment from an originator or the entity that assigned a mortgage to MERS where a mortgage is not recorded in the name of MERS, but is subsequently assigned to MERS.

The recording of mortgages in the name of MERS has been challenged through the judicial system. Although most decisions have accepted MERS as mortgagee, its right to notice of actions and its authority to foreclose as mortgagee are subject to court challenges.

The Washington Supreme Court ruled that if MERS is not the holder of the mortgage note, then it is not considered to be the beneficiary for purposes of non-judicial foreclosures in the State of Washington. To the extent non-judicial foreclosures are commenced in the State of Washington with MERS as beneficiary rather than as agent for the holder of the mortgage note, such foreclosures may need to be restarted.

The Maine Supreme Court ruled that MERS' nominee status did not provide it with the right to assign mortgages and thus impaired the ability to foreclose in Maine if the foreclosing entity acquired title through an assignment from MERS.

If MERS discontinues the MERS system and it becomes necessary for the related servicer to record or cause the recordation of assignments of those mortgages in the name of the issuing entity, any related expenses will be paid by the issuing entity and will reduce the amounts available to make distributions on the certificates.

While the requirement to assign mortgages out of MERS prior to commencing a foreclosure proceeding may help reduce the number of challenges to the MERS system, legal challenges to the validity of the ownership of a HELOC held through MERS continue to exist and such challenges to MERS could result in delays and additional costs in commencing, prosecuting and completing foreclosure proceedings and conducting foreclosure sales of mortgaged properties.

Failures or Delays in Endorsing Notes and Recording Assignments of Mortgage Could Increase Risk of Loss

After the closing date, assignments of the mortgages are required to be prepared and delivered to the custodian, but only certain of those assignments will be recorded. As a result, record title for every HELOC will not be assigned to the participation agent. Similarly, to the extent a mortgage note exists with respect to a mortgage, the mortgage notes will not be endorsed to the participation agent, but endorsements in blank are required to be delivered to the custodian.

The failure to record (or delay in recording) the assignments of the mortgages in the name of the participation agent could result in the loss of the underlying mortgage liens. For example, prior to the recording of the assignments, the mortgage lien could be discharged if the record owner filed a release or satisfaction of such mortgage lien, whether inadvertently or intentionally. A loss of the underlying mortgage lien also could occur if a governmental authority foreclosed on the mortgaged property and notice to the record owner was not forwarded to the related servicer in a timely manner.

In addition, the failure to record (or delay in recording) the assignments of the mortgages could impair the ability of the related servicer to take timely servicing actions with respect to the HELOCs, which could reduce the value realized from such HELOCs. Some of the assignments may be assignments in blank that have been filled in. Questions have been raised about the validity and enforceability of assignments in blank. The related servicer may have to record the related assignments of mortgage prior to filing a foreclosure proceeding. The expenses of recording will be treated as servicing advances and will reduce the amount available to make distributions on the certificates. There could be delays in commencing the foreclosure proceedings as a result of the need to record assignments of mortgages, which could lead to delays or reductions in distributions on the certificates. If the related assignments cannot be located at the time of foreclosure, if an assignment is missing in the chain of title or if an assignment in blank that has been filled in cannot be recorded, it may not be possible to foreclose.

In addition, for mortgages that have a mortgage note, it may not be possible to commence foreclosure proceedings until the related mortgage note has been endorsed to the participation agent. If a necessary endorsement is missing and cannot be obtained, it may not be possible to foreclose.

Furthermore, the inability of a servicer, because it is not the mortgagee of record, to timely release the lien of the mortgage on a HELOC that has been paid in full could expose the participation agent to claims and liability for violations of applicable law, thus reducing the amount available to make distributions on the certificates.

If the prior owner that is the mortgagee of record were to go into bankruptcy or similar proceedings within 90 days (or in some cases, one year) after the post-closing recording of any assignment, it may be possible for the recorded assignment to be avoided as a preferential transfer, so that there is no effective assignment of record, possibly leading to consequences of the type described above. There may be other consequences of a failure to record assignments if the prior owner goes into bankruptcy or similar proceedings before the relevant assignments are recorded. If the prior owner is a bank that goes into conservatorship or receivership, a failure to record assignments may permit the FDIC as receiver or conservator of the prior owner to challenge the transfer.

The occurrence of any of these circumstances could result in delays or reductions in distributions on the certificates, or other losses.

Violations of Various Federal, State and Local Laws May Result in Losses on the HELOCs

Numerous federal, state and local consumer protection laws impose substantive requirements upon mortgage lenders and holders of HELOCs in connection with the origination, servicing and enforcement of

HELOCs. Applicable state and local laws regulate, among other things, interest rates and other charges, closing practices, compensation and licensing of brokers, lenders, holders and individual loan originators; and may require certain disclosures. In addition, other state and local laws, public policy and general principles of equity relating to the protection of consumers, unfair, deceptive and abusive practices, and debt collection practices may be applied to the origination, ownership, servicing and collection of the HELOCs. Compliance with these laws cannot be substantiated in all cases, especially by entities such as the participation depositor who purchase the HELOCs after they are originated by another party. For example, the facts necessary to prove compliance with laws related to loan originator compensation may only be known by the originating entity for the related HELOC, and subsequent purchasers or assignees of such HELOC (such as the participation depositor or the participation agent) may not be able to substantiate compliance with those rules in the event of alleged violations. If allegations of legal violations arise, certificateholders may suffer losses because the necessary evidence is not available to refute such allegations.

The CFPB, state and federal banking regulatory agencies, state attorneys general offices, the Federal Trade Commission, the U.S. Department of Justice, HUD and state and local governmental authorities continue to monitor lending practices by some originators, including practices sometimes referred to as “predatory lending” practices as well as fair lending requirements. State, local and federal governmental agencies have imposed sanctions on originators for practices including, but not limited to, charging borrowers excessive fees, steering borrowers to loans with higher costs or more onerous terms, imposing higher interest rates than the borrower’s credit risk warrants and failing to adequately disclose the material terms of loans to the borrowers. Additional requirements may be imposed under federal, state or local laws on so-called “high cost mortgage loans” or “higher-priced mortgage loans,” which typically are defined as loans secured by a consumer’s dwelling that have interest rates or origination costs in excess of prescribed levels. These laws may limit certain loan terms, such as prepayment charges, balloon payments or late fees, or the ability of a creditor to refinance a loan unless it is in the borrower’s interest, and may require counseling of borrowers before a loan is originated. In addition, certain of these laws may allow claims against loan brokers or originators, including claims based on fraud or misrepresentations, to be asserted against persons acquiring the loans, such as the issuing entity.

State and local governments may also require originators, servicers and holders of mortgage loans to obtain certain licenses and permits. Neither the participation agent nor the issuing entity has obtained any licenses or permits in connection with holding the HELOCs or the mortgage loans and no assurance can be given that a state or local government will not assert that the issuing entity must obtain a particular license or permit. No assurance can be given that each originator, the participation depositor, each servicer, the participation agent and each other party involved in the origination, servicing and holding of the HELOCs had obtained all appropriate licenses and permits at the appropriate time in connection with the HELOCs.

In addition, the California Consumer Privacy Act (the “CCPA”), portions of which became effective on January 1, 2020, and the remainder of which became effective on July 1, 2020, gives consumers more information and control over how their personal information is being collected and used. The CCPA applies to companies that come within the definition of a “business” as defined therein. In general, the CCPA requires that a business must notify consumers what personal information is being collected from a consumer, how that personal information is being collected and used, and whether and to whom it is being disclosed or sold. In order to comply with the CCPA, consumers must be presented with an easy, simple and straightforward process to opt-out of having their personal information sold to a third party. In addition, consumers may request that a business (as well as any third-party contractors with whom the business may have previously shared that consumer’s personal information) delete their personal information, subject to certain exceptions, and businesses must inform consumers that they have this right. In addition, the CCPA provides consumers a private right of action if their personal information is subject to an unauthorized access and exfiltration, theft or disclosure as a result of the violation of the duty to implement and maintain reasonable security procedures and practices. There are a number of exemptions in the CCPA, including that it does not apply to personal information collected or disclosed pursuant to the federal Gramm-Leach-Bliley Act. It is uncertain what effect the CCPA will have on companies subject to the CCPA that do business with individuals in the State of California in the future and are not covered by an exemption, and what other jurisdictions may implement in the future.

Federal laws also apply to the origination, servicing, collection and enforcement of HELOCs, including:

- the TILA and Regulation Z promulgated under that Act, which (among other things) require certain disclosures to borrowers regarding the terms of loans – including disclosures provided in advance of loan origination and (in some cases) on periodic statements and in advance of rate adjustments, and disclosures or loan transfers – and provide consumers who pledged their principal dwelling as collateral in a non-purchase money transaction with a right of rescission that generally extends for three days after proper disclosures are given, and otherwise regulate mortgage transactions, such as by restricting compensation paid to loan brokers and otherwise regulating broker practices, restricting advertising practices and requiring that certain terms be included in advertisements, prohibiting arbitration provisions, limiting prepayment fees in certain circumstances, mandating escrow accounts for certain loans, requiring prompt crediting of payments, prohibiting certain practices relating to appraisals and requiring lenders to consider the ability of the consumer to repay certain loans;

- the Home Ownership and Equity Protection Act, as amended by the Dodd-Frank Act, and state, county and municipal "high cost" laws and ordinances enacted to combat predatory or abusive lending by requiring certain disclosures and restrictions on lenders of high-cost loans;

- the RESPA and its regulations, which (among other things) prohibit the payment of referral fees for real estate settlement services (including mortgage lending and brokerage services) and regulate escrow accounts for taxes and insurance and billing inquiries made by borrowers;

- the Equal Credit Opportunity Act and Regulation B promulgated under that Act, which prohibit discrimination on the basis of age, race, color, sex, religion, marital status, national origin, receipt of public assistance or the exercise of any right under the Consumer Credit Protection Act, in the extension of credit;

- the Fair Credit Reporting Act, which regulates the use and reporting of information related to the borrower's credit experience;

- the Relief Act, which may require interest rate reductions, and temporary suspension of legal proceedings that may adversely affect the rights of servicemembers, during their military service;

- the Consumer Financial Protection Act, enacted as part of the Dodd-Frank Act, which (among other things) created the CFPB and gave it broad rulemaking, supervisory and enforcement jurisdiction over mortgage lenders and servicers, and proscribes any unfair, deceptive or abusive acts or practices in connection with any consumer financial product or service;

- certain federal laws, such as the Racketeer Influenced and Corrupt Organizations Act, the Bank Secrecy Act, the anti-money laundering laws and regulations, including the USA Patriot Act of 2001 and the regulations issued thereunder, that provide that property purchased or improved with assets derived from criminal activity or otherwise tainted, or used in the commission of certain offenses, can be seized and ordered forfeited to the United States of America (including in certain cases, even before a conviction occurs);

- the Dodd-Frank Act, including as described above under "*—Risks Primarily Related to the Certificates—Governmental Intervention, Financial Regulatory Reforms and Proposed Regulations Could Have a Significant Impact on the Participation Certificate Seller, the Depositor, the Issuing Entity, the Participation Agent, the Originators, the Servicers or Other Parties or on the Value or Marketability of the Certificates*"; and

- any consent orders entered into with banking regulators relating to residential mortgage servicing, foreclosure and loss-mitigation activities and the supervisory guidance issued by the OCC to communicate the OCC's expectations for the oversight and management of mortgage foreclosure activities by national banks.

Judicial interpretations of applicable law may also change from time to time which may result in a determination that prior, established practices violated the law. For example, the highest court of a particular federal circuit may have ruled that a particular practice does not violate applicable law while the highest court of another federal circuit may have reached the opposite conclusion. In that situation, if the Supreme Court were to rule that the particular practice did violate applicable law, then it is likely that there would be a substantial number of violations since originators or servicers may have relied on the decision of the court that found that there was no violation of applicable law.

Violations of applicable federal, state and local laws may limit the ability of a servicer on behalf of the participation agent to collect all or part of the principal of, or interest on, the HELOCs, and could subject the participation agent to damages and administrative enforcement (including disgorgement of prior interest and fees paid) which would impact distribution on the 23-HE1 PC to the issuing entity. In particular, an originator's, a servicer's or the participation agent's failure to comply with certain requirements of federal and state laws could subject the participation agent (and other assignees of the HELOCs) to monetary penalties, and result in obligors' rescinding the HELOCs against either the issuing entity or subsequent holders of the HELOCs.

It is possible in the future that governmental authorities or attorneys general may take actions against the sponsors or party providing certain representations with respect to the HELOCs that could prohibit servicers of the HELOCs from pursuing foreclosure actions, provide new defenses to foreclosure or otherwise limit the ability of a servicer to take actions (such as pursuing foreclosure) that may be essential to preserve the value of a HELOC on behalf of the participation agent. Any such limitations could adversely affect the participation agent's ability to realize on the HELOCs, which may result in losses on the certificates.

Depending on the particular alleged misconduct, it is possible that claims may be asserted against various participants in secondary market transactions, including assignees that hold the loans, such as the issuing entity. Losses on HELOCs from the application or violation of any applicable federal, state and local laws will be borne by the holders of one or more classes of certificates. Additionally, the issuing entity may experience losses arising from lawsuits related to alleged violations of these laws, which will be borne by the holders of one or more classes of certificates.

A representing party will represent that, at the time of origination, the related HELOC complied with applicable federal, state and local laws including, without limitation, usury, truth-in-lending, real estate settlement procedures, consumer credit protection, equal credit opportunity, predatory and abusive lending laws and disclosure laws in effect at the time of closing or such noncompliance was cured subsequent to origination, as permitted by applicable law.

Recent Developments Related to an Initial Benchmark and the Subsequent Occurrence of a Benchmark Transition Event Could Result in Adverse Tax Consequences with Respect to the Certificates

The Treasury issued final regulations on January 4, 2022 related to the transition from LIBOR to an alternative method or index. These final regulations do not provide any relief for the federal income tax consequences of the designation of an alternative method or index in place of an initial benchmark other than LIBOR for determining the interest rates in respect of the floating rate certificates and any related exchangeable certificates. If the replacement of SOFR with an alternative index is a "significant modification" of such certificates for U.S. federal income tax purposes, then such modification could result in a deemed exchange of such certificate for a "new" instrument, which could result in gain or loss with respect to such certificate, a 100% prohibited transaction tax for the related REMIC or could terminate the issuing entity's status as a REMIC making the issuing entity taxable as a corporation and causing the offered certificates (other than the Class A-R Certificates) to lose their status as debt instruments for U.S. federal income tax purposes. The issuing entity intends to take reasonable efforts to ensure that any designation of an alternative method or index will not result in a "significant modification" of such certificates although no assurance can be given. Prospective investors should consult their tax advisors with regarding the adoption of an alternative method or index.

Modification of a HELOC May Adversely Affect Your Certificates

To limit losses on delinquent mortgage loans and maximize collections, a servicer may, subject to the related servicing agreement, use loss mitigation measures, including forbearance agreements and other modification agreements and pre-foreclosure sales. Certain of the HELOCs are potentially eligible for modification pursuant to one or more government-sponsored loss mitigation programs or one of the servicer's proprietary loss mitigation programs, subject to the limitations of the related servicing agreement. See "*Servicing of the HELOCs—Waiver or Modification of HELOC Terms*" in this Memorandum. Modifications of HELOCs implemented by a servicer in order to maximize ultimate proceeds of the HELOCs may have the effect of, among other things, reducing or otherwise changing the mortgage rate, forgiving payments of principal, interest or other amounts owed under the HELOC, such as taxes, prepayment charges, or insurance premiums, extending the maturity date of the HELOC or deferring delinquent interest and other amounts owed under the HELOC, reducing the principal balance of the HELOC or reducing the total unpaid principal balance of the HELOC or any combination of these or other modifications. Any modified HELOC may remain in the mortgage pool, and the reduction in collections resulting from a modification will result in reduced distributions of interest on or principal of the certificates. If a servicer reduces the interest rate, extends the payment period or accepts a lesser amount than stated in the mortgage note in satisfaction of the mortgage note, or charges off or sells the HELOC, amounts available to make distributions on the certificates will be reduced. A modification allowing principal forgiveness that is not covered by monthly excess cashflow will result in the allocation of a realized loss to the most subordinate class of certificates outstanding (other than the Class X Certificates). Modifications that reduce the interest rate due on a HELOC will decrease the Net WAC, which may reduce current interest on each class of senior certificates, mezzanine certificates and subordinate certificates (other than the Class X Certificates and Class B-4 Certificates) and the Class X distribution amount on the Class X Certificates, and subordination will not protect holders of the senior certificates from these reductions. In addition, investors should note that in connection with considering a modification or other type of loss mitigation, the related servicer may incur or bear related out-of-pocket expenses, which would be reimbursed as a servicing advance prior to distributions on the certificates, and SLS will be entitled to an additional servicing fee with respect to certain modifications, which additional servicing fee will be paid, subject to the related servicing fee cap, prior to distributions on the certificates.

It is not certain whether any servicer will modify the terms of any HELOCs serviced by it, what form any modified terms may take, how or when modifications may be implemented, or how the certificates may be impacted by such modifications. Both the failure of a servicer to modify a HELOC that results in a default and liquidation of the HELOC and the modification of a HELOC that reduces the payment of amounts passed through to the issuing entity will have an adverse effect on the certificates.

In respect of a second lien HELOC, the servicer of any related associated first lien loan that is delinquent or in default may engage in non-foreclosure loss mitigation activities even if the related second lien HELOC is current. Loss mitigation activities such as short sales or acceptance of a deed-in-lieu of foreclosure, both of which are more likely options for first lien loans, would extinguish the lien of the related second lien HELOC.

The increased number of delinquencies, forbearance plans and other loss mitigation activities described above and elsewhere herein, coupled with obligations to fund servicing advances, may adversely impact servicer performance and could increase the risk that servicing will be required to be transferred.

HELOC Loss Mitigation Programs and Future Legislative Action May Adversely Affect the Performance and Market Value of the Certificates

In 2008 and 2009, the federal government commenced implementation of programs designed to provide homeowners with assistance in avoiding residential mortgage loan foreclosures, in particular the Treasury Department's and the FHFA's Making Home Affordable Program ("MHA"), which through various sub-programs, applied to conforming and non-conforming mortgage loans. In addition, certain mortgage lenders and servicers have voluntarily, or as part of settlements with law enforcement authorities, established loan modification programs relating to the mortgages they hold or service. MHA and these other programs may involve, among other things, the modification of mortgage loans to reduce the rate of interest payable on the loans, to extend the payment terms of the loans, to forgive principal, to forbear the payment of a portion of principal on the mortgage loan without interest, short sales and deeds-in-lieu. Some of these programs, including MHA, required the use of a specified net present value model to determine whether a modification is in the best interest of investors, and the MHA program included investor incentives to increase the likelihood of a positive net present value result.

The MHA program, together with its net present value model and associated investor incentives, expired on December 31, 2016. Currently there exists no industry-wide loss mitigation program to replace MHA. It is possible that Congress could pass, or the CFPB could promulgate, loss mitigation programs to replace MHA. Any such future regulatory initiatives may have the effect of increasing modification and loss mitigation activity with respect to performing mortgage loans. Any such new laws, regulations or rules may result in reduced collections from the HELOCs and reduced distributions or losses on one or more classes of the offered certificates. See also "*Risks Relating to Modifications of Loans Resulting from COVID-19*."

The Return on Your Certificates Could Be Impacted by Potential Military Action and Terrorist Attacks

The Servicemembers Civil Relief Act and similar state laws, or "Relief Act," provides relief to borrowers who enter active military service and to borrowers in reserve status who are called to active duty after the origination of their mortgage loan. The Relief Act provides generally that a borrower who is covered by the Relief Act may not be charged interest on a mortgage loan in excess of 6% per annum during the period of the borrower's active duty. Current or future military operations of the United States may result in an increase in the number of borrowers who may be in active military service, and the activation of additional U.S. military reservists or members of the National Guard, which may in turn significantly increase the proportion of mortgage loans whose mortgage rates are reduced by application of the Relief Act. In addition, HELOCs related to mortgage loans in the mortgage pool that have not been identified as such may already be subject to the Relief Act. The amount of interest remittance amount available for distribution to certificateholders of senior certificates, mezzanine certificates and subordinate certificates (other than the Class X Certificates and the Class B-4 Certificates) and the monthly excess cashflow available to pay the Class X distribution amount will be reduced by any reductions in the amount of interest collectible as a result of application of the Relief Act or similar state or local laws, and neither the servicers nor any other party will be required to fund any interest shortfall caused by any of these reductions. Interest shortfalls on the HELOCs due to the application of the Relief Act or similar legislation or regulations will be applied to reduce accrued interest on the 23-HE1 PC and as a result each class of senior certificates, mezzanine certificates and subordinate certificates (other than the Class X Certificates and the Class B-4 Certificates) and Class X distribution amount on the Class X Certificates as set forth herein under "*Description of the Certificates—Distributions of Interest*." *See also "—Risks Relating to the Certificates—Interest Shortfalls Resulting from Principal Prepayments and the Servicemembers Civil Relief Act and Similar State Laws Will Reduce Distributions of Interest Remittance Amount on the Senior Certificates, the Mezzanine Certificates and Subordinate Certificates and Monthly Excess Cashflow*."

The Relief Act also limits the ability of the servicers to foreclose on a HELOC during the borrower's period of active duty and, in some cases, during an additional three-month period thereafter, which, under the EGRRCPA will be extended to a period of one year. As a result, there may be delays in distributions and increased losses on the HELOCs. Those delays and increased losses will be borne primarily by the class of certificates with a class principal amount greater than zero with the lowest payment priority. We do not know how many HELOCs have been or may be affected by the application of the Relief Act or similar legislation or regulations.

The effects that any military action by United States forces in other regions and potential terrorist attacks within or outside the United States may have on the performance of the HELOCs cannot be determined at this time. Prospective investors should consider the possible effects on delinquency, default and prepayment experience of the HELOCs in any such event. Federal agencies and non-government lenders have and may continue to defer, reduce or forgive payments and delay foreclosure proceedings in respect of HELOCs to borrowers affected in some way by recent and possible future events.

Governmental and Other Actions May Affect Servicing of the HELOCs and May Limit a Servicer's Ability to Foreclose

The federal government, state and local governments, consumer advocacy groups and others continue to urge servicers to be aggressive in modifying mortgage loans to avoid foreclosure, and federal, state and local governmental authorities have enacted and continue to propose numerous laws, regulations and rules relating to mortgage loans generally, and foreclosure actions particularly.

Any of these laws, regulations and rules may provide new defenses to foreclosure, insulate the servicers from liability for modification of loans without regard to the terms of the servicing agreements or result in limitations on upward adjustment of mortgage interest rates, reduced payments by borrowers, permanent forgiveness of debt, increased prepayments due to the availability of government-sponsored refinancing initiatives and/or increased reimbursable servicing expenses, all of which are likely to result in delays and may result in reductions in the distributions to be made on the certificates. In addition, these laws, regulations and rules may increase the likelihood of a modification of the HELOC with respect to a delinquent borrower rather than a foreclosure. Any modification of a HELOC that results in the permanent reduction of any principal due on the HELOC (including any principal forbearance amount) will be treated as a realized loss.

Several courts and state and local governments and their elected or appointed officials also have taken unprecedented steps to slow the foreclosure process or prevent foreclosures altogether. A number of laws have been enacted, including in California, New York and Florida. For example, on January 18, 2023, the New York State Senate passed New York Senate Bill No. 564 (“S564”), which, if enacted, could expand a servicer’s or the issuing entity’s liability to borrowers for violations of New York’s mortgage servicing laws and regulations by creating a private right of action to enforce New York’s mortgage servicing laws and regulations, or to bring counterclaims for injunctive relief. Under S564, a borrower may assert any noncompliance during the course of the servicing of the borrower’s mortgage loan as a defense to a foreclosure action, regardless of whether the alleged action was committed by the current servicer or a prior servicer of such mortgage loan. In addition, the Governor of New York signed New York Senate Bill No. 5473 (“S5473”) on December 30, 2022, which could adversely affect the ability of a servicer to foreclose on mortgaged properties in New York by limiting the instances in which the relevant statute of limitations can be reset by the lender and by barring certain actions taken by the lender once such statute of limitations has run. In some cases, law enforcement personnel have been refusing to enforce foreclosure judgments. There can be no assurance what impact S5473 will have on the servicer or foreclosure actions in general for any HELOCs in New York.

These laws, regulations and rules will result in delays in the foreclosure process, and may lead to reduced payments by borrowers or increased reimbursable servicing expenses. In addition, the U.S. Congress and various state and local legislatures are considering or have adopted legislation, that, among other things, would permit limited assignee liability for certain violations in the HELOC origination process. We cannot predict whether or in what form the U.S. Congress or various state and local legislatures may enact such legislation or how such legislation might impact your certificates. We are also unable to predict how changes by federal, state or local authorities to regulations currently in effect relating to assignee liability may affect your certificates. Certificateholders will bear the risk that future regulatory and legal developments will result in losses on their certificates. The effect on the certificates will likely be more severe if any of these future legal and regulatory developments occur in one or more states in which there is a significant concentration of mortgaged properties.

Government actors have recently used “consumer relief” as a requirement of significant settlements, and may use such mandated consumer relief in the future. In February 2012, the Department of Justice, HUD and attorneys general representing 49 states and the District of Columbia reached a $25 billion settlement agreement (the “Global Settlement”) with five large mortgage servicers relating to the servicing and origination of mortgages. The Global Settlement, which became effective on April 5, 2012, required these servicers to dedicate at least $20 billion in “consumer relief.” The consumer relief required mortgage servicers to forgive specified aggregate amounts of principal, through principal reduction and short sales, as well as conduct modifications and refinancings of mortgage loans. The mortgage servicers subject to the Global Settlement also agreed to implement extensive new servicing standards including, among other servicing practices, making foreclosure a last resort, by requiring the servicers to evaluate homeowners for other loan mitigation options first and restricting banks from foreclosing while the homeowner is being considered for a loan modification.

Similarly, in November 2013, JPMorgan Chase & Co. (“JPMorgan Chase”) entered into a settlement with a number of federal and state government agencies, including the U.S. Department of Justice and several State Attorneys General, relating to residential mortgage-backed securities activities by JPMorgan Chase, Bear Stearns and Washington Mutual (the “RMBS Settlement”). Under the RMBS Settlement, JPMorgan Chase paid a total of $9 billion in cash, and provided $4 billion in consumer relief in the form of principal reduction, forbearance and other direct benefits from various relief programs.

The Federal government or state attorneys general may, in the future, require mortgage servicers to include similar mandated "consumer relief" in future settlements, and/or establish regulations imposing similar servicing standards on servicers of residential mortgage loans.

Certificateholders will bear the risk that future regulatory and legal developments will result in losses on their certificates, to the extent not covered by the applicable credit enhancement. The effect on the certificates will be likely more severe if any of these future legal and regulatory developments occur in one or more states in which there is a significant concentration of mortgaged properties.

Stricter Enforcement of Foreclosure Rules and Documentation Requirements May Cause Delays and Increase the Risk of Loss

Recently courts and administrative agencies have been enforcing more strictly existing rules regarding the conduct of foreclosures, and in some circumstances have been imposing new rules regarding foreclosures. Some courts have delayed or prohibited foreclosures based on alleged failures to comply with technical requirements. State legislatures have been enacting new laws regarding foreclosure procedures. In some cases, law enforcement personnel have been refusing to enforce foreclosure judgments. In addition, more borrowers are using legal actions, including filing for bankruptcy, to attempt to block or delay foreclosures. As a result, the servicers may be subject to delays in conducting foreclosures and the expense of foreclosures may increase, resulting in delays or reductions in distributions on the certificates.

Borrowers have become increasingly successful in challenging or delaying foreclosures based on technical grounds, including challenges based on alleged defects in the mortgage loan documents, challenges based on alleged defects in the documents under which the mortgage loans were securitized and challenges asserting statute of limitations defenses, particularly in the State of New York where the statute of limitations runs for six years. In a number of cases, such challenges have delayed or prevented foreclosures. Although the custodian has or will conduct a limited review of the mortgage documents in accordance with the custody agreement, such measures may not be sufficient to prevent document defects that could cause delays or prevent a foreclosure. It is possible that there will be an increase in the number of successful challenges to foreclosures by borrowers. Curing defective documents required to conduct a foreclosure will cause delays and increase costs, resulting in losses on the certificates. Further, the servicing rules promulgated by the CFPB, which took effect on January 10, 2014, require servicers to, among other things, exhaust all feasible loss mitigation options before proceeding with foreclosures, which will have the effect of delaying foreclosures of HELOCs in certain instances.

Risks Relating to Mortgaged Properties Subject to Foreclosure Proceedings

Upon the foreclosure of a HELOC, title to the related mortgaged property passes to the highest bidder at the foreclosure sale, which is often the holder of the related mortgage note. In many cases, the real property that is transferred through foreclosure has been poorly maintained. Routine property maintenance, such as repair of water leaks or sheetrock damage, painting, replacement of damaged or worn flooring and landscaping, may not have occurred for a significant period of time prior to foreclosure. In addition, borrowers often damage the mortgaged property when they move or are evicted from the premises, which may include damage to sheetrock, windows, floors, appliances and fixtures (including removal of items normally considered to be permanently affixed to the property, such as kitchen appliances, air conditioning or heating units, or pipes). Such damage may not be evident from an observation of the exterior of the property. This type of deferred maintenance or damage is likely to have an adverse effect on the market value of the related mortgaged property when compared to the estimated valuation of the property based upon the appraisal performed prior to foreclosure. To the extent any damage results in additional losses on the related HELOC, certificateholders will suffer losses.

In addition, to the extent that a borrower defaults on a HELOC where there is little equity, no equity, or, in certain circumstances, negative equity in the related mortgaged property or such mortgaged property has fallen into disrepair, the proceeds from the foreclosure may not produce meaningful liquidation proceeds. In the case of the second lien HELOCs, in most cases, however, such HELOCs, if they become delinquent, will be charged-off prior to the related servicer concluding an action in foreclosure. In addition, if the servicer of any related associate first lien loan forecloses on the related mortgaged property, any second lien will be extinguished and the entire amount of the related second lien HELOC may be lost.

Proposals to Acquire HELOCs by Eminent Domain May Adversely Affect Your Certificates

Over the past several years, certain localities have considered the use of eminent domain to acquire "underwater" mortgage loans in an effort to assist homeowners facing, or at risk of facing, foreclosure. Although none of those programs were implemented and the risk has declined, if property values in a particular area were to decline significantly, the related governmental authorities may consider eminent domain as a possible measure to assist distressed homeowners. In the event that any municipality or governmental authority elects to pursue the purchase of HELOCs by eminent domain, there is no assurance whether any HELOCs sought to be purchased will be HELOCs that have draws held in securitization trusts, including the issuing entity and what purchase price would be paid for any such HELOCs. Any such actions could have a material adverse effect on the market value of RMBS such as the certificates. There is also no certainty as to whether any such action without the consent of investors would face legal challenge, and, if so, the outcome of any such challenge.

Recent federal appropriations bills included provisions that will discourage the use of eminent domain programs like the programs described above. Under these provisions, appropriated federal funds cannot be used to insure, securitize or guarantee any mortgage or mortgage-backed security that refinances a mortgage that has been subject to eminent domain condemnation or seizure. Laws that limit access to federally guaranteed loans will likely make it difficult for governmental entities to fund such eminent domain programs. While these developments may discourage governmental entities from using eminent domain programs, they do not prohibit such programs and there can be no assurance that governmental entities will not adopt such programs in the future.

As described under "*Servicing of the HELOCs—General—Obligations in Respect of Proposed Eminent Domain HELOC Acquisition*" below, if a governmental entity implements a program under which it has the power to acquire residential mortgage loans through the exercise of eminent domain, and the governmental entity proposes to acquire a HELOC out of the participation agent, the participation owner trustee if it receives written notice of such action, will be obligated to cause the related servicer to obtain a valuation on the related property in the form of a broker's price opinion or another valuation method that it deems appropriate. Upon receipt of such valuation from the related servicer, the participation owner trustee will provide such results to the participation registrar and the securities administrator, and the securities administrator will notify certificateholders of the governmental entity's proposed action. A quorum of certificateholders may direct the securities administrator to direct the participation owner trustee to pursue an action contesting the acquisition through appropriate legal proceedings. The participation owner trustee will take action to the extent holders of 25% of the holders of participation interests related to such HELOC direct it to do so. These procedures may take substantial time, which could result in delays in collections of amounts due on HELOCs, increased costs and losses to certificateholders.

Insurance Related to the Mortgaged Properties May Not Be Sufficient to Compensate for Losses

Although certain of the mortgaged properties may be covered by insurance policies, such as hazard insurance or flood insurance, no assurance can be made that the proceeds from such policies will be used to repay any amounts owed in respect of such HELOC or will be used to make improvements to the mortgaged property that have a value that is commensurate with the value of any of the damaged improvements. In addition, even though an insurance policy may cover the "replacement cost" of the improvements on any mortgaged property, the proceeds of such insurance policy may not be sufficient to cover the actual replacement cost of such improvements or the appraised value of the improvements on any mortgaged property. Servicers may not obtain periodic valuations of mortgaged properties which may result in the amount of insurance being insufficient to cover the actual replacement cost of any improvements on the mortgaged properties. Furthermore, no assurance can be given that the insurer related to any insurance policy will have sufficient financial resources to make any payment on any insurance policy or that any such insurer will not challenge any claim made with respect to any such insurance policy resulting in a delay or reduction of the ultimate insurance proceeds. Lastly, insurance policies may be obtained at origination or at some later point in time from an affiliate of the applicable originator or applicable servicer. In those cases, there is a heightened risk that the borrower may claim that the level of insurance obtained was inappropriate or that the premiums charged to the borrower were inappropriate. This could result in litigation that could have a material adverse effect on the applicable originator, the applicable servicer, the related insurance policy and the related HELOC, all of which could have a material adverse effect on the performance of the certificates.

<u>Certain Conflicts and Other Risks</u>

Retention of Certificates by the Sponsors May Reduce the Liquidity of the Certificates and Have Other Adverse Effects on the Certificates

The retaining sponsor intends to comply with the applicable credit risk retention rules promulgated pursuant to Section 15G of the Exchange Act by retaining (directly or through one or more majority-owned affiliates) an eligible horizontal residual interest by retaining at least 5% of the aggregate fair value of all of the certificates issued by the issuing entity (other than the Class A-R Certificates), thereby satisfying Regulation RR. Additionally, the JPM sponsor expects that it or one of its affiliates will retain the Class A-R Certificates on the closing date. Either sponsor or one or more of its affiliates may also retain additional amounts of the other certificates on the closing date and may purchase directly from the depositor all or a portion of one or more classes of the senior certificates or mezzanine certificates, and this information may not be known until after you have agreed to purchase your certificates. A sponsor or its affiliates may sell or transfer any certificates retained by it on the closing date (other than certificates retained by the retaining sponsor, or its majority-owned affiliate, for purposes of regulation RR) at any time thereafter, and may sell or transfer the certificates retained for purposes of regulation RR solely in accordance with regulation RR. The market for classes of certificates in which a sponsor or its affiliates have retained an interest may be less liquid than would otherwise be the case. In addition, if any retained certificates are subsequently sold by a sponsor, demand and market price for certificates already in the market could be adversely affected. Additionally, if any retained certificates held by JPMMAC are subsequently sold in the secondary market, the voting power of the holders of the outstanding certificates will be diluted. In making your investment decision, you should not expect that a sponsor or its affiliates will retain the certificates that are retained on the closing date for the entire time that your certificates are outstanding.

There is Limited Guidance on Determination of Which Entity Constitutes an Eligible Sponsor for purposes of the Risk Retention Rules

While the issuing entity and the sponsors believe that the retaining sponsor, as a sponsor of the transaction, or one or more majority-owned affiliates of the retaining sponsor, is an appropriate entity to hold the required credit risk in order to comply with the credit risk retention rules, the matter is not free from doubt. The credit risk retention rules acknowledge that there can be multiple sponsors of a transaction. However, neither the credit risk retention rules nor other available guidance expressly address whether, in the specific circumstances of a transaction such as this transaction, an entity undertaking the activities that the retaining sponsor is undertaking qualifies as a sponsor of such transaction. Nor has the issuing entity requested interpretive guidance with respect to this transaction from the SEC or any another regulatory body with jurisdiction over the matter. As a result, it is possible that one or more applicable regulatory bodies may reach a different conclusion than that of the issuing entity and the sponsors in this transaction and that the sponsors will ultimately be deemed not to comply with the credit risk retention rules. Such a determination could have a material adverse effect on the value and liquidity of the certificates. Investors should seek guidance from their own advisors and make their own determination with respect to the appropriateness of the designation of the retaining sponsor, as a sponsor of this transaction. See "*U.S. Credit Risk Retention*" for a description of the manner in which the sponsors intend to comply with the credit risk retention rules.

Combination or "Layering" of Multiple Risks May Significantly Increase Risk of Loss

Although the various risks discussed in this Memorandum are generally described separately, you should consider the potential effects of the interplay of multiple risk factors. For any HELOC or mortgage loan where more than one significant risk factor is layered on top of another, the risk of loss to an investor in the certificates may be significantly increased. There are many other circumstances in which layering of multiple risks with respect to the HELOCs or mortgage loans and the certificates may magnify the effect of those risks. In considering the potential effects of layered risks, you should carefully review the descriptions of the HELOCs, the mortgage loans and the certificates.

There May Be Conflicts of Interest Among Various Classes of Certificates

There may be conflicts of interest among classes of certificates due to differing priorities of distribution and payment terms. Investors in the certificates should consider that certain voting and other decisions may not be in the best interests of each class of certificateholders and that any conflict of interest among different certificateholders may not be resolved in favor of investors in a particular class of certificates. Any disputes that arise between certificateholders may not be resolved without substantial delay, which may cause delays in distribution on the offered certificates. The economic interests of the holders of a class of certificates may not coincide with those of other holders of the same class or holders of other classes of certificates. The holders of certificates will not be required to consider any possible adverse effect of their actions on other holders of the same class or holders of other classes of certificates. For instance, the holder of one or more classes of certificates may also hold other securities or other financial instruments that would allow that investor to profit if the mortgage loans or certain classes of certificates performed or failed to perform in a certain manner (e.g., if the HELOCs defaulted at a faster than expected rate or prepaid at a faster than expected rate). Consequently, the interests of an investor may conflict with the interests of any other prospective investor in one more classes of the certificates. In particular, the subordinate enforcement holder has the right to provide direction to conduct an auction to sell any charged-off loan. In addition, holders of participation certificates in other securitizations with participation interests in the HELOCs may direct the participation owner trustee to (i) enforce the repurchase obligation of a representing party in connection with a breach in respect of a HELOC which materially and adversely affects the value of that HELOC or the interest therein of any participation certificateholders and (ii) conduct an auction to sell any charged-off loan.

J.P. Morgan Mortgage Acquisition Corp., J.P. Morgan Securities LLC and their Affiliates Have Mortgage-Related Interests

Due to the diverse nature of the business activities of J.P. Morgan Mortgage Acquisition Corp., J.P. Morgan Securities LLC and their affiliates (collectively, "JPM"), JPM may from time to time have economic interests in the performance of residential mortgage loans or mortgage-backed securities that may include holding, buying or selling residual interests in securitized pools of loans, various classes of mortgage-backed securities that differ in entitlement to cash flow and allocation of losses, interests in the form of derivatives such as credit default swaps, or long or short positions with respect to mortgage-backed securities or indices that track the performance of certain mortgage-backed securities. The interests of JPM in any of its various capacities may not be aligned with the interests of certificateholders, and such activities may cause or lead to potential conflicts of interest. For reasons of client confidentiality and the management of its own business, JPM will not disclose any such activities or information.

Furthermore, JPM may establish, maintain, adjust or unwind hedge positions with respect to the certificates or sell, increase or liquidate any positions in any of the certificates at any time. For reasons of client confidentiality and the management of its own business, JPM will not disclose any such activities or information. To the extent JPM retains any certificates, it will also retain certain voting rights in connection with the certificates that it owns. See the definition of "Certificateholder" in the "*Glossary of Defined Terms*" and "*—Risks Primarily Related to the Certificates—Investors Have No Direct Right to Enforce Remedies and Must Direct the Owner Trustee or the Securities Administrator*" in this Memorandum.

Various Other Securitization-Level Conflicts of Interest May Have an Adverse Effect on Your Certificates

<u>Conflicts Involving the Reviewer and the Review Vendor</u>. In the normal course of conducting their businesses, the review vendor and their respective affiliates have rendered services to, been paid by, performed surveillance of, and negotiated with, numerous parties engaged in activities related to structured finance and mortgage securitization. These parties have included the sponsors, the depositor, the initial purchasers and some of the originators and may have included certain other transaction parties and any of the transaction parties' respective affiliates. These relationships could continue in the future. Each of these relationships, to the extent they exist, may involve a conflict of interest with respect to the reviewer's and the review vendor's duties. We cannot assure you that the existence of any prior or current relationship or other relationships in the future did not impact the manner in which the review vendor performed its duties in connection with the review of the HELOCs or will not impact the manner in which the reviewer will perform its duties under the transaction agreements.

Conflicts Between the Participation Certificate Seller, the Depositor, the Issuing Entity, the Participation Agent, the Custodian, the Originators, the Servicers and Their Respective Affiliates. Conflicts of interest may arise between the issuing entity or the participation agent, on the one hand, and the participation certificate seller, the depositor, the custodian, the originators, the servicers and their respective affiliates that engage in the residential mortgage lending and loan acquisition business, on the other hand. Those conflicts may arise because an originator, a servicer or the participation certificate seller and their respective affiliates intend to continue to actively originate, acquire and dispose of residential mortgage-related assets in the ordinary course of their businesses. During the course of their business activities, the respective originators, the servicers, the participation certificate seller and their respective affiliates may solicit borrowers to refinance or obtain secondary financing with respect to HELOCs owned by the participation agent. Under the circumstances described above, the interests of those originators, the servicers, the participation certificate seller and their respective affiliates may differ from, and compete with, the interests of the participation agent and issuing entity. Decisions made with respect to those interests or assets may adversely affect the amount and timing of distributions on the certificates.

Potential Conflicts of Interest of the Initial Purchasers and Their Respective Affiliates

The activities of the initial purchasers and their respective affiliates (including those acting as the participation agent, the participation depositor, the participation certificate seller or the depositor in this securitization) may result in certain conflicts of interest. JPMCB, an affiliate of one of the initial purchasers and a majority-owned affiliate of the JPM sponsor, may be the initial owner of all or a portion of one or more classes of the senior certificates and the mezzanine certificates. The initial purchasers and their respective affiliates may retain, or own in the future, additional certificates of one or more classes, and any voting rights of that class could be exercised by them in a manner that could adversely impact the certificates. The initial purchasers and their respective affiliates may invest or take long or short positions in securities or instruments, including the certificates, which may be different from your position as an investor in the certificates. If that were to occur, an initial purchaser's or its affiliate's interests may not be aligned with your interests in certificates you acquire.

The initial purchasers and their respective affiliates include broker-dealers whose business includes executing securities and derivative transactions on their own behalf as principals and on behalf of clients. Accordingly, the initial purchasers and their respective affiliates and clients acting through them from time to time buy, sell or hold securities or other instruments, which may include one or more classes of the certificates, and do so without consideration of the fact that an initial purchaser acted as initial purchaser for the certificates. Such transactions may result in such initial purchaser and its affiliates and/or their clients having long or short positions in such instruments. Any such short positions will increase in value if the related securities or other instruments decrease in value. Further, the initial purchasers and their respective affiliates may (on their own behalf as principals or for their clients) enter into credit derivative or other derivative transactions with other parties pursuant to which they sell or buy credit protection with respect to one or more of the certificates. The positions of the initial purchasers and their respective affiliates or their clients in such derivative transactions may increase in value if the certificates default or decrease in value. In conducting such activities, neither the initial purchasers nor their respective affiliates will have any obligation to take into account the interests of the certificateholders or any possible effect that such activities could have on them. The initial purchasers and their respective affiliates and clients acting through them may execute such transactions, modify or terminate such derivative positions and otherwise act with respect to such transactions, and may exercise or enforce, or refrain from exercising or enforcing, any or all of their rights and powers in connection therewith, without regard to whether any such action might have an adverse effect on the certificates or the certificateholders. Additionally, neither the initial purchasers nor their respective affiliates will have any obligation to disclose any of these securities or derivatives transactions to you in your capacity as a certificateholder.

In addition, neither the initial purchasers nor their respective affiliates will have any obligation to monitor the performance of the certificates or the actions of the servicers, the participation owner trustee, the owner trustee, the participation agent, the participation registrar, the securities administrator or any other transaction party and will have no authority to advise any such party or to direct their actions.

JPMCB may be the initial owner of all or a portion of one or more classes of the senior certificates and the mezzanine certificates, and is an affiliate of (i) JPMMAC, the participation depositor, the participation certificate seller, the holder of the JPM PC and a sponsor, (ii) J.P. Morgan Acceptance Corporation II, the depositor and (iii) J.P. Morgan Securities LLC, an initial purchaser.

See "*Summary—Affiliations and Certain Relationships Among Certain Transaction Parties*" and "*Affiliates and Related Transactions*" in this Memorandum for a description of certain affiliations and relationships between the initial purchasers and other participants in this offering.

Each of the foregoing relationships should be considered carefully by you before you invest in any certificates.

Partnership Audit Rules

Partnerships, their partners and the persons that are authorized to represent entities treated as partnerships are subject to certain partnership audit rules in IRS audits and related procedures. These rules also apply to REMICs, the holders of their residual interests and the persons authorized to represent REMICs in IRS audits and related procedures.

Under these rules, (1) unless a REMIC elects otherwise, taxes arising from IRS audit adjustments are required to be paid by the REMIC rather than by its residual interest holders, (2) a REMIC designates one person to act as its sole representative in connection with IRS audits and related procedures (the "partnership representative") and the partnership representative's actions, including agreeing to adjustments to REMIC taxable income, are more binding on residual interest holders than a tax matters person's actions were under prior law and (3) if the IRS makes an adjustment to a REMIC's taxable year, the holders of residual interests for the audited taxable year, may have to take the adjustment into account for the taxable year in which the adjustment is made rather than for the audited taxable year.

The parties responsible for the tax administration of any REMICs described herein will utilize any exceptions available under the partnership audit rules and related IRS guidance and Treasury regulations so that any REMIC's residual interest holders (that is, the holders of the Class A-R Certificates), to the fullest extent possible, rather than the REMIC itself, will be liable for any taxes arising from audit adjustments to the REMIC's taxable income. It is unclear how any such exceptions may affect the procedural rules available to challenge any audit adjustment that would otherwise be available in the absence of any such exceptions. Holders of Class A-R Certificates should discuss with their tax advisors the possible effect of these rules on them.

This Memorandum Contains Summary and Limited Information Regarding the Transaction Documents and the HELOCs

This Memorandum contains summary descriptions of certain transaction documents, including the securitization sale agreement, the trust agreement, the master participation agreement and the participation trust agreement, which govern the transactions described herein, and contains summary descriptions of the statutes, rules and regulations applicable to the HELOCs. Such summary descriptions are necessarily incomplete and reference is made to the actual documents for a complete description of the rights and obligations of the parties thereto, and to the statutes, rules and regulations applicable to the HELOCs.

GLOSSARY OF DEFINED TERMS

A glossary containing definitions for certain defined terms used in this Memorandum begins on page 253 of this Memorandum.

DESCRIPTION OF THE MORTGAGE POOL

General

The following is a summary description of the Mortgage Loans and the HELOCs as of the Cut-off Date. Prior to the Closing Date, the HELOCs may prepay in full or be removed from the Participation Agent and the

Mortgage Loans may be removed from the pool of Mortgage Loans related to the 23-HE1 PC to be transferred to the Issuing Entity. The Sponsors selected the Mortgage Loans to be allocated to the 23-HE1 PC by the Participation Agent. The Depositor believes that the information set forth herein with respect to the Mortgage Loans as presently constituted is representative of the characteristics of the Mortgage Loans as they will be constituted at the Closing Date, although the numerical data and certain other characteristics of the Mortgage Loans described herein (other than delinquency data) is not expected to vary beyond a range of plus or minus 5%.

The Mortgage Loans are expected to have the stated characteristics as of the Cut-off Date as set forth in Annex A to this Memorandum. Other than with respect to rates of interest, percentages (approximate) are stated by Unpaid Principal Balance of the Mortgage Loans as of the Cut-off Date and, due to rounding, may not total 100.00%.

Whenever reference is made in this Memorandum to the Unpaid Principal Balance of, or a percentage of, the Mortgage Loans or the Participation Certificate, such percentage is determined on the basis of the aggregate Unpaid Principal Balance of the Mortgage Loans in the Mortgage Pool or the aggregate Unpaid Principal Balance of the Participation Certificate, as applicable, as of the Cut-off Date unless otherwise noted.

As of the Cut-off Date, the mortgage pool (the "Mortgage Pool") consists of 2,269 mortgage loans (the "Mortgage Loans") having an aggregate Unpaid Principal Balance as of the Cut-off Date of approximately $186,391,076. The HELOCs to which the Mortgage Loans relate are second lien, adjustable rate, revolving home equity lines of credit secured by one- to three-family residential properties, attached and detached planned unit developments, condominiums, townhomes and a site condo, all of which have original terms to maturity of up to 30 years. The HELOCs generally have draw periods of 10 years, a repayment period at the end of the draw period of either 10 or 20 years and a total original term to maturity equal to 20 or 30 years. None of the HELOCs have been modified as of the Cut-off Date. All of the HELOCs have adjustable mortgage interest rates. As of the Cut-off Date, the weighted average current Mortgage Rate of the HELOCs is approximately 10.714% per annum, and the current Mortgage Rates of the HELOCs range from approximately 8.250% to approximately 14.250% per annum. The HELOCs were originated from June 17, 2022 through April 15, 2023, and as of the Cut-off Date, the weighted average remaining term to maturity of the HELOCs is approximately 341 months. The latest stated maturity date of any HELOC is May 2053. As of the Cut-off Date, no more than approximately 0.48% of the Mortgage Loans relate to HELOCs that are secured by Mortgaged Properties located in any one zip code area. As of the Cut-off Date, the Unpaid Principal Balances of the Mortgage Loans range from approximately $10,000 to approximately $500,000. As of the Cut-off Date, the Mortgage Loans have an average Unpaid Principal Balance of approximately $82,147.

The "Credit Limit" for any HELOC and any date of determination is the total available credit under the related line of credit agreement (regardless of any amounts drawn under such line of credit agreement). The HELOCs have Credit Limits as of the Cut-off Date ranging from approximately $25,000 to approximately $500,000, with an average Credit Limit as of the Cut-off Date of approximately $98,888. All of the HELOCs are currently in their draw period, and Borrowers under such HELOC typically may make draws in respect of such HELOC, which will increase the principal balance thereof up to the related Credit Limit, though such right to make draws may be frozen (temporarily or permanently) in certain circumstances set forth below in respect of such HELOC, which will increase the Unpaid Principal Balance of such HELOC as of such date of determination (the "Total Unpaid Principal Balance") up to the related Credit Limit.

The "Current Credit Line Utilization" for any HELOC and any date of determination means a fraction, expressed as a percentage, (i) the numerator of which is the aggregate Total Unpaid Principal Balance of such HELOC and (ii) the denominator of which is the Credit Limit of such HELOC as of such date of determination. As of the Cut-off Date, the weighted average Current Credit Line Utilization for the HELOCs is approximately 88.43%. As of the Cut-Off Date, the aggregate undrawn amount on the HELOCs is equal to approximately $37,986,141, and the ability to make draws had not been permanently frozen or terminated on any of the HELOCs.

The HELOCs have Mortgage Rates that adjust periodically on the basis of an index (an "Index") specified in the executed Mortgage Note, plus, generally, a fixed percentage (the "Gross Margin"). All of the HELOCs, as of the Cut-off Date, have Mortgage Rates that adjust in accordance with an Index equal to the daily prime rate published by the Wall Street Journal ("WSJ Prime Rate"). The Mortgage Rates specified in the related Mortgage Notes for the HELOCs are adjustable rates, subject to monthly adjustment based on the related Index and the respective Gross Margin. The HELOCs will have various adjustment dates, Gross Margins and limitations on Mortgage Rate adjustments.

The Mortgage Rate on a HELOC may not be less than the minimum Mortgage Rate (the "Minimum Mortgage Rate") or exceed the maximum Mortgage Rate (the "Maximum Mortgage Rate") specified for that HELOC, if any, in the related Mortgage Note. The Minimum Mortgage Rate on the HELOCs is approximately 2.500%. The Maximum Mortgage Rate on the HELOCs is approximately 18.750%. The Mortgage Rates of HELOCs without Maximum Mortgage Rates will be limited by usury or other applicable law. The Gross Margins for the HELOCs range from approximately 0.250% to approximately 6.250%, with a weighted average Gross Margin as of the Cut-off Date of approximately 2.719%.

As of the Cut-off Date, the HELOCs provide for payment of interest at a rate equal to the WSJ Prime Rate plus the applicable Gross Margin, and have a weighted average Gross Margin of approximately 2.719%. Each of the HELOCs accrues interest on a daily simple interest basis, whereby interest payable by the Borrower is calculated on a daily basis, as opposed to traditional mortgage loans with respect to which interest is calculated on either a monthly 30/360 basis or 30/365 basis, depending on state requirements. Simple interest mortgage loans require that each monthly payment consist of an installment of interest that is calculated on the basis of the outstanding principal balance of that mortgage loan multiplied by the mortgage interest rate and further multiplied by a fraction, the numerator of which is the number of days in the period elapsed since the preceding payment of interest was made (the "Interest Paid to Date"), and the denominator of which is the number of days in the annual period for which interest accrues on that mortgage loan. Because the total number of days counted in a daily simple interest mortgage loan calculation may be greater (or fewer) than a traditional actuarial mortgage loan calculation, the total interest paid on a daily simple interest mortgage loan may be slightly greater (or lesser) than the interest paid on a traditional actuarial mortgage in certain circumstances.

Accordingly, if a Borrower pays the fixed monthly installment on a simple interest HELOC before its scheduled due date, the portion of the payment allocable to interest for the period since the Interest Paid to Date will be less than it would have been had the payment been made on its scheduled due date, and the portion of the payment applied to reduce the principal balance will be correspondingly greater. However, the next succeeding payment of the same fixed monthly installment will result in an allocation of a greater portion of the payment allocated to interest if that payment is made on its scheduled due date. On the other hand, if a Borrower pays the same fixed monthly installment on a simple interest HELOC after its scheduled due date or misses a payment, the amount of interest due for the period since the Interest Paid to Date will be greater than it would have been had the payment been made as scheduled, and the portion of the payment applied to reduce the principal balance will be correspondingly smaller. The amount of such additional interest will not bear interest and may be paid down by the Borrower during the term of the HELOC.

The HELOCs have an open draw period generally for the first 120 months (subject to the related credit limit) and no principal payments are generally required for the first 10 years of the term of the HELOCs, except to the extent the principal balance of such HELOC exceeds the related Credit Limit. Beginning generally in the 121st Borrower payment period, the related Borrower can no longer make any additional draws and each such HELOC becomes a closed-end, adjustable rate mortgage loan that amortizes the then-outstanding Total Unpaid Principal Balance of the HELOC generally over the remaining 120 months (i.e., 10 years) or 240 months (i.e., 20 years) depending on the original maturity of such HELOC by reducing the principal balance by 1/120th or 1/240th, as applicable, of the balance at the end of the related interest-only draw period due each month.

Borrowers under the HELOC may make draws, which to the extend funded, will be funded by the Servicers on behalf of the Participation Agent using funds JPMMAC deposits in the HELOC Reserve Account, which will increase the Total Unpaid Principal Balance of the HELOC up to the related Credit Limit generally for the first 10 years of the loan term, though such right to make draws may be frozen (temporarily or permanently) in certain circumstances. No draws funded after the Cut-off Date will be allocated to the 23-HE1 PC, but such draws will impact the Funded Participation Percentage of the 23-HE1 PC. To the extent a Borrower's right to make draws becomes frozen, such Borrower may nevertheless access their Credit Limit in the event the circumstances that cause such credit line to be frozen are cured. A Borrower's Credit Limit may be reduced and/or the right to make draws may be frozen as set forth in the related Mortgage Note for reasons including but not limited to, a material change in a Borrower's financial circumstances, a default by the related Borrower under the related Line of Credit Agreement or change in delinquency status. A Borrower's Credit Limit may be permanently closed for reasons including but not limited to, the draw period expiring, a bankruptcy, a Borrower-initiated cancellation or a default by the related Borrower under the related Line of Credit Agreement. In the event a Borrower files for bankruptcy and does not reaffirm its obligation under the related Mortgage Note, although the Borrower's ability to make additional draws under the related line of credit will likely be frozen by the related Servicer, such Servicer may be limited in its ability to service the related HELOC in accordance with the generally accepted servicing practices. Finally, the related Borrower under a HELOC may default under the related Mortgage Note for reasons including but not limited to, fraud or a material misrepresentation by the related Borrower, failure to meet the repayment terms of the Line of Credit Agreement, failure of the related Borrower to maintain the related Mortgaged Property or failure of the related Borrower to pay certain insurance and/or taxes. Upon the occurrence of a default under the related Mortgage Note, the related Servicer may deem the outstanding account balance to be immediately due and payable or take other actions available to it in accordance with such Mortgage Note such as terminating the related Borrower's ability to make further draws and/or reduce the related Credit Limit.

As of the Cut-off Date, the weighted average Drawn Combined Loan-to-Value Ratio and Maximum Combined Loan-to-Value Ratio at origination of the HELOCs is approximately 66.60% and 68.63%, respectively, and none of the HELOCs have a Maximum Combined Loan-to-Value Ratio at origination exceeding 92.31% or a Drawn Combined Loan-to-Value Ratio at origination exceeding 89.99%. As of the Cut-off Date, the weighted average Drawn Loan-to-Value Ratio and Maximum Loan-to-Value Ratio at origination of the HELOCs is approximately 15.42% and 17.46%, respectively, and none of the HELOCs have a Maximum Loan-to-Value Ratio at origination exceeding 74.55% or a Drawn Loan-to-Value Ratio at origination exceeding 55.68%. No assurance can be given that the value of any Mortgaged Property has remained or will remain at the level that existed on the related appraisal or sale date. If residential real estate values generally or in a particular geographic area decline, the Loan-to-Value Ratios will be an even less reliable indicator of the rates of delinquencies, foreclosures and losses that could occur with respect to such HELOCs. See "*Risk Factors—Risks Primarily Related to the HELOCs—Risks Relating to High Loan-to-Value Ratios; Valuation of Mortgaged Properties*" in this Memorandum.

As of the Cut-off Date, 28 HELOCs, representing approximately 1.30% of the aggregate Unpaid Principal Balance of the Mortgage Loans as of the Cut-off Date, have experienced one or more periods of delinquency in the 12-month period prior to the Cut-off Date, however, no Mortgage Loan relates to a HELOC that was 30 or more days delinquent as of the Cut-off Date. As of the Cut-off Date, none of the Borrowers have inquired about or requested forbearance plans with the related Servicer or have previously entered into a COVID-19 related forbearance plan with the related Servicer.

Certain Borrowers may become subject to forbearance plans or other payment relief plans (as a result of the ongoing effects of COVID-19 or otherwise) following the Cut-off Date. In the event a Borrower requests or enters into a COVID-19 related forbearance plan after the Cut-off Date but prior to the Closing Date, the Participation Certificate Seller will remove the Participation Interests from the 23-HE1 PC (and the related Mortgage Loan will be removed from the Mortgage Pool) and remit the related Closing Date Substitution Amount. No assurances can be given as to whether, and to what extent, any Borrowers might inquire about, or request any type of forbearance after the closing date in response to the COVID-19 outbreak, especially if the term of the COVID-19 outbreak is prolonged.

None of the HELOCs will be guaranteed by any governmental agency or will have the benefit of any primary mortgage guaranty insurance policies.

The Participation Depositor acquired the HELOCs directly from the related Originators in the ordinary course of its business pursuant to the related Purchase Agreement. See *"—Assignment of the HELOCs"* below for more information. Each Servicer will be obligated to service the HELOCs serviced by it pursuant to the applicable Servicing Agreement. See *"Servicing of the HELOCs."*

All of the Mortgage Loans are related to HELOCs that are permitted to be prepaid in whole or in part at any time without payment of a prepayment penalty.

As set forth in the "Original Credit Score" table in Annex A, credit scores have been supplied with respect to the Borrowers. See the discussion under "*Risk Factors—Risks Primarily Related to the Mortgage Loans—Credit*

Scores May Not Accurately Predict the Likelihood of Default" for a discussion of some of the limitations of credit score information.

Assignment of the HELOCs

The Participation Depositor acquired the HELOCs from the related Originators pursuant to the related Purchase Agreement. The related Originator will enter into an Assignment Agreement with the Participation Depositor and the Participation Agent on behalf of each participation certificateholder from time to time party to a Participation Supplement, including the holder of the 23-HE1 PC. Pursuant to the Securitization Sale Agreement, the Participation Certificate Seller will sell, assign and transfer to the Depositor all of its right, title and interest in the 23-HE1 PC and all rights and obligations related thereto. Pursuant to the Securitization Sale Agreement, the Depositor will sell, assign and transfer to the Issuing Entity all of its right, title and interest in the 23-HE1 PC and all of its rights and obligations related thereto, as well as all of its rights as assignee of the Participation Depositor under the Assignment Agreements.

In connection with the transfer of HELOCs under an Assignment Agreement, each Originator that enters into an Assignment Agreement will make representations and warranties concerning the related HELOCs (including the related Mortgage Loans) to the Participation Agent on behalf of the Issuing Entity, as holder of the 23-HE1 PC. The representations and warranties made by each such Originator (except for loanDepot and UWM) will be made as of the date the HELOC was originally transferred to the Participation Agent, and the representations and warranties made by loanDepot and UWM will be made as of the date such Originator originally sold such HELOC to JPMMAC, prior to the date JPMMAC sold such HELOC to the Participation Agent. JPMMAC will represent that with respect to representations and warranties set forth on Appendix II-B, no action or event has taken place between the date that the related Originator made the related representation and warranty and the Closing Date (or the Cut-off Date if specified in such representation) to make such representation or warranty untrue. See "*HELOC Representations and Warranties*" and each of Appendix II-A and Appendix II-B hereto.

Pursuant to each Assignment Agreement, the related Originator and the Participation Depositor will agree to recognize the Participation Agent on behalf of each participation certificateholder as the owner of the HELOCs transferred thereunder, and pursuant to the related Servicing Agreement, each Servicer will agree to service the related HELOCs on behalf of the Participation Agent for the benefit of the participation certificateholders. Each Originator that enters into an Assignment Agreement will acknowledge that the Participation Agent has appointed the Participation Owner Trustee to oversee servicing with respect to the related HELOCs, and the Participation Owner Trustee has the non-exclusive right (along with the Participation Depositor) on behalf of the Participation Agent, in accordance with the Master Participation Agreement, to enforce all obligations of such Originator to the Participation Agent under the related Assignment Agreement. In addition, each Servicer will acknowledge that all consents under the related Servicing Agreement required to be obtained from the Participation Agent may be obtained from the Participation Agent, the Participation Owner Trustee or the Participation Depositor. Pursuant to the related Servicing Agreement, each Servicer will make all distributions required to be made under the related Servicing Agreement with respect to the HELOCs serviced by it to the Participation Agent.

The Participation Agent will have the right to consent to an amendment to a Servicing Agreement to the extent such amendment affects the related HELOCs transferred to the Participation Agent or any of the rights or obligations related thereto under the related Servicing Agreement, provided that such consent will be subject to satisfaction of certain conditions, including, in certain cases the consent of the Issuing Entity, as further described under *"Servicing of the HELOCs."*

As further described in the Custody Agreement, with respect to each HELOC, the related Mortgage Documents will be delivered to the Custodian on behalf of the Participation Agent for the benefit of the participation certificateholders, including the Issuing Entity as holder of the 23-HE1 PC. Assignments of the HELOCs to the Participation Agent will not be initially recorded in any jurisdiction, and will be prepared and recorded in the future only as necessary in connection with the servicing of the HELOCs. From and after the Closing Date, the Custodian is obligated to hold all related Mortgage Documents received by it on behalf of the Participation Agent and is obligated to make disposition thereof only in accordance with the Custody Agreement and the instructions furnished by the Participation Agent or its designee.

PRE-OFFERING REVIEW OF HELOCS

General

The Sponsors or one of their respective affiliates engaged one firm (the "Review Vendor") to conduct a review of certain elements of the HELOCs (the "pre-offering review"). The Review Vendor was acceptable to the Rating Agencies. The fees and expenses of the Review Vendor were paid by the Sponsors or one of their affiliates.

The Review Vendor reviewed 2,269 HELOCs.

The 2,269 HELOCs reviewed by the Review Vendor include 174 of the HELOCs that relate to Mortgage Loans with the following loan numbers which were not included in the Mortgage Pool: 303855792, 303855978, 303856351, 303858135, 303877081, 303879241, 303882792, 303883234, 303888837, 303890212, 303891132, 303891134, 303892641, 303892716, 303893576, 303893630, 303893861, 303894621, 303894763, 303895061, 303895966, 303896632, 303897896, 303897920, 303897994, 303898417, 303898597, 303898706, 303899481, 303899495, 303899524, 303899857, 303900077, 303901832, 303904541, 303904613, 303907107, 303907951, 303907963, 303908251, 303909109, 303910179, 303910471, 303915170, 303916007, 303855793, 303855818, 303872388, 303877286, 303879186, 303879188, 303879237, 303879243, 303879288, 303879769, 303879802, 303879833, 303880469, 303880561, 303882283, 303882646, 303882713, 303882752, 303883183, 303883200, 303886117, 303886166, 303886168, 303887980, 303888367, 303889901, 303892824, 303893566, 303893581, 303893604, 303893618, 303893718, 303893723, 303894681, 303894741, 303894801, 303894909, 303895006, 303895025, 303895939, 303895980, 303896248, 303897789, 303897985, 303897986, 303898059, 303898064, 303898120, 303898393, 303898539, 303898580, 303898818, 303899500, 303899835, 303899882, 303899883, 303900311, 303902269, 303907008, 303907986, 303909967, 303909980, 303909985, 303909987, 303910439, 303910447, 303910485, 303915191, 303915985, 303916226, 303916556, 303916569, 303916610, 303916615, 303916633, 303916637, 303916646, 303917546, 303919150, 303919178, 303920449, 303923218, 303923558, 303923562, 303923635, 303923673, 303924310, 303924521, 303924569, 303925825, 303925959, 303926272, 303927211, 303927790, 303927818, 303927847, 303927876, 303927883, 303927918, 303927959, 303927969, 303928002, 303928782, 303928877, 303929532, 303929982, 303930041, 303931025, 303931046, 303931519, 303931542, 303932002, 303932026, 303944724, 303944758, 303945238, 303945253, 303945264, 303945349, 303945471, 303945539, 303945580, 303946060, 303946075, 303946242, 303946803, 303947449, 303947578 and 303948719 (the "Review Vendor Dropped Loans").

The Review Vendor Dropped Loans were not included in the Mortgage Pool due to, among other things, (i) payment history on the related home equity line of credit, (ii) payment-in-full of the related home equity line of credit prior to the Cut-off Date, (iii) the related home equity line of credit no longer being current as of the Cut-off Date, (iv) a FICO score drift and (v) low unpaid principal balance on the related home equity line of credit.

Certain of the HELOCs were subject to a post-disaster inspection resulting in findings of no damage, and with respect to one (1) HELOC, a post-disaster inspection was unavailable. No HELOCs will be removed from the Mortgage Pool as a result of any post-disaster findings.

Each HELOC was reviewed by the Review Vendor. The Review Vendor produced one or more reports detailing its review procedures and the related results, which are summarized in the section below. The final pre-offering review reports by the Review Vendor described a credit review component, a compliance review component, a property valuation review component and a data verification component for certain data elements. The Review Vendor was given instructions with respect to the required review to be conducted, but the Review Vendor employed its own procedures in conducting its review and arriving at its conclusions described in the sections below. The Review Vendor initially reviewed and graded the HELOCs, but in certain instances, the initial event grades were favorably revised based on subsequent documentation and/or information provided to the Review Vendor, discussions with representatives of the Participation Certificate Seller or one of its affiliates and further analysis by the Review Vendor.

The Review Vendor did not indicate in its report that it made any assessment as to whether the origination guidelines provided to it were appropriate or complete, or suggestive of a particular standard of origination. The Review Vendor's reports generally did not take into account any changes in any Borrower's status since origination other than as provided herein. The Review Vendor assumed the accuracy of all information that was contained in the loan documentation or the valuation information that was provided to, or obtained by, the Review Vendor.

None of the Participation Certificate Seller, the Depositor, the Issuing Entity, the Participation Agent, the Owner Trustee, the Participation Owner Trustee, any Initial Purchaser or any other transaction party makes any representation as to the adequacy of the procedures that were performed by the Review Vendor in connection with its review process or as to the performance, accuracy or completeness of the procedures or results (including any "event grades" or "NRSRO grades") that were described in the Review Vendor's report. None of the Participation Certificate Seller, the Depositor, the Issuing Entity, the Participation Agent, the Owner Trustee, the Participation Owner Trustee or any Initial Purchaser verified that the Review Vendor performed the procedures indicated in its reports or verified the results (including any "event grades" or "NRSRO grades") provided by the Review Vendor. The "event grades" and "NRSRO grades" and other conclusions and results of the Review Vendor represent its opinions with respect to the related HELOCs. See "*—Limitations of the Pre-offering Review*" below.

We refer you to the reports filed by the Depositor on SEC Form ABS-15G on May 17, 2023 and SEC Form ABS-15G/A on June 7, 2023 (collectively, the "15Ga-2 Report") for additional information regarding the pre-offering review. This filing can be obtained under the CIK number 0001142786. The information contained in the 15Ga-2 Report was provided by the respective due diligence service providers named therein and has not been verified by the Participation Certificate Seller, the Depositor, any Initial Purchaser or any other transaction party. None of the Participation Certificate Seller, the Depositor or any Initial Purchaser make any representation as to the adequacy of the procedures that were performed by any such due diligence service provider in connection with its review process or as to the performance, accuracy or completeness of the procedures or results (including any "event grades" or "NRSRO grades") that are described in any report contained in the 15Ga-2 Report.

The descriptions of the Review Vendor's procedures and results contained in the sections below are only summaries of the Review Vendor's final reports, and such descriptions are based solely on the information contained in the final reports provided by the Review Vendor. These summaries are qualified in their entirety by reference to the entire 15Ga-2 Report, which is available for review by prospective investors on the SEC's EDGAR website.

Review Vendor Review Report

The Review Vendor indicated that it conducted a credit review, a compliance review and a data validation review of certain data elements on 2,269 second lien home equity line of credit residential mortgages, as well as a valuation review of certain data elements on a portion of such second lien home equity line of credit residential mortgages. Any reference to a Mortgage Loan in this section is to one of the 2,269 second lien home equity line of credit residential mortgages that the Review Vendor reviewed as part of its review process.

The Review Vendor's credit review consisted of a review of the origination of the assets to determine conformity to the stated underwriting or credit extension guidelines, standards, criteria, or other requirements provided to the Review Vendor and as directed by the Mortgage Loan Seller. When applicable, a review of the loan files to the Automated Underwriting System output with the file was also performed. The Review Vendor reviewed and, in some cases verified based on documentation provided by the Mortgage Loan Seller, certain information relating to the credit application, credit report and documentation related to the employment, income and assets of the mortgagor. The Review Vendor assessed whether the related Mortgage Loan was originated in accordance with the required guidelines and that the LTV/TLTV/HTLTV of the Mortgage Loan and the debt-to-income ratio, credit score and asset reserves of the Borrower satisfied the guideline requirements.

The Review Vendor's compliance review was intended to determine, to the extent possible and subject to the caveats below and in the Review Vendor's report, whether the loans comply with, among other things, (i) certain disclosure requirements of TILA, (ii) certain requirements of RESPA, (iii) Fannie Mae points and fees limitations and the restrictions under the Home Ownership and Equity Protection Act of 1994, as amended, as addressed in Fannie Mae Announcement 04-06, as amended, (iv) the disclosure requirements and prohibitions of Section 50(a)(6), Article XVI of the Texas Constitution and associated regulations, and (v) the disclosure requirements and prohibitions of certain state, county and municipal laws and ordinances that were enacted to combat predatory lending.

For the loans where a valuation review was performed, the Review Vendor's valuation review consisted of a review of each appraisal contained in the loan files related to the Mortgage Loans to (i) validate that the applicable policies and procedures were followed including the appropriate level of review, (ii) verify that the appraisal is materially complete and (iii) verify that the property value is supported within 10% by a second independent valuation product. The Review Vendor performed the following additional procedures, among others:

- reviewed pictures of the Mortgaged Property to ensure the Mortgaged Property was in average or better condition and to confirm that the Mortgaged Property was the one for which the valuation was ordered and that there are no negative external factors;
- captured the relative comparable data to ensure it is within standard appraisal guidelines;
- verified that comparables used are similar in size, style and location to the Mortgaged Property;
- confirmed that the related appraiser was actively licensed to perform the valuation; and
- noted whether the Mortgaged Property had a zip code in a FEMA disaster area after the valuation date.

The Review Vendor's results from its review were provided by the Review Vendor as "NRSRO grades" for each review category. The NRSRO grades are based on various criteria from nationally recognized statistical rating organizations, including DBRS's "Third-Party Due Diligence Criteria for U.S. RMBS Transactions" report dated as of September 2020, Fitch's "U.S. RMBS Ratings Criteria" report dated as of April 18, 2022, KBRA's "U.S. RMBS Rating Methodology" report dated as of February 2, 2021 and S&P's "Methodology and Assumptions For Rating U.S. RMBS Issued 2009 and Later" report dated as of February 22, 2018. The results of the Review Vendor's review process are contained in the tables below. The percentages shown in the tables below were calculated based on the number of Mortgage Loans reviewed by the Review Vendor.

Credit Review NRSRO Grades		
NRSRO Grade	Number of Mortgage Loans	Percentage of Mortgage Loans
A	2,142	87.68%
B	301	12.32%

Compliance Review NRSRO Grades		
NRSRO Grade	Number of Mortgage Loans	Percentage of Mortgage Loans
A	2,177	89.11%
B	266	10.89%

DBRS, Fitch and Kroll Valuation Review NRSRO Grades		
NRSRO Grade	Number of Mortgage Loans	Percentage of Mortgage Loans
A	984	99.80%
B	2	0.20%

S&P Valuation Review NRSRO Grades		
NRSRO Grade	Number of Mortgage Loans	Percentage of Mortgage Loans
A	983	99.70%
B	3	0.30%

The Review Vendor noted that exceptions for the Mortgage Loans that were given a final NRSRO grade of "B" or lower in connection with the Credit Review, the Compliance Review or the Valuation Review were as listed below. Some Mortgage Loans may be listed multiple times if they carried multiple exception categories, even if those categories were within the same general exception category.

S&P Exceptions	Number of Exceptions	Grade Impact	Exception Type
Fannie Mae 2014 - 3% Points and Fees	123	B	Compliance
Missing Document: Missing Lender's Initial 1003	50	B	Compliance
(Missing Data) Last Rate Set Date	40	B	Compliance
Notice of Special Flood Hazard Disclosure Not Provided Timely	20	B	Compliance
TILA Notice of Right to Cancel Expiration Date Prior or equal to Disbursement Date	10	B	Compliance
Washington Residential Mortgage Loan (Disclosure of Material Terms Not Provided Timely)	9	B	Compliance
TILA Rescission - Disbursement Date Less than 3 Business Days From Transaction Date	5	B	Compliance
Missing Initial Loan Application Test	4	B	Compliance
HELOC Fees Used For Testing	3	B	Compliance
South Carolina Home Loan (Complaint Agency Disclosure Not Provided)	2	B	Compliance
Notice of Special Flood Hazard Disclosure Missing	2	B	Compliance
Right of Rescission Not Provided - Purchase HELOC	2	B	Compliance
Colorado Consumer Credit Code (Borrower Written Reason for Loan, Modification, or Refinance Not Provided)	2	B	Compliance
Ohio Consumer Sales Practices Act (Acknowledgement of Receipt of Home Mortgage Loan Information Document Not Received Timely)	2	B	Compliance
Ohio Consumer Sales Practices Act (Acknowledgement of Receipt of Home Mortgage Loan Information Document Not Retained by Lender)	2	B	Compliance
South Carolina Home Loan (Acknowledgement of Receipt of Complaint Agency Disclosure Not In File)	1	B	Compliance
(County High Cost) Cook County Threshold Loan (Calculated APR/Rate)	1	B	Compliance
Colorado Home Loan (Tangible Net Benefit Disclosure Not Provided)	1	B	Compliance
Ohio Consumer Sales Practices Act (Right Not To Close Disclosure Not Provided Timely)	1	B	Compliance
Right of Rescission Timing HELOC - Receipt Date Missing	1	B	Compliance
Notice of Right To Cancel Not Provided to All Required Parties	1	B	Compliance
DC Mortgage Disclosure Amendment Act of 2007 (Mortgage Disclosure Not Provided)	1	B	Compliance
Ohio Consumer Sales Practices Act Acknowledgement of Receipt of Home Mortgage Loan Information Document Not Signed)	1	B	Compliance
The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.	198	B	Credit
FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.	35	B	Credit

S&P Exceptions	**Number of Exceptions**	**Grade Impact**	**Exception Type**
Title Policy Coverage is less than Original Loan Amount.	30	B	Credit
Verification(s) of employment is not within 10 business days of the Note.	15	B	Credit
FEMA Disaster Issue: The most recent valuation inspection is dated prior to the most recent FEMA disaster.	11	B	Credit
Ineligible property type.	7	B	Credit
Guideline Requirement: Representative FICO score discrepancy.	6	B	Credit
Guideline Requirement: Combined loan to value discrepancy.	6	B	Credit
Guideline Requirement: Investor qualifying total debt ratio discrepancy.	4	B	Credit
Income Docs Missing:	2	B	Credit
Guideline Requirement: Combined High loan to value discrepancy.	2	B	Credit
FEMA Disaster Issue: Property is located in a FEMA Disaster area and has not been inspected.	2	B	Credit
The verification of employment is required and was not found in file.	1	B	Credit
Missing Document: Missing Final 1003	1	B	Credit
REO Documents are missing.	1	B	Credit
Credit Exception:	1	B	Credit
Guideline Issue: Property type not allowed per credit guidelines	1	B	Credit
Appraisal is required to be in name of Lender	2	B	Property
Loan is to be securitized. Highest level secondary valuation supports the value. There is a lower level tertiary product that does not support the qualifying value. Appraisal was provided from prior transaction.; Sec ID: 62	1	B	Property

DBRS, Fitch and Kroll Exceptions	**Number of Exceptions**	**Grade Impact**	**Exception Type**
Fannie Mae 2014 - 3% Points and Fees	123	B	Compliance
Missing Document: Missing Lender's Initial 1003	50	B	Compliance
(Missing Data) Last Rate Set Date	40	B	Compliance
Notice of Special Flood Hazard Disclosure Not Provided Timely	20	B	Compliance
TILA Notice of Right to Cancel Expiration Date Prior or equal to Disbursement Date	10	B	Compliance
Washington Residential Mortgage Loan (Disclosure of Material Terms Not Provided Timely)	9	B	Compliance
TILA Rescission - Disbursement Date Less than 3 Business Days From Transaction Date	5	B	Compliance
Missing Initial Loan Application Test	4	B	Compliance
HELOC Fees Used For Testing	3	B	Compliance
South Carolina Home Loan (Complaint Agency Disclosure Not Provided)	2	B	Compliance
Notice of Special Flood Hazard Disclosure Missing	2	B	Compliance

DBRS, Fitch and Kroll Exceptions	Number of Exceptions	Grade Impact	Exception Type
Right of Rescission Not Provided - Purchase HELOC	2	B	Compliance
Colorado Consumer Credit Code (Borrower Written Reason for Loan, Modification, or Refinance Not Provided)	2	B	Compliance
Ohio Consumer Sales Practices Act (Acknowledgement of Receipt of Home Mortgage Loan Information Document Not Received Timely)	2	B	Compliance
Ohio Consumer Sales Practices Act (Acknowledgement of Receipt of Home Mortgage Loan Information Document Not Retained by Lender)	2	B	Compliance
South Carolina Home Loan (Acknowledgement of Receipt of Complaint Agency Disclosure Not In File)	1	B	Compliance
(County High Cost) Cook County Threshold Loan (Calculated APR/Rate)	1	B	Compliance
Colorado Home Loan (Tangible Net Benefit Disclosure Not Provided)	1	B	Compliance
Ohio Consumer Sales Practices Act (Right Not To Close Disclosure Not Provided Timely)	1	B	Compliance
Right of Rescission Timing HELOC - Receipt Date Missing	1	B	Compliance
Notice of Right To Cancel Not Provided to All Required Parties	1	B	Compliance
DC Mortgage Disclosure Amendment Act of 2007 (Mortgage Disclosure Not Provided)	1	B	Compliance
Ohio Consumer Sales Practices Act Acknowledgement of Receipt of Home Mortgage Loan Information Document Not Signed)	1	B	Compliance
The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.	198	B	Credit
FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.	35	B	Credit
Title Policy Coverage is less than Original Loan Amount.	30	B	Credit
Verification(s) of employment is not within 10 business days of the Note.	15	B	Credit
FEMA Disaster Issue: The most recent valuation inspection is dated prior to the most recent FEMA disaster.	11	B	Credit
Ineligible property type.	7	B	Credit
Guideline Requirement: Representative FICO score discrepancy.	6	B	Credit
Guideline Requirement: Combined loan to value discrepancy.	6	B	Credit
Guideline Requirement: Investor qualifying total debt ratio discrepancy.	4	B	Credit
Income Docs Missing:	2	B	Credit
Guideline Requirement: Combined High loan to value discrepancy.	2	B	Credit
FEMA Disaster Issue: Property is located in a FEMA Disaster area and has not been inspected.	2	B	Credit
The verification of employment is required and was not found in file.	1	B	Credit
Missing Document: Missing Final 1003	1	B	Credit
REO Documents are missing.	1	B	Credit

DBRS, Fitch and Kroll Exceptions	Number of Exceptions	Grade Impact	Exception Type
Credit Exception:	1	B	Credit
Guideline Issue: Property type not allowed per credit guidelines	1	B	Credit
Appraisal is required to be in name of Lender	2	B	Property
Loan is to be securitized. Highest level secondary valuation supports the value. There is a lower level tertiary product that does not support the qualifying value. Appraisal was provided from prior transaction.; Sec ID: 62	1	B	Property

Each Mortgage Loan with a final review NRSRO grade of "B" or lower in any of the tables set forth above is identified by loan number in Appendix I hereto with an explanation for the NRSRO grade given. However, any explanation with respect to a final event grade other than "A" with respect to a Review Vendor Dropped Loan not included in Appendix I is that such mortgage loans were not included in the Mortgage Pool.

The Review Vendor also noted discrepancies between information in the data in the loan tape provided to it versus the information that appeared in the loan files. Of the 2,269 Mortgage Loans reviewed, the Review Vendor identified 2,425 Mortgage Loans that had such discrepancies. The following table identifies the data field, the number of Mortgage Loans and the percentage of Mortgage Loans (based on number) that had such discrepancies.

Field	Number of Loans	Percentage of Loans
Original LTV	2,307	94.43%
Original P&I	1,955	80.02%
Original Interest Rate	1,787	73.15%
Original CLTV	1,350	55.26%
LTV Valuation Value	847	34.67%
Investor: Qualifying Total Debt Ratio	687	28.12%
Property Type	360	14.74%
Original Loan Amount	329	13.47%
Representative FICO	324	13.26%
Borrower First Name	100	4.09%
Interest Only	92	3.77%
Coborrower First Name	86	3.52%
Coborrower Last Name	86	3.52%
Street	79	3.23%
City	31	1.27%
Borrower Last Name	30	1.23%
Zip	17	0.70%
Refi Purpose	13	0.53%
Appraised Value	11	0.45%
Other Financing Junior Total Original Loan Amount	9	0.37%
Contract Sales Price	3	0.12%
Occupancy	2	0.08%

The Review Vendor indicated that the differences in DTI noted in the table above were due to differences in calculating complex incomes, and that while the data differed, the resulting ratios remained within the applicable guidelines.

Limitations of the Pre-offering Review

As noted above under "*Risk Factors—Risks Primarily Related to the Mortgage Loans—Pre-offering Review of the HELOCs May Not Reveal Aspects of the HELOCs Which Could Lead to Losses*," there can be no assurance that the pre-offering review uncovered all the relevant factors relating to the origination of the HELOCs, their compliance with applicable laws and regulations and the original appraisals relating to the Mortgaged Properties or uncovered all relevant factors that could affect the future performance of the HELOCs.

Any comparison of the information on a loan tape to the information in the related loan files that was performed by the Review Vendor did not cover all fields of information on such loan tape that may relate to characteristics of the HELOCs, including those that are disclosed in this Memorandum, so prospective investors should not rely on that review as having validated all or any of the statistical information regarding the HELOCs that appears in this Memorandum to the related information that appears in the related loan files.

It is the Depositor's opinion that the pre-offering review did not constitute an independent re-underwriting of the HELOCs. The pre-offering review is not a guarantee of the future performance of any of the HELOCs.

Investors should note the following with respect to the property valuation review by the Review Vendor that was conducted as part of the pre-offering review:

- The procedures stated in the Review Vendor's reviews as being conducted pursuant to the property valuation reviews were not appraisals or re-appraisals of the related Mortgaged Properties. To the Depositor's knowledge, the individuals performing such reviews were not persons providing valuations for purposes of the Uniform Standards of Professional Appraisal Practice ("USPAP") or Federal or State law, and the services being performed by such persons did not constitute "appraisal reviews" for purposes of USPAP or Federal or State law. Such reviews should not be construed as or relied upon as providing an assessment of value of the related Mortgaged Properties comparable to that which an appraisal might provide.

- The property valuation reviews conducted by the Review Vendor were not an assessment of the current value of any of the related Mortgaged Properties.

- Differences may exist among and between estimated valuations due to the subjective nature of estimated valuations and appraisals, particularly between different appraisers estimating valuations or performing appraisals at different points in time, as well as among appraisers and other persons reviewing the appraisals or other valuations.

- Estimating or appraising the value of, and performing other analyses of, high-value properties can involve challenges that may not generally be present with respect to properties whose values fall within the average price range of their respective markets. There may be fewer substitute properties available (from which to derive comparative values) in the high-value residential property market, unique buyer attitudes and preferences, and more difficult to quantify "appeal" issues, any of which can make valuations in the high-value home segment less precise than for more average-priced housing.

- Estimates of value for high-value properties are imprecise. The unique nature of some of these properties, the use in some cases of highly customized and top-quality materials, overall interior design/appeal issues, and in many cases limited notations in the original appraisal report regarding key elements that drove the original property valuation, pose challenges for a subsequent reviewer. Also, the reviewer does not have, among other things, independent access to an interior inspection of the property and therefore is not able to independently analyze the interior appointments and amenities associated with the valuation of these types of properties.

- Appraisals and other valuations and reviews of those appraisals and valuations represent the analysis and opinion of the person performing the appraisal, valuation or review at the time it is prepared, and are not guarantees of, and may not be indicative of, the past, present or future value of the related Mortgaged Property.

Investors are advised that the aforementioned review procedures carried out by the Review Vendor were performed for the benefit of the Participation Certificate Seller and its affiliates. The Review Vendor makes no representation and provide no advice to any investor or future investor concerning the suitability of any transaction or investment strategy. The Review Vendor is not responsible for any decision to include any of the Mortgage Loans in the pool of Mortgage Loans allocated to the 23-HE1 PC to be transferred to the Issuing Entity.

Investors should make their own determination as the extent to which they place reliance on the limited review procedures carried out by the Review Vendor as part of the pre-offering review.

DESCRIPTION OF THE UNDERWRITING GUIDELINES

General

Approximately 39.47% and 49.30% of the mortgage loans, by aggregate unpaid principal balance of the mortgage loans as of the cut-off date, relate to HELOCs that were originated by loanDepot.com, LLC ("loanDepot") and United Wholesale Mortgage, LLC ("UWM"), respectively. No other Originator originated HELOCs relating to more than 10% of the Mortgage Loans. A listing of the Originators of the HELOCs relating to Mortgage Loans is included in Annex A to this Memorandum in the table entitled "Originator." All percentages set forth in this paragraph are based on the aggregate Unpaid Principal Balance of the Mortgage Loans as of the Cut-off Date.

The HELOCs were acquired by the Participation Depositor from the Originators in the ordinary course of its business. See *"—Assignment of the HELOCs"* in this Memorandum for more information.

Certain HELOCs may have been originated with exceptions to the related underwriting guidelines, including debt-to-income ratios in excess of the guidelines, credit scores that were lower than required, loan-to-value ratios in excess of the guidelines and credit history provided by a Borrower that was less than what is required.

The description of any underwriting guidelines that is contained in this Memorandum is qualified in its entirety by the particular characteristics of the related HELOCs that are set forth in this Memorandum, including in Annex A to this Memorandum, and by the exceptions to any such underwriting guidelines that are set forth in Appendix I to this Memorandum.

The information set forth in this section under "*—United Wholesale*" and "*—loanDepot*" has been provided by UWM and loanDepot, respectively, and has not been verified by the Participation Depositor, the Depositor, any Sponsor or any Initial Purchaser.

United Wholesale

United Wholesale Mortgage, LLC ("UWM") is a Michigan limited liability company founded in July, 1986 and it is currently located at 585 South Blvd E., Pontiac, Michigan. UWM focuses its business on wholesale mortgage lending. UWM's parent company is publicly traded on the New York Stock Exchange under the symbol UWMC.

UWM funds loans brokered by its broker clients and buys loans originated by its correspondent clients. UWM's clients include mortgage banks, smaller lenders, credit unions and mortgage brokers. UWM's current loan product offerings include FHA, VA and USDA loans, Fannie Mae and Freddie Mac eligible loans, and may also contain certain non-conforming loan products from time to time. UWM began offering home equity lines of credit in August 2022.

UWM underwrites all of the loans of its broker and correspondent clients and such underwriting is performed according to, as applicable, GSE, agency, investor, private mortgage insurer and UWM guidelines, UWM overlays and UWM product descriptions. UWM relies on automated underwriting system findings, when applicable, as part of its underwriting process. UWM underwrites home equity lines of credit to the applicable Fannie Mae and Freddie Mac guidelines with additional product overlays as determined by the applicable investor.

Relevant credit factors are reviewed upon an underwriting review of a file, which generally include, but are not limited to, the following:

- automated underwriting approval;
- credit history and scoring;
- income and employment;
- value and adequacy of collateral;
- real estate and non-real estate liabilities;
- loan to value, combined loan to value and home equity combined loan-to-value;
- maximum loan amounts;
- maximum amortization terms; and
- overall capacity and creditworthiness of borrowers.

UWM packages groups of loans and sells them to investors or securitizes its loans from time to time. Before the loans are sold to investors or securitized, UWM funds brokered loans and purchases correspondent loans from its correspondents.

UWM retains the servicing rights on some of the loans it funds or purchases and is authorized to service Fannie Mae, Freddie Mac, FHA, VA and USDA loans. The majority of the servicing activity on UWM's servicing portfolio is performed by a sub-servicer. From time to time, UWM sells certain of its servicing rights in bulk to investors.

In the ordinary course of its business affairs, UWM is involved in suits and claims commensurate with its business and the size of its operations, none of which is currently estimated to materially and adversely impact UWM's assets and/or ability to continue performing its business as currently contemplated. UWM's parent company may from time to time disclose certain non-routine litigation involving UWM through its filings with the SEC.

loanDepot

Company Background

loanDepot.com, LLC ("loanDepot"), a Delaware limited liability company, was formed on December 4, 2009 and has been operating since 2010, and began originating and servicing second lien home equity lines of credit in November of 2022. As a result, loanDepot has limited history and experience in originating and servicing home equity lines of credit. loanDepot is licensed as a lender and servicer in all 50 states and the District of Columbia, but at this time only originates home equity lines of credit in 37 states. loanDepot is approved as a servicer for Fannie Mae, Freddie Mac and Ginnie Mae and is in good standing with such entities, and is currently licensed or otherwise approved to own residential mortgage servicing rights (MSRs) in all states where a license or other approval is necessary to carry on such activities.

As of March 31, 2023, loanDepot had approximately 4,800 employees. Its headquarters are located at 6561 Irvine Center Drive, Irvine, California 92618, and its phone number is (888) 337-6888.

loanDepot is a customer-centric, technology-empowered residential mortgage platform with a widely recognized consumer brand. It is primarily engaged in the origination and servicing of residential mortgages, including home equity lines of credit, and to a lesser degree, unsecured personal loans and home equity loans. On

October 1, 2013, loanDepot acquired substantially all of the assets of imortgage.com, Inc. ("imortgage"), a purchase-focused and builder-based retail lender based primarily in the western region of the United States. At the time of the acquisition, imortgage had 1,022 employees and a licensed salesforce of 369, with 56 branches in six states. On January 2, 2015 loanDepot similarly acquired substantially all of the assets from Mortgage Master, Inc. ("Mortgage Master"), an independent retail lender based in the northeast, tri-state and mid-Atlantic regions of the United States. At the time of the acquisition, Mortgage Master had 629 employees and a licensed sales force of 290, with 44 branches in 14 states. In connection with the imortgage and Mortgage Master acquisitions, loanDepot acquired assets relating to the companies' businesses of originating, processing, underwriting, funding and selling residential mortgage loans, which included, among other things, certain leases relating to the companies' dedicated mortgage loan origination offices and their respective pipelines of residential mortgage loan applications for loans. After May 2017, mortgage loans were no longer originated under the imortgage and Mortgage Master brand names.

loanDepot has several wholly-owned special purpose subsidiaries related to its various asset financing strategies, including several trusts formed to hold whole-loans as the underlying collateral for its warehouse securitization program, a financing trust formed to hold and finance participation interests in Ginnie Mae mortgage servicing rights ("MSRs"), as well as a special purpose entity which serves as the depositor for a variable funding note facility for the financing of servicing advance receivables with respect to residential mortgage loans serviced on behalf of Fannie Mae and Freddie Mac. loanDepot also owns interests ranging between 35-50% in entities formed to operate mortgage origination joint ventures with partners such as home builders and real estate brokers. These joint venture entities are not consolidated in loanDepot's financials.

On February 16, 2021, loanDepot, Inc. ("LDI"), an affiliate of loanDepot, announced the closing of its initial public offering of its Class A common stock. LDI will provide required additional disclosure, including risk factors, regarding its business in its publicly available filings with the SEC, including its annual reports on Form 10-K, quarterly reports on Form 10-Q, current reports on Form 8-K, and registration statements and prospectuses relating to its common shares (collectively, the "LDI Public Filings"). Neither LDI nor any person on its behalf has independently verified the accuracy or completeness of the information contained in the LDI Public Filings or this Memorandum for investors in the Offered Certificates. The LDI Public Filings are not incorporated by reference herein for any purpose.

Mortgage Loan Origination Channels

loanDepot leverages its brand, technology and data to serve customers across its two interconnected strategies: retail and partner. At this time, loanDepot originates home equity lines of credit solely through its retail operations. loanDepot's retail strategy focuses on directly reaching consumers through a combination of digital marketing and, as of March 31, 2023, more than 1,650 licensed mortgage professionals.

As part of its retail strategy, loanDepot acquires the customer organically using its own technology and loan officers, without the assistance of a licensed third party. loanDepot's retail strategies in general include its Consumer Direct and its In-Market Loan Officer Channel.

Consumer Direct: loanDepot launched its first channel, consumer direct, in 2010 and has since invested heavily in technology and marketing capabilities. The consumer direct platform is designed to leverage loanDepot's centralized operations centers and proprietary algorithms to provide customers with a rate quote within seconds. Many of loanDepot's customers choose to complete the mortgage application process themselves and are able to do so digitally with minimal or no human interaction. While customers are capable of end-to-end application processes completely online, loanDepot offers real-time assistance from its contact center sales force of licensed loan officers when needed. Mortgages originated through loanDepot's digital marketing and call center operations tend to be predominantly refinance focused.

In-Market Loan Officer Channel: loanDepot launched its in-market loan officer channel through the acquisition of imortgage in October 2013 and grew the channel through the acquisition of Mortgage Master in January 2015. loanDepot originates loans in this channel through its dedicated in-market loan officers across the United States. Loan officers are responsible for sourcing, engaging, and maintaining local customer relationships through real estate agents, builders, and other contacts.

Loan Products

loanDepot primarily offers a broad loan product suite including conventional agency-conforming loans, FHA and VA loans, conventional prime jumbo loans and home equity lines of credit, as further briefly described below:

1. Conventional Agency loans: Conventional Agency-conforming loans meet the general underwriting guidelines established by Fannie Mae and Freddie Mac, and may be modified through special arrangements with both GSEs.

2. FHA & VA loans: FHA loans are federal assistance residential mortgage loans that insure the lender against default on the loan. VA loans are federal assistance residential mortgage loans for eligible U.S. veterans and their surviving spouses that are guaranteed against default by the U.S. government.

3. Conventional Prime Jumbo Loans: Comprised of loanDepot's proprietary "Jumbo Advantage" product, and other white label products, these loans generally conform to the underwriting guidelines of the GSEs but exceed the maximum loan size allowed for single unit properties.

4. HELOCs: loanDepot's current proprietary home equity line of credit product is a second-lien revolving line of credit secured by the mortgaged property. loanDepot has its own underwriting criteria for its home equity line of credit program, but defaults to the underwriting guidelines of Fannie Mae when not otherwise specified.

In addition to the above product categories, loanDepot originates certain first-lien mortgage loans that are not underwritten in accordance with the guidelines of Appendix Q of the Dodd Frank Act ("Non-QM Loans"). loanDepot originates its Non-QM Loans in accordance with the specific guidelines of loanDepot's network of buyers for Non-QM Loans.

The loanDepot HELOCs

The following is an overview of the basic features of the second lien home equity lines of originated by loanDepot and included in the Mortgage Pool (the "loanDepot HELOCs").

The loanDepot HELOCs included in the Mortgage Pool will have original terms to maturity of thirty (30) years and an initial open draw period of three (3) or ten (10) years. Each loanDepot HELOC provides for an initial interest-only period during which the Borrower is required to make monthly payments of interest payable in arrears for a 120-month period and, following such interest-only period, the Borrower is required to repay the Unpaid Principal Balance of the loanDepot HELOC over a period which cannot exceed 240 months. The minimum credit amount is $35,000 (or the minimum amount required by state law) and the maximum credit amount is $250,000. An initial draw amount is required at the time of the closing of the loanDepot HELOC in an amount equal to at least the minimum credit amount required by state law. A subsequent Draw is not permitted for ninety (90) days after the date of the home equity line of credit agreement and is required to be a minimum $1,000 or the minimum draw amount required by state law, whichever is greater.

Underwriting Guidelines

The following is a summary of the underwriting standards (the "Underwriting Guidelines") generally applied by loanDepot in its origination of home equity lines of credit which are similar to the loanDepot HELOCs. This summary does not purport to be a complete description of the underwriting standards employed by loanDepot currently for home equity lines of credit similar to the loanDepot HELOCs or for all mortgage products it originates. loanDepot revises the Underwriting Guidelines from time to time to comply with new or evolving regulatory and market interpretations of federal or state regulations, as well as to reflect updates to credit policy and underwriting practices and, where applicable, the requirements of Fannie Mae.

The Underwriting Guidelines are intended to evaluate the borrower's ability to repay, employment history, credit history & FICO scores, debt to income ratio (DTI), and the value and adequacy of a subordinate lien on the Mortgaged Property as collateral. Each borrower is required to complete an application (Form 1003) which includes information about the borrower's income and employment history.

Each home equity line of credit is manually underwritten by a loanDepot underwriter.

Citizenship and Residency Requirements

Under the Underwriting Guidelines, borrowers (including each co-borrower) must have a valid social security number and must be: (i) United States citizens, (ii) permanent residents of the United States who have a Permanent Resident Card or other proof that they are legally permitted to maintain permanent residence in the United States ("Permanent Resident Aliens"), or (iii) non-permanent resident aliens (a) who provide a valid visa or passport, (b) who provide documentation showing two years of credit history and employment history in the United States or (c) who are co-borrowers with a United States citizen or a Permanent Resident Alien.

Eligible Property Types

The Underwriting Guidelines permit loanDepot to lend money under a loanDepot home equity line of credit to borrowers on their primary residence or a second home provided it is primarily residential in nature and in either case the subject property is either a single family attached or detached residence/planned unit development ("PUD") or a townhome.

Under the Underwriting Guidelines, loanDepot will not finance loans on the following property types:

1. Condominiums
2. Two- to four-unit properties
3. Investment properties
4. Vacant land
5. Properties with over ten acres
6. Log homes
7. Earth homes/geodesic domes
8. Manufactured/modular homes
9. Mobile homes
10. Agricultural/income producing properties
11. Leaseholds
12. Cooperatives

In addition, under the current Underwriting Guidelines, loanDepot will not finance first lien home equity lines of credit or properties listed for sale within six (6) months of the application date.

Furthermore, loanDepot will not finance home equity lines of credit if the mortgaged property is secured by a lien-free property or any of the following first liens:

1. Reverse mortgages
2. Private mortgages
3. Interest-only mortgages
4. CEMA transactions
5. First lien home equity lines of credit
6. Loans with negative amortization features
7. Balloon loans

Income and Employment

The Underwriting Guidelines require full income documentation in connection with the origination of home equity lines of credit and verification of such documentation. For anything not specified in the Underwriting Guidelines, income requirements of Fannie Mae are followed. Qualifying income may not be used if it comes from sources that cannot be verified, are not stable, or are not likely to continue.

In general, for borrowers who are salaried employees, and hourly or part time employees, loanDepot requires (i) the borrower's most recent pay stub(s) to have year-to-date earnings (covering a prescribed period of time) and (ii) W-2s, or an acceptable equivalent, from all employers covering the most recent twenty-four months.

Borrowers who are self-employed (i.e. a borrower with a 25% or greater ownership interest) are not eligible for a home equity line of credit under the Underwriting Guidelines.

For borrowers who are on fixed incomes or who earn no taxable income, the Underwriting Guidelines specify the income sources that may be used to qualify for a home equity line of credit. Examples of such income sources are: retirement and pension income; alimony, child support and maintenance income; military income; VA benefits; unemployment income; and disability income.

A verbal verification of employment (VVOE) is generally required to be obtained for each borrower within ten (10) business days of the closing date. If a borrower has multiple sources of employment, a VVOE is required for each employer.

All borrowers are required to sign an IRS Form 4506C.

Credit Scoring

Each borrower is required to have sufficient credit history to qualify for a home equity line of credit under the Underwriting Guidelines. Fair, Isaac and Company ("FICO") scores for each borrower are requested from each of the three national credit bureaus when ordering the tri-merged credit report. If three FICO scores are obtained for a borrower, the middle score is used to qualify the borrower; when two FICO scores are obtained for a borrower, the lower score is used. If there is more than one borrower on a mortgage loan, the FICO score of the borrower with the lowest score (as calculated in accordance with the preceding sentence) is used.

Property Valuation

loanDepot primarily utilizes an automated valuation model (AVM) in order to determine the adequacy of a subordinate lien on the property as collateral for a home equity line of credit. An AVM is a software-based tool that is used to determine the value of a particular property using mathematical or statistical modeling with a combination of existing databases. Each AVM is ordered by a third-party system and will be reviewed by a loanDepot underwriter to determine if the value is supported. In addition, each AVM must be completed by a rating agency-approved provider for Residential Mortgage Backed Securities (RMBS).

Underwriting Exceptions

Prudent exceptions to the Underwriting Guidelines may be made based on strong compensating or mitigating factors. These factors may include, but are not limited to, a lower debt-to-income ratio, higher credit scores and low loan-to-value ratio. Any exceptions to the Underwriting Guidelines must be documented and approved in accordance with internal policies.

Litigation

In the ordinary course of its business affairs, loanDepot is subject to lawsuits, claims, allegations and investigations commensurate with its business, the size of its operations and existing market conditions, none of which is currently estimated to materially and adversely impact loanDepot's assets and/or ability to continue performing its business as currently contemplated. LDI may from time to time disclose certain non-routine litigation through its filings with the SEC, including, but not limited to, securities class action litigation and stockholder derivative litigation related to its initial public offering, as well as non-routine actions involving its subsidiaries.

Market Volatility

Recently, and as has been widely reported in the press, domestic residential mortgage markets have experienced substantial volatility and related challenges. Over the last year, mortgage originations have decreased at least in part to the aggressive inflation-fighting monetary policy that has been implemented by the Federal Reserve, including the Federal Reserve's numerous rate hikes in its benchmark federal funds interest rate which have pushed the federal funds interest rate to the highest level since 2007.

Such increases have resulted in higher mortgage interest rates throughout the country, which in turn have reduced borrowers' appetites for refinancing existing loans and, together with a weakening economy, may also generally reduce borrowers' appetites for taking out new purchase money mortgage loans and/or home equity lines of credit. All of these events in turn have had (and may for the foreseeable future continue to have) a negative impact on the profitability of mortgage loan originators, servicers and other mortgage market participants across the marketplace, including loanDepot. loanDepot reported a net loss for the first quarter of 2023 of $89.6 million as compared to a net loss of $155.8 million in the prior quarter, a loss primarily driven by the decrease in mortgage origination volume. As discussed above, all of these events may negatively impact the ability of such parties to fulfill potential repurchase obligations.

DESCRIPTION OF THE 23-HE1 PC

General

Prior to the Closing Date, the Participation Depositor transferred legal title to the HELOCs to the Participation Agent in exchange for a 100% Participation Interest in each draw related to such HELOCs which are represented by a participation certificate issued by the Participation Agent to JPMMAC (the "JPM PC"). JPMMAC will also purchase Participation Interests in all Additional Draws funded by the Participation Agent with respect to the HELOCs, and Participation Interests in such Additional Draws will be allocated to the JPM PC. On the Closing Date, the Sponsors will designate the Participation Interest in the Mortgage Loans to be reallocated from the JPM PC to a new Participation Certificate (the "23-HE1 PC") and no additional Participation Interests will be added to the 23-HE1 PC after the Cut-off Date. On the Closing Date, JPMMAC as Participation Certificate Seller will sell the 23-HE1 PC to the Depositor, and the Depositor will in turn sell the 23-HE1 PC to the Issuing Entity. The Issuing Entity will enter into a Participation Supplement to the Master Participation Agreement and will sign a joinder agreement to each related Servicing Agreement and Custody Agreement. Set forth below are summaries of certain terms and provisions of the Master Participation Agreement and the Participation Trust Agreement. The following summaries are subject to, and are qualified in their entirety by reference to, the provisions of the Master Participation Agreement and the Participation Trust Agreement. Copies of the Master Participation Agreement, the Participation Trust Agreement and the Custody Agreement will be available to any Certificateholder upon request to the Securities Administrator.

The 23-HE1 PC will represent a 100% beneficial ownership interest in the Participation Interests in the related Mortgage Loans and the rights and obligations attributable to the 23-HE1 PC pursuant to the Master Participation Agreement.

Distributions on the 23-HE1 PC will be made by the Participation Registrar, on each Participation Distribution Date, to the Issuing Entity.

Payments on Mortgage Loans; Accounts

On or prior to the Closing Date, each Servicer will establish and maintain or cause to be established and maintained an eligible account (each, a "Custodial Account"), which will be a separate account or accounts for the collection of payments on any home equity lines of credit owned by the Participation Agent including the HELOCs and the related Mortgage Loans, net of any deductions or reimbursements permitted under the related Servicing

Agreement, and will be separate from such Servicer's other assets. The net collections will be held in the related Custodial Account before they are remitted each month on the Servicer Remittance Date to the Participation Agent. No Custodial Account will be under the control of the Participation Agent or the Issuing Entity, and each Servicer will be permitted to commingle collections on the HELOCs with its own funds for up to two Business Days and the funds related to the HELOCs and the Mortgage Loans will be comingled in the Custodial Account with other funds distributable to the Participation Agent until the Participation Registrar distributes the related amounts to the Securities Administrator on the Participation Distribution Date. In the event that the rating of the depository institution where a Custodial Account is maintained, which may be a Servicer, falls below requirements specified in the applicable Servicing Agreement, the related Custodial Account is required to be transferred to a depository institution satisfying those requirements. See "*Servicing of the HELOCs—General—Accounts.*"

On or prior to the Closing Date, the Participation Registrar will establish the Participation Account, which will be an eligible account established by the Participation Registrar on behalf of the Participation Agent for the benefit of the Participation Certificateholders. In the event that the rating of the depository institution where the Participation Account is maintained falls below requirements specified in the Master Participation Agreement, the Participation Account will be required to be transferred within 60 days to a depository institution satisfying those requirements.

On or prior to the Servicer Remittance Date immediately preceding each Participation Distribution Date, each Servicer will be obligated to withdraw from the applicable Custodial Account collections and recoveries in respect of the related HELOCs and the other home equity lines of credit owned by the Participation Agent that are credited to the Custodial Account at the close of business on the related Determination Date, and to remit such amounts (net of certain charges against and withdrawals from the Custodial Account) to the Participation Agent for deposit in the Participation Account. See "*Servicing of the HELOCs.*" On or prior to the Participation Distribution Date immediately preceding each Distribution Date, the Participation Registrar will be obligated to withdraw from the Participation Account collections and recoveries in respect of the related Mortgage Loans credited to the Participation Account, and to remit such amounts (net of certain charges against and withdrawals from the Participation Account allocated to the Mortgage Loans for such Participation Distribution Date as further described in this Memorandum under "*Fees and Expenses of the Participation Agent*") to the Securities Administrator for deposit in the Distribution Account.

Funds credited to a Custodial Account maintained by loanDepot may be invested at the direction of the applicable Servicer for the benefit and at the risk of such Servicer in eligible investments, as defined in the related Servicing Agreement, that are scheduled to mature on or prior to the Business Day preceding the next Servicer Remittance Date. Funds on deposit in the Custodial Account maintained by SLS may not be invested, but may be deposited in an interest bearing Custodial Account. Funds credited to the Participation Account and the Distribution Account will remain uninvested.

PC Interest Remittance Amount and PC Principal Remittance Amount

Distributions on the Participation Certificates will be made by the Participation Registrar on each Participation Distribution Date to the related Participation Certificateholder. The Participation Distribution Date will be the 20th day of each month or, if such day is not a Business Day, the next Business Day thereafter, commencing with respect to the 23-HE1 PC in July 2023.

Collections of PC Interest Remittance Amount received with respect to any HELOC for any Monthly Period will be allocated based on the amount of interest that accrued on each Participation Interest on a daily basis (such amount with respect to each Participation Interest, the "Interest Entitlement Amount"). Collections of PC Principal Remittance Amounts received with respect to any HELOC for any Monthly Period will be allocated based on the date the related Servicer reported receiving any such PC Principal Remittance Amount on the related HELOC in its remittance report and each Participation Certificateholder's Funded Participation Percentage as of such date with respect to any Participation Interests related to such HELOC (such amount with respect to each Participation Interest, the "Principal Entitlement Amount"). If no date is specified in the Servicer's report for the receipt of any PC Principal Remittance Amount or the application of any loss, such amount will be treated as having been received or applied as of the last calendar day in the related Monthly Period.

On each Participation Distribution Date, prior to making distributions to the Certificateholders as described below, the Participation Registrar, as trust paying agent, will be obligated to withdraw from the Participation Account from collections on deposit related to all home equity lines of credit owned by the Participation Agent to which such amount relates the following amounts and remit such amounts as follows: (i) the Participation Owner Trustee/Participation Registrar Fee and any unpaid Participation Owner Trustee/Participation Registrar Fee from a prior Participation Distribution Date, to the Participation Owner Trustee/Participation Registrar; (ii) the Custodian Fee and any unpaid Custodian Fee from a prior Participation Distribution Date, to the Custodian; and (iv) any Eminent Domain Expenses not previously reimbursed to the Participation Owner Trustee by any other person, to the Participation Owner Trustee.

The Participation Registrar, as trust paying agent, may withdraw from the Participation Account, prior to making distributions on the Participation Certificates as described below, amounts representing collections on all home equity lines of credit owned by the Participation Agent to which such amount relates and pay (i) the Participation Owner Trustee, the Custodian or itself, any unpaid Aggregate Expense Fees payable to that person, (ii) the parties entitled thereto, any amounts contemplated under clauses (A) and (B) of the definition of PC Interest Remittance Amount and PC Principal Remittance Amount, including any Participation Trust Expenses which will be paid in accordance with the terms of the Master Participation Agreement and will be subject, in certain cases, to the Participation Owner Trustee/Participation Registrar Annual Expense Cap and the Custodian Annual Expense Cap. See "*Fees and Expenses of the Participation Agent*" for an explanation of the payment of Participation Trust Expenses, including Capped Participation Trust Expenses and the various caps applicable thereto. Notwithstanding the foregoing, Eminent Domain Expenses, Servicing Transfer Costs and Participation Aggregate Expense Fees will not be subject to any annual expense cap but will only be paid from collections on the home equity lines of credit owned by the Participation Agent to which such amount relates.

The fees and expenses of the Participation Agent will be allocated among the Participation Certificateholders based on the date such fee or expense was incurred, the HELOC to which such fee or expense relates and the related Participation Certificateholder's Funded Participation Percentage with respect to such HELOC as of such date. See "*Fees and Expenses of the Participation Agent*" in this Memorandum.

Distributions on the Participation Certificates

On each Participation Distribution Date, PC Interest Remittance Amounts and PC Principal Remittance Amounts on deposit in the Participation Account will be distributed by the Participation Registrar to the related Participation Certificateholder (and for the 23-HE1 PC, to the Securities Administrator for deposit in the Distribution Account), as follows:

(1) any amounts representing PC Interest Remittance Amounts, allocated on a *pro rata* basis, based on the relative aggregate Interest Entitlement Amounts, to the Participation Interests represented by the related Participation Certificate; and

(2) any amounts representing PC Principal Remittance Amounts, the Principal Entitlement Amounts to the related Participation Certificate.

The Unpaid Principal Balance of any Participation Certificate as of any date of determination will equal the Unpaid Principal Balance of the Mortgage Loans allocated to such Participation Certificate.

Reports to Participation Certificateholders

On each Participation Distribution Date, the Participation Registrar will prepare and make available to the Participation Depositor, the Participation Agent, the Participation Owner Trustee and the Securities Administrator on behalf of a Participation Certificateholder, a written report (based, to the extent related to the HELOCs, on HELOC information received from the Servicers). Such report will state with respect to the related Participation Distribution Date the following, among other things, in each case, as applicable, (i) with respect to each HELOC, (ii) in the aggregate with respect to the Participation Interests allocated to each Participation Certificate (which for the

23-HE1 PC will be the Mortgage Loans allocated to the 23-HE1 PC), (iii) with respect to each Participation Certificate and (iv) with respect to all Participation Certificates:

(a) the amount of the distributions, separately identified, with respect to each Participation Interest and each Participation Certificate;

(b) the amount of the distributions set forth in clause (a) allocable to principal, separately identifying the aggregate amount of any Principal Prepayments or other unscheduled recoveries of principal included in that amount and separately identifying Net Liquidation Proceeds and which portion of such proceeds are related to a HELOC that became a Liquidated Mortgage Loan during the related Monthly Period;

(c) the amount of the distributions set forth in clause (a) allocable to interest and how such amount was calculated;

(d) the PC Interest Remittance Amount and the PC Principal Remittance Amount;

(e) the Unpaid Principal Balance of each Participation Certificate after giving effect to distributions of principal on such Participation Distribution Date;

(f) the Unpaid Principal Balance of the HELOCs at the end of the related Monthly Period and the Current Interest and Net Mortgage Rate for each HELOC and the Participation Net WAC applicable to the 23-HE1 PC for such Participation Distribution Date;

(g) the aggregate amount of Participation Trust Expenses paid since the previous Participation Distribution Date and the aggregate amount of each component of Participation Trust Expenses paid since the previous Participation Distribution Date;

(h) the amount of (i) the Servicing Fee or the Successor Servicing Fee, as applicable, paid to or retained by each Servicer or the successor servicer, as applicable, (ii) the Participation Owner Trustee/Participation Registrar Fee paid to the Participation Owner Trustee/Participation Registrar and (iii) the Computershare Custodian Fee paid to Computershare;

(i) the number and Unpaid Principal Balance of the HELOCs that, using the Mortgage Bankers Association's method, were (A) Delinquent Mortgage Loans (exclusive of HELOCs in foreclosure) (1) 30 to 59 days, (2) 60 to 89 days and (3) 90 or more days, (B) in foreclosure and Delinquent (1) 30 to 59 days, (2) 60 to 89 days and (3) 90 or more days and (C) in bankruptcy as of the close of business on the last day of the calendar month preceding such Participation Distribution Date;

(j) the number and aggregate Unpaid Principal Balance of the HELOCs that, during the related Monthly Period, were identified as (i) in "Draw" status, (ii) in "temporary freeze" status, (iii) in "permanently frozen" status or (iv) in "termination" status, in each case, using information reported by the related Servicer;

(k) for any HELOC as to which the related Mortgaged Property was an REO Property during the related Monthly Period, the principal balance of that HELOC as of the close of business on the last day of the related Monthly Period;

(l) the amount of Realized Losses incurred during the related Monthly Period (including separately identifying the amount of any Realized Losses resulting from the allocation of Principal Forbearance Amounts);

(m) the cumulative amount of Realized Losses incurred with respect to such HELOC since the related date such HELOC was transferred to the Participation Agent through the end of the related Monthly Period;

(n) the aggregate amount of the Realized Losses and Subsequent Recoveries, if any, allocated to each Participation Certificate on such Participation Distribution Date;

(o) the number and aggregate Unpaid Principal Balance of the HELOCs as of the first and last day of the related Monthly Period;

(p) the Draws made with respect to each HELOC, the date of each such Draw and the remaining undrawn amount for such HELOC;

(q) the daily Funded Participation Percentage of each Participation Interest allocable to the Participation Interests subject to each applicable Participation Certificate, including the Funded Participation Percentages as of the related Participation Distribution Date after applying the distributions as of such Participation Distribution Date;

(r) a list of HELOCs subject to forbearance with each Servicer and the expiration date of each such forbearance;

(s) the total dollar amount of principal deferred in connection with any HELOCs subject to forbearance for the related Monthly Period;

(t) the cumulative dollar amount of principal deferred in connection with any HELOCs subject to forbearance since the related date such HELOC was transferred to the Participation Agent;

(u) the total dollar amount deferred in connection with any HELOCs subject to forbearance for the related Monthly Period;

(v) the cumulative dollar amount deferred in connection with any HELOCs subject to forbearance since the related date such HELOC was transferred to the Participation Agent;

(w) the identification of each Charged-off Loan with respect to the related Monthly Period and the aggregate Unpaid Principal Balance of Charged-off Loans with respect to the related Monthly Period;

(x) an indication if a notice of resignation has been received from any Servicer, any Custodian, the Participation Registrar or the Participation Owner Trustee during the preceding calendar month and the name of any successor Servicer, successor Custodian, successor Participation Registrar or successor Participation Owner Trustee appointed during the preceding calendar month;

(y) the percentage of principal outstanding for each Participation Certificate, calculated by a fraction, the numerator of which is the current Unpaid Principal Balance of such Participation Certificate and the denominator of which is the initial Unpaid Principal Balance of such Participation Certificate; and

(z) any updated FICO score or valuation information available with respect to any HELOC, or any other information provided by the Participation Depositor and designated for inclusion in the statements to Participation Certificateholders, as provided by the Participation Depositor to the Participation Registrar.

The Participation Registrar will not be required to include in any Participation Distribution Date reports to Participation Certificateholders (or otherwise make available) any information that in its judgment is confidential, may include any personally identifiable information or could otherwise violate applicable law, or could result in personal liability to the Participation Registrar. In addition, the Participation Registrar will have no liability for the failure to include or post any information that it has not actually received or is not in a form or format that will allow it to include any such information in any Participation Distribution Date reports to Participation Certificateholders (or to otherwise make such information available).

The Participation Registrar will have the right to change the way such reports are distributed in order to make such distributions more convenient or more accessible, and the Participation Registrar will provide timely and adequate notification to such parties regarding any such changes.

Voting Interests

To the extent a Participation Certificate is entitled to vote on a matter with respect to a HELOC under the Master Participation Agreement, the Percentage Interest with respect to the 23-HE1 PC and any Mortgage Loan can be calculated as the Unpaid Principal Balance of such Mortgage Loan as a percentage of the Unpaid Principal Balance of the related HELOC. The Voting Interests with respect to any HELOC will be allocated to the Participation Certificates based on their respective Percentage Interests in the related HELOC.

For certain matters under the Master Participation Agreement and the Participation Trust Agreement, a requisite percentage of the aggregate Voting Interests are required to take any action. For example, (i) 50% of the related aggregate Voting Interests are required to waive any default by a Servicer in the performance of its obligations under the related Servicing Agreement, (ii) 66 2/3% of the related aggregate Voting Interests are required for amendments to the Master Participation Agreement, the Participation Trust Agreement, Purchase Agreement or Servicing Agreement requiring the consent of the related Participation Certificateholders and (iii) 25% of the related aggregate Voting Interests are required in order to incur certain Eminent Domain Expenses. To the extent the Voting Interests allocable to the 23-HE1 PC with respect to the Mortgage Loans are less than the aforementioned percentages, the Issuing Entity may not be able to cause certain actions with respect to the HELOCs or other related matters as directed by the Certificateholders. See "*Risk Factors— Special Risks Associated with the HELOCs and the Securitization Transaction— Participation Certificateholders Other than the Issuing Entity May Have Participation Interests in the HELOCs, and such Other Participation Certificates May Be Subject to Securitizations Separate from this Securitization Transaction*" in this Memorandum.

In addition, certain actions can be taken at the direction of any Participation Certificateholder with an interest in the related HELOC, or by JPMMAC as holder of the JPM PC, even if no interest in the HELOC is presently allocated to the JPM PC. These actions include the right to direct the Participation Owner Trustee to conduct an auction with respect to a Charged-off Loan, the right to receive notice of the bids received on a Charged-off Loan and to provide a counteroffer to purchase such Charged-off Loan, the right to pursue certain enforcement actions with respect to HELOCs subject to a repurchase obligation and the right to request a third-party review be conducted with respect to a HELOC that is at least 120 days delinquent. While these actions can be taken at the direction of any Participation Certificateholder, for Participation Certificates subject to a securitization transaction, including the 23-HE1 PC, a certain percentage of the certificates or a specific class of certificates, as applicable, in the securitization transaction may be required in order for the related securities administrator to cause the related issuing entity to provide direction with respect to the related Participation Certificate under the Master Participation Agreement. See "*Description of the Certificates— Voting Interests*" in this Memorandum. It is possible that a Participation Certificateholder could take actions with respect to a HELOC that are unfavorable to the interest in such HELOC represented by the 23-HE1 PC. See "*Risk Factors— Special Risks Associated with the HELOCs and the Securitization Transaction— Participation Certificateholders Other than the Issuing Entity May Have Participation Interests in the HELOCs, and such Other Participation Certificates May Be Subject to Securitizations Separate from this Securitization Transaction*" in this Memorandum.

Limitations on Transfer of the 23-HE1 PC

The 23-HE1 PC will not be registered or qualified under the Securities Act or any state securities law. No transfer, sale, pledge or other disposition of the 23-HE1 PC (other than a transfer to or from the Participation Certificate Seller, the Depositor or the Issuing Entity pursuant to the Securitization Sale Agreement or the pledge related thereto) will be made (i) unless such disposition is made pursuant to an effective registration statement under the Securities Act and effective registration or qualification under applicable state securities laws, or is made in a transaction which does not require such registration or qualification and (ii) while 23-HE1 PC is subject to the Securitization Sale Agreement, without the prior written consent of the related Securities Administrator; provided, however, that, no such consent will be required in connection with an Optional Termination or Optional Redemption under the Securitization Sale Agreement. The 23-HE1 PC will be transferred only in denominations representing an ownership interest equal to 100%. No transfer, sale or release of any Participation Interest may be made from the

23-HE1 PC without the consent of the Issuing Entity and other than in accordance with the Securitization Sale Agreement.

DESCRIPTION OF THE CERTIFICATES

General

On the Closing Date, the Depositor will sell the 23-HE1 PC to the Issuing Entity pursuant to the Securitization Sale Agreement and the Certificates will be issued pursuant to the Trust Agreement. Set forth below are summaries of certain terms and provisions of the Securitization Sale Agreement and the Trust Agreement, as well as the Master Participation Agreement, the Participation Trust Agreement and the Custody Agreement. The following summaries are subject to, and are qualified in their entirety by reference to, the provisions of the Securitization Sale Agreement and the Trust Agreement. Copies of the Securitization Sale Agreement and the Trust Agreement will be available to any Certificateholder upon request to the Securities Administrator.

The Senior Certificates will consist of the Class A-1 Certificates. The Mezzanine Certificates will consist of the Class M-1, Class M-2 and Class M-3 Certificates. The Subordinate Certificates will consist of the Class B-1, Class B-2, Class B-3, Class B-4 and Class X Certificates. The Issuing Entity will also issue the Exchangeable Certificates, the Class A-IO-S Certificates and the Class A-R Certificates. Each class of Offered Certificates (other than the Class A-R Certificates) will be issued in the initial Class Principal Amount or Class Notional Amount, as applicable, set forth in the table beginning on page 1 under "*Summary—The Offered Certificates*." The initial Class Principal Amount or Class Notional Amount, as applicable, of each class may be increased or decreased by up to 5% to the extent that the Unpaid Principal Balance of the Mortgage Loans and the 23-HE1 PC is increased or decreased as described in "*Description of the Mortgage Pool*," provided that the initial aggregate Certificate Principal Amount of the Certificates will not be adjusted if the initial aggregate Certificate Principal Amount of the Certificates exceeds the Unpaid Principal Balance of the Mortgage Loans and the 23-HE1 PC as of the Cut-off Date, and the Participation Certificate Seller remits the Closing Date Substitution Amount to the Participation Agent on the Closing Date for deposit in the Participation Account.

The Class Principal Amount of each class of Exchangeable Certificates for any Distribution Date will equal the proportionate share of the aggregate Class Principal Amount or Class Notional Amount, as applicable, immediately prior to that Distribution Date of the related classes of Depositable Certificates that have been exchanged.

The minimum denominations and incremental denominations of the Offered Certificates are set forth in the table that begins on page 3 of this Memorandum.

The Certificates represent beneficial ownership interests in the Issuing Entity, the assets of which on the Closing Date will consist primarily of (1) the 23-HE1 PC, including the right to all distributions of principal and interest received on or with respect to the 23-HE1 PC after the Cut-off Date, and all such distributions due after such date but received prior to such date and intended by the Participation Registrar to be applied after such date, but not including distributions of principal and interest due and payable on the 23-HE1 PC on or before the Cut-off Date; (2) all of the Participation Certificate Seller's rights under the Master Participation Agreement with respect to such Participation Certificate; (3) the Depositor's security interest in any collateral pledged to secure the Participation Certificate, including the related Participation Interest in the applicable Mortgage Loans; and (4) all proceeds of the conversion, voluntary or involuntary, of any of the foregoing.

Distributions on the Certificates will be made by the Securities Administrator, on each Distribution Date, to the persons in whose names such Certificates are registered on the related Record Date.

Form of the Certificates

The Certificates (other than with respect to the Regulation S Restricted Certificates) may be sold outside the United States to non-U.S. persons in offshore transactions in reliance on Regulation S under the Securities Act. Each initial purchaser of a Regulation S Permanent Global Certificate will be required to sign an investor representation letter substantially in the form of the letter set forth in Appendix III to this Memorandum, and each subsequent purchaser of a Regulation S Permanent Global Certificate will be deemed to make the representations set forth in such representation letter and any other required representations and warranties set forth in the Trust Agreement at the time of its acquisition thereof.

Any Certificates sold in reliance on Regulation S initially will be represented by one or more global certificates in fully registered form without interest coupons (the "Regulation S Temporary Global Certificates") which, within a reasonable time following the expiration of the Regulation S Restricted Period (as defined below) will be exchanged for one or more global certificates representing Regulation S Permanent Global Certificates. Investors may hold their interests in a Regulation S Permanent Global Certificate directly through Euroclear or Clearstream, if they are participants in such systems, or indirectly through organizations which are participants in such systems. The Regulation S Permanent Global Certificates will be deposited with the Securities Administrator as custodian for DTC and registered in the name of a nominee of DTC for the accounts of Euroclear and Clearstream. Beneficial interests in a Regulation S Permanent Global Certificate may be held only through Euroclear or Clearstream. Beneficial interests in a Regulation S Permanent Global Certificate may not be held by a "U.S. person" (as defined in Regulation S) at any time. By acquisition of a beneficial interest in a Regulation S Permanent Global Certificate, the purchaser thereof will be deemed to represent, among other things, that it is not a "U.S. person" (as defined in Regulation S) and that, if in the future it determines to transfer such beneficial interest in the form of a beneficial interest in a Regulation S Permanent Global Certificate, it will transfer such interest only to a person whom it reasonably believes to be a Regulation S Non-U.S. Person.

The Certificates also may be sold to "qualified institutional buyers" within the meaning of Rule 144A ("QIB") acquiring the Certificates for their own account or for the account of another QIB.

Any Certificates that are sold in reliance on Rule 144A will be represented by one or more global certificates in fully registered form without interest coupons (the "Rule 144A Global Certificates" and, together with the Regulation S Permanent Global Certificates, the "Global Certificates") deposited with the Securities Administrator as custodian for, and registered in the name of, a nominee of DTC. Investors may hold their interests in the Rule 144A Global Certificates directly through DTC if they are DTC participants, or indirectly through organizations which are DTC participants. Beneficial interests in Global Certificates will be subject to certain restrictions on transfer set forth under "*Notice to Investors*" in this Memorandum.

A beneficial interest in a Regulation S Permanent Global Certificate may not be transferred until the 40th day after the Closing Date, or if any Certificates are retained by the Issuing Entity or any affiliate of the Issuing Entity on the Closing Date, then such beneficial interest may not be transferred until the date that is one year after the date on which such retained notes are sold by the Issuing Entity or such affiliate, as applicable (the "Regulation S Restricted Period"). After the expiration of such period, a beneficial interest in a Regulation S Permanent Global Certificate may be transferred to a person who takes delivery in the form of an interest in a Rule 144A Global Certificate only upon receipt by the Certificate Registrar of a written certification from the transferor and the transferee (substantially in the forms provided in the Trust Agreement) to the effect that the transfer is being made to a QIB in a transaction meeting the requirements of Rule 144A and in accordance with any applicable securities laws of any state of the United States or any other jurisdiction. Beneficial interests in the Rule 144A Global Certificates may be transferred to a person who takes delivery in the form of an interest in a Regulation S Permanent Global Certificate only upon receipt by the Certificate Registrar of a written certification from the transferor and the transferee (substantially in the forms provided in the Trust Agreement) to the effect that the transfer is being made to a person that is not a "U.S. person" as defined in Regulation S and in accordance with Regulation S under the Securities Act.

The Certificates will be subject to certain restrictions on transfer set forth herein and in the Trust Agreement, and such Certificates will bear the legends regarding such transfer restrictions set forth under "*Notice to Investors*" in this Memorandum.

Any beneficial interest in a Regulation S Permanent Global Certificate that is transferred to a person who takes delivery in the form of a Rule 144A Global Certificate will, upon transfer, cease to be an interest in such Regulation S Permanent Global Certificate and become an interest in such Rule 144A Global Certificate and, accordingly, will thereafter be subject to all transfer restrictions and other procedures applicable to a Rule 144A

Global Certificate for as long as it remains in such form. Any beneficial interest in a Rule 144A Global Certificate that is transferred to a person who takes delivery in the form of a Regulation S Permanent Global Certificate will, upon transfer, cease to be an interest in such Rule 144A Global Certificate and become an interest in such Regulation S Permanent Global Certificate and, accordingly, will thereafter be subject to all transfer restrictions and other procedures applicable to a Regulation S Permanent Global Certificate for as long as it remains in such form. Any beneficial interest in a Global Certificate that is exchanged or transferred to a person who takes delivery in the form of one or more definitive Certificates may only be exchanged or transferred upon receipt by the Certificate Registrar of a written certification or certifications required by the Trust Agreement and will, upon such exchange or transfer, cease to be an interest in a Global Certificate.

Except in the limited circumstances described above and below, owners of beneficial interests in Global Certificates will not be entitled to receive physical delivery of definitive Certificates. See "—*Book-Entry Certificates*" below.

Book-Entry Certificates

The Offered Certificates (other than the Class A-R Certificates) will be book-entry certificates. The Class A-R Certificates will be issued in physical form. Persons acquiring beneficial ownership interests in the Offered Certificates, or certificate owners, may elect to hold their certificates through the Depository Trust Company, or "DTC," in the United States, or Clearstream Banking, société anonyme (formerly Cedelbank), commonly known as "Clearstream Luxembourg," or Euroclear (in Europe) if they are participants of such systems, or indirectly through organizations which are participants in such systems.

The book-entry certificates will be issued in one or more global certificates which equal the initial principal amount of each class and will initially be registered in the name of Cede, the nominee of DTC. Clearstream Luxembourg and Euroclear will hold omnibus positions on behalf of their participants through customers' securities accounts in Clearstream Luxembourg's and Euroclear's names on the books of their respective depositaries which in turn will hold such positions in customers' securities accounts in the depositaries' names on the books of DTC. Except as described below, no person acquiring a book-entry certificate, or beneficial owner, will be entitled to receive a physical certificate representing such certificate. Unless and until definitive certificates are issued, it is anticipated that the only "certificateholders" of the certificates will be Cede, as nominee of DTC. Owners of book-entry certificates will not be certificateholders as that term is used in the Trust Agreement, the Securitization Sale Agreement and the other transaction documents. Owners of book-entry certificates are only permitted to exercise their rights indirectly through the participating organizations that utilize the services of DTC, including securities brokers and dealers, banks and trust companies and clearing corporations and certain other organizations, or Participants, and DTC.

The beneficial owner's ownership of a book-entry certificate will be recorded on the records of the brokerage firm, bank, thrift institution or other financial intermediary (each, a "Financial Intermediary") that maintains the beneficial owner's account for such purpose. In turn, the Financial Intermediary's ownership of such book-entry certificate will be recorded on the records of DTC (or of a participating firm that acts as agent for the Financial Intermediary, whose interest will in turn be recorded on the records of DTC, if the beneficial owner's Financial Intermediary is not a DTC participant, and on the records of Clearstream Luxembourg or Euroclear, as appropriate).

Owners of book-entry certificates will receive all distributions of principal of, and interest on, the certificates from the Securities Administrator through DTC and DTC participants. While the certificates are outstanding (except under the circumstances described below), under the rules, regulations and procedures creating and affecting DTC and its operations (or the "Rules"), DTC is required to make book-entry transfers among Participants on whose behalf it acts with respect to the certificates and is required to receive and transmit distributions of principal of, and interest on, the certificates. Participants and indirect Participants which have indirect access to the DTC system, such as banks, brokers, dealers and trust companies that clear through or maintain a custodial relationship with a Participant, either directly or indirectly ("Indirect Participants"), with whom certificate owners have accounts with respect to certificates are similarly required to make book-entry transfers and receive and transmit such distributions on behalf of their respective certificate owners. Accordingly, although owners of book-entry certificates will not possess certificates, the Rules provide a mechanism by which owners of book-entry certificates will receive distributions and will be able to transfer their interest.

Owners of book-entry certificates will not receive or be entitled to receive definitive certificates representing their respective interests in the certificates, except under the limited circumstances described below. Unless and until definitive certificates are issued, owners of book-entry certificates who are not Participants may transfer ownership of certificates only through Participants and Indirect Participants by instructing such Participants and Indirect Participants to transfer certificates, by book-entry transfer, through DTC for the account of the purchasers of such certificates, which account is maintained with their respective Participants. Under the Rules and in accordance with DTC's normal procedures, transfers of ownership of certificates will be executed through DTC and the accounts of the respective Participants at DTC will be debited and credited. Similarly, the Participants and Indirect Participants will make debits or credits, as the case may be, on their records on behalf of the selling and purchasing certificate owners.

Because of time zone differences, credits of securities received in Clearstream Luxembourg or Euroclear as a result of a transaction with a Participant will be made during subsequent securities settlement processing and dated the business day following the DTC settlement date. Such credits or any transactions in such securities settled during such processing will be reported to the relevant Euroclear or Clearstream Luxembourg Participants on such business day. Cash received in Clearstream Luxembourg or Euroclear as a result of sales of securities by or through a Clearstream Luxembourg Participant (as defined herein) or Euroclear Participant (as defined herein) to a DTC Participant will be received with value on the DTC settlement date but will be available in the relevant Clearstream Luxembourg or Euroclear cash account only as of the business day following settlement in DTC.

Transfers between Participants will occur in accordance with DTC rules. Transfers between Clearstream Luxembourg Participants and Euroclear Participants will occur in accordance with their respective rules and operating procedures.

Cross-market transfers between persons holding directly or indirectly through DTC, on the one hand, and directly or indirectly through Clearstream Luxembourg Participants or Euroclear Participants, on the other, will be effected in DTC in accordance with the DTC rules on behalf of the relevant European international clearing system by the relevant depositary; however, such cross market transactions will require delivery of instructions to the relevant European international clearing system by the counterparty in such system in accordance with its rules and procedures and within its established deadlines (European time). The relevant European international clearing system will, if the transaction meets its settlement requirements, deliver instructions to the relevant depositary to take action to effect final settlement on its behalf by delivering or receiving securities in DTC, and making or receiving payment in accordance with normal procedures for same day funds settlement applicable to DTC. Clearstream Luxembourg Participants and Euroclear Participants may not deliver instructions directly to the European depositaries.

DTC, which is a New York-chartered limited purpose trust company, performs services for its participants, some of which (and/or their representatives) own DTC. In accordance with its normal procedures, DTC is expected to record the positions held by each DTC participant in the book-entry certificates, whether held for its own account or as a nominee for another person. In general, beneficial ownership of book-entry certificates will be subject to the rules, regulations and procedures governing DTC and DTC participants as in effect from time to time.

Clearstream Luxembourg is incorporated under the laws of Luxembourg as a professional depository. Clearstream Luxembourg holds securities for its participating organizations ("Clearstream Luxembourg Participants") and facilitates the clearance and settlement of securities transactions between Clearstream Luxembourg Participants through electronic book-entry changes in accounts of Clearstream Luxembourg Participants, thereby eliminating the need for physical movement of certificates. Transactions may be settled in Clearstream Luxembourg in any of various currencies, including United States dollars. Clearstream Luxembourg provides to its Clearstream Luxembourg Participants, among other things, services for safekeeping, administration, clearance and settlement of internationally-traded securities and securities lending and borrowing. Clearstream Luxembourg interfaces with domestic markets in several countries. As a professional depository, Clearstream Luxembourg is subject to regulation by the Luxembourg Monetary Institute. Clearstream Luxembourg Participants are recognized financial institutions around the world, including underwriters, securities brokers and dealers, banks, trust companies, clearing corporations and certain other organizations. Indirect access to Clearstream Luxembourg is also available to others, such as banks, brokers, dealers and trust companies that clear through or maintain a custodial relationship with a Clearstream Luxembourg Participant, either directly or indirectly.

Euroclear was created in 1968 to hold securities for its participants ("Euroclear Participants") and to clear and settle transactions between Euroclear Participants through simultaneous electronic book-entry delivery against payment, thereby eliminating the need for physical movement of certificates and any risk from lack of simultaneous transfers of securities and cash. Transactions may be settled in any of various currencies, including United States dollars. Euroclear includes various other services, including securities lending and borrowing, and interfaces with domestic markets in several countries generally similar to the arrangements for cross-market transfers with DTC described above. Euroclear is operated by Euroclear Bank, S.A./N.V. (the "Euroclear Operator"). All operations are conducted by the Euroclear Operator, and all Euroclear securities clearance accounts and Euroclear cash accounts are accounts with the Euroclear Operator. Euroclear Participants include banks (including central banks), securities brokers and dealers and other professional financial intermediaries. Indirect access to Euroclear is also available to other firms that clear through or maintain a custodial relationship with a Euroclear Participant, either directly or indirectly.

Securities clearance accounts and cash accounts with the Euroclear Operator are governed by the Terms and Conditions Governing Use of Euroclear and the related Operating Procedures of the Euroclear System and applicable Belgian law (collectively, the "Terms and Conditions"). The Terms and Conditions govern transfers of securities and cash within Euroclear, withdrawals of securities and cash from Euroclear, and receipts of payments with respect to securities in Euroclear. All securities in Euroclear are held on a fungible basis without attribution of specific certificates to specific securities clearance accounts. The Euroclear Operator acts under the Terms and Conditions only on behalf of Euroclear Participants, and has no record of or relationship with persons holding through Euroclear Participants.

Payments on the book-entry certificates will be made on each Distribution Date by the Securities Administrator to DTC. DTC will be responsible for crediting the amount of such payments to the accounts of the applicable DTC participants in accordance with DTC's normal procedures. Each DTC participant will be responsible for disbursing such payment to the beneficial owners of the book-entry certificates that it represents and to each Financial Intermediary for which it acts as agent. Each such Financial Intermediary will be responsible for disbursing funds to the beneficial owners of the book-entry certificates that it represents.

Under a book-entry format, certificate owners of the book-entry certificates may experience some delay in their receipt of payments, since such payments will be made by the Securities Administrator to Cede. Payments with respect to certificates held through Clearstream Luxembourg or Euroclear will be credited to the cash accounts of Clearstream Luxembourg Participants or Euroclear Participants in accordance with the relevant system's rules and procedures, to the extent received by the relevant depositary. Such payments will be subject to tax reporting in accordance with relevant United States tax laws and regulations.

Because DTC can only act on behalf of Financial Intermediaries, the ability of a beneficial owner to pledge book-entry certificates to persons or entities that do not participate in the Depository system, or otherwise take actions in respect of such book-entry certificates, may be limited due to the lack of physical certificates for such book-entry certificates. In addition, issuance of the book-entry certificates in book-entry form may reduce the liquidity of such certificates in the secondary market since certain prospective investors may be unwilling to purchase certificates for which they cannot obtain physical certificates.

Monthly and annual reports will be provided to Cede, as nominee of DTC, and may be made available by Cede to beneficial owners upon request, in accordance with the rules, regulations and procedures creating and affecting the Depository, and to the Financial Intermediaries to whose DTC accounts the book-entry certificates of such beneficial owners are credited.

DTC has advised the Depositor that, unless and until definitive certificates are issued, DTC will take any action permitted to be taken by the holders of the book-entry certificates under the Trust Agreement only at the direction of one or more Financial Intermediaries to whose DTC accounts the book-entry certificates are credited, to the extent that such actions are taken on behalf of Financial Intermediaries whose holdings include such book-entry certificates. Clearstream Luxembourg or the Euroclear Operator, as the case may be, will take any other action permitted to be taken by a certificateholder under the Trust Agreement on behalf of a Clearstream Luxembourg Participant or Euroclear Participant only in accordance with its relevant rules and procedures and subject to the ability of the relevant depositary to effect such actions on its behalf through DTC. DTC may take actions, at the direction of the related Participants, with respect to some book-entry certificates which conflict with actions taken with respect to other certificates.

Although DTC, Clearstream Luxembourg and Euroclear have agreed to the foregoing procedures in order to facilitate transfers of book-entry certificates among participants of DTC, Clearstream Luxembourg and Euroclear, they are under no obligation to perform or continue to perform such procedures and such procedures may be discontinued at any time.

None of the Participation Certificate Seller, the Depositor, the Servicers, the Securities Administrator or any other transaction party will have any responsibility for any aspect of the records relating to or payments made on account of beneficial ownership interests of the book-entry certificates held by Cede, as nominee of DTC, or for maintaining, supervising or reviewing any records relating to such beneficial ownership interests or transfers thereof.

Definitive certificates (together with the Class A-R Certificates (the "Definitive Certificates")) will be issued to certificate owners or their nominees, respectively, rather than to DTC or its nominee, only under the limited circumstances. Upon the occurrence of certain events, the Certificate Registrar is required to notify DTC to notify Participants that have ownership of book-entry certificates as indicated on the records of DTC of the availability of definitive certificates for the book-entry certificates. Upon surrender by DTC of the definitive certificates representing the book-entry certificates, and upon receipt of instruction from DTC for re-registration, the Securities Administrator will re-issue the book-entry certificates as definitive certificates in the respective principal amounts owned by the individual beneficial owner and thereafter the Issuing Entity and the Securities Administrator will recognize the holders of such definitive certificates as certificateholders under the Trust Agreement.

Exchangeable Certificates

General. Holders of Depositable Certificates may exchange all or part of each class of such Depositable Certificates for a proportionate interest in the Exchangeable Certificates in the related Exchangeable Combination. The holders of each class of Exchangeable Certificates in an Exchangeable Combination may also exchange all or part of such class for a proportionate interest in each class of related Depositable Certificates. This process may occur repeatedly. Prior to effecting any such exchange, any Certificate held as a Definitive Certificate must be converted and held in book-entry form with DTC or its participating institutions.

The classes of Depositable Certificates and of Exchangeable Certificates that are outstanding on any date and the outstanding Class Principal Amounts or Class Notional Amounts of these classes will depend upon any related distributions of principal, as well as any exchanges that occur and prior principal distributions.

For the purposes of the definitions set forth in the "*Glossary of Defined Terms*" and the calculation of the Class Principal Amount or Class Notional Amount, as applicable, of any class of Depositable Certificates, to the extent that exchanges of Depositable Certificates for Exchangeable Certificates occur, the aggregate Class Principal Amount or Class Notional Amount of the Depositable Certificates will be deemed to include the Class Principal Amount of the related Exchangeable Certificates issued in the exchange and the Class Principal Amount of such Exchangeable Certificates will be deemed to be zero. Depositable Certificates and the related Exchangeable Certificates in the related Exchangeable Combination may be exchanged only in the specified proportion that the initial Class Principal Amounts or Class Notional Amounts of such Certificates bear to one another as shown in Annex C hereto.

Holders of Exchangeable Certificates will be the beneficial owners of an interest in the related Depositable Certificates and will receive a proportionate share, in the aggregate, of the distributions on those certificates. With respect to any Distribution Date, the aggregate amount of principal and interest distributable to the Exchangeable Certificates in an Exchangeable Combination and the related Depositable Certificates then outstanding on such

Distribution Date will be equal to the aggregate amount of principal and interest otherwise distributable to the related Depositable Certificates on such Distribution Date as if no Exchangeable Certificates were then outstanding.

Procedures. If a Certificateholder wishes to exchange Depositable Certificates for the related Exchangeable Certificates or an Exchangeable Certificateholder wishes to exchange Exchangeable Certificates for the related Depositable Certificates, the Certificateholder must provide notice to the Securities Administrator by e-mail at exchangenotices@citi.com and at valerie.delgado@citi.com no later than two Business Days before the proposed exchange date. The exchange date will be subject to the Securities Administrator's approval but it can generally be (i) in the case of the Depositable Certificates (other than the Floating Rate Certificates) and the related Exchangeable Certificates, any Business Day in a calendar month other than the Distribution Date or the Record Date occurring in that month and (ii) in the case of the Floating Rate Certificates and the related Exchangeable Certificates, any Business Day that falls between (but not including) the Distribution Date and the last day of the month in which such Distribution Date occurs. The notice must be on the Certificateholder's letterhead and set forth the following information: the CUSIP number of each Certificate to be exchanged and each Certificate to be received; the outstanding Certificate Principal Amount or certificate notional amount and the original Certificate Principal Amount or certificate notional amount of the Certificates to be exchanged; the Certificateholder's DTC participant number; and the proposed exchange date. After receiving the notice, the Securities Administrator will e-mail the Certificateholder with wire payment instructions relating to the exchange fee. The Certificateholder will utilize the Deposit and Withdrawal System at DTC to exchange the Certificates. A notice becomes irrevocable on the second Business Day before the proposed exchange date.

In connection with each exchange, the Certificateholder must pay the Securities Administrator a fee equal to $5,000, and such fee must be delivered to the Securities Administrator no later than one Business Day prior to the exchange date.

The Securities Administrator will make the first distribution on a Depositable Certificate or an Exchangeable Certificate received in an exchange transaction on the Distribution Date in the month following the month of the exchange to the Certificateholder of record as of the close of business on the last day of the month of the exchange.

Payments on 23-HE1 PC; Distribution Account

On or prior to the Closing Date, the Securities Administrator will establish the Distribution Account, which will be an eligible account established by the Securities Administrator on behalf of the Issuing Entity in trust for the benefit of the Certificateholders. In the event that the rating of the depository institution where the Distribution Account is maintained falls below requirements specified in the Securitization Sale Agreement, the Distribution Account will be required to be transferred within 60 days to a depository institution satisfying those requirements.

Promptly upon receipt of distributions on the 23-HE1 PC from the Participation Registrar, the Securities Administrator will be obligated to deposit such amounts into the Distribution Account and retain such amounts on deposit in the Distribution Account until the related Distribution Date.

Interest Remittance Amount, Principal Remittance Amount and Monthly Excess Cashflow

On each Distribution Date, the Securities Administrator will withdraw the Interest Remittance Amount and Principal Remittance Amount to make distributions to certain transaction parties in respect of certain fees and other amounts and to make distributions to the holders of the Senior Certificates, the Mezzanine Certificates and holders of the Subordinate Certificates (other than the Class X Certificates). The Securities Administrator will distribute any Monthly Excess Cashflow remaining on each Distribution Date to the holders of the Senior Certificates, the Mezzanine Certificates and the Subordinate Certificates and to certain transaction parties as described under *"—Priority of Distributions*" below.

Distributions on the Certificates will be made by the Securities Administrator on each Distribution Date to the persons in whose names such Certificates are registered on the related Record Date. The Distribution Date will be the 20th day of each month or, if such day is not a Business Day, the next Business Day thereafter, commencing in July 2023. However, the final distribution in retirement of the Certificates will be made only upon presentation and surrender of the Certificates at the corporate trust office of the certificate registrar. See "—*Book-Entry Certificates*" above for the method of payment to beneficial owners of book-entry certificates.

Distributions on the Senior Certificates, the Mezzanine Certificates and the Subordinate Certificates will be made on each Distribution Date from, and to the extent of, the Interest Remittance Amount, Principal Remittance Amount and Monthly Excess Cashflow as described under "—*Priority of Distributions*" below. On each Distribution Date, prior to making distributions to the Certificateholders as described under "—*Priority of Distributions*" below, the Securities Administrator, as paying agent, will be obligated to withdraw from the Distribution Account the following amounts and remit such amounts as follows: (i) the Securities Administrator Fee and any unpaid Securities Administrator Fee from a prior Distribution Date, to the Securities Administrator; (ii) the Owner Trustee Fee and any unpaid Owner Trustee Fee from a prior Distribution Date, to the Owner Trustee; and (iii) the aggregate Excess Servicing Strip Amount for such Distribution Date, to the Excess Servicing Certificates.

The Securities Administrator, as paying agent, may withdraw from the Distribution Account, prior to making distributions on the Senior Certificates, the Mezzanine Certificates and the Subordinate Certificates as described under "—*Priority of Distributions*" below, amounts representing distributions on the 23-HE1 PC and pay (i) from the Interest Remittance Amount, the Owner Trustee or itself, any unpaid Aggregate Expense Fees payable to that person and to the Excess Servicing Certificates, any aggregate Excess Servicing Strip Amount and (ii) from the Interest Remittance Amount or Principal Remittance Amount, as applicable, based on the definitions thereof, the parties entitled thereto, any amounts contemplated under clauses (A) and (B) of the definitions of Interest Remittance Amount and Principal Remittance Amount, including any Trust Expenses which will be paid in accordance with the terms of the Securitization Sale Agreement and will be subject, in certain cases, to the Securities Administrator/Trustee Annual Expense Cap. See "*Fees and Expenses of the Issuing Entity*" for an explanation of the payment of Trust Expenses, including Capped Trust Expenses and the various caps applicable thereto. Notwithstanding the foregoing, Aggregate Expense Fees and Benchmark Replacement Indemnification Amounts will not be subject to any annual expense cap.

To the extent the Securities Administrator, as paying agent, determines that any substantial ambiguity exists in the interpretation of any definition, provision or term contained in the Trust Agreement or the Securitization Sale Agreement pertaining to the performance of its duties thereunder, or to the extent more than one methodology can be used to make any of the determinations or calculations to be performed by the Securities Administrator in its capacity as paying agent, the Securities Administrator may request written direction from the Depositor as to the interpretation or methodology it should adopt with respect thereto. The Depositor will promptly provide such written direction, and the Securities Administrator will be entitled to rely conclusively upon, and will be protected and held harmless in acting upon, such written direction.

Distributions of Interest Remittance Amount

General

The "Pass-Through Rate" on each class of Offered Certificates (other than the Excess Servicing Certificates, the Class B-4 Certificates and the Class A-R Certificates) for each Distribution Date is set forth in the table beginning on page 1 under *"Summary—The Offered Certificates"* in this Memorandum.

None of the Class A-R Certificates, the Class B-4 Certificates or the Excess Servicing Certificates have a pass-through rate, and none of the Class B-4, Class X, Class A-IO-S or Class A-R Certificates are entitled to distributions of Interest Remittance Amount. The Class X Certificates will be entitled to receive the Class X Distribution Amount from Monthly Excess Cashflow, to the extent funds are available, as described under *"—Priority of Distributions*" below and the Class A-IO-S Certificates will be entitled to receive the aggregate Excess Servicing Strip Amount.

On each Distribution Date, to the extent of funds available therefor, each class of Senior Certificates, Mezzanine Certificates and Subordinate Certificates (other than the Class B-4 and Class X Certificates) will be entitled to receive Interest Distribution Amount and any accrued but unpaid Interest Carryforward Amount for such Distribution Date and such class. An Interest Carryforward Amount could occur, for example, if losses realized on the Mortgage Loans for a Distribution Date were exceptionally high or were concentrated in a particular month. If on a particular Distribution Date there is an Interest Carryforward Amount, interest will be distributed on each Certificate of equal priority within such classes of Senior Certificates, Mezzanine Certificates and Subordinate Certificates (other than the Class B-4 and Class X Certificates) based on the pro rata amount of interest it would otherwise have been entitled to receive in the absence of such shortfall. Any unpaid interest amount on a class of Senior Certificates, Mezzanine Certificates or Subordinate Certificates (other than the Cass B-4 Certificates or Class X Certificates) will be carried forward and added to the amount which holders of those classes of Senior Certificates, Mezzanine Certificates and Subordinate Certificates (other than the Cass B-4 Certificates or Class X Certificates) will be entitled to receive on the next Distribution Date. Any unpaid interest amount so carried forward will bear interest at the applicable Pass-Through Rate. The Class X Certificates will be entitled to receive the Class X Distribution Amount from Monthly Excess Cashflow. The Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2 and Class B-3 Certificates will also be entitled to receive Cap Carryover Amounts to the extent provided for herein.

On each Distribution Date, prior to any distributions to the Senior Certificates, the Mezzanine Certificates and the Subordinate Certificates on such Distribution Date, the Excess Servicing Certificates will be entitled to receive the aggregate Excess Servicing Strip Amount for such Distribution Date.

However, in the event an Optional Redemption occurs, there is unlikely to be any monthly excess cashflow available to pay any amounts owed on the Class X Certificates, even though such Certificates would have accrued taxable income in respect of amounts treated as interest for federal income tax purposes even if such amounts were never paid. Exercise of an Optional Termination right as described under "*Description of the Certificates—Optional Clean-Up Call and Optional Redemption*" in this Memorandum will also adversely affect the yield to the holders of the Excess Servicing Certificates and the Class X Certificates.

Determination of Benchmark for Floating Rate Certificates

The Pass-Through Rates on the Floating Rate Certificates will vary with the related Benchmark. The Securities Administrator will calculate the related Benchmark for each Accrual Period. As of the Closing Date, the Benchmark for the Floating Rate Certificates is the SOFR Rate. The Securities Administrator will determine the SOFR Rate using the method described in the definition of "SOFR Rate" in *"Glossary of Defined Terms"* in this Memorandum, and the SOFR Rate will be based on Compounded SOFR or Term SOFR, as applicable, as published on the related SOFR Determination Date.

If the Depositor determines that a Benchmark Transition Event has occurred, it will provide written notice thereof to the Securities Administrator, which notice will also include the related Benchmark Replacement Date and Benchmark Replacement (which will include identification of the Unadjusted Benchmark Replacement and Benchmark Replacement Adjustment) determined by the Depositor in accordance with the definitions thereof. Following delivery of such notice, the Unadjusted Benchmark Replacement and the Benchmark Replacement Adjustment specified in such notice will replace the then-current Benchmark, as applicable, for the next Accrual Period and for each Accrual Period thereafter (unless and until a subsequent Benchmark Transition Event is determined to have occurred and written notice thereof has been given by the Depositor to the Securities Administrator). The Securities Administrator will provide notice to the Certificateholders of the Unadjusted Benchmark Replacement and Benchmark Replacement Adjustment determined by the Depositor in the next monthly report delivered by the Securities Administrator in accordance with the Securitization Sale Agreement. Notwithstanding the foregoing, if the initial Unadjusted Benchmark Replacement is any rate other than Term SOFR and the Depositor later determines that Term SOFR can be determined, the Depositor may provide written notice thereof to the Securities Administrator, which notice will state that Term SOFR will be the new Unadjusted Benchmark Replacement and will identify the Benchmark Replacement Adjustment to be used with respect to the next following Accrual Period and each Accrual Period thereafter.

In connection with the determination of any Benchmark Transition Event or Benchmark Replacement Date or the adoption of any Benchmark Replacement, Unadjusted Benchmark Replacement or Benchmark Replacement Adjustment, certain technical, administrative or operational changes to the transaction documents (including changes to the definition of "Accrual Period," timing and frequency of determining rates and making payments of interest, changes to the definition of "Corresponding Tenor" and other administrative matters) may be necessary to reflect such determination or adoption in a manner substantially consistent with market practice (or, if the Depositor decides that adoption of any portion of such market practice is not administratively feasible or if the Depositor determines that no such market practice exists), in such other manner as the Depositor determines is reasonably necessary (any such changes are referred to herein as "Benchmark Replacement Conforming Changes"). The Depositor will have the right to make Benchmark Replacement Conforming Changes at any time, and such changes will not require the consent of any other transaction party or any Certificateholder. In addition, notwithstanding anything herein or in the transaction documents to the contrary, the Securitization Sale Agreement and each other transaction document will be deemed to have been amended as necessary to reflect any Unadjusted Benchmark Replacement, Benchmark Replacement Adjustment and/or Benchmark Replacement Conforming Changes, as applicable, without satisfaction of any amendment provision of the Securitization Sale Agreement or of any other transaction document, and without the consent of any Certificateholder.

If, on any date following receipt of a Benchmark Transition Event notice described above, the Securities Administrator reasonably determines that the related Benchmark Replacement cannot be calculated, the Securities Administrator will provide written notice thereof to the Depositor. Upon receipt of such notice, the Depositor will use commercially reasonable efforts to identify a different Benchmark Replacement in accordance with the definition thereof, and if the Depositor is unable to do so, the benchmark for the related Accrual Period and each Accrual Period thereafter will be the last rate calculated using the then-current Benchmark, as in effect for the immediately preceding Accrual Period.

Any determination made by the Depositor with respect to a Benchmark Transition Event, Benchmark Replacement, Benchmark Replacement Adjustment, Benchmark Replacement Conforming Changes or Corresponding Tenor and any calculation by the Securities Administrator of the applicable Benchmark with respect to a Distribution Date, in each case, will be final and binding on the Certificateholders in the absence of manifest error.

Any determination, decision or election made by the Depositor as described under this heading (or pursuant to any capitalized term used under this heading or in any such capitalized term), including any determination with respect to a tenor, rate or adjustment or of the occurrence or non-occurrence of an event, circumstance or date and any decision to take or refrain from taking any action or any selection, (x) will be conclusive and binding on the Certificateholders absent manifest error, (y) may be made in the Depositor's sole discretion, and (z) notwithstanding anything to the contrary herein or in any transaction document, will be effective without the consent of any other transaction party or any Certificateholder. None of the Issuing Entity, the Participation Certificate Seller, the Depositor, the Owner Trustee, the Participation Owner Trustee, any Sponsor, the Participation Agent, the Securities Administrator, the Participation Registrar or any Servicer will have any liability to any Certificateholder or any other party for any losses, claims, damages, liabilities, forfeitures, fines, penalties, costs, fees or expenses sustained in connection with or as a result of any determination made by the Depositor as described under this heading (or pursuant to any capitalized term used in under this heading or in any such capitalized term) (including, without limitation, the determination to refrain from taking any action), and each Certificateholder, by its acceptance of a Certificate or a beneficial interest in a Certificate, will be deemed to waive and release any and all claims against the Issuing Entity, the Participation Certificate Seller, the Depositor, the Owner Trustee, each Sponsor, the Participation Owner Trustee, the Participation Agent, the Securities Administrator, the Participation Registrar and each Servicer relating to any such determination.

In addition, the Issuing Entity will indemnify the Participation Certificate Seller and the Depositor against any losses, claims, damages, liabilities, forfeitures, fines, penalties, costs, fees or expenses (including attorneys' fees) sustained by the Participation Certificate Seller or the Depositor in connection with, or arising out of, any action taken by the Depositor as described under this heading or the decision by the Depositor to refrain from taking any action permitted to be taken by the Depositor in connection with a benchmark replacement, including, without limitation, the Depositor's determination that a Benchmark Transition Event has occurred, the selection by the Depositor of any Benchmark Replacement, any Benchmark Replacement Adjustment or any Corresponding Tenor or the implementation by the Depositor of any Benchmark Replacement Conforming Changes (such indemnification amounts, the "Benchmark Replacement Indemnification Amounts").

We refer you to the definitions of *"Benchmark," "Benchmark Transition Event," "Benchmark Replacement Date," "Benchmark Replacement," "Benchmark Replacement Adjustment," "Unadjusted Benchmark*

Replacement," "Corresponding Tenor" and the various capitalized terms used therein as set forth in the "Glossary of Defined Terms" in this Memorandum.

Distributions of Principal Remittance Amount

General

All distributions received in respect of principal on the 23-HE1 PC will be allocated among the Senior Certificates, the Mezzanine Certificates and the Subordinate Certificates (other than the Class X Certificates) as described below. The Class X Certificates, the Excess Servicing Certificates and the Class A-R Certificates have no Class Principal Amount and will not be entitled to distributions of principal.

The Class Principal Amount of any class of Certificates (other than the Class X Certificates, the Excess Servicing Certificates or the Class A-R Certificates) that is increased on a Distribution Date as a result of an allocation of a Certificate Writeup Amount will not accrue interest on such increased balance for any Accrual Period preceding the Distribution Date on which such increase occurs.

With respect to any Locked Out Class, such Locked Out Class will only receive distributions of the Principal Remittance Amount after the aggregate Class Principal Amount of each such class of Certificates ranking senior in right of distribution priority to such Locked Out Class has been reduced to zero.

Priority of Distributions

The following distributions assume that no Exchangeable Certificates are outstanding. For a description of the distributions with respect to the Exchangeable Certificates, see "*—Distributions with Respect to Exchangeable Certificates*" below.

Distribution of the Interest Remittance Amount

On each Distribution Date, the Securities Administrator will distribute the Interest Remittance Amount for such Distribution Date, to the extent available, in the following order of priority:

(1) to the Class A-1 Certificates, any Interest Distribution Amount and Interest Carryforward Amount thereon;

(2) to the Class M-1 Certificates, any Interest Distribution Amount and Interest Carryforward Amount thereon;

(3) to the Class M-2 Certificates, any Interest Distribution Amount and Interest Carryforward Amount thereon;

(4) to the Class M-3 Certificates, any Interest Distribution Amount and Interest Carryforward Amount thereon;

(5) to the Class B-1 Certificates, any Interest Distribution Amount and Interest Carryforward Amount thereon

(6) to the Class B-2 Certificates, any Interest Distribution Amount and Interest Carryforward Amount thereon;

(7) to the Class B-3 Certificates, any Interest Distribution Amount and Interest Carryforward Amount thereon; and

(8) any remaining Interest Remittance Amount as part of Monthly Excess Cashflow.

Distribution of the Principal Remittance Amount

On each Distribution Date that a Trigger Event is not in effect, the Securities Administrator will distribute the Principal Remittance Amount for such Distribution Date, to the extent available, in the following order of priority:

(1) concurrently, to the Class A-1, Class M-1, Class M-2 and Class M-3 Certificates, pro rata, based on the respective Class Principal Amount of each such Class of Certificates, until their respective Class Principal Amount is reduced to zero;

(2) to the Class B-1 Certificates, until the Class Principal Amount thereof is reduced to zero;

(3) to the Class B-2 Certificates, until the Class Principal Amount thereof is reduced to zero;

(4) to the Class B-3 Certificates, until the Class Principal Amount thereof is reduced to zero;

(5) to the Class B-4 Certificates, until the Class Principal Amount thereof is reduced to zero; and

(6) any remaining Principal Remittance Amount as part of Monthly Excess Cashflow.

On each Distribution Date that a Trigger Event is in effect, the Securities Administrator will distribute the Principal Remittance Amount for such Distribution Date, to the extent available, in the following order of priority:

(1) to the Class A-1 Certificates, until the Class Principal Amount thereof is reduced to zero;

(2) to the Class M-1 Certificates, until the Class Principal Amount thereof is reduced to zero;

(3) to the Class M-2 Certificates, until the Class Principal Amount thereof is reduced to zero;

(4) to the Class M-3 Certificates, until the Class Principal Amount thereof is reduced to zero;

(5) to the Class B-1 Certificates, until the Class Principal Amount thereof is reduced to zero;

(6) to the Class B-2 Certificates, until the Class Principal Amount thereof is reduced to zero;

(7) to the Class B-3 Certificates, until the Class Principal Amount thereof is reduced to zero;

(8) to the Class B-4 Certificates, until the Class Principal Amount thereof is reduced to zero; and

(9) any remaining Principal Remittance Amount as part of Monthly Excess Cashflow.

Distribution of the Monthly Excess Cashflow

On each Distribution Date after giving effect to distributions of (i) the Interest Remittance Amount as described under clauses (1) through (7) under *"—Distribution of the Interest Remittance Amount"* above and (ii) the Principal Remittance Amount as described under clauses (1) through (5) under *"—Distribution of the Principal Remittance Amount"* above if no Trigger Event is in effect and clauses (1) through (8) under *"—Distribution of the Principal Remittance Amount"* above if a Trigger Event is in effect, the Securities Administrator will distribute the Monthly Excess Cashflow received in the following order of priority (in each case, to the extent available):

(1) up to the amount of any Realized Losses for such Distribution Date, sequentially, to the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2, Class B-3 and Class B-4 Certificates, in that order, in reduction of the Class Principal Amount thereof, until the Class Principal Amount of each of the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2, Class B-3 and Class B-4 Certificates is reduced to zero;

(2) up to the amount of previously applied Certificate Writedown Amounts, sequentially, to the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2, Class B-3 and Class B-4 Certificates, in that order, to reimburse each such Class of Certificates for Certificate Writedown Amounts previously allocated to such Class (to the extent the applicable Class Principal Amount for such Class has not been increased by prior applications of Certificate Writeup Amounts);

(3) from the Monthly Excess Cashflow otherwise distributable to the Class X Certificates (i) to the Cap Carryover Reserve Account, up to the aggregate Cap Carryover Amounts for the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2 and Class B-3 Certificates, for such Distribution Date, and then (ii) sequentially, from amounts on deposit in the Cap Carryover Reserve Account, to the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2 and Class B-3 Certificates, in that order, any unpaid Cap Carryover Amounts thereon;

(4) to the Class X Certificates, the Class X Distribution Amount for such Distribution Date;

(5) to pay any remaining unpaid Trust Expenses without regard to the Securities Administrator/Trustee Annual Expense Cap; and

(6) to the Excess Reserve Account, any remaining amounts as provided in the Securitization Sale Agreement.

Excess Reserve Account

On the Closing Date, in accordance with the Securitization Sale Agreement, the Securities Administrator will establish the excess reserve account ("Excess Reserve Account"), which will hold "cash flow investments" in accordance with REMIC Provisions in an account established in the name of the Securities Administrator for the benefit of the Certificateholders. On any Distribution Date there will be (a) withdrawn from the Excess Reserve Account, to the extent of amounts on deposit therein, any amounts deposited therein on a prior Distribution Date and included as part of the Interest Remittance Amount and (b) deposited into the Excess Reserve Account, the amount specified in clause (6) of the Monthly Excess Cashflow waterfall (including any such amounts remaining from prior Distribution Dates after application as Interest Remittance Amount pursuant to clause (a)). The Excess Reserve Account is intended to capture excess payments relating to each Monthly Period that would otherwise be paid to the Class A-R Certificates, and use those excess distributions on future Distributions Dates, by operation of the Priority of Distributions to cover Interest Carryforward Amounts and Realized Losses that would otherwise be allocated through the Priority of Distributions. The Excess Reserve Account will be a non-interest bearing trust account and the funds therein will remain uninvested. Amounts on deposit in the Excess Reserve Account may be credited against the Optional Clean-Up Call Price, the Optional Redemption Price or the Subordinate Class Purchase Price, as applicable.

Distributions With Respect to Exchangeable Certificates

In the event that all or a portion of a class of Depositable Certificates is exchanged for a proportionate portion of each class of Exchangeable Certificates in the related Exchangeable Combination, such Exchangeable Certificates will be entitled to (a) interest distributions at the applicable Pass-Through Rate on the outstanding Class Principal Amount in the same priority as the Depositable Certificates that are exchanged therefor and (b) principal distributions, as applicable, on each class of Depositable Certificates (other than the Class X Certificates) in the same priority assigned to such related Depositable Certificates.

On each Distribution Date on which Exchangeable Certificates are outstanding, the proportionate share of interest distributable to the Depositable Certificates and allocable to the Exchangeable Certificates in the related Exchangeable Combination will be distributed to such Exchangeable Certificates in the related Exchangeable Combination.

On each Distribution Date on which Exchangeable Certificates are outstanding, the proportionate share of principal distributable to the Depositable Certificates (other than the Class X Certificates) and allocable to the Exchangeable Certificates in the related Exchangeable Combination will be distributed to the Exchangeable Certificates in the related Exchangeable Combination.

Subordination of Distributions to the Subordinate Certificates

The rights of the holders of the Subordinate Certificates (other than the Class X Certificates) to receive distributions with respect to the Mortgage Loans passed through as distributions on the 23-HE1 PC as either

Principal Remittance Amount or Interest Remittance Amount will be subordinated to the rights of the holders of the Senior Certificates and the Mezzanine Certificates and the rights of the holders of each class of Subordinate Certificates (other than the Class B-1 and the Class X Certificates) to receive such distributions will be further subordinated to the rights of the class or classes of Subordinate Certificates (other than the Class X Certificates) with a higher distribution priority, in each case only to the extent described in this Memorandum. The rights of the Class X Certificateholders to Monthly Excess Cashflow will be subordinate to the rights of all other Senior Certificates, Mezzanine Certificates and other classes of Subordinate Certificates. The subordination of the Subordinate Certificates to the Senior Certificates and the Mezzanine Certificates and the further subordination among the Subordinate Certificates is intended to provide the Certificateholders having higher relative distribution priority with protection against Certificate Writedown Amounts and shortfalls in the Interest Remittance Amount and Principal Remittance Amount.

Allocation of Certificate Writedown Amounts and Certificate Writeup Amounts

On each Distribution Date, the Certificate Writedown Amount for that Distribution Date, if any, will be allocated *first*, to reduce the Class Principal Amount of each class of Subordinate Certificates, in reverse order of distribution priority, until the Class Principal Amount thereof is reduced to zero (that is, the Certificate Writedown Amount will be allocated to the Class B-4 Certificates while those Certificates are outstanding, then to the Class B-3 Certificates while those Certificates are outstanding, then to the Class B-2 Certificates while those Certificates are outstanding, and then to the Class B-1 Certificates while those Certificates are outstanding), *second*, to reduce the Class Principal Amount of each class of Mezzanine Certificates, in reverse order of distribution priority, until the Class Principal Amount thereof is reduced to zero (that is, the Certificate Writedown Amount will be allocated to the Class M-3 Certificates while those Certificates are outstanding, then to the Class M-2 Certificates while those Certificates are outstanding, and then to the Class M-1 Certificates while those Certificates are outstanding), and *third*, to reduce the Class Principal Amount of the Senior Certificates until the Class Principal Amount thereof is reduced to zero.

On each Distribution Date, the Certificate Writeup Amount for that Distribution Date, if any, will be allocated to the most senior class of Certificates to which Certificate Writedown Amounts have been allocated and such class will be increased up to the amount of Certificate Writedown Amounts previously allocated thereto.

Any allocation of a Certificate Writedown Amount or Certificate Writeup Amount to a class of Certificates on a Distribution Date will have the result of reducing or increasing, as applicable, the Class Principal Amount of such class by the amount of such Certificate Writedown Amount or Certificate Writeup Amount allocated to such class.

Any class of Certificates (other than the Class X Certificates, the Excess Servicing Certificates and the Class A-R Certificates) whose Class Principal Amount has been reduced to zero due to the allocation of Certificate Writedown Amounts will nonetheless remain outstanding and will continue to be entitled to be allocated Certificate Writeup Amounts, and if such class's Class Principal Amount is increased above zero, to any interest or principal payments to which it may otherwise be entitled on any future Distribution Date in connection with its then-outstanding Class Principal Amount; *provided* that any such class of Certificates will not have any voting rights with respect to matters requiring or permitting actions to be taken by the Certificateholders for so long as such class's Class Principal Amount is zero.

On any Distribution Date, the Class Principal Amount of each outstanding class of Exchangeable Certificates will also be reduced by a proportionate share of the amount of Certificate Writedown Amounts allocated on that Distribution Date to the related classes of Depositable Certificates that have been exchanged and will be increased by a proportionate share of the amount of Certificate Writeup Amounts allocated on that Distribution Date to the related classes of Depositable Certificates that have been exchanged.

Reports to Certificateholders

On each Distribution Date, the Securities Administrator will prepare and make available to the Participation Certificate Seller, the Owner Trustee, the Depositor, the Issuing Entity and each Certificateholder a written report (based, to the extent related to the Mortgage Loans, on Mortgage Loan information received from the Participation

Registrar as prepared by the Servicers or the Participation Owner Trustee). Such report will state with respect to the related Distribution Date the following, among other things:

(a) the Interest Remittance Amount, the Principal Remittance Amount and Monthly Excess Cashflow and the amount of the distributions, separately identified, with respect to each Class of Certificates (other than the Excess Servicing Certificates);

(b) the amount of the distributions set forth in clause (a) made from Principal Remittance Amount allocable to principal;

(c) the amount of the distributions set forth in clause (a) made from Interest Remittance Amount and how such amount was calculated;

(d) the amount of distributions set forth in clause (a) made from Monthly Excess Cashflow, including the Class X Distribution Amount and how such amount was calculated;

(e) the Class Principal Amount or Class Notional Amount, as applicable, of each class of Certificates after giving effect to distributions of Principal Remittance Amount and Monthly Excess Cashflow on such Distribution Date;

(f) the Unpaid Principal Balance of the 23-HE1 PC at the end of the related Monthly Period and the Net WAC for such Distribution Date;

(g) the aggregate amount of Trust Expenses paid since the previous Distribution Date and the aggregate amount of each component of Trust Expenses paid since the previous Distribution Date;

(h) the amount of (i) the Owner Trustee Fee paid to the Owner Trustee and (ii) the Securities Administrator Fee paid to the Securities Administrator;

(i) the aggregate amount of the Realized Losses (including separately identifying the amount of any Realized Losses resulting from the allocation of Principal Forbearance Amounts) and the Certificate Writedown Amounts and Certificate Writeup Amounts, if any, allocated to each Class of Certificates on such Distribution Date;

(j) the amount of the aggregate Excess Servicing Strip Amount paid to the Excess Servicing Certificates and the Excess Servicing Fee Rate;

(k) the Pass-Through Rate on each Class of Certificates, if applicable, for such Distribution Date and the SOFR Rate or the Benchmark Replacement (including the Unadjusted Benchmark Replacement and the Benchmark Replacement Adjustment used to calculate the Benchmark Replacement), as applicable;

(l) any Benchmark Replacement Conforming Changes;

(m) any SOFR Adjustment Conforming Changes;

(n) the Unpaid Principal Balance of the 23-HE1 PC as of the first and last day of the related Accrual Period;

(o) each related Record Date;

(p) each related Accrual Period;

(q) the related Distribution Date;

(r) the cumulative amount of Charged-off Loans since the Closing Date;

(s) an indication if a notice of resignation has been received from the Securities Administrator or the Owner Trustee during the preceding calendar month and the name of any successor Securities Administrator or successor Owner Trustee appointed during the preceding calendar month;

(t) the percentage of principal outstanding for each class of Certificates, calculated by a fraction, the numerator of which is the current Class Principal Amount of such class and the denominator of which is the initial Class Principal Amount of such class;

(u) whether a Trigger Event has occurred, separately identifying whether a Credit Support Depletion Event, Cumulative Loss Trigger Event or a Delinquency Trigger Event has occurred; and

(v) the information reported pursuant to "*Description of the 23-HE1 PC—Reports to Participation Certificateholders*" specifically as it relates to the Participation Interests and the 23-HE1 PC.

The Securities Administrator will make available each month, to any interested party, the monthly report to Certificateholders via the Securities Administrator's website. The Securities Administrator's website will be located as of the Closing Date at https://wsfsabsreporting.com. Parties that are unable to use the above distribution option are entitled to have a paper copy mailed to them via first class mail by calling the Securities Administrator's customer service desk and indicating such.

The Securities Administrator will also make available on the risk retention tab of the Securities Administrator's website any risk retention notice, statement or information of the Retaining Sponsor, but only to the extent such notice, statement or information is delivered to the Securities Administrator by the Retaining Sponsor containing sufficient detail to identify the transaction(s). Solely with respect to the first Distribution Date, the Securities Administrator will make available together with the monthly statement to Certificateholders a statement provided by the Retaining Sponsor setting forth the information described under "*U.S. Credit Risk Retention—Post-Closing Date Disclosure*" in this Memorandum.

The Securities Administrator will not be required to include in any Distribution Date reports to Certificateholders (or otherwise make available via its website) any information that in its judgment is confidential, may include any personally identifiable information or could otherwise violate applicable law, or could result in personal liability to the Securities Administrator. In addition, the Securities Administrator will have no liability for the failure to include or post any information that it has not actually received or is not in a form or format that will allow it to include any such information in any Distribution Date reports to Certificateholders (or to otherwise make such information available via its website).

The Securities Administrator will have the right to change the way such reports are distributed in order to make such distributions more convenient or more accessible, and the Securities Administrator will provide timely and adequate notification to such parties regarding any such changes.

Expected Final Distribution Date

The Expected Final Distribution Date for each class of Certificates (other than the Class A-R Certificates) is the Distribution Date on which the Class Principal Amount (or Class Notional Amount) for such class will be reduced to zero, based on the Structuring Assumptions and assuming that the HELOCs related to the Mortgage Loans prepay at a rate of 25% CPR and assuming that the Certificates are held to maturity and that neither the Optional Clean-Up Call nor the Optional Redemption is exercised. The actual final Distribution Date of any class of Certificates may be earlier or later than such class's Expected Final Distribution Date.

Final Scheduled Distribution Date

The Final Scheduled Distribution Date for the Certificates is the Distribution Date in November 2053, which is the Distribution Date in the sixth month following the scheduled maturity date for the latest maturing

HELOC related to a Mortgage Loan. The actual final Distribution Date of any class of Certificates may be substantially earlier than the Final Scheduled Distribution Date.

Optional Clean-Up Call and Optional Redemption

On any Distribution Date on which the aggregate Unpaid Principal Balance of the 23-HE1 PC is less than 10% of the Unpaid Principal Balance of the Mortgage Loans as of the Cut-off Date that are allocated to the 23-HE1 PC (the "Optional Clean-Up Call Date"), the Optional Clean-Up Call Holder will have the option (the "Optional Clean-Up Call") to purchase the 23-HE1 PC at a price equal to the sum of (i) 100% of the Unpaid Principal Balance (including, for the avoidance of doubt, any interest or principal distributions that were previously due relating to Participation Interests in amounts that were deferred) of the 23-HE1 PC, plus accrued and unpaid interest thereon from and including the date to which such interest was last paid at the applicable Participation Net WAC, to but excluding the first day of the month in the month of such Optional Clean-Up Call Date *plus* any Cap Carryover Amounts owed on the Certificates, (ii) any remaining unpaid Trust Expenses due to any such party and any other amounts payable by the Issuing Entity to the Participation Certificate Seller, the Depositor, the Owner Trustee and the Securities Administrator without regard to any Expense Cap, and (iii) the Funded Participation Percentage of any remaining Participation Trust Expenses allocable to the 23-HE1 PC due to any such party, as reported to the Securities Administrator by the Participation Registrar (such sum, the "Optional Clean-Up Call Price").

On any date on or after the date that is the earlier of (i) three years after the Closing Date or (ii) the date on which the Unpaid Principal Balance of the 23-HE1 PC is less than or equal to 30% of the Unpaid Principal Balance of the Mortgage Loans as of the Cut-off Date that are allocated to the 23-HE1 PC (the "Optional Redemption Date"), the Optional Redemption Holder will have the option to purchase all of the outstanding Certificates from the Certificateholders thereof at a price equal to the sum of (i) 100% of the Class Principal Amount of each Class of Certificates, (ii) any accrued and unpaid Interest Distribution Amount and Interest Carryforward Amount with respect to each Class of Certificates (including Cap Carryover Amounts), through, but not including, the Optional Redemption Date, (iii) any remaining unpaid Trust Expenses due to any such party and any other amounts payable by the Issuing Entity to the Participation Certificate Seller, the Depositor, the Owner Trustee and the Securities Administrator without regard to any Expense Cap and (iv) Funded Participation Percentage of any remaining Participation Trust Expenses allocable to the 23-HE1 PC due to any such party, as reported to the Securities Administrator by the Participation Registrar (such sum, the "Optional Redemption Price").

If on any date on which the Optional Redemption Holder is permitted to exercise the Optional Redemption and the Optional Redemption Holder (or any of its members, affiliates, parents or subsidiaries) is the Holder of the most subordinate class of Certificates then outstanding, the Optional Redemption Holder may exercise the Optional Redemption and, in connection therewith, notify the Owner Trustee and the Securities Administrator in writing that it will (i) in lieu of depositing the Optional Redemption Price, arrange with the Securities Administrator for deposit into the Distribution Account at the same time and in the same manner otherwise required for the deposit of the Optional Redemption Price, an amount equal to the excess, if any, of (x) the Optional Redemption Price over (y) the amount that the Optional Redemption Holder (or any of its members, affiliates, parents or subsidiaries) as Holder of any class of Certificates then outstanding would have been paid on the related Distribution Date had the Optional Redemption Price been so deposited (such excess, the "Subordinate Class Purchase Price") and (ii) direct the Securities Administrator to apply the Subordinate Class Purchase Price to prepay each class of Certificates (other than any class of Certificates owned by the Optional Redemption Holder (or any of its members, affiliates, parents or subsidiaries)) and pay all other amounts that would otherwise be paid upon the exercise of the Optional Redemption and payment of the Optional Redemption Price. As a condition to depositing the Subordinate Class Purchase Price in lieu of the Optional Redemption Price, immediately upon depositing amounts equal to the Subordinate Class Purchase Price into the Distribution Account, the Optional Redemption Holder and the parties to the Securitization Sale Agreement will enter into an amendment to the Securitization Sale Agreement (which amendment will be substantially in the form the Optional Redemption Holder will have provided to such parties in advance) addressing the manner for retiring, on the final Distribution Date for the other Certificates, the Certificates held by the Optional Redemption Holder (or any of its members, affiliates, parents or subsidiaries) and remaining outstanding, along with an opinion of counsel of a nationally recognized law firm experienced in such matters to the effect that the termination of each REMIC formed pursuant to the Securitization Sale Agreement will constitute a "qualified liquidation" of each such REMIC and that no such REMIC will incur a tax on a "prohibited transaction" or a "contribution" in connection with the termination and any other deliverables otherwise required in connection with an amendment to the Securitization Sale Agreement. Following receipt of notice regarding the exercise of the Optional Redemption, the Securities Administrator will provide written notice to the Certificateholders of the final distribution on the Certificates. Upon deposit of amounts equal to the Subordinate Class Purchase Price into the Distribution Account, the Optional Redemption Holder will be the sole holder of the Certificates outstanding for purposes of amending the Securitization Sale Agreement, as necessary to provide for their termination or a redemption, which it may cause in its sole discretion without the consent of any other Certificateholders. The Securities Administrator will provide any information in its possession reasonably requested in writing by the Optional Redemption Holder to the Optional Redemption Holder in connection with the calculation of the Subordinate Class Purchase Price, although the Optional Redemption Holder will be solely responsible for the ultimate calculation and determination of the Subordinate Class Purchase Price. Each Certificateholder, by their acceptance of such Certificates, will be deemed to (i) agree to the exercise of the Optional Redemption, the payment by the Optional Redemption Holder of the Subordinate Class Purchase Price in lieu of the Optional Redemption Price and the surrender of the Certificates held by the Optional Redemption Holder (or any of its members, affiliates, parents or subsidiaries) as described in the Securitization Sale Agreement, (ii) agree that it is not adversely affected by the foregoing and (iii) consent to the transaction parties acting to effect the foregoing in accordance with the terms of the Securitization Sale Agreement.

If an Optional Clean-Up Call is exercised (an "Optional Termination") on or after the Optional Clean-Up Call Date or an Optional Redemption is exercised after the Optional Redemption Date, it will effect an early retirement of the Certificates. Distributions on the Certificates relating to the Optional Termination or Optional Redemption will be treated as a prepayment of the 23-HE1 PC and the amounts paid in connection with the Optional Termination or Optional Redemption will be paid in accordance with the priorities and amounts described under "—*Priority of Distributions.*" With respect to an Optional Termination, the proceeds for that distribution may not be sufficient to distribute the full amount to which each class of Certificates is entitled.

Voting Interests

Solely for the purpose of giving any consent or direction pursuant to the Securitization Sale Agreement or the Trust Agreement (other than a consent or direction required for the purpose of (i) adding any provisions to the Securitization Sale Agreement or the Trust Agreement or changing in any manner or eliminating any of the provisions of the Securitization Sale Agreement or the Trust Agreement or of modifying in any manner the rights of the Holders of Certificates or (ii) the taking of certain material corporate actions by the Issuing Entity, including mergers, sales of all or substantially all assets, incurring indebtedness, changing the Issuing Entity's purposes and powers and certain bankruptcy and insolvency actions by the Issuing Entity), any Certificate beneficially owned by the Depositor or any affiliate thereof will be deemed not to be outstanding and the Percentage Interest evidenced thereby or Voting Interests assigned thereto will not be taken into account in determining whether the requisite amount of Percentage Interests or Voting Interests, as the case may be, necessary to effect such consent or direction has been obtained; provided, however, that if any such person (including the Depositor or any affiliate thereof) beneficially owns 100% of the Percentage Interests evidenced by all of the Certificates or of the Voting Interests assigned thereto, such Certificates will be taken into account for purposes of any provision of the Securitization Sale Agreement or the Trust Agreement that requires such consent or direction of the Holders of Certificates as a condition to the taking of any action under the Securitization Sale Agreement or the Trust Agreement. The Owner Trustee, the Certificate Registrar and the Securities Administrator will be entitled to rely conclusively on a certification of the Depositor or any affiliate of the Depositor in determining which Certificates are beneficially owned by an affiliate of the Depositor.

In addition, each class of outstanding Exchangeable Certificates will be allocated a proportionate share of the Voting Interests allocated to the related classes of Depositable Certificates that have been exchanged.

The Certificateholders are entitled to provide direction to the Securities Administrator with respect to taking certain actions on behalf of the Issuing Entity as Participation Certificateholder of the 23-HE1 PC. The requisite Voting Interests required for taking such actions vary based on the type of direction being provided, but where no alternative percentage is specified, Certificateholders holding more than 50% of the Aggregate Voting Interests of the Certificates can provide such direction. In other circumstances, a different percentage of the Voting Interests will suffice. For example, only 25% of the Voting Interests of each Class of Certificates are required in order for the Certificateholders to provide direction to the Securities Administrator in connection with certain actions related to the exercise of eminent domain, and upon payment of the satisfactory indemnity amount, any Certificateholder can direct the Securities Administrator to request enforcement of a repurchase obligation or the engagement of a third party reviewer under the Master Participation Agreement. The Subordinate Enforcement Holder can, upon payment of the requisite fees and indemnity amounts, cause the Securities Administrator to direct the Participation Owner Trustee to conduct an auction of a Charged-off Loan pursuant to the terms of the Master Participation Agreement. Even when the requisite percentage of Certificateholders provide direction with respect to the 23-HE1 PC, unless the 23-HE1 PC and other Participation Certificateholders with an interest in the related HELOC satisfy the requisite percentage for taking any action under the Master Participation Agreement, the Certificateholders holding the required Voting Interests under the Securitization Sale Agreement may not have their preferred course of action taken pursuant to the Master Participation Agreement. See "*Risk Factors— Special Risks Associated with the HELOCs and the Securitization Transaction— Participation Certificateholders Other than the Issuing Entity May Have Participation Interests in the HELOCs, and such Other Participation Certificates May Be Subject to Securitizations Separate from this Securitization Transaction*" in this Memorandum.

Limitations on Transfers of Certificates

The Certificates are being offered in a private placement to (a) "qualified institutional buyers" as defined in Rule 144A of the Securities Act ("QIBs") in reliance on the exemption from the registration requirements provided by Rule 144A and (b) other than with respect to the Regulation S Restricted Certificates, to persons that are not "U.S. persons" (as defined in Regulation S) outside the United States pursuant to the requirements of Regulation S under the Securities Act, and will not be registered under the Securities Act or any state securities or "blue sky" laws, and no party is obligated to register the Certificates under the Securities Act or any such other laws. No transfer or sale of the Certificates offered hereby will be made unless such transfer is not subject to registration under the Securities Act or any applicable state securities laws. As a result, Certificates may be resold or transferred only to (a) a QIB under Rule 144A of the Securities Act or (b) a non-U.S. person outside the United States pursuant to the requirements of Regulation S under the Securities Act and, in each case, in compliance with the Securities Act. The Trust Agreement provides that certain classes of Certificates may be acquired by, on behalf of, or using assets of, such a Plan if certain conditions are met as described under "*ERISA Matters*" herein.

In addition, the Class A-R Certificates will be subject to the restrictions on transfer described in this Memorandum under "*Certain Federal Income Tax Consequences*." The Class A-R Certificates may not be transferred unless the proposed transferee delivers to the Securities Administrator a transfer affidavit in accordance with the provisions of the Trust Agreement.

Prior to any transfer of a Definitive Certificate, the proposed transferee will be required to represent to the Securities Administrator, the Owner Trustee and the Depositor in writing that the applicable conditions to transfer set forth in the Trust Agreement are satisfied. Such representations will be set forth in an investment letter substantially in the form set forth in the Trust Agreement. A transferee of an interest in a book-entry certificate, by acceptance of its interest therein, will be deemed to have made all applicable representations set forth in an investment letter and set forth herein under "*Notice to Investors*." Each transferee will agree to indemnify the Owner Trustee, the Securities Administrator and the Depositor against any liability that may result from a transfer by such Certificateholder that is not made in accordance with applicable laws or the provisions of the Trust Agreement.

The Securities Administrator will not have the ability to monitor transfers of the Certificates while they are in book-entry form and will have no liability for transfers of the Certificates in violation of any of the transfer restrictions described in this Memorandum or the Trust Agreement.

The Trust Agreement will provide that any attempted or purported transfer in violation of these transfer restrictions will be null and void and will vest no rights in any purported transferee. Any transferor or agent to whom the Securities Administrator provides information as to any applicable tax imposed on such transferor or agent may be required to bear the cost of computing or providing such information.

The Certificates will bear legends reflecting such of the foregoing transfer restrictions as are applicable thereto. The foregoing transfer restrictions may adversely affect the liquidity of the Certificates, and investors should be aware that they may be required to bear the financial risks of any investment in the Certificates for an indefinite period of time.

THE PARTICIPATION AGENT

JPMMT HELOC Participation Trust (the "Participation Agent") will be a statutory trust formed under the laws of the state of Delaware. Pursuant to Sections 3801 and 3810(a)(2) of the Delaware Trust Statute, the Participation Agent will not constitute a separate legal entity. The Participation Agent will be created under the Participation Trust Agreement by the Participation Depositor, and its assets will consist of the HELOCs and other home equity lines of credit added from time to time pursuant to the Participation Trust Agreement and the Master Participation Agreement and any proceeds or other properties relating thereto. The Participation Agent will receive, participate, hold, release and dispose of HELOCs and REO Properties from time to time and fund Additional Draws with respect to such HELOCs for the benefit of the holder of the related Participation Certificates pursuant to the terms of the Master Participation Agreement, any related Securitization Sale Agreement and any related Servicing Agreement, including receiving and disposing of any HELOCs and REO Properties or participation interests therein. The fiscal year end of the Participation Agent will be December 31 of each year.

The Participation Agent will not have any employees, officers or directors. The Participation Owner Trustee, the Participation Depositor, the Servicers, the Custodians and the Participation Registrar will act on behalf of the Participation Agent, and will only perform the respective actions that are specified in the Participation Trust Agreement, the related Custody Agreement, the Servicing Agreements and the Master Participation Agreement, as applicable.

The purpose of the Participation Agent is to engage in the following activities: (i) to issue the Participation Certificates pursuant to the Master Participation Agreement, (ii) to transfer and exchange the Participation Certificates, (iii) to pay distributions on the Participation Certificates, (iv) to acquire the HELOCs and other home equity lines of credit from the Participation Depositor pursuant to the Participation Trust Agreement and the Master Participation Agreement, (v) to make deposits to and withdrawals from the Participation Account and to pay any organizational, start-up and transactional expenses of the Participation Agent, (vi) to engage the Participation Owner Trustee to monitor the servicing of the HELOCs, the Participation Registrar to provide certain services with respect to the Participation Certificates and the Custodians to hold the Mortgage Documents in custody on behalf of the Participation Agent, (vii) to hold, manage and distribute the assets of the Participation Agent to the Participation Certificateholders pursuant to the terms of the Participation Trust Agreement and the Master Participation Agreement, (viii) to enter into and perform its obligations under the transaction documents to which it is to be a party, (ix) to engage in those activities, including entering into agreements, that are necessary, suitable or convenient to accomplish the foregoing or are incidental thereto or connected therewith and (x) subject to compliance with the transaction documents, to engage in such other activities as may be required in connection with conservation of the assets of the Participation Agent and the making of distributions to the Participation Certificateholders.

If the related assets of the Participation Agent are insufficient to pay the Participation Certificateholders all principal and interest owed, holders of such Participation Certificates will not receive all of their expected payments of interest and principal and will suffer a loss.

THE ISSUING ENTITY

On the Closing Date, and until the termination of the Issuing Entity pursuant to the Trust Agreement, J.P. Morgan Mortgage Trust 2023-HE1 will be a statutory trust formed under the laws of the state of Delaware. Pursuant to Sections 3801 and 3810(a)(2) of the Delaware Trust Statute, the Issuing Entity will not constitute a separate legal entity. The Issuing Entity will be created under the Trust Agreement by the Depositor, and its assets will consist of the 23-HE1 PC. The Issuing Entity will not have any liabilities as of the Closing Date. The fiscal year end of the Issuing Entity will be December 31 of each year.

The Issuing Entity will not have any employees, officers or directors. The Owner Trustee, the Depositor and the Securities Administrator will act on behalf of the Issuing Entity, and will only perform the respective actions that are specified in the Trust Agreement and the Securitization Sale Agreement, as applicable.

The purpose of the Issuing Entity is to engage in the following activities: (i) to issue the Certificates pursuant to the Trust Agreement and to conduct a private placement of the Certificates, (ii) to transfer and exchange the Certificates, (iii) to pay distributions on the Certificates, (iv) to acquire the 23-HE1 PC from the Depositor pursuant to the Securitization Sale Agreement, (v) to make deposits to and withdrawals from the Distribution Account and to pay any organizational, start-up and transactional expenses of the Issuing Entity, (vi) to engage the Securities Administrator to provide certain services with respect to the Certificates, (vii) to hold, manage and distribute the assets of the Issuing Entity to the Certificateholders pursuant to the terms of the Trust Agreement and the Securitization Sale Agreement, (viii) to enter into and perform its obligations under the transaction documents to which it is to be a party, (ix) to engage in those activities, including entering into agreements, that are necessary, suitable or convenient to accomplish the foregoing or are incidental thereto or connected therewith and (x) subject to compliance with the transaction documents, to engage in such other activities as may be required in connection with conservation of the assets of the Issuing Entity and the making of distributions to the Certificateholders. Under the Trust Agreement and the Securitization Sale Agreement, neither the Securities Administrator nor the Issuing Entity, will have the power to issue additional Certificates representing interests in the Issuing Entity and the Issuing Entity will not be permitted to make loans from the assets of the Issuing Entity to any person or entity other than as contemplated by the transaction documents.

If the related assets of the Issuing Entity are insufficient to pay the Certificateholders all principal and interest owed, holders of such Certificates will not receive all of their expected distributions of interest and principal and will suffer a loss.

THE DEPOSITOR

J.P. Morgan Acceptance Corporation II, the Depositor, is a Delaware corporation organized on October 27, 2014 for the limited purpose of acquiring, owning and transferring certain mortgage-related assets and selling interests therein or bonds secured thereby. The Depositor was formed through the conversion of Bond Securitization, L.L.C., a Delaware limited liability company, into J.P. Morgan Acceptance Corporation II, a Delaware corporation. The Depositor is an indirect subsidiary of JPMorgan Chase & Co., and an affiliate of the JPM Sponsor and J.P. Morgan Securities LLC. The Depositor maintains its principal office at 383 Madison Avenue, New York, New York 10179. Its telephone number is (212) 834-2499.

Neither the Depositor nor any of its affiliates will insure or guarantee distributions on the Certificates. For material legal proceedings affecting the Depositor, see “*Material Legal Proceedings of the Participation Depositor, Participation Certificate Seller and the Depositor*” herein.

THE PARTICIPATION DEPOSITOR AND THE PARTICIPATION CERTIFICATE SELLER

General

J.P. Morgan Mortgage Acquisition Corp. (“JPMMAC”), the Participation Depositor and the Participation Certificate Seller, is a Delaware corporation organized on July 12, 2002 for the purpose of using special purpose entities, such as the Participation Agent and the Depositor, primarily for (but not limited to) the securitization of commercial and residential mortgage loans and home equity loans. JPMMAC is a direct, wholly-owned subsidiary of JPMorgan Chase Bank, National Association. JPMMAC maintains its principal office at 383 Madison Avenue, New York, New York 10179. Its telephone number is (212) 834-2499. For material legal proceedings affecting the Participation Depositor and Participation Certificate Seller, see “*Material Legal Proceedings of the Participation Depositor, Participation Certificate Seller and the Depositor*” herein.

Repurchase Requests

The agreements for prior pools of mortgage loans that were securitized by the Participation Certificate Seller and its relevant affiliated securitizers contain certain covenants requiring the repurchase of a mortgage loan from the related issuing entity for the uncured breach of a related representation and warranty in certain cases. The Depositor has previously received demands to repurchase mortgage loans, as reportable on SEC Form ABS-15G, underlying securitizations of mortgage loans for which it has acted as depositor. The Depositor filed its most recent

Form ABS-15G with respect to demands to repurchase mortgage loans with the SEC on May 2, 2023. This filing and prior Form ABS-15G filings made by the Depositor (including through its predecessor entity, Bond Securitization, L.L.C.) can be obtained under the CIK number 0001142786. Repurchase requests related to prior pools of mortgage loans that were securitized by the Participation Certificate Seller can also be found on the Form ABS-15G filings made by J.P. Morgan Acceptance Corporation I, which formerly acted as depositor with respect to certain pools of mortgage loans securitized by the Participation Certificate Seller. J.P. Morgan Acceptance Corporation I has received demands to repurchase mortgage loans and filed its most recent Form ABS-15G with the SEC on May 2, 2023. This filing and prior Form ABS-15G filings can be obtained under the CIK number 0001085309.

THE RETAINING SPONSOR

Blue River Mortgage IV LLC, a Delaware limited liability company, involved in the acquisition, financing and securitization of newly-originated residential mortgage loans and other structured financing arrangements, will act as the retaining sponsor ("Retaining Sponsor"). BRM was formed on September 27, 2022. The Retaining Sponsor or one or more majority-owned affiliates of the Retaining Sponsor will initially retain the Required Credit Risk in order to comply with the U.S. credit risk retention rules for so long as such rules are in effect. From time to time, the Retaining Sponsor may transfer the Required Credit Risk to one or more majority-owned affiliates of the Retaining Sponsor.

MATERIAL LEGAL PROCEEDINGS OF THE PARTICIPATION DEPOSITOR, PARTICIPATION CERTIFICATE SELLER AND THE DEPOSITOR

At the date of this Memorandum, other than litigation in the ordinary course of business, there were no pending material legal proceedings to which either the Participation Depositor, Participation Certificate Seller or the Depositor was a defendant or of which any of their respective properties was subject.

The business of the Participation Depositor, Participation Certificate Seller and the Depositor has included, and continues to include, activities relating to the acquisition and securitization of residential mortgage loans. Because of their involvement in these activities, the Participation Depositor, Participation Certificate Seller and the Depositor could become the subject of additional litigation relating to these activities and could also become the subject of governmental investigations, enforcement actions, or lawsuits. It is possible that the Participation Depositor, Participation Certificate Seller or the Depositor might not be successful in defending or responding to any such litigation, governmental investigation or related action and any losses incurred as a result of the resolution of any such action or investigation could have a material adverse effect on the Participation Depositor, Participation Certificate Seller or the Depositor. In any case, regardless of the merits of any allegation or legal action that may be brought against the Participation Depositor, Participation Certificate Seller or the Depositor, or of their success in defending against such allegations or legal actions, the costs of defending against any such allegation or legal action may be significant or material and could have a material adverse effect on the Participation Depositor, Participation Certificate Seller or the Depositor.

THE PARTICIPATION OWNER TRUSTEE, PARTICIPATION REGISTRAR, OWNER TRUSTEE AND SECURITIES ADMINISTRATOR

Wilmington Savings Fund Society, FSB ("WSFS Bank") will act as Participation Owner Trustee and Participation Registrar on behalf of the Participation Agent pursuant to the Master Participation Agreement and the Participation Trust Agreement, and as Owner Trustee and the Securities Administrator on behalf of the Issuing Entity pursuant to the Securitization Sale Agreement and the Trust Agreement. WSFS Financial Corporation is a multi-billion dollar financial services company. Its primary subsidiary, WSFS Bank, is the oldest and largest locally-headquartered bank and trust company in the Greater Philadelphia and Delaware region. As of March 31, 2023, WSFS Financial Corporation had $20.3 billion in assets on its balance sheet and $65.6 billion in assets under management and administration. WSFS operates from 119 offices, 92 of which are banking offices, located in Pennsylvania (61), Delaware (39), New Jersey (17), Virginia (1) and Nevada (1) and provides comprehensive financial services including commercial banking, retail banking, cash management and trust and wealth management. Other subsidiaries or divisions include Arrow Land Transfer, Bryn Mawr Capital Management, LLC, Bryn Mawr Trust®, The Bryn Mawr Trust Company of Delaware, Cash Connect®, NewLane Finance®, Powdermill® Financial Solutions, WSFS

Institutional Services®, WSFS Mortgage®, and WSFS Wealth® Investments. Serving the Greater Delaware Valley since 1832, WSFS Bank is one of the ten oldest banks in the United States continuously operating under the same name. WSFS Financial Corporation is traded on the NASDAQ under the ticker symbol WSFS. WSFS Bank has been acting as owner trustee in asset-backed and mortgage-backed securities issuances since 1999. As of March 31, 2023, WSFS Bank is acting as owner trustee for several hundred issuances and acts as trustee under pooling and servicing agreements or indentures for several hundred issuances.

WSFS Bank's corporate trust office is located at 500 Delaware Avenue, 11th Floor; Wilmington, Delaware 19801. As of the date of this Memorandum, there are no legal proceedings pending, or to the best of the knowledge of WSFS Bank, contemplated by governmental authorities, against the Participation Owner Trustee, the Participation Registrar, the Owner Trustee or the Securities Administrator or any property of the Participation Owner Trustee, the Participation Registrar, the Owner Trustee or the Securities Administrator that would be material to Certificateholders.

The information set forth in this section with respect to WSFS Bank has been provided by WSFS Bank and has not been verified by the Participation Certificate Seller, the Depositor, any Sponsor or any Initial Purchaser.

The Participation Certificate Seller, the Depositor, the Originators, the Sponsors and the Servicers may maintain other banking relationships in the ordinary course of business with WSFS Bank.

In purchasing a Certificate, each Certificateholder will be deemed to acknowledge, agree and consent to WSFS Bank acting in the capacities of Participation Owner Trustee and Participation Registrar on behalf of the Participation Agent, and WSFS Bank, acting in the capacities of Owner Trustee and Securities Administrator on behalf of the Issuing Entity. WSFS Bank may, in such multiple capacities, discharge its separate functions fully, without hindrance or regard to conflict of interest principles, duty of loyalty principles or other breach of fiduciary duties to the extent that any such conflict or breach arises from the performance by WSFS Bank of express duties set forth in the Participation Trust Agreement, the Master Participation Agreement, the Trust Agreement or the Securitization Sale Agreement, as the case may be, in any of its capacities, all of which defenses, claims or assertions are expressly waived by each Certificateholder and any other person having rights pursuant thereto.

THE PARTICIPATION TRUST AGREEMENT

General

The following summary describes certain provisions of the Participation Trust Agreement. The summary does not purport to be complete and is subject to, and is qualified in its entirety by reference to, the provisions of the Participation Trust Agreement.

Duties of the Participation Owner Trustee and the Participation Agent

The duties of the Owner Trustee will be limited to its express obligations set forth in the Participation Trust Agreement and the Master Participation Agreement. See "*The Master Participation Agreement—Duties of the Participation Owner Trustee*" in this Memorandum. In connection with the performance of its duties under the Participation Trust Agreement and the Master Participation Agreement, the Participation Owner Trustee will be entitled to receive the Participation Owner Trustee/Participation Registrar Fee on each Participation Distribution Date, and will be entitled to reimbursement from the Participation Agent for certain expenses and other amounts, in each case prior to payment of any amounts to Participation Certificateholders.

The Participation Owner Trustee will not be required to take any action under the Participation Trust Agreement or under any transaction document if the Participation Owner Trustee has reasonably determined, or been advised by counsel, that such action is likely to result in liability on the part of the Participation Owner Trustee or is contrary to the terms hereof or of any transaction document or is otherwise contrary to law. Whenever the Participation Owner Trustee is unable to decide between alternative courses of action permitted or required by the terms of this Participation Trust Agreement or under any other Transaction Document, is unsure as to the application of any provision of such documents or if the Participation Owner Trustee otherwise determines instruction is necessary or desirable, the Participation Owner Trustee will give notice to the Participation Depositor as majority certificateholder, each Participation Certificateholder (and, if a Participation Certificate is subject to a securitization sale agreement, the related securities administrator) requesting instruction as to the course of action to be adopted, and to the extent the Participation Owner Trustee acts or refrains from acting in good faith in accordance with any written instruction of the related securities administrator (acting at the direction of the requisite percentage holders of the related certificates issued under the related securitization transaction) or the Participation Depositor, as the case may be, the Participation Owner Trustee will not be personally liable on account of such action or inaction to any person. If the Participation Owner Trustee receives conflicting instructions from the related securities administrators (at the direction of the requisite percentage holders of the related certificates issued under the related securitization transaction) and the Participation Depositor as to the course of action to be adopted, the Participation Owner Trustee will follow the instructions of the applicable securities administrators, and if the Participation Owner Trustee receives conflicting instructions from the related securities administrators as to the course of action to be adopted, the Participation Owner Trustee will follow the instruction of the majority of securities administrators, and if there is no majority, the instruction of the Depositor. If the Participation Owner Trustee has not received appropriate instruction within ten (10) days of such notice (or within such shorter period of time as reasonably may be specified in such notice or may be necessary under the circumstances) it may take or refrain from taking such action as it deems to be in the best interests of the Participation Depositor and the Participation Certificateholders and in accordance with the terms of the transaction documents, but will be under no duty to take or refrain from taking any such action and will have no personal liability to any person for such action or inaction.

The Participation Owner Trustee will not be liable under the Trust Agreement:

(a) except for its own willful misconduct, bad faith or gross negligence in the performance of its express duties under the Participation Trust Agreement;

(b) for any error of judgment made in good faith by the Participation Owner Trustee;

(c) with respect to any action taken or omitted to be taken by it in accordance with the instructions of the Participation Depositor or any other Person authorized to instruct the Participation Owner Trustee under the Participation Trust Agreement;

(d) the default or misconduct of the Participation Depositor, the certificate registrar, any servicer or document custodian or any other person under the Participation Trust Agreement or under any transaction document or otherwise; and

(e) the failure of any Servicer, the Participation Agent, or any subservicer, agent of, or counsel to, any of the foregoing to conduct a foreclosure in accordance with the terms of a Servicing Agreement, the Securitization Sale Agreement, the related transaction documents or applicable law, or the failure to properly file or record an assignment of a mortgage or any other document in connection with a foreclosure action, and the Participation Owner Trustee will not be required to take any action in connection with any of the foregoing matters.

The Participation Depositor as certificateholder will not have legal title to any part of the trust estate. The Participation Certificateholders will be entitled to receive distributions only in accordance with the Master Participation Agreement. No transfer, by operation of law or otherwise, of any right, title or interest of the Participation Certificateholders to and in their beneficial ownership interest in the trust estate will operate to terminate the Participation Trust Agreement or the Participation Agent or entitle any transferee to an accounting or to the transfer to it of legal title to any part of the trust estate.

While a Participation Certificate is subject to a Securitization Sale Agreement (other than in connection with an optional redemption thereunder), the Participation Agent will not take action with respect to the following matters (among other things) unless the related Securities Administrator (at the direction of the requisite percentage of holders of the related certificates issued under the related securitization transaction) has given its prior written consent thereto:

(a) the initiation of any claim or lawsuit by the Participation Agent (except claims or lawsuits brought in connection with the collection of the HELOCs or the enforcement of any rights and obligations under the Master Participation Agreement or the transaction documents) and the compromise or settlement of any action, proceeding, investigation, claim or lawsuit brought by or against the Participation Agent (except with respect to the aforementioned claims or lawsuits for collection of the HELOCs);

(b) the doing of any act that conflicts with any of the transaction documents;

(e) the confession of a judgment against the Participation Agent; or

(g) the (i) institution of proceedings to have the Participation Agent declared or adjudicated bankrupt or insolvent, (ii) consenting to the institution of bankruptcy or insolvency proceedings against the Participation Agent, (iii) filing a petition or consent to a petition seeking reorganization or relief on behalf of the Participation Agent under any applicable federal or state law relating to bankruptcy, (iv) consenting to the appointment of a receiver, liquidator, assignee, trustee, sequestrator (or any similar official) of the Participation Agent or any property of the Participation Agent, (v) making any assignment for the benefit of the Participation Agent's creditors, (vi) causing the Participation Agent to admit in writing its inability to pay its debts generally as they become due, (vii) taking any action, or causing the Participation Agent to take any action, in furtherance of any of the foregoing.

While a Participation Certificate is subject to a securitization sale agreement (other than in connection with an optional redemption), the Participation Agent will not amend the separateness provisions set forth in Section 4.04 of the Participation Trust Agreement without the prior written consent of 100% of the holders of the related securities issued under the related securitization transactions.

Limitation of Liability; Indemnification

The Participation Owner Trustee may rely upon, and will be protected in relying upon and will incur no personal liability to anyone in acting upon any signature, instrument, notice, resolution, request, instruction, consent, order, certificate, report, opinion, bond, or other document or paper believed by it to be genuine and believed by it to be signed by the proper party or parties and need not investigate any fact or matter in any such document as long as the Participation Owner Trustee has otherwise satisfied its obligations under the Participation Trust Agreement. The Participation Owner Trustee may (i) act directly or through its agents, accountants, or attorneys pursuant to agreements entered into with any of them, and the Participation Owner Trustee will not be personally liable for the conduct or misconduct of such agents, accountants, or attorneys if such agents, accountants, or attorneys will have been selected by the Participation Owner Trustee in good faith and (ii) consult with counsel, accountants and other skilled persons to be selected with reasonable care and employed by it. The Participation Owner Trustee will not be personally liable for anything done, suffered or omitted in good faith by it in accordance with the written opinion or advice of any such counsel, accountants or other such persons and not contrary to the Participation Trust Agreement or any other transaction document.

To the fullest extent permitted by applicable law, the Participation Owner Trustee (in both its individual and trustee capacities) and the officers, directors, employees, agents, successors and assigns of the Participation Owner Trustee (collectively, including the Participation Owner Trustee in its individual capacity, the "POT Indemnified Parties") will be indemnified and held harmless by the Participation Agent, as primary obligor from and against, any and all liabilities, obligations, losses, damages, taxes, claims, actions and suits, and any and all reasonable costs, expenses and disbursements (including reasonable legal fees and expenses and any legal fees or expenses incurred in connection with any action or suit brought by a POT Indemnified Party to enforce any indemnification or other obligation of the Participation Agent or any other person or in connection with the defense of a POT Indemnified Party of any action, claim, proceeding or suit) of any kind and nature whatsoever (collectively, "POT Expenses") which may at any time be imposed on, incurred by, or asserted against WSFS or any POT Indemnified Party in any way relating to or arising out of this Participation Trust Agreement, any transaction document, any HELOC, the participation trust estate, the administration of the Participation Agent or the participation trust estate or the action or inaction of the Participation Owner Trustee under the Participation Trust Agreement, other than from and against POT Expenses arising or resulting from the Participation Owner Trustee's willful misconduct, bad faith or gross negligence (as determined by a court of competent jurisdiction pursuant to a verdict not subject to appeal). Any expenses, reimbursements and indemnities to a POT Indemnified Party will be payable in accordance with the Master Participation Agreement, unless otherwise agreed to in writing, and will survive the removal, resignation or termination of the Participation Owner Trustee or the termination of the Participation Agent or this Participation Trust Agreement.

Dissolution of the Participation Agent

The Participation Agent will dissolve and commence winding up, in accordance with Section 3808 of the Delaware act, upon the termination of each issuing entity as contemplated by the related Securitization Sale Agreement pursuant to the terms thereof and the termination of the Master Participation Agreement pursuant to the terms thereof. The bankruptcy, liquidation, dissolution, death or incapacity of any certificateholder of the Participation Agent will not (x) operate to dissolve or terminate the Participation Trust Agreement or the Participation Agent or (y) to the fullest extent permitted by law, entitle such Participation Agent's certificateholder's legal representatives or heirs to claim an accounting or to take any action or proceeding in any court for a partition or winding up of all or any part of the Participation Agent or participation trust estate or (z) otherwise affect the rights, obligations and liabilities of the parties hereto. While a Participation Certificate is subject to a securitization sale agreement and prior to the termination of the Master Participation Agreement, the Participation Depositor as certificateholder of the Participation Agent will be entitled to dissolve, revoke or terminate the Participation Agent.

Eligibility of the Participation Owner Trustee; Resignation and Removal of the Participation Owner Trustee; Appointment of Successor

The Participation Owner Trustee must at all times be a federal savings bank or other entity satisfying the provisions of Section 3807(a) of the Delaware act; authorized to exercise corporate trust powers; having (or having a direct or indirect parent that has) a combined capital and surplus of at least $50,000,000 and subject to supervision or examination by federal or state authorities. If such entity (or its direct or indirect parent, as the case may be) will publish reports of condition at least annually pursuant to law or to the requirements of the aforesaid supervising or examining authority, then for the purpose of this requirement, the combined capital and surplus of such entity (or its direct or indirect parent, as the case may be) will be deemed to be its combined capital and surplus as set forth in its most recent report of condition so published. In case at any time the Participation Owner Trustee ceases to be eligible in accordance with the provisions of the Participation Trust Agreement, the Participation Owner Trustee must resign immediately in the manner and with the effect specified in the Participation Trust Agreement.

The Participation Owner Trustee may at any time resign and be discharged from the participation trust created pursuant to the Participation Trust Agreement and its obligations under the Transaction Documents by giving written notice thereof to the Participation Depositor as majority certificateholder. Upon receiving such notice of resignation, the Participation Depositor as majority certificateholder, with the consent of the Retaining Sponsor (and any Other Retaining Sponsor) will promptly appoint a successor Participation Owner Trustee. If no successor Participation Owner Trustee has been so appointed and have accepted appointment within 30 days after the giving of such notice of resignation, the resigning Participation Owner Trustee may petition any court of competent jurisdiction for the appointment of a successor Participation Owner Trustee, and all fees, costs and expenses (including, without limitation, attorneys' fees) incurred in connection with such petition will be paid by the resigning Participation Owner Trustee (unless such resignation is due to non-payment of fees or is the direct result of circumstances beyond the control of the Participation Owner Trustee (for which it has reasonably determined that it can no longer continue in its capacity as Participation Owner Trustee), then such fees, costs and expenses will be paid by the Majority Certificateholder, or if not paid by the Majority Certificateholder, from the Participation Account as a Participation Trust Expense.

If at any time (i) the Participation Owner Trustee becomes ineligible in accordance with the provisions of the Participation Trust Agreement, incapable of acting, or is adjudged a bankrupt or insolvent, or a receiver of the Participation Owner Trustee or its property is appointed, or any public officer takes charge or control of the Participation Owner Trustee or its property or affairs for the purpose of rehabilitation, conservation or liquidation, then the Participation Depositor as majority certificateholder, with the consent of the Retaining Sponsor (and any Other Retaining Sponsor), will remove the Participation Owner Trustee and appoint a successor. If the Participation Owner Trustee is so removed and no successor Participation Owner Trustee has been appointed and has accepted appointment within 30 days after the removal of the Participation Owner Trustee, the removed Participation Owner Trustee may petition any court of competent jurisdiction for the appointment of a successor Participation Owner

Trustee and all fees, costs and expenses (including attorneys' fees) incurred in connection with such petition will be paid by the removed Participation Owner Trustee (unless such removal is the direct result of circumstances beyond the control of the Participation Owner Trustee (for which the Participation Owner Trustee has reasonably determined that it can no longer continue in its capacity as Participation Owner Trustee), then such fees, costs and expenses will be paid by the Participation Depositor as majority certificateholder, or if not paid by the Participation Depositor, from the Participation Account as a Participation Trust Expense).

Any request for the consent of the Retaining Sponsor (and any Other Retaining Sponsor) pursuant to the above will not be unreasonably withheld and will be provided to the Participation Depositor within five (5) Business Days of the request for such consent. To the extent such consent is not provided within five (5) Business Days, the Retaining Sponsor (and any Other Retaining Sponsor) will be deemed to have provided its consent.

The Holders of more than 50% of the Voting Interests of the Participation Certificates may also remove the Participation Owner Trustee in accordance with the Master Participation Agreement. See "*The Master Participation Agreement— Resignation and Removal of the Participation Registrar and Participation Owner Trustee; Appointment of Successor"* in this Memorandum.

Co-Trustees

At any time, for the purpose of meeting any legal requirements of any jurisdiction in which any part of the participation trust estate may at the time be located, the Participation Owner Trustee, acting jointly with the Participation Depositor, will have the power to appoint co-trustees or separate trustees of all or any part of the related participation trust estate. In the event of the appointment of co-trustees or separate trustees, all rights, powers, duties and obligations conferred or imposed upon the Participation Owner Trustee will be conferred or imposed upon the Participation Owner Trustee and such separate trustees or co-trustees jointly or singly upon the separate trustees or co-trustees who will exercise and perform any such rights, powers, duties and obligations.

Amendment

The Participation Trust Agreement may be amended from time to time by the Participation Depositor and the Participation Owner Trustee, and with the consent of the Retaining Sponsor and any Other Retaining Sponsor, without notice to or the consent of any of the Participation Certificateholders (i) to cure any ambiguity or mistake, (ii) to cause the provisions in the Participation Trust Agreement to conform to or be consistent with or in furtherance of the statements made with respect to the Participation Certificates, the Participation Agent, the participation trust estate or the Participation Trust Agreement in this Memorandum, to correct or supplement any provisions in the Participation Trust Agreement which may be inconsistent with any other provision herein or with the provisions of the other transaction documents, (iii) to modify, alter, amend, add to or rescind any of the terms or provisions contained in the Participation Trust Agreement to comply with any rules or regulations promulgated by the SEC from time to time, (iv) to add to, to delete or to modify any provisions to the extent necessary to comply with or facilitating compliance with applicable law or applicable disclosure laws, (v) to add, delete, or amend any provisions to the extent necessary or desirable to comply with any requirements imposed by the Code, (vi) to add any other provisions with respect to matters or questions arising under the Participation Trust Agreement and (vii) to modify, alter, amend, add to or rescind any of the terms or provisions contained in the Participation Trust Agreement; provided that no such amendment effected pursuant to clause (vi) or (vii) will adversely affect in any material respect the interests of any Participation Certificateholder, as evidenced by (A) an opinion of counsel delivered to the Participation Owner Trustee and the Participation Registrar to such effect which may rely on an officer's certificate to such effect or (B) satisfaction of the Rating Agency Condition. No later than ten (10) Business Days prior to any amendment of the Participation Trust Agreement, written notice of any such amendment will be provided to the Participation Certificateholders (which notification with respect to the 23-HE1 PC will be provided to the Securities Administrator to post such information to the Securities Administrator's website).

The Participation Trust Agreement may also be amended by the Participation Depositor and the Participation Owner Trustee, and with the consent of the Retaining Sponsor and any Other Retaining Sponsor, with the consent of the Participation Certificateholders affected thereby, in each case evidencing not less than 66-2/3% of the Voting Interests of such Participation Certificates, for the purpose of adding any provisions to or changing in any manner or eliminating any of the provisions of the Participation Trust Agreement or of modifying in any manner the rights of the Participation Certificateholders; provided, however, that no such amendment may (i) reduce in any manner the amount of or delay the timing of collections of payments on the HELOCs which are required to be made on a Participation Certificate without the consent of the Participation Certificateholder or (ii) reduce the percentage of Participation Certificates of which are required to consent to any such amendment without the consent of 100% of the Participation Certificateholders affected thereby.

Any request for the consent of the Retaining Sponsor (and any Other Retaining Sponsor) pursuant to the above will not be unreasonably withheld and will be provided to the Participation Depositor within five (5) Business Days of the request for such consent. To the extent such consent is not provided within five (5) Business Days, the Retaining Sponsor (and any Other Retaining Sponsor) will be deemed to have provided its consent.

THE TRUST AGREEMENT

General

The following summary describes certain provisions of the Trust Agreement. The summary does not purport to be complete and is subject to, and is qualified in its entirety by reference to, the provisions of the Trust Agreement.

Duties of the Owner Trustee and the Issuing Entity

The duties of the Owner Trustee will be limited to its express obligations set forth in the Trust Agreement. In connection with the performance of its duties under the Trust Agreement, the Owner Trustee will be entitled to receive the Owner Trustee Fee on each Distribution Date, and will be entitled to reimbursement from the Issuing Entity for certain expenses and other amounts, in each case prior to distribution of any amounts to Certificateholders. The Owner Trustee is also appointed to serve as the trustee of the Issuing Entity in the State of Delaware for the purpose of satisfying the requirement of Section 3807(a) of the Delaware Trust Statute.

The Owner Trustee will have no obligation to take any action at the direction of Certificateholders or the Issuing Entity unless (a) it has received written instruction of the required percentage of Certificateholders and (b) it has received indemnification satisfactory to it in its sole discretion from such directing Certificateholders. Except as expressly provided in the Trust Agreement and any other provision of the transaction documents that expressly requires a specified percentage of the Holders of Certificates or Holders of a specified percentage of the Voting Interests of the Certificates, (i) any action that may be taken by the Certificateholders under any transaction document and any consent, waiver, direction or instruction that may be given by the Certificateholders under any transaction document may only be taken or given, as applicable, by Holders of Certificates evidencing not less than a majority of the Aggregate Voting Interests of all of the Certificates, and (ii) any action, consent, waiver, direction or instruction by Holders of Certificates evidencing less than a majority of the Aggregate Voting Interests of all of the Certificates will be void and of no effect. Except as expressly provided in the Trust Agreement, any consent, waiver, direction or instruction of the Certificateholders delivered pursuant to any transaction document will only be effective if it is in writing and signed by Holders of Certificates evidencing not less than a majority of the Aggregate Voting Interests of all of the Certificates at the time of the delivery of such consent, waiver, direction or instruction. In addition, the Owner Trustee will have the right to decline to follow any direction of the Certificateholders if (i) the Owner Trustee, upon the advice of counsel, determines that the action or proceeding so directed may not lawfully be taken, (ii) the Owner Trustee in good faith determines that the action or proceeding so directed would involve it in personal liability for which it is not indemnified to its satisfaction or (iii) the Owner Trustee determines that such action would be inconsistent with the Trust Agreement or any other transaction document.

The Owner Trustee will not be liable under the Trust Agreement:

(a) except for its own willful misconduct, gross negligence or bad faith in the performance of its express duties under the Trust Agreement or in the case of the inaccuracy of any representation or warranty contained in the Trust Agreement expressly made by the Owner Trustee in its individual capacity;

(b) for any error of judgment made in good faith by an officer or employee of the Owner Trustee;

(c) with respect to any action taken or omitted to be taken by it in accordance with the instructions of the Depositor, the Securities Administrator or to the extent given in accordance with the terms of the Trust Agreement, any Certificateholder;

(d) for any representation, warranty, covenant, obligation or indebtedness evidenced by or arising under any of the transaction documents; and

(e) for any act or omission of the Issuing Entity, the Depositor, the Securities Administrator, the Participation Certificate Seller, the Participation Agent, the Participation Registrar, a Servicer or any other Person, or for the default or misconduct of the Issuing Entity, the Securities Administrator, the Participation Agent, the Participation Registrar, any Servicer, the Depositor or any other Person under any of the transaction documents or otherwise.

The Owner Trustee will not be responsible for monitoring, supervising or performing the obligations of the Issuing Entity, the Securities Administrator, the Participation Agent, the Participation Registrar, any Servicer, the Depositor, the Participation Certificate Seller or any other person or entity under the Trust Agreement or any other transaction document nor will any such parties be deemed to be agents of the Owner Trustee. In addition, the Owner Trustee will not be responsible for or in respect of the validity or sufficiency of the Trust Agreement or for the due execution thereof by any person other than the Owner Trustee, for the form, character, genuineness, sufficiency, value or validity of any of the trust estate, or for or in respect of the validity or sufficiency of the transaction documents (including the Certificates), and the Owner Trustee will in no event assume or incur any liability, duty or obligation to any Certificateholder, other than as expressly provided for in the Trust Agreement or expressly agreed to in the transaction documents.

The Certificateholders will not have legal title to any part of the trust estate. The Certificateholders will be entitled to receive distributions only in accordance with the Trust Agreement and the Securitization Sale Agreement. No transfer, by operation of law or otherwise, of any right, title or interest of the Certificateholders to and in their beneficial ownership interest in the trust estate will operate to terminate the Trust Agreement or the trust thereunder or entitle any transferee to an accounting or to the transfer to it of legal title to any part of the trust estate. The Owner Trustee, or any of its affiliates, in its individual or any other capacity, may become the owner or pledgee of Certificates and may transact business with other interested parties with the same rights as it would have if it were not Owner Trustee.

No Certificateholder will have any right under the Trust Agreement to institute any suit, action or proceeding under or with respect to the Trust Agreement, the Securitization Sale Agreement or the Certificates unless (i) Certificateholders holding more than 50% of the Aggregate Voting Interests have made written request to the Issuing Entity (or the Owner Trustee on its behalf) to institute such action, suit or proceeding on behalf of the Issuing Entity and such Certificateholders have offered to the Issuing Entity (or the Owner Trustee on its behalf) reasonable indemnity against the costs, expenses and liabilities to be incurred by the Issuing Entity and the Owner Trustee in compliance with such request, (ii) the Issuing Entity (or the Owner Trustee on its behalf) for 30 days after its receipt of such request and indemnity has failed to institute any such action, suit or proceeding and (iii) no direction inconsistent with such written request has been given to the Issuing Entity (or the Owner Trustee on its behalf) during such 30-day period by Certificateholders holding more than 50% of the Aggregate Voting Interests.

However, neither the Issuing Entity nor the Owner Trustee on its behalf will be under any obligation to exercise any of the powers vested in it by the Trust Agreement or any other transaction document or to institute, conduct or defend any litigation thereunder or in relation thereto at the request, order or direction of any of the Holders of Certificates, unless such Certificateholders have offered to the Issuing Entity (or the Owner Trustee on its behalf) reasonable security or indemnity satisfactory to it against the costs (including costs of litigation), expenses, losses and liabilities that may be incurred thereby. No Certificateholder will have any right to seek judicial review of whether any breach by the Originator or any other representing party of any representation or warranty under the Master Participation Agreement in respect of any HELOC has occurred.

Limitation of Liability; Indemnification

In the absence of bad faith, the Owner Trustee may conclusively rely upon any certificates or opinions of counsel furnished to the Owner Trustee under the Trust Agreement. Any such certificate or advice or opinion of counsel, accountants or experts will be full and complete authorization and protection in respect of any action taken or omitted to be taken by the Owner Trustee in good faith and in accordance with such certificate or advice or opinion of counsel, accountants or experts. The Owner Trustee will not be deemed to have knowledge or notice of any matter unless actually known to a responsible officer of the Owner Trustee or unless a responsible officer of the Owner Trustee has received written notice thereof. The Owner Trustee will not be required under the Trust Agreement or any other transaction document to expend or risk its personal funds or otherwise incur any financial liability in the performance of any of its rights or powers under the Trust Agreement or under any transaction document if the Owner Trustee has reasonable grounds for believing that repayment of such funds or adequate indemnity against such risk or liability is not reasonably assured or provided to it. The Owner Trustee will not be liable for any failure to perform or for a delay in the performance of its duties if such failure is a result of the delay or failure of another party.

To the fullest extent permitted by applicable law, the Owner Trustee (in both its individual and trustee capacities) and the officers, directors, employees, agents, successors and assigns of the Owner Trustee (collectively, including the Owner Trustee in its individual capacity, the "Covered Persons") will be indemnified and held harmless by the Issuing Entity as a primary obligor, from and against any and all liabilities, obligations, indemnity obligations, losses, damages, taxes, claims, actions and suits, and any and all reasonable costs, expenses and disbursements, costs of litigation or arbitration (including reasonable legal, attorneys', experts' and consultants' fees and expenses or any legal fees and expenses incurred in connection with any claim, action, proceeding or suit brought by a Covered Person to enforce any indemnification or other obligation of the Issuing Entity or any other Person or in connection with the defense of a Covered Person of any action, claim, proceeding or suit) of any kind and nature whatsoever (collectively, the "Expenses") which may at any time be imposed on, incurred by or asserted against one or more Covered Persons in any way relating to or arising out of the Trust Agreement, the trusts created under the Trust Agreement, the creation, operation or termination of the Issuing Entity or the transactions contemplated thereby, the transaction documents, the trust estate, the administration of the trust estate or any action or inaction of the Owner Trustee under the Trust Agreement or under the transaction documents (including the commencement of any action, enforcement proceeding or arbitration by the Owner Trustee); *provided*, *however*, that the Issuing Entity will not be required to indemnify a Covered Person for Expenses as a direct result of (i) such Covered Person's willful misconduct, fraud or gross negligence as determined by a final, non-appealable judgment of a court of competent jurisdiction, (ii) the inaccuracy of any of the Owner Trustee's representations or warranties contained in the Trust Agreement and (iii) taxes owed by the Owner Trustee based on or measured by any fees, commissions or compensation received by the Owner Trustee for acting as such in connection with any of the transactions contemplated by the Trust Agreement. The Issuing Entity will be obligated to advance Expenses incurred by each Covered Person prior to the final disposition of the action and upon receipt by the Securities Administrator of a written request and of an undertaking by or on behalf of the Covered Person to repay the Expenses if the Covered Person is not entitled to be indemnified under the Trust Agreement. The rights of the Covered Persons to indemnity under the Trust Agreement will survive the termination of the Trust Agreement and resignation or removal of the Owner Trustee.

Dissolution of the Issuing Entity

The Issuing Entity will dissolve upon the earlier of: (i) the maturity or other liquidation of the last Participation Interest relating to the 23-HE1 PC or (ii) the exercise of the Optional Clean-Up Call or Optional Redemption and the distribution of the related proceeds. The bankruptcy, liquidation, dissolution, death or incapacity of any Certificateholder will not (x) operate to terminate the Trust Agreement or the Issuing Entity, (y) entitle such Certificateholder's legal representatives or heirs to claim an accounting or to take any action or proceeding in any court for a partition or winding up of all or any part of the Issuing Entity or the trust estate or (z) otherwise affect the rights, obligations and liabilities of the parties to the Trust Agreement. In the event that all of the Certificateholders have not surrendered their Certificates for cancellation within six months after the date specified in the notice of dissolution, the Securities Administrator will give a second written notice to the remaining Certificateholders to surrender their Certificates for cancellation and receive the final distribution with respect thereto. If within one year after the second notice all the Certificates have not been surrendered for cancellation, the Securities Administrator may take appropriate steps, or may appoint an agent to take appropriate steps, to contact the remaining Certificateholders concerning surrender of their Certificates, and the cost thereof will be paid out of the funds and other assets that remain subject to the Trust Agreement. Subject to applicable escheat laws, any funds remaining in the Issuing Entity after exhaustion of such remedies will be distributed by the Securities Administrator, as paying agent, to the Certificateholders on a pro rata basis.

Eligibility of the Owner Trustee; Resignation and Removal of the Owner Trustee

The Owner Trustee is required at all times to be an entity (i) authorized to exercise corporate trust powers and (ii) having a combined capital and surplus of at least $50,000,000 and subject to supervision or examination by federal or state authorities. If such corporation publishes reports of condition at least annually pursuant to law or to the requirements of the aforesaid supervising or examining authority, then for the purpose of this paragraph, the combined capital and surplus of such corporation will be deemed to be its combined capital and surplus as set forth in its most recent report of condition so published. In case at any time the Owner Trustee ceases to be eligible in accordance with the provisions of this paragraph, the Owner Trustee must resign immediately in the manner and with the effect as specified below.

The Owner Trustee may resign at any time by giving 30 days' prior written notice to the Depositor and the Securities Administrator, in which event the Depositor, with the consent of the Retaining Sponsor, will be obligated to appoint a successor Owner Trustee. If no successor Owner Trustee has been so appointed and has accepted appointment within 30 days after the giving of such notice of resignation, the resigning Owner Trustee may petition any court of competent jurisdiction for the appointment of a successor Owner Trustee. The Depositor, with the consent of the Retaining Sponsor, may also remove the Owner Trustee if the Owner Trustee ceases to be eligible to continue as such under the Trust Agreement or if the Owner Trustee becomes legally incapable of acting under the Trust Agreement or becomes insolvent, in which event the Depositor, with the consent of the Retaining Sponsor, will be obligated to appoint a successor Owner Trustee. Any resignation or removal of the Owner Trustee and appointment of a successor Owner Trustee will not become effective until acceptance of the appointment by the successor Owner Trustee and payment of all fees and expenses owed to the outgoing Owner Trustee. Any expenses associated with the resignation of the Owner Trustee will generally be paid by the Owner Trustee.

Any request for the consent of the Retaining Sponsor pursuant to the above will not be unreasonably withheld and will be provided to the Depositor within five (5) Business Days of the request for such consent. To the extent such consent is not provided within five (5) Business Days, the Retaining Sponsor will be deemed to have provided its consent.

Co-Trustees

At any time, for the purpose of meeting any legal requirements of any jurisdiction in which any part of the trust estate may at the time be located, the Owner Trustee, acting jointly with the Depositor, will have the power to appoint co-trustees or separate trustees of all or any part of the related issuing entity assets. In the event of the appointment of co-trustees or separate trustees, all rights, powers, duties and obligations conferred or imposed upon the Owner Trustee by the Securitization Sale Agreement or Trust Agreement will be conferred or imposed upon the Owner Trustee and such separate trustees or co-trustees jointly, or, in any jurisdiction in which the Owner Trustee is incompetent or unqualified to perform specified acts, singly upon the separate trustees or co-trustees who will exercise and perform any such rights, powers, duties and obligations.

Amendment

The Trust Agreement may be amended by the Depositor, the Securities Administrator and the Owner Trustee, and with the consent of the Retaining Sponsor, without notice to or the consent of any Certificateholders (i) to cure any ambiguity or mistake, (ii) to cause the provisions in the Trust Agreement to conform to or be consistent with or in furtherance of the statements made in this Memorandum, or to correct or supplement any provision in the Trust Agreement which may be inconsistent with any other provisions therein or with the provisions of the other transaction documents, (iii) to modify, alter, amend, add to or rescind any of the terms or provisions contained in the Trust Agreement to comply with any rules or regulations promulgated by the SEC from time to time, (iv) to add to, to delete or to modify any provisions to the extent necessary to comply with or facilitating compliance with applicable law or applicable disclosure laws, (v) to add, delete, or amend any provisions to the extent necessary or desirable to comply with any requirements imposed by the Code, (vi) to add any other provisions with respect to matters or questions arising under the Trust Agreement and (vii) to modify, alter, amend, add to or rescind any of the terms or provisions contained in the Trust Agreement; provided, that no such amendment effected pursuant to clause (vi) or (vii) will adversely affect in any material respect the interests of any Certificateholder, as evidenced by (A) an opinion of counsel delivered to the Owner Trustee and the Securities Administrator to such effect which may rely on an officer's certificate to such effect or (B) satisfaction of the Rating Agency Condition. No later than ten (10) Business Days (or such shorter period of time as may be reasonably necessary given the circumstances) prior to any amendment of the Trust Agreement, written notice of any such amendment will be provided to the Certificateholders; provided, that the Securities Administrator may provide such notice to the Certificateholders by posting such information to the Securities Administrator's website.

The Trust Agreement may also be amended by the Depositor, the Retaining Sponsor, the Securities Administrator and the Owner Trustee with the consent of the Holders of Certificates of each class affected thereby, in each case evidencing not less than 66-2/3% of the Voting Interests of such class, for the purpose of adding any provisions to or changing in any manner or eliminating any of the provisions of the Trust Agreement or of modifying in any manner the rights of the Certificateholders; provided however, that no such amendment may (i) reduce in any manner the amount of, or accelerate or delay the timing of collections of distributions on the 23-HE1 PC which are required to be made on a Certificate of any class without the consent of the Holder of such Certificate or (ii) reduce the percentage of Certificates of the class the Holders of which are required to consent to any such amendment unless all Holders of the Certificates of such class have consented to the change of such percentage.

Neither the Owner Trustee or the Securities Administrator will be obligated to enter into any amendment that affects their respective rights, duties or immunities under any transaction document and no such amendment will be effective without the Owner Trustee's or the Securities Administrator's, as applicable, written consent. All expenses of the Owner Trustee and the Securities Administrator incurred in connection with any amendment to the Trust Agreement (including without limitation reasonable attorneys' fees) will be paid by the party requesting such amendment or, if such amendment is initiated by the Owner Trustee or the Securities Administrator, will be paid as a Trust Expense.

Any request for the consent of a Retaining Sponsor to amend the Trust Agreement will not be unreasonably withheld and must be provided to the Depositor within five (5) Business Days of the request for such consent. To the extent such consent is not provided within five (5) Business Days, the related Retaining Sponsor will be deemed to have provided its consent.

THE CUSTODIAN

The information set forth in this section with respect to Computershare Trust Company, N.A. has been provided by Computershare Trust Company, N.A. and has not been verified by the Participation Certificate Seller, the Depositor or any Initial Purchaser.

Computershare Trust Company, N.A. ("Computershare Trust Company") will act as Custodian under the Custody Agreement. Computershare Trust Company is a national banking association and a wholly-owned subsidiary of Computershare Limited ("Computershare Limited"), an Australian financial services company with approximately $6.2 billion (USD) in assets as of December 31, 2022. Computershare Limited and its affiliates have been engaging in financial service activities, including stock transfer related services, since 1997, and corporate trust related services since 2000. Computershare Trust Company provides corporate trust, custody, securities transfer, cash management, investment management and other financial and fiduciary services, and has been engaged in providing financial services, including corporate trust services, since 2000. The transaction parties may maintain commercial relationships with Computershare Trust Company and its affiliates. Computershare Trust Company maintains corporate trust offices at 9062 Old Annapolis Road, Columbia, Maryland 21045-1951 (among other locations), and its office for correspondence related to certificate transfer services is located at 1505 Energy Park Drive, St. Paul, Minnesota 55108.

On March 23, 2021, Wells Fargo Bank, N.A. ("Wells Fargo Bank") and Wells Fargo Delaware Trust Company, N.A. ("WFDTC" and collectively with Wells Fargo Bank, "Wells Fargo") entered into a definitive agreement with Computershare Trust Company, Computershare Delaware Trust Company ("CDTC") and Computershare Limited (collectively, "Computershare") to sell substantially all of its Corporate Trust Services ("CTS") business. The sale to Computershare closed on November 1, 2021, and virtually all CTS employees of Wells Fargo, along with most existing CTS systems, technology, and offices transferred to Computershare as part of the sale. On November 1, 2021, for some of the transactions in its CTS business, Wells Fargo Bank transferred its roles, and the duties, rights, and liabilities for such roles, under the relevant transaction agreements to Computershare Trust Company. For other transactions in its CTS business, Wells Fargo Bank, since November 1, 2021, has been transferring, and intends to continue to transfer such roles, duties, rights, and liabilities to Computershare Trust Company, in stages. WFDTC also intends to transfer its roles, duties, rights, and liabilities to CDTC in stages. For any transaction where the roles of Wells Fargo Bank or WFDTC, as applicable, have not already transferred to Computershare Trust Company or CDTC, Computershare Trust Company or CDTC performs all or virtually all of the obligations of Wells Fargo Bank or WFDTC, respectively, as its agent as of such date.

Computershare Trust Company, through the CTS business acquired from Wells Fargo Bank, serves or may have served within the past two years as loan file custodian or the agent of the loan file custodian for various mortgage loans owned by the Participation Certificate Seller or an affiliate of the Participation Certificate Seller and anticipates that one or more of those mortgage loans may be included in the Participation Agent. The terms of any custodial agreement under which those services are provided are customary for the mortgage-backed securitization industry and provide for the delivery, receipt, review, and safekeeping of mortgage loan files.

Computershare Trust Company, through the CTS business acquired from Wells Fargo Bank, serves or may have served within the past two years as warehouse master servicer or the agent of the warehouse master servicer for various mortgage loans owned by the Participation Certificate Seller or an affiliate of the Participation Certificate Seller and, to the extent this is the case, one or more of those mortgage loans may be included in the Participation Agent. The terms of the warehouse master servicing agreement under which any such services are provided by Computershare Trust Company are customary for the mortgage-backed securitization industry.

Computershare Trust Company will act as the Custodian of the HELOC files pursuant to the Custody Agreement. In that capacity, Computershare Trust Company is responsible to hold and safeguard the mortgage notes and other contents of the mortgage files on behalf of the Participation Agent, the related Participation Certificateholders and the Certificateholders. Computershare Trust Company maintains each HELOC file in a separate file folder marked with a unique bar code to assure loan-level file integrity and to assist in inventory management. Files are segregated by transaction or investor. With its acquisition of the CTS business from Wells Fargo Bank on November 1, 2021, Computershare Trust Company acquired a business that has been engaged in the mortgage document custody business for more than 25 years. As of December 31, 2022, Computershare Trust Company was acting in some cases as the custodian, and in most cases as agent for the Custodian, for approximately 9 million residential mortgage loan files.

Other than the above 5 paragraphs, Computershare Trust Company has not participated in the preparation of, and is not responsible for, any other information contained in this Memorandum.

AFFILIATES AND RELATED TRANSACTIONS

In this section, we describe certain affiliations and relationships between a legal entity that is a party to this securitization transaction, on the one hand, and any separate legal entity that is a material party to this securitization transaction, on the other. Each of the entities described below may have conflicts of interest that arise from circumstances other than its affiliation with another party to this securitization transaction. In this section, we do not describe all the conflicts of interest that a party to this securitization transaction may have. For additional information regarding conflicts of interest, see "*Risk Factors—Certain Conflicts and Other Risks*" in this Memorandum.

JPMCB, potentially as the initial owner of all or a portion of one or more classes of the Senior Certificates and Mezzanine Certificates, is an affiliate of (i) J.P. Morgan Mortgage Acquisition Corp., a Sponsor, the

Participation Depositor, the holder of the JPM PC and the Participation Certificate Seller, (ii) J.P. Morgan Acceptance Corporation II, the Depositor, and (iii) J.P. Morgan Securities LLC, an Initial Purchaser.

Wilmington Savings Fund Society, FSB is the Participation Registrar, Participation Owner Trustee, Securities Administrator and the Owner Trustee.

SLS is a servicer of the HELOCs and is an affiliate of Computershare Trust Company, N.A., the custodian.

In the normal course of conducting their respective businesses, the Participation Owner Trustee, Participation Registrar, Owner Trustee, Securities Administrator and Custodian, and their respective affiliates, have rendered services to, and negotiated with, numerous parties engaged in activities related to structured finance and mortgage securitization. In each case, these parties have included the Participation Depositor, the Participation Certificate Seller, the Depositor and the Initial Purchasers and may have included certain other transaction parties and any of the transaction parties' respective affiliates. These relationships are expected to continue in the future.

THE CUSTODY AGREEMENT

The following summary describes certain provisions of the Custody Agreement. This summary does not purport to be complete and is subject to, and is qualified in its entirety by reference to, the provisions of the Custody Agreement.

General

The Mortgage Documents related to the HELOCs will be held by the Custodian pursuant to the Custody Agreement. The Custodian will be obligated to perform its obligations under the Custody Agreement with respect to the HELOCs for the benefit of the Participation Agent on behalf of the related Participation Certificateholders, including the Issuing Entity, in all respects. The Custodian will be entitled to the Custodian Fee for its services under the Custody Agreement, which fee will be payable by the Participation Agent on each Participation Distribution Date in accordance with the provisions of the Master Participation Agreement.

Under the terms of the Custody Agreement, the Custodian will certify with respect to the related HELOCs that it has received the Mortgage Documents required to be delivered pursuant to the Custody Agreement. The Custodian will hold the Mortgage Documents as agent and bailee of the Participation Agent and will store the Mortgage Documents in secure and fire-resistant facilities with customary controls on access. Documents will be released by the Custodian pursuant to a request for release. The Custodian will not have any responsibility or duty with respect to any Mortgage Document while not in its possession.

The Custodian will have no duties or obligations other than those specifically set forth in the Custody Agreement, and the Custodian will not be responsible for the content or accuracy of any document provided to the Custodian under the Custody Agreement. In performing its duties under the Custody Agreement, the Custodian will use the same degree of care and skill as is reasonably expected of financial institutions acting in a comparable capacity. The Custodian will be able to rely on and will be protected in acting upon the written instructions of the Participation Agent or its designee, including each applicable Servicer and the Participation Owner Trustee and its agents and designees. The Custodian will be able to request and rely on and will be protected in acting upon any certificate, instrument, opinion, notice, letter, telegram, facsimile or other document delivered to it in accordance with the Custody Agreement or the other transaction documents and in good faith believed by it to be genuine and to have been signed by the proper party or parties. The Custodian will not make any representations and will not have any responsibilities (except as expressly set forth in the Custody Agreement) with respect to the validity, sufficiency, value, perfectibility, genuineness, ownership or transferability of the HELOCs, and will not be deemed to make and will not make any representation as to the validity, sufficiency, value, perfectibility, genuineness, ownership or transferability of the HELOCs. In the performance of any of its duties under the Custody Agreement, the Custodian will not be required to expend or risk its own funds or otherwise incur any financial liability if it will have reasonable grounds for believing that repayment of such funds or indemnity satisfactory to it against such risk of liability is not assured to it.

Resignation and Removal of the Custodian

The Custodian may resign from all of its obligations and duties under the Custody Agreement upon 60 days' prior written notice to the Participation Agent. Upon the resignation or termination of the Custodian, the Participation Agent will either (i) take custody of the Mortgage Documents or (ii) with the consent of the Retaining Sponsor, appoint a successor custodian. Any resignation or removal of the Custodian and appointment of a successor custodian will become effective upon acceptance of appointment by the successor custodian. If the Participation Agent does not take custody of the Mortgage Documents and no successor custodian is appointed and accepts appointment within 60 days after the giving of notice of resignation by the Custodian, the resigning Custodian may petition any court of competent jurisdiction for the appointment of a successor custodian and the costs of such petition (including, without limitation, attorney's fees and expenses) will be an expense of the Participation Agent. Upon such resignation, the Custodian will promptly transfer to the Participation Agent or the successor custodian, as directed in writing by the Participation Agent or its designee, all Mortgage Documents being administered under the Custody Agreement. The resigning Custodian will be responsible for the costs of so delivering the Mortgage Documents, unless the resignation of the Custodian is due in any part to non-payment of the Custodian's fees and expenses, in which case the Participation Agent will be responsible for the cost of delivering the Mortgage Documents.

The Participation Agent, with the consent of the Retaining Sponsor, may remove the Custodian upon 30 days' prior written notice. In such event, the Participation Agent, with the consent of the Retaining Sponsor (and any Other Retaining Sponsor), will appoint a successor custodian, and will be responsible for the cost of delivering the Mortgage Documents to the successor custodian. If the Participation Agent has not taken custody of the Mortgage Documents and no successor Custodian has been appointed and has accepted appointment within 30 days after the giving of such notice of removal, the removed Custodian may petition any court of competent jurisdiction for the appointment of a successor Custodian and the costs of such petition (including, without limitation, attorney's fees and expenses) will be an expense of the Participation Agent. Any request for the consent of a Retaining Sponsor pursuant to the above will not be unreasonably withheld and will be provided to the Participation Agent within five (5) Business Days of the request for such consent. To the extent such consent is not provided within five (5) Business Days, the related Retaining Sponsor will be deemed to have provided its consent.

Any resignation or removal of the Custodian and appointment of a successor custodian will become effective upon acceptance of appointment by the successor custodian. No successor custodian may be appointed by the Participation Agent without the prior approval of the Participation Depositor and the Retaining Sponsor (and any Other Retaining Sponsor). Any request for the consent of the Retaining Sponsor (and any Other Retaining Sponsor) pursuant to the above will not be unreasonably withheld and will be provided to the Participation Depositor within five (5) Business Days of the request for such consent. To the extent such consent is not provided within five (5) Business Days, the Retaining Sponsor (and the related retaining sponsor in any other securitization transaction related to the HELOCs) will be deemed to have provided its consent.

Limitation of Liability; Indemnification

Neither the Custodian nor any parent, affiliates, subsidiaries, directors, officers, agents or employees of the Custodian will have any liability arising from or related to the Custody Agreement or any related document or agreement, except for liability resulting from the gross negligence, bad faith or willful misconduct of the Custodian or such party, respectively (as determined by a court of competent jurisdiction pursuant to a verdict not subject to appeal). In no event will the Custodian or its directors, officers, agents and employees be liable for any special, indirect, punitive or consequential damages (including without limitation any lost profits) from any action taken or omitted to be taken by it or them under the Custody Agreement or in connection therewith even if advised of the possibility of such damages. In addition, the Custodian will not be responsible for the acts or omissions of the Participation Agent, or for any breach of the Custody Agreement by the Participation Agent, or for any action, inaction, misconduct or negligence of any agent appointed by the Custodian with due care; provided, however, that any such appointment will not relieve the Custodian from the performance of its duties under the Custody Agreement.

The Participation Agent agrees to indemnify and hold harmless the Custodian and any parent, affiliates, subsidiaries, directors, officers, agents and employees of the Custodian against any and all claims, liabilities, obligations, losses, damages, penalties, actions, judgments, suits, costs, expenses or disbursements, including without limitation reasonable attorneys' fees and disbursements and any extraordinary or unanticipated expense, that may be imposed on, incurred by or asserted against it or them in any way relating to or arising out of (a) the performance of any or all of its or their duties or responsibilities or the exercise or lack of exercise of any or all of its or their powers, rights and privileges under the Custody Agreement, (b) investigating, preparing for, defending itself or themselves against or prosecuting for itself or for the sake of the Participation Agent any dispute or legal proceeding, whether pending or threatened, that is related to the Participation Agent or the Custody Agreement and (c) pursuing enforcement (including without limitation by means of any action, claim or suit brought by the Custodian for such purpose) of any indemnification or other obligation of the Participation Agent (the indemnification afforded under this clause (c) to include, without limitation, any legal fees, costs and expenses incurred by the Custodian in connection therewith), except to the extent such claims, liabilities, obligations, losses, damages, penalties, actions, judgments, suits, costs, expenses or disbursements were imposed on, incurred by or asserted against the Custodian or any parent, affiliate, subsidiary, director, officer, agent or employee of the Custodian as a result of the breach by the Custodian of its obligations under the Custody Agreement, which breach was caused by gross negligence, bad faith or willful misconduct on the part of the Custodian (any allegation of such to be determined by a court of competent jurisdiction pursuant to a verdict not subject to appeal).

No Certificateholder will have any rights under the Custody Agreement.

Amendment

The Custody Agreement may be amended from time to time by the Participation Agent and the Custodian (with the consent of the Participation Depositor and the Retaining Sponsor (and any Other Retaining Sponsor with respect to which the related securitization holds an interest in a home equity line of credit held by the Custodian)) without the consent of any of the Participation Certificateholders: (i) to cure any ambiguity or mistake, (ii) to correct or supplement any provisions of the Custody Agreement which may be inconsistent with any other provisions of the Custody Agreement, any amendment to the Custody Agreement or the Master Participation Agreement, (iii) to conform the Custody Agreement to this Memorandum as provided to investors in connection with the initial offering of the Certificates, (iv) to add to the duties of the Custodian, (v) to modify, alter, amend, add to or rescind any of the terms or provisions contained in the Custody Agreement to comply with any rules or regulations promulgated by the SEC from time to time, (vi) to add to, to delete or to modify any provisions for the purpose of complying with or facilitating compliance with applicable disclosure laws, (vii) to add, delete, or amend any provisions to the extent necessary or desirable to comply with any requirements imposed by the Code, (viii) to add any other provisions with respect to matters or questions arising under the Custody Agreement, and (ix) to modify, alter, amend, add to or rescind any of the terms or provisions contained in the Custody Agreement; provided that no such amendment pursuant to clauses (viii) and (ix) will adversely affect in any material respect the interests of the Participation Agent including the related Participation Certificateholders, as evidenced by (A) an opinion of counsel to such effect which may rely on an officer's certificate to such effect or (B) satisfaction of the Rating Agency Condition in connection with such amendment. No later than ten (10) Business Days prior to any amendment of the Custody Agreement, written notice of any such amendment will be provided to the Participation Certificateholders (which notification with respect to the 23-HE1 PC will be made to the Securities Administrator to post such information to the Securities Administrator's website). All expenses of the Participation Owner Trustee and the Custodian incurred in connection with any amendment to the Custody Agreement (including without limitation reasonable attorneys' fees) will be paid by the party requesting such amendment or, if such amendment is initiated by the Participation Agent Owner Trustee or the Custodian, will be paid as a Participation Trust Expense. Any request for the consent of a retaining sponsor pursuant to this Section shall not be unreasonably withheld and will be provided to the Participation Agent within five (5) Business Days of the request for such consent. To the extent such consent is not provided within five (5) Business Days, the related retaining sponsor will be deemed to have provided its consent.

Any request for the consent of the Retaining Sponsor (and any Other Retaining Sponsor) pursuant to the above will not be unreasonably withheld and will be provided to the Participation Depositor within five (5) Business Days of the request for such consent. To the extent such consent is not provided within five (5) Business Days, the Retaining Sponsor (and the related retaining sponsor in any other securitization transaction related to the home equity lines of credit held by the Custodian) will be deemed to have provided its consent.

THE SERVICERS

Specialized Loan Servicing LLC ("SLS") will service HELOCs related to approximately 60.53% of the Mortgage Loans on behalf of the Participation Agent for the benefit of the Issuing Entity. loanDepot will own the mortgage servicing rights for HELOCs related to approximately 39.47% of the Mortgage Loans, and will service such Mortgage Loans on behalf of the Participation Agent for the benefit of the Issuing Entity. loanDepot and SLS are referred to in this Memorandum as the "servicers." Unless otherwise noted, percentages presented in this paragraph are by aggregate Unpaid Principal Balance of the Mortgage Loans as of the Cut-off Date.

SLS will be obligated to service the HELOCs serviced by it pursuant to a servicing agreement between SLS and the Participation Agent. loanDepot will be obligated to service the HELOCs serviced by it pursuant to an existing servicing agreement between loanDepot and JPMMAC, as modified by an assignment agreement, among loanDepot, JPMMAC and the Participation Agent, on behalf of the related Participation Certificateholders from time to time party to a Participation Supplement. The aforementioned servicing agreements are collectively referred to herein as the "Servicing Agreements."

Each Servicer will initially have primary responsibility for servicing the HELOCs serviced by it, directly or through subservicers, including, but not limited to, all collection, loan-level reporting obligations, maintenance of Escrow Accounts, maintenance of insurance and enforcement of foreclosure proceedings with respect to the HELOCs and related Mortgaged Properties.

With respect to any historical performance information provided in this, or any other, section of this Memorandum, investors should note that there is no assurance that the HELOCs will perform in a manner consistent with such historical performance information.

The information set forth in this section under "*—loanDepot*," and "*—SLS*" has been provided by loanDepot or SLS, respectively, and has not been verified by the Participation Certificate Seller, the Depositor or any Initial Purchaser.

loanDepot

General

loanDepot has been servicing mortgage loans since 2012. loanDepot is an approved servicer in good standing with Ginnie Mae, Fannie Mae, Freddie Mac, the Federal Housing Administration, and the Veterans Administration. However, until February 2021, loanDepot primarily serviced its mortgage loan portfolio using a subservicer. loanDepot did not commence directly servicing GNMA, FHA, USDA and VA loans until December 2021 and did not commence directly servicing any securitization transactions until March 2022. As such, loanDepot has limited experience servicing securitization transactions without the use of a subservicer. As of March 31, 2023, loanDepot directly serviced 482,258 loans with an aggregate principal balance of approximately $143,495,000, consisting primarily of conventional loans, in all 50 states and the District of Columbia. loanDepot did not commence originating or servicing second lien home equity lines of credit until November of 2022 and this will be the first securitization of home equity lines of credit for which loanDepot is a servicer; as such, loanDepot has limited historical home equity line of credit servicing data available. As of March 31, 2023, loanDepot was servicing 964 home equity lines of credit. See "*Description of the Underwriting Guidelines—loanDepot*" in this Memorandum for additional background information.

Servicing Practices

loanDepot's home equity line of credit servicing practices include collecting and remitting loan payments, monitoring and managing additional draw requests by mortgagors, contacting delinquent mortgagors, loss mitigation, supervising foreclosures in the event of non-remedied defaults, bankruptcy administration, REO asset management and generally administering the home equity lines of credit. Its servicing practices comply with applicable agency and legal and regulatory requirements. loanDepot utilizes a mortgage-servicing technology platform widely used within the residential mortgage servicing industry.

loanDepot's loan servicing system maintains various types of information about its home equity line of credit portfolio and such information is regularly updated as part of the servicing activities. On a daily basis, loanDepot monitors its home equity line of credit portfolio for information such as available balance, including additional draws made by a borrower, and loan status.

Policies and Procedures

loanDepot follows applicable laws and regulations and satisfies investor requirements for the servicing and delinquency management of its home equity lines of credit. loanDepot follows Fannie Mae guidelines in the absence of other agreed upon guidelines for all home equity line of credit servicing and collection practices. loanDepot updates its servicing policies, procedures and operations from time to time to improve servicing processes and customer service, to increase efficiencies, to enhance compliance procedures, including compliance with new and changing federal and state laws and regulations, and to respond to changes in its servicing portfolio and changes in industry standards and investor requirements.

loanDepot will generate delinquency reports after each month-end for management review and will supply them to the master servicer, if applicable, and other appropriate parties. loanDepot monitors loans that are delinquent or in default and, when appropriate, conducts loss mitigation activities. loanDepot has a dedicated loss mitigation department that receives case referrals from its collection, foreclosure and bankruptcy departments, as well as from the loss mitigation department's own contact efforts. Home equity lines of credit will be reviewed for investor eligible loss mitigation options and borrower circumstances, which can include a promise to pay, forbearance, modification or short sale. loanDepot will opt for any one or more of these mitigation options depending on various factors.

If a determination is made to commence a foreclosure action, the foreclosure case is assigned to outside counsel for appropriate action, and a foreclosure associate is assigned to monitor the case. If a borrower files bankruptcy, the bankruptcy case is referred to a bankruptcy associate for monitoring and, as appropriate, to outside bankruptcy counsel.

Delinquency Experience

The table below sets forth certain historical delinquency, bankruptcy and foreclosure information for loanDepot's servicing portfolio. No assurance can be given that the delinquency, bankruptcy and foreclosure experience of the loanDepot HELOCs will be similar to the mortgage loan delinquency, bankruptcy and foreclosure experience described in the table below for loanDepot, particularly in light of the fact that as of March 31, 2023, loanDepot was only servicing 964 home equity lines of credit, six (6) of which were delinquent.

	As of March 31, 2023	
	Number of Loans	Principal Balance ($mm)
Total Portfolio	482,258	$143,495
Total Delinquencies[(1)]	12,015	$3,083
Delinquency %	*2.49%*	*2.14%*
Serious Delinquencies[(1)(2)]	4,958	$1,296
Serious Delinquency %	*1.02%*	*0.90%*
Bankruptcy[(3)]	313	$64
Bankruptcy %	*0.06%*	*0.04%*
Foreclosure[(4)]	1,303	$300
Foreclosure %	*0.27%*	*0.21%*

(1) Past due loans are reported following the Mortgage Bankers Association (MBA) convention that a loan is "past due" when a scheduled payment is unpaid for 30 days or more. Mortgage loans in forbearance related to the COVID-19 pandemic are reflected in the applicable delinquency buckets.
(2) Serious Delinquencies represent mortgage loans which are greater than 90-days past-due. Serious Delinquencies are also included in Total Delinquencies.
(3) Includes all mortgage loans for which the mortgagee is in legal bankruptcy irrespective of the MBA delinquency status of the mortgage loan.
(4) Included in foreclosure are mortgage loans considered REO that are owned by third parties or are in the process of conveyance to GSEs, FHA or VA.

SLS

The information provided in this section, "*The Servicers – SLS,*" has been prepared by SLS solely as of the date of this Memorandum. Other than as set forth in this Subsection, SLS makes no representations or warranties as to the accuracy or completeness of the information contained in this Memorandum and SLS assumes no obligation or responsibility for the information contained in this Memorandum.

SLS, a Delaware limited liability company with operations in Colorado, Arizona and Florida, is primarily engaged in the business of servicing residential mortgage loans. SLS was formed in 2002 and began servicing residential mortgage loans in 2003. SLS is an indirect subsidiary of Computershare Ltd., an Australian corporation specializing in the provision of financial administration services and SLS is an affiliate of Computershare Trust Company, N.A. Computershare is a global leader in transfer agency, employee equity plans, mortgage servicing, proxy solicitation, stakeholder communications, and other diversified financial and governance services, and is traded on the Australian securities exchange under the symbol "CPU." SLS is part of Computershare's Loan Services group, which provides mortgage operations support for originators and loan owners, from origination and fulfillment through secondary marketing, servicing to retention.

As of March 31, 2023, SLS serviced or subserviced approximately 759,037 mortgage loans with an aggregate unpaid principal balance of approximately $142.0 billion consisting of prime, subprime, fixed rate, ARM, second lien, home equity line of credit and other loan types. For each of the years ending December 31, 2022, December 31, 2021 and December 31, 2020, the total unpaid principal balance of mortgage loans serviced or subserviced by SLS was approximately $143.9 billion, $113.4 billion and $116.0 billion, respectively.

SLS has a servicer rating from (i) Fitch Ratings of "RPS 2+" for prime, HELOC, second lien loans, subprime and Alt-A loans and "RSS 2+" for special servicing; (ii) S&P Global Ratings of "Strong" for prime, subprime, second lien, and special servicing; and (iii) Moody's of "SQ 2-" for special servicing and "SQ 2" for subprime and second lien loans. Additionally, SLS is an approved servicer for Fannie Mae, Freddie Mac and Ginnie Mae.

Servicing Policies and Procedures

SLS has established policies for the servicing of mortgage loans that allow SLS, consistent with the applicable servicing agreements and applicable law, to follow customary mortgage loan collection procedures in applicable jurisdictions. These policies cover all aspects of the servicing operation, including servicing transfers, collecting, aggregating and remitting borrower payments, processing borrower draw requests (for mortgage loans with open credit), reporting, responding to borrower inquiries, managing delinquent and defaulted mortgage loans, including monitoring, loss mitigation, or foreclosing on defaulted mortgage loans, and liquidating mortgaged properties. SLS also has policies in place covering the protection of confidential borrower information, and vendor oversight. SLS reviews and updates its policies from time to time to comply with changes in applicable law and regulatory guidance, including those promulgated by applicable federal and state regulatory and oversight authorities.

In connection with a servicing transfer or the funding of a mortgage loan, various types of loan information are loaded into SLS' loan servicing system, as provided by the prior servicer or the owner.

Management of Open-End Credit

With respect to mortgage loans with open-end credit, SLS allows customers with available credit to draw from their HELOC lines via check, ACH, wire and access card. SLS performs daily monitoring of the available balance and loan status to appropriately manage the lines. SLS will apply a temporary freeze to the HELOC line under appropriate circumstances, including delinquency, reported fraud, insufficient FICO score, and a permanent freeze when, for example, the draw period has ended, the account is in foreclosure, charge off, bankruptcy, among other reasons. SLS reviews eligibility criteria from time-to-time and if appropriate, updates such criteria. SLS monitors the ongoing performance of such loans and provides information on borrower's statements with respect to open-end credit as required under applicable law.

Performance Monitoring; Loss Mitigation

SLS monitors the ongoing performance of the mortgage loans it services and actively manages collection activities relating to delinquent mortgage loans. If a mortgage loan defaults, SLS takes action consistent with the applicable servicing agreements and applicable law. SLS maintains procedures designed to identify defaults by borrowers sufficiently in time to offer reasonable loss mitigation alternatives where practicable and permissible under the applicable servicing agreement. SLS cannot make assurances, however, that borrowers will qualify for loss mitigation alternatives or that such alternatives will be successful.

SLS evaluates and implements a variety of loss mitigation and liquidation strategies with respect to defaulted loans. To facilitate this, SLS uses proprietary technology, analytics and models to determine appropriate resolution strategies and create valuation assessments on every target asset. SLS reviews its loss mitigation and liquidation strategies from time to time and may, over the course of servicing a mortgage loan, change them.

SLS trains its staff to handle customer inquiries regarding loss mitigation strategies. Mortgage loans can generally only be eligible for modification if SLS determines that a modification would comply with the applicable servicing agreement and applicable law. For defaulted mortgage loans that do not qualify for a modification, subject to the applicable servicing agreement and applicable law, SLS will determine the appropriate liquidation strategies. These include short sales, short settlements, sales of mortgage loans, deed-in-lieu transactions and, if the borrower is unresponsive, foreclosure.

Where foreclosure is appropriate, non-judicial and judicial liquidations are overseen by SLS. Foreclosure cases are assigned to outside counsel whose timeliness, accuracy and compliance are monitored by SLS staff. Bankruptcies filed by borrowers are also assigned to counsel. The status of foreclosures and bankruptcies is monitored by SLS.

SLS outsources certain servicing functions (such as tax and insurance payment processing and property preservation activities) to approved vendors. These vendors are subject to SLS' due diligence and oversight via vendor management and/or audit processes.

In servicing second lien mortgage loans that have defaulted or are severely delinquent, SLS will typically charge off a loan when it has reached a specified number of days delinquent consistent with investor guidelines. When a loan meets the charge-off designation, SLS will refer the loan to the recovery team. At that point, the loan continues to be monitored from a lien perspective through automated technology. If the loan is at risk due to a potential senior lien foreclosure, a bid review process is completed to determine if a bid at sale is warranted or alternatively to monitor for excess proceeds. While the loan remains secured, SLS monitors the equity in the property by obtaining periodic senior lien and property valuation updates. If there is sufficient equity, SLS may determine to pursue foreclosure from the second position. In such a case, SLS will follow its standard practices for foreclosure referral consistent with applicable law, including a statute of limitations evaluation prior to breaching the loan. SLS provides alternatives to foreclosure to borrowers for both retention and liquidation efforts which include modification waterfalls and liquidation evaluations in alignment with its delegated authority. When a loan becomes unsecured and no excess proceeds are available, the loan will be evaluated periodically for statute of limitations applicable to pursuit of the note and SLS will conduct continued collection efforts until the related statute of limitations has run its course at which time the loan will be reviewed for write-off.

COVID-19

SLS is fully operational. As a result of the pandemic, SLS implemented certain measures in accordance with its business continuity plans and its operational effectiveness has not been reduced or impaired. SLS' offices in Greenwood Village, Colorado and Tempe, Arizona, remain open for business for certain essential functions. In the early part of the Covid-19 pandemic, SLS experienced an increase in inquiries from customers requesting relief pursuant to government or agency programs which inquiries have since leveled off. The customer's ability to self-resolve delinquency post-forbearance has reduced the population seeking assistance; however, SLS maintains staffing levels to ensure it is able to provide assistance when requested. SLS implemented a number of operational initiatives intended to limit or prevent disruption in services. These initiatives account for moving certain functions into a remote work environment, as well as tailored on-line and interactive voice response (IVR) support to increase self-service options. Despite the challenges that resulted from the pandemic, SLS believes it adequately overcame those challenges and that it has sufficient financial strength and liquidity to perform its obligations under the servicing agreement.

Legal and Regulatory Proceedings

SLS is subject to civil legal proceedings in the ordinary course of its business. However, as of the date of this Memorandum, none of the current pending or threatened civil legal actions are expected to have a material adverse effect on its financial condition or its ability to perform as a Servicer under the related Servicing Agreement.

SLS is examined or reviewed from time to time by federal and state governmental authorities and regulators. As of the date of this Memorandum, none of the findings of these examinations or reviews, individually or in the aggregate, is material to the financial condition of SLS, its ability to service the HELOCs, or to otherwise perform its obligations under the related Servicing Agreement.

On May 11, 2020, SLS agreed to a settlement with the CFPB related to SLS' implementation of the 2014 final Servicing Rules which amended the Real Estate Settlement Procedures Act and its implementing regulation, Regulation X. While SLS believes its original approach was reasonable, SLS determined to resolve the matter by entering into the settlement. SLS does not believe there will be any adverse impact on its financial condition or its ability to service the HELOCs as a result of the settlement.

Delinquency and Foreclosure Experience

Set forth below is certain performance information with respect to SLS' aggregate mortgage loan serviced portfolio, at the end of the indicated periods. SLS' serviced portfolio may differ significantly from the HELOCs related to the Mortgage Loans in the Mortgage Pool in terms of origination and underwriting criteria, program and product type, mortgage interest rates, unpaid principal balances, geographic distribution, types of properties, prior servicer performance, current status, delinquency history and other possibly relevant characteristics. There can be no assurance, and no representation is made, that the delinquency and foreclosure experience with respect to the HELOCs will be similar to that set forth below, nor is any representation made as to the rate at which losses may be experienced on liquidations of the HELOCs. In addition, the information shown below represents the performance experience for SLS' mortgage loan serviced portfolio only for the periods presented.

SLS Servicing Performance – All Loans

	At December 31,			At March 31,
	2020	2021	2022	2023
Current				

Principal Balance	$99,591,885,642	$103,061,583,846	$134,919,570,822	$133,534,549,223
Percentage[2]	85.84%	90.92%	93.79%	94.00%
Delinquent (1)				
30-59 Days				
Principal Balance	$2,982,959,971	$2,357,494,839	$2,960,481,160	$2,436,001,687
Delinquency Percentage	2.57%	2.08%	2.06%	1.71%
60-89 Days				
Principal Balance	$1,284,581,211	$772,909,886	$957,400,355	$861,964,126
Delinquency Percentage	1.11%	0.68%	.67%	0.61%
90+ Days				
Principal Balance	$8,381,689,504	$4,357,970,049	$1,845,376,483	$2,070,832,604
Delinquency Percentage	7.22%	3.84%	1.28%	1.46%
Bankruptcies[3]				
Principal Balance	$1,051,706,077	$807,398,992	$740,883,416	$762,075,741
Delinquency Percentage	0.91%	0.71%	.52%	0.54%
Foreclosure				
Principal Balance	$2,525,293,380	$1,851,132,424	$2,247,893,027	$2,192,678,363
Delinquency Percentage	2.18%	1.63%	1.56%	1.54%

Real Estate Owned				
Principal Balance	$196,626,502	$151,353,940	$184,476,693	$197,194,620
Delinquency Percentage	0.17%	0.13%	.13%	0.14%
Total Delinquent including REO (4)	$16,422,856,645	$10,298,260,131	$8,936,511,134	$8,520,747,141
Total Principal Balance	$116,014,742,288	$113,359,843,977	$143,856,081,957	$142,055,296,364

(1) Based on the MBA method.

(2) Calculated as a percentage of the total serviced portfolio.

(3) Defined as loans held by a borrower who has declared bankruptcy and is 30 or more days contractually delinquent.

(4) Defined as loans that are 30 or more days delinquent, foreclosed, REO, or held by a borrower who has declared bankruptcy and is 30 or more days contractually delinquent.

SLS Servicing Performance – Open End Credit Only

	At December 31,			At March 31,
	2020	2021	2022	2023
Current				
Principal Balance	$ 1,912,984,917	$ 1,899,749,290	$ 2,984,763,489	$3,113,414,651
Percentage(2)	78.05%	80.91%	88.89%	88.60%
Delinquent(1)				
30-59 Days				
Principal Balance	$ 54,457,811	$ 61,882,984	$ 59,937,018	$64,426,488
Delinquency Percentage	2.22%	2.64%	1.79%	1.83%
60-89 Days				

Principal Balance	$ 18,783,948	$ 27,441,147	$ 21,231,702	$22,294,870
Delinquency Percentage	0.77%	1.17%	0.63%	0.63%
90+ Days				
Principal Balance	$ 304,721,483	$ 230,696,901	$ 130,110,034	$152,451,532
Delinquency Percentage	12.43%	9.82%	3.87%	4.34%
Bankruptcies[3]				
Principal Balance	$ 41,926,412	$ 30,504,185	$ 33,643,586	$37,274,770
Delinquency Percentage	1.71%	1.30%	1.00%	1.06%
Foreclosure				
Principal Balance	$ 116,125,196	$ 95,741,673	$ 125,897,643	$121,368,667
Delinquency Percentage	4.74%	4.08%	3.75%	3.45%
Real Estate Owned				
Principal Balance	$ 1,974,818	$ 2,103,437	$ 2,219,009	$2,626,188
Delinquency Percentage	0.08%	0.09%	0.07%	0.07%
Total Delinquent including real estate owned[4]	$ 537,989,668	$ 448,370,328	$ 373,038,991	$400,442,516
Total Principal Balance	$ 2,450,974,585	$ 2,348,119,618	$ 3,357,802,480	$3,513,857,167

(1) Based on the MBA method.

(2) Calculated as a percentage of the total serviced portfolio.

(3) Defined as loans held by a borrower who has declared bankruptcy and is 30 or more days contractually delinquent.

(4) Defined as loans that are 30 or more days delinquent, foreclosed, REO, or held by a borrower who has declared bankruptcy and is 30 or more days contractually delinquent.

SERVICING OF THE HELOCS

The following summaries describe certain provisions of the Servicing Agreements. These summaries do not purport to be complete and are subject to, and are qualified in their entirety by reference to, the provisions of the applicable Servicing Agreement.

General

Servicing and Collection Procedures

Each Servicing Agreement is entered into by the related Servicer, J.P. Morgan Mortgage Acquisition Corp. and the Participation Agent on behalf of the related Participation Certificateholders, including the Issuing Entity. On the Closing Date, the parties to each Servicing Agreement will sign a joinder to such Servicing Agreement joining the Issuing Entity as a Participation Certificateholder to such Servicing Agreement. Servicing functions to be performed by the Servicers under the related Servicing Agreement include collection and remittance of principal and interest payments, administration of any mortgage escrow accounts, collection of certain insurance claims, funding Additional Draws on behalf of the Participation Agent, determining whether a credit line should be suspended, charging off HELOCs in accordance with the provisions of the related Servicing Agreement, and, if necessary, foreclosure. Each Servicer may contract with subservicers to perform some or all of such Servicer's servicing duties, but such Servicer will not thereby be released from its obligations under the related Servicing Agreement. The Participation Agent will have no rights or remedies under any subservicing agreement between the related Servicer and the related subservicer, and the related subservicer will only have contractual obligations to the related Servicer under the related subservicing agreement, and such subservicer will have no contractual obligations to any of the Participation Agent, the Issuing Entity, the Participation Owner Trustee, the Participation Registrar, the Securities Administrator, the Participation Certificate Seller or the Depositor. When used herein with respect to servicing obligations, the term Servicer includes a subservicer.

Additional Draws

Each Servicer will establish or cause to be established a HELOC Reserve Account separate and apart from its own funds, for the purposes of facilitating the funding of draws, into which J.P. Morgan Mortgage Acquisition Corp., as Participation Depositor under the Master Participation Agreement, will deposit funds as provided in the Servicing Agreements. Each Servicer will process the funding of Additional Draw requests from Borrowers on a daily basis in accordance with the terms of the related Line of Credit Agreement. Each Servicer will fund any such requests by utilizing amounts on deposit in the HELOC Reserve Account for such purpose. To the extent there are insufficient funds in the HELOC Reserve Account to satisfy anticipated draws, such Servicer will notify JPMMAC and the Participation Agent in writing and JPMMAC will be required to remit to such Servicer an amount necessary to satisfy such anticipated draws within two (2) Business Days. In no event will any Servicer have an obligation to fund any draws from its own funds; provided that it will be entitled to do so (itself or through one or more affiliates) in its sole discretion; provided, that if any such funding occurs, such Servicer will be entitled to reimbursement therefore out of funds held in the HELOC Reserve Account or remitted by JPMMAC within two (2) Business Days upon written notice. On each Business Day, the Servicer will send the Participation Agent, the Participation Registrar and JPMMAC a report setting forth the Additional Draws that it funded on the prior Business Day.

The Servicer will advance all Additional Draw requests from a Borrower as described above, except in the following circumstances (unless otherwise required to make such advances under applicable law or the related Line of Credit Agreement):

(a) the available credit under the HELOC is less than the amount of the Additional Draw request;

(b) any payment due under the terms of the related Line of Credit Agreement is delinquent;

(c) foreclosure proceedings have commenced on the Mortgaged Property;

(d) the Borrower is in bankruptcy;

(e) the available credit needed to wire transfer funds is based on a principal payment to the HELOC that has not yet cleared;

(f) the Borrower's right to loan advances under such HELOC Loan has been previously suspended and not reinstated; or

(g) other reasons set forth in the related Servicing Agreement or otherwise deemed appropriate by the Servicer in accordance with accepted servicing practices for refusal to cause the release of such Additional Draw.

The Servicers will not approve any request for a credit line increase and will respond to any such request in a timely manner. From time to time, in accordance with customary servicing procedures and the terms of the related HELOC, a Servicer will be entitled to accept or enforce a credit line decrease, suspension, removal of suspension, or termination of future Additional Draws. loanDepot will not be liable to the Participation Agent for any actions taken or not taken with respect to credit line decreases, suspensions, removals of suspension, or terminations of future draws made in accordance with customary servicing practices and applicable law. The Servicers will provide services with respect to suspending temporarily a Borrower's right to Additional Draws in connection with a HELOC pursuant to Regulation Z, 12 CFR § 226.5b(f)(3) and accepted servicing practices.

Accounts

Pursuant to the related Servicing Agreement, each Servicer will deposit collections on the HELOCs and other home equity lines of credit owned by the Participation Agent that are serviced by it into the Custodial Account established by it no later than two Business Days after receipt thereof. Each Custodial Account is required to be kept segregated from operating accounts of the related Servicer and to meet the eligibility criteria set forth in the related Servicing Agreement. Amounts on deposit in the SLS Custodial Account may not be invested, but may be deposited in an interest bearing Custodial Account. Amounts on deposit in the loanDepot Custodial Account may be invested in certain permitted investments described in the related Servicing Agreement. Any losses resulting from such investments are required to be reimbursed to the loanDepot Custodial Account by loanDepot out of its own funds.

On or before the Closing Date, the Participation Registrar will establish the Participation Account into which each Servicer will remit all amounts required to be deposited therein pursuant to the related Servicing Agreement on each Servicer Remittance Date.

On or before the Closing Date, the Securities Administrator will establish the Distribution Account into which the Participation Registrar will remit all amounts required to be deposited therein pursuant to the Master Participation Agreement on each Participation Distribution Date.

The following table sets forth certain information with respect to the accounts related to the HELOCs.

Account	Responsible Party	Party Entitled to Investment Income
Custodial Accounts	Each Servicer will be responsible for maintaining the related Custodial Account.	Each Servicer will be entitled to any investment income and/or interest earned on amounts on deposit in its Custodial Account.
Escrow Accounts	Each Servicer will be responsible for maintaining the related Escrow Account, if applicable.	The related Borrower will be entitled to any interest paid on the funds deposited in an Escrow Account to the extent required by law and, to the extent such amounts are not required

		to be paid to the related Borrower, such amounts will be paid to the related Servicer.
Participation Account	The Participation Registrar will be responsible for maintaining the Participation Account.	Amounts on deposit in the Participation Account will remain uninvested.
Distribution Account	The Securities Administrator will be responsible for maintaining the Distribution Account.	Amounts on deposit in the Distribution Account will remain uninvested.

Flow of Funds

The following table sets forth the flow of funds from collections of payments on the HELOCs, the deposit of such funds into the accounts and the payment of the related portion of such funds to the Certificateholders.

Period/Event	Dates	Flow of Funds
Monthly Period	With respect to each Participation Distribution Date, the period beginning on the first day of the calendar month preceding the calendar month of such Participation Distribution Date, and ending on the last day of the calendar month preceding the calendar month of such Participation Distribution Date.	Each Servicer is required to hold in the related Custodial Account all installments of interest and principal collected on the HELOCs and other home equity lines of credit owned by the Participation Agent that are serviced by it.
Servicer Remittance Date	Generally, the 10th day of each calendar month (or, if the 10th day is not a Business Day under the related Servicing Agreement, the immediately preceding Business Day).	On the Servicer Remittance Date, each Servicer will be obligated to remit to the Participation Account any Monthly Payments on the related HELOCs and other home equity lines of credit owned by the Participation Agent received during the related Monthly Period (net of such Servicer's servicing compensation, reimbursement for Servicing Advances and certain other amounts as described in the related Servicing Agreement received with respect to the related HELOC).
Participation Distribution Date	Commencing in July 2023, the Distribution Date will be the 20th day of each month or, if such day is not a Business Day, the next Business Day thereafter.	On each Participation Distribution Date, the Participation Registrar will withdraw funds on deposit in the Participation Account and distribute the Issuing Entity's share of the PC Interest Remittance Amount and the PC Principal Remittance Amount to the Distribution Account for the benefit of the 23-HE1 PC in accordance with the priority of distributions set forth in the Master Participation Agreement and described in this Memorandum. Such amount will be net of certain fees owed to the related Servicer and other transaction parties that have been allocated to the 23-HE1 PC in accordance with the Master Participation Agreement.

Distribution Date	Commencing in July 2023, the Distribution Date will be the 20th day of each month or, if such day is not a Business Day, the next Business Day thereafter.	On each Distribution Date, the Securities Administrator will withdraw funds on deposit in the Distribution Account and distribute the Interest Remittance Amount and the Principal Remittance Amount to Certificateholders in accordance with the priority of distributions set forth in the Securitization Sale Agreement and described in this Memorandum. Such distribution will be net of certain fees owed to the transactions parties.

Advances

Neither any Servicer nor any other party participating in this transaction will be obligated to make any monthly advances of principal or interest due in respect of any HELOC.

The Servicers generally will be obligated to make advances in respect of certain taxes and insurance premiums, as required, and the cost of the preservation, restoration and protection of the Mortgaged Properties and any enforcement or judicial proceedings, including foreclosures (such advances, along with any other amounts identified as servicing advances under the Servicing Agreements, collectively, "Servicing Advances"). Funds so advanced are reimbursable out of amounts on deposit in the related Custodial Account and the related Escrow Account, as applicable, with respect to the related HELOC, as well as from recoveries on the related HELOC prior to the related Servicer remitting such amounts to the Participation Account to the extent described in the applicable Servicing Agreement (unless the related HELOC is subject to repurchase by the related Servicer, as originator of the Mortgage Loan, in which case, such Servicer's right to reimbursement will be subsequent to the right of the Participation Agent to receive the related Repurchase Price and all other amounts required to be paid to the Participation Agent with respect to such Mortgage Loan). To the extent proceeds from the related HELOC are insufficient or if a Servicer makes Servicing Advances that are determined to be nonrecoverable out of recoveries on the related Mortgage Loan, such Servicer will be entitled to reimbursement for such amounts by the Participation Registrar from proceeds related to all HELOCs serviced by such Servicer. The Funded Participation Percentage of those Servicing Advances allocable to the 23-HE1 PC will be paid by the Participation Registrar from payments and collections on all Mortgage Loans serviced by the related Servicer for the Participation Agent prior to any distributions to 23-HE1 PC in the manner described in the applicable Servicing Agreement.

Pursuant to the Servicing Agreement with SLS, SLS will also be entitled to reimbursement for amounts which are not reimbursable to SLS from the Borrower or through the netting of proceeds from the related HELOC and which are in the nature of an expenditure that relates to establishing, maintaining or curing the right, title or interests of the mortgagee or lender of the HELOC; provided, that, such costs and expenses will not include any allocation of overhead costs of SLS (such amounts, including any such amounts identified as pass-through expenses under the Servicing Agreement with SLS, collectively, "Pass-Through Expenses") in the same manner as it is entitled to be reimbursed for Servicing Advances.

The Servicers will not be required to make any Servicing Advance that would be a nonrecoverable advance or with respect to a HELOC that is in default and for which the related Servicer has charged off such HELOC or determined, in accordance with the applicable servicing standard, not to pursue foreclosure or other realization of the related Mortgaged Property. In addition, no Servicer will be entitled to reimbursement for any Servicing Advances or Pass-Through Expenses that are made after a HELOC becomes a Charged-off Loan.

Each Servicer will keep and maintain, in an electronic format, separate accounting, on a HELOC by HELOC basis for the purpose of justifying any deposit or withdrawal from the related Custodial Account, including without limitation separate accounting for Servicing Advances and Pass-Through Expenses outstanding and/or reimbursed or paid with respect to each HELOC. The 23-HE1 PC will be allocated a proportionate share of the Servicing Advances and Pass-Through Expenses made on the related HELOCs based on the Funded Participation Percentage of the 23-HE1 PC as of the date of such advance or expense. Each Servicer will be entitled to reimburse itself for a Servicing Advance or Pass-Through Expenses, as applicable, from proceeds received on the related HELOC on deposit in the related Custodial Account, and to the extent such funds are insufficient, the related

Servicer will be entitled to reimbursement, if permitted in accordance with the related Servicing Agreement, from proceeds on deposit in the Participation Account related to all HELOCs.

Compliance Certificate

Each Servicing Agreement provides for delivery to the Participation Agent and the Participation Owner Trustee, on or before a specified date in March of each calendar year, of an annual officer's certificate from the related Servicer (or the subservicer, if applicable) to the effect that (i) a review of the related Servicer's (or the subservicer's, if applicable) servicing activities during the prior calendar year (or applicable portion thereof) and of its performance of the servicing obligations under the related Servicing Agreement has been made under such officer's supervision, and (ii) to the best of such officer's knowledge, based on such review, such Servicer (or the subservicer, if applicable) has fulfilled all of its servicing obligations under such Servicing Agreement in all material respects throughout the period covered by the prior calendar year (or applicable portion thereof) or, if there has been a failure to fulfill any such servicing obligation in any material respect, a statement of such failure known to such officer and the nature and the status thereof.

Servicer Termination

With respect to any event of default of a Servicer, the Participation Owner Trustee will only be obligated to enforce the duties of the related Servicer with respect to such event of default to the extent an authorized officer of the Participation Owner Trustee has actual knowledge of such event of default, and will have no liability with respect to any failure to enforce any such duties prior to receipt of such notice.

Following the occurrence of an event of default under the related Servicing Agreement of which an authorized officer of the Participation Owner Trustee has actual knowledge, and so long as such event of default is continuing, the Participation Owner Trustee may, and will, if it determines such action to be in the best interests of Participation Certificateholders, terminate all of the rights and powers of such Servicer pursuant to the applicable provisions of the related Servicing Agreement. The Participation Owner Trustee will provide prior written notice of a proposed successor servicer to the Retaining Sponsor, and unless otherwise rejected by the Retaining Sponsor (and any Other Retaining Sponsor) as set forth below, the Participation Owner Trustee will appoint a Fannie Mae- or Freddie Mac-approved successor servicer, which successor servicer will assume all of such Servicer's responsibilities, rights, duties and obligations under such Servicing Agreement; provided, that there will be a transition period (not to exceed 90 days) during which the servicing function will be transferred to such successor servicer; *provided further*, if the Retaining Sponsor (or any retaining sponsor in any other securitization transaction related to the HELOCs) reasonably objects to the appointment of a successor servicer within five (5) Business Days of receiving notice of such proposed appointment from the Participation Owner Trustee, the Participation Owner Trustee will appoint a new successor servicer. For the avoidance of doubt, neither the Retaining Sponsor nor any retaining sponsor in any other securitization transaction related to the HELOCs may object to the appointment of more than one successor servicer proposed by the Participation Owner Trustee. In connection with the appointment of a successor servicer, the Participation Owner Trustee may make such arrangements for the compensation of such successor servicer as it and such successor servicer will agree; provided that the Participation Owner Trustee, in its sole discretion and without the consent of any Participation Certificateholder, will have the right to agree to compensation of a successor servicer in excess of that permitted to the predecessor Servicer under the related Servicing Agreement if such increase is, in the Participation Owner Trustee's good faith judgment, necessary and appropriate in order to engage a successor servicer; provided, however, any such increase in servicing fee to be paid to a successor servicer will be subject to the reasonable consent of the Retaining Sponsor (and any Other Retaining Sponsor). In addition, with respect to any Charged-off Loan, the Participation Depositor will have the right to direct the Participation Owner Trustee to terminate the related Servicer with respect to such Charged-off Loan and transfer the related Charged-off Loan to a new servicer. For a description of the events of default under each Servicing Agreement, see "*—Servicing with respect to the HELOCs—Servicer Default,*" below.

Any request for the consent of the Retaining Sponsor (and any Other Retaining Sponsor) pursuant to the above will not be unreasonably withheld and no objection of the Retaining Sponsor (and any Other Retaining Sponsor) pursuant to the above will be unreasonably made. Any consent or rejection must be provided to the Participation Owner Trustee within five (5) Business Days of the request for such consent or notice of a proposed successor servicer. To the extent such consent or objection is not provided within five (5) Business Days, the

Retaining Sponsor (and any Other Retaining Sponsor) will be deemed to have provided its consent or to have not had any objections to a proposed successor servicer.

In connection with the removal of a Servicer, the Participation Owner Trustee is obligated to pay the costs of such termination and the appointment of a successor servicer from funds on deposit in the Participation Account and such costs will constitute Participation Trust Expenses.

In connection with any termination of a Servicer, such Servicer will be required to discharge such duties and responsibilities during the period from the date it acquires knowledge of such termination until the effective date thereof with the same degree of diligence and prudence which it is obligated to exercise under the related Servicing Agreement, and may not take any action whatsoever that might impair or prejudice the rights or financial condition of its successor. The removal of such Servicer will not become effective until a successor has been appointed.

Waiver of Servicer Defaults

The Participation Agent, at the direction of Participation Certificateholders holding Certificates evidencing more than 50% of the Aggregate Voting Interests of the Certificates in all related HELOCs, will waive any default by a Servicer in the performance of its obligations under the related Servicing Agreement and its consequences. Upon any waiver of a past default, such default will cease to exist, and any event of default arising therefrom will be deemed to have been remedied for every purpose of the related Servicing Agreement. No such waiver will extend to any subsequent or other default or impair any right consequent thereto except to the extent expressly so waived.

Obligations in Respect of Proposed Eminent Domain HELOC Acquisition

If a responsible officer of the Participation Owner Trustee receives notice that any governmental authority intends to acquire a HELOC through the exercise of its power of eminent domain, the Participation Owner Trustee will promptly provide written notice thereof to the Participation Registrar. Upon receipt of such written notice, the Participation Owner Trustee will cause the related Servicer to obtain a valuation on the related property in the form of a broker's price opinion or another valuation method that such Servicer deems appropriate. Upon receipt of such valuation, the Participation Owner Trustee will provide such valuation to the Participation Registrar and each securities administrator (including the Securities Administrator), and upon such receipt, the Securities Administrator will notify the Certificateholders that it has received notice that a governmental authority intends to acquire a HELOC through the exercise of its power of eminent domain and of the results of the valuation of the related property obtained; provided, that the Securities Administrator may provide such notice to the Certificateholders by posting such information to the Securities Administrator's website in accordance with the applicable provisions of the Securitization Sale Agreement. The Participation Owner Trustee will take such actions with respect to the action of the governmental authority as are consistent with the instructions of a Quorum of Participation Certificateholders with an interest in such HELOC, provided, that the Participation Owner Trustee will have no duty or obligation to take such actions except (i) in accordance with the written direction of the Quorum of Participation Certificateholders with an interest in such HELOC and (ii) upon receipt of an agreement by the Quorum of Participation Certificateholders with an interest in such HELOC to pay for any fees, costs and expenses (including reasonable fees and expenses of counsel) incurred by the Participation Owner Trustee and provide any indemnification reasonably requested by the Participation Owner Trustee. The fees, costs, expenses and indemnities described in the preceding sentence will constitute Eminent Domain Expenses. In connection with any such action, the Participation Owner Trustee will pursue reimbursement for its fees, costs and expenses from such governmental authority if directed to do so by the Quorum; provided, that the foregoing will not affect the indemnification obligations of the Participation Agent or the Participation Certificateholders. If the Participation Owner Trustee recovers any such fees, costs and expenses, it will be obligated to reimburse such amounts to such Participation Certificateholders unless the Quorum has not satisfied its obligations to pay the Eminent Domain Expenses of the Participation Owner Trustee in taking such action, in which case such amounts will be retained by the Participation Owner Trustee for such purpose. To the extent not reimbursed by the governmental authority or the Participation Certificateholders, the Participation Owner Trustee will be reimbursed by the Participation Agent from available amounts prior to any distributions to the Participation Certificateholders.

In connection with the above, the Securities Administrator will provide any instruction with respect to such any event with respect to the 23-HE1 PC pursuant to the Master Participation Agreement as are consistent with the instructions of a Quorum of the Certificates provided to the Securities Administrator, upon receipt of an agreement by the Quorum of the Certificates to pay for any fees, costs and expenses (including reasonable fees and expenses of counsel) incurred by the Participation Owner Trustee and to provide any indemnification reasonably requested by the Participation Owner Trustee pursuant to the terms of the Master Participation Agreement.

Neither the Quorum nor the Participation Owner Trustee will be liable for any fair value determination made as described above or any legality determination, or any actions taken by them with respect to or in reliance on such determinations.

Servicing of COVID-19 Impacted HELOCs

As a result of the outbreak of COVID-19, Borrowers that have experienced financial difficulties may request forbearance or other relief with respect to their mortgage payments. In the event a Borrower requests any such relief, the related Servicer will be required to evaluate such request and service such HELOC in accordance the terms of the related Servicing Agreement (including the loss mitigation and modification provisions further described below under "*—Waiver or Modification of HELOC Terms*"). In connection therewith, a Servicer may elect to follow guidance provided by the CARES Act (even though the HELOCs are not federally backed mortgage loans), the GSEs or from any of their federal and/or state regulators. Investors should note that customary servicing practices with respect to servicing COVID-19 impacted mortgage loans are expected to continue to develop and will vary among the Servicers.

In the event a Servicer enters into a forbearance plan with a COVID-19 impacted Borrower, it is anticipated that such Servicer will report such forbearance to the Participation Owner Trustee. At the end of the forbearance period, to the extent the related Borrower is not able to make a lump sum payment of the forborne amount, the related Servicer may offer the Borrower a repayment plan, enter into a modification with the Borrower (including an agreement to defer the forborne amounts as a non-interest bearing payment that is due upon the maturity or payoff of such COVID-19 Forbearance Loan) or utilize any other loss mitigation option permitted under the related Servicing Agreement. Any Principal Forbearance Amount created in connection with any modification will be treated as a Realized Loss and in the event a Principal Forbearance Amount is later received or recovered by the related Servicer, such amount will be treated as a Subsequent Recovery as further described under "*Description of the Certificates—Allocation of Certificate Writedown Amounts and Certificate Writeup Amounts.*"

Servicing with respect to the HELOCs

Each reference in this section to (i) a "Servicer" is a reference to loanDepot and SLS; (ii) a "Servicing Agreement" is a reference to the Servicing Agreement related to the applicable Servicer; and (iii) a "HELOC" or "Mortgage Loan" or the "HELOCs" or "Mortgage Loans" is a reference to the Mortgage Loans serviced by such Servicer.

Waiver or Modification of HELOC Terms

Each Servicer will diligently collect all payments called for under the HELOCs serviced by it and will follow such collection procedures as are customary for prudent mortgage banking and lending institutions with respect to mortgage loans that are comparable to the HELOCs in the jurisdiction where the related Mortgaged Property is located.

Consistent with the terms of the related Servicing Agreement and customary servicing procedures and subject to the REMIC Provisions, each Servicer may waive, modify or vary any term of any HELOC serviced by it or consent to the postponement of strict compliance with any such term or in any manner grant indulgence to any related Borrower; provided, that, such Servicer must make a reasonable and prudent determination that such waiver, modification, variance, postponement or indulgence is not materially adverse to the Participation Agent. Notwithstanding the foregoing (unless the Borrower is in default with respect to the HELOC, or such default is, in the judgment of such Servicer, reasonably foreseeable), the Servicer will not enter into any payment plan or agreement to modify payments with a Borrower lasting more than six months or permit any modification with respect to any HELOC that would change the Mortgage Rate, the initial rate cap, the minimum mortgage interest rate, the maximum mortgage interest rate, the gross margin or, in the case of loanDepot, the minimum monthly payment, or defer or forgive the payment of any principal or interest, change the outstanding principal amount (except for actual payments of principal), make any future draws that would exceed the Credit Limit or extend the final maturity date, as the case may be, with respect to such HELOC, accept any deed-in-lieu of any property, accept any short pay-off, or sell any property, in which the sale proceeds are less than the unpaid principal balance of the related HELOC or subordinate the priority of the lien of the HELOC. The Servicer may not accept substitute or additional collateral or release any collateral for such HELOC other than in accordance with the REMIC Provisions.

Notwithstanding the foregoing, each Servicer may waive, modify, vary, postpone or grant an indulgence with respect to a HELOC serviced by it if such waiver, modification, variance, postponement or indulgence is required under the Relief Act or any other government program.

The Servicer may not extend the maturity date of a HELOC.

Charged-off Loans

With respect to any second-lien HELOC that is one hundred eighty (180) or more days delinquent (or earlier, in accordance with the servicer's servicing practices) (other than due to such HELOC being or becoming subject to a forbearance plan), such Servicer will charge off such HELOC, at which time such HELOC will be considered a "Charged-off Loan." The related Servicer will only be entitled to (i) Servicing Fees on any such Charged-off Loan to the extent such Servicing Fees accrued prior to the date such HELOC became a Charged-off Loan and (ii) reimbursement of Servicing Advances and Pass-Through Expenses on such Charged-off Loans made in accordance with the related Servicing Agreement that accrued prior to the date such Defaulted Loan became a Charged-off Loan. Such Servicer will not be entitled to Servicing Fees on or after the date such HELOC became a Charged-off Loan. Any recoveries on such Charged-off Loans (net of any such previously accrued and unpaid Servicing Fees or previously made Servicing Advances or Pass-Through Expenses) will be treated as Liquidation Proceeds distributable to the Participation Agent. The related Servicer will not be permitted to sell a Charged-off Loan and will cooperate with the Participation Agent so that the Participation Agent can effectuate a sale upon receipt of any related direction from the Participation Agent.

SLS will also be entitled to retain a percentage of the net proceeds recovered with respect to any Charged-off Loan (other than any proceeds received in resulting from a sale directed by the Participation Agent) and certain recovery termination fees incurred on initiated recovery services with respect to a Charged-off Loan which is referred to their recovery team (the "Recovery Fee") following the reimbursement of any attorneys' fees, consulting fees, filing costs, or similar types of costs incurred, to collect proceeds on a Charged-off Loan. SLS will retain such Recovery Fee prior to remitting any proceeds received with respect to such Charged-off Loan to the Participation Agent.

To the extent any HELOC becomes a Charged-off Loan, any Participation Certificateholder with a Participation Interest in such Charged-off Loan or the Participation Depositor as Participation Certificateholder of the JPM PC will have the right to direct the Participation Owner Trustee in writing to conduct an auction pursuant to the Master Participation Agreement. Upon receipt of such written direction from a Participation Certificateholder and upon obtaining all information necessary to solicit bids for an auction (including the identification of market participants from whom the Participation Owner Trustee is to solicit bids and any other information reasonably requested by the Participation Owner Trustee needed to effect such auction), the Participation Owner Trustee will be required to conduct an auction to attempt to effect the sale of the related Charged-off Loan. In connection with any sale of such Charged-off Loan by the Participation Owner Trustee, the Participation Owner Trustee will solicit bids from at least two (2) regular market participants, unaffiliated with the related Participation Certificateholders (and to the extent such Participation Certificate is subject to a securitization transaction, unaffiliated with any "Subordinate Enforcement Holder" (as such term is defined in the related securitization sale agreement) or any other party causing the related Participation Certificateholder to direct an auction as set forth in the related securitization sale agreement), in each case, who have been identified to the Participation Owner Trustee. Any internal or external costs or expenses of the Participation Owner Trustee related to any such auction will be paid by the related Participation Certificateholder directing such auction. With respect to the 23-HE1 PC, the Subordinate Enforcement Holder will have the right to direct the Securities Administrator to act on behalf of the Participation Certificateholder and cause the Participation Owner Trustee to effect an auction, and the costs of the Participation Owner Trustee related to such auction will be paid and recoverable by the Subordinate Enforcement Holder.

The Participation Owner Trustee will provide notice of the highest bid to each Participation Certificateholder with a Participation Interest in such Charged-off Loan (and the Securities Administrator will provide such notice to the Subordinate Enforcement Holder) and the Participation Depositor as Participation Certificateholder of the JPM PC, and either the Participation Depositor or the Subordinate Enforcement Holder or any other party set forth in a securitization sale agreement related to a Participation Certificate representing a Participation Interest in such Charged-off Loan, if interested in purchasing such Charged-off Loan, must provide written notice of its counteroffer to the Participation Owner Trustee within five (5) Business Days of receiving such notice from the Participation Owner Trustee. The Participation Owner Trustee will cause such Charged-off Loan to be sold to the related bidder with the highest offer. To the extent the winning bidder is distinct from the party related to the Participation Certificateholder initiating the auction, all expenses of the Participation Owner Trustee in connection with the auction that have been or are to be paid by or on behalf of such Participation Certificateholder will be reimbursed to such Participation Certificateholder (and with respect to the 23-HE1 PC, will then be paid by the Securities Administrator to the Subordinate Enforcement Holder who paid such amount) from proceeds received from the sale of such Charged-off Loan prior to remitting such proceeds to the Participation Account as a Subsequent Recovery for distribution.

Servicer Default

Events of default by the Servicers under the Servicing Agreements include:

(i) any failure by a Servicer to make any payment as required under the related Servicing Agreement, unless cured as specified therein;

(ii) any failure by a Servicer to duly observe or perform in any material respect any of its other covenants, obligations or agreements set forth in the related Servicing Agreement which continues unremedied for a specified period after the giving of written notice of such failure to such Servicer;

(iii) any failure by a Servicer to deliver the annual compliance statement when due under the related Servicing Agreement and such failure continues unremedied for a specified period after the giving of written notice of such failure to such Servicer;

(iv) certain events of insolvency, bankruptcy, readjustment of debt, marshaling of assets and liabilities or similar proceeding and certain actions by on or behalf of a Servicer indicating its insolvency, reorganization or inability to pay its obligations;

(v) a Servicer ceases to be qualified to do business under the laws of any state in which a Mortgaged Property is located, but with respect to loanDepot, only to the extent such qualification is necessary to ensure the enforceability of each HELOC and to perform such Servicer's obligations under the related Servicing Agreement and with respect to SLS, only to the extent such failure materially and adversely affects such Servicer's ability to service the HELOCs;

(vi) with respect to loanDepot, any reduction or withdrawal of the ratings of such Servicer as a servicer of mortgage loans by one or more of the rating agencies that maintains a servicer rating system to "below average" or below; or

(vii) a Servicer attempts to assign the related Servicing Agreement except in compliance with the terms thereof.

It will also be an event of default with respect to loanDepot under their related Servicing Agreement if loanDepot fails to meet the servicer eligibility qualifications of Fannie Mae and Freddie Mac, and it will be an event of default with respect to SLS under the related Servicing Agreement if SLS is terminated by HUD, Freddie Mac or Fannie as a mortgage loan servicer for more than (30) days.

For a description of certain remedies available following an event of default under a Servicing Agreement, see "*—General—Servicer Termination*" and "*—General—Waiver of Servicer Defaults*" above.

Resignation of a Servicer; Assignment and Merger

A Servicer may not resign from its obligations and duties under the related Servicing Agreement or assign the related Servicing Agreement without the mutual consent of such Servicer and the Participation Agent, unless such Servicer determines that its duties under the related Servicing Agreement are no longer permissible under applicable law and such incapacity cannot be cured by such Servicer (which determination will be evidenced by an opinion of counsel). No resignation of a Servicer or assignment of a Servicing Agreement will become effective until a successor servicer has assumed such Servicer's obligations and duties under the related Servicing Agreement.

Any person into which a Servicer may be merged or consolidated, any entity resulting from any merger, conversion or consolidation to which a Servicer is a party or any person succeeding to the business of a Servicer (whether or not related to loan servicing), will be the successor of such Servicer under the related Servicing Agreement; provided, however, with respect to SLS, the successor or surviving person must (i) be an institution whose deposits are insured by the FDIC or a company whose business includes the origination and servicing of mortgage loans, (ii) be a Fannie Mae-approved seller/servicer, (iii) have a net worth of not less than $25,000,000 (determined in accordance with generally accepted account principles that are consistently applied) and (iv) satisfy any additional requirements of with respect to the qualifications of a successor to the Servicer set forth in the related Servicing Agreement.

Limitations on Liability of the Servicers

The duties and obligations of each Servicer will be determined solely by the express provisions of the related Servicing Agreement. Each Servicing Agreement provides that neither the related Servicer nor any of its directors, officers, employees or agents will be under any liability to the Participation Agent for any action taken or for refraining from the taking of any action in accordance with its customary servicing procedures and otherwise in good faith pursuant to the related Servicing Agreement, or for errors in judgment; provided, however, that the related Servicer will not be protected against (i) any liability resulting from any breach of any representation or warranty, and with respect to SLS, any covenant, made by it in the related Servicing Agreement, (ii) any liability specifically imposed on the Servicer in the related Servicing Agreement or (iii) any liability that would otherwise be imposed by reason of willful misfeasance, bad faith, or negligence, in the performance of its duties or by reason of reckless disregard of its obligations and duties under the related Servicing Agreement. Each Servicer and any director, officer, employee or agent of such Servicer may rely on any document of any kind which it in good faith reasonably believes to be genuine and to have been adopted or signed by the proper authorities, or with respect to SLS, which it in good faith believes to be properly executed and submitted. Each Servicer generally will have no obligation to appear with respect to, prosecute or defend any legal action that is not incidental to its duties to service the HELOCs serviced by it in accordance with the related Servicing Agreement.

Due-on-Sale Clauses; Assumptions

Under each Servicing Agreement, when any Mortgaged Property has been conveyed by the related Borrower, the applicable Servicer will, to the extent it has knowledge of such conveyance, exercise its rights on behalf of the Participation Agent to accelerate the maturity of the related HELOC under any "due-on-sale" clause applicable to such HELOC, if any, unless (1) such Servicer is prohibited by applicable law from exercising those rights, or (2) with respect to SLS, if the exercise of those rights would impair or threaten to impair any recovery under a related mortgage insurance policy, if any. Under certain circumstances, each Servicer is authorized to enter into an assumption and modification agreement or substitution of liability agreement, as specified in the related Servicing Agreement, with the person to whom such mortgaged property has been or is about to be conveyed, pursuant to which that person becomes liable under the related Mortgage Note. In connection with any such assumption, the outstanding principal amount, the Monthly Payment and Mortgage Rate and, if applicable, initial rate cap, minimum mortgage interest rate, maximum mortgage interest rate and gross margin will not be changed, and the term of the HELOC will not be increased or decreased. See *"Certain Legal Aspects—Due-on-Sale Clauses"* in this Memorandum.

Amendment of Servicing Agreements

Each Servicing Agreement may be amended by written agreement by the related Servicer and the Participation Agent. Pursuant to the Master Participation Agreement, the Participation Agent will not consent to any amendment to any Servicing Agreement unless the standard for amending the Master Participation Agreement has been met with respect thereto. See "*The Master Participation Agreement—Amendment*" in this Memorandum. Additionally, the Participation Agent may not enter into any amendment to a Servicing Agreement that relates to the servicing of the related HELOCs or to the related Servicer without the prior written consent of the Participation Owner Trustee.

Withdrawals from Custodial Accounts

Each Servicer will be entitled to withdraw funds from amounts on deposit in the related Custodial Account from time to time, in order to, including but not limited to: (i) reimburse itself for unpaid servicing fees and unreimbursed Servicing Advances and, in the case of SLS, Pass-Through Expenses (subject to certain limitations as described under "*—General—Advances*" above), (ii) except in the case of SLS, reimburse itself for certain expenses incurred by and reimbursable to it in connection with the defense of third party claims (as described under "*—Indemnity; Defense of Third Party Claims*" below), (iii) pay itself any interest earned or any investment earnings on funds deposited in the related Custodial Account, net of any losses on such investments, (iv) withdraw any amounts inadvertently deposited in the related Custodial Account and (v) clear and terminate the related Custodial Account upon the termination of the related Servicing Agreement.

Such withdrawals may be made by each Servicer at any time and from time to time, and may be made prior to any required remittances to the Participation Account and prior to such amounts being available to make distributions on the Certificates.

Withdrawals from Escrow Accounts

Withdrawals from an Escrow Account may be made by the related Servicer only (a) to effect timely payments of ground rents, taxes, assessments, premiums for primary mortgage insurance policies, if any, fire and hazard insurance premiums or other items constituting escrow payments for the related HELOC, (b) to reimburse itself for certain Servicing Advances made by it relating to payment of ground rents, taxes and assessments and other charges with respect to a related HELOC, (c) to refund to any Borrower any funds found to be in excess of the amounts required under the terms of the related HELOC, (d) for transfer to the related Custodial Account upon default of a Borrower or in accordance with the terms of the related HELOC (to the extent permitted by applicable law), (e) for application to restore or repair the Mortgaged Property, (f) to pay to the related Borrower, to the extent required by law, any interest paid on the funds deposited in the related Escrow Account, (g) except in the case of SLS, to pay to itself any interest earned on funds deposited in the related Escrow Account (and not required to be paid to the related Borrower), (h) except in the case of SLS, to the extent permitted under the terms of the related Mortgage Note and applicable law, to pay late fees with respect to any monthly payment which is received after the applicable grace period, (i) except in the case of SLS, to withdraw suspense payments that are deposited into the related Escrow Account, (j) to withdraw any amounts inadvertently deposited in the related Escrow Account or (k) to clear and terminate the related Escrow Account upon the termination of the related Servicing Agreement.

Insurance Policies

Each Servicer will generally be required to cause to be maintained for each first lien home equity line of credit (other than home equity lines of credit secured by condominium apartments or planned unit developments) a fire and hazard insurance policy with extended coverage customary in the area where the related Mortgaged Property is located issued by an insurer that generally is acceptable to Fannie Mae and/or Freddie Mac and, in the case of loanDepot, which is rated "A-/VIII" or better in the current Best's Key Rating Guide, and in the case of SLS, that is duly authorized and licensed in such state to transact the applicable insurance business and to write the insurance provided (a "Standard Hazard Insurance Policy"). A Standard Hazard Insurance Policy will be required to be in an amount at least equal to with respect to loanDepot, the lesser of (a) the full insurable value of the related Mortgaged Property or (b) the greater of (i) the outstanding principal balance owing on the home equity line of credit and (ii) an amount such that the proceeds of such insurance will be sufficient to avoid the application to the related Borrower or loss payee of any coinsurance clause under the policy, and with respect to SLS, lesser of (a) the full insurable value of the related Mortgaged Property or (b) the outstanding principal balance owing on the home equity line of credit; provided, that in either case, the proceeds of such insurance will be sufficient to avoid the application to the related Borrower or loss payee of any coinsurance clause under the policy. For loanDepot, the hazard insurance policy for each home equity line of credit secured by a unit in a condominium development or planned unit development will be maintained with respect to such home equity line of credit and the related development in a manner that is consistent with applicable Fannie Mae or Freddie Mac requirements.

The Standard Hazard Insurance Policies covering the home equity lines of credit generally will cover physical damage to, or destruction of, the improvements on the Mortgaged Property caused by fire, lightning, explosion, smoke and windstorm, subject to the conditions and exclusions particularized in each policy. Because the Standard Hazard Insurance Policies relating to the home equity lines of credit will be underwritten by different insurers and will cover Mortgaged Properties located in various states, the policies will not contain identical terms and conditions. The most significant terms of these policies, however, generally will be determined by state law and generally will be similar. Most of these policies typically will not cover any physical damage resulting from the following: war, revolution, governmental actions, floods and other water-related causes, earth movement (including earthquakes, landslides and mudflows), nuclear reaction, wet or dry rot, vermin, rodents, insects or domestic animals, hazardous wastes or hazardous substances, theft and, in certain cases, vandalism. The foregoing list is merely indicative of certain kinds of uninsured risks and is not all-inclusive.

If the Mortgaged Property is located in a federally designated special flood hazard area and such flood insurance has been made available, each Servicer will be obligated to cause flood insurance to be maintained with respect to the related first lien home equity line of credit in an amount at least equal to the lesser of (a) the minimum amount required under the terms of the coverage to compensate for any damage or loss to the Mortgaged Property on a replacement-cost basis (or the outstanding principal balance of the home equity line of credit if replacement-cost basis is not available) or (b) the maximum amount of insurance available under the national flood insurance program.

Because the HELOCs are secured by second liens on the related Mortgaged Properties, the Servicers will not be required to maintain any such insurance discussed above on the HELOCs.

In addition, with respect to any REO Property, each Servicer will be required to maintain (i) fire and hazard insurance with extended coverage in an amount that is at least equal to the maximum insurable value of the improvements which are a part of such property, (ii) liability insurance and (iii) to the extent required and available under the national flood insurance program, flood insurance in an amount at least equal to the required amount as described in the preceding paragraph.

No earthquake or additional insurance is required to be maintained by any Borrower or maintained on any REO Property other than pursuant to applicable laws and regulations as are at any time in force.

The related Servicer will be named as loss payee under the insurance policies described above. Any amounts collected under any such insurance policies (other than amounts to be deposited in the related Escrow Account and applied to the restoration or repair of the related Mortgaged Property or released to the related Borrower in accordance with such Servicer's customary servicing procedures) will be deposited in the related Custodial Account.

Management of REO Properties

REO Properties will be serviced by the applicable Servicer in accordance with the terms of the related Servicing Agreement and in accordance with such Servicer's customary servicing procedures with respect to REO Properties. Each Servicer will use reasonable efforts to dispose of REO Property as soon as possible and will sell such REO Property within (i) two years in the case of loanDepot, or (ii) three years in the case of SLS, after title was taken to such REO Property.

Indemnity; Defense of Third Party Claims

loanDepot will indemnify and hold harmless the Participation Agent for the benefit of the Participation Certificateholders, and any successor servicer and their respective officers, directors, agents and affiliates from and against any and all claims, losses, damages, penalties, fines, forfeitures, legal fees (including, without limitation, legal fees incurred in connection with the enforcement of loanDepot's indemnification obligation) and related costs, judgments, and any other costs, fees and expenses that any such persons may sustain in any way related to (i) the failure of loanDepot to service the related HELOCs in compliance with the terms of the related Servicing Agreement or otherwise comply with its obligations and covenants under the related Servicing Agreement or (ii) the bad faith, willful misconduct or negligence of the Servicer in funding any Additional Draw.

In the event a claim is made by a third party with respect to the related Servicing Agreement or the related HELOCs, loanDepot will immediately notify the Participation Owner Trustee and assume the defense of any such claim and pay all expenses in connection therewith, including legal fees. loanDepot will be entitled to reimbursement for all amounts advanced by it pursuant to the preceding sentence except when the claim is due to the failure of loanDepot to service the related HELOCs in accordance with the terms of the related Servicing Agreement or otherwise comply with its obligations and covenants under the related Servicing Agreement.

SLS will indemnify and hold harmless the Participation Agent for the benefit of the Participation Certificateholders and each of its officers, employees and agents from and against any and all documented losses, costs, claims, actions, damages, penalties, fines, forfeitures, liabilities, attorneys' and other legal fees and related expenses (solely to the extent such legal fees were incurred from unaffiliated third parties) that a party may suffer or sustain in any way, whether direct or third parties, no matter how or when arising (including losses incurred or sustained in connection with any judgment, award, or settlement, and claims by or on behalf of a third party, "Losses") that such party may sustain in any way related to (i) a breach of a representation, warranty or covenants of SLS set forth in the related Servicing Agreement, (ii) the failure of SLS to service the HELOCs in compliance with the terms of the related Servicing Agreement or otherwise perform its obligations under the related Servicing Agreement, (iii) the failure by SLS to comply with applicable law or (iv) the bad faith, willful misconduct or negligence of SLS in funding any Additional Draw; other than Losses sustained due to negligence, willful misconduct or bad faith on the part of the Participation Agent.

SLS and any officer, employee or agent of SLS will be indemnified by the Participation Agent on behalf of the Participation Certificateholders and held harmless against any and all Losses that such party may sustain in any way related to or arising out of SLS's administration and servicing of the HELOCs under the related Servicing Agreement, including, without limitation (i) a breach of a representation, warranty, or covenant of the Participation Agent set forth in the related Servicing Agreement, (ii) subject to SLS's good faith obligation to attempt to cure, any failure of the Participation Agent or prior servicer to provide SLS on a timely basis with accurate documents and information required hereunder that are necessary to service the HELOCs in accordance with the related Servicing Agreement to the extent such documents or information were not previously provided to SLS; (iii) the Participation Agent's or prior servicer's providing insufficient evidence of hazard insurance coverage to SLS or from any Losses that occurred during a lapsed policy prior to the related servicing transfer date; (iv) any action or omission with respect to the origination of a HELOC; (v) any action or omission of any originator or prior servicer (other than SLS) in relation to the origination or servicing of the HELOCs occurring prior to the related servicing transfer date; provided that SLS (a) notified the Participation Agent in writing of such act or omission promptly following discovery of such act or omission, (b) took reasonable, documented actions to correct such act or omission to the extent commercially reasonable, and (c) did not take any overt action to continue such act or omission following discovery of such act or omission (which for the avoidance of doubt will not include any action undertaken to correct such act or omission) to the extent not taking such overt act was in accordance with accepted servicing practices; (vi) an Index substitution on a HELOC where the relevant Index is no longer available, provided that SLS has made such substitution in accordance with accepted servicing practices; (vii) SLS's compliance with the directions or written policies of the Participation Agent; (viii) the Participation Agent's failure to respond timely to written requests by SLS for direction or consent; (ix) the failure by the Participation Agent to comply with applicable law; or (x) the performance by SLS of its obligations in compliance with the related Servicing Agreement and accepted servicing practices; other than Losses sustained due to SLS's negligence, willful misconduct or bad faith. Notwithstanding the foregoing, the Participation Agent on behalf of the Participation Certificateholders will have no obligation to indemnify SLS for (x) any Losses to the extent such Losses are actually reimbursed to SLS as

Pass-Through Expenses or Servicing Advances, (y) any Losses sustained by SLS due to SLS's failure to service the HELOCs in accordance with the related Servicing Agreement or otherwise perform its obligations under the related Servicing Agreement or (z) with respect to any HELOC serviced by SLS prior to the related servicing transfer date, any Losses resulting from any failure by SLS to service such HELOC in accordance with accepted servicing practices.

Any amounts owed to indemnify a Servicer will be allocated among all outstanding Participation Certificateholders who hold a participation interest related to the affected HELOC or REO Property based on Participation Certificateholder's Funded Participation Percentage with respect to such HELOC or REO Property, in each case, as of the date such costs or amounts owed were invoiced, and such Servicer will include in its documentation with respect to such amounts the subject HELOCs.

HELOC REPRESENTATIONS AND WARRANTIES

Each Representing Party will make representations and warranties concerning the related HELOCs to the Participation Agent for the benefit of the related Participation Certificateholders. The representations and warranties made by each Originator (except for loanDepot and UWM), will be made as of the date the HELOC was originally transferred to the Participation Agent, and the representations and warranties made by loanDepot and UWM will be made as of the date such originator originally sold such HELOC to the Participation Depositor, prior to the date the Participation Depositor sold such HELOC to the Participation Agent. JPMMAC, as the Participation Depositor will represent, with respect to the representations and warranties set forth on Appendix II-B, that no action or event has taken place between the date that such Originator made the applicable representation and warranty and the Closing Date (or the Cut-off Date if specified in such representation) to make such representation or warranty untrue. The representations and warranties made by each Originator that enters into an Assignment Agreement, as applicable, with respect to the related HELOCs are set forth in Appendix II-A hereto.

The following summary describes certain provisions of the Securitization Sale Agreement. The summary does not purport to be complete and is subject to, and is qualified in its entirety by reference to, the provisions of the Securitization Sale Agreement.

Discovery of Breach; Repurchase Requests and Arbitration; EPD Mortgage Loans; Missing Mortgage Documents

Upon its receipt of written notice or upon actual knowledge by the Representing Party of a breach by such Representing Party in respect of any HELOC which materially and adversely affects the value of that HELOC or the interest therein of any Participation Certificateholder (a "Defective Mortgage Loan") the Participation Owner Trustee will promptly notify the Representing Party in writing of such breach and request that the Representing Party cure or cause the cure of such breach within sixty (60) days from the earlier of the date the Representing Party discovered or was notified of such breach; provided, however, that in connection with any such breach that could not reasonably have been cured within such 60-day period, the Representing Party will be required to repurchase such HELOC from the Participation Agent in accordance with the provisions of the related Purchase Agreement (or if such Representing Party is the Participation Depositor, in accordance with the provisions of the Master Participation Agreement) no later than 120 days after its discovery or notice of such breach at the Repurchase Price.

To the extent such Representing Party fails to cure any such breach or repurchase such HELOC at the Repurchase Price, the Participation Owner Trustee will provide notice to the Participation Registrar who will notify each Participation Certificateholder with a Participation Interest in such HELOC and the Participation Depositor as holder of the JPM PC of such failure (which notification with respect to the 23-HE1 PC will be made to the Securities Administrator to post such information to the Securities Administrator's website). Upon receipt of written instruction and satisfactory indemnity (which will include all anticipated expenses, costs and fees of the Participation Owner Trustee) from any Participation Certificateholder that has any interest in such HELOC or from the Participation Depositor as holder of the JPM PC, the Participation Owner Trustee on behalf of the Participation Agent will enforce the obligations of the Representing Party to repurchase such HELOC at the Repurchase Price from the Participation Agent; provided, however, the Participation Certificateholders will not have the right to require the Participation Owner Trustee to pursue any action with respect to any HELOC as to which a final and binding decision by an arbitrator has already been issued, regardless of the particular claims made. To the extent the

Participation Owner Trustee recovers any amounts with respect to a HELOC, the Participation Owner Trustee will reimburse the related Participation Certificateholders who previously provided the Participation Owner Trustee satisfactory indemnity.

In addition, if the Participation Owner Trustee receives written notice from a person in a position to have knowledge of the facts and circumstances stated in such notice, of any breach of a representation or warranty regarding a HELOC made by Representing Party which materially and adversely affects the value of that HELOC or the interest therein of any Participation Certificateholder and would give rise to an obligation to cure such breach or repurchase such HELOC, then, unless a final and binding decision by an arbitrator has been issued with respect to such HELOC, the Participation Owner Trustee in reliance on such notice will (i) demand that the applicable Representing Party cure such breach or repurchase such HELOC from the Participation Agent and (ii) notify the Participation Registrar who will notify each Participation Certificateholder with a Participation Interest in such HELOC and the Participation Depositor as holder of the JPM PC (which notification with respect to the 23-HE1 PC will be made to the Securities Administrator to post such information to the Securities Administrator's website) of the Participation Owner Trustee's receipt of such notice and the Participation Owner Trustee's submission of such demand. If the Representing Party does not respond within sixty (60) days of the date of the demand, or if the demand is not resolved within 180 days of such date, then the Participation Owner Trustee will notify the Participation Registrar who will notify each Participation Certificateholder with a Participation Interest in such HELOC and the Participation Depositor as holder of the JPM PC (which notification with respect to the 23-HE1 PC will be made to the Securities Administrator to post such information to the Securities Administrator's website), and the Participation Owner Trustee will not be required to pursue further action in connection with such demand unless it has received written instruction to do so and satisfactory indemnity (which will include all anticipated expenses, costs and fees of the Participation Owner Trustee) from any Participation Certificateholder that has any interest in such HELOC or from the Participation Depositor as holder of the JPM PC. The Participation Owner Trustee will seek reimbursement for its fees, costs and expenses from the applicable Representing Party, and to the extent the Participation Owner Trustee recovers any such amounts, the Participation Owner Trustee will reimburse the related Participation Certificateholders who previously provided the Participation Owner Trustee satisfactory indemnity.

The Participation Registrar will promptly notify the Participation Owner Trustee and each related Participation Certificateholder (which notification with respect to the 23-HE1 PC will be made to the Securities Administrator to post such information to the Securities Administrator's website) of each HELOC that becomes a Severely Delinquent Mortgage Loan. Upon receipt of written instruction and satisfactory indemnity (which will include all anticipated expenses, costs and fees of the Participation Owner Trustee) from any Participation Certificateholder that has any interest in such HELOC or from the Participation Depositor as holder of the JPM PC, the Participation Owner Trustee will engage a third party to review such HELOC (unless such HELOC was the subject of a previous arbitration proceeding) to review whether any breaches of the representations and warranties made by a Representing Party which materially and adversely affects the value of that HELOC or the interest therein of any Participation Certificateholders have occurred or if the related Representing Party has an obligation to cure a breach or repurchase a HELOC. Such third party must be a recognized third party who is a Qualified Reviewer and may not be the same party that performed the pre-offering review of the HELOCs. Any such review will include, at a minimum, a review as to whether the HELOC was underwritten in accordance with the related Originator's underwriting standards in effect at the time of origination, whether the HELOC was originated in accordance with all applicable laws and regulations, and whether any fraud may have occurred in connection with the origination of the HELOC. The third party reviewer will report its findings and provide an attestation to the Participation Owner Trustee that its review and report have not been influenced or affected by interested parties. The Participation Owner Trustee will report such findings to the Participation Registrar who will notify each Participation Certificateholder with a Participation Interest in such HELOC and the Participation Depositor as holder of the JPM PC of such findings (which notification with respect to the 23-HE1 PC will be made to the Securities Administrator to post such information to the Securities Administrator's website); provided, however, that the Participation Owner Trustee will only be required to report such findings to the extent it has received the same. If, as a result of such review, there is evidence that a breach of a representation or warranty may have occurred requiring the related Representing Party to cure such breach or repurchase the HELOC, then, the Participation Owner Trustee will (i) demand that the applicable Representing Party cure such breach or repurchase such HELOC from the Participation Agent and (ii) notify the Participation Registrar of the Participation Owner Trustee's submission of such demand, and the Participation Registrar will notify each Participation Certificateholder with a Participation Interest in such HELOC and the Participation Depositor as holder of the JPM PC of such demand (which notification with respect to the 23-HE1 PC will be made to the Securities Administrator to post such information to the Securities Administrator's website). If the related Representing Party responds to the demand within sixty (60) days of the date of the demand, the Participation Owner Trustee will negotiate with such party so long as such party is pursuing negotiations in good faith. If the related Representing Party does not respond within sixty (60) days of the date of the demand, or if the demand is not resolved within 180 days of such date, the Participation Owner Trustee will notify the Participation Registrar who will notify each Participation Certificateholder with a Participation Interest in such HELOC and the Participation Depositor as holder of the JPM PC (which notification with respect to the 23-HE1 PC will be made to the Securities Administrator to post such information to the Securities Administrator's website), and the Participation Owner Trustee will not be required to pursue further action in connection with such demand unless it has received written instruction to do so and satisfactory indemnity (which will include all anticipated expenses, costs and fees of the Participation Owner Trustee) from any Participation Certificateholder that has any interest in such HELOC or from the Participation Depositor as holder of the JPM PC. The Participation Owner Trustee will seek reimbursement for its fees, costs and expenses from the applicable Representing Party, and to the extent the Participation Owner Trustee recovers any such amounts, the Participation Owner Trustee will reimburse the related Participation Certificateholders who previously provided the Participation Owner Trustee satisfactory indemnity.

If the third-party reviewer's findings in connection with the review described above conclude that a breach of a representation or warranty that would require the Representing Party to cure a breach or repurchase the related HELOC has not occurred, then the Participation Owner Trustee will report such findings to the Participation Registrar who will notify each Participation Certificateholder with a Participation Interest in such HELOC and the Participation Depositor as holder of the JPM PC of findings (which notification with respect to the 23-HE1 PC will be made to the Securities Administrator to post such information to the Securities Administrator's website); provided, however, that the Participation Owner Trustee will only be required to report such findings to the extent it has received the same. Upon written instruction to do so and satisfactory indemnity (which will include all anticipated expenses, costs and fees of the Participation Owner Trustee) from any Participation Certificateholder that has any interest in such HELOC or from the Participation Depositor as holder of the JPM PC, the Participation Owner Trustee will enforce a remedy obligation despite such determination. The Participation Owner Trustee will seek reimbursement for its fees, costs and expenses from the applicable Representing Party, and to the extent the Participation Owner Trustee recovers any such amounts, the Participation Owner Trustee will reimburse the related Participation Certificateholders who previously provided the Participation Owner Trustee satisfactory indemnity.

The Securities Administrator will cause the Issuing Entity, as the Participation Certificateholder, to provide any direction or notice to the Participation Owner Trustee with respect to a review or enforcement of a remedy on a HELOC upon the direction of any Certificateholder and payment by such Certificateholder of the amounts required to be paid by a Participation Certificateholder to the Participation Owner Trustee for such Participation Certificateholder to direct the Participation Owner Trustee to facilitate the engagement of the reviewer or any enforcement action, as applicable, described in this Memorandum.

With respect to the HELOCs and any Originator, in the event that (a) a breach of any representation and warranty results from facts and circumstances that occurred or existed on or prior to the date as of which such Originator made the applicable representation or warranty, the remedies for breaches of HELOC Representations and Warranties may only be enforced against the related Originator, and the Participation Depositor will have no obligations or liabilities in connection therewith and (b) a breach of any representation and warranty results from facts and circumstances that occurred due to actions or events arising after the date as of which such Originator made the applicable representation or warranty, the remedies for breaches of HELOC Representations and Warranties may only be enforced against the Participation Depositor to the extent of the Participation Depositor's representations and warranties set forth in Annex II-B, and the related Originator will have no obligations or liabilities in connection therewith.

Within 60 days of the date on which any notice is posted to the Securities Administrator's website that the related Representing Party who was obligated or alleged to be obligated to repurchase any HELOC failed to make such repurchase, or the conclusion of any discovery or cure period as set forth above, upon written instruction to do so and satisfactory indemnity (which must include all anticipated expenses, costs and fees of the Participation Owner Trustee) from any Participation Certificateholder that has any interest in such HELOC or from the Participation Depositor as holder of the JPM PC, the Participation Owner Trustee will resolve any such dispute by arbitration as discussed below (such written instruction, an "Arbitration Notice"). Any such dispute and any matters related to such dispute will be finally resolved by binding arbitration, and such binding arbitration will be the sole mechanism to resolve any such dispute or such related matters. Any such dispute and any matters related to such dispute that are not raised within 60 days of the posting of notice on the Securities Administrator's website will be deemed waived by the related Participation Certificateholders, the Certificateholders and the Issuing Entity. Upon receipt of written instruction and satisfactory indemnity (which must include all anticipated expenses, costs and fees of the Participation Owner Trustee with respect to such enforcement) from any Certificateholders, the Securities Administrator will provide the Arbitration Notice required pursuant to the Master Participation Agreement.

Arbitration proceedings with respect to one or more unresolved disputes may be commenced only during July or January of a calendar year (each, an "Arbitration Month"), and all matters with respect to which an Arbitration Notice has been delivered and with respect to which arbitration proceedings have not commenced will be subject to arbitration proceedings commencing in the next Arbitration Month

Any arbitration proceeding will be conducted in accordance with the CPR Institute Rules then currently in effect, or if the CPR Institute no longer exists or the CPR Institute Rules would no longer permit arbitration of the dispute, then such other Alternate Arbitration Rules as the Representing Party and the Participation Owner Trustee may mutually agree to apply to such arbitration, except to the extent any of the CPR Institute Rules or any Alternate Arbitration Rules are inconsistent with any other provisions of the related Assignment Agreement or the Master Participation Agreement, as applicable. The laws of the State of New York (other than its conflict of laws principles) will apply to the dispute, and any defenses available under the laws of the State of New York will be available in connection with any arbitration proceeding.

A single arbitrator will be selected by the applicable Representing Party and the Participation Agent, and such arbitrator will be a member of the CPR Institute Panels of Distinguished Neutrals and, to the extent possible, have experience in residential mortgage loan underwriting procedures and arbitrating disputes related to the financial services industry. The arbitrator will have no authority to amend or modify the terms of any Assignment Agreement or the Master Participation Agreement or any of the documents executed in connection therewith. The arbitration hearing will take place by video conference unless the parties to the arbitration agree otherwise.

In the case of an arbitration involving any Representing Party other than the Participation Depositor, the arbitrator will resolve the dispute on the basis of a review of the information regarding the applicable HELOC that each of the Participation Agent (or any of its agents) and the related Representing Party delivers to the arbitrator. In the case of an arbitration involving any Representing Party other than the Participation Depositor, upon a showing of good cause, either the applicable Representing Party or the Participation Agent may request the arbitrator to direct the production of such additional information, evidence and/or documentation related to the applicable HELOC from the applicable Representing Party or the Participation Agent that the arbitrator determines is both relevant to the arbitration and material to its outcome. In the case of an arbitration involving the Participation Depositor, the arbitrator will resolve the dispute on the basis of the written correspondence between the Participation Depositor and the party asserting the repurchase obligation or the breach of the related representation or warranty (including any supporting materials attached to such correspondence) conveyed by either such party to the other in connection with the dispute prior to the delivery of the notice to commence arbitration, with no additional discovery.

The decision of the arbitrator will be final and binding, and the non-prevailing party may not seek judicial review of any finding, decision or judgment by the arbitrator. The arbitration proceedings will be confidential and only the conclusion of whether or not a breach of a particular representation and warranty occurred and whether or not a related repurchase obligation exists will be reported to the Certificateholders or any Participation Certificateholder. Neither the Certificateholders nor any Participation Certificateholder will be permitted to participate in, view or listen to the arbitration proceedings.

Initially, the applicable Representing Party and the Participation Owner Trustee (on behalf of the Participation Agent and with funds on deposit in the Participation Account) will each pay 50% of the costs and expenses of the arbitrator and the costs of the arbitration proceeding, in each case, to the extent such costs and expenses are payable prior to the conclusion of the related arbitration proceeding, and each of the applicable Representing Party and the Participation Owner Trustee (on behalf of the Participation Agent and with funds on deposit in the Participation Account) will bear their own respective costs, expenses, attorneys' fees and other legal expenses in connection with any arbitration proceeding (provided that the Participation Owner Trustee's costs and expenses will be provided for by the related Participation Certificateholder as set forth herein). However, the non-prevailing party (as determined by the arbitrator) will (i) bear all costs of arbitration including the cost and expenses of the arbitrator and the cost of the arbitration proceeding and (ii) reimburse the prevailing party for its costs, expenses, attorneys' fees and other legal expenses incurred in connection with the related dispute and arbitration proceeding (including, if the Participation Agent is the prevailing party, any expenses of the Participation Agent in connection with the HELOC), provided that the non-prevailing party will not be required to reimburse more than $25,000 of the aggregate amount of such costs, expenses, attorneys' fees and legal expenses in respect of each HELOC that was the subject of such dispute and arbitration proceeding (which, for the avoidance of doubt, will be exclusive of the fee due to the arbitrator). The applicable Representing Party and the Participation Agent will use reasonable efforts to locate an arbitrator that will agree to be retained in connection with an arbitration proceeding for a fee of $25,000 or less; provided, however, that if the applicable Representing Party and the Participation Agent cannot locate an arbitrator that will agree to such fee, then such fee limit will not apply. In the event that multiple HELOCs are subject to the same arbitration proceeding, then the costs will be allocated pro rata to the applicable parties for each HELOC, measured by the number of such HELOCs without regard to any HELOC's Unpaid Principal Balance.

In addition, upon receipt of actual knowledge by the Participation Depositor, the Participation Owner Trustee, the Participation Registrar or the Participation Agent, or receipt of written notice, of any materially defective document in, or, following the date of delivery of each custodian certification required under the Master Participation Agreement, that a document is missing from the Mortgage Documents for a HELOC, the Participation Owner Trustee, upon such actual knowledge or receipt of such written notice, will promptly request that the related Originator deliver the missing document or cure or cause the cure of the defect within 120 days from the earlier of its discovery or its receipt of notice. If the related Originator fails to do so during such period, the Participation Registrar will promptly notify the Participation Agent and the Participation Certificateholders of such failure (which notice to the Participation Certificateholders then be provided to the Certificateholder and may be made by the Securities Administrator posting such information to the Securities Administrator's website). Upon receipt of written instruction and satisfactory indemnity from any Participation Certificateholder that has any interest in such HELOC or from the Participation Depositor as holder of the JPM PC, the Participation Owner Trustee on behalf of the Participation Agent will enforce the obligations of the related party to repurchase that HELOC from the Participation Agent. The Participation Owner Trustee will seek reimbursement for its fees, costs and expenses from the related Originator, and to the extent the Participation Owner Trustee recovers any such amounts, the Participation Owner Trustee will reimburse the related Participation Certificateholders who previously provided the Participation Owner Trustee satisfactory indemnity. In no event will the Participation Agent, the Participation Owner Trustee or the Participation Registrar be responsible for determining whether such defect or the fact that a document is missing has or may have a material adverse effect on the value of, or the interest of the Participation Certificateholders in, HELOC.

In addition, upon discovery by the Participation Depositor of an EPD Mortgage Loan or receipt of written notice by the Participation Depositor from the Participation Agent, the Participation Owner Trustee or the Participation Registrar of an EPD Mortgage Loan (with each of the Participation Registrar, the Participation Owner Trustee and the Participation Agent agreeing to give written notice thereof to the Participation Depositor), the Participation Depositor will promptly repurchase such EPD Mortgage Loan from the Participation Agent at the Repurchase Price within 90 days after discovery or receipt of written notice thereof; provided however, no repurchase will be required if (x) such HELOC became an EPD Mortgage Loan due to the failure to properly credit a Monthly Payment in connection with a servicing transfer or (y) no Monthly Payment on such HELOC is 30 or more days delinquent (calculated based on the Mortgage Bankers Association method of calculating delinquency) as of the date that the Repurchase Price would be payable by the Participation Depositor. If the Participation Depositor has not paid the related Repurchase Price for an EPD Mortgage Loan during such 90-day period and the proviso in the prior sentence is not applicable, upon receipt of notice from the Participation Registrar or the Custodian that the Participation Depositor has not delivered a missing document with respect to a HELOC, that a Responsible Party has not cured a defect with respect to a HELOC, or that a HELOC is an EPD Mortgage Loan and has not been repurchased, in each case, as required pursuant to the terms of the Master Participation Agreement or the Custodial Agreement, as applicable, or that a HELOC is a Severely Delinquent Mortgage Loan, the Participation Registrar will be required pursuant to the terms of the Master Participation Agreement to provide notice to any Participation Certificateholder that has an interest in such HELOC of such failure or delinquency (including to the Issuing Entity by providing notice to the Securities Administrator). Promptly upon receipt of any such notice, the Securities Administrator will post such information to the Securities Administrator's website. Each Participation Certificateholder with a Participation Interest related to such HELOC will be entitled to provide instruction to the Participation Owner Trustee on behalf of the Participation Agent to enforce the repurchase obligations set forth in the Master Participation Agreement or with respect to any Severely Delinquent Mortgage Loan, to commission a third party review. In such event, upon receipt of written instruction and satisfactory indemnity (which must include all anticipated expenses, costs and fees of the Participation Owner Trustee with respect to such enforcement) from any Certificateholders, the Securities Administrator will request enforcement of such repurchase obligation or the engagement of a third party reviewer on behalf of the Participation Certificateholder under the Master Participation Agreement. The Participation Owner Trustee will seek reimbursement for its fees, costs and expenses from the applicable Representing Party or the Participation Depositor, as applicable, and to the extent the Participation Owner Trustee recovers any such amounts, the Participation Owner Trustee will reimburse the related Participation Certificateholders who previously provided the Participation Owner Trustee satisfactory indemnity. Upon receipt of any such reimbursement, the Securities Administrator will reimburse the related Certificateholders who previously provided the Participation Owner Trustee satisfactory indemnity. In no event will the Owner Trustee be responsible for the enforcement of any such obligation.

The immediately preceding paragraph will constitute (i) the sole method of enforcement by the Participation Agent, the Participation Certificateholders and any other person for the failure of the Participation Depositor to repurchase any EPD Mortgage Loan and (ii) the sole remedy for the failure of the Participation Depositor to repurchase any EPD Mortgage Loan.

Notwithstanding the foregoing, if the Participation Depositor discovers, including through notice received from a transaction party, or determines that any Mortgage Loan does not constitute a "qualified mortgage" within the meaning of Section 860G(a)(3) of the Code and the related Representing Party has failed to repurchase such Mortgage Loan within ninety (90) days of the earlier of the Participation Depositor's discovery or receipt of its notice with respect to such affected Mortgage Loan, the Participation Depositor will repurchase such affected Mortgage Loan at the applicable Repurchase Price within ninety (90) days of the earlier of the Participation Depositor's discovery or receipt of such notice with respect to such affected Mortgage Loan. Upon obtaining actual knowledge of any such proposed repurchase, the Participation Depositor will promptly provide a written notice to the parties under the Master Participation Agreement and the applicable Custodian specifying the proposed date of repurchase and identifying the subject Mortgage Loan. Upon such repurchase, none of the Participation Certificateholders, the parties to the Master Participation Agreement or any other Person (other than the Participation Depositor) will have any recourse against such Representing Party in respect of any breach of any representation, warranty or covenant in respect of such Mortgage Loan.

The obligations of the applicable Representing Party or the Participation Depositor, as applicable, to cure or to repurchase any related HELOC pursuant to the Master Participation Agreement (i) as to which a Mortgage Document is missing or as to which there is a material defect in a Mortgage Document, (ii) which is an EPD Mortgage Loan or (iii) with respect to which there has been a breach of a representation or warranty which materially and adversely affects the value of that HELOC or the interest therein of any Participation Certificateholder, will constitute the sole remedy against such party that is available to the Certificateholders in respect of such omission, defect, EPD Mortgage Loan, breach or failure by the applicable party to give notice of any of the foregoing.

FEES AND EXPENSES OF THE PARTICIPATION AGENT

Before distributions of interest are made on the 23-HE1 PC on any Participation Distribution Date, each Servicer will be entitled to payment of its servicing fee (which will be the Servicing Fee or the Successor Servicing Fee, as applicable) as further described below. The Servicers will also be entitled to assumption fees, late payment charges, and other ancillary income in respect of the related HELOCs. With respect to any Servicer that services an ACH Mortgage Loan, the supplemental servicing fees payable to such Servicer will be increased by the amount of any increase in the mortgage rate for any such ACH Mortgage Loan pursuant to the terms of the related mortgage note due to the termination of an automatic debit or direct deposit account.

Before distributions of interest are made on the Participation Certificates on any Participation Distribution Date, (i) the Participation Owner Trustee/Participation Registrar will be entitled to payment of the Participation Owner Trustee/Participation Registrar Fee and any unpaid Participation Owner Trustee/Participation Registrar Fee from any prior Participation Distribution Date and (ii) each Custodian will be entitled to payment of the related Custodian Fee and any unpaid Custodian Fee from any prior Participation Distribution Date. Subject in certain cases to the Participation Owner Trustee/Participation Registrar Annual Expense Cap or the Custodian Annual Expense Cap, on each Participation Distribution Date expenses (including indemnities) of the Participation Registrar, each Custodian, the Servicers and the Participation Owner Trustee will be reimbursed from the Participation Agent before distributions of interest are made on the Participation Certificates.

The following table sets forth certain information with respect to the fees payable on a Participation Distribution Date to the Servicers, the Participation Owner Trustee, the Participation Registrar and the related Custodian in respect of the performance of their respective obligations to the Participation Agent.

Party	Fee Payable	Amount/Description of Fee	Priority/Source of Payment
Servicers	Monthly	The Servicing Fee or the Successor Servicing Fee, as applicable (as described below).	Each Servicer may withdraw its Servicing Fee with respect to a HELOC from interest actually collected on such HELOC out of the related Custodial Account prior to distribution to the Participation Account; provided, that, with respect to the Mortgage Loans serviced by SLS, the Participation Registrar will pay any remaining unpaid Servicing Fee for any HELOC from interest actually collected on all HELOCs serviced by SLS and, the portion of such fees related to the Mortgage Loans will be payable from interest collections on all of the Mortgage Loans in the Mortgage Pool prior to distributions to the 23-HE1 PC or any transaction party (as further described below).
Participation Owner Trustee/Participation Registrar	Monthly	With respect to the Participation Owner Trustee, each Participation Distribution Date and each HELOC, an amount equal to the product of (x) the Unpaid Principal Balance of such HELOC as of the first day of the related Monthly Period and (y) 1/12th of the Participation Owner Trustee/Participation Registrar Fee Rate.	On each Participation Distribution Date, the Participation Registrar will withdraw the Participation Owner Trustee/Participation Registrar Fee from amounts on deposit in the Participation Account prior to distributions to Participation Certificateholders and pay such amount to the Participation Owner Trustee and Participation Registrar.
Custodian	Monthly	With respect to the related Custodian and each Distribution Date and each HELOC, a monthly	On each Participation Distribution Date, the Participation Registrar will withdraw the Custodian Fee from amounts on deposit in the Participation Account prior to

Party	Fee Payable	Amount/Description of Fee	Priority/Source of Payment
		fee calculated as an amount equal to 1/12th of $12.	distributions to Participation Certificateholders and pay such amount to the Custodian.

The "Servicing Fee" with respect to each Participation Distribution Date and each HELOC serviced by (I) loanDepot, an amount equal to 1/12th of the product of (a) 0.50000% and (b) the Unpaid Principal Balance of such HELOC as of the first day of the related Monthly Period and (II) SLS, an amount equal to the sum of all Base Servicing Fees, Incentive Servicing Fees and Distressed Asset Surcharges, with respect to such HELOC for such Participation Distribution Date; provided, however, that the Servicing Fee payable to SLS with respect to any HELOC for any Participation Distribution Date shall not exceed an amount equal to 1/12th of the product of 0.50000% and the aggregate Unpaid Principal Balance of such HELOC as of the first day of the related Monthly Period.

Base Servicing Fees, Incentive Servicing Fees and Distressed Asset Surcharges will be payable only with respect to the HELOCs serviced by SLS.

The "Base Servicing Fees" with respect to each HELOC serviced by SLS included in the Participation Agent as of the first day of the related Monthly Period and any Participation Distribution Date, will be an amount equal to:

(i) $9, if such HELOC is active, all Monthly Payments are current, and such HELOC and has an Unpaid Principal Balance greater than $0;

(ii) $25, if (A) any Monthly Payment related to such HELOC is 30 or more days delinquent as of the end of the related Monthly Period, but less than 60 days delinquent as of the end of the related Monthly Period and (B) the related Mortgaged Property is not in bankruptcy, foreclosure or an REO Property during the related Monthly Period;

(iii) $35, if (A) any Monthly Payment related to such HELOC is 60 or more days delinquent as of the end of the related Monthly Period, but less than 90 days delinquent as of the end of the related Monthly Period and (B) the related Mortgaged Property is not in bankruptcy, foreclosure or an REO Property during the related Monthly Period;

(iv) $80, if (A) any Monthly Payment related to such HELOC is 90 or more days delinquent as of the end of the related Monthly Period and (B) the related Mortgaged Property is not in bankruptcy, foreclosure or an REO Property during the related Monthly Period;

(v) $65, if the related Borrower is subject to bankruptcy during the related Monthly Period;

(vi) $125, if the related Mortgaged Property is subject to foreclosure during the related Monthly Period; and

(vii) $35, if the related Mortgaged Property is an REO Property during the related Monthly Period.

The "Incentive Servicing Fees" with respect to each HELOC serviced by SLS included in the Participation Agent as of the first day of the related Monthly Period and any Participation Distribution Date, will be a one-time amount equal to:

(i) $350, if the related HELOC is set up on a repayment plan during the related Monthly Period;

(ii) $250, if the related HELOC is put on a forbearance plan during the related Monthly Period (other than any COVID-related forbearance plan), and an additional $50 to the extent such forbearance plan is extended during the related Monthly Period;

(iii) $50, if the related HELOC is put on a forbearance plan during the related Monthly Period that does not require additional documentation or a full underwriting;

(iv) $150, if the related HELOC is put on a forbearance plan during the related Monthly Period that required by the FHA or VA, and an additional $50 to the extent such forbearance plan is extended during the related Monthly Period;

(v) $500, if the related HELOC is made subject to a deferral plan for any Monthly Period;

(vi) 1.00% of the Unpaid Principal Balance of the related HELOC (subject to a minimum of $1,000 and a maximum of $1,500), if such HELOC is the subject of a servicing modification in the related Monthly Period (for the avoidance of doubt, this amount will be paid once per modification and no more than one modification incentive fee will apply per annum);

(vii) $100 for any modification denied due to missing documentation and $250 for any modification denied due to a borrower's failure to meet the related underwriting requirements for such modification;

(viii) $1,500, if the related Mortgaged Property is the subject of a short sale during the related Monthly Period;

(ix) $600, if the HELOC is subject to pays in full during the related Monthly Period and was 90 or more days delinquent as of the end of the month prior to the Monthly Period in which such HELOC pays in full;

(x) $500, if the related Mortgaged Property is the subject of a deed-in-lieu of foreclosure during the related Monthly Period; and

(xi) $250, if SLS processes a hazard claim with respect to the related HELOC.

The "Distressed Asset Surcharges" with respect to each HELOC serviced by SLS included in the Participation Agent as of the first day of the related Monthly Period and any Participation Distribution Date, will be an amount equal to:

(i) $25, if the related HELOC is considered to be a "High Risk Loan" during such Monthly Period, and a "High Risk Loan" shall include HELOCs (other than HELOCs involved in active litigation) that are assigned to the SLS "High Risk Team" on the basis of issues such as contested actions (for example, the related borrower filing an answer in a foreclosure action), title defaults necessitating the engagement of counsel, and other similar actions;

(ii) $50, if the related HELOC is involved in active litigation during the related Monthly Period (not including any regularly contested foreclosures or mediations); and

(iii) $1,000, if the related HELOC is subject to a mandatory mediation or requires other physical appearance during the related Monthly Period.

With respect to the HELOCs serviced by SLS, if the Servicing Fees, if any, due with respect to any HELOC on a Participation Distribution Date, exceed the amount of interest received on such HELOC during the related Monthly Period (such amount, the "Loan Level Servicing Fee Shortfall"), the amount of such Loan Level Servicing Fee Shortfall will be paid by the Participation Registrar to SLS on such Participation Distribution Date from interest collections received by SLS in the related Monthly Period with respect to all of the HELOCs serviced by SLS prior to any distributions to the related Participation Certificateholders or any transaction party on such

Distribution Date. Any Loan Level Servicing Fee Shortfall that remains unpaid on a Participation Distribution Date will constitute a Loan Level Servicing Fee Shortfall on each subsequent Distribution Date.

If any Servicer is no longer the Servicer, the "Successor Servicing Fee" with respect to each Participation Distribution Date will be an amount equal to the fee paid to the then-current servicer with respect to the servicing of the applicable HELOCs or such other fee in an amount agreed to in accordance with the provisions of the Master Participation Agreement, which other fee may be higher than the fee paid to the prior servicer.

The fees and expenses of the Participation Agent will be allocated among the Participation Certificateholders based on the date such fee or expense was incurred, the HELOC to which such fee or expense relates and the related Participation Certificateholder's Funded Participation Percentage with respect to such HELOC as of such date.

To the extent that the Participation Agent is required to pay on any Participation Distribution Date any Participation Trust Expenses, such amounts will be payable from collections in respect of the related HELOCs and other home equity lines of credit owned by the Participation Agent to which such expense relate prior to such amounts being available for distributions on the related Participation Certificates, subject in the case of Capped Participation Trust Expenses to the Custodian Annual Expense Cap and the Participation Owner Trustee/Participation Registrar Annual Expense Cap. Such amounts will be payable on such Participation Distribution Date to the applicable service providers on a *pro rata* basis based on their respective payment entitlements and will be allocated to the 23-HE1 PC to the extent such Participation Trust Expenses relate to the HELOCs based on the Funded Participation Percentage of the 23-HE1 PC as of the date such Participation Trust Expenses were incurred.

Custodian Capped Trust Expenses, Participation Owner Trustee/Participation Registrar Capped Trust Expenses will be subject to the Custodian Annual Expense Cap and the Participation Owner Trustee/Participation Registrar Annual Expense Cap, respectively. To the extent any Custodian Capped Trust Expenses or Participation Owner Trustee Capped/Participation Registrar Trust Expenses remain unpaid at the end of an Annual Expense Year, such unpaid amounts will be paid from the Participation Excess Cap Amount for such Annual Expense Year. On the first Participation Distribution Date immediately following the completion of an Annual Expense Year, the Participation Excess Cap Amount for such completed Annual Expense Year will be applied to pay any General Capped Participation Trust Expenses, Custodian Capped Trust Expenses and Participation Owner Trustee/Participation Registrar Capped Trust Expenses remaining unpaid at the end of such completed Annual Expense Year, *pro rata*, based on the unpaid amount of General Capped Participation Trust Expenses, Custodian Capped Trust Expenses and Participation Owner Trustee/Participation Registrar Capped Trust Expenses. If the amount distributable to pay unpaid General Capped Participation Trust Expenses pursuant to the immediately preceding sentence is payable to more than one party, such amount will be allocated *pro rata* to the parties entitled thereto based on amounts owed to such parties. To the extent any Custodian Capped Trust Expenses, Participation Owner Trustee/Participation Registrar Capped Trust Expenses or General Capped Participation Trust Expenses remain unpaid after application of the Participation Excess Cap Amount, such unpaid amounts will constitute Custodian Capped Trust Expenses, Participation Owner Trustee/Participation Registrar Capped Trust Expenses and General Capped Participation Trust Expenses, respectively, and will be paid on Distribution Dates in subsequent Annual Expense Years in the same manner as described above.

Notwithstanding the foregoing or anything herein to the contrary, Participation Aggregate Expense Fees, Eminent Domain Expenses and Servicing Transfer Costs will not be subject to any annual expense cap.

FEES AND EXPENSES OF THE ISSUING ENTITY

Before distributions of interest are made on the Certificates (other than the Excess Servicing Certificates) on any Distribution Date, (i) the Securities Administrator will be entitled to payment of the Securities Administrator Fee and any unpaid Securities Administrator Fee from any prior Distribution Date and (ii) the Owner Trustee will be entitled to payment of the Owner Trustee Fee and any unpaid Owner Trustee Fee from any prior Distribution Date. Subject in certain cases to the Securities Administrator/Trustee Annual Expense Cap, on each Distribution Date expenses (including indemnities) of the Securities Administrator and the Owner Trustee will be reimbursed from the

Issuing Entity before distributions of interest are made on the Certificates (other than the Excess Servicing Certificates).

The following table sets forth certain information with respect to the fees payable on a Distribution Date to the Owner Trustee and the Securities Administrator in respect of the performance of their respective obligations to the Issuing Entity.

Party	Fee Payable	Amount/Description of Fee	Priority/Source of Payment
Owner Trustee	Monthly	With respect to the Owner Trustee and each Distribution Date, an amount equal to 1/12th of $15,000.	On each Distribution Date, the Securities Administrator will withdraw the aggregate Owner Trustee Fee from amounts on deposit in the Distribution Account prior to distributions to Certificateholders (other than the holders of the Excess Servicing Certificates) and pay such amount to the Owner Trustee.
Securities Administrator	Monthly	With respect to the Securities Administrator and each Distribution Date, an amount equal to $4,000.	On each Distribution Date, the Securities Administrator will withdraw the Securities Administrator Fee from amounts on deposit in the Distribution Account prior to distributions to Certificateholders (other than the holders of the Excess Servicing Certificates) and pay such amount to itself.

To the extent that the Issuing Entity is required to pay on any Distribution Date any Trust Expenses, such amounts will be payable from distributions in respect of the 23-HE1 PC prior to such amounts being available for distributions on the Certificates (other than the Excess Servicing Certificates), subject in the case of Capped Trust Expenses to the Securities Administrator/Trustee Annual Expense Cap. Such amounts will be payable on such Distribution Date to the applicable service providers on a *pro rata* basis based on their respective payment entitlements.

Securities Administrator/Trustee Capped Trust Expenses will be subject to the Securities Administrator/Trustee Annual Expense Cap, respectively. To the extent any Securities Administrator/Trustee Capped Trust Expenses remain unpaid at the end of an Annual Expense Year, such unpaid amounts will be paid from the Excess Cap Amount for such Annual Expense Year. On the first Distribution Date immediately following the completion of an Annual Expense Year, the Excess Cap Amount for such completed Annual Expense Year will be applied to pay any General Capped Trust Expenses and Securities Administrator/Trustee Capped Trust Expenses remaining unpaid at the end of such completed Annual Expense Year, *pro rata*, based on the unpaid amount of General Capped Trust Expenses and Securities Administrator/Trustee Capped Trust Expenses. If the amount distributable to pay unpaid General Capped Trust Expenses pursuant to the immediately preceding sentence is payable to more than one party, such amount will be allocated *pro rata* to the parties entitled thereto based on amounts owed to such parties. To the extent any Securities Administrator/Trustee Capped Trust Expenses or General Capped Trust Expenses remain unpaid after application of the Excess Cap Amount, such unpaid amounts will constitute Securities Administrator/Trustee Capped Trust Expenses and General Capped Trust Expenses, respectively, and will be paid on Distribution Dates in subsequent Annual Expense Years in the same manner as described above.

Notwithstanding the foregoing or anything herein to the contrary, Aggregate Expense Fees and Benchmark Replacement Indemnification Amounts will not be subject to any annual expense cap.

SECURITIZATION SALE AGREEMENT

General

The following summary describes certain provisions of the Securitization Sale Agreement. The summary does not purport to be complete and is subject to, and is qualified in its entirety by reference to, the provisions of the Securitization Sale Agreement. Additional information concerning the Securitization Sale Agreement is contained herein under "*Description of the Certificates*."

Duties of the Securities Administrator

Under the Securitization Sale Agreement and the Trust Agreement, the Securities Administrator's material duties will include (i) to authenticate and deliver the Certificates; (ii) to maintain a certificate register; (iii) to calculate and make the required distributions to Certificateholders on each Distribution Date; (iv) to prepare and make available to Certificateholders the monthly distribution reports and any other reports required to be delivered by the Securities Administrator; (v) to send a notice to holders of a class of Certificates when the remaining Class Principal Amount of such class of Certificates is to be paid on a specified Distribution Date; (vi) to perform certain tax administration services for the Issuing Entity; (vii) to communicate with investors with respect to the Certificates and provide to the Issuing Entity and the Owner Trustee any written directions, notices or communications received from the Certificateholders; and (viii) to maintain a website for Certificateholders to communicate with each other. In performing the obligations set forth in clauses (iii) and (iv) above, the Securities Administrator will be able to rely on the monthly loan information provided to it by the Participation Registrar, and will perform all obligations set forth above solely to the extent described in the Securitization Sale Agreement and the Trust Agreement.

The Securities Administrator agrees to maintain the credit ratings set forth in the Securitization Sale Agreement.

The Securities Administrator will not be required to perform services under the Securitization Sale Agreement, or to expend or risk its own funds or otherwise incur financial liability for the performance of any of its duties thereunder or the exercise of any of its rights or powers if it has reasonable grounds for believing that the timely payment of its fees and expenses or the repayment of such funds or adequate indemnity against such risk or liability is not reasonably assured to it. In addition, the Securities Administrator will not be personally liable with respect to any action taken, suffered or omitted to be taken by it in good faith in accordance with the direction of the Certificateholders holding Certificates which evidence the percentage of Aggregate Voting Interests required under the Securitization Sale Agreement (or, if no percentage is specified, by a majority of the Aggregate Voting Interests of the Certificates) as to the time, method and place of conducting any proceeding for any remedy available to the Securities Administrator or exercising any trust or power conferred upon the Securities Administrator under the Securitization Sale Agreement. See "*Description of the Certificates—Voting Interests*" in this Memorandum.

The Securities Administrator will have no obligation to exercise any of the trusts or powers vested in it by the Securitization Sale Agreement or to institute, conduct or defend any litigation thereunder or in relation thereto, in each case at the request, order or direction of any of the Certificateholders pursuant to the provisions of the Securitization Sale Agreement, unless such request or direction is made by the percentage of Certificateholders required thereunder (or if no percentage is specified, by a majority of the Aggregate Voting Interests of Certificates), and such Certificateholders have offered to the Securities Administrator reasonable security or indemnity against the costs, expenses and liabilities which may be incurred therein or thereby.

The Securities Administrator will not have any obligation to conduct any investigation with respect to discovering if a defective Mortgage Document, Defective Mortgage Loan or other defect or breach exists under the Securitization Sale Agreement or with respect to the Mortgage Loans.

In the performance of its duties, the Securities Administrator may request, and conclusively rely upon and will be protected in acting or refraining from acting upon any resolution, officer's certificate, certificate of auditors or any other certificate, statement, instrument, opinion, report, notice or other document believed by it to be genuine and to have been signed or presented by the proper party or parties. The Securities Administrator may also consult with counsel, and any advice of its counsel or opinion of counsel will be full and complete authorization and protection in respect of any action taken or suffered or omitted by the Securities Administrator under the Securitization Sale Agreement in good faith and in accordance with such advice or opinion of counsel. In connection with any request by the Depositor that the Securities Administrator take any action or refrain from taking any action, such party may request and conclusively rely upon, and will be protected in acting or refraining from acting upon, any officer's certificate of the Depositor.

Limitation of Liability; Indemnification

The Securities Administrator will not have any liability arising out of or in connection with the Securitization Sale Agreement, except for its own negligent action, its own negligent failure to act, its own bad faith or its own willful misconduct (as determined by a court of competent jurisdiction pursuant to a final order or verdict not subject to appeal). The Securities Administrator will not be personally liable for any action taken, suffered or omitted by it in good faith and reasonably believed by it to be authorized or within the discretion or rights or powers conferred upon it by the Securitization Sale Agreement. In addition, the Securities Administrator will not be responsible for any act or omission of the Depositor, the Participation Certificate Seller, any Servicer or the Custodian. The Securities Administrator will not be liable for any special, indirect, punitive or consequential losses or damages of any kind whatsoever (including, but not limited to, lost profits), even if the Securities Administrator has been advised of the likelihood of such loss or damage and regardless of the form of action, or for any loss or damage, or any failure or delay in the performance by it of any of its obligations under the Securitization Sale Agreement, to the extent such loss, damage, failure or delay is the result of certain force majeure events.

WSFS, both in its individual capacity and in its capacity as Securities Administrator, and each of its directors, officers, employees and agents (for purposes of this paragraph, each, a "Securities Administrator Indemnified Party") will be indemnified and held harmless by, and entitled to reimbursement from, the Issuing Entity for any unreimbursed claim, loss, liability, damage, cost or expense (including, without limitation, reasonable attorneys' fees and disbursements and any extraordinary or unanticipated expense) incurred or expended without negligence, bad faith or willful misconduct on its part (any allegation of such to be determined by a court of competent jurisdiction pursuant to a verdict not subject to appeal), arising out of, or in connection with (a) investigating, preparing for, defending itself or themselves against, or prosecuting for itself or themselves, or on behalf of the trust estate or the Issuing Entity, any legal proceeding, whether pending or threatened, that is related directly or indirectly in any way to the Issuing Entity, the Securitization Sale Agreement, the trust estate or the Certificates (including without limitation the initial offering and any transfer and exchange of the Certificates), (b) pursuing enforcement (including without limitation by means of any action, claim, or suit brought by WSFS for such purpose) of any indemnification or other obligation of the Issuing Entity (the indemnification afforded under this clause (b) to include, without limitation, any legal fees, costs and expenses incurred by WSFS in connection therewith) or (c) the performance of any or all of its duties or responsibilities or the exercise or lack of exercise of any or all of its or their powers, rights or privileges under the Securitization Sale Agreement, including without limitation (i) complying with any new or updated laws or regulations directly related to the performance by it of its obligations under the Securitization Sale Agreement or the Trust Agreement, as applicable, and (ii) addressing any bankruptcy claim in any way related to or affecting the Securitization Sale Agreement, the Master Participation Agreement, or, in each case, any party to such agreements, including, as applicable, all costs incurred in connection with the use of default specialists within or outside of WSFS, (in the case of WSFS personnel, such costs to be calculated using standard market rates), provided that no Securities Administrator Indemnified Party will be protected against any liability resulting from any breach of any representation, warranty or covenant made by it in the Securitization Sale Agreement or in any other transaction document to which it is a party, or from any liability specifically imposed on such Securities Administrator Indemnified Party in the Securitization Sale Agreement or in any such transaction document.

Resignation and Removal of the Securities Administrator; Appointment of Successor

The Securities Administrator may at any time resign and be discharged as Securities Administrator by giving written notice to the Issuing Entity, the Participation Certificate Seller, the Depositor and the Participation Registrar and shall post such information to the Securities Administrator's website. Upon receiving such notice of resignation, the Depositor, with the consent of the Retaining Sponsor, will promptly appoint a successor Securities Administrator. If no successor Securities Administrator has been so appointed and have accepted appointment within 30 days after the giving of such notice of resignation, the resigning Securities Administrator may petition any court of competent jurisdiction for the appointment of a successor Securities Administrator, and all fees, costs and expenses (including, without limitation, attorneys' fees) incurred in connection with such petition will be paid as a Trust Expense. Notwithstanding the foregoing, no resignation of the Securities Administrator from its obligations under the Securitization Sale Agreement will become effective if, prior to the effective date of such resignation, the Depositor has received written notice from the Rating Agencies that such resignation will result in a reduction or withdrawal of the then current ratings of the Certificates. If the Depositor receives written notice from a Rating Agency that such resignation will result in a reduction or withdrawal of the then current ratings of the Certificates, the Depositor will promptly forward such notice to the resigning Securities Administrator.

If at any time (i) the Securities Administrator becomes incapable of acting, or is adjudged a bankrupt or insolvent, or a receiver of the Securities Administrator or its property is appointed, or any public officer takes charge or control of the Securities Administrator or its property or affairs for the purpose of rehabilitation, conservation or liquidation or (ii) the continued use of the Securities Administrator would result in a downgrading of the rating by any Rating Agency of any class of Certificates with a rating, then the Depositor will remove the Securities Administrator upon written notice thereof to the Securities Administrator, the Participation Certificate Seller, the Retaining Sponsor, the Issuing Entity, the Rating Agencies and the Participation Registrar, and the Depositor, with the consent of the Retaining Sponsor, will appoint a successor Securities Administrator. A Securities Administrator may not be the Depositor or an affiliate of Depositor (in each case, an "Affiliated Entity") unless the Securities Administrator is (i) an institutional trust department of such Affiliated Entity, (ii) authorized to exercise corporate trust powers under the laws of its jurisdiction of organization and (iii) rated at least "A/F1" by Fitch, if Fitch is a Rating Agency, or the equivalent rating by Moody's (collectively, the "Affiliated Entity Requirements"). If a Securities Administrator is an Affiliated Entity and fails to satisfy the Affiliated Entity Requirements, the Depositor may remove the Securities Administrator by written notice thereof to the Securities Administrator, the Participation Certificate Seller, the Retaining Sponsor, the Issuing Entity, the Rating Agencies and the Participation Registrar, and the Depositor, with the consent of the Retaining Sponsor, may appoint another Securities Administrator. If the Securities Administrator is so removed and no successor Securities Administrator has been appointed and has accepted appointment within 60 days after delivery of notice thereof by the Depositor, then the Owner Trustee will appoint or petition a court of competent jurisdiction to appoint, a successor Securities Administrator meeting the requirements set forth in the Securitization Sale Agreement, as the successor Securities Administrator thereunder in the assumption of all or any part of the responsibilities, duties or liabilities of the Securities Administrator under the Securitization Sale Agreement, and all fees, costs and expenses (including without limitation attorneys' fees) incurred in connection with such petition will be paid as a Trust Expense.

The Holders of more than 50% of the Voting Interests of each class of Certificates may at any time upon 30 days' prior written notice to the Securities Administrator and to the Depositor (who will provide such notice to the Retaining Sponsor) remove the Securities Administrator by such written instrument signed by such Holders or their attorney-in-fact duly authorized, one copy of which instrument will be delivered to the Depositor (who will provide such notice to the Retaining Sponsor), one copy to the Securities Administrator and one copy to the Participation Registrar. The Depositor, with the consent of the Retaining Sponsor, will thereupon appoint a successor Securities Administrator in accordance with the Securitization Sale Agreement.

Any request for the consent of the Retaining Sponsor pursuant to the above will not be unreasonably withheld and will be provided to the Depositor within five (5) Business Days of the request for such consent. To the extent such consent is not provided within five (5) Business Days, the Retaining Sponsor will be deemed to have provided its consent.

Limitations and Rights of Certificateholders

No Certificateholder will have any right to institute any suit, action or proceeding with respect to the Securitization Sale Agreement or the Certificates unless (i) Certificateholders holding more than 50% of the Aggregate Voting Interests of the Certificates have made written request to the Issuing Entity (or the Owner Trustee on its behalf) to institute such action, suit or proceeding on behalf of the Issuing Entity and such Certificateholders have offered to the Issuing Entity (or the Owner Trustee on its behalf) reasonable indemnity against the costs, expenses and liabilities to be incurred by the Issuing Entity and the Owner Trustee in compliance with such request; (ii) the Issuing Entity (or the Owner Trustee on its behalf) for 30 days after its receipt of such request and indemnity has failed to institute any such action, suit or proceeding; and (iii) no direction inconsistent with such written request has been given to the Issuing Entity (or the Owner Trustee on its behalf) during such 30-day period by Certificateholders holding more than 50% of the Aggregate Voting Interests of Certificates. The Issuing Entity (or the Owner Trustee on its behalf) will be under no obligation to exercise any of the powers vested in it by the Securitization Sale Agreement or to institute, conduct or defend any litigation thereunder or in relation thereto at the request, order or direction of any of the Holders of Certificates, unless such Certificateholders have offered to the Issuing Entity and the Owner Trustee reasonable security or indemnity satisfactory to it against the costs, expenses and liabilities that may be incurred.

Amendment

The Securitization Sale Agreement may be amended by the Participation Certificate Seller, the Retaining Sponsor, the Issuing Entity, the Depositor and the Securities Administrator, without notice to or the consent of any Certificateholders (i) to cure any ambiguity or mistake, (ii) to cause the provisions in the Securitization Sale Agreement to conform to or be consistent with or in furtherance of the statements made with respect to the Certificates, the Issuing Entity, the trust estate or the Securitization Sale Agreement in this Memorandum, or to correct or supplement any provision in the Securitization Sale Agreement which may be inconsistent with any other provisions therein or with the provisions of the Purchase Agreements, the Servicing Agreements and the other transaction documents, (iii) to add to the duties of the Participation Certificate Seller, the Depositor, the Securities Administrator or the Issuing Entity, (iv) to modify, alter, amend, add to or rescind any of the terms or provisions contained in the Securitization Sale Agreement to comply with any rules or regulations promulgated by the SEC from time to time, (v) to add to, delete, or modify any provisions for the purposes of complying with or facilitating compliance with applicable laws or applicable disclosure laws, (vi) to add, delete, or amend any provisions to the extent necessary or desirable to comply with any requirements imposed by the Code, (vii) to add any other provisions with respect to matters or questions arising under the Securitization Sale Agreement and (viii) to modify, alter, amend, add to or rescind any of the terms or provisions contained in the Securitization Sale Agreement. No such amendment effected pursuant to clause (vii) or (viii) of the preceding sentence may adversely affect in any material respect the interests of any Certificateholder, as evidenced by (A) an opinion of counsel delivered to the Securities Administrator to such effect which may rely on an officer's certificate to such effect or (B) satisfaction of the Rating Agency Condition in connection with such amendment. No later than ten (10) Business Days (or such shorter period of time as may be reasonably necessary given the circumstances) prior to any amendment of the Securitization Sale Agreement, written notice of any such amendment will be provided to the Certificateholders; provided, that the Securities Administrator may provide such notice to the Certificateholders by posting such information to the Securities Administrator's website in accordance with the applicable provisions of the Securitization Sale Agreement.

The Securitization Sale Agreement may also be amended by the Participation Certificate Seller, the Retaining Sponsor, the Issuing Entity, the Depositor and the Securities Administrator with the consent of the Holders of Certificates of each class affected thereby, in each case evidencing not less than 66-2/3% of the Voting Interests of such class, for the purpose of adding any provisions to or changing in any manner or eliminating any of the provisions of the Securitization Sale Agreement or of modifying in any manner the rights of the Certificateholders; *provided however*, that no such amendment may be made unless the Securities Administrator receives an opinion of counsel to the effect that such amendment will not cause the Issuing Entity (or any portion thereof) to be subject to an entity-level tax for federal income tax purposes; and *provided*, *further*, that no such amendment may (i) reduce in any manner the amount of, or delay the timing of, distributions received on the 23-HE1 PC which are required to be distributed on any Certificate, without the consent of the Holder of such Certificate or (ii) reduce the percentage of the Voting Interests of any class of Certificates, the Holders of which are required to consent to any such amendment without the consent of the Holders of 100% of the Voting Interests of each class of Certificates affected thereby.

No amendment of the Securitization Sale Agreement that affects the rights, responsibilities, indemnities or immunities of Owner Trustee may be made without its prior written consent.

Any request for the consent of the Retaining Sponsor pursuant to the above will not be unreasonably withheld and will be provided to the Depositor within five (5) Business Days of the request for such consent. To the extent such consent is not provided within five (5) Business Days, the Retaining Sponsor will be deemed to have provided its consent.

Prior to entering into any amendment, the Securities Administrator and the Owner Trustee will be provided with an opinion of counsel (which will not be at the expense of the Securities Administrator or the Owner Trustee) to the effect that such amendment is permitted under the relevant provisions of the Securitization Sale Agreement and that all conditions precedent thereto have been met. All expenses of the Owner Trustee and the Securities Administrator incurred in connection with any amendment (including without limitation reasonable attorneys' fees) will be paid by the party requesting such amendment or, if such amendment is initiated by the Owner Trustee or the Securities Administrator, will be paid as a Trust Expense.

THE MASTER PARTICIPATION AGREEMENT

General

The following summary describes certain provisions of the Master Participation Agreement. The summary does not purport to be complete and is subject to, and is qualified in its entirety by reference to, the provisions of the Master Participation Agreement. Additional information concerning the Master Participation Agreement is contained herein under "*HELOC Loan Representations and Warranties," "Servicing of the HELOCs" and* "*Description of the 23-HE1 PC*."

Duties of the Participation Registrar

Under the Master Participation Agreement and the Participation Trust Agreement, the Participation Registrar's material duties will include (i) to authenticate the Participation Certificates; (ii) to maintain a participation register; (iii) to calculate and make the required distributions to the Participation Certificateholders on each Participation Distribution Date; (iv) to prepare and make available to Participation Certificateholders the monthly distribution reports and any other reports required to be delivered by the Participation Registrar; (v) to perform certain tax administration services for the Participation Agent; and (vi) to communicate with Participation Certificateholders and provide to the Participation Agent and the Participation Owner Trustee any written directions, notices or communications received from the Participation Certificateholders. In performing the obligations set forth in clauses (iii) and (iv) above, the Participation Registrar will be able to rely on the monthly loan information provided to it by the Servicers, and will perform all obligations set forth above solely to the extent described in the Master Participation Agreement and the Participation Trust Agreement.

The Participation Registrar agrees to maintain the credit ratings set forth in the Master Participation Agreement.

The Participation Registrar will not be required to perform services under the Master Participation Agreement, or to expend or risk its own funds or otherwise incur financial liability for the performance of any of its duties thereunder or the exercise of any of its rights or powers if it has reasonable grounds for believing that the timely payment of its fees and expenses or the repayment of such funds or adequate indemnity against such risk or liability is not reasonably assured to it. In addition, the Participation Registrar will not be liable with respect to any action it takes or omits to take in good faith in accordance with the direction received by it from Participation Certificateholders holding Participaction Certificates which evidence the percentage of Aggregate Voting Interests required under the Master Participation Agreement, to take such action.

The Participation Registrar will have no duty to conduct any affirmative investigation as to the occurrence of any condition requiring the repurchase of any HELOC pursuant to a Purchase Agreement or the Securitization Sale Agreement.

Before the Participation Registrar takes any action (or refrains from taking any action) not contemplated or required under the Master Participation Agreement, it may require an officer's certificate or an opinion of counsel from the Participation Depositor. The Participation Registrar will not be liable for any action it takes or omits to take in good faith in reliance on and in accordance with an officer's certificate or opinion of counsel. The

Participation Registrar will not be liable for any action it takes or omits to take in good faith which it believes to be authorized or within its rights or powers. The Participation Registrar may consult with counsel, and the written advice of such counsel, or receipt by the Participation Registrar, of an opinion of counsel, in each case with respect to legal matters relating to the Master Participation Agreement, will be full and complete authorization and protection from liability with respect to any action taken, omitted or suffered by it under the Master Participation Agreement in good faith and in accordance with such written advice of counsel or opinion of counsel.

Duties of the Participation Owner Trustee

From and after the Closing Date, the Participation Owner Trustee, on behalf of the Participation Agent and the Participation Certificateholders, will monitor the performance of each Servicer under the related Servicing Agreement. The Participation Owner Trustee will consult with the Servicers as necessary from time to time to carry out the Participation Owner Trustee's obligations under the Master Participation Agreement, will receive and review all reports, information and other data provided to the Participation Owner Trustee (or cause the Participation Registrar to review such reports, information and data) by each Servicer and will enforce the obligation of each Servicer to perform and observe the covenants, obligations and conditions to be performed or observed by such Servicer under the related Servicing Agreement. The Participation Owner Trustee will reconcile the results of its HELOC monitoring with the actual remittances of each Servicer to the Participation Account (as confirmed by the Participation Registrar) pursuant to the Master Participation Agreement or the related Servicing Agreement, as applicable. In its review of the activities of each Servicer, the Participation Owner Trustee may rely upon an Officer's Certificate of such Servicer (or any similar document signed by an officer of such Servicer). The Participation Owner Trustee may also rely upon each Servicer's annual statement of compliance provided to the Participation Owner Trustee pursuant to the related Servicing Agreement with regard to such Servicer's compliance with the terms of the related Servicing Agreement. The Participation Owner Trustee will not be responsible or liable for the day-to-day servicing activities of any Servicer or for any unlawful act or omission, breach, negligence, fraud, willful misconduct or bad faith of any Servicer.

The Participation Owner Trustee will not have any obligation to conduct any investigation with respect to discovering if a defective Mortgage Document, defective HELOC or other defect or breach exists under the Master Participation Agreement or with respect to the HELOCs.

In the performance of its duties, the Participation Owner Trustee may request, and conclusively rely upon and will be protected in acting or refraining from acting upon any resolution, officer's certificate, certificate of auditors or any other certificate, statement, instrument, opinion, report, notice or other document believed by it to be genuine and to have been signed or presented by the proper party or parties. The Participation Owner Trustee may also consult with counsel and any advice of its counsel or opinion of counsel will be full and complete authorization and protection in respect of any action taken or suffered or omitted by the Participation Owner Trustee under the Master Participation Agreement in good faith and in accordance with such advice or opinion of counsel. In connection with any request by the Participation Depositor that the Participation Owner Trustee take any action or refrain from taking any action, such party may request and conclusively rely upon, and will be protected in acting or refraining from acting upon, any officer's certificate of the Participation Depositor.

Limitation of Liability; Indemnification

The Participation Registrar will not be relieved from liability for its own negligent action, its own negligent failure to act or its own willful misconduct (in each case, as agreed to by such party or as otherwise determined by a court of competent jurisdiction), except that (i) in the absence of bad faith on its part, it may conclusively rely upon, as to the correctness of the statements and opinions expressed within, any certificate, report, opinion, consent, direction, document or other instrument furnished to it and conforming to the applicable requirements of the Master Participation Agreement; provided, however, it will examine any such certificate, report, document or other instrument to determine whether or not it conforms on its face to the applicable requirements of the Master Participation Agreement, (ii) the Participation Registrar will not be liable for any error of judgment made in good faith by a responsible officer of the Participation Registrar unless it is proved that the Participation Registrar was negligent in ascertaining the pertinent facts, as agreed to by the Participation Registrar or as otherwise determined by a court of competent jurisdiction and (iii) the Participation Registrar will not be liable with respect to any action it takes or omits to take in good faith in accordance with direction received by it from Participation

Certificateholders holding Participation Certificates which evidence the percentage of Aggregate Voting Interests required under the Master Participation Agreement to take any such action. The Participation Registrar will not be liable for any action it takes or omits to take in good faith which it believes to be authorized or within its rights or powers. The Participation Registrar will not be responsible for the acts or omissions of any other party to the Master Participation Agreement. The Participation Registrar will not be liable for any special, indirect, punitive or consequential losses or damages of any kind whatsoever (including, but not limited to, lost profits), even if the Participation Registrar has been advised of the likelihood of such loss or damage and regardless of the form of action, or for any failure or delay in the performance by it of any of its obligations under the Master Participation Agreement, to the extent such loss, damage, failure or delay is the result of certain force majeure events.

The Participation Owner Trustee will not have any liability arising out of or in connection with the Master Participation Agreement, except for its own negligent action, its own negligent failure to act, its own bad faith or its own willful misconduct (as determined by a court of competent jurisdiction pursuant to a final order or verdict not subject to appeal). The Participation Owner Trustee will not be personally liable for any action taken, suffered or omitted by it in good faith and reasonably believed by it to be authorized or within the discretion or rights or powers conferred upon it by the Master Participation Agreement. In addition, the Participation Owner Trustee will not be responsible for any act or omission of the Participation Depositor, any Servicer or the Custodian. The Participation Owner Trustee will not be liable for any special, indirect, punitive or consequential losses or damages of any kind whatsoever (including, but not limited to, lost profits), even if the Participation Owner Trustee has been advised of the likelihood of such loss or damage and regardless of the form of action, or for any loss or damage, or any failure or delay in the performance by it of any of its obligations under the Master Participation Agreement, to the extent such loss, damage, failure or delay is the result of certain force majeure events.

WSFS, in its individual capacity and in its capacity as Participation Registrar, and its respective directors, officers, employees and agents (for purposes of this paragraph, each a "Participation Registrar Indemnified Party") will be indemnified and held harmless by, and entitled to reimbursement from, the Participation Agent for any unreimbursed claim, loss, liability, damage, cost or expense (including, without limitation, reasonable attorneys' fees and disbursements and any extraordinary or unanticipated expense) incurred or expended without negligence, bad faith or willful misconduct on its part (any allegation of such to be determined by a court of competent jurisdiction pursuant to a verdict not subject to appeal), arising out of, or in connection with (a) investigating, preparing for, defending itself or themselves against or prosecuting for itself or themselves any legal proceeding, whether pending or threatened, that is related directly or indirectly in any way to the transaction documents, (b) pursuing successful enforcement (including by means of any action, claim or suit brought by the Participation Registrar for such purpose) of any indemnification or other obligation of the Participation Depositor (the indemnification afforded under this clause (b) to include any reasonable legal fees, costs and expenses incurred by the Participation Registrar in connection therewith) and (c) the acceptance or administration of the trusts created under any transaction document and the performance of its duties and responsibilities, and the exercise or the lack of exercise of any or all of its powers, rights or privileges hereunder or under any other transaction document, including (i) complying with any new or updated law or regulation in any way related to or affecting the transactions contemplated under any transaction document or any party to any transaction document, and (ii) addressing any bankruptcy in any way related to or affecting the transactions contemplated under any transaction document or any party to any transaction document, including with respect to this clause (ii), all costs incurred in connection with the use of default specialists within or outside WSFS (such costs to be calculated using standard market rates), *provided* that this provision will not protect any Participation Registrar Indemnified Party against any liability resulting from any breach of any representation, warranty or covenant made by it herein or in any other transaction document to which it is a party, or from any liability specifically imposed on such Participation Registrar Indemnified Party herein or in any such transaction document.

During any time that a Participation Certificate is not subject to a Securitization Sale Agreement, the Participation Owner Trustee and any director, officer, employee or agent of the Participation Owner Trustee will be indemnified by the Participation Depositor and held harmless against any loss, liability, damages or reasonable out-of-pocket costs or expenses (including any legal fees and expenses) incurred in connection with the administration of the Participation Trust or this Agreement (other than its ordinary out of pocket expenses incurred hereunder) or in connection with any claim or legal action relating to the Participation Trust or this Agreement (including any claim or legal action brought to enforce the indemnification obligations of the Participation Depositor hereunder), other than any loss, liability or expense incurred by reason of such indemnified party's own gross negligence or intentional misconduct.

The indemnification to which the Participation Owner Trustee is entitled is set forth in the Participation Trust Agreement. See "*The Participation Trust Agreement—Limitation of Liability; Indemnification*."

Resignation and Removal of the Participation Registrar and Participation Owner Trustee; Appointment of Successor

The Participation Registrar may resign at any time by providing thirty (30) days written notice to the Participation Depositor. The Participation Depositor may remove the Participation Registrar upon thirty (30) days written notice to the Participation Registrar. No resignation or removal of the Participation Registrar and no appointment of a successor Participation Registrar will become effective until the acceptance of appointment by the successor Participation Registrar in accordance with the terms of the Master Participation Agreement.

In the event of the resignation of the Participation Registrar, the Participation Depositor, with the consent of the Retaining Sponsor (and any Other Retaining Sponsor), will appoint a successor to act as Participation Registrar. If a successor Participation Registrar does not take office within sixty (60) days after the Participation Registrar resigns, the Participation Depositor or the resigning Participation Registrar may petition any court of competent jurisdiction for the appointment of a successor Participation Registrar, and all fees, costs and expenses (including attorneys' fees) incurred in connection with such petition will be paid by the resigning Participation Registrar (unless such resignation is due to non-payment of fees or is the direct result of circumstances beyond the control of the Participation Registrar (for which it has reasonably determined that it can no longer continue in its capacity as Participation Registrar), then such fees, costs and expenses will be paid by the Participation Depositor).

In the event of the removal of the Participation Registrar, the Participation Depositor, with the consent of the Retaining Sponsor (and any Other Retaining Sponsor), will appoint a successor to act as Participation Registrar. If a successor Participation Registrar does not take office within sixty (60) days after the Participation Registrar is removed, the Participation Depositor or the removed Participation Registrar may petition any court of competent jurisdiction for the appointment of a successor Participation Registrar, and all fees, costs and expenses (including attorneys' fees) incurred in connection with such petition will be paid by the Participation Depositor.

The Holders of more than 50% of the Voting Interests of the Participation Certificates may at any time upon 30 days' prior written notice to the Participation Registrar and to the Participation Depositor remove the Participation Registrar by such written instrument, and the Participation Depositor will thereupon appoint a successor Participation Registrar in accordance with the Master Participation Agreement.

The Holders of more than 50% of the Voting Interests of the Participation Certificates may at any time upon 30 days' prior written notice to the Participation Registrar and to the Participation Depositor remove the Participation Owner Trustee by such written instrument, and the Participation Depositor will thereupon appoint a successor Participation Owner Trustee in accordance with the Participation Trust Agreement.

Any request for the consent of the Retaining Sponsor (and any Other Retaining Sponsor) pursuant to the above will not be unreasonably withheld and will be provided to the Participation Depositor within five (5) Business Days of the request for such consent. To the extent such consent is not provided within five (5) Business Days, the Retaining Sponsor (and the related retaining sponsor in any other securitization transaction related to the HELOCs) will be deemed to have provided its consent.

Limitations and Rights of Certificateholders

No Participation Certificateholder will have any right at any time prior to one year from the date of the termination of the Master Participation Agreement to institute against the Participation Agent or join in any institution against the Participation Agent of, any bankruptcy, reorganization, arrangement, insolvency or liquidation proceedings, or other proceedings under any United States federal or state bankruptcy or similar law in connection with any obligations relating to any Participation Certificate or the Master Participation Agreement.

Amendment

The Master Participation Agreement may be amended by the Participation Agent, the Participation Registrar, the Participation Depositor and the Participation Owner Trustee, and with the consent of the Retaining Sponsor and any Other Retaining Sponsor, without notice to or the consent of any Participation Certificateholder (i) to cure any ambiguity or mistake, (ii) to cause the provisions in the Master Participation Agreement to conform to or be consistent with or in furtherance of the statements made with respect to the Participation Certificates, the Participation Agent, the participation trust estate or the Master Participation Agreement in this Memorandum, or to correct or supplement any provision in the Master Participation Agreement which may be inconsistent with any other provisions therein or with the provisions of the transaction documents, (iii) to add to the duties of the Participation Depositor, the Participation Registrar, the Participation Owner Trustee or the Participation Agent, (iv) to modify, alter, amend, add to or rescind any of the terms or provisions contained in the Master Participation Agreement to comply with any rules or regulations promulgated by the SEC from time to time, (v) to add to, delete, or modify any provisions for the purposes of complying with or facilitating compliance with applicable laws or applicable disclosure laws, (vi) to add, delete, or amend any provisions to the extent necessary or desirable to comply with any requirements imposed by the Code, (vii) to add any other provisions with respect to matters or questions arising under the Master Participation Agreement and (viii) to modify, alter, amend, add to or rescind any of the terms or provisions contained in the Master Participation Agreement. No such amendment effected pursuant to clause (vii) or (viii) of the preceding sentence may adversely affect in any material respect the interests of any Participation Certificateholder, as evidenced by (A) an opinion of counsel delivered to the Participation Registrar to such effect which may rely on an officer's certificate to such effect or (B) satisfaction of the Rating Agency Condition in connection with such amendment. No later than ten (10) Business Days prior to any amendment of the Master Participation Agreement, written notice of any such amendment will be provided to the Participation Certificateholders (which notification with respect to the 23-HE1 PC will be made to the Securities Administrator to post such information to the Securities Administrator's website).

The Master Participation Agreement may also be amended by the Participation Agent, the Participation Registrar, the Participation Depositor, the Retaining Sponsor (and the related retaining sponsor in any other securitization transaction related to the HELOCs) and the Participation Owner Trustee with the consent of the Participation Certificateholders affected thereby, in each case evidencing not less than 66-2/3% of the Voting Interests of such Participation Certificates, for the purpose of adding any provisions to or changing in any manner or eliminating any of the provisions of the Master Participation Agreement or of modifying in any manner the rights of the Participation Certificateholders; *provided however*, that no such amendment may be made unless the Participation Registrar receives an opinion of counsel, at the expense of the party requesting the change, that such amendment will not cause the Participation Agent (or any portion thereof) to be subject to an entity-level tax for federal income tax purposes; and *provided*, *further*, that no such amendment may (i) reduce in any manner the amount of, or delay the timing of, payments received on the HELOCs which are required to be distributed on any Participation Certificate, without the consent of the related Participation Certificateholder or (ii) reduce the aforesaid percentages of the Voting Interests of any Participation Certificateholders, the consent of which is required for any such amendment without the consent of 100% of the Participation Certificateholders affected thereby. Notwithstanding the foregoing, the Master Participation Agreement may be amended by the Participation Depositor, the Participation Agent, the Participation Owner Trustee and the Participation Registrar without any further consents to effect any redemption under a Securitization Sale Agreement.

No amendment of the Master Participation Agreement that affects the rights, responsibilities, indemnities or immunities of the Participation Owner Trustee may be made without its prior written consent. No amendment to the provisions of the Master Participation Agreement related to repurchases of HELOCs due to breaches of representations and warranties made by a Representing Party or the related arbitration procedures may be made by the Participation Agent without the prior written consent of each Representing Party affected thereby. Any request for the consent of the Retaining Sponsor (and any Other Retaining Sponsor) pursuant to the above will not be unreasonably withheld and will be provided to the Participation Depositor within five (5) Business Days of the request for such consent. To the extent such consent is not provided within five (5) Business Days, the Retaining Sponsor (and the related retaining sponsor in any other securitization transaction related to the HELOCs) will be deemed to have provided its consent.

Prior to entering into any amendment, the Participation Registrar, the Participation Owner Trustee and the Owner Trustee will be provided with an opinion of counsel (which will not be at the expense of the Participation Owner Trustee or the Participation Registrar) to the effect that such amendment is permitted under the relevant provisions of the Master Participation Agreement and that all conditions precedent thereto have been met. All expenses of the Participation Owner Trustee and the Participation Registrar incurred in connection with any amendment (including without limitation reasonable attorneys' fees) will be paid by the party requesting such amendment or, if such amendment is initiated by the Participation Owner Trustee or the Participation Registrar, will be paid as a Participation Trust Expense.

YIELD, PREPAYMENT AND WEIGHTED AVERAGE LIFE

Yield Considerations

The yields to maturity (or to the date that the Optional Clean-Up Call or Optional Redemption is exercised) of the Offered Certificates (other than the Class A-R Certificates) will be affected by the rate of principal payments (including principal prepayments, which may include amounts received by virtue of purchase, condemnation, insurance or foreclosure) on the HELOCs related to the Mortgage Loans that are applied as distributions on the 23-HE1 PC to reduce the Class Principal Amounts (and, indirectly, the Class Notional Amounts) of the applicable Offered Certificates. The rate of principal payments on the Mortgage Loans will be affected by the amortization schedules of the HELOCs related to the Mortgage Loans, the rate and timing of prepayments by the Borrowers, liquidations of defaulted HELOCs and repurchases of HELOCs due to breaches of representations and warranties.

The timing of changes in the rate of prepayments, draws, liquidations and purchases of the HELOCs related to the Mortgage Loans may, and the timing of Realized Losses will, significantly affect the yield to an investor, even if the average rate of principal payments experienced over time is consistent with an investor's expectation. Because the rate and timing of principal payments on the HELOCs will depend on future events and on a variety of factors, no assurance can be given as to such rate or the timing of principal distributions on the Offered Certificates (other than the Excess Servicing Certificates, the Class X Certificates and the Class A-R Certificates).

Principal prepayments may be influenced by a variety of economic, geographic, demographic, social, tax, legal and other factors, including the credit quality of the HELOCs and other factors, such as changes in Borrowers' housing needs, Borrowers' financial condition, job transfers, unemployment, Borrowers' net equity in the Mortgaged Properties, changes in the values of Mortgaged Properties, mortgage market interest rates and servicing decisions, as well as refinancings resulting from solicitations by mortgage lenders. Characteristics of the HELOCs, such as the size and nature of the interest rate, the presence of a prepayment charge for certain prepayments or "due-on-sale" clauses, may influence the rate of prepayments on the HELOCs.

In general, if prevailing interest rates fall below the Mortgage Rates on the HELOCs, the HELOCs are likely to be subject to a higher rate of prepayments than if prevailing rates remain at or above the Mortgage Rates on the HELOCs. Conversely, if prevailing interest rates rise above the Mortgage Rates on the HELOCs, the rate of prepayment would be expected to decrease.

The HELOCs generally have "due-on-sale" clauses. Acceleration of HELOCs as a result of enforcement of "due-on-sale" provisions in connection with transfers of the related Mortgaged Properties or the occurrence of certain other events resulting in acceleration would affect the level of prepayments on the HELOCs related to the Mortgage Loans, which in turn would affect the weighted average lives of the classes of Subordinate Certificates (other than the Class X Certificates) and Senior Certificates.

In addition, all of the Mortgage Loans are related to HELOCs that do not require prepayment charges to be paid by the related Borrowers. Investors should conduct their own analysis of the effect, if any, that the absence of prepayment charges may have on the prepayment performance of the HELOCs. None of the Participation Certificate Seller, the Depositor, the Issuing Entity or any Initial Purchaser makes any representation as to the effect that the absence of prepayment penalties may have on the prepayment performance of the HELOCs.

Yields will also be affected by the extent to which the related HELOCs bearing higher Mortgage Rates prepay at a more rapid rate than HELOCs with lower Mortgage Rates, the amount and timing of Borrower delinquencies and defaults resulting in Realized Losses, the purchase price paid by investors for the classes of Offered Certificates (other than the Class A-R Certificates), and other factors.

In addition, the rate of principal prepayments may also be influenced by refinancing options offered by a Servicer and its affiliates or by other lenders. Many mortgage lenders solicit Borrowers to refinance their loans. These refinancings may increase the rate of prepayment of the HELOCs.

In recent years, modifications and other default resolution procedures other than foreclosure, such as deeds in lieu of foreclosure and short sales, have become more common and those servicing decisions, rather than foreclosure, may affect the rate of principal prepayments on the HELOCs.

Prepayments, liquidations, repurchases and purchases of HELOCs related to the Mortgage Loans will result in distributions to holders of Offered Certificates (other than the Excess Servicing Certificates, the Class X and the Class A-R Certificates) of principal amounts that would otherwise be distributed over the remaining terms of such HELOCs. This includes any optional clean-up call of the 23-HE1 PC representing the remaining Participation Interests in the Mortgage Loans held by the Issuing Entity or optional redemption of the Certificates as described in this Memorandum under "*Description of the Certificates—Optional Clean-Up Call and Optional Redemption*." The rate of defaults on the HELOCs will also affect the rate and timing of principal payments on the HELOCs related to the Mortgage Loans. In general, defaults on mortgage loans are expected to occur with greater frequency in their early years and after the interest-only period on the HELOC ends, as increases in monthly payments may result in a default rate higher than on level payment HELOCs. Furthermore, the rate of default on HELOCs with high loan-to-value ratios may be higher than for other HELOCs.

The Servicers are not required to advance principal or interests on the HELOCs, and delinquencies on the HELOCs will adversely affect the yields on the Certificates (other than the Excess Servicing Certificates and the Class A-R Certificates). Because of the priority of distributions and allocation of losses, shortfalls resulting from delinquencies on the HELOCs related to the Mortgage Loans will be borne first by the Subordinate Certificates (other than the Class X Certificates), in reverse order of distribution priority, then by the Mezzanine Certificates in reverse order of distribution priority, then by the class of Senior Certificates, in each case, until their respective Class Principal Amounts have been reduced to zero as described in this Memorandum. If, as a result of shortfalls on the Mortgage Loans, the sum of the Class Principal Amounts of all classes of Senior Certificates, Mezzanine Certificates and Subordinate Certificates (other than the Class X Certificates) exceeds the aggregate Unpaid Principal Balance of the Mortgage Loans, the Class Principal Amount of the class of Subordinate Certificates (other than the Class X Certificates) then outstanding with the lowest distribution priority will be reduced by the amount of the excess, before such amounts would be allocated in reduction of the Class Principal Amounts of Subordinate Certificates (other than the Class X Certificates) with a higher distribution priority, the Mezzanine Certificates and the Senior Certificates as described in this Memorandum.

The yields on the Offered Certificates (other than the Excess Servicing Certificates, the Class A-R and Class B-4 Certificates) may be adversely affected by interest shortfalls resulting from prepayments or otherwise on the Mortgage Loans.

If the purchaser of an Offered Certificate (other than the Excess Servicing Certificates, the Class X Certificates and the Residual Certificates) offered at a discount from its initial Class Principal Amount calculates its anticipated yield to maturity (or to the Optional Clean-Up Call or Optional Redemption) based on an assumed rate of payment of principal that is faster than that actually experienced on the related Mortgage Loans, the actual yield may be lower than that so calculated. Conversely, if the purchaser of such Offered Certificate (other than the Excess Servicing Certificates, the Class X Certificates and the Residual Certificates) offered at a premium calculates its anticipated yield based on an assumed rate of payment of principal that is slower than that actually experienced on the Mortgage Loans, the actual yield may be lower than that so calculated. For this purpose, prepayments of principal include not only voluntary prepayments made by the Borrower, but also, among other things, Net Liquidation Proceeds and repurchases of HELOCs by a Representing Party due to breaches of representations and warranties.

In general, the earlier prepayments of principal occur on the HELOCs, the greater will be the effect on an investor's yield. The effect on an investor's yield of principal payments occurring at a rate higher (or lower) than the rate anticipated by the investor during the period immediately following the issuance of the Certificates may not be offset by a subsequent like decrease (or increase) in the rate of principal payments.

As described herein, Certificates having a relatively higher priority of distribution will have a preferential right to receive payments of interest and principal. As a result, the yields of the Subordinate Certificates will be more sensitive, in varying degrees, to delinquencies and losses on the HELOCs related to the Mortgage Loans than the yields of more senior Subordinate Certificates, Mezzanine Certificates and the Senior Certificates.

The yield on each class of Exchangeable Certificates generally will depend on the yields to maturity of the related Depositable Certificates.

Floating Rate Certificates

The yield to maturity on the Floating Rate Certificates may be sensitive to fluctuations in the Benchmark, which, as of the Closing Date, is the SOFR Rate. The Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2 and Class B-3 Certificates (which are Floating Rate Certificates) have a pass-through rate that will vary directly with the rate of the Benchmark.

Weighted Average Life

Weighted average life refers to the average amount of time that will elapse from the date of issuance of a Certificate until its Class Principal Amount is reduced to zero. The weighted average lives of the Offered Certificates (other than the Class A-IO-S, Class X and Class A-R Certificates) will be influenced by, among other things, the rate at which principal of the Mortgage Loans is paid, which may be in the form of scheduled amortization, prepayments or liquidations of the HELOCs.

Prepayments of mortgage loans are commonly measured relative to a prepayment standard or model. The model used in this Memorandum for the Mortgage Loans is based on CPR. "CPR" represents an assumed conditional rate of prepayment each month, relative to the then outstanding principal balance of a pool of mortgage loans, for the life of such mortgage loans.

The prepayment speeds referred to herein do not purport to be either a historical description of the prepayment experience of mortgage loans or a prediction of the anticipated rate of prepayment of mortgage loans, including the Mortgage Loans.

The tables set forth on Annex B to this Memorandum were prepared on the basis of the Structuring Assumptions. Subject to the foregoing discussion and assumptions, the tables set forth on Annex B indicate the weighted average lives of the Offered Certificates (other than the Excess Servicing Certificates, the Class X Certificates and the Residual Certificates) and set forth the percentages of the initial Class Principal Amounts of the Offered Certificates (other than the Excess Servicing Certificates, the Class X Certificates and the Residual Certificates) that would be outstanding after each of the Distribution Dates shown at various percentages of CPR.

The actual characteristics and the performance of the Mortgage Loans and the HELOCs will differ from the Structuring Assumptions, which are hypothetical in nature and are provided only to give a general sense of how the principal cash flows might behave under varying prepayment scenarios. For example, it is not expected that the HELOCs related to the Mortgage Loans will prepay at a constant rate until maturity, that all of the HELOCs related to the Mortgage Loans will prepay at the same rate or on the same day or that there will be no defaults or delinquencies on the HELOCs related to the Mortgage Loans. In addition, it is expected that Base Servicing Fees, Incentive Servicing Fees and Distressed Asset Surcharges may be payable to a Servicer, which differs from the Structuring Assumptions. Moreover, the diverse remaining terms to maturity and the current Mortgage Rates of the HELOCs related to the Mortgage Loans could produce slower or faster principal distributions than indicated in the tables at the various percentages of CPR, even if the weighted average remaining terms to maturity and weighted average current Mortgage Rates of the Mortgage Loans are as assumed. The expected difference between such

Structuring Assumptions and the actual characteristics and performance of the Mortgage Loans, or actual prepayment or loss experience, will cause the percentages of initial Class Principal Amounts outstanding over time and the weighted average lives of the Offered Certificates (other than the Excess Servicing Certificates, the Class X Certificates and the Residual Certificates) to differ (which difference could be material) from the corresponding information in the tables for each indicated percentage of CPR.

The weighted average life of an Offered Certificate (other than the Excess Servicing Certificates, the Class X Certificates and the Residual Certificates) is determined by (1) multiplying the net reduction, if any, of the applicable Class Principal Amount by the number of years from the date of issuance of the related Offered Certificate to the related Distribution Date, (2) adding the results and (3) dividing the sum by the aggregate of the net reductions of Class Principal Amount described in (1) above.

Structuring Assumptions

The following assumptions (the "Structuring Assumptions") were used in constructing the tables set forth on Annex B to this Memorandum:

(i) distributions in respect of the Certificates are received in cash on the 20th day of each month, regardless of whether such day is a business day or not, commencing in July 2023;

(ii) the Mortgage Loans prepay at the indicated percentages of CPR;

(iii) no defaults, delinquencies or modifications occur in the payment by Borrowers of principal and interest on the HELOC that are allocated to the Mortgage Loans and no shortfalls are incurred due to the application of a Relief Act;

(iv) no party is required to repurchase, pay any loss amount or purchase any HELOC;

(v) no Mortgage Loan will be subject to a minimum payment as defined by the related Mortgage Note;

(vi) scheduled monthly payments on the HELOCs related to the Mortgage Loans are received on the last day of each Monthly Period commencing in June 2023 and are computed prior to giving effect to any prepayments received in the related Monthly Period;

(vii) with respect to each of the Mortgage Loans other than the SLS Serviced Mortgage Loans, interest accrues based on the actual number of days in the interest accrual period, based on a 365-day year and with respect to all of the SLS Serviced Mortgage Loans, interest accrues based on the actual number of days in the interest accrual period and the actual number of days in the calendar year;

(viii) each HELOC amortizes, after its interest-only period and prior to the application of any prepayments, in an amount equal to the outstanding balance of such HELOC divided by its remaining months to maturity;

(ix) with respect to the HELOCs, the WSJ Prime Rate is assumed to be held constant at 8.25000%;

(x) there are no advances of principal or interest on any HELOC;

(xi) prepayments represent voluntary prepayments of individual HELOCs and are received on the last day of each Monthly Period, commencing in June 2023 and include interest for the actual number of days in the related Monthly Period;

(xii) interest accrues on each class of Certificates (other than the Class B-4 and Class X Certificates and the Excess Servicing Certificates) and the Class X Distribution Amount accrues on the Class X Certificates at the applicable Pass-Through Rate as described in this Memorandum with respect to the Class X Certificates and using the following margins with respect to the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2 and Class B-3 Certificates, respectively: 1.75%, 2.50%, 3.00%, 3.50%, 4.50%, 5.00% and 5.00%;

(xiii) unless indicated otherwise, no exercise of the Optional Clean-Up Call or Optional Redemption will occur;

(xiv) the Closing Date of the sale of the Offered Certificates is June 30, 2023;

(xv) there are no Trust Expenses allocated under the Securities Administrator/Trustee Annual Expense Cap and there are no additional fees, expenses or payments other than the Servicing Fee as defined below in assumption (xviii), the Custodian Fee, the Owner Trustee Fee, the Participation Owner Trustee/Participation Registrar Fee and the Securities Administrator Fee, each as described in the *"Glossary of Defined Terms"* in this Memorandum and payable solely from Interest Remittance Amount;

(xvi) there are no Additional Draws made in respect of the HELOCs after the Cut-off Date;

(xvii) no exchanges occur after the Closing Date;

(xviii) the Servicing Fee Rate for each Mortgage Loan is equal to an annual rate (i) of 0.50000% for all non-SLS Serviced Mortgage Loans and (ii) calculated using $9 per SLS Serviced Mortgage Loan and in all cases subject to a cap of 0.50000% per SLS Serviced Mortgage Loan;

(xix) the SOFR Rate remains constant at 5.06655% and no Benchmark Transition Event occurs;

(xx) the Funded Participation Percentage for each of the HELOCs with respect to the 23-HE1 PC is 100%; and

(xxi) on the Closing Date, the amount on deposit in the Excess Reserve Account will be $0.

CERTAIN FEDERAL INCOME TAX CONSEQUENCES

General

The following is a general discussion of certain anticipated federal income tax consequences of the purchase, ownership and disposition of the Certificates. This discussion has been prepared with the advice of Tax Counsel (as defined herein). This discussion is based on authorities that are subject to change or different interpretations. Any change or different interpretation can apply retroactively. No rulings have been or will be sought from the IRS with respect to any of the matters discussed below, and no assurance can be given that the views of the IRS or courts with respect to those matters will not differ from those described below.

This discussion is directed solely to Certificateholders that hold the Certificates as capital assets within the meaning of Section 1221 of the Code and does not purport to discuss all federal income tax consequences that may be applicable to particular individual circumstances and particular categories of investors, including, but not limited to, those of banks, insurance companies, partnerships and their direct and indirect foreign investors, tax-exempt organizations, traders or dealers in securities and currencies, mutual funds, real estate investment trusts, S corporations, estates and trusts, Certificateholders that hold the Certificates as part of a hedge, straddle, integrated or conversion transaction, Certificateholders whose functional currency is not the U.S. dollar, persons subject to the alternative minimum tax, corporations subject to the corporate alternative minimum tax on adjusted financial statement income, Certificateholders for which the interest income from the Certificates may be "business interest income" and persons that elect to treat gain recognized on the disposition of a Certificate as investment income under Section 163(d)(4)(B)(iii) of the Code. This discussion also does not address indirect effects or considerations on the holders of equity interests in a Certificateholder. Finally, it does not address any tax consequences to any person who, or that, is treated for federal income tax purposes as having exchanged an interest in any Mortgage Loan for an interest in a Certificate or to any person related to such person.

In addition to other authorities, this discussion is based on the original issue discount regulations (the "OID Regulations"), the Code and Treasury regulations relating to notional principal contracts and the provisions of the Tax Reform Act of 1986 (the "1986 Act"). Prospective investors should be aware, however, that the OID Regulations do not address certain issues relevant to prepayable securities, such as the Certificates. If the OID Regulations do not address such issues, the Securities Administrator intends to apply the methodology described in the Conference Committee Report to the 1986 Act (the "Report"). We cannot assure you that the IRS will agree with how the Securities Administrator interprets the Report. Moreover, the OID Regulations include an anti-abuse rule allowing the IRS to apply or depart from the OID Regulations if necessary or appropriate to ensure a reasonable tax result in light of the applicable statutory provisions. A tax result will not be considered unreasonable under the anti-abuse rule, however, in the absence of a substantial effect on the present value of a taxpayer's tax liability. Prospective investors should consult their tax advisors on the OID Regulations, the Report and the appropriate method for reporting interest and original issue discount ("OID") on the Certificates.

In addition, this discussion does not address the state, local or other tax consequences of the purchase, ownership and disposition of Certificates. Prospective investors should consult their tax advisors on the state, local and other tax consequences of the purchase, ownership and disposition of Certificates.

For purposes of this discussion, the term:

"Certificateholder," means any person holding a beneficial ownership interest in a Certificate;

"Code," means the Internal Revenue Code of 1986, as amended;

"IRS," means the Internal Revenue Service;

"Foreign Person," means any person other than a U.S. Person or a partnership (or any other entity or arrangement treated as a partnership for federal income tax purposes);

"AFR," means the applicable federal rate, which is an average of current yields for Treasury securities with specified ranges of maturities and which is computed and published monthly by the IRS for use in various tax calculations;

"Treasury," means the U.S. Department of Treasury; and

"U.S. Person," means (i) a citizen or resident of the United States; (ii) a corporation (or entity or arrangement treated as a corporation for federal income tax purposes) created or organized in the United States or under the laws of the United States or of any state thereof, including, for this purpose, the District of Columbia; (iii) an estate whose income is includible in gross income for United States income tax purposes regardless of its source; or (iv) a trust (or entity or arrangement treated as a trust for federal income tax purposes), if a court within the United States is able to exercise primary supervision over the administration of the trust and one or more U.S. Persons have authority to control all substantial decisions of the trust. Notwithstanding the preceding clause, to the extent provided in Treasury regulations, certain trusts that were in existence on August 20, 1996, that were treated as U.S. Persons prior to such date, and that elect to continue to be treated as U.S. Persons, also are U.S. Persons.

If a partnership (or entity or arrangement treated as a partnership for federal income tax purposes) is a Certificateholder, the tax treatment of a partner in the partnership will depend on the status of the partner and the activities of the partnership. A prospective investor that is a partnership or partner in a partnership should consult its tax advisor concerning the consequences of investing in a Certificate under its particular circumstances.

Tax Treatment of the Issuing Entity

For federal income tax purposes, the Issuing Entity will consist of a trust (the "EC Trust") beneath which are one or more REMICs consisting of one or more underlying REMICs (each, an "underlying REMIC"), if any, and the master REMIC (the "master REMIC"). The assets of the lowest underlying REMIC in this tiered structure (or the master REMIC if there are no underlying REMICs) will consist of the participation interests in the Mortgage

Loans, which is represented by the 23-HE1 PC, and any other assets designated in the Securitization Sale Agreement (exclusive of the assets, rights, obligations, or arrangements that are excluded under the Securitization Sale Agreement). The master REMIC will issue multiple classes of uncertificated REMIC regular interests, all of which will be held by the EC Trust. The EC Trust will issue the Certificates (other than the Class A-R Certificates), all of which will represent beneficial ownership of one or more uncertificated master REMIC regular interests along with, in the case of the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2, Class B-3 and Class X Certificates, certain contractual rights and obligations (described below). The master REMIC will also issue a sole class of REMIC residual interest. The Class A-R Certificates will represent ownership of the residual interest in the master REMIC and the residual interest in each underlying REMIC, if any.

Upon the issuance of the Certificates, Hunton Andrews Kurth LLP ("Tax Counsel") will deliver its opinion to the effect that, assuming compliance with all provisions of the Securitization Sale Agreement and all the other operative documents without waiver thereof, the making of proper and timely REMIC elections in accordance with the REMIC Provisions and appropriate due diligence with respect to the collateral, (1) the EC Trust will be classified as a trust under Section 301.7701-4 of the Treasury regulations, (2) the master REMIC and each underlying REMIC, if any, will qualify as a REMIC as defined in Section 860D of the Code, (3) the REMIC regular interests and REMIC residual interest issued by the master REMIC and each underlying REMIC, if any, will qualify as such under Section 860G(a)(1) of the Code and Section 860G(a)(2) of the Code, respectively, (4) the Certificates (other than the Class A-R Certificates and exclusive of the Notional Principal Arrangement) will represent, under Section 671 of the Code, beneficial ownership through the EC Trust of one or more REMIC regular interests in the master REMIC, and (5) the Class A-R Certificate will represent the sole class of REMIC residual interest in the master REMIC and each underlying REMIC, if any, within the meaning of Section 860G(a)(2) of the Code.

Tax Treatment of the Certificates in General

For federal income tax purposes, the Certificates (other than the Class A-R Certificates) will represent beneficial ownership of one or more REMIC regular interests in the master REMIC (each such REMIC regular interest, a "REMIC Regular Interest Component"). The Capped Certificates will also represent the right to receive Cap Carryover Amounts and the Class X Certificates will also represent the obligation to make payments to the Cap Carryover Reserve Account and indirect ownership of the Cap Carryover Reserve Account. The right to receive and the obligation to pay Cap Carryover Amounts will not represent an interest in any REMIC Regular Interest Component (each such right or obligation a "Non-REMIC Component" and any Non-REMIC Component and/or REMIC Regular Interest Component (a "Component")), and the Cap Carryover Reserve Account will not be an asset of the master REMIC or any underlying REMIC. Although the matter is not entirely clear, the Issuing Entity intends to treat the Notional Principal Arrangement as being in respect of a notional principal contract for federal income tax purposes. For further discussion regarding the Notional Principal Arrangement, see "*—Additional Considerations for the NPC Certificates*" below. Prospective investors are advised to consult their tax advisors concerning an investment in the NPC Certificates. The Class A-R Certificates will represent the REMIC residual interest in the master REMIC and any underlying REMIC.

Principal and interest will be payable on some of the REMIC Regular Interest Components ("P&I Components"), interest only will be payable on other REMIC Regular Interest Components ("IO Components") and principal only is payable other of the REMIC Regular Interest Components ("PO Components"). Each Certificate (other than the Class A-R Certificates) will represent one or more REMIC Regular Interest Components consisting of P&I Components, IO Components or PO Components or combinations of such Components.

The EC Trust and related Certificates

For federal income tax purposes, the arrangement under which the Certificates (other than the Class A-R Certificates) are created and administered will constitute one or more trusts under Section 301.7701-4 of the Treasury regulations. The Certificates (other than the Class A-R Certificates) will represent beneficial ownership of one or more REMIC Regular Interest Components and any applicable Non-REMIC Component(s), and other than as discussed below, will have the federal tax attributes of such Components. For purposes of this discussion, Certificate refers only to Certificates other than the Class A-R Certificates. Upon acquiring a Certificate (other than a Class A-R Certificate), the Certificateholder must establish a separate basis in each of the REMIC Regular Interest Components and any related Non-REMIC Component related to such Certificate. The Certificateholder can do so by allocating the cost of such Certificate among the related Components based on their relative fair market values at the time of acquisition. Similarly, if a Certificateholder disposes of such a Certificate for cash, the Certificateholder must establish a separate gain or loss for each related Component. The Certificateholder can do so by allocating the amount realized for such Certificate among the related Components based on their relative fair market values at the time of disposition.

An exchange of an interest with respect to one or more Components that are treated as separately taxable instruments generally is not a taxable exchange for federal income tax purposes. After the exchange, the holder generally is treated as continuing to own the related Components that it beneficially owned immediately before such exchange. However, under the OID Regulations, if two or more debt instruments are issued in connection with the same transaction or related transaction (determined based on all the facts and circumstances), such as if two or more REMIC Regular Interest Components are issued as a single Certificate, those debt instruments are treated as a single debt instrument for purposes of the provisions of the Code applicable to OID unless an exception applies. Under this rule, if a Certificate represents beneficial ownership of two or more REMIC Regular Interest Components, those REMIC Regular Interest Components could be treated as a single debt instrument for OID purposes unless an exception applies. In addition, if the two or more REMIC Regular Interest Components underlying a Certificate were aggregated for OID purposes and a beneficial owner of such Certificate were to (i) exchange that Certificate for the related underlying REMIC Regular Interest Components, (ii) sell all or a portion of one or more of those related REMIC Regular Interest Components and (iii) retain all or a portion of one or more of the remaining related REMIC Regular Interest Components, the beneficial owner might be treated as having engaged in a "coupon stripping" or "bond stripping" transaction within the meaning of Section 1286 of the Code (a "Stripping Transaction"). Under Section 1286 of the Code, a beneficial owner of a Certificate that engages in a Stripping Transaction must allocate its basis in the original Certificate between the related underlying REMIC Regular Interest Components (or portion thereof) sold and the related REMIC Regular Interest Components (or portion thereof) retained in proportion to their relative fair market values as of the date of the stripping transaction. The beneficial owner then must recognize gain or loss on the REMIC Regular Interest Components (or portion thereof) sold using its basis allocable to those REMIC Regular Interest Components. Also, the beneficial owner then must treat the REMIC Regular Interest Components (or portion thereof) retained as a newly issued debt instrument that was purchased for an amount equal to the beneficial owner's basis allocable to those REMIC Regular Interest Components. Accordingly, the beneficial owner must accrue interest and OID with respect to the REMIC Regular Interest Components (or portion thereof) retained based on the beneficial owner's basis in such REMIC Regular Interest Components. In addition the Certificateholder would have to account for any Non-REMIC Components as described under "*—Additional Considerations for the NPC Certificates.*"

As a result, when compared to treating each REMIC Regular Interest Component underlying a Certificate as a separate debt instrument, aggregating the REMIC Regular Interest Components underlying such Certificate could affect the timing and character of income recognized by a beneficial owner of a Certificate. If Section 1286 were to apply to a beneficial owner of a Certificate much of the information necessary to perform the related calculations for information reporting purposes generally would not be available to the Securities Administrator. Because it may not be clear whether the aggregation rule in the OID Regulations applies to the Certificates and due to the Securities Administrator's lack of information necessary to report computations that might be required by Section 1286 of the Code, the Securities Administrator will treat each REMIC Regular Interest Component underlying a Certificate as a separate debt instrument for information reporting purposes. Prospective investors should note that, if the two or more REMIC Regular Interest Components underlying a Certificate were aggregated, the timing of accruals of OID applicable to such Certificate could be different than that reported to holders and the IRS. Prospective investors should consult their tax advisor regarding any possible tax consequences if the IRS were to assert that the REMIC Regular Interest Components underlying a Certificate should be aggregated for OID purposes.

Taxation of REMIC Regular Interest Components

Each REMIC Regular Interest Component generally will be treated for federal income tax purposes as a debt instrument issued by the master REMIC. The discussion that follows applies separately to each REMIC Regular Interest Component represented by a Certificate.

Interest Income and OID

Although you would ordinarily take interest income on a debt instrument into account under your regular method of accounting, you must include interest accrued on a REMIC Regular Interest Component in income under the accrual method of accounting regardless of the method of accounting you otherwise use for tax purposes.

Some of the REMIC Regular Interest Components will be, and the other REMIC Regular Interest Components may be, treated as having been issued with OID. A debt instrument is issued with OID to the extent its stated redemption price at maturity exceeds its issue price. If the OID is less than a statutorily defined de minimis amount equal to the product of (1) 0.25 percent, (2) the stated redemption price at maturity of the class and (3) the weighted average maturity of the class, then the OID will be considered to be zero. Although not clear, the weighted average maturity should likely be computed by taking into account the prepayment assumption discussed below. A beneficial owner of a P&I Component must report de minimis OID, if any, with respect to such class of REMIC Regular Interest Component pro rata as principal payments are received, and that income will be capital gain if such class of REMIC Regular Interest Component is held as a capital asset.

For OID purposes, the issue price of a REMIC Regular Interest Component generally will be the first price at which a substantial amount of that class of REMIC Regular Interest Component is sold to the public (excluding bond houses, brokers and underwriters). If a Class of REMIC Regular Interest Components is acquired as part of a combination of REMIC Regular Interest Components, the issue price of that Class of REMIC Regular Interest Component may be established using a fair market value allocation method. Although unclear under the OID Regulations, it is anticipated that the Securities Administrator will treat the issue price of a REMIC Regular Interest Component for which there is no substantial sale as of the issue date, or that is retained by the depositor, as the fair market value of the REMIC Regular Interest Component as of the issue date. The issue price of a REMIC Regular Interest Component also includes any amount paid for accrued interest that relates to the period before the issue date of the REMIC Regular Interest Component, although a Certificateholder may, under certain circumstances, elect on its federal income tax return to exclude that amount from the issue price and to recover it on the first Distribution Date. Prospective investors should be aware that if a portion of the price paid for an NPC Certificate were allocated to the Notional Principal Arrangement, the issue price of any related REMIC Regular Interest Component would be different from the price paid for such NPC Certificate.

The stated redemption price at maturity of a debt instrument is the sum of all payments provided for by the debt instrument other than interest payments that are unconditionally payable at fixed intervals of one year or less at either a fixed rate or a variable rate ("Qualified Stated Interest"). Interest is unconditionally payable only if either (1) reasonable legal remedies exist to compel the timely payment of interest or (2) the terms or conditions under which the debt instrument is issued make the late payment or nonpayment of interest a remote likelihood.

With respect to the interest payable on any IO Components, for tax information reporting purposes, such interest will not be treated as Qualified Stated Interest, and the IO Components will be treated as having been issued with OID. Any PO Component will be treated as issued with OID.

Interest payable on the P&I Components. With respect to the interest payable on the P&I Components, because such interest may be deferred, it is possible that some or all of such interest may not be treated as unconditionally payable. Nevertheless, for tax information reporting purposes, all of the interest payable on the P&I Components will be treated as Qualified Stated Interest. If, however, all or a portion of the interest payable on such a P&I Component is not Qualified Stated Interest, then all or a portion of such interest would be included in the P&I Component's stated redemption price at maturity (as the case may be). Qualified Stated Interest payable on a REMIC Regular Interest Component must be included in the income of the Certificateholder under an accrual method of accounting, regardless of the method otherwise used by the Certificateholder.

If a REMIC Regular Interest Component is issued with OID, the Certificateholder will be required to include in income, as ordinary income, the daily portion of such OID attributable to each day it holds such REMIC Regular Interest Component. This requirement generally will result in the accrual of income before the receipt of cash attributable to that income.

The daily portion of such OID will be determined on a constant yield to maturity basis in accordance with Section 1272(a)(6) of the Code (the "PAC Method"). Under the PAC Method, the amount of OID allocable to any accrual period for a class of REMIC Regular Interest Component will equal (1) the sum of (i) the adjusted issue price of the REMIC Regular Interest Component at the end of the accrual period and (ii) any payments made on the REMIC Regular Interest Component during the accrual period of amounts included in the stated redemption price at maturity of the REMIC Regular Interest Component, minus (2) the adjusted issue price of the REMIC Regular Interest Component at the beginning of the accrual period. The OID so determined is allocated ratably among the days in the accrual period to determine the daily portion for each such day.

The adjusted issue price of a REMIC Regular Interest Component at the beginning of its first accrual period will be its issue price. The adjusted issue price at the end of any accrual period (and, therefore, at the beginning of the subsequent accrual period) is determined by discounting the remaining payments due on the REMIC Regular Interest Components at their yield to maturity. The remaining payments due are determined based on the prepayment assumption made in pricing the Certificates, but are adjusted to take into account the effect of payments actually made on the Issuing Entity's assets.

For this purpose, the yield to maturity of a REMIC Regular Interest Component is determined by projecting payments due on the REMIC Regular Interest Component based on a prepayment assumption made with respect to the Issuing Entity's assets. The yield to maturity of a REMIC Regular Interest Component is the discount rate that, when applied to the stream of payments projected to be made on that REMIC Regular Interest Component as of its issue date, produces a present value equal to the issue price of that REMIC Regular Interest Component. The Code requires that the prepayment assumption be determined in the manner prescribed in Treasury regulations. To date, no such regulations have been issued. The legislative history of the REMIC Provisions indicates that the regulations will provide that the assumed prepayment rate must be the rate used by the parties in pricing the particular transaction. The prepayment assumption to be used for tax reporting purposes is 25% CPR. No representation, however, is made as to the rate at which payments on the REMIC Regular Interest Components underlying the Certificates will occur.

Under the PAC Method, accruals of OID will increase or decrease (but never below zero) to reflect the fact that payments on the Issuing Entity's assets are occurring at a rate that is faster or slower than that assumed under the prepayment assumption. If the OID accruing on a REMIC Regular Interest Component is negative for any period, a beneficial owner of that REMIC Regular Interest Component will be entitled to offset such negative accruals only against future positive OID accruals on that REMIC Regular Interest Component.

For any REMIC Regular Interest Component that provides for interest based on a variable rate, the yield to maturity and future payments on such REMIC Regular Interest Component will be determined generally by assuming that the interest rate payable for the life of the REMIC Regular Interest Component will be the same as the initial rate.

Prospective investors should consult with their tax advisors regarding the tax treatment of the REMIC Regular Interest Components.

Acquisition Premium

If a Certificateholder purchases a REMIC Regular Interest Component for a price that is greater than its adjusted issue price but less than its stated redemption price at maturity, the Certificateholder will have acquired the REMIC Regular Interest Component at an "acquisition premium" as that term is defined in Section 1272(a)(7) of the Code. The Certificateholder must reduce future accruals of OID on the REMIC Regular Interest Component by the amount of the acquisition premium. Specifically, a Certificateholder must reduce each future accrual of OID on the REMIC Regular Interest Component by an amount equal to the product of the OID accrual and a fixed fraction, the numerator of which is the amount of the acquisition premium and the denominator of which is the OID remaining to be accrued on the REMIC Regular Interest Component at the time the Certificateholder purchased the REMIC Regular Interest Component. Certificateholders should be aware that this fixed fraction methodology will not always produce the appropriate recovery of acquisition premium in situations where stated interest on a REMIC Regular Interest Component is included in the REMIC Regular Interest Component's stated redemption price at maturity because the total amount of OID remaining to be accrued on such a REMIC Regular Interest Component at the time of purchase is not fixed.

Market Discount

If a Certificateholder acquires a REMIC Regular Interest Component at a discount from its outstanding principal amount (or, if the REMIC Regular Interest Component is issued with OID, its adjusted issue price), the purchaser will acquire the REMIC Regular Interest Component with market discount (a "market discount bond"). If the market discount is less than a statutorily defined de minimis amount equal to the product of (i) 0.25 percent, (ii) the stated redemption price at maturity of the REMIC Regular Interest Component and (iii) the remaining weighted average maturity of the REMIC Regular Interest Component, then the market discount will be considered to be zero. It appears that de minimis market discount would be reported in a manner similar to de minimis OID. See "—*Interest Income and OID*" above.

Treasury regulations interpreting the market discount rules have not yet been issued; therefore, we recommend that prospective investors consult their tax advisors regarding the application of those rules and the advisability of making any of the elections described below.

Unless the beneficial owner of a market discount bond elects under Section 1278(b) of the Code to include market discount in income as it accrues, any principal payment (whether a monthly payment or a prepayment) or any gain on disposition of the market discount bond will be treated as ordinary income to the extent that it does not exceed the accrued market discount at the time of such payment. If the beneficial owner makes the election under Section 1278(b) of the Code, the election will apply to all market discount bonds acquired by the beneficial owner at the beginning of the first taxable year to which the election applies and all market discount bonds thereafter acquired by it. The election may be revoked only with the consent of the IRS.

The Code grants the Treasury authority to issue regulations providing for the computation of accrued market discount on debt instruments, such as REMIC Regular Interest Components, the principal of which is payable in more than one installment, but no regulations have been issued. The relevant legislative history provides that, until such regulations are issued, the beneficial owner of a market discount bond may elect to accrue market discount either on the basis of a constant interest rate or according to a pro rata method described in the legislative history. Under that method, the amount of market discount that accrues in any accrual period in the case of a REMIC Regular Interest Component issued with OID equals the product of (i) the market discount that remains to be accrued as of the beginning of the accrual period and (ii) a fraction, the numerator of which is the OID accrued during the accrual period and the denominator of which is the sum of the OID accrued during the accrual period and the amount of OID remaining to be accrued as of the end of the accrual period. In the case of a REMIC Regular Interest Component that was issued without OID, the amount of market discount that accrues in any accrual period will equal the product of (i) the market discount that remains to be accrued as of the beginning of the accrual period and (ii) a fraction, the numerator of which is the amount of stated interest accrued during the accrual period and the denominator of which is the total amount of stated interest remaining to be accrued at the beginning of the accrual period. For purposes of determining the amount of OID or interest remaining to be accrued with respect to a REMIC Regular Interest Component, the prepayment assumption applicable to calculating the accrual of OID on such REMIC Regular Interest Component applies.

If a beneficial owner of a REMIC Regular Interest Component incurred or continues indebtedness to purchase or hold the REMIC Regular Interest Component with market discount, the beneficial owner may be required to defer a portion of its interest deductions for the taxable year attributable to any such indebtedness. Any such deferred interest expense would not exceed the market discount that accrues during such taxable year and is, in general, allowed as a deduction not later than the year in which such market discount is includible in income. If such beneficial owner elects to include market discount in income currently as it accrues under Section 1278(b) of the Code, the interest deferral rule will not apply.

Amortizable Bond Premium

A Certificateholder that purchases a REMIC Regular Interest Component for an amount (net of accrued interest) greater than its stated redemption price at maturity will have premium with respect to that REMIC Regular

Interest Component in the amount of the excess. Such a purchaser need not include in income any remaining OID with respect to that REMIC Regular Interest Component and may elect to amortize the premium under Section 171 of the Code. If a Certificateholder makes this election, the amount of any interest payment that must be included in the Certificateholder's income for each period will be reduced by a portion of the premium allocable to the period based on a constant yield method. In addition, the relevant legislative history states that premium should be amortized in the same manner as market discount. The election under Section 171 of the Code also will apply to all premium debt instruments (the interest on which is not excludable from gross income) held by the Certificateholder at the beginning of the first taxable year to which the election applies and to all such premium debt instruments thereafter acquired by it. The election may be revoked only with the consent of the IRS.

Prospective investors should consult with their tax advisors regarding the tax treatment of the REMIC Regular Interest Components.

Election to Treat All Interest as OID

The OID Regulations permit a beneficial owner of a REMIC Regular Interest Component to elect to accrue all interest, discount (including de minimis OID and de minimis market discount), and premium with respect to a REMIC Regular Interest Component in income as interest, based on a constant yield method (a "constant yield election"). It is unclear whether, for this purpose, the initial prepayment assumption would continue to apply or if a new prepayment assumption as of the date of the Certificateholder's acquisition would apply. If such an election were to be made and the REMIC Regular Interest Component were acquired at a premium, such a Certificateholder would be deemed to have made an election to amortize bond premium under Section 171 of the Code, which is described above. Similarly, if the Certificateholder had acquired the REMIC Regular Interest Component with market discount, the Certificateholder would be considered to have made the election in Section 1278(b) of the Code, which is described above. A constant yield election may be revoked only with the consent of the IRS.

Treatment of Losses

Certificateholders will be required to report income with respect to a REMIC Regular Interest Component on the accrual method without giving effect to delays and reductions in distributions attributable to defaults or delinquencies on any of the Issuing Entity's assets, except possibly, in the case of income that constitutes Qualified Stated Interest, to the extent that it can be established that such amounts are uncollectible. In addition, prospective investors are cautioned that while they may generally cease to accrue interest income if it reasonably appears that the interest will be uncollectible, the IRS may take the position that OID must continue to be accrued in spite of its uncollectibility until the REMIC Regular Interest Component is disposed of in a taxable transaction or becomes worthless in accordance with the rules of Section 166 of the Code. As a result, the amount of income required to be reported by a Certificateholder in any period could exceed the amount of cash distributed to such Certificateholder in that period.

Although not entirely clear, it appears that: (a) a Certificateholder that holds a REMIC Regular Interest Component in the course of a trade or business or a Certificateholder that is a corporation generally should be allowed to deduct as an ordinary loss any loss sustained on account of the REMIC Regular Interest Component's partial or complete worthlessness and (b) a noncorporate Certificateholder that does not hold the **REMIC Regular Interest** Component in the course of a trade or business generally should be allowed to deduct as a short-term capital loss any loss sustained on account of the REMIC Regular Interest Component's complete worthlessness. Prospective investors are encouraged to consult their tax advisors regarding the appropriate timing, character and amount of any loss sustained with respect to a **REMIC Regular Interest** Component, particularly IO Components and the **REMIC Regular Interest** Components underlying subordinated Certificates.

Sale or Other Disposition

If a beneficial owner of a REMIC Regular Interest Component sells, exchanges or otherwise disposes of the REMIC Regular Interest Component, or the REMIC Regular Interest Component is redeemed, the beneficial owner will recognize gain or loss in an amount equal to the difference between the amount realized by the beneficial owner with respect to the REMIC Regular Interest Component upon the sale, exchange, redemption or other disposition and the beneficial owner's adjusted tax basis in the REMIC Regular Interest Component. The adjusted tax basis of a

REMIC Regular Interest Component to a particular beneficial owner generally will equal the beneficial owner's cost for the REMIC Regular Interest Component, increased by any market discount and OID previously included by such beneficial owner in income with respect to the REMIC Regular Interest Component and decreased by the amount of bond premium, if any, previously amortized and by the amount of payments that are part of the REMIC Regular Interest Component's stated redemption price at maturity previously received by such beneficial owner. Any such gain or loss will be capital gain or loss if the REMIC Regular Interest Component was held as a capital asset, except for gain representing accrued interest and accrued market discount not previously included in income. Capital losses generally may be used only to offset capital gains.

Gain from the sale of a REMIC Regular Interest Component that might otherwise be treated as capital gain will be treated as ordinary income to the extent that such gain does not exceed the excess of (1) the amount that would have been includible in the Certificateholder's income had the income accrued at a rate equal to 110 percent of the AFR as of the date of purchase, over (2) the amount actually includible in such Certificateholder's income.

Additional Considerations for the NPC Certificates

The treatment of amounts deemed received or paid by a holder of an NPC Certificate in respect of the Notional Principal Arrangement will depend on the portion, if any, of such holder's purchase price allocable thereto. For federal income tax purposes, the Securitization Sale Agreement provides that each holder of the Capped Certificates owns a beneficial interest in (i) one or more REMIC Regular Interest Components (the "Capped Certificate REMIC Portion") and (ii) the right to receive its respective Cap Carryover Amounts (the "Capped Certificate NPC Component"). A beneficial owner of a Capped Certificate must allocate its purchase price for such Certificate in accordance with the relative fair market values at the time of purchase of the Capped Certificate REMIC Portion and the Capped Certificate NPC Component. The Capped Certificate REMIC Portions generally will be entitled to receive interest and principal distributions at the times and in the amounts equal to those made on the related Certificate to which it corresponds, except that for federal income tax purposes, the interest rate for the Capped Certificate REMIC Portions will at all times be limited by the Net WAC. Cap Carryover Amounts will be calculated based on the Net WAC and any amounts distributed to the Capped Certificates in respect an any Cap Carryover Amount will not be treated as distributable in respect of the Capped Certificate REMIC Portion of the related Certificate but instead will be treated as having been received in respect of the related Capped Certificate NPC Component.

The Securitization Sale Agreement also provides that for federal income tax purposes, each holder of the Class X Certificates (a) owns a beneficial interest in one or more REMIC Regular Interest Components (the "Class X REMIC Portion," and together with the Capped Certificate REMIC Portions, the "REMIC Portions"), (b) has an obligation to pay Cap Carryover Amounts to the Cap Carryover Reserve Account as described herein (the "Class X NPC Component," and together with the Capped Certificate NPC Components, the "NPC Components"), and (c) indirectly owns the Cap Carryover Reserve Account. For federal income tax purposes, the purchase price for the related REMIC Portion and the related NPC Component must be allocated based on their relative fair market values at the time of purchase. While income will accrue at its applicable interest rate for federal income tax purposes in respect of the Class X REMIC Portion, the holder of such REMIC Portion will not receive such amounts and such amounts will be deemed to be paid to the Cap Carryover Reserve Account. For federal income tax purposes, deemed payments to the Cap Carryover Reserve Account will accrue to the applicable beneficial owner of the related Class X Certificates and will be treated as first distributed to the related REMIC Portion and then paid by the beneficial owner of the related REMIC Portion to the Cap Carryover Reserve Account.

Any premium that a beneficial owner of a Class X Certificate is deemed to have received for undertaking their obligations in respect of its related NPC Component should be amortized and taken into income as described below and in accordance with the Treasury regulations addressing the treatment of notional principal contracts (the "Notional Principal Contract Regulations") and such amounts should increase such Certificateholder's basis in the REMIC Portion of their Certificate. Although the matter is not clear, in addition to the consequences regarding any swap portion of the Notional Principal Arrangement, if any imputed payment is considered a non-periodic payment under the Notional Principal Contract Regulations, such imputed payment is deemed to be a loan for federal income tax purposes if the payment is "significant." It is not known whether any such payment will be deemed to be made, would be treated as non-periodic or would be treated as "significant." If all of these occurred, such imputed payment would be treated as two separate transactions consisting of one or more loans and an on-market, level payment swap. Any such loan would have to be accounted for separately from the swap portion, the time-value component associated with the loan would be recognized as interest for all federal income tax purposes, and the loan would be repaid over the expected life of the REMIC Portions. As a result of these potential tax consequences, such Certificates may not be a suitable investment for certain investors, and prospective investors in the NPC Certificates are strongly encouraged to consult their tax advisors.

If a holder owns interests on both sides of the Notional Principal Arrangement, various federal income tax provisions may affect the amount and timing of deductions (or eliminate them) associated with the Notional Principal Arrangement in a different manner than such provisions would affect the inclusion of corresponding income associated with the Notional Principal Arrangement if they held only one of the NPC Components or cause the related notional principal contract to not exist. Prospective investors of the NPC Notes that hold positions on both sides of the Notional Principal Arrangement are strongly encouraged to consult their tax advisors.

A beneficial owner of a Class X Certificate will be required to accrue income with respect to its respective REMIC Portion and may be able to take deductions with respect to its obligations in respect of its related NPC Component. To the extent the Class X Certificates are required to make payments to the Cap Carryover Reserve Account, the holders of the Class X Certificates likely will be required to recognize income from their related REMIC Portion in an amount greater than the amount of distributions to which the holder receives. As a result, such Certificates may not be an appropriate investment for any investor whose ability to take deductions relating to the NPC Component would be limited as described below, and prospective investors should consult their tax advisors regarding the tax consequences to them of an investment in the Class X Certificates.

The Securities Administrator will, as required, treat payments deemed made or paid in respect of the Notional Principal Arrangement as includible in income based on the Notional Principal Contract Regulations. The OID Regulations provide that the Issuing Entity's allocation of the issue price is binding on all holders unless the holder explicitly discloses on its tax return that its allocation is different from the Issuing Entity's allocation. Accordingly, although the matter is not entirely clear, for federal income tax purposes, as of the Closing Date, the Issuing Entity intends to take the NPC Components have only insubstantial value. The NPC Components are difficult to value, however, and the IRS could assert that the value of the NPC Components as of the Closing Date or at a later date is greater than the value used for federal income tax reporting purposes. Any change in the Closing Date valuation position could have material negative federal income tax consequences for investors in the NPC Certificates (for example, the REMIC Portion could be viewed as having been issued with either an additional amount of OID (which could cause the total amount of discount to exceed a statutorily defined de minimis amount) or with less premium (which would reduce the amount of premium available to be used as an offset against interest income)). Accordingly, prospective investors in the NPC Certificates are advised to consult their tax advisors regarding the allocation of issue price, timing, character and source of income and deductions resulting from the ownership of the NPC Certificates.

Treasury regulations have been promulgated under Section 1275 of the Code generally providing for the integration of a "qualifying debt instrument" with a hedge if the combined cash flows of the components are substantially equivalent to the cash flows on a variable rate debt instrument. However, such regulations specifically disallow integration of debt instruments subject to Section 1272(a)(6) of the Code. Therefore, holders of the NPC Certificates likely will be unable to use the integration method provided for under such regulations with respect to such Certificates. If the Securities Administrator's treatment of Cap Carryover Amounts is respected, ownership of the right to related distributions should entitle the owner to amortize the separate price paid for the right to Cap Carryover Amounts or the premium paid for the obligation to make payments to the Cap Carryover Reserve Account under the Notional Principal Contract Regulations.

Any amounts paid to a beneficial owner in respect of the Capped Certificate NPC Component in excess of the amounts accrued in respect of the related REMIC Portion generally should be treated as having been received as a "periodic payment" in respect of the Notional Principal Arrangement (although see the discussion above concerning non-periodic payments). If treated as periodic payments, for any taxable year, to the extent the sum of the periodic payment received exceeds the amortization of purchase price for such NPC Component, such excess is ordinary income. Conversely, to the extent that the amount of that year's amortized cost exceeds the sum of the periodic payments, such excess generally should represent a net ordinary deduction for that year.

In the case of an individual beneficially owning an interest in the Notional Principal Arrangement, to the extent a deduction constitutes a "miscellaneous itemized deduction" within the meaning of Section 67 of the Code, for tax years through December 31, 2025 such deduction will be disallowed and for tax years beginning after December 31, 2025, such deduction will be subject to the 2% floor imposed on miscellaneous itemized deductions under Section 67 of the Code and may be subject to the overall limitation on itemized deductions imposed under Section 68 of the Code.

Upon the sale, exchange, or other disposition of an NPC Certificate, the beneficial owner of such Certificate must allocate the amount realized between the REMIC Portion and the NPC Component based on the relative fair market values of those components at the time of sale and must treat the sale, exchange or other disposition as a sale, exchange or disposition of the REMIC Portion and the NPC Component. Any amount that is considered to be allocated to the Notional Principal Arrangement in connection with the sale or other disposition of a Cap is likely to be considered a "termination payment" paid or received, as the case may be, under the Notional Principal Contract Regulations. Although not entirely clear under the Notional Principal Contract Regulations, a beneficial owner of such a Certificate will have gain or loss from the disposition of a Notional Principal Arrangement equal to (i) the sum of the unamortized portion of any premium received or deemed to have been received by the beneficial owner upon entering into the Notional Principal Arrangement and any termination payment it receives or is deemed to have received, less (ii) the sum of the unamortized portion of any premium paid or deemed to have been paid by the beneficial owner upon entering into the Notional Principal Arrangement and any termination payment it makes or is deemed to have made. The gain or loss should be capital gain or loss, provided the Notional Principal Arrangement is a capital asset to the beneficial owner. The ability to deduct capital losses is subject to limitations. In the case of a bank or thrift institution, Section 582(c) of the Code likely would not be expected to apply to treat such gain or loss as ordinary.

It is possible that the Notional Principal Arrangement could be treated as a partnership or a guarantee arrangement among the holders of the NPC Certificates, in which case holders of such Certificates potentially would be subject to different timing of income and foreign holders of such Certificates could be subject to U.S. withholding in respect of any distribution made or deemed to be made to enter into such agreement or deemed received as payment for the provision of a guarantee in respect of such Notional Principal Arrangement or other negative tax results. Prospective investors in the NPC Certificates are advised to consult their tax advisors regarding the allocation of issue price, timing, character and source of income and deductions and possible withholding resulting from their interests in the Notional Principal Arrangement.

Taxes on a REMIC

A REMIC is subject to tax at a rate of 100 percent on the net income the REMIC derives from prohibited transactions (the "Prohibited Transactions Tax"). In general, a "prohibited transaction" means the disposition of a qualified mortgage other than pursuant to certain specified exceptions, the receipt of income from a source other than a qualified mortgage or certain other permitted investments, the receipt of compensation for services, or gain from the disposition of an asset purchased with the payments on the qualified mortgages for temporary investment pending distribution on the Certificates. The Code also imposes a 100 percent tax on the value of any contribution of assets to the REMIC after the closing date other than pursuant to specified exceptions, and subjects "net income from foreclosure property" to tax at the corporate rate. We do not anticipate that any REMIC formed pursuant to the Securitization Sale Agreement will engage in any such transactions or receive any such income other than potentially related to acquisitions related to Eminent Domain.

If an entity (or segregated portion of assets) elects to be treated as a REMIC but fails to comply with one or more of the ongoing requirements of the Code for REMIC status during any taxable year, the entity (or segregated portion of assets) will not qualify as a REMIC for such year and thereafter. In this event, the entity (or segregated portion of assets) may be subject to taxation as a separate corporation, and a REMIC Regular Interest Component issued by the entity (or segregated portion of assets) may not be treated as a debt instrument or otherwise accorded the status described under "—*Special Tax Attributes of the REMIC Regular Interest Components*" below. In the case of an inadvertent termination of REMIC status, the Treasury has authority to issue regulations providing relief; however, sanctions, such as the imposition of a corporate tax on all or a portion of the entity's (or segregated portion of assets') income for the period during which the requirements for REMIC status are not satisfied, may accompany any such relief. Modifications of mortgage loans entered into after they have been contributed to a REMIC and before the loan is classified as defaulted could cause a REMIC to incur a Prohibited Transactions Tax or to violate certain requirements necessary to maintain its tax status as a REMIC. Prior government-initiated mortgage foreclosure prevention programs encouraged mortgage servicers to modify or forbear with respect to certain categories of mortgage loans in advance of default in order to prevent widespread foreclosures. Such programs generally have included safe harbors and exemptions from adverse tax consequences for investors in the modified mortgage loans, but there can be no assurance that similar programs in the future will contain similar relief.

Taxation of the Class A-R Certificateholders

The Class A-R Certificates will represent ownership of the residual interest in each REMIC described in the Securitization Sale Agreement. If you are a beneficial owner of a Class A-R Certificate (a "Residual Owner"), you will be required to report the daily portion of the taxable income or, subject to the limitation described under "*—Basis Rules and Distributions*" below, the net loss of each related REMIC for each day during a calendar quarter that you are a Residual Owner. The requirement that Residual Owners report their *pro rata* share of taxable income or net loss of each related REMIC will continue until there are no certificates outstanding. For this purpose, the daily portion will be determined by allocating to each day in the calendar quarter a ratable portion of the taxable income or net loss of each REMIC for the quarter. The daily portions then will be allocated among the related Residual Owners in accordance with their percentage of ownership on each day. Any amount included in the gross income of, or allowed as a loss to, any Residual Owner will be treated as ordinary income or loss.

The discussion that follows applies separately to each residual interest (and each related REMIC) represented by a Class A-R Certificate, and the tax items associated with one residual interest cannot be netted with the tax items associated with any other residual interest.

Taxable Income or Net Loss of the REMIC

Generally, a REMIC determines its taxable income or net loss for a given calendar quarter in the same manner as would an individual having the calendar year as the taxable year and using the accrual method of accounting. There are, however, certain modifications. First, a deduction is allowed for accruals of interest and OID on the REMIC Regular Interest Components issued by the master REMIC (and the regular interests issued by any underlying REMIC). Second, market discount will be included in income as it accrues, based on a constant yield to maturity method. Third, no item of income, gain, loss or deduction allocable to a prohibited transaction is taken into account. Fourth, a REMIC generally may deduct only items that would be allowed in calculating the taxable income of a partnership under Section 703(a) of the Code. Fifth, the limitation on miscellaneous itemized deductions imposed on individuals by Section 67 of the Code does not apply at the REMIC level to investment expenses such as securities administrator, trustee or servicing fees. (In the case of individuals, and for taxable years starting after December 31, 2017 and before January 1, 2026, the Tax Cuts and Jobs Act disallows "miscellaneous itemized deductions" within the meaning of Code Section 67 and suspends the general limitation imposed on itemized deductions by Code Section 68). See "*—Pass Through of Certain Expenses*" below. If the deductions allowed to a REMIC exceed its gross income for a calendar quarter, such excess will be the net loss for the REMIC for that calendar quarter. For purposes of determining the income or loss of a REMIC, the Treasury regulations applicable to REMICs provide that a REMIC has a tax basis in its assets equal to the total of the issue prices of all regular interests and the residual interest in the REMIC.

Pass-Through of Certain Expenses

A Residual Owner that is an individual, estate or trust will be required to include in income an additional amount of income equal to a share of the expenses of a REMIC (other than interest expense or OID related to the REMICs regular interests) and may deduct those expenses subject to the limitations of Sections 67 and 68 of the Code. Those expenses may include servicing fees and all administrative and other expenses related to a REMIC. In general such an investor must treat those expenses as "miscellaneous itemized deductions" with all related limitations of Section 67. In the case of individuals, trusts and estates, for taxable years before January 1, 2026, "miscellaneous itemized deductions" within the meaning of Section 67 of the Code are disallowed and the overall limitation imposed on itemized deductions under Section 68 of the Code is suspended. Similar limitations apply to individuals, estates and trusts holding a Class A-R Certificate through certain pass-through entities.

Excess Inclusions

Excess inclusions with respect to a Class A-R Certificate are subject to special tax rules and computed separately for each related REMIC (that is, for each REMIC residual interest the ownership of which is represented by the Class A-R Certificate). For any related REMIC, the excess inclusion for any calendar quarter will generally equal the excess of the sum of the daily portions of such REMIC's taxable income allocated to the Residual Owner over the amount of income that the Residual Owner would have accrued if the residual interest related to such REMIC were a debt instrument having a yield to maturity equal to 120 percent of the long-term AFR in effect at the time of issuance of the Class A-R Certificate. If the issue price of such related REMIC residual interest is zero, which would be the case if such related REMIC residual interest had no economic value at issuance, then all of the daily portions of income allocated to the Residual Owner with respect to such residual interest will be excess inclusions. The issue prices of the REMIC residual interests represented by a Class A-R Certificate issued for cash generally will equal the price paid by the first buyer for the Class A-R Certificate allocated among all such residual interests based on their relative fair market values at the time of issuance. If a Class A-R Certificate is issued for property, the issue prices of the REMIC residual interests represented by the Class A-R Certificate will equal the fair market value of such property at the time of issuance allocated among all such residual interests based on their relative fair market values at the time of issuance.

For Residual Owners, an excess inclusion may not be offset by deductions, losses or loss carryovers. Thus, a Residual Owner that has losses in excess of income for a taxable year would, nevertheless, be required to pay tax on excess inclusions. For Residual Owners that are subject to tax on unrelated business taxable income (as defined in Section 511 of the Code), an excess inclusion is treated as unrelated business taxable income. For Residual Owners that are nonresident alien individuals or foreign corporations generally subject to United States withholding tax, even if interest paid to such Residual Owners is generally eligible for exemptions from such tax, an excess inclusion will be subject to such tax and no tax treaty rate reduction or exemption may be claimed with respect thereto.

Finally, if a REIT or a regulated investment company owns a Class A-R Certificate, a portion of the dividends paid by the REIT or regulated investment company cannot be offset by net operating losses of its shareholders, constitutes unrelated business taxable income for tax-exempt shareholders, and is ineligible for reduction of withholding to certain persons that are not U.S. Persons.

Taxable Income May Exceed Distributions

In light of the tax consequences to a Residual Owner, the taxable income from a Class A-R Certificate may exceed cash distributions with respect thereto in any taxable year. The taxable income recognized by a Residual Owner in any taxable year will be affected by, among other factors, the relationship between the timing of recognition of interest, OID or market discount income or amortization of premium for the mortgage loans, on the one hand, and the timing of deductions for interest (including OID) or income from amortization of issue premium on the regular interests, on the other hand. If an interest in the mortgage loans is acquired by a REMIC at a discount, and one or more of these mortgage loans is prepaid, the proceeds of the prepayment may be used in whole or in part to make distributions in reduction of principal on the regular interests issued by such REMIC, and the discount on the mortgage loans that is includible in income may exceed the deduction allowed upon those distributions on those regular interests on account of any unaccrued OID relating to those regular interests. When there is more than one class of regular interests that distribute principal sequentially, this mismatching of income and deductions is particularly likely to occur in the early years following issuance of the regular interests when distributions in reduction of principal are being made in respect of earlier classes of regular interests to the extent that those classes are not issued with substantial discount or are issued at a premium. If taxable income attributable to that mismatching is realized, in general, losses would be allowed in later years as distributions on the later maturing classes of regular interests are made.

Taxable income also may be greater in earlier years that in later years as a result of the fact that interest expense deductions, expressed as a percentage of the outstanding principal amount of the regular interests, may increase over time as distributions in reduction of principal are made on the lower yielding classes of regular interests, whereas, to the extent a REMIC consists of fixed-rate mortgage loans, interest income for any particular mortgage loan will remain constant over time as a percentage of the outstanding principal amount of that loan. Consequently, Residual Owners must have sufficient other sources of cash to pay any federal, state, or local income taxes due as a result of that mismatching or unrelated deductions against which to offset that income, subject to the discussion of excess inclusions under "—*Excess Inclusions*" above. The timing of mismatching of income and deductions described in this paragraph may have a significant adverse effect upon a Residual Owner's after-tax rate of return.

Basis Rules and Distributions

A Residual Owner's adjusted basis in a REMIC residual interest represented by a Class A-R Certificate will equal the amount paid for (or the value of the property exchanged for) the Class A-R Certificate allocated to such residual interest, increased by the sum of the daily portions of REMIC income taken into account by the Residual Owner with respect to such REMIC residual interest and decreased by the sum of (i) the daily portions of REMIC net loss taken into account by the Residual Owner with respect to such REMIC residual interest and (ii) distributions made by the REMIC to the Residual Owner with respect to such REMIC residual interest.

A distribution by a related REMIC to a Residual Owner will not be includible in gross income by the Residual Owner if the distribution does not exceed the Residual Owner's adjusted basis in the related REMIC residual interest immediately before the distribution. The distribution will reduce the Residual Owner's adjusted basis of such REMIC residual interest, but not below zero. To the extent a distribution exceeds the Residual Owner's adjusted basis in the Class A-R Certificate the excess will be treated as gain from the sale of the residual interest. See "—*Sales of Class A-R Certificates"* below.

A Residual Owner is not allowed to take into account any net loss for any calendar quarter with respect to a REMIC residual interest to the extent such net loss exceeds such Residual Owner's adjusted basis in the REMIC residual interest as of the close of such calendar quarter, determined without regard to such net loss. Any loss disallowed by reason of this limitation may be carried forward indefinitely to future calendar quarters and, subject to the same limitation, may be used by that Residual Owner to offset income from such REMIC residual interest.

The effect of these basis and distribution rules is that a Residual Owner may not amortize its basis in the REMIC residual interests represented by a Class A-R Certificate but may only recover its basis through distributions, through the deduction of any net losses of the related REMICs, or upon the sale of its Class A-R Certificate. See "—*Sales of Class A-R Certificates*."

Sales of Class A-R Certificates

If a Residual Owner sells a Class A-R Certificate, the Residual Owner will recognize gain or loss with respect to each REMIC residual interest represented by the Class A-R Certificate equal to the difference between the amount realized on the sale with respect to such REMIC residual interest and the Residual Owner's adjusted basis in such REMIC residual interest. For this purpose, the amount realized with respect to a REMIC residual interest will equal the amount realized for the Class A-R Certificate allocated among the REMIC residual interests represented by the Class A-R Certificate, based on their relative fair market values at the time of disposition. If a Residual Owner sells a REMIC residual interest at a loss, the loss will not be recognized if, within six months before or after the sale of the Class A-R Certificate, the Residual Owner purchases another residual interest in any REMIC or any interest in a taxable mortgage pool (as defined in Section 7701(i) of the Code) comparable to a residual interest in a REMIC. Such disallowed loss will be allowed upon the sale of the other residual interest (or comparable interest) if the rule referred to in the preceding sentence does not apply to that sale.

Inducement Fees

Payments made by a transferor of a non-economic REMIC residual interest to induce the transferee to acquire that residual interest ("inducement fees") must be determined for each related REMIC and recognized by the transferee as income over the expected remaining life of the related REMIC in a manner that reasonably reflects the after-tax costs and benefits of holding the residual interest of that REMIC and treated as income from sources within the United States. These rules will apply to any inducement fee received in connection with the acquisition of a REMIC residual interest represented by a Class A-R Certificate.

Disqualified Organizations

If a Residual Owner were to transfer a Class A-R Certificate to a disqualified organization, the Residual Owner would be subject to a tax in an amount equal to the corporate tax rate applied to the present value (using a discount rate equal to the applicable AFR) of the total anticipated excess inclusions with respect to each related REMIC residual interest for the periods after the transfer. For this purpose, disqualified organizations include the United States, any state or political subdivision of a state, any foreign government or international organization or any agency or instrumentality of any of the foregoing; any tax-exempt entity (other than a cooperative within the meaning of Section 521 of the Code) which is not subject to the tax on unrelated business income; and any rural electrical or telephone cooperative. However, a transferor of a Class A-R Certificate would in no event be liable for the tax for a transfer if the transferee furnished to the transferor an affidavit stating that the transferee is not a disqualified organization and, as of the time of the transfer, the transferor does not have actual knowledge that the affidavit is false.

The anticipated excess inclusions must be determined as of the date that the Class A-R Certificate is transferred and must be based on events that have occurred up to the time of such transfer, the prepayment assumption (see "—*Interest Income and OID*," for a discussion of the prepayment assumption), and any required or permitted clean up calls or required liquidation provided for in the Securitization Sale Agreement. The tax generally is imposed on the transferor of the Class A-R Certificate, except that it is imposed on an agent for a disqualified organization if the transfer occurs through such agent. The Trust Agreement requires, as a prerequisite to any transfer of a Class A-R Certificate, the delivery to the Securities Administrator of an affidavit of the transferee to the effect that it is not a disqualified organization and will contain other provisions designed to render any attempted transfer of a Class A-R Certificate to a disqualified organization void.

In addition, if a pass-through entity includes in income excess inclusions with respect to a REMIC residual interest represented by the Class A-R Certificate, and a disqualified organization is the record holder of an interest in such entity at any time during any taxable year of such entity, then a tax will be imposed on the entity with respect to each REMIC residual interest, in an aggregate amount equal to the product of (1) the amount of excess inclusions on each REMIC residual interest for such taxable year that is allocable to the interest in the pass-through entity held by such disqualified organization and (2) the federal income tax rate imposed on corporations. A pass-through entity will not be subject to this tax for any period with respect to an interest in such entity, however, if the record holder of such interest furnishes to such entity (1) such holder's social security number and a statement under penalties of perjury that such social security number is that of the record holder or (2) a statement under penalties of perjury that such record holder is not a disqualified organization. For these purposes, a "pass-through entity" means any regulated investment company, REIT, trust, partnership or certain other entities described in Section 860E(e)(6) of the Code. In addition, a person holding an interest in a pass-through entity as a nominee for another person will, with respect to such interest, be treated as a pass-through entity.

Noneconomic Class A-R Certificates

A transfer of any "noneconomic" REMIC residual interest represented by a Class A-R Certificate will be disregarded for all federal income tax purposes if a significant purpose of the transfer was to enable the transferor to impede the assessment or collection of tax. If such transfer is disregarded, the purported transferor will continue to be treated as the owner of such REMIC residual interest and the Residual Owner will, therefore, be liable for any taxes due with respect to the daily portions of income allocable to any such noneconomic REMIC residual interest.

A REMIC residual interest is noneconomic for this purpose unless, at the time of its transfer, (1) the present value of the expected future distributions on such REMIC residual interest at least equals the product of the present value of the anticipated excess inclusions and the tax rate applicable to corporations for the year of the transfer and (2) the transferor reasonably expects that the transferee will receive distributions with respect to such REMIC residual interest at or after the time the taxes accrue on the anticipated excess inclusions in an amount sufficient to satisfy the accrued taxes. The present value computations are based on a discount rate equal to the applicable AFR and a prepayment assumption used in computing income on the mortgage loans held by the Issuing Entity. See "—*Interest Income and OID*," for a discussion concerning prepayment assumptions.

All transfers of Class A-R Certificates will be subject to certain restrictions under the terms of the Securitization Sale Agreement that are intended to reduce the possibility of any such transfer being disregarded. Such restrictions will require each party to a transfer to provide an affidavit that no purpose of such transfer is to impede the assessment or collection of tax, including certain representations as to the financial condition of the prospective transferee.

Prior to purchasing a Class A-R Certificate, prospective purchasers should consider the possibility that a purported transfer of a REMIC residual interest represented by such Certificate by such a purchaser to another purchaser at some future date may be disregarded in accordance with the above-described rules, which would result in the retention of tax liability by such purchaser.

Treasury regulations provide a safe harbor for transfers of Class A-R Certificates and if the safe harbor is satisfied, the transfer is presumed to be a valid transfer that will be respected for federal income tax purposes. To qualify under the safe harbor set out in the Treasury regulations:

(a) the transferor must perform a reasonable investigation of the financial status of the transferee and determine that the transferee has historically paid its debts as they come due and find no evidence to indicate that the transferee will not continue to pay its debts as they come due;

(b) the transferor must obtain a representation from the transferee to the effect that the transferee understands that as the holder of the Class A-R Certificate the transferee will recognize taxable income in excess of cash flow and that the transferee intends to pay taxes on the income as those taxes become due;

(c) the transferee must represent that it will not cause income from the Class A-R Certificate to be attributable to a foreign permanent establishment or fixed base (within the meaning of an applicable income tax treaty) of the transferee or another U.S. taxpayer; and

(d) either (i) the amount received by the transferee must be no less on a present value basis than the present value of the net tax detriment attributable to holding the Class A-R Certificate reduced by the present value of the projected payments to be received on such Certificate or (ii) the transfer must be to a domestic taxable corporation with specified large amounts of gross and net assets and that meets certain other requirements where agreement is made that all future transfers will be to taxable domestic corporations in transactions that qualify for the same "safe harbor" provision.

Eligibility for the safe harbor requires, among other things, that the facts and circumstances known to the transferor at the time of transfer not indicate to a reasonable person that the taxes with respect to the Class A-R Certificate will not be paid, with an unreasonably low cost for the transfer specifically mentioned as negating eligibility. The safe harbor rules contain additional detail regarding their application. Prospective investors in the Class A-R Certificate should consult their tax advisor concerning the safe harbor rules before undertaking a transfer of a Class A-R Certificate.

Mark-to-Market Rules

Section 475 of the Code generally requires that securities dealers include securities in inventory at their fair market value, recognizing gain or loss as if the securities were sold at the end of each tax year. The Treasury regulations provide that a Class A-R Certificate is not treated as a security for purposes of the mark-to-market rules and thus may not be marked to market.

Restrictions on Transfers of Class A-R Certificates to Foreign Persons

Transfers to a Foreign Person of Class A-R Certificates that have tax avoidance potential are disregarded for all federal income tax purposes. If such a transfer is disregarded, the purported transferor of the Class A-R

Certificate to the Foreign Person continues to remain liable for any taxes due with respect to the income on such Certificate. A transfer of a Class A-R Certificate has tax avoidance potential unless, at the time of the transfer, the transferor reasonably expects (1) each REMIC represented by the Class A-R Certificate will distribute to the transferee of such Certificate amounts that will equal at least 30 percent of each excess inclusion related to such REMIC and (2) that such amounts will be distributed at or after the time at which the excess inclusion accrues and not later than the close of the calendar year following the calendar year of accrual. This rule does not apply to transfers if the income from such Certificate in the hands of the transferee is income effectively connected with the conduct of a U.S. trade or business. Moreover, if a Foreign Person transfers a Class A-R Certificate to a U.S. Person (or to a Foreign Person in whose hands income from such Certificate would be effectively connected income) and the transfer has the effect of allowing the transferor to avoid tax on accrued excess inclusions, that transfer is disregarded for all federal income tax purposes and the purported Foreign Person transferor continues to be treated as the owner of such Certificate. The Securitization Sale Agreement precludes the transfer of a Class A-R Certificate to a Foreign Person, other than a Foreign Person in whose hands the income from the Class A-R Certificate would be effectively connected with a U.S. trade or business.

Foreign Persons

REMIC Regular Interest Components

Interest (including OID) paid to or accrued by a beneficial owner of a REMIC Regular Interest Component who is a Foreign Person generally will be considered "portfolio interest" and generally will not be subject to federal income tax or withholding tax, provided the interest is not effectively connected with the conduct of a trade or business within the United States by the Foreign Person and the Foreign Person (i) is not actually or constructively a 10 percent shareholder of the holder of a Class A-R Certificate or a controlled foreign corporation with respect to which the holder of a Class A-R Certificate is a related person (all within the meaning of the Code) and (ii) provides the Securities Administrator or other person who is otherwise required to withhold U.S. tax with respect to the Certificates (the "withholding agent") with an appropriate statement on IRS Form W-8BEN (in the case of an individual) or IRS Form W-8BEN-E (in the case of an entity). If a REMIC Regular Interest Component is held through a securities clearing organization or certain other financial institutions, the organization or institution may provide the relevant signed statement to the withholding agent; in that case, however, the signed statement must be accompanied by an IRS Form W-8BEN or an IRS Form W-8BEN-E provided by the Foreign Person that owns the REMIC Regular Interest Component. If the information shown on IRS Form W-8BEN or IRS Form W-8BEN-E changes, a new IRS Form W-8BEN or IRS Form W-8BEN-E must be filed. If the foregoing requirements are not met, then interest (including OID) on the Certificates will be subject to federal income and withholding tax at a rate of 30 percent, unless reduced or eliminated pursuant to an applicable tax treaty.

Under Treasury regulations relating to withholding obligations, a payment to a foreign partnership is treated, with some exceptions, as a payment directly to the partners, so that the partners are required to provide any required certifications. Prospective investors that are Foreign Persons that intend to hold a Certificate through a partnership or other pass-through entity should consult their tax advisors regarding the application of those Treasury regulations to an investment in a Certificate.

Any capital gain realized on the sale, redemption, retirement or other taxable disposition of a REMIC Regular Interest Component by a Foreign Person will be exempt from federal income and withholding tax, provided that (i) such gain is not effectively connected with the conduct of a trade or business in the United States by the Foreign Person and (ii) in the case of a Foreign Person who is an individual, the Foreign Person is not present in the United States for 183 days or more in the taxable year.

FATCA imposes a federal withholding tax of 30% on interest from REMIC Regular Interest Components, paid to (i) "foreign financial institutions" unless they agree to collect and disclose to the IRS information identifying their direct and indirect U.S. account holders, and (ii) certain "non-financial foreign entities" unless they certify certain information regarding their direct and indirect U.S. owners.

REMIC Residual Interests

The Report indicates that amounts paid to Residual Owners that are Foreign Persons generally should be treated as interest for purposes of the 30 percent (or lower treaty rate) withholding tax. Treasury regulations provide that amounts distributed to Residual Owners may qualify as "portfolio interest," subject to the conditions described in "—*Restrictions on Transfers of Class A-R Certificates to Foreign Persons*" above, but only to the extent that the Issuing Entity's participation interests in the underlying Mortgage Loans consist of obligations issued in "registered form" within the meaning of Section 163(f)(1) of the Code. Generally, participation interests in mortgage loans will not be and regular interests in another REMIC will be, considered obligations issued in registered form. Residual Owners will not be entitled to any exemption from the 30 percent withholding tax (or lower treaty rate) to the extent of that portion of REMIC taxable income that constitutes an "excess inclusion." See "—*Excess Inclusions*" above. If the amounts paid to Residual Owners that are Foreign Persons are effectively connected with the conduct of a trade or business within the United States by those Foreign Persons, the 30 percent (or lower treaty rate) withholding will not apply. Instead, the amounts paid to those Foreign Persons will be subject to federal income tax at regular rates. If the 30 percent (or lower treaty rate) withholding is applicable, those amounts generally will be taken into account for purposes of withholding only when paid or otherwise distributed (or when the Class A-R Certificate is disposed of) under rules similar to withholding upon disposition of REMIC Regular Interest Components that have OID. See "—*Restrictions on Transfers of Class A-R Certificates to Foreign Persons*" above concerning the disregard of certain transfers having "tax avoidance potential." Prospective investors that are Foreign Persons should consult their tax advisors regarding the specific tax consequences to them of owning Class A-R Certificates.

Treasury regulations modify the general rule that excess inclusions from a REMIC residual interest are not includible in the income of a Foreign Person (or subject to withholding tax) until paid or distributed. The Treasury regulations accelerate the time both for reporting of, and withholding tax on, excess inclusions allocated to the foreign equity holders of partnerships and certain other pass-through entities. These rules also provide that excess inclusions are United States sourced income.

Under the Treasury regulations, in the case of REMIC residual interests held by a Foreign Person through a partnership, the amount of excess inclusion income allocated to the foreign partner is deemed to be received by the foreign partner on the last day of the partnership's taxable year except to the extent that the excess inclusion was required to be taken into account by the foreign partner at an earlier time under Section 860G(b) of the Code as a result of a distribution by the partnership to the foreign partner or a disposition in whole or in part of the foreign partner's indirect interest in the REMIC residual interest. A disposition in whole or in part of the foreign partner's indirect interest in the REMIC residual interest may occur as a result of a termination of the REMIC, a disposition of the partnership's residual interest in the REMIC, a disposition of the foreign partner's interest in the partnership, or any other reduction in the foreign partner's allocable share of the portion of the REMIC net income or deduction allocated to the partnership.

Similarly, in the case of a residual interest held by a Foreign Person as a shareholder of a real estate investment trust or regulated investment company, as a participant in a common trust fund or as a patron in an organization subject to part I of subchapter T of the Code (cooperatives), the amount of excess inclusion allocated to the foreign person must be taken into income at the same time that other income from such trust, company, fund, or organization would be taken into account.

Under the Treasury regulations, excess inclusions allocated to a Foreign Person (whether as a partner or holder of an interest in a pass-through entity) are expressly made subject to withholding tax. In addition, in the case of excess inclusions allocable to a Foreign Person as a partner, such regulations eliminate an important exception to the withholding requirements under which a withholding agent unrelated to a payee is obligated to withhold on a payment only to the extent that the withholding agent has control over the payee's money or property and knows the facts giving rise to the payment.

NPC Components

Although it is not entirely clear, it is not expected that distributions received by a holder of an NPC Certificate with respect to the related NPC Component will be subject to federal withholding tax so long as the Notional Principal Arrangement is respected as a notional principal contract for federal income tax purposes.

However, alternate characterizations are possible, which could result in withholding for foreign Certificateholders of the NPC Certificates, particularly of the Class X Certificates, and prospective investors should consult their tax advisors regarding the application of federal withholding tax to distributions received on the NPC Component portion of the NPC Certificates, if applicable. See "*—Additional Considerations for the NPC Certificates*" in this Memorandum.

Administrative Provisions

Each REMIC will be required to maintain its books on a calendar year basis and to file federal income tax returns for federal income tax purposes in a manner similar to a partnership. The form for the income tax return is Form 1066, U.S. Real Estate Mortgage Investment Conduit Income Tax Return. The Securitization Sale Agreement provides that the Owner Trustee of the Issuing Entity will be required to sign any REMIC or grantor trust returns for the Issuing Entity. Treasury regulations provide that, except where there is a single Residual Owner for an entire taxable year, each Residual Owner is required to treat items on its return consistently with the treatment of such items on the REMIC's returns, unless the Residual Owner either files a statement identifying the inconsistency or establishes that the inconsistency resulted from incorrect information received from the REMIC. Under the partnership audit rules, the tax administrative duties for each REMIC will be put in the hands of a "partnership representative" (as defined in Section 6223 of the Code) that acts as each REMIC's sole representative in connection with IRS audits and related procedures. The Securitization Sale Agreement will designate the Securities Administrator as such partnership representative for each REMIC and its actions, including agreeing to adjustments to REMIC taxable income, are binding on a Residual Owner. If the IRS makes an adjustment to a REMIC's taxable year, the Residual Owners for the audited year may have to take the adjustment into account for the taxable year in which the adjustment is made rather than for the audited taxable year. See "*Risk Factors—Certain Conflicts and Other Risks—Partnership Audit Rules*" in this Memorandum.

The Securities Administrator will also be responsible for federal income tax reporting in respect of the Notional Principal Arrangement and the EC Trust, and will furnish the holders of the Offered Certificates with information from time to time in accordance with the Securitization Sale Agreement. There can be no assurance the IRS will agree with the Securities Administrator's information reports of these items, particular in respect of the Notional Principal Arrangement, as the timing and amount of income, gain, deduction and loss in respect of the Notional Principal Arrangement are uncertain in various respects. Moreover, these information reports, even if otherwise accepted as accurate by the IRS, may in any event only be accurate as to initial holders. The IRS has published regulations that establish a reporting framework for interests in "widely held fixed investment trusts" that place the responsibility of reporting on the person in the ownership chain who holds an interest for a beneficial owner. A widely held fixed investment trust is defined as an entity or arrangement classified as a "trust" under Treasury Regulations Section 301.7701-4(c), in which any interest is held by a middleman, which includes, but is not limited to (i) a custodian of a person's account, (ii) a nominee and (iii) a broker holding an interest for a customer in "street name."

No REMIC formed pursuant to the Securitization Sale Agreement will register as a tax shelter pursuant to Section 6111 of the Code because none generally will have a net loss for any of the first five taxable years of its existence. Any person that holds a Class A-R Certificate as a nominee for another person may be required to furnish the REMICs, in a manner to be provided in Treasury regulations, with the name and address of that person and other specified information.

The IRS Form 1066 has an accompanying Schedule Q, Quarterly Notice to Residual Interest Holders of REMIC taxable Income or Net Loss Allocation. Treasury regulations require that a Schedule Q be furnished by the REMICs to each Residual Owner by the end of the month following the close of each calendar quarter (41 days after the end of a quarter under proposed Treasury regulations) in which the REMICs are in existence. Treasury regulations require that, in addition to the foregoing requirements, information must be furnished quarterly to Residual Owners and filed annually with the IRS concerning Section 67 of the Code expenses (see "*—Pass-Through of Certain Expenses*" above) allocable to those holders. Furthermore, under those regulations, information must be furnished quarterly to Residual Owners and filed annually with the IRS concerning the percentage of each REMIC's assets meeting the qualified asset tests described under "*—Special Tax Attributes of the REMIC Regular Interest Components*" below.

Special Tax Attributes of the REMIC Regular Interest Components

The REMIC Regular Interest Components held by a domestic building and loan association will constitute "regular interests in a REMIC" within the meaning of Section 7701(a)(19)(C)(xi) of the Code in proportion to the assets of the related REMIC that are described in Section 7701(a)(19)(C)(i) through (x) of the Code. If, however, at least 95 percent of the assets of the related REMIC are described in Section 7701(a)(19)(C)(i) through (x) of the Code, the entire REMIC Regular Interest Components related to such REMIC will so qualify.

In addition, the REMIC Regular Interest Components held by a REIT will constitute "real estate assets" within the meaning of Section 856(c)(5)(B) of the Code. If at any time during a calendar year less than 95 percent of the assets of the related REMIC consists of "real estate assets," then the portion of the related REMIC Regular Interest Components that are real estate assets under Section 856(c)(5)(B) of the Code during the calendar year will be limited to the portion of the assets of the related REMIC that are real estate assets. Similarly, income on the REMIC Regular Interest Components will be treated as "interest on obligations secured by mortgages on real property" within the meaning of Section 856(c)(3)(B) of the Code, subject to the same limitation as set forth in the preceding sentence.

The REMIC Regular Interest Components underlying Certificates will be "qualified mortgages" within the meaning of Section 860G(a)(3) of the Code with respect to another REMIC, provided they are transferred to such other REMIC within the periods required by the Code.

The determination of the percentage of a REMIC's assets that constitute assets described in the foregoing sections of the Code will be made for each calendar quarter based on the average adjusted basis of each category of the assets held by the REMIC during that calendar quarter. The REMIC will report those determinations in the manner and at the times required by applicable Treasury regulations. The Small Business Job Protection Act of 1996 (the "SBJPA of 1996") repealed the reserve method for bad debts of domestic building and loan associations and mutual savings banks, and thus has eliminated the asset category of "qualifying real property loans" in former Section 593(d) of the Code for taxable years beginning after December 31, 1995. The requirements in the SBJPA of 1996 that these institutions must "recapture" a portion of their existing bad debt reserves is suspended if a certain portion of their assets are maintained in "residential loans" under Section 7701(a)(19)(C)(v) of the Code, but only if those loans were made to acquire, construct or improve the related real property and not for the purpose of refinancing. However, no effort will be made to identify the portion of the mortgage loans meeting this requirement, and no representation is made in this regard.

Because the Notional Principal Arrangement are not part of any underlying REMIC, the master REMIC or any REMIC Regular Interest Components, the Notional Principal Arrangement will not be treated as a qualifying asset as described above. Accordingly, the NPC Certificates may not be a suitable investment for certain investors and prospective investors in the NPC Certificates should contact their tax advisors concerning an investment in such Certificates.

Information Reporting

Payments of interest (including OID, if any) on a Certificate held by a U.S. Person other than a corporation or other exempt holder are required to be reported to the IRS. Moreover, the Securities Administrator on behalf of the Issuing Entity is required to make available to Certificateholders information concerning the amount of OID and Qualified Stated Interest accrued for each accrual period for which the Certificates are outstanding, the adjusted issue price of the Certificates as of the end of each accrual period, and information to enable a Certificateholder to compute accruals of market discount or bond premium using the *pro rata* method described under "*—Market Discount*" above.

Payments of interest (including OID, if any) on a Certificate held by a Foreign Person are required to be reported annually on IRS Form 1042-S, which the withholding agent must file with the IRS and furnish to the recipient of the income.

Backup Withholding

Distributions on Certificates, as well as payment of proceeds from the sale of Certificates, may be subject to the backup withholding tax under Section 3406 of the Code if recipients fail to furnish certain information, including their taxpayer identification numbers, or otherwise fail to establish an exemption from such tax. Any amounts deducted and withheld from a recipient would be allowed as a credit against such recipient's federal income tax. Furthermore, certain penalties may be imposed by the IRS on a recipient that is required to supply information but that does not do so in the manner required.

Medicare Tax

A 3.8% tax is imposed on some or all of the net investment income of certain individuals with modified adjusted gross income of over $200,000 ($250,000 in the case of joint filers) and the undistributed net investment income of certain estates and trusts. For these purposes, "net investment income" will generally include interest, discount income and gains in respect of the Certificates.

Reportable Transactions

A penalty in the amount of $10,000 in the case of a natural person and $50,000 in any other case is imposed on any taxpayer that fails to file timely an information return with the IRS with respect to a "reportable transaction" (as defined in Section 6011 of the Code). The rules defining "reportable transactions" are complex and include transactions that result in certain losses that exceed threshold amounts. Prospective investors are advised to consult their tax advisers regarding any possible disclosure obligations in light of their particular circumstances.

STATE AND OTHER TAX CONSEQUENCES

In addition to the federal income tax consequences described in *"Certain Federal Income Tax Consequences"* herein, prospective investors should consider the state, local and other tax consequences of the acquisition, ownership, and disposition of the Certificates offered hereunder. State, local and other tax law may differ substantially from the corresponding federal tax law, and the tax discussion herein does not purport to describe any aspect of the tax laws of any state, locality or other jurisdiction. Prospective investors should consult their tax advisors with respect to the various tax consequences of investments in the Certificates.

ERISA MATTERS

Section 406 of ERISA prohibits, and Section 4975 of the Code imposes adverse tax consequences on, certain transactions involving employee benefit plans as defined in Section 3(3) of ERISA, including pension, profit-sharing or other retirement plans, that are subject to Title I of ERISA, "plans" as defined in Section 4975(e)(1) of the Code, including so-called "Keogh" plans, or individual retirement accounts, educational savings accounts, that are subject to Section 4975 of the Code or any entity whose underlying assets are deemed to include plan assets by reason of such employee benefit plan's or plan's investment in such entity, including insurance company general or separate accounts (each a "Plan"). ERISA also imposes certain duties on persons who are fiduciaries of Plans subject to ERISA, including the requirements of investment prudence and diversification, and the requirement that investments of any such Plan be made in accordance with the documents governing the Plan. Under ERISA, any person who exercises any authority or control respecting the management or disposition of the assets of a Plan or renders investment advice for a fee with respect to such Plan's assets is considered to be a fiduciary of the Plan.

Governmental plans (as defined in Section 3(32) of ERISA), plans maintained outside of the United States primarily for the benefit of persons substantially all of whom are non-resident aliens as described in Section 4(b)(4) of ERISA and certain church plans (as defined in Section 3(33) of ERISA) if no election has been made under Section 410(d) of the Code, are not subject to ERISA requirements or the provisions of Section 4975 of the Code; provided, however, that such governmental, church and non-U.S. plans may be subject to federal, state, local or non-U.S. laws that are substantially similar to Title I of ERISA or Section 4975 of the Code ("Similar Law"). It also should be noted that such governmental and church plans may be subject to provisions of applicable federal law, including, for example, in the case of any governmental or church plan that is qualified under Section 401(a) of the

Code and exempt from taxation under Section 501(a) of the Code but is not subject to Section 4975 of ERISA, the restrictions imposed under Section 503 of the Code. Based on the foregoing, and subject to considerations and conditions described below, governmental, certain church, and non-U.S. plans subject to Similar Law may be eligible to acquire the Offered Certificates, other than the Class A-IO-S, Class X and Class A-R Certificates.

In addition to imposing general fiduciary standards, ERISA and Section 4975 of the Code prohibit a broad range of "prohibited transactions" involving assets of Plans and, as relevant here, the acquisition, holding and disposition of certificates between a Plan and persons that are "parties in interest" as described in Section 3(14) of ERISA or "disqualified persons" as described in Section 4975 of the Code (collectively, "Parties in Interest") with respect to such Plan and impose taxes and/or other penalties under ERISA and/or Section 4975 of the Code on such transactions, unless a regulatory exception or a statutory or administrative exemption applies.

In addition, the United States Department of Labor (the "DOL") has promulgated regulations at 29 C.F.R. Section 2510.3-101 as modified by Section 3(42) of ERISA (the "Plan Assets Regulation"), describing what constitutes assets of a Plan with respect to the Plan's investment in an entity. Under the Plan Assets Regulation, if a Plan invests in an "equity interest" of an entity, such as the Issuing Entity, the Plan's assets, for purposes of Title I of ERISA and Section 4975 of the Code, include both the equity interest and an undivided interest in the entity's underlying assets, unless one of the exceptions contained in the Plan Assets Regulation is applicable. If the assets of an entity, such as the Issuing Entity, are considered to be "plan assets" of an investing Plan, any person who exercises control over those assets may be subject to ERISA's fiduciary standards and certain transactions involving the entity may be deemed to constitute prohibited transactions under ERISA and Section 4975 of the Code with respect to such Plan. An equity interest is defined under the Plan Assets Regulation as an interest other than an interest which is treated as indebtedness under applicable local law and which has no substantial equity features. An Offered Certificate will normally be treated as an equity interest for these purposes.

The DOL has granted an administrative exemption to each of J.P. Morgan Securities LLC and Raymond James & Associates, Inc. (each as most recently amended and restated by PTE 2013-08, the "Exemption") which exempts from the application of the prohibited transaction rules of ERISA and the related excise tax provisions of Section 4975 of the Code the initial purchase, holding and subsequent resale by Plans of asset-backed and mortgage-backed securities issued by entities, such as the trust constituted for this transaction (referred to in this document as the Issuing Entity) that hold certain fixed pools of secured receivables, and other obligations of the types held by the Issuing Entity (such as the Participation Interests in the Mortgage Loans) and the servicing, operation and management of the Issuing Entity and its assets, provided that the conditions and requirements of the Exemption are met. For the purposes of the Exemption, the term "underwriter" includes (a) the underwriter named in the Exemption, (b) any person directly or indirectly, through one or more intermediaries, controlling, controlled by or under common control with that underwriter and (c) any member of the underwriting syndicate or selling group of which a person described in (a) or (b) is a manager or co-manager for a class of securities. Thus, with respect to each class of Offered Certificates that J.P. Morgan Securities LLC and/or Raymond James & Associates, Inc. underwrites or places, the Exemption would be available to provide relief for the acquisition or holding by a Plan or on behalf of a Plan of the Offered Certificates of such class that are underwritten or placed by J.P. Morgan Securities LLC, Raymond James & Associates, Inc., Stifel, Nicolaus & Company, Incorporated, AmeriVet Securities, Inc., Loop Capital Markets LLC, Robert W. Baird & Co. Incorporated and/or Drexel Hamilton, LLC, provided the other terms and conditions of the Exemption are met. The term "securities" described in the Exemption would include the Offered Certificates, provided that such Certificates meet the terms and conditions generally described below.

General Conditions of the Exemption

Plans acquiring the Offered Certificates may be eligible for protection under the Exemption if:

i. at the time of the acquisition, such class of Offered Certificates acquired by the Plan have received a rating in one of the four highest generic rating categories by a "Rating Agency" that satisfies the requirements set forth in the Exemption as described below (each a "Recognized Rating Agency" and this requirement, the "Minimum ERISA Rating Requirement");

ii. with respect to any class of Offered Certificates evidencing rights and interests that are subordinated to the rights and interests evidenced by the other classes of Certificates, none of the loans backing the

Certificates in the transaction has a loan-to-value ratio and a combined loan-to-value ratio at the date of issuance of the Certificates that exceeds 100%;

iii. the trustee of the assets of the Issuing Entity is not an affiliate of any member of the "Restricted Group" other than an Initial Purchaser (under the Exemption, the "Restricted Group" with respect to the Offered Certificates includes the Sponsors, the Initial Purchasers, the Servicers, the Securities Administrator, any obligor with respect to obligations or receivables included in the Issuing Entity constituting more than 5% of the aggregate unamortized principal balance of the assets in the Issuing Entity as of the initial date of issuance of the Offered Certificates or any affiliate of those parties);

iv. the Plan is an "accredited investor," as defined in Rule 501(a)(1) of Regulation D under the Securities Act (an "Accredited Investor");

v. the acquisition of such Offered Certificates by a Plan is on terms, including the price for such Offered Certificates, that are at least as favorable to the Plan as they would be in an arm's-length transaction with an unrelated party;

vi. the sum of all payments made to and retained by the Initial Purchasers in connection with the placement of such Offered Certificates represents not more than reasonable compensation for placing such Offered Certificates;

vii. the sum of all payments made to and retained by the Depositor pursuant to the sale of the Participation Interests in the Mortgage Loans to the Issuing Entity represents not more than the fair market value of those assets; and

viii. assets of the type included as assets of the Issuing Entity have been included in other investment pools; and certificates evidencing interests in those other pools have: (i) met the Minimum ERISA Rating Requirement and (ii) been purchased by investors other than Plans for at least one year prior to a Plan's acquisition of Offered Certificates in reliance upon the Exemption.

A "Recognized Rating Agency" means a credit rating agency that: (i) is currently recognized by the SEC as an NRSRO; (ii) has indicated on its most recently filed SEC Form NRSRO that it rates "issuers of asset-backed securities"; and (iii) has had, within a period not exceeding 12 months prior to the initial issuance of the securities, at least three (3) "qualified ratings engagements." A "qualified ratings engagement" is one (a) requested by an issuer or underwriter of securities in connection with the initial offering of the securities; (b) for which the credit rating agency is compensated for providing ratings; (c) which is made public to investors generally; and (d) which involves the offering of securities of the type that would be granted relief by the "Underwriter Exemption" within the meaning of PTE 2013-08.

Limitations on Scope of Relief

The Exemption will not apply to a Plan's investment in any Offered Certificates if the Plan fiduciary responsible for the decision to invest in such Offered Certificates is a Borrower or obligor with respect to obligations representing more than 5% of the fair market value of the obligations constituting the assets of the Issuing Entity, or an affiliate of such an obligor. However, the Exemption will apply to a Plan's investment in the Offered Certificates if such Plan fiduciary is a Borrower or obligor with respect to such obligations described above representing 5% or less of the fair market value of the obligations constituting assets in the Issuing Entity or an affiliate of such obligor, provided, that the following requirements are satisfied:

i. in the case of an acquisition in connection with the initial issuance of such Offered Certificates, at least 50% of each class of such Offered Certificates in which Plans have invested is acquired by persons independent of the Restricted Group and at least 50% of the aggregate interest in the Issuing Entity is acquired by persons independent of the Restricted Group;

ii. the Plan's investment in any class of such Offered Certificates does not exceed 25% of the outstanding certificates of that class at the time of acquisition;

iii. immediately after the acquisition, no more than 25% of the Plan assets with respect to which the investing fiduciary has discretionary authority or renders investment advice are invested in such Offered Certificates evidencing interests in trusts sponsored or containing assets sold or serviced by the same entity; and

iv. the Plan is not sponsored by any member of the Restricted Group.

Whether the conditions of the Exemption will be satisfied as to any class of Offered Certificates will depend upon the relevant facts and circumstances existing at the time the Plan acquires such Offered Certificates. Any Plan investor that proposes to use assets of a Plan to acquire any Offered Certificates in reliance upon the Exemption should determine whether the Plan satisfies all of the applicable conditions and consult with its counsel regarding other factors that may affect the applicability of the Exemption.

Applicability of Exemption to the Offered Certificates

The Class A-1, Class M-1, Class M-2, Class M-3 and Class B-1 Certificates (other than any of the foregoing classes or portion of any of the foregoing classes of Certificates that is purchased directly from the Depositor by the JPM Sponsor or one of its affiliates on the Closing Date or, as described below, is retained by the JPM Sponsor or one of its affiliates on the Closing Date) (each, an "ERISA Eligible Certificate") should satisfy the general conditions for prohibited transaction exemptive relief under the Exemption (other than those conditions that are solely within the control of the Plan investors).

It should be noted that since it is a condition of the issuance of the ERISA Eligible Certificates that they receive the ratings by the Rating Agencies set forth in the table beginning on page 1 of this Memorandum, the Minimum ERISA Rating Requirement will be satisfied with respect to the ERISA Eligible Certificates as of the Closing Date (provided, as stated above, that at least one of the Rating Agencies is a Recognized Rating Agency). However, it should be noted that the rating of an ERISA Eligible Certificate may change at any time. If the Minimum ERISA Rating Requirement is not met with respect to a class of ERISA Eligible Certificates, the Certificates of that class may no longer be eligible for relief under the Exemption, although a Plan that had purchased a Certificate of that class when the Certificate did meet the Minimum ERISA Rating Requirement would not be required to dispose of it. However, an ERISA Eligible Certificate that does not meet the Minimum ERISA Rating Requirement as of the date of acquisition may be eligible for acquisition by a Plan investor that is an insurance company using an insurance company general account as defined in Section V(e) of Prohibited Transaction Class Exemption ("PTCE") 95-60, pursuant to Sections I and III of PTCE 95-60.

Each purchaser or transferee of an interest in an ERISA Eligible Certificate that satisfies the Minimum ERISA Rating Requirement upon acquisition and is, or is acting on behalf of or using assets of, a Plan or a governmental, church or non-U.S. plan subject to Similar Law, will be required to provide a representation to the effect (or if the ERISA Eligible Certificate is issued in book-entry form, will be deemed to represent by virtue of its acquisition of the ERISA Eligible Certificate) that (A) in the case of a purchaser or transferee that is, or is acting on behalf of, or using assets of, a Plan and provided that the ERISA Eligible Certificate is either (i) underwritten or placed by an Initial Purchaser on the Closing Date or (ii) subsequently underwritten or placed by J.P. Morgan Securities LLC or Raymond James & Associates, Inc., or another underwriter or placement agent that has obtained an exemption substantially similar to the Exemption (such underwriting or placement described in clause (ii), an "ERISA Qualifying Underwriting"), it is an Accredited Investor or (B) in the case of a purchaser or transferee that is, or is acting on behalf of, or using assets of, a governmental, church or non-U.S. plan subject to Similar Law, its acquisition, holding and disposition of such ERISA Eligible Certificate will not constitute or otherwise result in a non-exempt violation of Similar Law.

The Retaining Sponsor has the right to purchase all of the Offered Certificates then outstanding, as further described under "*Optional Clean-Up Call and Optional Redemption*" in this Memorandum. Without regard to whether the Exemption applies to the acquisition and holding of the ERISA Eligible Certificates, the sale of such Offered Certificates pursuant to the Optional Redemption may result in a separate prohibited transaction to which the Exemption is not applicable in the event the Depositor or any affiliate is a Party in Interest with respect to a Plan that holds an ERISA Eligible Certificate at that time. Therefore, the sale of the ERISA Eligible Certificates to the Depositor pursuant to the Optional Redemption must separately satisfy an administrative or statutory prohibited transaction exemption. These exemptions include, but are not limited to, PTCE 90-1 (regarding investments by insurance company pooled separate accounts), PTCE 91-38 (regarding investments by bank collective funds), PTCE 84-14 (regarding investment decisions made by qualified professional asset managers), PTCE 95-60 (regarding investments by insurance company general accounts) or PTCE 96-23 (regarding investment decisions by in-house asset managers) (collectively, the "Investor-Based Class Exemptions"). In addition, certain statutory prohibited transaction exemptions may be available to provide exemptive relief for a Plan, including, without limitation, the statutory exemption set forth in Section 408(b)(17) of ERISA and Section 4975(d)(20) of the Code regarding transactions with certain service providers and their affiliates (the "Statutory Exemption"). It should be noted that even if the conditions specified in one or more of the prohibited transaction exemptions described above (or any similar administrative or statutory exemption) are met, the scope of the relief provided may or may not cover all acts associated with the sale of the ERISA Eligible Certificates pursuant to the Optional Redemption that could be construed as prohibited transactions. Plan fiduciaries should consult their legal counsel concerning the application of these issues.

Accordingly, each purchaser or transferee of an interest in an ERISA Eligible Certificate that satisfies the Minimum ERISA Rating Requirement upon acquisition and is, or is acting on behalf of or using assets of, a Plan will be required to provide a representation (or if such ERISA Eligible Certificate is issued in book-entry form, will be deemed to represent by virtue of its acquisition of the ERISA Eligible Certificate) to the effect that any sale of such ERISA Eligible Certificate pursuant to the Optional Redemption meets all of the conditions for exemptive relief under one of the Investor-Based Class Exemptions, the Statutory Exemption or any other administrative or statutory exemption and will not constitute or otherwise result in a non-exempt prohibited transaction under Section 406 of ERISA or Section 4975 of the Code.

On the Closing Date, all or a portion of one or more classes of the Senior Certificates or Mezzanine Certificates may be purchased directly from the Depositor by the JPM Sponsor or one of its affiliates. In addition, on the Closing Date, all or a portion of one or more classes of the Senior Certificates or Mezzanine Certificates may be retained by the JPM Sponsor or one of its affiliates if such Certificates are not purchased or placed by the Initial Purchasers on the Closing Date. Any such Certificates that are purchased or retained on the Closing Date as described in the two preceding sentences are hereinafter referred to as "Retained Certificates." Any such Retained Certificates are not eligible to be acquired by, on behalf of, or using assets of, a Plan as ERISA Eligible Certificates on the Closing Date because such Certificates are not purchased or placed by an Initial Purchaser on the Closing Date. However, in the event that, after the Closing Date, any such Retained Certificates are the subject of an ERISA Qualifying Underwriting and satisfy the Minimum ERISA Rating Requirement as of the date of acquisition, such Certificates may be acquired by or on behalf of Plans under the same conditions described above for the ERISA Eligible Certificates. Moreover, in the event that any such Retained Certificates are the subject of an ERISA Qualifying Underwriting after the Closing Date but do not satisfy the Minimum ERISA Rating Requirement as of the date of acquisition, such Certificates may be eligible for acquisition by, or on behalf of, or using assets of, a Plan investor that is an insurance company using an insurance company general account as defined in Section V(e) of PTCE 95-60, pursuant to Sections I and III of PTCE 95-60 under the same conditions described below for ERISA Restricted Certificates.

As none of the Class B-2, Class B-3 and Class B-4 Certificates meets the Minimum ERISA Rating Requirement on the Closing Date, none of the Class B-2, Class B-3 and Class B-4 Certificates are eligible to be purchased by, on behalf of, or using assets of, Plans pursuant to the Exemption on the Closing Date. Accordingly, the Class B-2, Class B-3 and Class B-4 Certificates, as well as any class of ERISA Eligible Certificates that does not meet the Minimum ERISA Rating Requirement as of the date of acquisition and any Retained Certificates that are the subject of an ERISA Qualifying Underwriting but do not meet the Minimum ERISA Rating Requirement as of the date of acquisition, are referred to herein as "ERISA Restricted Certificates." However, PTCE 95-60, Sections I and III, may be applicable to the acquisition, holding and transfer of the ERISA Restricted Certificates, the operation and management of the Issuing Entity and its assets, and PTCE 95-60, Section I may be applicable to the sale of certain ERISA Restricted Certificates pursuant to the Optional Redemption discussed above, provided that such ERISA Restricted Certificates are the subject of an ERISA Qualifying Underwriting.

The ERISA Restricted Certificates may be acquired by an investor, provided the Securities Administrator, on behalf of the Issuing Entity, and the Certificate Registrar receives the following:

- a representation from the purchaser or transferee of the ERISA Restricted Certificates, to the effect that such purchaser or transferee is not a Plan or a governmental plan, church plan or non-U.S. plan subject to Similar Law, nor a person acting on behalf of such a Plan or plan or using the assets of such a Plan or plan to acquire or hold the ERISA Restricted Certificates;

- if the purchaser or transferee is or is acting behalf of, or using assets of, a Plan and provided that the ERISA Restricted Certificates are either purchased by the Initial Purchasers on the Closing Date or have been the subject of an ERISA Qualifying Underwriting, a representation to the effect that (i) the purchaser or transferee is an "Accredited Investor" and is an insurance company which is acquiring the ERISA Restricted Certificates with funds contained in an "insurance company general account," as that term is defined in Section V(e) of PTCE 95-60, (ii) the acquisition, holding and disposition of the ERISA Restricted Certificates are covered under Sections I and III of PTCE 95-60 and will not constitute or otherwise result in a non-exempt prohibited transaction under Section 406 of ERISA or Section 4975 of the Code and (iii) the sale of any ERISA Restricted Certificates pursuant to the Optional Redemption is covered under Section I of PTCE 95-60 and will not constitute or otherwise result in a non-exempt prohibited transaction under Section 406 of ERISA or Section 4975 of the Code;

- if the purchaser or transferee is or is acting on behalf of, or using assets of, a governmental plan, church plan or non-U.S. plan subject to Similar Law, a representation to the effect that its acquisition, holding and disposition of such ERISA Restricted Certificates will not constitute or otherwise result in a non-exempt violation of Similar Law; or

- an opinion of counsel satisfactory to the Securities Administrator, the Owner Trustee and the Certificate Registrar to the effect that the acquisition, holding and disposition of the ERISA Restricted Certificates by, and the sale of any ERISA Restricted Certificates pursuant to the Optional Redemption by, a Plan or governmental plan, church plan or non-U.S. plan subject to Similar Law or any Person acting on behalf of, or using assets of, such a Plan or a governmental plan, church plan or non-U.S. plan subject to Similar Law, (a) will not, in the case of a Plan, constitute or otherwise result in non-exempt prohibited transactions under Section 406 of ERISA or Section 4975 of the Code or, in the case of a governmental plan, church plan or non-U.S. plan subject to Similar Law, constitute or otherwise result in a non-exempt violation of Similar Law and (b) will not subject the Issuing Entity, the Owner Trustee, Securities Administrator, the Depositor or the transferor to any obligation (including any fiduciary obligation) in addition to those undertaken in the Trust Agreement or the Securitization Sale Agreement.

In the event that the representation is violated or is false, or any attempt to transfer to (or acquire from) a Plan or a governmental plan, church plan or non-U.S. plan subject to Similar Law or person acting on behalf of such a Plan or plan or using the assets of such a Plan or plan is attempted without the requisite opinion of counsel, the attempted transfer or acquisition will be void and of no effect. The purchaser of an ERISA Restricted Certificate in book-entry form will be deemed to have made one of the first three representations set forth above.

None of the Class BX, Class X, Class A-IO-S and Class A-R Certificates may be acquired or held by, on behalf of, or using assets of, a Plan or a governmental, church or non-U.S. plan subject to Similar law.

Other Considerations with respect to the Offered Certificates

Both the Exemption and PTCE 95-60 require that a Certificate be subject to an ERISA Qualifying Underwriting in order for the acquisition, holding or disposition of the Certificate to qualify for exemptive relief thereunder. Certain classes or portions of classes of Offered Certificates may not be purchased or placed by the Initial Purchasers on the Closing Date. Therefore, such classes or portions of classes of Offered Certificates will not be eligible to be acquired by, on behalf of, or using assets of, Plan investors pursuant to the Exemption or PTCE 95-

60, Sections I and III on the Closing Date. However, in the event that any such Offered Certificates are subsequently the subject of an ERISA Qualifying Underwriting, such Offered Certificates may be acquired by, on behalf of, or using assets of, Plans under the same conditions as are described above for other Offered Certificates that are eligible under either the Exemption and/or Sections I and III of PTCE 95-60, as applicable.

When the holder of Depositable Certificates that are or were eligible to be purchased under the Exemption exchanges all or a portion of such Depositable Certificates for a proportionate interest in the related Exchangeable Certificate(s), or vice versa, such Certificate(s) received in the exchange may only be acquired (i) by a Plan investor, provided that the Minimum ERISA Rating Requirement is met at that time with respect to the Certificate(s) being acquired in the exchange or (ii) by a Plan investor that is an insurance company which is acquiring such Certificates(s) with funds contained in an "insurance company general account" (as defined in Section V(e) of PTCE 95-60) and the acquisition and holding of such Certificate(s) are covered under Sections I and III of PTCE 95-60. If the requirements of either clause (i) or (ii) are not satisfied with respect to all or a portion of the Certificate(s) received in an exchange, such Certificate(s) must be simultaneously transferred to a person that is not a Plan investor.

Each purchaser or transferee of the Offered Certificates that is a Plan or a Person acting on behalf of, or using assets of, such a Plan will be required to represent and warrant (or in the case a Certificate in book-entry form, will be deemed to represent by virtue of its acquisition of such Certificate) that (i) none of the Depositor, the Issuing Entity, the Participation Agent, the Owner Trustee, the Participation Owner Trustee, the Initial Purchasers, the Servicers, the Securities Administrator, the Participation Registrar or any of their respective affiliates, agents or employees, has provided any investment recommendation or investment advice on which the Plan or the fiduciary making the investment decision for the Plan has relied in connection with the decision to acquire the Offered Certificates, and they are not otherwise acting as a fiduciary (within the meaning of Section 3(21) of ERISA or Section 4975(e)(3) of the Code) to the Plan in connection with the Plan's acquisition of the Offered Certificates (unless an applicable prohibited transaction exemption is available (all of the conditions of which are satisfied) to cover the acquisition and holding of such Certificates or the transaction is not otherwise prohibited), and (ii) the Plan fiduciary making the decision to acquire the Offered Certificates is exercising its own independent judgment in evaluating the investment in the Offered Certificates.

Any member of the Restricted Group, a Borrower or obligor, or any of their affiliates might be considered or might become a Party in Interest with respect to a Plan. In that event, the acquisition or holding of Offered Certificates by a Plan or a Person acting on behalf of, or using assets of, that Plan might be viewed as giving rise to a prohibited transaction under ERISA and Section 4975 of the Code, unless the Exemption or another exemption is available. Accordingly, before a Plan investor makes the investment decision to acquire, to commit to acquire or to hold any Offered Certificates, the Plan investor should make its own determination as to whether the Exemption is applicable and adequate exemptive relief is available thereunder or whether any other prohibited transaction exemption is available under ERISA and Section 4975 of the Code.

Insurance companies contemplating the investment of general account assets in the Offered Certificates should also consult with their legal advisors with respect to the applicability of Section 401(c) of ERISA, and the DOL regulations issued thereunder regarding the potential application to, and exemption from, the fiduciary and prohibited transaction provisions of ERISA and/or Section 4975 of the Code to such accounts.

Prospective investors that are or are acting on behalf of, or investing assets of, a Plan or a governmental, church or non-U.S. plan subject to Similar Law should consult with their legal advisors concerning the impact of ERISA, the Code, the Plan Assets Regulation or Similar Law prior to making an investment in the Offered Certificates, including, in the case of a Plan, whether the specific or general conditions of the Exemption are satisfied, including, without limitation, whether any of the Rating Agencies satisfy the qualifications required by the terms of the Exemption, the applicability of PTCE 95-60 described above or, in the case of a governmental, church or non-U.S. plan subject to Similar Law, that the acquisition, holding and disposition of such Offered Certificates does not constitute or result in a non-exempt violation of Similar Law, and the potential consequences in their specific circumstances prior to making an investment in the Offered Certificates. Moreover, each Plan fiduciary that is subject to ERISA should determine whether under ERISA's fiduciary standards of investment prudence and diversification, an investment in the Offered Certificates is appropriate for the Plan, also taking into account the overall investment policy of the Plan and the composition of the Plan's investment portfolio.

The sale of Offered Certificates to a Plan or a governmental, church or non-U.S. plan subject to Similar Law is in no respect a representation by the Issuing Entity, the Participation Agent, the Depositor, the Participation Certificate Seller or any Initial Purchaser that this investment meets all relevant legal requirements with respect to investments by Plans or governmental, church or non-U.S. plans subject to Similar Law generally or any such particular Plan or plan, or that this investment is appropriate for such Plans or plans generally or any such particular Plan or plan.

CERTAIN LEGAL ASPECTS

The following discussion contains summaries, which are general in nature, of the material legal matters relating to the HELOCs. Because legal aspects are governed primarily by applicable state law, which laws may differ substantially, the descriptions do not, except as expressly provided below, reflect the laws of any particular state, nor do they encompass the laws of all states in which the security for the HELOC is situated.

General

The HELOCs may be secured by deeds of trust, mortgages, security deeds or deeds to secure debt, depending upon the prevailing practice in the state in which the property securing the HELOC is located. Deeds of trust are used almost exclusively in California instead of mortgages. A mortgage creates a lien upon the real property encumbered by the mortgage, which lien is generally not prior to the lien for real estate taxes and assessments. Priority between mortgages depends on their terms and generally on the order of recording with a state or county office. There are two parties to a mortgage, the Borrower, who is the Borrower and owner of the mortgaged property, and the mortgagee, who is the lender. Under the mortgage instrument, the Borrower delivers to the mortgagee a note or bond and the mortgage. Although a deed of trust is similar to a mortgage, a deed of trust formally has three parties, the Borrower-property owner called the trustor, similar to a Borrower, a lender, similar to a mortgagee, called the beneficiary, and a third-party grantee called the trustee. Under a deed of trust, the Borrower grants the property, irrevocably until the debt is paid, in trust, generally with a power of sale, to the trustee to secure payment of the obligation. A security deed and a deed to secure debt are special types of deeds which indicate on their face that they are granted to secure an underlying debt. By executing a security deed or deed to secure debt, the grantor conveys title to, as opposed to merely creating a lien upon, the subject property to the grantee until the time at which the underlying debt is repaid. The trustee's authority under a deed of trust, the mortgagee's authority under a mortgage and the grantee's authority under a security deed or deed to secure debt are governed by law and, with respect to some deeds of trust, the directions of the beneficiary.

Foreclosure/Repossession

Deed of Trust

Foreclosure of a deed of trust is generally accomplished by a non-judicial sale under a specific provision in the deed of trust which authorizes the trustee to sell the property at public auction upon any default by the borrower under the terms of the note or deed of trust. In some states, that foreclosure also may be accomplished by judicial action in the manner provided for foreclosure of mortgages. In addition to any notice requirements contained in a deed of trust, in some states, like California, the trustee must record a notice of default and send a copy to the borrower-trustor, to any person who has recorded a request for a copy of any notice of default and notice of sale, to any successor in interest to the borrower-trustor, to the beneficiary of any junior deed of trust and to other specified persons. In some states, including California, the borrower-trustor has the right to reinstate the loan at any time following default until shortly before the trustee's sale. In general, the Borrower, or any other person having a junior encumbrance on the real estate, may, during a statutorily prescribed reinstatement period, cure a monetary default by paying the entire amount in arrears plus other designated costs and expenses incurred in enforcing the obligation. Generally, state law controls the amount of foreclosure expenses and costs, including attorney's fees, which may be recovered by a lender. After the reinstatement period has expired without the default having been cured, the borrower or junior lienholder no longer has the right to reinstate the loan and must pay the loan in full to prevent the scheduled foreclosure sale. If the deed of trust is not reinstated within any applicable cure period, a notice of sale must be posted in a public place and, in most states, including California, published for a specific period of time in one or more newspapers. In addition, some state laws require that a copy of the notice of sale be posted on the property and sent to all parties having an interest of record in the real property.

Mortgages

Foreclosure of a mortgage is generally accomplished by judicial action. The action is initiated by the service of legal pleadings upon all parties having an interest in the real property. Delays in completion of the foreclosure may occasionally result from difficulties in locating necessary parties. Judicial foreclosure proceedings may be contested by any of the parties. When the mortgagee's right to foreclosure is contested, the legal proceedings necessary to resolve the issue can be time consuming. After the completion of a judicial foreclosure proceeding, the court generally issues a judgment of foreclosure and appoints a referee or other court officer to conduct the sale of the property. In some states, mortgages may also be foreclosed by advertisement, pursuant to a power of sale provided in the related mortgage.

Although foreclosure sales are typically public sales, frequently no third party purchaser bids in excess of the lender's lien because of the difficulty of determining the exact status of title to the property, the possible deterioration of the property during the foreclosure proceedings and a requirement that the purchaser pay for the property in cash or by cashier's check. Thus, the foreclosing lender often purchases the property from the trustee or referee for an amount equal to the principal amount outstanding under the loan, accrued and unpaid interest and the expenses of foreclosure in which event the borrower's debt will be extinguished, or the lender may purchase for a lesser amount in order to preserve its right against a borrower to seek a deficiency judgment in states where that judgment is available. If it does purchase the property, except as limited by the right of the borrower in some states to remain in possession during the redemption period (described below under "—*Rights of Redemption*"), the lender will assume the burden of ownership, including obtaining hazard insurance and making those repairs at its own expense as are necessary to render the property suitable for sale. The lender will commonly obtain the services of a real estate broker and pay the broker's commission in connection with the sale of the property. Depending upon market conditions, the ultimate proceeds of the sale of the property may not equal the lender's investment in the property. Any loss may be reduced by the receipt of any mortgage guaranty insurance proceeds.

Courts have imposed general equitable principles upon foreclosure. These equitable principles are generally designed to mitigate the legal consequences to the borrower of the borrower's defaults under the loan documents. In recent years, state legislatures and courts have imposed new substantive and procedural rules for foreclosure and repossession. These rules have resulted in longer and more complex procedures to complete a foreclosure.

Some courts have been faced with the issue of whether federal or state constitutional provisions reflecting due process concerns for fair notice require that borrowers under deeds of trust receive notice longer than that prescribed by statute. For the most part, these cases have upheld the statutory notice provisions as being reasonable, or have found that the sale by a trustee under a deed of trust does not involve sufficient state action to afford constitutional protection to the borrower.

Environmental Risks

Real property pledged as security to a lender may subject the lender to unforeseen environmental risks. Under the laws of some states, contamination of a property may give rise to a lien on the property to assure the payment of the costs of clean-up. In several states a lien to assure the payment of the costs of clean-up has priority over the lien of an existing mortgage against that property. In addition, under the federal Comprehensive Environmental Response, Compensation and Liability Act of 1980 ("CERCLA"), the EPA may impose a lien on property where EPA has incurred clean-up costs. However, a CERCLA lien is subordinate to pre-existing, perfected security interests.

Under the laws of some states, and under CERCLA, there are circumstances under which a secured lender may be held liable as an "owner" or "operator" for the costs of addressing releases or threatened releases of hazardous substances at a property, even though the environmental damage or threat was caused by a prior or current owner or operator. CERCLA imposes liability for those costs on any and all "responsible parties," including owners or operators. However, CERCLA excludes from the definition of "owner or operator" a secured creditor who holds indicia of ownership primarily to protect its security interest—the "secured creditor exclusion"—but without "participating in the management" of the property. Thus, if a lender's activities begin to encroach on the actual management of a contaminated facility or property, the lender may incur liability as an "owner or operator" under CERCLA. Similarly, if a lender forecloses and takes title to a contaminated facility or property, the lender may incur CERCLA liability in various circumstances, including, but not limited to, when it holds the facility or property as an investment, including leasing the facility or property to a third party, or fails to dispose of the property in a commercially reasonable time frame.

The Asset Conservation, Lender Liability and Deposit Insurance Protection Act of 1996 amended CERCLA to clarify when actions taken by a lender constitute participation in the management of a mortgaged property, so as to render the secured creditor exemption unavailable to a lender. It provides that, in order to be deemed to have participated in the management of a mortgaged property, a lender must actually participate in the operational affairs of the property. The legislation also provides that participation in the management of the property does not include "merely having the capacity to influence, or the unexercised right to control" operations. Rather, a lender will lose the protection of the secured creditor exemption only if it exercises decision-making control over the borrower's environmental compliance related to the property so that the lender is responsible for hazardous substance handling or disposal practices, or exercises control comparable to that of a property manager so that the lender has assumed responsibility for overall property management including day-to-day environmental compliance decision-making or for substantially all of the operational functions of the property.

If a lender is or becomes liable, it can bring an action for contribution against any other "responsible parties," including a previous owner or operator, who created the environmental hazard, but those persons or entities may be bankrupt or otherwise judgment proof. The costs associated with environmental cleanup may be substantial. It is conceivable that costs arising from the circumstances set forth above could result in a loss to securityholders.

A secured creditor exclusion does not govern liability for cleanup costs under federal laws other than CERCLA, except with respect to underground petroleum storage tanks regulated under the federal Resource Conservation and Recovery Act ("RCRA"). The Asset Conservation, Lender Liability and Deposit Insurance Protection Act of 1996 amended RCRA so that the protections accorded to lenders under CERCLA are also accorded to the holders of security interests in underground petroleum storage tanks. It should be noted, however, that liability for cleanup of petroleum contamination may be governed by state law, which may not provide for any specific protection for secured creditors.

Rights of Redemption

In some states, after sale pursuant to a deed of trust or foreclosure of a mortgage, the borrower and foreclosed junior lienors are given a statutory period in which to redeem the property from the foreclosure sale. In other states, including California, this right of redemption applies only to sales following judicial foreclosure, and not to sales pursuant to a non-judicial power of sale. In most states where the right of redemption is available, statutory redemption may occur upon payment of the foreclosure purchase price, accrued interest and taxes. In other states, redemption may be authorized if the prior borrower pays only a portion of the sums due. The effect of a statutory right of redemption is to diminish the ability of the lender to sell the foreclosed property. The exercise of a right of redemption would defeat the title of any purchaser from the lender subsequent to foreclosure or sale under a deed of trust. Consequently, the practical effect of the redemption right is to force the lender to retain the property and pay the expenses of ownership until the redemption period has run. In some states, there is no right to redeem property after a trustee's sale under a deed of trust.

Anti-deficiency Legislation and Other Limitations on Lenders

Some states have imposed statutory and judicial restrictions that limit the remedies of a beneficiary under a deed of trust or a mortgagee under a mortgage. In some states, including California, statutes and case law limit the right of the beneficiary or mortgagee to obtain a deficiency judgment against borrowers financing the purchase of their residence or following sale under a deed of trust or other foreclosure proceedings. A deficiency judgment is a personal judgment against the borrower equal in most cases to the difference between the amount due to the lender and the fair market value of the real property at the time of the foreclosure sale. As a result of these limitations, it is anticipated that in most instances a servicer will utilize the non-judicial foreclosure remedy where available and will not seek deficiency judgments against defaulting borrowers.

Some state statutes require the beneficiary or mortgagee to exhaust the security afforded under a deed of trust or mortgage by foreclosure in an attempt to satisfy the full debt before bringing a personal action against the borrower. In other states, the lender has the option of bringing a personal action against the borrower on the debt without first exhausting the security; however, in some of these states, the lender, following judgment on that personal action, may be deemed to have elected a remedy and may be precluded from exercising remedies with respect to the security. Consequently, the practical effect of the election requirement, when applicable, is that lenders will usually proceed first against the security rather than bringing a personal action against the borrower. In some states, exceptions to the anti-deficiency statutes are provided in specific instances where the value of the lender's security has been impaired by acts or omissions of the borrower, for example, in the event of waste of the property. Finally, other statutory provisions limit any deficiency judgment against the prior borrower following a foreclosure sale to the excess of the outstanding debt over the fair market value of the property at the time of the public sale. The purpose of these statutes is generally to prevent a beneficiary or a mortgagee from obtaining a large deficiency judgment against the former borrower as a result of low or no bids at the foreclosure sale.

Generally, Article 9 of the UCC governs foreclosure on cooperative shares and the related proprietary lease or occupancy agreement. Some courts have interpreted section 9-610 of the UCC to prohibit a deficiency award unless the creditor establishes that the sale of the collateral, which, in the case of a cooperative loan, would be the shares of the cooperative and the related proprietary lease or occupancy agreement, was conducted in a commercially reasonable manner.

In addition to anti-deficiency and related legislation, numerous other federal and state statutory provisions, including the federal bankruptcy laws and state laws affording relief to debtors, may interfere with or affect the ability of the secured mortgage lender to realize upon its security. For example, in a proceeding under the federal bankruptcy code, a lender may not foreclose on a mortgaged property without the permission of the bankruptcy court. The rehabilitation plan proposed by an individual debtor may provide, if the mortgaged property is not the debtor's principal residence and the court determines that the value of the mortgaged property is less than the principal balance of the mortgage loan, for the reduction of the secured indebtedness to the value of the mortgaged property as of the date of the commencement of the bankruptcy, rendering the lender a general unsecured creditor for the difference, and also may reduce the monthly payments due under that mortgage loan, change the rate of interest and alter the mortgage loan repayment schedule. The effect of any of those proceedings under the federal bankruptcy code, including but not limited to any automatic stay, could result in delays in receiving payments on the Participation Interests in the Mortgage Loans underlying the Certificates and possible reductions in the aggregate amount of those payments.

The federal tax laws provide priority of some tax liens over the lien of a mortgage or secured party.

Due-on-Sale Clauses

The HELOCs may or may not contain a due-on-sale clause which will generally provide that if the Borrower or obligor sells, transfers or conveys the property, the loan or contract may be accelerated by the mortgagee or secured party. Court decisions and legislative actions have placed substantial restriction on the right of lenders to enforce those clauses in many states. For instance, the California Supreme Court in August 1978 held that due-on-sale clauses were generally unenforceable. However, the Garn-St Germain Act, subject to exceptions, preempts state constitutional, statutory and case law prohibiting the enforcement of due-on-sale clauses. As a result, due-on-sale clauses have become generally enforceable except in those states whose legislatures exercised their authority to regulate the enforceability of those clauses with respect to mortgage loans that were (1) originated or assumed during the "window period" under the Garn-St Germain Act, which ended in all cases not later than October 15, 1982, and (2) originated by lenders other than national banks, federal savings institutions and federal credit unions. Freddie Mac has taken the position in its published mortgage servicing standards that, out of a total of eleven "window period states," five states (Arizona, Michigan, Minnesota, New Mexico and Utah) have enacted statutes extending, on various terms and for varying periods, the prohibition on enforcement of due-on-sale clauses with respect to particular categories of window period loans. Also, the Garn-St Germain Act does "encourage" lenders to permit assumption of loans at the original rate of interest or at some other rate less than the average of the original rate and the market rate.

As to HELOCs secured by an owner-occupied residence, the Garn-St Germain Act sets forth nine specific instances in which a mortgagee covered by the act may not exercise its rights under a due-on-sale clause, notwithstanding the fact that a transfer of the property may have occurred. The inability to enforce a due-on-sale clause may result in transfer of the related mortgaged property to an uncreditworthy person, which could increase the likelihood of default or may result in a mortgage bearing an interest rate below the current market rate being assumed by a new home buyer, which may affect the average life of the loans and the number of loans which may extend to maturity.

Further, under federal bankruptcy law, due-on-sale clauses may not be enforceable in bankruptcy proceedings and may, under limited circumstances, be eliminated in any modified mortgage resulting from that bankruptcy proceeding.

Enforceability of Prepayment and Late Payment Fees

Forms of notes, mortgages and deeds of trust used by lenders may contain provisions obligating the borrower to pay a late charge if payments are not timely made, and in some circumstances may provide for prepayment fees or penalties if the obligation is paid prior to maturity. In some states, there are or may be specific limitations upon the late charges which a lender may collect from a borrower for delinquent payments. Some states also limit the amounts that a lender may collect from a borrower as an additional charge if the loan is prepaid. Under some state laws, prepayment charges may not be imposed after a specified period of time following the origination of mortgage loans with respect to prepayments on loans secured by liens encumbering owner-occupied residential properties. Since many of the mortgaged properties will be owner-occupied, it is anticipated that prepayment charges may not be imposed with respect to many of the loans. The absence of that type of a restraint on prepayment, may increase the likelihood of refinancing or other early retirement of those loans. Late charges and prepayment fees are retained by the Servicers as supplemental servicing compensation.

Applicability of Usury Laws

Title V of the Depository Institutions Deregulation and Monetary Control Act of 1980 ("Title V") provides that state usury limitations will not apply to some types of residential first mortgage loans originated by particular lenders after March 31, 1980. The OCC, as successor to the Office of Thrift Supervision and the Federal Home Loan Bank Board, is authorized to issue rules and regulations and to publish interpretations governing implementation of Title V. The statute authorized the states to reimpose interest rate limits by adopting, before April 1, 1983, a law or constitutional provision which expressly rejects an application of the federal law. Fifteen states adopted a similar law prior to the April 1, 1983 deadline. In addition, even where Title V is not so rejected, any state is authorized by the law to adopt a provision limiting discount points or other charges on mortgage loans covered by Title V. Some states have taken action to reimpose interest rate limits and/or to limit discount points or other charges.

Consumer Protection Laws

The so-called "Holder-in-Due Course" rule of the Federal Trade Commission is intended to defeat the ability of the transferor of a consumer credit contract who is the seller of goods which gave rise to the transaction, and particular, related lenders and assignees, to transfer that contract free of notice of claims by the contract debtor. The effect of this rule is to subject the assignee of a contract of this type to all claims and defenses that the debtor under the contract could assert against the seller of goods. Liability under this rule is limited to amounts paid under a contract; however, the obligor also may be able to assert the rule to set off remaining amounts due as a defense against a claim brought by or on behalf of the Issuing Entity against that obligor. Numerous other federal and state consumer protection laws impose requirements applicable to the origination and lending pursuant to the HELOCs, including the Truth in Lending Act, the Real Estate Settlement Procedures Act, the Federal Trade Commission Act, the Consumer Financial Protection Act, the Fair Credit Reporting Act, the Equal Credit Opportunity Act, the Fair Debt Collection Practices Act and other related statutes and regulations. In the case of some of these laws, the failure to comply with their provisions may affect the enforceability of the related HELOCs.

Applicability of Usury Laws for Loans secured by Manufactured Homes

Title V provides that state usury limitations will not apply to any loan or contract which is secured by a first lien on a residential manufactured home if it meets certain conditions. The contracts would be covered if they satisfy conditions governing, among other things, the terms of any prepayments, late charges and deferral fees and requiring a 30-day notice period prior to instituting any action leading to repossession of the related unit.

Title V authorized any state to reimpose limitations on interest rates and finance charges by adopting before April 1, 1983 a law or constitutional provision which expressly rejects application of the federal law. Fifteen states adopted a similar law prior to the April 1, 1983 deadline. In addition, even where Title V was not rejected, any state is authorized by the law to adopt a provision limiting discount points or other charges on loans covered by Title V.

Servicemembers Civil Relief Act

Generally, under the terms of the Servicemembers Civil Relief Act or similar state laws (the "Relief Act"), a borrower who enters military service after the origination of that borrower's loan including a borrower who is a member of the National Guard or is in reserve status at the time of the origination of the loan and is later called to active duty, may not be charged interest above an annual rate of 6% during the period of that borrower's active duty status, unless a court orders otherwise upon a showing by the lender that a servicemember's ability to pay a higher rate is not materially affected due to the servicemember's military service. It is possible that the interest rate limitation could have an effect, for an indeterminate period of time, on the ability of a Servicer to collect full amounts of interest on some of the loans. Any shortfall in interest collections resulting from the application of the Relief Act could result in losses to Certificateholders. The Relief Act also imposes limitations which would impair the ability of a Servicer to foreclose on an affected loan during the borrower's period of active duty status and, in some cases, during an additional three month period thereafter. Moreover, the Relief Act permits the extension of a loan's maturity and the re-adjustment of its payment schedule beyond the completion of military service. Thus, in the event that a loan of this type goes into default, there may be delays and losses occasioned by the inability to realize upon the property in a timely fashion.

RATINGS

It is a condition to the issuance of the Certificates that each class of Certificates (other than the Class B-4, Class BX, Class A-IO-S, Class X and Class A-R Certificates) will have received at least the applicable ratings set forth in the table beginning on page 1 of this Memorandum from the applicable Rating Agencies. There is no assurance that the ratings assigned to such Certificates will continue for any period of time or that such ratings will not be revised or withdrawn entirely by a Rating Agency if, in its judgment, circumstances so warrant. A revision or withdrawal of such ratings may have an adverse effect on the market price of the Certificates. A rating is an opinion of the assigning rating agency based on their analysis, and none of the ratings assigned to the Certificates have been or will be verified or analyzed by the Participation Certificate Seller, the Depositor, any Initial Purchaser or any other party to the transactions described herein. A security rating is not a recommendation to buy, sell or hold securities. The Class B-4, Class BX, Class A-IO-S, Class X and Class A-R Certificates have not been rated by any Rating Agency.

A rating agency's rating reflects its opinion of the riskiness of the Mortgage Loans and the structure of the transaction. A rating agency's ratings do not address the effect on the Certificates' yield attributable to prepayments or recoveries on the HELOCs allocable to the Mortgage Loans or any Trust Expenses incurred by the Issuing Entity or Participation Trust Expenses incurred by the Participation Agent.

The ratings assigned to the rated Certificates address (i) the likelihood of the ultimate receipt by Certificateholders of all principal distributions to which such Certificateholders are entitled and (ii) the likelihood of the receipt by Certificateholders of the amount of interest actually received by the Issuing Entity to the extent payable to each class in accordance with the priorities described in this Memorandum (as such interest received by the Issuing Entity may have been reduced, and as such interest entitlement may be further reduced by the allocation of Aggregate Expense Fees as described herein). A security rating does not represent any assessment of the yield to maturity that investors may experience in the event of rapid prepayments and/or other liquidations of the HELOCs. In general, the ratings on the Offered Certificates address credit risk and not prepayment risk.

The Sponsors have not requested a rating on the rated Offered Certificates from any rating agency other than the Rating Agencies. Other nationally recognized statistical rating organizations that the Sponsors have not engaged to rate the Offered Certificates may nevertheless issue unsolicited credit ratings on one or more classes of Certificates relying on information they receive pursuant to Rule 17g-5 under the Exchange Act. If any such unsolicited ratings are issued, no assurance can be given that they will not be different from those ratings assigned by Fitch or KBRA. The issuance of unsolicited ratings of one or more classes of the Certificates that are different from the ratings assigned by Fitch or KBRA may impact the value of that class of Certificates. There can be no assurance as to whether another rating agency will rate any class of Certificates or, if it were to rate any class of Certificates, what rating would be assigned by it.

Neither the Sponsors nor any other person or entity will have any duty to notify you if any other rating agencies issues, or delivers notice of its intention to issue, unsolicited ratings on one or more classes of Certificates after the date of this Memorandum.

Furthermore, the SEC may determine that either or both of Fitch or KBRA no longer qualifies as a nationally recognized statistical rating organization for purposes of the federal securities laws and that determination may have an adverse effect on the market value of the Certificates.

In light of the outbreak of the COVID-19 pandemic, it is possible that a hired rating agency could revise its models and ratings methodology (including its ratings or outlooks with respect to the various transaction parties) and, following the closing date, downgrade its ratings on certain classes of certificates which were not subject to such models or methodology as part of the initial ratings process.

See *"Risk Factors—Risks Primarily Related to the Certificates—Ratings of the Certificates Have Substantial Limitations"* in this Memorandum.

METHOD OF DISTRIBUTION

General

Subject to the terms and conditions set forth in a certificate purchase agreement, dated as of the date of this Memorandum, among the Initial Purchasers, the Participation Certificate Seller and the Depositor, the Depositor has agreed to sell the Offered Certificates to the Initial Purchasers, and the Initial Purchasers have agreed, severally and not jointly, to purchase the Offered Certificates from the Depositor. In addition, on the Closing Date, all or a portion of one or more classes of the Senior Certificates or the Mezzanine Certificates may be sold directly by the Depositor to JPMCB (an affiliate of the Depositor), subject to the satisfaction of certain terms and conditions set forth in an agreement between the Depositor and JPMCB, and accordingly, the Depositor would not sell such portions of the Senior Certificates or the Mezzanine Certificates to the Initial Purchasers on the Closing Date.

The Depositor and the Participation Certificate Seller have jointly and severally agreed to indemnify each Initial Purchaser and each Initial Purchaser, severally and not jointly, has agreed to indemnify the Depositor and the Participation Certificate Seller, in each case, against certain liabilities, including liabilities under the Securities Act.

J.P. Morgan Securities LLC is an affiliate of the Depositor, the Participation Certificate Seller and JPMCB.

We cannot assure you that a secondary market for the Offered Certificates will develop or, if it does develop, that it will continue. Each Initial Purchaser expects to make, but is not obligated to make, a secondary market in the Offered Certificates purchased by it pursuant to the certificate purchase agreement. The primary source of ongoing information available to investors concerning the Certificates will be the monthly statements discussed in this Memorandum under "*Description of the Certificates—Reports to Certificateholders*" which will include information as to the outstanding principal balance of the Certificates. Except as described in this Memorandum under "*Description of the Certificates—Reports to Certificateholders*" we cannot assure you that any additional information regarding the Certificates will be available through any other source. In addition, we are not aware of any source through which price information about the Certificates will be generally available on an ongoing basis. The limited nature of that information regarding the Certificates may adversely affect the liquidity of the Certificates, even if a secondary market for the Certificates becomes available.

It is expected that delivery of the Offered Certificates will be made against payment therefor on or about the Closing Date. Rule 15c6-1 of the SEC under the Exchange Act generally requires trades in the secondary market to settle in two business days, unless the parties to any such trade expressly agree otherwise. Accordingly, if the Closing Date is more than two business days after the date that a purchaser enters into a trade to purchase the Offered Certificates and that purchaser wishes to trade such Offered Certificates more than two business days prior to the Closing Date, that purchaser will be required to specify an alternate settlement cycle at the time of any such trade to prevent a failed settlement. It is suggested that purchasers of Offered Certificates who wish to trade Offered Certificates more than two business days prior to the Closing Date consult their own advisors.

Offering Restrictions

United Kingdom

Each Initial Purchaser, severally and not jointly, has represented to and agreed with the Depositor that:

- it has only communicated or caused to be communicated and will only communicate or cause to be communicated an invitation or inducement to engage in investment activity (within the meaning of Section 21 of FSMA received by it in connection with the issue or sale of any Offered Certificates in circumstances in which Section 21(1) of the FSMA does not apply to the Issuing Entity or the Depositor; and

- it has complied and will comply with all applicable provisions of the FSMA with respect to anything done by it in relation to the Offered Certificates in, from or otherwise involving the United Kingdom.

Each Initial Purchaser, severally and not jointly, will represent and agree that it has not offered, sold or otherwise made available and will not offer, sell or otherwise make available any Offered Certificates to any UK retail investor in the United Kingdom. For the purposes of this paragraph:

(a) the expression "UK retail investor" means a person who is one (or more) of the following:

  (i) a retail client as defined in point (8) of Article 2 of Regulation (EU) 2017/565 as it forms part of United Kingdom domestic law by virtue of the EUWA;

  (ii) a customer within the meaning of the provisions of the FSMA and any rules or regulations made under the FSMA to implement Directive (EU) 2016/97, where that customer would not qualify as a professional client, as defined in point (8) of Article 2(1) of Regulation (EU) 600/2014 as it forms part of United Kingdom domestic law by virtue of the EUWA; or

  (iii) not a UK Qualified Investor; and

(b) the expression "offer" includes the communication in any form and by any means of sufficient information on the terms of the offer and the Offered Certificates to be offered so as to enable an investor to decide to purchase or subscribe to the Offered Certificates.

European Economic Area

Each Initial Purchaser, severally and not jointly, will represent and agree that it has not offered, sold or otherwise made available and will not offer, sell or otherwise make available any Offered Certificates to any EEA retail investor in the EEA. For the purposes of this paragraph:

(a) the expression "EEA retail investor" means a person who is one (or more) of the following:

(i) a retail client as defined in MiFID II;

(ii) a customer within the meaning of Directive (EU) 2016/97 (known as the Insurance Distribution Directive) as amended, where that customer would not qualify as a professional client as defined in point (10) of Article 4(1) of MiFID II; or

(iii) not an EU Qualified Investor; and

(b) the expression "offer" includes the communication in any form and by any means of sufficient information on the terms of the offer and the Offered Certificates to be offered so as to enable an investor to decide to purchase or subscribe to the Offered Certificates.

NOTICE TO INVESTORS

The Certificates have not been registered under the Securities Act and may not be offered or sold except pursuant to an exemption from, or in a transaction not subject to, the registration requirements of the Securities Act. Accordingly, the Certificates are being offered hereby only to (a) QIBs under Rule 144A of the Securities Act and (b) other than with respect to the Regulation S Restricted Certificates, non-U.S. persons outside the United States pursuant to the requirements of Regulation S under the Securities Act.

Each initial purchaser of a Regulation S Permanent Global Certificate will be required to sign an investor representation letter substantially in the form of the letter set forth in Appendix III to this Memorandum, and each subsequent purchaser of a Regulation S Permanent Global Certificate will be deemed to make the representations set forth in such representation letter at the time of its acquisition thereof. Additionally, each purchaser of Certificates will be deemed to represent to the Issuing Entity, the Depositor, the Initial Purchasers, the Securities Administrator, the Owner Trustee and the Certificate Registrar, and agree as follows:

1. In the case of (a) a Rule 144A Global Certificate, it is a QIB that is aware that the sale of the Certificates to it will be made in reliance on Rule 144A of the Securities Act and is acquiring the Certificates for its own account or for the account of another QIB and as to each of which the purchaser exercises sole investment discretion, or (b) a Regulation S Permanent Global Certificate, it is a person who is not a "U.S. person" (as defined in Regulation S under the Securities Act) outside the United States that is aware that the sale of the Certificates to it will be made in reliance on Rule 903 or Rule 904 of Regulation S under the Securities Act, and in the case of each of (a) and (b), in accordance with any applicable state securities laws of any State of the United States or any other applicable jurisdiction, and in a principal amount of not less than the minimum denomination of such Certificate for the purchaser and for each such account. The Certificates may not at any time be held by or on behalf of any person that is not a QIB or that is not a Regulation S Non-U.S. Person, as applicable. Any purported transfer of the Certificates to a purchaser that does not comply with the requirements of this paragraph will be null and void ab initio. The Issuing Entity may sell any Certificates acquired in violation of the foregoing at the cost and risk of the purported purchaser.

2. It acknowledges that none of the Depositor, the Issuing Entity or any person representing the Depositor or the Issuing Entity has made any representation to it with respect to the Depositor or the offering or sale of the Certificates, other than the information contained in this Memorandum, and this Memorandum has been delivered to it and upon which it is relying in making its investment decision with respect to the Certificates. It acknowledges that it has received this Memorandum and all additional information considered by it to be necessary to verify the accuracy of or to supplement the information in this Memorandum and that it has been afforded an opportunity to review this Memorandum and all such additional information. It understands and agrees that any information provided to it prior to the delivery of this Memorandum is superseded by the information in this Memorandum. It has had access to such financial and other information concerning the Issuing Entity, the Depositor, the Participation Certificate Seller, the Originators, the Servicers, the Securities Administrator, the Participation Registrar, the Owner Trustee, the Participation Owner Trustee, the Custodian and the Certificates as it has deemed necessary or appropriate in connection with its decision to purchase the Certificates, including an opportunity to ask questions of and receive information from the Depositor regarding any such matters. Further, it understands that the information contained in this Memorandum and all such additional information, as well as all

information to be received by it as a Certificateholder, is confidential and agrees to keep such information confidential and in accordance with all applicable federal and state securities laws and regulations (a) by not disclosing any such information other than to a person who needs to know such information and who has agreed to keep such information confidential and (b) by not using any such information other than for the purpose of evaluating an investment in the Certificates; provided, however, that any such information may be disclosed as required by applicable law if the Depositor is given written notice of such requirement sufficient to enable the Depositor to seek a protective order or other appropriate remedy in advance of disclosure.

3. It acknowledges that the Issuing Entity, the Depositor, the Owner Trustee, the Securities Administrator and others will rely upon the truth and accuracy of the foregoing acknowledgments, representations and agreements and agrees that, if any of the acknowledgments, representations or agreements deemed to have been made by it by its purchase of the Certificates were not accurate when made, it will promptly so notify the party from which it purchased the Certificates and the Depositor. If it is acquiring any Certificates as a fiduciary or agent for one or more investor accounts, it represents that it has sole investment discretion with respect to each such account and that it has full power to make the foregoing acknowledgments, representations and agreements on behalf of each such account. It understands that the Securities Administrator may receive a list of participants holding positions in the Certificates from one or more book-entry depositories.

4. It understands and acknowledges that the Certificates have not been registered under the Securities Act or any other applicable securities laws and that (A) the Certificates may be offered, sold, pledged or otherwise transferred only to a person that is (i) a QIB in a transaction meeting the requirements of Rule 144A under the Securities Act or (ii) other than with respect to the Regulation S Restricted Certificates, a Regulation S Non-U.S. Person in an offshore transaction meeting the requirements of Rule 903 or Rule 904 of Regulation S, subject in each case to the applicable state securities laws of any State of the United States or any other applicable jurisdiction and (B) the purchaser will, and each subsequent holder is required to, notify any subsequent purchaser from it of the resale restrictions set forth in (A) above. It understands that each holder of a Certificate, by virtue of its acceptance thereof, assents to, and agrees to be bound by, the terms, provisions and conditions of the Trust Agreement, the Securitization Sale Agreement and the other transaction documents including those relating to the above-described transfer restrictions. It will not transfer any Certificate except in accordance with applicable law, the above-described transfer restrictions and such other terms, provisions and conditions of the Trust Agreement as may be applicable thereto.

5. It understands that an investment in the Certificates involves certain risks, including the risk of loss of all or a substantial part of its investment under certain circumstances. It has such knowledge and experience in financial and business matters as to be capable of evaluating the merits and risks of its investment in the Certificates, and the purchaser and any accounts for which it is acting are each able to bear the economic risk of the holder's or of its investment.

6. In connection with the purchase of the Certificates (a) none of the Issuing Entity, the Participation Agent, the Initial Purchasers, the Participation Certificate Seller, the Custodian, the Securities Administrator, the Participation Registrar, the Paying Agent, the Certificate Registrar, the Owner Trustee, the Participation Owner Trustee or the Depositor is acting as a fiduciary or financial or investment adviser for it; (b) it is not relying (for purposes of making any investment decision or otherwise) upon any advice, counsel or representations (whether written or oral) of the Issuing Entity, the Participation Agent, the Initial Purchasers, the Participation Certificate Seller, the Custodian, the Securities Administrator, the Participation Registrar, the Paying Agent, the Certificate Registrar, the Owner Trustee, the Participation Owner Trustee or the Depositor other than in this Memorandum for such Certificates and any representations set forth in a written agreement with such party; (c) none of the Issuing Entity, the Participation Agent, the Initial Purchasers, the Participation Certificate Seller, the Custodian, the Securities Administrator, the Participation Registrar, the Paying Agent, the Certificate Registrar, the Owner Trustee, the Participation Owner Trustee or the Depositor has given to it (directly or indirectly through any other person) any assurance, guarantee, or representation whatsoever as to the expected or projected success, profitability, return, performance, result, effect, consequence, or benefit (including legal, regulatory, tax, financial, accounting, or otherwise) of its purchase or the documentation for such Certificates; (d) it has consulted with its own legal, regulatory, tax, business, investment, financial, and accounting advisers to the extent it has deemed necessary and that the investment by it is within its powers and authority, is permissible under applicable laws governing such purchase, has been duly authorized by it and complies with applicable securities laws and other laws and

regulations, and it has made its own investment decisions (including decisions regarding the suitability of any transaction pursuant to the Trust Agreement) based upon its own judgment and upon any advice from such advisers as it has deemed necessary and not upon any view expressed by the Issuing Entity, the Participation Agent, the Initial Purchasers, the Participation Certificate Seller, the Custodian, the Securities Administrator, the Participation Registrar, the Paying Agent, the Certificate Registrar, the Owner Trustee, the Participation Owner Trustee or the Depositor; (e) it has determined that the rates, prices or amounts and other terms of the purchase and sale of such Certificates reflect those in the relevant market for similar transactions; (f) it is purchasing such Certificates with a full understanding of all of the terms, conditions and risks thereof (economic and otherwise), and is capable of assuming and willing to assume (financially and otherwise) these risks; and (g) it is a sophisticated investor familiar with transactions similar to its investment in such Certificates.

7. It will not, at any time, offer to buy or offer to sell the Certificates by any form of general solicitation or advertising, including, but not limited to, any advertisement, article, notice or other communication published in any newspaper, magazine or similar medium or broadcast over television or radio or at a seminar or meeting whose attendees have been invited by general solicitations or advertising.

8. It is not purchasing the Certificates with a view to the resale, distribution or other disposition thereof in violation of the Securities Act.

9. It acknowledges that the Certificates do not represent deposits with or other liabilities of the Initial Purchasers, the Participation Certificate Seller, the Custodian, the Securities Administrator, the Participation Registrar, the Paying Agent, the Certificate Registrar, the Owner Trustee, the Participation Owner Trustee, the Depositor or any entity related to any of them or any other purchaser of Certificates. Unless otherwise expressly provided herein, none of the Initial Purchasers, the Participation Certificate Seller, the Custodian, the Securities Administrator, the Participation Registrar, the Paying Agent, the Certificate Registrar, the Owner Trustee, the Participation Owner Trustee, the Depositor, any entity related to any of them and any other purchaser of Certificates will, in any way, be responsible for or stand behind the capital value or the performance of the Certificates or the assets held by the Issuing Entity or the Participation Agent. It acknowledges that purchase of Certificates involves investment risks including prepayment and interest rate risks, possible delay in repayment and loss of income and principal invested. It has considered carefully, in the light of its own financial circumstances and investment objectives, all the information set forth herein and, in particular, the risk factors described herein.

10. It has, independently and without reliance upon any party to the Trust Agreement, the Participation Trust Agreement, the Master Participation Agreement or the Securitization Sale Agreement or upon any other person, and based upon such documents and information as it has deemed appropriate, made its own investment decision in respect of such Certificate. It will, independently and without reliance upon any party to the Trust Agreement, the Participation Trust Agreement, the Master Participation Agreement or the Securitization Sale Agreement or upon any other person, and based upon such documents and information as it deems appropriate at the time, continue to make its own decisions in taking or not taking action under the Trust Agreement, the Participation Trust Agreement, the Master Participation Agreement the Securitization Sale Agreement or the other transaction documents in connection with the Certificates.

11. It acknowledges that each Certificate (other than the Residual Certificates) will contain a legend substantially similar to the following effect and agrees to the provisions set forth in such legend:

UNLESS THIS CERTIFICATE IS PRESENTED BY AN AUTHORIZED REPRESENTATIVE OF THE DEPOSITORY TRUST COMPANY, A NEW YORK CORPORATION (“DTC”), TO THE ISSUING ENTITY OR ITS AGENT FOR REGISTRATION OF TRANSFER, EXCHANGE OR PAYMENT, AND ANY CERTIFICATE ISSUED IS REGISTERED IN THE NAME OF CEDE & CO. OR IN SUCH OTHER NAME AS IS REQUESTED BY AN AUTHORIZED REPRESENTATIVE OF DTC (AND ANY PAYMENT IS MADE TO CEDE & CO. OR TO SUCH OTHER ENTITY AS IS REQUESTED BY AN AUTHORIZED REPRESENTATIVE OF DTC), ANY TRANSFER, PLEDGE OR OTHER USE HEREOF FOR VALUE OR OTHERWISE BY OR TO ANY PERSON IS WRONGFUL INASMUCH AS THE REGISTERED OWNER HEREOF, CEDE & CO., HAS AN INTEREST HEREIN.

THIS CERTIFICATE HAS NOT BEEN AND WILL NOT BE REGISTERED UNDER THE UNITED STATES SECURITIES ACT OF 1933, AS AMENDED (THE "SECURITIES ACT"), OR THE SECURITIES LAWS OF ANY STATE OF THE UNITED STATES AND MAY NOT BE RESOLD OR TRANSFERRED UNLESS IT IS REGISTERED PURSUANT TO SUCH ACT AND LAWS OR IS SOLD OR TRANSFERRED IN TRANSACTIONS WHICH ARE EXEMPT FROM REGISTRATION UNDER SUCH ACT AND UNDER APPLICABLE STATE LAW AND IS TRANSFERRED IN ACCORDANCE WITH THE PROVISIONS OF THE TRUST AGREEMENT.

THE HOLDER OF THIS CERTIFICATE BY ITS ACCEPTANCE HEREOF AGREES (A) TO OFFER, SELL, PLEDGE OR OTHERWISE TRANSFER THIS CERTIFICATE ONLY TO (I) A PERSON THAT IS A "QUALIFIED INSTITUTIONAL BUYER" AS DEFINED IN RULE 144A OF THE SECURITIES ACT THAT PURCHASES FOR ITS OWN ACCOUNT OR FOR THE ACCOUNT OF A QUALIFIED INSTITUTIONAL BUYER, IN A PRINCIPAL OR NOTIONAL AMOUNT OF NOT LESS THAN $25,000 AND IN GREATER WHOLE NUMBER DENOMINATIONS OF $1 IN EXCESS THEREOF TO WHOM NOTICE IS GIVEN THAT THE TRANSFER IS BEING MADE IN RELIANCE ON RULE 144A OF THE SECURITIES ACT, FOR INVESTMENT PURPOSES AND NOT WITH A VIEW TO, OR FOR OFFER OR SALE IN CONNECTION WITH, ANY DISTRIBUTION IN VIOLATION OF THE SECURITIES ACT IN A TRANSACTION EXEMPT FROM REGISTRATION UNDER THE SECURITIES ACT OR (II) OTHER THAN WITH RESPECT TO THE REGULATION S RESTRICTED CERTIFICATES, A PERSON WHO IS NOT A "U.S. PERSON" (AS DEFINED IN REGULATION S UNDER THE SECURITIES ACT) OUTSIDE THE UNITED STATED ACQUIRING THE CERTIFICATE IN ACCORDANCE WITH RULE 903 OR RULE 904 OF REGULATION S IN A PRINCIPAL OR NOTIONAL AMOUNT OF NOT LESS THAN $[100,000] [250,000] [1,000,000] AND IN GREATER WHOLE NUMBER DENOMINATIONS OF $1 IN EXCESS THEREOF, TO WHOM NOTICE IS GIVEN THAT THE TRANSFER IS BEING MADE IN RELIANCE ON REGULATION S OF THE SECURITIES ACT, FOR INVESTMENT PURPOSES AND NOT WITH A VIEW TO, OR FOR OFFER OR SALE IN CONNECTION WITH, ANY DISTRIBUTION IN VIOLATION OF THE SECURITIES ACT IN A TRANSACTION EXEMPT FROM REGISTRATION UNDER THE SECURITIES ACT, (B) TO OFFER, SELL, PLEDGE OR OTHERWISE TRANSFER THIS CERTIFICATE ONLY IN ACCORDANCE WITH ALL APPLICABLE SECURITIES LAWS OF ANY STATE OF THE UNITED STATES AND ANY OTHER APPLICABLE JURISDICTIONS AND (C) THAT IT WILL, AND EACH SUBSEQUENT HOLDER IS REQUIRED TO, NOTIFY ANY PURCHASER FROM IT OF THIS CERTIFICATE OF THE RESALE RESTRICTIONS SET FORTH IN (A) AND (B) ABOVE.

EACH PURCHASER OF THIS CERTIFICATE WILL BE DEEMED TO HAVE MADE CERTAIN REPRESENTATIONS AND AGREEMENTS SET FORTH IN THE TRUST AGREEMENT. ANY SALE OR TRANSFER IN VIOLATION OF THE FOREGOING WILL BE OF NO FORCE AND EFFECT, WILL BE VOID *AB INITIO*, AND WILL NOT OPERATE TO TRANSFER ANY RIGHTS TO THE TRANSFEREE, NOTWITHSTANDING ANY INSTRUCTIONS TO THE CONTRARY TO THE SECURITIES ADMINISTRATOR OR ANY INTERMEDIARY. IF AT ANY TIME THE SECURITIES ADMINISTRATOR DETERMINES OR IS NOTIFIED THAT THE HOLDER OF SUCH BENEFICIAL INTEREST IN SUCH CERTIFICATE WAS IN BREACH, AT THE TIME GIVEN, OF ANY OF THE REPRESENTATIONS SET FORTH IN THE TRUST AGREEMENT, THE SECURITIES ADMINISTRATOR MAY CONSIDER THE ACQUISITION OF THIS CERTIFICATE OR SUCH INTEREST IN THIS CERTIFICATE VOID AND REQUIRE THAT THIS CERTIFICATE OR SUCH INTEREST HEREIN BE TRANSFERRED TO A PERSON DESIGNATED BY THE SECURITIES ADMINISTRATOR.

IF THIS CERTIFICATE IS NOT RATED INVESTMENT GRADE BY AT LEAST ONE RATING AGENCY THAT SATISFIES THE UNDERWRITER'S EXEMPTION (AS DEFINED IN THE TRUST AGREEMENT), UPON ACQUISITION, NEITHER THIS CERTIFICATE NOR ANY INTEREST HEREIN MAY BE TRANSFERRED UNLESS THE TRANSFEREE DELIVERS TO THE SECURITIES ADMINISTRATOR EITHER (A) A REPRESENTATION LETTER TO THE EFFECT THAT SUCH TRANSFEREE IS NOT AN EMPLOYEE BENEFIT PLAN AS DEFINED IN SECTION 3(3) OF THE EMPLOYEE RETIREMENT INCOME SECURITY ACT OF 1974, AS AMENDED ("ERISA"), THAT IS SUBJECT TO TITLE I OF ERISA, A PLAN AS DEFINED IN SECTION 4975(E) OF THE CODE THAT IS SUBJECT TO SECTION 4975 OF THE CODE, AN ENTITY THAT IS DEEMED TO HOLD ASSETS OF ANY OF THE FOREGOING BY VIRTUE OF SUCH EMPLOYEE BENEFIT PLAN'S OR PLAN'S INVESTMENT IN SUCH ENTITY (EACH A "PLAN") OR A PERSON INVESTING ON BEHALF OF OR WITH ASSETS OF SUCH A PLAN OR THAT SUCH

TRANSFEREE IS AN "ACCREDITED INVESTOR" AS DEFINED IN RULE 501(A)(1) UNDER THE SECURITIES ACT AND IS AN INSURANCE COMPANY WHICH IS PURCHASING THE CERTIFICATE WITH FUNDS CONTAINED IN AN "INSURANCE COMPANY GENERAL ACCOUNT" AS SUCH TERM IS DEFINED IN SECTION V(E) OF PROHIBITED TRANSACTION CLASS EXEMPTION 95-60 ("PTCE 95-60"), AND THE PURCHASE AND HOLDING OF SUCH CERTIFICATE ARE COVERED UNDER SECTION I AND III OF PTCE 95-60 OR (B) AN OPINION OF COUNSEL IN ACCORDANCE WITH THE PROVISIONS OF THE TRUST AGREEMENT. NOTWITHSTANDING ANYTHING ELSE TO THE CONTRARY HEREIN, ANY PURPORTED TRANSFER OF THIS CERTIFICATE TO OR ON BEHALF OF A PLAN WITHOUT A REPRESENTATION LETTER OR OPINION OF COUNSEL AS DESCRIBED ABOVE AND SATISFACTORY TO THE CERTIFICATE REGISTRAR AND THE SECURITIES ADMINISTRATOR WILL BE VOID AND OF NO EFFECT. IF THIS CERTIFICATE IS A BOOK-ENTRY CERTIFICATE, THE HOLDER WILL BE DEEMED TO HAVE MADE THE REPRESENTATION ABOVE.

EACH PURCHASER OF CERTIFICATES THAT IS A PLAN OR A PERSON ACTING ON BEHALF OF OR USING ASSETS OF A PLAN WILL BE DEEMED TO HAVE REPRESENTED AND WARRANTED THAT (I) NONE OF THE DEPOSITOR, THE ISSUING ENTITY, THE OWNER TRUSTEE, THE INITIAL PURCHASERS, THE SERVICERS, THE SECURITIES ADMINISTRATOR, OR ANY OF THEIR RESPECTIVE AFFILIATES, AGENTS OR EMPLOYEES, HAS PROVIDED ANY INVESTMENT RECOMMENDATION OR INVESTMENT ADVICE ON WHICH THE PLAN OR THE FIDUCIARY MAKING THE INVESTMENT DECISION FOR THE PLAN HAS RELIED IN CONNECTION WITH THE DECISION TO ACQUIRE CERTIFICATES, AND THEY ARE NOT OTHERWISE ACTING AS A FIDUCIARY (WITHIN THE MEANING OF SECTION 3(21) OF ERISA OR SECTION 4975(E)(3) OF THE CODE) TO THE PLAN IN CONNECTION WITH THE PLAN'S ACQUISITION OF CERTIFICATES (UNLESS AN APPLICABLE PROHIBITED TRANSACTION EXEMPTION IS AVAILABLE (ALL OF THE CONDITIONS OF WHICH ARE SATISFIED) TO COVER THE PURCHASE AND HOLDING OF SUCH CERTIFICATES OR THE TRANSACTION IS NOT OTHERWISE PROHIBITED), AND (II) THE PLAN FIDUCIARY MAKING THE DECISION TO ACQUIRE THE CERTIFICATES IS EXERCISING ITS OWN INDEPENDENT JUDGMENT IN EVALUATING THE INVESTMENT IN THE CERTIFICATES.

IF THIS CERTIFICATE IS RATED INVESTMENT GRADE BY AT LEAST ONE RATING AGENCY THAT SATISFIES THE UNDERWRITER'S EXEMPTION (AS DEFINED IN THE TRUST AGREEMENT) UPON ACQUISITION, AN INVESTMENT IN THIS CERTIFICATE BY A PLAN WILL BE DEEMED A REPRESENTATION THAT SUCH PLAN IS AN "ACCREDITED INVESTOR" AS DEFINED IN RULE 501(A)(1) UNDER THE SECURITIES ACT.

NO TRANSFER OF THIS CERTIFICATE OR ANY BENEFICIAL INTEREST HEREIN MAY BE MADE TO ANY PERSON IN A DENOMINATION OF LESS THAN U.S. $[25,000] [100,000] [250,000] [1,000,000] (AND INTEGRAL MULTIPLES OF U.S. $1 IN EXCESS THEREOF).

12. During the Regulation S Restricted Period and until receipt by the Owner Trustee and the Certificate Registrar of a certification of beneficial ownership by non-U.S. persons or a U.S. person that purchased the Certificates in a transaction that did not require registration under the Securities Act in accordance with the Trust Agreement, each Regulation S Temporary Global Certificate will bear a legend in substantially the following form. Following the Regulation S Restricted Period and receipt of such certification, interests in a Regulation S Temporary Global Certificate will be exchanged for interests in a Regulation S Permanent Global Certificate.

THIS CERTIFICATE IS A TEMPORARY GLOBAL CERTIFICATE FOR PURPOSES OF REGULATION S UNDER THE SECURITIES ACT WHICH IS EXCHANGEABLE FOR A REGULATION S PERMANENT GLOBAL CERTIFICATE SUBJECT TO THE TERMS AND CONDITIONS SET FORTH IN THE TRUST AGREEMENT.

DURING THE REGULATION S RESTRICTED PERIOD, THIS CERTIFICATE MAY NOT BE OFFERED, SOLD, PLEDGED OR OTHERWISE TRANSFERRED IN THE UNITED STATES OR TO A U.S. PERSON.

13. It understands that each of the Issuing Entity and the Securities Administrator will require (i) certification acceptable to it as a condition to the payment of principal of and interest on any Certificates without, or at a reduced rate of, U.S. withholding or backup withholding tax, and (ii) such information as may be necessary to enable the Issuing Entity and the Securities Administrator to determine their duties and liabilities with respect to any taxes or other charges that they may be required to pay, deduct or withhold from payments in respect of such Certificates or the Holder of such Certificates under any present or future law or regulation of the United States or any present or future law or regulation of any political subdivision thereof or taxing authority therein or to comply with any reporting or other requirements under any such law or regulation. In addition, each of the Issuing Entity and the Securities Administrator may require a certification acceptable to it to enable the Issuing Entity to qualify for a reduced rate of withholding in any jurisdiction from or through which the Issuing Entity receives payments on its assets. It agrees to provide any certification or information requested pursuant to this paragraph and, with respect to any such certification, to update or replace such form or certification in accordance with its terms or its subsequent amendments.

14. Each Plan fiduciary that acquires Certificates will also be deemed to make the representations and warranties set forth herein under "*ERISA Matters*."

LEGAL MATTERS

Certain legal matters will be passed upon for the JPM Sponsor and the Depositor by Hunton Andrews Kurth LLP, New York, New York. Certain tax matters will be passed upon for the Depositor by Hunton Andrews Kurth LLP. Hunton Andrews Kurth LLP also will act as counsel for J.P. Morgan Securities LLC in its capacity as an Initial Purchaser. Hunton Andrews Kurth LLP renders legal services to JPMorgan Chase & Co. and its affiliates on other matters. Clifford Chance US LLP will act as counsel for BRM as the Retaining Sponsor. Dentons US LLP will act as counsel for AmeriVet Securities, Inc., Drexel Hamilton, LLC, Loop Capital Markets LLC, Stifel, Nicolaus & Company, Incorporated, Robert W. Bard & Co. Incorporated and Raymond James & Associates, Inc. each in its capacity as an Initial Purchaser.

LEGAL INVESTMENT

Under current law, the Offered Certificates are not expected to constitute "mortgage related securities" for purposes of SMMEA on the Closing Date. The appropriate characterization of the Offered Certificates under various legal investment restrictions, and thus the ability of investors subject to these restrictions to purchase the Offered Certificates, may be subject to significant interpretive uncertainties. Accordingly, all investors whose investment activities are subject to legal investment laws and regulations, regulatory capital requirements or review by regulatory authorities should consult with their own legal advisors in determining whether and to what extent the Offered Certificates constitute legal investments for them.

All depository institutions considering an investment in the Certificates should review the "Supervisory Policy Statement on Investment Securities and End-User Derivatives Activities" of the Federal Financial Institutions Examination Council, which has been adopted by the Federal Reserve, the Federal Deposit Insurance Corporation and the OCC (and previously, the Office of Thrift Supervision), effective May 26, 1998, and by the National Credit Union Administration, effective October 1, 1998. This policy statement sets forth general guidelines which depository institutions must follow in managing risks (including market, credit, liquidity, operational (transaction), and legal risks) applicable to all securities (including mortgage pass-through securities and mortgage-derivative products) used for investment purposes.

Institutions whose investment activities are subject to regulation by federal or state authorities should review rules, policies and guidelines adopted from time to time by those authorities before purchasing any of the Offered Certificates, as certain classes may be deemed unsuitable investments, or may otherwise be restricted, under those rules, policies or guidelines (in certain instances irrespective of SMMEA).

The foregoing does not take into consideration the applicability of statutes, rules, regulations, orders, guidelines or agreements generally governing investments made by a particular investor, including, but not limited to, "prudent investor" provisions, percentage-of-assets limits, provisions which may restrict or prohibit investment in securities which are not "interest-bearing" or "income-paying," and, with regard to any Certificates issued in book-entry form, provisions which may restrict or prohibit investments in securities which are issued in book-entry form.

No representations are made as to the proper characterization of the Certificates for legal investment purposes, financial institution regulatory purposes, or other purposes, or as to the ability of particular investors to purchase the Offered Certificates under applicable legal investment restrictions. The uncertainties described above (and any unfavorable future determinations concerning legal investment or financial institution regulatory characteristics of the Offered Certificates) may adversely affect the liquidity of the Offered Certificates.

Accordingly, all investors whose investment activities are subject to legal investment laws and regulations, regulatory capital requirements or review by regulatory authorities should consult with their own legal advisors in determining whether and to what extent the Offered Certificates constitute legal investments or are subject to investment, capital or other restrictions.

CREDIT RISK RETENTION

General

Blue River Mortgage IV LLC, as Retaining Sponsor, will comply with the applicable credit risk retention rules promulgated pursuant to Section 15G of the Exchange Act, which have been implemented through the adoption of Regulation RR. The Retaining Sponsor intends to meet this requirement by retaining (directly or through one or more majority-owned affiliates) an eligible horizontal residual interest in the required amount of not less than 5% of the aggregate fair value of all of the Certificates issued by the Issuing Entity (other than the Class A-R Certificates) (the "Required Credit Risk"), as more fully described below.

The Retaining Sponsor, or one or more entities that it directly or indirectly majority controls, is majority controlled by or is under common majority control with (a "Majority-Owned Affiliate") of the Retaining Sponsor will be required to hold the Required Credit Risk until the earlier of (x) the date on which the Retaining Sponsor is no longer required to comply with Regulation RR due to a change in law related thereto and (y) later of (i) the fifth anniversary of the Closing Date and (ii) the date on which the aggregate Unpaid Principal Balance of the 23-HE1 PC has been reduced to 25% of the aggregate Unpaid Principal Balance of the 23-HE1 PC as of the Closing Date, but in any event no longer than the seventh anniversary of the Cut-off Date (the "RR Sunset Date"). However, it is possible that Regulation RR will be amended, perhaps materially, prior to the RR Sunset Date. Investors should note that, to the extent that Regulation RR is amended or repealed following the Closing Date, the restrictions on the Retaining Sponsor described in this Memorandum will automatically be amended or repealed to reflect the modified or repealed Regulation RR.

Until the RR Sunset Date, Regulation RR imposes limitations on the ability of the Retaining Sponsor or a Majority-Owned Affiliate to dispose of or hedge the Required Credit Risk. In general, prior to the RR Sunset Date, the Retaining Sponsor and its Majority-Owned Affiliates may not transfer the Required Credit Risk to any person other than a Majority-Owned Affiliate. In addition, prior to the RR Sunset Date, the Retaining Sponsor or a Majority-Owned Affiliate may not engage in any hedging transactions if payments on the hedge instrument are materially related to the Required Credit Risk and the hedge position would limit the financial exposure of the Retaining Sponsor or its Majority-Owned Affiliate to the Required Credit Risk. The Retaining Sponsor or a Majority-Owned Affiliate may not pledge its interest in any Required Credit Risk as collateral for any financing unless such financing is full recourse to the Retaining Sponsor or its Majority-Owned Affiliates. Following the Closing Date, the Retaining Sponsor or such Majority-Owned Affiliate may transfer any portion of the Certificates retained by it that are in excess of the Required Credit Risk.

In no event will the Owner Trustee, the Securities Administrator or the Certificate Registrar be charged with knowledge of Regulation RR, and none of the Owner Trustee, the Securities Administrator or the Certificate Registrar will have any responsibility to monitor, confirm or enforce compliance with Regulation RR. None of the Owner Trustee, the Securities Administrator or the Certificate Registrar will be liable to any Certificateholder or other party for violation of such rules now or hereinafter in effect.

The Retaining Sponsor or Majority Owned Affiliate to Hold an Eligible Horizontal Residual Interest

Pursuant to Regulation RR, the Retaining Sponsor (or one or more Majority-Owned Affiliates) as a "securitizer" of this transaction, has elected to retain an "eligible horizontal residual interest" equal to not less than 5% of the aggregate fair value of all of the Certificates issued by the Issuing Entity (other than the Class A-R Notes) as determined using the fair value measurement framework under generally accepted accounting principles ("GAAP"). As of the Closing Date, a Majority-Owned Affiliate of the Retaining Sponsor will retain the Class X Certificates (the "Risk Retained Certificates"), which will qualify as an eligible horizontal residual interest under Regulation RR. The Retaining Sponsor or a Majority-Owned Affiliate of the Retaining Sponsor may also retain or acquire other classes of Certificates on or after the Closing Date.

Material Terms of the Risk Retained Certificates. The Risk Retained Certificates will be issued on the Closing Date and will represent interests in the Issuing Entity. The Risk Retained Certificates will have the Class Notional Amount and Pass-Through Rate as described in this Memorandum.

Fair Value of the Certificates

The fair value of each class of Certificates (other than the Class A-R Certificates) is summarized below (with the Exchangeable Certificates not shown in the table below assumed to be issued on the Closing Date with a balance of $0):

Class	Fair Value ($)	Fair Value (%)
Class A-1	$126,186,000	65.74%
Class M-1	$14,073,000	7.33%
Class M-2	$12,115,000	6.31%
Class M-3	$12,582,000	6.55%
Class B-1	$5,899,990	3.07%
Class B-2	$3,190,377	1.66%
Class B-3	$3,929,826	2.05%
Class B-4	$3,541,636	1.85%
Class X	$9,612,324	5.01%
Class A-IO-S	$816,549	0.43%
Total	**$191,946,702**	**100.00%**

The Sponsors determined the fair value of the Certificates using a fair value measurement framework under GAAP. In measuring fair value, the use of observable and unobservable inputs and their significance in measuring fair value are reflected in the fair value hierarchy assessment, with Level 1 inputs favored over Level 3 inputs.

Level 1 – inputs include quoted prices for identical instruments and are the most observable;

Level 2 – inputs include quoted prices for similar instruments and observable inputs such as interest rates and yield curves; and

Level 3 – inputs include data not observable in the market and reflect management judgment about the assumptions market participants would use in pricing the instrument.

The related fair value of each class of Certificates other than the Risk Retained Certificates are categorized within Level 2 of the hierarchy, reflecting the Pass-Through Rates or distribution entitlements of such class of Certificates, and the prices at which the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2, Class B-

3, Class B-4 and Class A-IO-S Certificates will be purchased by third-party investors. The fair value of the Risk Retained Certificates is categorized within Level 3 of the hierarchy as inputs to the fair value calculation (other than the expected distribution entitlement or the price paid by the Retaining Sponsor for the Risk Retained Certificates) are generally not observable in the market and reflect the Sponsors' assumptions about the considerations that other market participants would employ in evaluating such Certificates. The related price or estimated price is as set forth below (with the Exchangeable Certificates not shown in the table below assumed to be issued on the Closing Date with a balance of $0):

Class	**Pass-Through Rate or Distribution Entitlement[(1)]**	**Price or Estimated Price**
Class A-1	SOFR Rate plus 1.75%	100.00%
Class M-1	SOFR Rate plus 2.50%	100.00%
Class M-2	SOFR Rate plus 3.00%	100.00%
Class M-3	SOFR Rate plus 3.50%	100.00%
Class B-1	SOFR Rate plus 4.50%	97.41%
Class B-2	SOFR Rate plus 5.00%	92.50%
Class B-3	SOFR Rate plus 5.00%	87.86%
Class B-4	0.000%	47.50%
Class X	Monthly Excess Cashflow	5.16%
Class A-IO-S	Excess Servicing	0.72%

(1) See footnote 6 to the table that begins on page 1 of this Memorandum for additional details regarding the pass-through rates of the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2 and Class B-3 Certificates.

Valuation Methodology

To calculate the estimated prices used in determining the fair value of the Risk Retained Certificates, the Sponsors used an internal valuation model. The internal valuation model uses assumptions as to defaults, prepayment rates, loss severities, delinquencies, recovery lag and other factors set forth below to project future interest and principal payments on the Mortgage Loans less expected transaction fees and expenses to determine the estimated future cash flows. The resulting cash flows to the Risk Retained Certificates are discounted to present value based on the estimated yield as set forth below, which reflect the credit exposure to these cash flows.

The fair value of the Certificates was determined using the actual prices or estimated prices, as applicable, and the Pass-Through Rates (or distribution entitlements, in the case of the Class X Certificates and Class A-IO-S Certificates) set forth above for such Certificates.

In completing these calculations, the Sponsors made the following assumptions:

(i) subject to the redemption, servicing fee, default, delinquency, prepayment, loss severity, SOFR Rate and WSJ Prime Rate assumptions below, each of the Structuring Assumptions set forth under "*Yield, Prepayment and Weighted Average Life—Structuring Assumptions*" in this Memorandum;

(ii) the Optional Redemption is exercised on the Distribution Date in June 2027;

(iii) solely for the purpose of calculating the Servicing Fees for the SLS Serviced Mortgage Loans, (a) 96% of the SLS Serviced Mortgage Loans are active and the Servicing Fees are calculated using $9 per SLS Serviced Mortgage Loan and (b) 4% of the SLS Serviced Mortgage Loans are subject to foreclosure and the Servicing Fees are calculated using $125 per SLS Serviced Mortgage Loan;

(iv) the yield used to determine the estimated price for the Risk Retained Certificates is 21.50%; and

(v) the SOFR Rate and WSJ Prime Rate are as set forth below and the assumed cashflows on the Mortgage Loans are generated based on the internal valuation model which generates (each rounded to the precision shown) (i) a Constant Default Rate ("CDR") for each Mortgage Loan, which assumes an annualized percentage of Mortgage Loans default each year, (ii) an assumed Constant Prepayment Rate ("CPR") for each Mortgage Loan, which represents a constant assumed annualized rate of principal prepayment each year relative to the then-outstanding principal balance of the Mortgage Loans for the life of the Mortgage Loans, and (iii) a loss severity and delinquency percentage for each Mortgage Loan for each period as set forth below:

Period	CPR (%)	CDR (%)	Delinquency (%)	Loss Severity (%)	SOFR Rate (%)	WSJ Prime Rate (%)
1	0.000000	0.000000	0.000000	99.00	5.06655	8.25
2	1.818182	0.090909	0.090909	99.00	5.14	8.50
3	3.636364	0.181818	0.181818	99.00	5.22	8.50
4	5.454545	0.272727	0.272727	99.00	5.30	8.50
5	7.272727	0.363636	0.363636	99.00	5.27	8.50
6	9.090909	0.454545	0.454545	99.00	5.25	8.50
7	10.909091	0.545455	0.545455	99.00	5.18	8.50
8	12.727273	0.636364	0.636364	99.00	5.07	8.25
9	14.545455	0.727273	0.727273	99.00	5.01	8.25
10	16.363636	0.818182	0.818182	99.00	4.89	8.25
11	18.181818	0.909091	0.909091	99.00	4.83	8.00
12	20.000000	1.000000	1.000000	99.00	4.63	8.00
13	20.000000	1.000000	1.000000	99.00	4.45	7.75
14	20.000000	1.000000	1.000000	99.00	4.50	7.75
15	20.000000	1.000000	1.000000	99.00	4.28	7.50
16	20.000000	1.000000	1.000000	99.00	4.06	7.25
17	20.000000	1.000000	1.000000	99.00	3.89	7.25
18	20.000000	1.000000	1.000000	99.00	3.74	7.00
19	20.000000	1.000000	1.000000	99.00	3.63	7.00
20	20.000000	1.000000	1.000000	99.00	3.58	6.75
21	20.000000	1.000000	1.000000	99.00	3.54	6.75
22	20.000000	1.000000	1.000000	99.00	3.49	6.75
23	20.000000	1.000000	1.000000	99.00	3.44	6.75
24	20.000000	1.000000	1.000000	99.00	3.37	6.50
25	20.000000	1.000000	1.000000	99.00	3.27	6.50
26	20.000000	1.000000	1.000000	99.00	3.36	6.50
27	20.000000	1.000000	1.000000	99.00	3.27	6.50
28	20.000000	1.000000	1.000000	99.00	3.19	6.50
29	20.000000	1.000000	1.000000	99.00	3.14	6.50
30	20.000000	1.000000	1.000000	99.00	3.11	6.25
31	20.000000	1.000000	1.000000	99.00	3.12	6.25
32	20.000000	1.000000	1.000000	99.00	3.16	6.50
33	20.000000	1.000000	1.000000	99.00	3.19	6.50
34	20.000000	1.000000	1.000000	99.00	3.20	6.50
35	20.000000	1.000000	1.000000	99.00	3.20	6.50
36	20.000000	1.000000	1.000000	99.00	3.18	6.50
37	20.000000	1.000000	1.000000	99.00	3.13	6.50
38	20.000000	1.000000	1.000000	99.00	3.21	6.50
39	20.000000	1.000000	1.000000	99.00	3.15	6.50
40	20.000000	1.000000	1.000000	99.00	3.10	6.25
41	20.000000	1.000000	1.000000	99.00	3.07	6.25
42	20.000000	1.000000	1.000000	99.00	3.06	6.25
43	20.000000	1.000000	1.000000	99.00	3.07	6.25
44	20.000000	1.000000	1.000000	99.00	3.10	6.25
45	20.000000	1.000000	1.000000	99.00	3.12	6.25
46	20.000000	1.000000	1.000000	99.00	3.13	6.50

47	20.000000	1.000000	1.000000	99.00	3.12	6.25
48	20.000000	1.000000	1.000000	99.00	3.09	6.25

The Sponsors developed these inputs and assumptions by considering the composition of the HELOCs related to the Mortgage Loans and (i) the performance of mortgage loans similar to the HELOCs related to the Mortgage Loans which were previously securitized by the Sponsors; (ii) mortgage loans similar to the HELOCs related to the Mortgage Loans acquired by the Sponsors and held in their portfolios; and (iii) mortgage loans similar to the HELOCs related to the Mortgage Loans in securitized pools that were not issued by the Sponsors. In particular, the Sponsors reviewed the prepayment, default, delinquency and loss history of such mortgage loans in order to project an anticipated prepayment, default, delinquency and loss scenario for the HELOCs related to the Mortgage Loans. In addition, in valuing the Certificates, the current interest rate environment and the expectation of anticipated interest rates following the Closing Date was also taken into account.

The Sponsors believe that the inputs and assumptions described above include the inputs and assumptions that could have a significant impact on the fair value calculation or a prospective Certificateholder's ability to evaluate the fair value calculation. The related fair value of each class of Certificates was calculated based on the assumptions described above, including the assumptions regarding the characteristics and performance of the HELOCs related to the Mortgage Loans that likely will differ from the actual characteristics and performance of the HELOCs related to the Mortgage Loans.

Post-Closing Date Disclosure

On the first Distribution Date following the Closing Date, the Securities Administrator, based solely on information provided to it by the Sponsors, will make available, together with the monthly statement to Certificateholders, and will post on its website a statement with valuations prepared by the Sponsors, and furnished to Securities Administrator by the Sponsors in accordance with the terms of the Securitization Sale Agreement, that will set forth the following information:

- the fair value, expressed as a percentage of the aggregate fair value of all of the Certificates (other than the Class A-R Certificates) issued by the Issuing Entity on the Closing Date, of the Risk Retained Certificates retained by the Retaining Sponsor (or one or more Majority-Owned Affiliates) as of the Closing Date, based on actual sale prices and finalized tranche sizes;

- the fair value, expressed as a percentage of the aggregate fair value of all of the Certificates (other than the Class A-R Certificates) issued by the Issuing Entity on the Closing Date, of the Risk Retained Certificates that the Retaining Sponsor (or one or more Majority-Owned Affiliates) is required to retain under Regulation RR; and

- to the extent the valuation methodology or any of the key inputs and assumptions that were used in calculating the fair values as disclosed herein materially differs from the methodology or key inputs and assumptions used to calculate the fair value on the Closing Date, descriptions of those material differences.

GLOSSARY OF DEFINED TERMS

For the purposes of the following definitions and the calculations of the Class Principal Amount or Class Notional Amount, as applicable, of any class of Depositable Certificates, to the extent that exchanges of Depositable Certificates for Exchangeable Certificates occur, the aggregate Class Principal Amount or Class Notional Amount, as applicable, of the Depositable Certificates will be deemed to include the Class Principal Amount of the related Exchangeable Certificate issued in the exchange and the Class Principal Amount of any Exchangeable Certificate will be deemed to be zero.

23-HE1 PC — That certain Participation Certificate with respect to which the related Mortgage Loans were selected by the Sponsors from the pool of Draws allocated to the JPM PC, and which was issued by the Participation Agent to the Participation Certificate Seller, sold to the Depositor and assigned to the Issuing Entity, representing 100% of the beneficial economic interests in the related Mortgage Loans or Funded Participation Percentage of any related REO Property.

Accrual Period — With respect to each Distribution Date (other than the initial Distribution Date), the period from and including the 20th day of the month immediately preceding such Distribution Date to and including the 19th day of the month in which such Distribution Date occurs. With respect to the initial Distribution Date, the period beginning on the Closing Date and ending on the 19th day of the month in which such Distribution Date occurs. Calculations of interest or other amounts owed on the related Certificates will be made on the basis of (i) with respect to the Class X Certificates, the Excess Servicing Certificates and the Class BX Certificates, a 360-day year consisting of twelve 30-day months and (ii) with respect to the Floating Rate Certificates, the actual number of days in the Accrual Period and a 360-day year.

With respect to any Participation Distribution Date, the calendar month immediately preceding the month in which the related Participation Distribution Date occurs, calculated based on the actual number of days in the Accrual Period and a 360-day year.

Additional Draws — With respect to any HELOC, any Draw that has been or will be funded by or on behalf of the Participation Agent after the Cut-off Date.

Aggregate Expense Fees — With respect to any Distribution Date, the sum of (i) the Owner Trustee Fee and (ii) the Securities Administrator Fee.

Aggregate Voting Interests — The aggregate of the Voting Interests of all the Participation Certificates or the Certificates, as applicable.

Annual Expense Year — With respect to the Issuing Entity, the period from the Closing Date to the first anniversary of the Closing Date and each annual period thereafter beginning on the anniversary of the Closing Date and ending on the subsequent anniversary of the Closing Date thereafter, and with respect to the Participation Agent, the period from the date of the Master Participation Agreement (the "MPA Closing Date") to the first anniversary of the MPA Closing Date and each annual period thereafter beginning on the anniversary of the MPA Closing Date and ending on the subsequent anniversary of the MPA Closing Date thereafter.

Applicable Credit Support Percentage	For each of the Class M-1, Class M-2 and Class M-3 Certificates and any Distribution Date, the sum of the Class Subordination Percentage of that Class and the aggregate Class Subordination Percentage of all other classes of Certificates that are subordinate to such class.
Assignment Agreement	Each assignment, assumption and recognition agreement among the Participation Agent, JPMMAC and an Originator or a Servicer, as applicable, each as identified in the related Participation Supplement, dated on or about the Closing Date.
Associated First Lien Loan	With respect to any second lien HELOC, the related first lien loan on the same Mortgaged Property that is senior in priority to the second lien HELOC.
Base Servicing Fees	As defined under "*Fees and Expenses of the Participation Agent*."
Benchmark	As of the Closing Date, the SOFR Rate; provided, that if a Benchmark Transition Event and its related Benchmark Replacement Date have occurred with respect to the then-current Benchmark, then "Benchmark" will mean the applicable Benchmark Replacement.
Benchmark Determination Date	With respect to a Distribution Date, (i) if the Benchmark is Term SOFR or Compounded SOFR, the SOFR Determination Date and (ii) if the Benchmark is any other rate, the date determined by the Depositor in accordance with the Benchmark Replacement Conforming Changes.
Benchmark Replacement	The first alternative set forth in the order below that can be determined by the Depositor as of the related Benchmark Replacement Date: (i) the sum of: (a) the alternate rate of interest that has been selected or recommended by the Relevant Governmental Body as the replacement for the then-current Benchmark for the applicable Corresponding Tenor and (b) the Benchmark Replacement Adjustment; and (ii) the sum of: (a) the alternate rate of interest that has been selected by the Depositor as the replacement for the then-current Benchmark for the applicable Corresponding Tenor giving due consideration to any industry-accepted rate of interest as a replacement for the then-current Benchmark for U.S. dollar-denominated securitizations at such time and (b) the Benchmark Replacement Adjustment.
Benchmark Replacement Adjustment	The first alternative set forth in the order below that can be determined by the Depositor as of the related Benchmark Replacement Date: (i) the spread adjustment, or method for calculating or determining such spread adjustment (which may be a positive or negative value or zero) that has been selected, endorsed or recommended by the Relevant Governmental Body for the applicable Unadjusted Benchmark Replacement; and (ii) the spread adjustment (which may be a positive or negative value or zero) that has been selected by the Depositor giving due consideration to any industry-accepted spread adjustment, or method for calculating or determining such spread adjustment, for the replacement of the then-

current Benchmark with the applicable Unadjusted Benchmark Replacement for U.S. dollar-denominated securitization transactions at such time.

Benchmark Replacement Conforming Changes

As defined under "*Description of the Certificates—Distributions of Interest—Determination of Benchmark for Floating Rate Certificates*."

Benchmark Replacement Date

The applicable date set forth below:

(i) in the case of clause (i) or (ii) of the definition of "Benchmark Transition Event," the later of (a) the date of the public statement or publication of information referenced therein and (b) the date on which the administrator of the relevant Benchmark permanently or indefinitely ceases to provide such Benchmark; or

(ii) in the case of clause (iii) of the definition of "Benchmark Transition Event," the date of the public statement or publication of information.

For the avoidance of doubt, with respect to a Distribution Date, if the Benchmark Replacement Date occurs on the same day as the related Benchmark Determination Date, the Benchmark Replacement Date will be deemed to have occurred prior to such Benchmark Determination Date.

Benchmark Transition Event

The occurrence of one or more of the following events with respect to the then-current Benchmark:

(i) a public statement or publication of information by or on behalf of the administrator of the Benchmark announcing that the administrator has ceased or will cease to provide the Benchmark permanently or indefinitely; provided that, at the time of such statement or publication, there is no successor administrator that will continue to provide the Benchmark;

(ii) a public statement or publication of information by the regulatory supervisor for the administrator of the Benchmark, the central bank for the currency of the Benchmark, an insolvency official with jurisdiction over the administrator for the Benchmark, a resolution authority with jurisdiction over the administrator for the Benchmark or a court or an entity with similar insolvency or resolution authority over the administrator for the Benchmark, which states that the administrator of the Benchmark has ceased or will cease to provide the Benchmark permanently or indefinitely; provided that, at the time of such statement or publication, there is no successor administrator that will continue to provide the Benchmark; or

(iii) a public statement or publication of information by the regulatory supervisor for the administrator of the Benchmark announcing that the Benchmark is no longer representative.

Borrower

Each obligor on a Mortgage Note.

Business Day

With respect to the Securitization Sale Agreement, any day other than (i) a Saturday or a Sunday, (ii) a day on which the Federal Reserve or the

New York Stock Exchange is closed or (iii) a day on which banking institutions in the City of New York, New York, the State of Minnesota, the State of Colorado, the State of Delaware or any state in which the corporate trust offices of the Owner Trustee, the Securities Administrator or any servicing office of a Servicer are located, are authorized or obligated by law or executive order to be closed; provided that, when used in the context of a Distribution Date, Business Day means any day other than (i) a Saturday or Sunday or (ii) a day on which the Federal Reserve Bank of New York is closed.

With respect to the Master Participation Agreement, any day other than (i) a Saturday or a Sunday, (ii) a day on which the Federal Reserve or the New York Stock Exchange is closed, (iii) a day on which banks in the States of New York, the State of Minnesota, the State of Colorado or the State of Delaware (or such other states in which the principal offices of the Participation Agent or Participation Registrar are subsequently located, as specified in writing by such party to the other parties hereto) are required, or authorized by law, to close, or (iv) a day excluded from the definition of "Business Day" in a Securitization Sale Agreement.

Cap Carryover Amount	With respect to any Distribution Date and the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2 and Class B-3 Certificates, the sum of (a) the excess, if any, of (i) the amount of interest such class would have accrued with respect to such Distribution Date based on its Pass-Through Rate (calculated without regard to clause (ii) of its respective Pass-Through Rate) over (ii) the Current Interest for such Class and such Distribution Date computed at the Net WAC for such Distribution Date and (b) the unpaid portion of any such Cap Carryover Amount from prior Distribution Dates, together with interest accrued thereon at the related Pass-Through Rate.
Cap Carryover Reserve Account	A reserve account which will be an eligible account established by the Securities Administrator on or prior to the Closing Date, which will be maintained with the Securities Administrator on behalf of the Issuing Entity in trust for the benefit of the Certificateholders from which distributions in respect of Cap Carryover Amounts on the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2 and Class B-3 Certificates will be made from Monthly Excess Cashflow otherwise distributable to the Class X Certificates. The Cap Carryover Reserve Account will be an asset of the Issuing Entity but not of any trust REMIC. For U.S. federal income tax purposes, the beneficial owner of the Class X Certificates will be the indirect owner of the Cap Carryover Reserve Account.
Capped Participation Trust Expense Rate	For any Participation Distribution Date, and each HELOC, a per annum rate equal to (a) the product of (i) the Capped Participation Trust Expenses allocable to such HELOC payable on such Participation Distribution Date and (ii) 12, divided by (b) the Unpaid Principal Balance of such HELOC as of the first day of the related Monthly Period.
Capped Participation Trust Expenses	For an Annual Expense Year, Participation Trust Expenses other than the following: Eminent Domain Expenses and Servicing Transfer Costs.
Capped Trust Expenses	For an Annual Expense Year, all Trust Expenses other than Benchmark Replacement Indemnification Amounts.

Certificate Principal Amount	For any Certificate (other than the Excess Servicing Certificates, the Class X Certificates and the Class A-R Certificates) and any date of determination, the maximum specified dollar amount of principal to which the holder of the Certificate is then entitled, that amount being equal to the initial principal amount set forth on the face of the Certificate, (A) as reduced by (i) the amount of all principal distributions on that class of Certificates on prior Distribution Dates and (ii) any Certificate Writedown Amounts allocated to that class of Certificates on prior Distribution Dates and (B) as increased by the amount of any Certificate Writeup Amounts allocated to that class of Certificates on prior Distribution Dates. With respect to the Class BX Certificates and any Distribution Date, to the extent the Certificate Principal Amount of the Class BX Certificates is equal to zero, such Certificates will have an outstanding balance equal to the Class Notional Amount of the Class X Certificates on such Distribution Date.
Certificate Registrar	The Securities Administrator or any successor appointed by the Owner Trustee.
Certificate Writedown Amount	With respect to any allocation thereof for a Distribution Date to a class of Certificates (other than the Class X Certificates, the Excess Servicing Certificates and the Residual Certificates), after distributions of the Principal Remittance Amount and Monthly Excess Cashflow on such Distribution Date, the excess, if any, of the aggregate Certificate Principal Amount of all the Certificates on such Distribution Date over the Unpaid Principal Balance of the 23-HE1 PC as of the Participation Distribution Date immediately preceding such Distribution Date.
Certificate Writeup Amount	With respect to any allocation thereof for a Distribution Date to a Class of Certificates (other than the Class X Certificates, the Excess Servicing Certificates and the Residual Certificates), after distributions of the Principal Remittance Amount and Monthly Excess Cashflow on such Distribution Date, the excess, if any, of the Unpaid Principal Balance of the 23-HE1 PC as of the Participation Distribution Date immediately preceding such Distribution Date over the aggregate Certificate Principal Amount of all the Certificates on such Distribution Date.
Certificateholder or Holder	The person in whose name a Certificate is registered in the Certificate Register, except that, solely for the purpose of giving any consent or direction pursuant to the Securitization Sale Agreement or the Trust Agreement (other than a consent or direction required for the purpose of (i) adding any provisions to the Securitization Sale Agreement or the Trust Agreement or changing in any manner or eliminating any of the provisions of the Securitization Sale Agreement or the Trust Agreement or of modifying in any manner the rights of the Holders of Certificates or (ii) the taking of certain material corporate actions by the Issuing Entity, including mergers, sales of all or substantially all assets, incurring indebtedness, changing the Issuing Entity's purposes and powers and certain bankruptcy and insolvency actions by the Issuing Entity), any Certificate beneficially owned by the Depositor or any affiliate thereof will be deemed not to be outstanding and the Percentage Interest evidenced thereby or Voting Interests assigned thereto will not be taken into account in determining whether the requisite amount of Percentage Interests or Voting Interests, as the case may be, necessary to effect such consent or direction has been obtained; *provided*, *however*, that if any

such person (including the Depositor or any affiliate thereof) beneficially owns 100% of the Percentage Interests evidenced by all of the Certificates or of the Voting Interests assigned thereto, such Certificates will be taken into account for purposes of any provision hereof that requires such consent or direction of the Holders of Certificates as a condition to the taking of any action hereunder. The Owner Trustee, the Certificate Registrar and the Securities Administrator will be entitled to rely conclusively on a certification of the Depositor or any affiliate of the Depositor in determining which Certificates are beneficially owned by an affiliate of the Depositor.

Certificates

The Certificates issued by the Issuing Entity pursuant to the Trust Agreement which are the Certificates listed in the table beginning on page 1 of this Memorandum.

Charged-off Loan

As defined under "*Servicing of the HELOCs—Servicing with respect to the HELOCs—Charged-off Loans*" in this Memorandum.

Charged-off Loan Percentage

With respect to any Distribution Date, the percentage equivalent of (a) the aggregate Unpaid Principal Balance of the Mortgage Loans that have become Charged-off Loans within the 12 month-period prior to such Distribution Date (including the month of such Distribution Date) with the Unpaid Principal Balance of a Mortgage Loan determined as the Unpaid Principal Balance of such Mortgage Loan immediately prior to such Mortgage Loan becoming a Charged-off Loan, divided by (b) the Unpaid Principal Balance of the 23-HE1 PC as of the Cut-off Date.

Class Notional Amount

With respect to the Class X Certificates and any Distribution Date, an amount equal to the aggregate Unpaid Principal Balance of the 23-HE1 PC as of the first day of the related Monthly Period. With respect to the Excess Servicing Certificates and any Distribution Date, an amount equal to the aggregate Unpaid Principal Balance of the SLS Serviced Mortgage Loans as of the first day of the related Monthly Period. With respect to the Class BX Certificates and any Distribution Date, to the extent the Class Principal Amount of the Class BX Certificates is equal to zero, such class shall have an outstanding balance equal to the Class Notional Amount of the Class X Certificates immediately prior to such Distribution Date.

Class Principal Amount

For each class of Certificates (other than the Class BX Certificates, Class X Certificates, the Excess Servicing Certificates and the Residual Certificates) and any Distribution Date, an amount equal to the aggregate Certificate Principal Amounts of the related class of Certificates immediately prior to such Distribution Date. With respect to the Class BX Certificates and any Distribution Date, to the extent the aggregate Class Principal Amount of the Depositable Classes is greater than zero, an amount equal to the aggregate Class Principal Amount of the Depositable Certificates. With respect to the Class BX Certificates and any Distribution Date, to the extent the Class Principal Amount of the Class BX Certificates is equal to zero, such class shall instead have a Class Notional Amount equal to the Class Notional Amount of the Class X Certificates on such Distribution Date. The Class X Certificates, the Excess Servicing Certificates and the Residual Certificates do not have Class Principal Amounts.

Class Subordination Percentage	For any Distribution Date and each applicable class of Certificates, an amount equal to a fraction (expressed as a percentage), the numerator of which is the Class Principal Amount of that class (prior to any distributions or allocations on such Distribution Date) and the denominator of which is the aggregate of the Class Principal Amounts of all classes of Certificates (other than the Class X Certificates, the Excess Servicing Certificates and the Residual Certificates) prior to any distributions or allocations on such Distribution Date).
Class X Accrual Rate	With respect to the Class X Certificates on any Distribution Date and for the related Accrual Period, a per annum rate expressed as the product of (a) the percentage equivalent of a fraction, the numerator of which is equal to the excess of (1) the aggregate amount of interest accrued at the Net WAC for the related Accrual Period on the aggregate Unpaid Principal Balance of the 23-HE1 PC for such Distribution Date over (2) the aggregate amount of interest accrued on the related Certificate Principal Amounts of each of the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2 and Class B-3 Certificates for such Distribution Date at their respective Pass-Through Rate, and the denominator of which is equal to the aggregate Unpaid Principal Balance of the 23-HE1 PC as of the first day of the related Monthly Period, and (b) 12.
Class X Distribution Amount	With respect to the Class X Certificates on any Distribution Date and the related Accrual Period, an amount equal to the sum of (x) the product of (i) the Class X Accrual Rate for the related Accrual Period, (ii) the Class Notional Amount for the Class X Certificates for such Distribution Date and (iii) 1/12th and (y) the amount calculated under clause (x) above remaining unpaid from any previous Distribution Date as reduced by the amount required to be remitted to the Cap Carryover Reserve Account on such Distribution Date for payment of Cap Carryover Amounts to the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2 and Class B-3 Certificates as described herein, with interest accrued on such remaining amount at the Class X Accrual Rate for the current Distribution Date.
Closing Date	On or about June 30, 2023.
Closing Date Substitution Amount	An amount equal to the Principal Balance Shortfall, *plus* one month of accrued interest on the amount of such Principal Balance Shortfall based on an interest rate equal to the Participation Net WAC (based on Unpaid Principal Balance and related Net Mortgage Rate of the Removed Participation Interests as of the Cut-off Date) of the related Removed Participation Interests as of the Cut-off Date.
Code	The Internal Revenue Code of 1986, as amended, and as it may be further amended from time to time, any successor statutes thereto, and applicable Treasury Department regulations issued pursuant thereto in proposed, temporary or final form, as the foregoing may be in effect from time to time.
Compounded SOFR	The compounded average of SOFRs for the applicable Corresponding Tenor as such rate appears on the FRBNY's Website at the applicable SOFR Determination Time; provided, that, if, and to the extent that the rate does not appear, unless otherwise specified in writing by the Depositor in its sole discretion, the applicable compounded average of

	SOFRs for the applicable Corresponding Tenor as published in respect of the first preceding U.S. Government Securities Business Day for which such rate appeared on the FRBNY's Website
Corresponding Tenor	With respect to a Certificate with a Pass-Through Rate based on SOFR, a tenor (including overnight) having the length (disregarding any business day adjustment) of 30 days or one-month, and with respect to a Benchmark Replacement, a tenor (including overnight) having approximately the same length (disregarding any business day adjustment) as the applicable tenor for the then-current Benchmark.
CPR	The conditional prepayment rate, which is a prepayment assumption that represents a constant assumed rate of prepayment each month relative to the then outstanding principal balance of the Mortgage Loans for the life of such Mortgage Loans.
Credit Score	With respect to a Borrower, a number generally between 300 and 850 obtained from a third party credit reporting organization. With respect to the statistical information in this Memorandum regarding the HELOCs (i) if two credit bureau scores are obtained, the lower score and (ii) if three credit bureau scores are obtained, the middle of the three. When there is more than one applicant in respect of a HELOC, the lowest of the applicants' Credit Scores will be used. In no event will less than two credit bureau scores be obtained to determine the Credit Score.
Credit Support Depletion Event	The first Distribution Date on which the aggregate Class Principal Amount of the Subordinate Certificates has been reduced to zero, prior to any distributions or allocations on that Distribution Date.
Cumulative Loss Trigger Event	With respect to any Distribution Date, if the percentage equivalent of the aggregate Realized Losses attributable to the 23-HE1 PC since the Cut-off Date through the end of the Monthly Period related to such Distribution Date divided by the aggregate Certificate Principal Amount of all Certificates (other than the Class A-1 Certificates) as of the last day of the related Monthly Period exceeds 5%.
Current Interest	For the 23-HE1 PC on any Participation Distribution Date, an amount equal to the aggregate interest accrued during the related Accrual Period at the Participation Net WAC on the related Unpaid Principal Balance of the 23-HE1 PC, prior to any distributions or allocations on such Participation Distribution Date. For the Senior Certificates, Mezzanine Certificates and Subordinate Certificates (other than the Class X and Class B-4 Certificates) and any Distribution Date, an amount equal to the interest accrued during the related Accrual Period at the applicable Pass-Through Rate on the related Class Principal Amount of such class of Certificates, prior to any distributions or allocations on such Distribution Date.
Custodial Account	With respect to each Servicer, an account or accounts for the collection of payments on the HELOCs serviced by such Servicer which will be separate from such Servicer's other assets.

Custodian	Any custodian of the Participation Agent identified in a participation supplement to the Master Participation Agreement. The custodian for the Mortgage Loans allocated to the 23-HE1 PC is Computershare Trust Company, N.A. and its permitted successors and assigns under the related Custody Agreement.
Custodian Annual Expense Cap	A cap for each Annual Expense Year of $25,000 for each Custodian in respect of any Custodian Capped Trust Expenses for such Annual Expense Year. If Custodian Capped Trust Expenses payable to a Custodian for an Annual Expense Year exceed the limit set forth in the preceding sentence, to the extent remaining unpaid at the end of such Annual Expense Year, such unpaid Custodian Capped Trust Expenses will be paid from the Participation Excess Cap Amount for such Annual Expense Year as described under "*Fees and Expenses of the Participation Agent*" in this Memorandum, and to the extent such Custodian Capped Trust Expenses still remain unpaid, such unpaid Custodian Capped Trust Expenses will carry forward to future Participation Distribution Dates in subsequent Annual Expense Years and will constitute Custodian Capped Trust Expenses for each such Participation Distribution Date until they are paid in full in accordance with the Master Participation Agreement.
Custodian Capped Trust Expenses	The Capped Participation Trust Expenses payable to a Custodian.
Custodian Fee	With respect to the Custodian related to the HELOCs and any Participation Distribution Date and each HELOC, a monthly fee, calculated as an amount equal to $1/12^{th}$ of $12.
Custodian Fee Rate	With respect to each HELOC, the rate set forth in the applicable Custody Agreement. The Custodian Fee Rate with respect to each HELOC related to the 23-HE1 PC is a per annum rate equal to (a) $12 divided by (b) the Unpaid Principal Balance of the related HELOC.
Custody Agreement	With respect to each Custodian, the custody agreement between such Custodian and the Participation Agent on behalf of the related Participation Certificateholders that is identified in a participation supplement to the Master Participation Agreement. With respect to the Mortgage Loans and the 23-HE1 PC, the related Custody Agreement is the custody agreement, dated as of the Closing Date, by and between the Participation Agent and Computershare Trust Company, N.A., as custodian, as such agreement may be amended or supplemented from time to time as permitted thereunder. On the Closing Date, the Issuing Entity will sign a joinder to the related Custody Agreement.
Cut-off Date	The close of business on May 31, 2023.
Data File	The data file prepared by the Participation Depositor which provides certain information regarding each HELOC.
DBRS	DBRS, Inc., or any successor in interest.
Debt Service Reduction	With respect to any HELOC, a reduction in the Monthly Payment for such HELOC by a court of competent jurisdiction in a proceeding under the United States Bankruptcy Code of 1986, as amended, which became final and non-appealable, except such a reduction resulting from a Deficient Valuation or any reduction that results in a permanent forgiveness of principal.

Deficient Valuation	With respect to any HELOC, a valuation of the related Mortgaged Property by a court of competent jurisdiction in an amount less than the then outstanding indebtedness under the HELOC, or any reduction in the amount of principal to be paid in connection with any Monthly Payment that results in a permanent forgiveness of principal, which valuation or reduction results from an order of such court which is final and non-appealable in a proceeding under the United States Bankruptcy Code of 1986, as amended.
Delaware Trust Statute	Chapter 38 of Title 12 of the Delaware Code, 12 Del. Code § 3801 *et seq.*, as the same may be amended from time to time.
Delinquency Trigger Event	A Delinquency Trigger Event has occurred on a Distribution Date if the six month average of the monthly percentage equivalent of (a) the aggregate Unpaid Principal Balance of the Mortgage Loans that are related to HELOCs that are 60 days or more delinquent pursuant to the MBA delinquency methodology (including Mortgage Loans related to HELOCs in foreclosure, REO Property or bankruptcy status, but not including the related Unpaid Principal Balance of any Charged-Off Loan or any Mortgage Loan related to a HELOC that is subject to a forbearance plan), divided by (b) the aggregate Certificate Principal Amount of all Certificates (other than the Class A-1 Certificates) as of the last day of the related Monthly Period, exceeds 5%.
Delinquent Modified Mortgage Loan	Any HELOC with respect to which a servicing modification occurred at a time when any payment on such HELOC was 30 days or more delinquent, but less than 120 days or more delinquent, based on the Mortgage Bankers Association (MBA) method of calculating delinquency.
Delinquent Mortgage Loan	Any HELOC, other than a Liquidated Mortgage Loan, with respect to which a Monthly Payment due on a Due Date is not timely received, based on the Mortgage Bankers Association (MBA) method of calculating delinquency.
Depositable Certificates	Class B-1, Class B-2, Class B-3, Class B-4 and Class X Certificates.
Depositor	J.P. Morgan Acceptance Corporation II, a Delaware corporation having its principal place of business in New York, or its successors in interest.
Determination Date	With respect to each Distribution Date, the last day of the immediately preceding calendar month.
Distressed Asset Surcharges	As defined under "*Fees and Expenses of the Participation Agent*."
Distribution Account	An account established by the Securities Administrator on or prior to the Closing Date, which will be maintained with the Securities Administrator on behalf of the Issuing Entity in trust for the benefit of the Certificateholders.
Distribution Date	The 20^{th} day of each month or, if such 20^{th} day is not a Business Day, the next succeeding Business Day, commencing in July 2023.

Draw	With respect to any HELOC, a principal disbursement to the related Borrower under the terms of the related Mortgage Note.
Drawn Combined Loan-to-Value Ratio or Drawn CLTV or Drawn Combined LTV	For a HELOC, a fraction, expressed as a percentage, the numerator of which is the sum of the unpaid principal balance of the HELOC and the unpaid principal balance of the Associated First Lien Loan (if any) and any Known Subordinate Financing secured by the same Mortgaged Property as of the Cut-off Date, and the denominator of which is the valuation of the Mortgaged Property used in connection with the origination of the HELOC (which is generally the lesser of the sales price, if applicable, and the original valuation used at the time of origination).
Drawn Loan-to-Value Ratio or Drawn LTV	For a HELOC, a fraction, expressed as a percentage, the numerator of which is the unpaid principal balance of the HELOC as of the Cut-off Date, and the denominator of which is the valuation of the Mortgaged Property used in connection with the origination of the HELOC (which is generally the lesser of the sales price, if applicable, and the original valuation used at the time of origination).
Due Date	For a HELOC, the day of each calendar on which the Monthly Payment is due on such HELOC, as applicable, in accordance with the terms of the related Mortgage Note, exclusive of any days of grace.
Eminent Domain Expenses	All fees, costs, expenses (including indemnities, legal fees and expenses) incurred by the Participation Owner Trustee in taking actions at the direction of the Quorum of Participation Certificateholders with respect to the action of a governmental authority to acquire a HELOC through the exercise of its power of eminent domain.
EPD Mortgage Loan	A HELOC with respect to which one of the first three Monthly Payments due after the related origination date of such HELOC is not received by the next Due Date after the Due Date on which such Monthly Payment was payable.
ERISA	The Employee Retirement Income Security Act of 1974, as amended and the rules and regulations thereunder.
Escrow Account	With respect to each Servicer, an account or accounts for the collection of any amounts required to be escrowed by the Borrower with the Mortgagee pursuant to the terms of any Mortgage Note or Mortgage including, without limitation, ground rents, taxes, assessments and certain insurance premiums.
Excess Cap Amount	For each Annual Expense Year, the amount of the Securities Administrator/Trustee Annual Expense Cap that remains unused at the end of such Annual Expense Year.
Excess Reserve Account	On the Closing Date, in accordance with the Securitization Sale Agreement, the Securities Administrator will establish an excess reserve account, which will hold “cash flow investments” in accordance with REMIC Provisions in an account established on behalf of the Issuing

entity in trust for the benefit of the Certificateholders. On any Distribution Date there will be (a) withdrawn from the Excess Reserve Account, to the extent of amounts on deposit therein, any amounts deposited therein on a prior Distribution Date and included as part of the Interest Remittance Amount and (b) deposited into the Excess Reserve Account, the amount specified in clause (6) of the Monthly Excess Cashflow waterfall (including any such amounts remaining from prior Distribution Dates after application as Interest Remittance Amount pursuant to clause (a)). The Excess Reserve Account is intended to capture excess distributions relating to each Monthly Period that would otherwise be paid to the Class A-R Certificates, and use those excess distributions on future Distributions Dates, by operation of the priority of distributions to cover Realized Losses and interest shortfalls that would otherwise be allocated through the priority of distributions. The Excess Reserve Account will be a non-interest bearing trust account and the funds therein will remain uninvested. Amounts on deposit in the Excess Reserve Account may be credited against the Optional Clean-Up Call Price, the Optional Redemption Price or the Subordinate Class Purchase Price, as applicable.

Excess Servicing Certificates	The Class A-IO-S Certificates.
Excess Servicing Strip Amount	With respect to each Distribution Date and each SLS Serviced Mortgage Loan, an amount equal to 1/12th of the product of the Excess Servicing Strip Rate for such Distribution Date and the Unpaid Principal Balance of such SLS Serviced Mortgage Loan prior to any distributions on such Distribution Date.
Excess Servicing Strip Rate	With respect to each Distribution Date, and each SLS Serviced Mortgage Loan, a per annum rate equal to the greater of (x) zero and (y) the excess, if any, of (i) 0.50000% over (ii) the related Servicing Fee Rate for such SLS Serviced Mortgage Loan for the related Participation Distribution Date.
Exchangeable Certificates	The Class BX Certificates.
Exchangeable Combination	The Exchangeable Combination set forth in Annex C to this Memorandum.
Exemption	An administrative prohibited transaction exemption granted to the Initial Purchasers by the U.S. Department of Labor, which permits the acquisition, holding and sale by Plans of the Certificates.
Expected Final Distribution Date	For each class of Certificates, the date set forth for such class in the table that begins on page 3 of this Memorandum.
Expense Cap	The Securities Administrator/Trustee Annual Expense Cap, the Participation Owner Trustee Expense Cap, the Participation Registrar Expense Cap and the Custodian Annual Expense Cap, as applicable.
Final Scheduled Distribution Date	For each class of Certificates, the date set forth for such class in the table that begins on page 3 of this Memorandum.
Fitch	Fitch Ratings, Inc., or any successor in interest.

Floating Rate Certificates	The Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2 and Class B-3 Certificates.
FRBNY's Website	The website of the FRBNY, currently at https://apps.newyorkfed.org/markets/autorates/sofr-avg-ind or at such other page as may replace such page on the FRBNY's Website.
Funded Participation Percentage	With respect to any Participation Certificate, will be a percentage applicable to each HELOC subject to such Participation Certificate, equal to (i) the outstanding Unpaid Principal Balance of the Draws related to such HELOC (which for the 23-HE1 PC will be the Unpaid Principal Balance of the Mortgage Loans) allocated to such Participation Certificate as a percentage of the aggregate outstanding Unpaid Principal Balance of the related HELOC and (ii) with respect to any REO Property, the percentage calculated as set forth in clause (i), based on the Unpaid Principal Balance of the related HELOC and the Draws with respect thereto as of the date such HELOC converted to an REO Property.
General Capped Trust Expenses	All Capped Trust Expenses other than the Securities Administrator/Trustee Capped Trust Expenses.
General Capped Participation Trust Expenses	All Capped Participation Trust Expenses other than the Participation Owner Trustee/Participation Registrar Capped Trust Expenses and the Custodian Capped Trust Expenses.
HELOC	The second lien variable rate home equity lines of credit acquired by the Participation Agent which relate to the Mortgage Loans.
HELOC Reserve Account	With respect to each Servicer, one or more accounts, separate and apart from such Servicer's own funds, for the purpose of facilitating the funding of draws, into which JPMMAC will deposit funds as provided in the related Servicing Agreement.
Incentive Servicing Fees	As defined under "*Fees and Expenses of the Participation Agent*."
Index	With respect to each HELOC, the index as provided in the related Mortgage Note for the purpose of calculating the interest rate thereon.
Initial Purchasers	J.P. Morgan Securities LLC, AmeriVet Securities, Inc., Drexel Hamilton, LLC, Loop Capital Markets LLC, Raymond James & Associates, Inc., Robert W. Baird & Co. Incorporated and Stifel, Nicolaus & Company, Incorporated.
Insurance Proceeds	All proceeds paid by an insurer pursuant to any insurance policies with respect to the HELOCs, to the extent such proceeds are not applied to the restoration or repair of the related Mortgaged Property or released to or held for the related Borrower in accordance with the related Servicer's normal servicing procedures. Expenses covered by an insurance policy with respect to a HELOC will not constitute Insurance Proceeds.
Interest Carryforward Amount	For any class of Senior Certificates, Mezzanine Certificates or Subordinate Certificates (other than the Class B-4 and the Class X Certificates) and (i) the first Distribution Date, zero, and (ii) any subsequent Distribution Date, the amount, if any, by which (a) the Interest Distribution Amount for such class of Certificates for the

	immediately preceding Distribution Date exceeds (b) the aggregate amount actually distributed to such class of Certificates in respect of interest on such preceding Distribution Date, plus in the case of clause (ii), the Interest Carryforward Amount, if any, for such class of Certificates for prior Distribution Dates to the extent not paid on a prior Distribution Date (and interest accrued thereon at the then-applicable Pass-Through Rate).
Interest Distribution Amount	For each class of Senior Certificates, Mezzanine Certificates and Subordinate Certificates (other than the Class B-4 and the Class X Certificates) on any Distribution Date, the Current Interest for that class on that Distribution Date.
Interest Remittance Amount	With respect to any Distribution Date, the sum of the following amounts with respect to the Participation Certificate: (i) all Monthly Payments of PC Interest Remittance Amount received from the Participation Registrar on the immediately preceding Participation Distribution Date (net of the Aggregate Expense Fees and Excess Servicing Strip Amount for such Participation Distribution Date); (ii) the interest portion of (a) any Optional Clean-Up Call Price and all amounts received pursuant to clause (ii) of the definition thereof or (b) any Optional Redemption Price and all amounts received pursuant to clause (iii) of the definition thereof or the Subordinate Class Purchase Price, as applicable, as described under "*Description of the Certificates—Optional Clean-Up Call and Optional Redemption*" in this Memorandum, paid by the Optional Clean-Up Call Holder or Optional Redemption Holder, as applicable, in exercising its right to terminate the Issuing Entity or purchase all of the outstanding Certificates from the Certificateholders thereof to be applied on such Distribution Date; (iii) with respect to the first Distribution Date following the Closing Date, the interest portion of any Closing Date Substitution Amount received during the related Monthly Period; and (iv) amounts withdrawn from the Excess Reserve Account for such Distribution Date; *minus (in each case, without duplication):* (A) Trust Expenses to be paid with respect to such Distribution Date, subject in certain instances to the Securities Administrator/Trustee Annual Expense Cap; (B) amounts deposited to the Distribution Account in error; and (C) amounts deposited in connection with the Optional Clean-Up Call Price or Optional Redemption Price or the Subordinate Class Purchase Price, as applicable, that are related to Participation Trust Expenses.
JPMCB	JPMorgan Chase Bank, National Association, or any successor in interest.
KBRA	Kroll Bond Rating Agency, LLC, or any successor in interest.
Known Subordinate Financing	Subordinate financing provided by the related Originator at the time of origination of the related HELOC related to the Mortgage Loan and secured by the related Mortgaged Property, and disclosed by the related Originator to the Participation Depositor.

Line of Credit Agreement With respect to each HELOC, the original line of credit agreement and disclosure statement (including, without limitation, all addenda thereto) executed by a Borrower and secured by a Mortgage evidencing the indebtedness of the Borrower under a HELOC.

Liquidated Mortgage Loan With respect to any Participation Distribution Date, a HELOC (including any REO Property) that was liquidated in the calendar month preceding the month of such Participation Distribution Date and as to which the related Servicer has determined (in accordance with the related Servicing Agreement) that it has received all amounts it expects to receive in connection with the liquidation of such HELOC including the final disposition of an REO Property. For the avoidance of doubt, a Liquidated Mortgage Loan does not include a HELOC that has prepaid in full.

Liquidation Proceeds All amounts received and retained in connection with the partial or complete liquidation of defaulted HELOCs, by foreclosure sale or otherwise, including net proceeds from any REO Property or amounts received in connection with any condemnation or partial release of a Mortgaged Property.

Loan-to-Value Ratio or LTV Each of the Drawn Loan-to-Value Ratio, the Drawn Combined Loan-to-Value Ratio, the Maximum Loan-to-Value Ratio and the Maximum Combined Loan-to-Value Ratio, as applicable.

Locked Out Class Any of the Class M-1, Class M-2 and Class M-3 Certificates (other than to the extent such class of Certificates has the most senior class designation of any class of Certificates then outstanding) with respect to which on any Distribution Date the Applicable Credit Support Percentage is less than the sum of (i) 150% of the Original Applicable Credit Support Percentage for that class, plus (ii) 50% of the Non-Performing Loan Percentage, plus (iii) the Charged-off Loan Percentage. To the extent any class of Certificates is a Locked Out Class, each class of Certificates subordinate to such Locked Out Class will also be a Locked Out Class.

Master Participation Agreement The Master Participation Agreement dated on or about the Closing Date among the Participation Agent, JPMMAC, the Participation Registrar and the Participation Owner Trustee, as such agreement may be amended or supplemented from time to time as permitted thereunder. The Master Participation Agreement will be supplemented by one or more participation supplements from time to time, including the participation supplement executed on the Closing Date between the Participation Depositor and the Participation Agent, and acknowledged by the Issuing Entity as the Participation Certificateholder of the 23-HE1 PC.

Maximum Combined Loan-to-Value Ratio or Maximum Combined LTV

For a HELOC, a fraction, expressed as a percentage, the numerator of which is the sum of the principal balance of the aggregate Credit Limit related to the HELOC and the principal balance of the Associated First Lien Loan (if any) and any Known Subordinate Financing secured by the same Mortgaged Property as of the Cut-off Date, and the denominator of which is the valuation of the Mortgaged Property used in connection with the origination of the HELOC (which is generally the lesser of the sales price, if applicable, and the original valuation used at the time of origination).

Maximum Loan-to-Value Ratio or Maximum LTV

For a HELOC, a fraction, expressed as a percentage, the numerator of which is the principal balance of the aggregate Credit Limit related to the HELOC as of the Cut-off Date, and the denominator of which is the valuation of the Mortgaged Property used in connection with the origination of the HELOC (which is generally the lesser of the sales price, if applicable, and the original valuation used at the time of origination).

MERS Mortgage Loan

Any HELOC registered with MERS on the MERS® system.

Mezzanine Certificates

The Class M-1, Class M-2 and Class M-3 Certificates.

Monthly Excess Cashflow

With respect to any Distribution Date, the sum of (i) the remaining Interest Remittance Amount after making distributions pursuant to clause (7) under "*—Distribution of the Interest Remittance Amount*" in this Memorandum, (ii) the remaining Principal Remittance Amount after making distributions pursuant to (a) clause (5) under the first paragraph under "*—Distribution of the Principal Remittance Amount*" herein if a Trigger Event is not in effect or (b) clause (8) under the second paragraph under "*—Distribution of the Principal Remittance Amount*" in this Memorandum if a Trigger Event is in effect.

Monthly Payment

With respect to a HELOC, the scheduled monthly payment due on any Due Date allocable to principal and/or interest on such HELOC which will give effect to any related Debt Service Reduction, any related Deficient Valuation, any related servicing modification or any other adjustment (e.g., a "recast") that affects the amount of the scheduled monthly payment due on such HELOC.

Monthly Period

With respect to each HELOC and any Participation Distribution Date (other than the initial Participation Distribution Date with respect to any Participation Certificate), the period commencing on the first day of the calendar month preceding the calendar month in which such Participation Distribution Date occurs and ending on the last day of the calendar month preceding the calendar month in which such Participation Distribution Date occurs and with respect to the initial Participation Distribution Date for any Participation Certificate, the period commencing on the Cut-off Date and ending on the last day of the calendar month preceding the related calendar month in which such Participation Distribution Date occurs.

Moody's

Moody's Investors Service, Inc., or any successor in interest.

Morningstar

Morningstar Credit Ratings, LLC, or any successor in interest.

Mortgage The mortgage, deed of trust or other instrument creating a first lien on a Mortgaged Property securing a Mortgage Note or creating a first lien on a leasehold interest.

Mortgage Documents The mortgage loan documents required to be delivered to the Custodian pursuant to the Securitization Sale Agreement and the Custody Agreement, which, generally, will include: (i) With respect to each HELOC that is not a cooperative loan:

(A) the original Mortgage Note bearing all intervening endorsements showing a complete chain of endorsements from the originator of such HELOC to the last endorsee (the "Last Endorsee"), endorsed by the Last Endorsee, without recourse in the following form: "Pay to the order of _________, without recourse" and signed in the name of the Last Endorsee by an authorized officer;

(B) the original Mortgage, or a copy thereof, in either case with evidence of recording indicated thereon;

(C) an original assignment of mortgage, in suitable form for recordation in the jurisdiction in which the related Mortgaged Property is located, such assignment to be in blank or to the Issuing Entity and signed in the name of the Last Endorsee by an authorized officer;

(D) the originals or copies of all intervening assignments (if any) of the Mortgage showing a complete chain of assignments from the originator of such HELOC to the Last Endorsee with evidence of recording thereon;

(E) the originals or copies of all assumption, modification (with evidence of recording thereon), consolidation or extension agreements (if any);

(F) the original or a copy of the policy of title insurance, or a copy thereof (if any); and

(G) the original power of attorney, or a copy thereof (if any); and

(ii) With respect to each cooperative loan:

(A) the original Mortgage Note together with any applicable riders, endorsed in blank, with all prior and intervening endorsements as may be necessary to show a complete chain of endorsements;

(B) the original pledge agreement entered into by the Borrower with respect to such cooperative loan;

(C) the original stock power in blank;

(D) the original assignment of pledge agreement in blank showing a complete chain of assignment from the originator of the related cooperative loan to the Issuing Entity;

(E) a Form UCC-1 and any continuation statements with evidence of filing thereon with respect to such cooperative loan;

(F) the cooperative shares with a stock certificate attached;

(G) the original proprietary lease;

(H) the original assignment of proprietary lease, in blank, and all intervening assignments thereof;

(I) the original recognition agreement of the interests of the mortgagee with respect to the cooperative loan by the cooperative, the stock of which was pledged by the related Borrower to the originator of such cooperative loan;

(J) the originals or copies of any assumption, consolidation or modification agreements relating to any of the items specified above; and

(K) the original power of attorney, or a copy thereof (if any).

Mortgage Loan	The Draws related to the HELOCs that are represented by a Participation Interest that has been allocated to the 23-HE1 PC.
Mortgage Loan Schedule	The schedule that identifies each Mortgage Loan and certain data elements related to each Mortgage Loan, as such schedule may be amended from time to time.
Mortgage Note	The original promissory note (and any modification or amendment thereto), Line of Credit Agreement or other evidence of the indebtedness of a Borrower secured by a Mortgage relating to a HELOC.
Mortgage Rate	As to any HELOC, the annual rate of interest borne by the related Mortgage Note from time to time, as of the related Due Date (as the same may be amended from time to time); provided, however, that the Mortgage Rate with respect to a HELOC will not be amended to reflect any increase thereof due to the termination of an automatic debit or direct deposit account.
Mortgaged Property	The underlying property securing a HELOC, which, with respect to a Cooperative Loan, is the related cooperative shares and proprietary lease.
Net Liquidation Proceeds	With respect to any Liquidated Mortgage Loan or any other disposition of related Mortgaged Property, the related Liquidation Proceeds net of unreimbursed Servicing Advances, accrued and unpaid Servicing Fees or Successor Servicing Fees, as applicable, with respect to such Liquidated Mortgage Loan, and any other accrued and unpaid fees incurred in connection with the liquidation of such Liquidated Mortgage Loan and amounts payable to the related Borrower.
Net Mortgage Rate	With respect to any HELOC and any Participation Distribution Date, the related Mortgage Rate as of the Due Date in the related Monthly Period reduced by the sum of the Participation Aggregate Expense Rate and the Capped Participation Trust Expense Rate for such HELOC and the related Participation Distribution Date.
Net WAC	For any Distribution Date, the greater of (a) an annual rate expressed as a percentage equal to the product of (1) a fraction (x) the numerator of which is equal to (i) the aggregate interest accrued during the related Monthly Period on the 23-HE1 PC at the Participation Net WAC, minus

	(ii) the sum of (A) the Capped Trust Expenses, (B) the Aggregate Expense Fees, and (C) the aggregate Excess Servicing Strip Amount for such Distribution Date and (y) the denominator of which is equal to the aggregate Unpaid Principal Balance of the 23-HE1 PC as of the first day of the related Monthly Period and (2) 360, divided by the actual number of days in the related Accrual Period, and (b) zero.
Non-Performing Loan Percentage	With respect to any Distribution Date, the percentage equivalent of (a) the aggregate Unpaid Principal Balance of the Mortgage Loans related to HELOCs that are 60 days or more delinquent pursuant to the MBA delinquency methodology (including Mortgage Loans related to HELOCs in foreclosure, REO Property or bankruptcy status and the related Unpaid Principal Balance of any Charged-Off Loan prior to the date of such Mortgage Loan becoming a Charged-Off Loan) and all Mortgage Loans related to HELOCs subject to a servicing modification (for the avoidance of doubt, not including deferrals) within the 12 months prior to such Distribution Date (in each case without duplication), divided by (b) the Unpaid Principal Balance of the 23-HE1 PC as of the first day of the related Monthly Period.
Offered Certificates	The Senior Certificates, the Mezzanine Certificates, the Subordinate Certificates, the Exchangeable Certificates, the Excess Servicing Certificates and the Residual Certificates.
Optional Clean-Up Call Holder	The Retaining Sponsor.
Optional Clean-Up Call Price	With respect to an Optional Clean-Up Call Date, an amount equal to the sum of (i) 100% of the Unpaid Principal Balance (including, for the avoidance of doubt, any interest or principal distributions that were previously due relating to Participation Interests in amounts that were deferred) of the Participation Certificate, plus accrued and unpaid interest thereon from and including the date to which such interest was last paid at the applicable Participation Net WAC, to but excluding the first day of the month in the month of such Optional Clean-Up Call Date *plus* any Cap Carryover Amounts owed on the Certificates, (ii) any remaining unpaid Trust Expenses due to any such party and any other amounts payable by the Issuing Entity to the Participation Certificate Seller, the Depositor, the Owner Trustee and the Securities Administrator without regard to any Expense Cap and (iii) the Funded Participation Percentage of any remaining Participation Trust Expenses allocable to the 23-HE1 PC due to any such party, as reported to the Securities Administrator by the Participation Registrar.
Optional Redemption	As defined under "*Description of the Certificates—Optional Clean-Up Call and Optional Redemption*" in this Memorandum.
Optional Redemption Holder	The Retaining Sponsor.
Optional Redemption Price	With respect to an Optional Redemption Date, an amount equal to the sum of (i) 100% of the of the Class Principal Amount of each class of Certificates, (ii) any accrued and unpaid Interest Distribution Amount and Interest Carryforward Amount with respect to each Class of Certificates (including Cap Carryover Amounts), through, but not including, the Optional Redemption Date, (iii) any remaining unpaid Trust Expenses due to any such party and any other amounts payable by the Issuing Entity to the Participation Certificate Seller, the Depositor, the Owner

Trustee and the Securities Administrator without regard to any Expense Cap and (iv) Funded Participation Percentage of any remaining Participation Trust Expenses allocable to the 23-HE1 PC due to any such party, as reported to the Securities Administrator by the Participation Registrar.

Optional Termination As defined under "*Description of the Certificates—Optional Clean-Up Call and Optional Redemption*" in this Memorandum.

Original Applicable Credit Support Percentage With respect to each of the Class M-1, Class M-2 and Class M-3 Certificates, the related Applicable Credit Support Percentage as of the Closing Date. The approximate Original Applicable Credit Support Percentage for each applicable class of Certificates is set forth in the table below opposite its class designation:

Class M-1	32.30%
Class M-2	24.75%
Class M-3	18.25%

Originator Each of the entities identified in the "Originator" table in Annex A to this Memorandum.

Other Retaining Sponsor Any retaining sponsor other than the Retaining Sponsor in a securitization transaction relating to home equity lines of credit owned by the Participation Agent.

Owner Trustee Wilmington Savings Fund Society, FSB, or any successor in interest.

Owner Trustee Fee With respect to the Owner Trustee and any Distribution Date, an amount equal to 1/12th of $15,000.

Participant A participating firm that acts as agent for a Financial Intermediary.

Participation Account An account established by Participation Registrar or on or prior to the Closing Date, which will be maintained with the Participation Registrar on behalf of the Participation Agent in trust for the benefit of the Participation Certificateholders.

Participation Aggregate Expense Fees With respect to any HELOC and any Participation Distribution Date, the sum of (i) the related Servicing Fee for such HELOC, (ii) the Participation Owner Trustee/Participation Registrar Fee and (iii) the related Custodian Fee for such HELOC.

Participation Aggregate Expense Rate With respect to any HELOC and any Participation Distribution Date, the sum of (a) the related Servicing Fee Rate for such Participation Distribution Date, (b) the Participation Owner Trustee/Participation Registrar Fee Rate for such Participation Distribution Date and (c) the related Custodian Fee Rate for such Participation Distribution Date.

Participation Certificate A certificate evidencing a 100% ownership interest in certain Draws of a home-equity line of credit owned by the Participation Agent, such Draws being identified on the schedule attached to such participation certificate

	and the related participation supplement to the Master Participation Agreement or the applicable portion of the related REO Property.
Participation Certificate Seller	J.P. Morgan Mortgage Acquisition Corp., a Delaware corporation, or its successors in interest.
Participation Certificateholder	The Person in whose name a Participation Certificate is registered in the participation register maintained pursuant to the Master Participation Agreement.
Participation Depositor	J.P. Morgan Mortgage Acquisition Corp., a Delaware corporation, or its successors in interest.
Participation Distribution Date	The 20th day of each month or, if such 20th day is not a Business Day, the next succeeding Business Day, commencing in July 2023.
Participation Excess Cap Amount	For each Annual Expense Year, the amount of the Participation Owner Trustee/Participation Registrar Annual Expense Cap and the Custodian Annual Expense Cap that remains unused at the end of such Annual Expense Year.
Participation Interest	With respect to any Mortgage Loan or the Draws related to a HELOC, a participation in the economic, beneficial and equitable ownership interest in such Mortgage Loan or Draws. Each Participation Interest will represent a 100% participation in the related Mortgage Loan or Draws. In connection with the permitted transfer or other disposition of a Participation Interest by a Participation Certificateholder following the related Closing Date, such Participation Interest will be transferred as a 100% participation in the economic, beneficial and equitable ownership interest in the related Mortgage Loan or Draws.
Participation Net WAC	With respect to the 23-HE1 PC and any Participation Distribution Date, the greater of (a) an annual rate expressed as a percentage equal to the product of (1) a fraction (x) the numerator of which is equal to the aggregate interest accrued during the related Monthly Period on each Mortgage Loan allocated to the 23-HE1 PC at the applicable Net Mortgage Rate and (y) the denominator of which is equal to the aggregate Unpaid Principal Balance of the 23-HE1 PC as of the first day of the related Monthly Period and (2) 360, divided by the actual number of days in the related Accrual Period, and (b) zero.
Participation Owner Trustee	Wilmington Savings Fund Society, FSB, or any successor in interest.
Participation Owner Trustee/ Participation Registrar Annual Expense Cap	A cap for each Annual Expense Year of $500,000 in respect of any Participation Owner Trustee/Participation Registrar Capped Trust Expenses for such Annual Expense Year. If the Participation Owner Trustee/Participation Registrar Capped Trust Expenses for an Annual Expense Year exceed the limit set forth in the preceding sentence, to the extent remaining unpaid at the end of such Annual Expense Year, such unpaid Participation Owner Trustee/Participation Registrar Capped Trust Expenses will be paid from the Participation Excess Cap Amount for such Annual Expense Year, and to the extent such Participation Owner Trustee/Participation Registrar Capped Trust Expenses still remain

unpaid, such unpaid Participation Owner Trustee/Participation Registrar Capped Trust Expenses will carry forward to future Participation Distribution Dates in subsequent Annual Expense Years and will constitute Participation Owner Trustee/Participation Registrar Capped Trust Expenses for each such Participation Distribution Date until they are paid in full in accordance with this Agreement.

Participation Owner Trustee/ Participation Registrar Capped Trust Expenses	The Capped Participation Trust Expenses payable to the Participation Owner Trustee or the Participation Registrar.
Participation Owner Trustee/ Participation Registrar Fee	With respect to the Participation Owner Trustee and any Participation Distribution Date and each HELOC, an amount equal to the product of (x) the Unpaid Principal Balance of such HELOC as of the first day of the related Monthly Period and (y) 1/12th of the Participation Owner Trustee/Participation Registrar Fee Rate.
Participation Owner Trustee/ Participation Registrar Fee Rate	With respect to each HELOC, a per annum rate equal to 0.02500%.
Participation Registrar	Wilmington Savings Fund Society, FSB, and its successors and assigns, or any successor to the Participation Registrar under the Master Participation Agreement.
Participation Trust Agreement	The amended and restated participation trust agreement, dated as of the Closing Date, by and among Wilmington Savings Fund Society, FSB, as certificate registrar, trust paying agent and participation owner trustee and the Participation Depositor.
Participation Trust Expenses	With respect to each HELOC, expenses of the Participation Agent in respect of an Annual Expense Year, including, but not limited to (i) any amounts reimbursable to the Participation Registrar, the Participation Owner Trustee, a Custodian or a Servicer (including fees and expenses of their agents and counsel) pursuant to the terms of the Master Participation Agreement, the Participation Trust Agreement, any Custody Agreement or any Servicing Agreement, as applicable, including any extraordinary costs incurred by the Participation Owner Trustee in connection with a servicing transfer, (ii) indemnification amounts, if any, payable by the Participation Registrar pursuant to the Master Participation Agreement, any Servicing Agreement, the Participation Trust Agreement or any Custody Agreement, (iii) Eminent Domain Expenses and (iv) Servicing Transfer Costs, but excluding any (t) Servicing Fees, (u) Participation Owner Trustee/Participation Registrar Fees and (v) Custodian Fees. If Participation Trust Expenses are not paid on any Participation Distribution Date, including by operation of the Participation Owner Trustee/Participation Registrar Annual Expense Cap or the Custodian Annual Expense Cap, such unpaid Participation Trust Expenses will carry forward and constitute Participation Trust Expenses on all future Participation Distribution Dates until they are paid in full.
Paying Agent	The Securities Administrator or any successor paying agent appointed by the Depositor pursuant to the Trust Agreement.

PC Interest Remittance Amount	With respect to each Monthly Period, the sum of the following amounts with respect to each HELOC aggregate for each calendar day during such Monthly Period: (i) all Monthly Payments of interest received on such day (net of the daily share of Participation Aggregate Expense Fees for such Participation Distribution Date) due during the related Monthly Period; (ii) the interest portion of any Insurance Proceeds received on such day during the related Monthly Period; (iii) the interest portion of any Net Liquidation Proceeds received on such day during the related Monthly Period; (iv) the interest portion of any Subsequent Recoveries received on such day during the related Monthly Period; (v) the interest portion of any of the Repurchase Price of each HELOC received on such day repurchased from the Participation Agent; *minus (in each case, without duplication):* (A) the daily share of amounts applied to reimburse the interest portion of Servicing Advances previously made by the applicable Servicer and other amounts as to which such Servicer is entitled to be reimbursed pursuant to the related Servicing Agreement; and (B) the daily share of Participation Trust Expenses to be paid with respect to the related Participation Distribution Date, subject in certain instances to the Participation Owner Trustee/Participation Registrar Annual Expense Cap and the Custodian Annual Expense Cap. PC Interest Remittance Amounts will not include: (i) amounts payable to an Originator or the Participation Depositor representing the interest portion of collections received on any HELOC or REO Property after the date of repurchase by that Originator or Participation Depositor, as applicable, or (ii) amounts deposited to the Participation Account in error.
PC Principal Remittance Amount	With respect to each Monthly Period, the sum of the following amounts with respect to each HELOC aggregated for each calendar day during such Monthly Period: (i) all Monthly Payments of principal received on such day during the related Monthly Period; (ii) the principal portion of any Insurance Proceeds received on such day during the related Monthly Period; (iii) the principal portion of any Net Liquidation Proceeds received on such day during the related Monthly Period; (iv) the principal portion of any Subsequent Recoveries received on such day during the related Monthly Period; (v) the principal portion of any of the Repurchase Price of each HELOC received on such day repurchased from the Participation Agent; *minus (in each case, without duplication and only to the extent not covered by the Interest Remittance Amount):* (A) the daily share of amounts applied to reimburse Servicing Advances previously made by the applicable Servicer and other amounts as to which such Servicer is entitled to be reimbursed pursuant to the related Servicing Agreement; and (B) the daily share of Participation Trust Expenses to be paid with respect to the related Participation Distribution Date, subject in certain instances to the Participation Owner Trustee/Participation Registrar Annual Expense Cap and the Custodian Annual Expense Cap.

PC Principal Remittance Amounts will not include: (i) amounts payable to an Originator or the Participation Depositor representing collections received on any HELOC or REO Property after the date of repurchase by that Originator or Participation Depositor, as applicable, or (ii) amounts deposited to the Participation Account in error.

Percentage Interest	With respect to: (A) any Participation Certificate and any date of determination, the Percentage Interest in any HELOC evidenced thereby will equal the aggregate Unpaid Principal Balance of all Participation Interests in the related HELOC evidenced by such Participation Certificate divided by the aggregate Unpaid Principal Balance of all Participation Interests in the related HELOC evidenced by all Participation Certificates. For purposes of this calculation, a HELOC (and the Participation Interests therein) will be "related" to determining this calculation if the matter subject to vote or direction impacts the particular HELOC. For matters impacting all HELOCs related to all Participation Certificates, the Percentage Interest of the related Participation Certificate will be calculated as the Unpaid Principal Balance of such Participation Certificate as a percentage of the Unpaid Principal Balance of all Participation Certificates. (B) any Certificate, other than the Class X Certificate, the Excess Servicing Certificates or the Class A-R Certificates, the Percentage Interest evidenced thereby will equal the initial Certificate Principal Amount thereof divided by the initial Class Principal Amount of all Certificates of the same Class. With respect to the Class X Certificate and the Excess Servicing Certificates, the Percentage Interest evidenced thereby will equal its initial Class Notional Amount as set forth on the face thereof divided by the initial Class Notional Amount of all Certificates of the same Class. With respect to the Class A-R Certificates, the Percentage Interest evidenced thereby will be as specified on the face thereof, or otherwise will be equal to 100% of such Class.
Person	Any individual, corporation, partnership, limited partnership, joint venture, bank, association, joint-stock company, limited liability company, trust (including any beneficiary thereof), unincorporated organization or government or any agency or political subdivision thereof.
Plans	Certain employee benefit plans and other retirement plans and arrangements, including individual retirement accounts and annuities, Keogh plans and collective investment funds and separate accounts in which plans, accounts or arrangements are invested.
Principal Balance Shortfall	An amount equal to the Unpaid Principal Balance of any Removed Participation Interests.
Principal Forbearance Amount	With respect to a HELOC that was the subject of a servicing modification, the amount of principal of the HELOC that has been deferred and that does not accrue interest.
Principal Remittance Amount	With respect to any Distribution Date, the sum of the following amounts with respect to the Participation Certificate: (i) all Monthly Payments of

PC Principal Remittance Amount received from the Participation Registrar on the immediately preceding Participation Distribution Date; (ii) the principal portion of any Optional Clean-Up Call Price, Optional Redemption Price or the Subordinate Class Purchase Price, as applicable, to be applied on such Distribution Date; and (iii) with respect to the first Distribution Date following the Closing Date, the principal portion of any Closing Date Substitution Amount received during the related Monthly Period.

Minus (in each case, without duplication and only to the extent not covered by the Interest Remittance Amount):

(A) Trust Expenses to be paid with respect to such Distribution Date, subject in certain instances to the Securities Administrator/Trustee Annual Expense Cap; and

(B) amounts deposited to the Distribution Account in error; and

(C) amounts deposited in connection with the Optional Clean-Up Call Price, Optional Redemption Price or the Subordinate Class Purchase Price, as applicable, that are related to Participation Trust Expenses.

PTCE Prohibited Transaction Class Exemption.

Purchase Agreements The underlying mortgage loan purchase agreements and/or mortgage loan purchase and servicing agreements, as applicable, with respect to the HELOCs entered into between the Participation Depositor and the related Originator as modified by the related Assignment Agreement, as each such agreement may be further amended or supplemented from time to time.

Qualified Reviewer A person that (i) is not the Participation Depositor or a Representing Party or an affiliate of either the Participation Depositor or a Representing Party or an affiliate of any of the Participation Certificateholders or certificateholders in a securitization transaction with an interest in the related HELOC, as applicable, and (ii) is a recognized third-party with experience performing due diligence on residential mortgage loans.

Quorum Holders of Participation Certificates or Certificates, as applicable, representing at least 25% of the Voting Interests of the Participation Certificates or each class of Certificates, other than the Class A-R Certificates and Certificates held by any Initial Purchaser or any of their respective affiliates, as applicable. For the avoidance of doubt, if the Initial Purchasers or any of their respective affiliates holds 100% of a class of Certificates, the vote of that class of Certificates will not be required to satisfy this definition.

Rating Agency Condition With respect to any event or circumstance and each Rating Agency, either (a) written confirmation (which may be in the form of a letter, a press release or other publication, or a change in such Rating Agency's published ratings criteria to this effect) by such Rating Agency that the occurrence of such event or circumstance will not cause such Rating Agency to downgrade, qualify or withdraw its rating assigned to any class of Certificates or (b) that such Rating Agency will have been given notice of such event or circumstance at least ten days prior to the occurrence of such event or circumstance (or, if ten days' advance notice is impracticable, as much advance notice as is practicable and is acceptable to such Rating Agency) and such Rating Agency will not have issued any written notice that the occurrence of such event or circumstance will itself cause it to downgrade, qualify or withdraw its rating assigned to any class of Certificates. Notwithstanding the foregoing, no Rating Agency has any duty to review any notice given with respect to any event, and it is understood that such Rating Agency may not actually review notices received by it prior to or after the expiration of the ten (10) day period described in (b) above. Further, each Rating Agency retains the right to downgrade, qualify or withdraw its rating assigned to all classes of Certificates or any class of Certificates at any time in its sole judgment even if the Rating Agency Condition with respect to an event had been previously satisfied pursuant to clause (a) or clause (b) above.

Realized Loss	With respect to (a) each Liquidated Mortgage Loan, an amount (not less than zero or more than the unpaid principal balance of the Liquidated Mortgage Loan plus all accrued and unpaid interest at the related Net Mortgage Rate as of the date of such liquidation), equal to (i) the unpaid principal balance of the Liquidated Mortgage Loan as of the date of such liquidation, plus (ii) interest at the related Net Mortgage Rate from the Due Date as to which interest was last paid by the Borrower up to the Due Date in the month in which Liquidation Proceeds are required to be distributed on the interest-bearing unpaid principal balance of such Liquidated Mortgage Loan as of the date of such liquidation, minus (iii) the Net Liquidation Proceeds received during the month in which such liquidation occurred, to the extent not previously applied as recoveries of interest at the Net Mortgage Rate and to principal of the Liquidated Mortgage Loan, (b) a HELOC subject to a Deficient Valuation, the amount by which a bankruptcy court reduces the secured debt to the value of the related Mortgaged Property, (c) a HELOC subject to a Debt Service Reduction, the present value of all Debt Service Reductions, discounted monthly at the applicable Mortgage Rate, (d) a HELOC that has been the subject of a servicing modification, any principal due on the HELOC that has been written off by the related Servicer and any Principal Forbearance Amount or (e) a Charged-off Loan, the outstanding Unpaid Principal Balance of such HELOC. For purposes of this definition, Net Mortgage Rate will not include any reduction to such rate resulting from the Capped Participation Trust Expense Rate for such Distribution Date.
Record Date	For each Distribution Date and each class of Certificates, the close of business on the Business Day immediately preceding the related Distribution Date. The Record Date for the initial Distribution Date will be the Closing Date.
Regulation S Non-U.S. Person	A person (other than a "U.S. person" as defined in Regulation S) acquiring Certificates outside of the United States pursuant to the requirements of Regulation S.
Relevant Governmental Body	The Federal Reserve Board and/or the Federal Reserve Bank of New York, or a committee officially endorsed or convened by the Federal Reserve Board and/or the Federal Reserve Bank of New York or any successor thereto.

Relief Act	The Servicemembers Civil Relief Act, as it may be amended from time to time, or any similar state law.
REMIC	A "real estate mortgage investment conduit" within the meaning of section 860D of the Code.
REMIC Provisions	The provisions of the federal income tax law relating to real estate mortgage investment conduits, which appear at Sections 860A through 860G of the Code, and related provisions, and Treasury Regulations, including proposed regulations and rulings, and administrative pronouncements promulgated thereunder, as the foregoing may be in effect from time to time.
Removed Participation Interests	The Participation Interests in any Mortgage Loans that are removed from the 23-HE1 PC between the Cut-off Date and the Closing Date.
REO Property	A Mortgaged Property acquired by the Participation Agent through foreclosure or deed-in-lieu of foreclosure in connection with a defaulted HELOC or otherwise treated as having been acquired pursuant to the REMIC Provisions.
Regulation S Restricted Certificates	The Class B-2, Class B-3, Class B-4, Class BX, Class A-IO-S, Class X and Class A-R Certificates.
Representing Party	With respect to (i) the representations and warranties in respect of HELOCs made in an Assignment Agreement, the related Originator and (ii) any representation or warranty made by the Participation Depositor with respect to the HELOCs, the Participation Depositor.
Repurchase Price	With respect to (a) any HELOC (other than a Liquidated Mortgage Loan) subject to repurchase for which the Participation Depositor is the Representing Party, an amount equal to the sum of (i) 100% of the Unpaid Principal Balance (including, for the avoidance of doubt, any interest or principal payments that were previously due and that were capitalized or deferred) of the HELOC on the date of such purchase, (ii) accrued interest thereon at the applicable Mortgage Rate from and including the Due Date through which interest was last paid by or on behalf of the Borrower through the last day of the month in which such repurchase occurs and (iii) any unreimbursed Servicing Advances made after the Cut-off Date, (b) any Liquidated Mortgage Loan subject to repurchase for which the Participation Depositor is the Representing Party, the amount of the related Realized Loss and (c) any HELOC or Liquidated Mortgage Loan subject to repurchase for which the related Originator is the Representing Party, the "Repurchase Price" specified in the related Assignment Agreement.
Residual Certificates	The Class A-R Certificates.
Reviewer	Pentalpha Surveillance LLC or another recognized third party with experience performing due diligence on residential mortgage loans.
S&P	S&P Global Ratings, or any successor in interest.
Securitization Sale Agreement	The Securitization Sale Agreement dated on or about the Closing Date among the Participation Certificate Seller, the Depositor, the Issuing

	Entity and the Securities Administrator, as such agreement may be amended or supplemented from time to time as permitted thereunder.
SEC	The Securities and Exchange Commission.
Securities Act	The Securities Act of 1933, as amended, and the rules and regulations thereunder.
Securities Administrator	Wilmington Savings Fund Society, FSB, or any successor in interest.
Securities Administrator/ Trustee Annual Expense Cap	A cap for each Annual Expense Year of $250,000 in respect of any Securities Administrator/Trustee Capped Trust Expenses for such Annual Expense Year. If the Securities Administrator/Trustee Capped Trust Expenses for an Annual Expense Year exceed the limit set forth in the preceding sentence, to the extent remaining unpaid at the end of such Annual Expense Year, such unpaid Securities Administrator/Trustee Capped Trust Expenses will be paid from the Excess Cap Amount for such Annual Expense Year, and to the extent such Securities Administrator/Trustee Capped Trust Expenses still remain unpaid, such unpaid Securities Administrator/Trustee Capped Trust Expenses will carry forward to future Distribution Dates in subsequent Annual Expense Years and will constitute Securities Administrator/Trustee Capped Trust Expenses for each such Distribution Date until they are paid in full in accordance with the Securitization Sale Agreement.
Securities Administrator/Trustee Capped Trust Expenses	The Capped Trust Expenses payable to the Securities Administrator or the Trustee.
Securities Administrator Fee	With respect to the Securities Administrator and any Distribution Date, an amount equal to $4,000.
Senior Certificates	The Class A-1 Certificates.
Servicer	Each of loanDepot and SLS and any person succeeding as servicer under the applicable Servicing Agreement or any successor in interest.
Servicer Remittance Date	As defined under "*Servicing of the HELOCs—General—Flow of Funds*" in this Memorandum.
Servicing Agreement	With respect to (i) SLS, the SLS Servicing Agreement and (ii) loanDepot, the related Purchase Agreement, as modified by the related Assignment Agreement
Servicing Fee	With respect to each Participation Distribution Date and each HELOC serviced by (I) loanDepot, an amount equal to $1/12^{th}$ of the product of (a) 0.50000% and (b) the Unpaid Principal Balance of such HELOC as of the first day of the related Monthly Period and (II) SLS, an amount equal to the sum of all Base Servicing Fees, Incentive Servicing Fees and Distressed Asset Surcharges with respect to such HELOC for such Participation Distribution Date; provided, however, that the Servicing Fee payable to SLS for any Participation Distribution Date shall not exceed an amount equal to 1/12th of the product of 0.50000% and the Unpaid

	Principal Balance of such HELOCs as of the first day of the related Monthly Period.
Servicing Fee Rate	With respect to each HELOC and a Participation Distribution Date, (I) a per annum rate equal to the product of (i) 12 and (ii) the quotient of (A) the related Servicing Fee for such Participation Distribution Date over (B) the Unpaid Principal Balance of such HELOC as of the first day of the related Monthly Period, or (II) if a successor servicer is the servicer, the rate equivalent of the Successor Servicing Fee.
Servicing Transfer Costs	Any reasonable and customary costs of any successor servicer incurred in connection with the transfer of servicing from the immediately preceding Servicer, including without limitation any reasonable costs or expenses associated with the documentation of the assumption of servicing by a successor servicer, the complete transfer of all servicing data and the completion, correction and manipulation of such servicing data as may be reasonably required by the successor servicer to correct any errors or insufficiencies in the servicing data or otherwise to enable the successor servicer to service the HELOCs properly and effectively.
Severely Delinquent Mortgage Loan	Any HELOC with respect to which a Monthly Payment is 120 days or more delinquent, calculated in accordance with the Mortgage Bankers Association's delinquency methodology.
SLS Serviced Mortgage Loans	Any Mortgage Loans related to a HELOC serviced pursuant to the SLS Servicing Agreement.
SLS Servicing Agreement	That certain flow servicing agreement (securitization), dated as of June 30, 2023, among SLS, as servicer, the Participation Agent, JPMMAC, as holder of the JPM PC and each Participation Certificateholder from time to time joined as a party thereto, as such agreement may be further amended or supplemented from time to time as permitted thereunder.
SMMEA	The Secondary Mortgage Market Enhancement Act of 1984, as amended.
SOFR	With respect to any day, the secured overnight financing rate published for such day by the Federal Reserve Bank of New York, as the administrator of the benchmark (or a successor administrator) on the FRBNY's Website.
SOFR Adjustment Conforming Changes	With respect to any SOFR Rate, any technical, administrative or operational changes (including changes to the Accrual Period, timing and frequency of determining rates and making payments of interest, rounding of amounts or tenors, and other administrative matters) that the Depositor decides, from time to time, may be appropriate to adjust such SOFR Rate in a manner substantially consistent with or conforming to market practice (or, if the Depositor decides that adoption of any portion of such market practice is not administratively feasible or if the Depositor determines that no market practice exists, in such other manner as the Depositor determines is reasonably necessary).
SOFR Determination Date	With respect to the first Distribution Date, the pricing date for the Certificates. As to each subsequent Distribution Date prior to the

	occurrence of a Benchmark Transition Event, the second U.S. Government Securities Business Day prior to the immediately preceding Distribution Date.
SOFR Determination Time	3:00 p.m. (New York time) on the U.S. Government Securities Business Day when Compounded SOFR is published on the FRBNY's Website.
SOFR Rate	With respect to each Class of Certificates with a Pass-Through Rate based on SOFR: (1) initially a rate equal to Compounded SOFR for the Corresponding Tenor of 30 days; and (2) subsequently, commencing at a date determined by the Depositor, in its sole discretion, to be operationally, administratively and technically feasible, such Compounded SOFR rate will be changed to a rate equal to Term SOFR for the Corresponding Tenor of such Certificate, and the Depositor will have the right, in its sole discretion, to make applicable SOFR Adjustment Conforming Changes; *provided, however,* that any such change will not adversely affect the tax status of the Offered Certificates as a REMIC regular interest for U.S. federal income tax purposes.
Subordinate Certificates	The Class B-1, Class B-2, Class B-3, Class B-4 and Class X Certificates.
Subordinate Enforcement Holder	On any applicable date of determination, the Holder(s) of at least a majority of the Voting Interests of the class of Subordinate Certificates (in each case, voting as a single class) with the lowest distribution priority outstanding on such date of determination.
Subsequent Recovery	Any amount (i) recovered by a Servicer with respect to a Liquidated Mortgage Loan or a Charged-off Loan (after reimbursement of any unreimbursed Servicing Advances and expenses relating to such Liquidated Mortgage Loan or Charged-off Loan) which incurred a Realized Loss in a month prior to the month of receipt of such amount or (ii) received by a Servicer with respect to a Principal Forbearance Amount that was previously allocated as a Realized Loss. All Subsequent Recoveries shall first be treated as a recovery of interest and then treated as a recovery of principal with respect to the related HELOC.
Successor Servicing Fee	With respect to each Participation Distribution Date and a HELOC serviced by a successor servicer, the servicing fee paid to the then-current servicer with respect to the servicing of the HELOC.
Term SOFR	The forward-looking term rate for the applicable Corresponding Tenor based on SOFR that has been selected or recommended by the Relevant Governmental Body.
Trigger Event	The occurrence and continuation of the Credit Support Depletion Event, a Cumulative Loss Trigger Event or a Delinquency Trigger Event, which continues until such Credit Support Depletion Event, Cumulative Loss Trigger Event or Delinquency Trigger Event is no longer occurring.
Trust Agreement	The amended and restated trust agreement, dated on or about the Closing Date, among the Depositor, the Owner Trustee and the Securities

Administrator, as such agreement may be further amended or supplemented from time to time.

Trust Expenses	Expenses of the Issuing Entity in respect of an Annual Expense Year, including, but not limited to (i) any amounts reimbursable to the Securities Administrator or the Owner Trustee (including fees and expenses of their agents and counsel) pursuant to the terms of this Agreement or the Trust Agreement, as applicable, (ii) indemnification amounts (including Benchmark Replacement Indemnification Amounts), if any, payable by the Issuing Entity pursuant to the Securitization Sale Agreement, or the Trust Agreement, but excluding any(x) Owner Trustee Fees or (y) Securities Administrator Fees. If Trust Expenses are not paid on any Distribution Date, including by operation of the Securities Administrator/Trustee Annual Expense Cap, such unpaid Trust Expenses will carry forward and constitute Trust Expenses on all future Distribution Dates until they are paid in full.
Unpaid Principal Balance	With respect to: (i) any Participation Certificate and any date of determination, the aggregate Unpaid Principal Balance of all Mortgage Loans allocated to such Participation Certificate; (ii) any Mortgage Loan or Draw, as of any date of determination, (a) the principal balance of the Mortgage Loan or Draw as of the Cut-off Date, after giving effect to payments of principal received and any previous servicing modification on the related HELOC allocated to such Mortgage Loan or Draw on or before such date, <u>minus</u> (b) without duplication, all amounts previously distributed to or on behalf of the Participation Agent after such date with respect to the related Mortgage Loan or Draw representing payments or recoveries of principal; and (iii) any HELOC, (a) the principal balance of the HELOC as of the Cut-off Date, after giving effect to payments of principal received and any previous servicing modification on or before such date, <u>minus</u> (b) without duplication, all amounts previously distributed to or on behalf of the Participation Agent after such date with respect to the related HELOC representing payments or recoveries of principal <u>plus</u> (c) any related Additional Draws incurred after the related Cut-off Date. For the avoidance of doubt, the Unpaid Principal Balance of a Draw, Mortgage Loan or a HELOC will not include any portion of the unpaid principal balance of such Draw, Mortgage Loan or HELOC on which interest does not accrue. Notwithstanding any of the foregoing, the Unpaid Principal Balance of any Draw, Mortgage Loan or HELOC that has been prepaid in full during the related Monthly Period or has become a Liquidated Mortgage Loan during the related Monthly Period will be zero.
U.S. Government Securities Business Day	Any day except for a Saturday, a Sunday or a day on which SIFMA recommends that the fixed income departments of its members be closed for the entire day for purposes of trading in U.S. government securities.
Unadjusted Benchmark Replacement	The Benchmark Replacement excluding the applicable Benchmark Replacement Adjustment.

Voting Interests

With respect to:

(A) the Participation Certificates, the portion of the voting rights that is allocated to any Participation Certificate for purposes of the voting provisions of the Master Participation Agreement and the Participation Trust Agreement. At all times during the term of the Master Participation Agreement and the Participation Trust Agreement, 100% of the Voting Interests will be allocated among each of the Participation Certificates with a Participation Interest in the related HELOC, based on its Percentage Interest and no Participation Certificates with a principal amount equal to zero will have any Voting Interests.

(B) the Certificates, the portion of the voting rights of all the Certificates that is allocated to any Certificate for purposes of the voting provisions of the Securitization Sale Agreement and the Trust Agreement. At all times during the term of the Securitization Sale Agreement and the Trust Agreement, 98.00% of all Voting Interests will be allocated to the Class A-1, Class M-1, Class M-2, Class M-3, Class B-1, Class B-2, Class B-3 and Class B-4 Certificates in proportion to their respective Class Principal Amounts. At all times during the term of the Securitization Sale Agreement and the Trust Agreement, 1.00% of all Voting Interests will be allocated to the Class X Certificates and 1.00% of all Voting Interests will be allocated to the Excess Servicing Certificates. Voting Interests will be allocated among the Certificates of each Class based on their Percentage Interests and no Certificates with a principal amount equal to zero will have any Voting Interests. The Class A-R Certificates will not have any Voting Interests. Each class of outstanding Exchangeable Certificates will be allocated a proportionate share of the Voting Interests allocated to the related classes of Depositable Certificates that have been exchanged.

INDEX OF DEFINED TERMS

Annex A:
Certain Characteristics of the HELOCs and the Mortgage Loans

The attached tables set forth certain information, as of the Cut-off Date, as to the Mortgage Loans. Other than with respect to rates of interest, percentages (approximate) are stated by Unpaid Principal Balance of the Mortgage Loans as of the Cut-off Date and, due to rounding, may not total 100.00%.

An updated credit score is generally ordered by a Sponsor if (i) the most recent credit score included in the related mortgage file is as of a date that is 6 months or more prior to the Cut-off Date and/or (ii) the most recent credit score included in the related mortgage file is lower than the minimum credit score threshold established by such Sponsor. If an updated credit score was not ordered with respect to the Borrower of any HELOC in the Mortgage Pool, the original credit score of such Borrower was used in the presentation of "Current Credit Scores" and the calculation of the "Weighted Average Current Credit Score" presented in the tables set forth in this Annex A.

[ATTACHED]

HELOC Lien Position

HELOC Lien Position	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
2nd Lien	2,269	186,391,076.03	100.00	224,377,217.26	88.43	10.714	2.719	82,146.79	366,700.98	703,717.90	745	745	42.05	15.42	66.60	68.63
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

Original Principal Balances[(1)]

Range of Original Principal Balances ($)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Less than or equal to 25,000.00	30	1,121,657.50	0.60	1,482,251.00	86.14	10.825	2.813	37,388.58	291,434.23	551,123.20	736	744	43.41	9.95	63.75	65.82
25,000.01 - 50,000.00	815	33,628,368.79	18.04	42,253,719.00	84.37	10.662	2.676	41,261.80	272,347.69	498,099.16	746	745	41.33	9.96	64.75	66.77
50,000.01 - 75,000.00	581	35,991,757.02	19.31	44,105,321.26	86.02	10.804	2.811	61,947.95	331,296.79	623,827.34	744	745	41.40	12.20	65.86	67.93
75,000.01 - 100,000.00	294	25,640,684.01	13.76	30,506,723.00	89.10	10.766	2.765	87,213.21	385,065.17	719,689.31	744	746	42.44	14.75	67.75	69.84
100,000.01 - 150,000.00	315	37,896,336.47	20.33	44,665,075.00	89.52	10.755	2.760	120,305.83	450,405.79	868,986.88	744	745	42.50	16.96	68.54	70.63
150,000.01 - 200,000.00	110	18,487,685.15	9.92	21,833,355.00	89.64	10.576	2.584	168,069.87	541,738.46	1,079,295.35	749	744	44.06	18.91	67.57	70.03
200,000.01 - 300,000.00	78	16,511,136.03	8.86	20,050,757.00	92.12	10.621	2.625	211,681.23	685,168.15	1,410,291.17	748	747	42.49	20.90	68.91	70.72
300,000.01 - 400,000.00	28	8,726,185.77	4.68	10,913,733.00	88.62	10.410	2.399	311,649.49	819,300.78	1,981,535.71	740	735	40.26	21.41	63.50	66.24
400,000.01 - 500,000.00	18	8,387,265.29	4.50	8,566,283.00	98.20	10.982	2.982	465,959.18	988,496.97	2,348,888.89	748	749	40.88	22.34	61.71	61.99
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) Original Principal Balance denotes the principal amount drawn on the HELOCs related to the Mortgage Loans at origination. As of the Cut-off Date, the average Original Principal Balance of the HELOCs related to the Mortgage Loans is expected to be approximately $86,615.78.

Unpaid Principal Balances as of Cut-Off Date[(1)]

Range of Unpaid Principal Balances as of Cut-Off Date ($)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Less than or equal to 25,000.00	80	1,609,372.55	0.86	5,083,851.00	52.45	10.635	2.619	20,117.16	292,201.18	597,414.56	760	763	41.02	4.92	58.15	64.85
25,000.01 - 50,000.00	833	34,398,226.35	18.45	46,106,280.00	81.97	10.665	2.680	41,294.39	277,745.24	507,884.99	746	746	41.38	9.69	64.46	67.01
50,000.01 - 75,000.00	569	36,181,604.75	19.41	45,037,635.26	85.33	10.822	2.828	63,588.06	336,764.54	632,677.53	744	746	41.50	12.14	66.11	68.43
75,000.01 - 100,000.00	282	25,594,783.65	13.73	29,457,719.00	90.46	10.781	2.781	90,761.64	391,400.62	730,483.55	743	745	42.29	14.86	67.66	69.55
100,000.01 - 150,000.00	289	36,398,566.11	19.53	41,532,319.00	90.54	10.727	2.732	125,946.60	439,329.42	864,327.94	745	744	42.66	17.37	68.44	70.49
150,000.01 - 200,000.00	103	18,286,478.45	9.81	21,088,319.00	89.95	10.539	2.547	177,538.63	555,016.70	1,126,540.95	745	745	43.96	18.73	67.62	69.84
200,000.01 - 300,000.00	71	17,104,207.48	9.18	18,417,651.00	94.74	10.650	2.650	240,904.33	728,466.97	1,431,030.85	749	745	42.02	21.30	69.13	70.29
300,000.01 - 400,000.00	25	8,830,571.40	4.74	9,587,160.00	93.19	10.503	2.492	353,222.86	954,472.43	2,175,880.00	740	737	40.77	21.67	65.13	66.47
400,000.01 - 500,000.00	17	7,987,265.29	4.29	8,066,283.00	99.11	10.956	2.956	469,839.13	917,456.46	2,238,823.53	745	746	41.22	22.98	61.72	61.90
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) As of the Cut-off Date, the average Unpaid Principal Balance of the Mortgage Loans is expected to be approximately $82,146.79.

Senior Unpaid Principal Balances[(1)]

Range of Senior Unpaid Principal Balances ($)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Less than or equal to 25,000.00	2	200,293.02	0.11	300,000.00	66.95	10.320	2.320	100,146.51	9,989.04	483,037.00	734	737	41.87	23.38	25.19	37.28
25,000.01 - 50,000.00	3	317,143.87	0.17	570,000.00	86.20	10.159	2.159	105,714.62	38,061.81	323,061.00	802	778	36.65	47.09	56.66	64.86
50,000.01 - 75,000.00	15	894,831.79	0.48	1,014,525.00	90.45	10.628	2.638	59,655.45	63,013.12	287,306.80	750	751	44.09	28.44	53.64	56.56
75,000.01 - 100,000.00	41	2,807,373.29	1.51	3,248,100.00	89.71	10.731	2.738	68,472.52	88,291.47	334,966.46	733	732	42.94	25.49	53.41	56.36
100,000.01 - 150,000.00	152	8,983,533.74	4.82	10,824,395.00	86.81	10.548	2.557	59,102.20	128,466.50	337,674.84	746	748	41.80	21.99	60.71	63.89
150,000.01 - 200,000.00	266	14,995,101.92	8.04	17,938,972.00	87.75	10.539	2.552	56,372.56	176,872.21	396,473.54	747	746	42.37	17.30	63.32	65.67
200,000.01 - 300,000.00	615	39,101,771.22	20.98	46,704,157.00	88.00	10.761	2.767	63,580.12	250,481.05	499,120.73	746	747	42.15	15.88	65.98	68.12
300,000.01 - 400,000.00	475	35,862,770.20	19.24	44,158,406.00	86.68	10.704	2.707	75,500.57	346,574.18	650,372.87	745	747	41.97	14.82	67.39	69.80
400,000.01 - 500,000.00	283	26,327,547.65	14.12	32,025,660.00	88.94	10.782	2.787	93,030.20	450,007.50	834,140.79	745	743	42.40	15.06	69.45	71.21
500,000.01 - 600,000.00	152	17,137,850.42	9.19	20,704,881.00	89.76	10.588	2.590	112,749.02	545,914.15	1,025,178.72	749	748	40.97	14.80	67.13	68.82
600,000.01 - 700,000.00	101	12,982,571.23	6.97	15,522,897.26	89.29	10.789	2.793	128,540.31	649,229.47	1,172,534.72	749	745	41.96	14.29	68.03	69.69
700,000.01 - 800,000.00	72	8,947,852.53	4.80	10,926,465.00	88.25	10.556	2.558	124,275.73	740,778.51	1,332,849.19	745	747	41.65	12.21	68.38	70.06
800,000.01 - 900,000.00	20	2,321,111.40	1.25	3,124,376.00	85.67	10.285	2.285	116,055.57	840,482.12	1,548,565.80	740	740	42.31	9.75	66.06	68.27
900,000.01 - 1,000,000.00	21	3,436,474.87	1.84	3,944,767.00	93.05	11.317	3.317	163,641.66	954,230.66	1,600,154.57	727	721	40.06	13.17	71.93	72.86
Greater than or equal to 1,000,000.01	51	12,074,848.88	6.48	13,369,616.00	92.42	10.937	2.943	236,761.74	1,490,469.21	2,612,310.20	737	736	43.22	11.30	68.37	69.13
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) As of the Cut-off Date, the average Senior Unpaid Principal Balance of the associated first-lien loans related to the Mortgage Loans is expected to be approximately $366,700.98.

Credit Limits[(1)]

Range of Credit Limits ($)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Less than or equal to 50,000.00	698	27,477,492.30	14.74	32,935,180.00	86.67	10.629	2.646	39,366.03	268,758.95	491,677.24	745	744	41.50	9.62	64.42	65.95
50,000.01 - 100,000.00	927	60,201,368.45	32.30	71,383,883.26	88.13	10.804	2.808	64,942.15	332,923.09	620,785.54	744	745	41.83	12.89	66.61	68.34
100,000.01 - 150,000.00	325	36,006,514.56	19.32	41,497,464.00	90.57	10.803	2.809	110,789.28	430,563.08	806,375.73	745	745	42.63	16.81	69.72	71.50
150,000.01 - 200,000.00	145	20,794,282.46	11.16	26,469,516.00	85.97	10.544	2.549	143,408.84	482,646.66	966,076.38	746	744	43.36	17.82	67.76	70.99
200,000.01 - 300,000.00	117	22,506,857.44	12.08	28,538,658.00	88.40	10.660	2.661	192,366.30	666,245.08	1,352,340.43	748	747	42.27	19.92	67.50	70.08
300,000.01 - 400,000.00	30	8,306,360.91	4.46	10,767,233.00	89.29	10.320	2.305	276,878.70	753,203.19	1,795,866.67	746	739	41.48	21.99	65.05	67.86
400,000.01 - 500,000.00	27	11,098,199.91	5.95	12,785,283.00	91.44	10.873	2.873	411,044.44	939,538.45	2,363,851.85	743	746	40.23	20.51	58.91	60.70
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) As of the Cut-off Date, the average Credit Limit of the HELOCs associated with the Mortgage Loans is expected to be approximately $98,888.15.

Total Available Draw Amount[(1)]

Range of Total Available Draw Amount ($)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Less than or equal to 50,000.00	2,110	169,687,425.69	91.04	190,650,896.26	91.19	10.732	2.739	80,420.58	354,319.75	667,993.82	744	744	42.13	15.71	67.63	69.01
50,000.01 - 100,000.00	100	11,490,129.04	6.16	18,394,188.00	67.41	10.589	2.584	114,901.29	553,400.02	1,155,196.73	748	752	41.22	13.28	58.49	64.90
100,000.01 - 150,000.00	30	3,229,865.26	1.73	6,890,722.00	54.30	10.380	2.377	107,662.18	460,764.92	1,080,046.87	760	753	43.66	12.68	53.57	64.32
150,000.01 - 200,000.00	14	619,941.57	0.33	3,152,911.00	23.50	11.011	2.954	44,281.54	532,044.51	1,082,920.29	755	768	35.63	6.14	55.75	75.10
200,000.01 - 300,000.00	11	908,190.76	0.49	3,514,000.00	33.08	10.101	2.073	82,562.80	509,919.13	1,519,636.36	773	767	43.71	8.90	45.41	63.69
300,000.01 - 400,000.00	4	455,523.71	0.24	1,774,500.00	30.55	10.309	2.309	113,880.93	552,294.05	1,867,750.00	753	750	26.28	7.14	35.39	51.77
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

[(1)] As of the Cut-off Date, the average Total Available Draw Amount on the HELOCs associated with the Mortgage Loans is expected to be approximately $16,741.36.

Current Mortgage Rates[(1)]

Range of Current Mortgage Rates (%)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
8.001 - 8.250	10	746,076.39	0.40	885,000.00	85.58	8.250	0.489	74,607.64	325,647.52	835,479.20	810	810	38.10	11.02	48.49	50.57
8.251 - 8.500	47	2,771,268.75	1.49	3,567,000.00	81.86	8.487	0.541	58,963.16	341,743.65	755,335.06	800	800	37.76	10.44	54.18	56.28
8.501 - 8.750	44	2,791,096.31	1.50	3,490,400.00	83.07	8.685	0.727	63,434.01	297,992.87	639,333.00	774	774	41.01	13.08	58.41	61.00
8.751 - 9.000	45	3,719,224.83	2.00	5,132,900.00	80.78	8.979	0.992	82,649.44	328,775.44	753,088.20	769	758	41.98	15.55	60.93	64.55
9.001 - 9.250	43	2,488,770.33	1.34	2,968,100.00	87.02	9.163	1.225	57,878.38	307,206.01	646,440.95	756	758	39.17	11.36	60.03	62.06
9.251 - 9.500	134	9,768,752.20	5.24	12,868,071.00	82.25	9.463	1.493	72,901.14	345,419.00	744,634.22	773	769	40.40	13.12	58.91	61.70
9.501 - 9.750	151	14,709,076.15	7.89	16,923,120.00	90.08	9.701	1.708	97,411.10	351,391.70	734,659.30	753	750	42.39	17.22	63.57	65.32
9.751 - 10.000	253	19,707,110.67	10.57	25,879,646.00	85.06	9.946	1.955	77,893.72	358,134.00	740,669.03	762	756	41.65	14.26	62.50	65.13
10.001 - 10.250	187	17,455,352.05	9.36	21,016,092.26	90.03	10.180	2.172	93,344.13	398,059.62	748,642.67	747	747	40.75	16.02	67.01	69.15
10.251 - 10.500	193	18,811,078.25	10.09	21,772,756.00	90.53	10.441	2.444	97,466.73	406,181.96	799,448.98	737	740	42.95	16.20	66.13	67.79
10.501 - 10.750	163	14,191,158.72	7.61	16,503,546.00	90.25	10.691	2.693	87,062.32	381,090.48	716,576.20	736	734	43.50	16.25	67.16	68.91
10.751 - 11.000	194	17,100,058.45	9.17	19,804,744.00	89.75	10.931	2.922	88,144.63	374,353.82	739,771.98	737	740	40.82	16.07	65.43	67.08
11.001 - 11.250	139	9,939,072.40	5.33	12,895,383.00	84.12	11.194	3.194	71,504.12	343,703.28	655,696.01	741	744	43.31	15.01	65.68	68.53
11.251 - 11.500	119	10,084,323.59	5.41	11,425,083.00	90.89	11.440	3.440	84,742.22	355,107.67	667,875.73	733	734	42.73	16.55	67.49	68.91
11.501 - 11.750	114	8,964,387.61	4.81	10,343,449.00	91.23	11.692	3.690	78,634.98	354,174.40	652,781.80	731	736	42.91	16.02	71.11	72.42
11.751 - 12.000	125	8,691,313.71	4.66	10,097,375.00	90.19	11.950	3.947	69,530.51	342,790.26	593,500.31	727	734	43.34	14.32	70.58	72.23
Greater than or equal to 12.001	308	24,452,955.62	13.12	28,804,552.00	89.69	12.585	4.584	79,392.71	392,290.84	620,548.23	732	732	42.55	15.50	76.69	78.77
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

[(1)] As of the Cut-off Date, the weighted average current Mortgage Rate of the HELOCs related to the Mortgage Loans (weighted based on the Unpaid Principal Balance of the Mortgage Loans) is expected to be approximately 10.714%.

Original Term to Maturity

Original Term to Maturity (Months)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
240	256	25,966,211.23	13.93	30,587,428.00	91.10	10.649	2.649	101,430.51	426,553.49	759,754.71	745	745	42.08	17.05	71.59	73.44
360	2,013	160,424,864.80	86.07	193,789,789.26	87.99	10.725	2.731	79,694.42	359,089.34	696,591.51	745	745	42.05	15.16	65.79	67.85
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

Original HELOC Draw Term

Original HELOC Draw Term (Months)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
120	2,269	186,391,076.03	100.00	224,377,217.26	88.43	10.714	2.719	82,146.79	366,700.98	703,717.90	745	745	42.05	15.42	66.60	68.63
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

Remaining Term to Maturity[(1)]

Range of Remaining Term to Maturity (Months)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
229 - 240	256	25,966,211.23	13.93	30,587,428.00	91.10	10.649	2.649	101,430.51	426,553.49	759,754.71	745	745	42.08	17.05	71.59	73.44
349 - 360	2,013	160,424,864.80	86.07	193,789,789.26	87.99	10.725	2.731	79,694.42	359,089.34	696,591.51	745	745	42.05	15.16	65.79	67.85
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

[(1)] As of the Cut-off Date, the weighted average remaining term to maturity of the HELOCs related to the Mortgage Loans (weighted based on the Unpaid Principal Balance of the Mortgage Loans) is expected to be approximately 341 months.

Remaining HELOC Draw Term[(1)]

Range of Remaining HELOC Draw Term (Months)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
109 - 120	2,269	186,391,076.03	100.00	224,377,217.26	88.43	10.714	2.719	82,146.79	366,700.98	703,717.90	745	745	42.05	15.42	66.60	68.63
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

[(1)] As of the Cut-off Date, the weighted average Remaining HELOC Draw Term of the HELOCs related to the Mortgage Loans (weighted based on the Unpaid Principal Balance of the Mortgage Loans) is expected to be approximately 117 months.

Ages[(1)]

Range of Ages (Months)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Less than or equal to 0	195	12,163,223.17	6.53	14,795,972.00	85.75	9.401	1.538	62,375.50	315,548.12	644,029.82	749	749	41.49	12.48	61.59	63.66
1 - 6	2,022	169,273,317.69	90.82	203,057,172.26	88.70	10.822	2.819	83,715.79	370,099.15	706,046.27	745	745	42.12	15.66	66.94	68.95
7 - 12	52	4,954,535.17	2.66	6,524,073.00	85.51	10.245	2.219	95,279.52	426,387.67	837,010.44	735	735	41.08	14.72	67.16	69.93
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

[(1)] Based on the number of months between the first payment Due Date and the Cut-off Date. As of the Cut-off Date, the weighted average age of the HELOCs related to the Mortgage Loans (weighted based on the Unpaid Principal Balance of the Mortgage Loans) is expected to be approximately 3 months.

Origination Date(1)

Origination Date	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
2023-04	209	13,006,051.64	6.98	15,840,972.00	85.53	9.395	1.524	62,229.91	315,567.91	646,870.88	749	749	41.09	12.41	61.33	63.44
2023-03	540	41,079,381.48	22.04	48,425,759.00	88.56	10.516	2.516	76,072.93	335,517.22	638,978.55	745	745	42.26	15.86	66.71	68.70
2023-02	476	36,912,299.87	19.80	44,233,758.00	87.51	10.938	2.938	77,546.85	355,372.10	664,141.60	747	747	42.26	14.83	67.86	69.96
2023-01	427	37,916,972.11	20.34	45,912,509.00	89.23	10.909	2.903	88,798.53	387,385.92	759,612.67	748	747	42.04	15.68	65.44	67.36
2022-12	350	31,901,486.24	17.12	38,074,177.00	89.69	11.054	3.054	91,147.10	399,736.89	762,443.68	738	741	42.38	15.71	67.18	69.00
2022-11	127	11,928,530.69	6.40	14,036,313.00	89.73	11.049	3.047	93,925.44	417,104.78	782,353.47	745	740	42.15	16.27	68.17	70.20
2022-10	90	8,961,818.11	4.81	11,614,556.26	87.98	10.465	2.430	99,575.76	406,125.85	787,527.51	746	743	41.23	16.96	67.54	70.23
2022-09	42	3,938,766.55	2.11	4,877,072.00	87.85	10.231	2.195	93,780.16	411,385.84	718,639.93	740	746	39.71	16.04	71.01	73.39
2022-08	4	424,174.97	0.23	643,001.00	70.61	9.569	1.569	106,043.74	433,615.21	889,736.75	733	746	44.51	12.54	61.40	67.03
2022-07	1	136,586.93	0.07	250,000.00	54.63	9.000	1.000	136,586.93	612,975.47	1,200,000.00	743	623	39.66	11.38	62.46	71.91
2022-06	3	185,007.44	0.10	469,100.00	78.50	9.000	1.000	61,669.15	427,814.65	1,324,000.00	777	752	44.20	13.45	67.92	70.51
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) "Origination Date" refers to the date of the related mortgage note.

Original Credit Score(1)(2)

Range of Original Credit Score	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Less than or equal to 680	19	1,720,546.67	0.92	2,074,400.00	84.28	11.017	3.017	90,555.09	355,853.60	837,151.05	680	689	35.14	13.88	56.54	58.97
681 - 700	256	22,218,318.05	11.92	25,329,356.00	90.63	11.199	3.211	86,790.30	356,806.35	722,097.47	690	696	43.18	14.76	62.35	63.95
701 - 720	386	31,827,847.38	17.08	36,356,762.00	91.04	10.954	2.960	82,455.56	358,702.79	699,290.66	710	715	42.69	14.74	65.70	67.27
721 - 740	404	34,291,992.47	18.40	39,764,836.00	90.00	10.899	2.901	84,881.17	368,325.65	693,089.39	730	732	43.65	15.79	68.46	70.32
741 - 760	398	31,309,089.87	16.80	38,294,872.00	86.94	10.807	2.812	78,666.05	375,529.03	678,986.41	751	749	42.32	15.33	69.75	72.13
761 - 780	338	27,745,161.46	14.89	33,878,201.00	87.96	10.529	2.532	82,086.28	375,401.10	693,694.97	770	766	41.33	15.77	68.76	70.83
781 - 800	261	21,612,057.37	11.60	28,099,772.26	87.04	10.275	2.284	82,804.82	386,324.19	745,916.57	789	782	41.09	16.05	66.72	68.99
801 - 820	137	10,822,727.30	5.81	14,120,357.00	82.97	9.952	1.953	78,998.01	340,068.40	711,911.04	809	802	38.64	16.22	62.42	65.37
821 - 840	56	3,931,188.77	2.11	5,009,950.00	83.60	9.525	1.521	70,199.80	318,688.83	673,435.29	830	826	37.63	16.12	59.53	61.94
Greater than or equal to 841	14	912,146.69	0.49	1,448,711.00	75.83	10.036	2.036	65,153.33	361,811.22	814,634.43	845	835	39.96	9.93	52.83	56.42
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) As of the Cut-off Date, the weighted average Original Credit Score of the HELOCs related to the Mortgage Loans (weighted based on the Unpaid Principal Balance of the Mortgage Loans) is expected to be approximately 745. See "*Description of the Mortgage Pool—General*" herein.
(2) Original Credit Scores shown in this Memorandum are based solely on one score obtained from Experian, TransUnion, or Equifax.

Current Credit Score[(1)(2)]

Range of Current Credit Score	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Less than or equal to 680	54	6,053,270.72	3.25	6,800,988.00	92.86	10.810	2.802	112,097.61	436,515.55	814,880.74	708	662	42.60	16.64	68.34	69.69
681 - 700	232	19,810,812.94	10.63	22,570,033.00	90.60	11.127	3.141	85,391.44	359,926.82	734,623.27	699	691	42.61	14.46	62.01	63.59
701 - 720	336	26,925,717.93	14.45	30,768,722.00	90.23	10.972	2.980	80,136.07	351,601.43	676,250.80	712	710	42.83	14.70	66.36	68.01
721 - 740	411	33,956,070.38	18.22	40,282,258.00	89.31	10.867	2.867	82,618.18	370,609.88	699,921.38	732	730	43.41	15.20	67.76	69.83
741 - 760	403	31,419,267.40	16.86	38,170,433.00	87.35	10.837	2.844	77,963.44	374,342.54	676,866.09	747	751	42.51	15.43	69.63	71.85
761 - 780	354	30,908,969.34	16.58	37,746,598.26	88.00	10.526	2.531	87,313.47	381,146.81	738,131.29	764	770	41.49	16.30	66.49	68.57
781 - 800	293	23,609,313.76	12.67	29,654,424.00	88.21	10.421	2.424	80,577.86	363,551.66	691,111.41	783	790	40.62	16.53	68.25	70.28
801 - 820	128	9,541,410.43	5.12	12,957,950.00	80.54	9.990	1.999	74,542.27	337,817.75	698,903.48	804	808	39.11	13.84	61.63	65.12
821 - 840	47	3,433,247.13	1.84	4,219,100.00	85.13	9.385	1.382	73,047.81	317,933.22	690,226.32	831	831	37.78	16.68	58.48	60.50
Greater than or equal to 841	11	732,996.00	0.39	1,206,711.00	75.17	9.975	1.975	66,636.00	365,521.84	812,760.91	844	844	38.93	10.32	54.10	58.03
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) As of the Cut-off Date, the weighted average Current Credit Score of the HELOCs related to the Mortgage Loans (weighted based on the Unpaid Principal Balance of the Mortgage Loans) is expected to be approximately 745. See "*Description of the Mortgage Pool—General*" herein.
(2) Current Credit Scores shown in this Memorandum are based solely on one score obtained from Experian, TransUnion, or Equifax.

Credit Line Utilization at Origination[(1)(2)]

Range of Credit Line Utilization at Origination (%)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
5.01 - 10.00	2	99,491.37	0.05	254,250.00	41.02	10.478	2.478	49,745.69	338,688.50	613,500.00	725	737	40.60	8.14	62.47	75.36
10.01 - 15.00	5	488,004.92	0.26	1,188,000.00	76.14	10.791	2.776	97,600.98	443,341.89	1,018,400.00	728	754	39.01	17.71	65.30	70.87
15.01 - 20.00	2	103,835.11	0.06	250,001.00	49.91	10.360	2.360	51,917.56	360,946.30	735,000.00	731	772	40.27	9.90	53.55	62.74
20.01 - 25.00	7	570,574.58	0.31	1,368,000.00	65.11	10.209	2.209	81,510.65	520,974.82	1,081,251.29	766	740	36.68	10.64	58.59	65.89
25.01 - 30.00	2	105,000.00	0.06	256,500.00	53.92	11.464	3.333	52,500.00	262,005.09	564,818.00	726	718	38.91	9.41	54.31	69.18
30.01 - 35.00	4	425,900.06	0.23	946,000.00	52.80	11.299	3.115	106,475.02	981,327.01	1,823,250.00	751	737	40.93	7.45	62.74	71.71
35.01 - 40.00	4	707,343.67	0.38	1,235,000.00	67.06	11.087	3.004	176,835.92	810,946.68	1,785,219.00	723	746	40.28	10.65	57.71	65.31
40.01 - 45.00	3	318,544.85	0.17	501,000.00	74.89	9.779	1.763	106,181.62	446,343.00	915,546.00	775	785	32.95	16.17	69.96	74.18
45.01 - 50.00	15	1,163,197.50	0.62	2,000,450.00	62.36	10.300	2.290	77,546.50	439,756.73	850,032.07	766	767	40.18	12.61	63.27	70.39
50.01 - 55.00	7	505,567.70	0.27	920,750.00	60.14	10.213	2.208	72,223.96	360,090.36	690,272.86	741	746	39.89	11.89	63.18	71.77
55.01 - 60.00	5	442,053.38	0.24	685,000.00	72.69	10.418	2.389	88,410.68	418,558.73	830,038.80	751	757	42.55	13.12	64.26	68.94
60.01 - 65.00	4	256,899.67	0.14	413,000.00	62.22	10.314	2.265	64,224.92	255,407.04	631,168.25	752	734	35.25	15.76	54.72	64.25
65.01 - 70.00	11	855,416.36	0.46	1,350,000.00	66.78	9.875	1.837	77,765.12	282,030.99	692,496.45	764	764	36.50	16.07	47.98	55.52
70.01 - 75.00	752	47,575,718.17	25.52	66,048,344.00	75.15	10.609	2.621	63,265.58	333,311.96	664,724.58	748	746	41.24	12.15	61.43	65.52
75.01 - 80.00	129	8,945,236.46	4.80	12,165,335.00	76.44	10.621	2.633	69,342.92	325,904.29	650,195.10	748	749	41.57	12.93	62.61	66.71
80.01 - 85.00	60	4,013,212.93	2.15	5,090,000.00	83.81	10.536	2.565	66,886.88	324,198.89	629,665.03	745	745	43.36	13.45	64.93	67.80
85.01 - 90.00	45	4,201,588.30	2.25	4,778,201.00	88.29	10.553	2.573	93,368.63	376,214.29	736,602.04	743	745	40.74	15.40	66.58	68.61
90.01 - 95.00	39	4,017,464.05	2.16	4,336,941.00	92.81	10.961	2.967	103,011.90	384,309.28	697,655.23	738	737	42.35	19.09	71.51	73.05
95.01 - 100.00	1,173	111,596,026.95	59.87	120,590,445.26	96.34	10.785	2.788	95,137.28	389,048.56	724,049.19	744	744	42.60	17.10	69.37	70.05
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) As of the Cut-off Date, the weighted average Credit Line Utilization of the HELOCs related to the Mortgage Loans at origination (weighted based on the Unpaid Principal Balance of the Mortgage Loans) is expected to be approximately 89.88%.
(2) The Credit Line Utilization at Origination is equal to a fraction, expressed as a percentage, (i) the numerator of which is the Original Principal Balance of the HELOC and (ii) the denominator of which is the Credit Limit of such HELOC.

Current Credit Line Utilization[(1)(2)]

Range of Current Credit Line Utilization (%)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
5.01 - 10.00	6	107,741.78	0.06	1,319,800.00	8.44	10.137	2.107	17,956.96	439,553.70	1,481,687.50	784	782	43.57	1.94	36.33	56.62
10.01 - 15.00	10	271,034.79	0.15	2,093,250.00	13.21	10.285	2.237	27,103.48	400,480.71	881,153.50	768	766	36.56	3.58	45.45	69.79
15.01 - 20.00	10	255,227.49	0.14	1,482,112.00	17.37	10.562	2.562	25,522.75	386,088.82	800,261.60	792	791	41.28	3.64	51.61	68.89
20.01 - 25.00	12	393,397.16	0.21	1,786,600.00	22.09	10.866	2.866	32,783.10	514,325.16	994,886.17	745	739	36.18	4.57	54.99	71.09
25.01 - 30.00	10	351,691.21	0.19	1,270,200.00	27.75	11.162	3.125	35,169.12	376,806.42	722,273.90	773	763	39.49	5.77	56.77	71.86
30.01 - 35.00	22	1,034,342.97	0.55	3,133,550.00	33.09	10.807	2.778	47,015.59	411,965.35	850,685.86	759	761	40.97	7.26	51.78	66.56
35.01 - 40.00	27	1,184,739.26	0.64	3,161,850.00	37.53	10.470	2.456	43,879.23	340,859.52	689,370.89	753	757	34.96	7.34	55.06	67.46
40.01 - 45.00	26	1,508,761.99	0.81	3,549,799.00	42.55	10.277	2.272	58,029.31	388,265.91	805,221.77	776	774	40.11	8.29	55.99	67.24
45.01 - 50.00	36	1,751,215.06	0.94	3,646,300.00	48.07	10.365	2.352	48,644.86	321,618.62	636,586.83	777	774	39.95	8.73	58.40	67.85
50.01 - 55.00	27	1,234,745.56	0.66	2,334,800.00	52.93	10.690	2.684	45,731.32	301,462.62	560,220.96	748	736	40.95	10.02	62.54	71.39
55.01 - 60.00	34	2,011,881.58	1.08	3,453,950.00	58.28	10.435	2.435	59,172.99	386,789.78	717,353.82	770	771	42.60	10.43	62.78	70.30
60.01 - 65.00	21	1,552,911.91	0.83	2,497,260.00	62.21	11.039	3.031	73,948.19	352,103.43	812,720.67	742	738	41.50	12.06	57.67	64.99
65.01 - 70.00	32	2,130,098.97	1.14	3,174,000.00	67.15	10.161	2.153	66,565.59	323,856.70	691,164.78	755	757	38.23	12.13	56.21	62.21
70.01 - 75.00	591	37,969,854.07	20.37	50,891,683.00	74.62	10.545	2.557	64,246.79	329,470.48	656,917.66	747	747	41.46	12.20	61.66	65.81
75.01 - 80.00	130	10,125,575.91	5.43	13,045,300.00	77.66	10.632	2.639	77,889.05	400,389.88	761,833.72	747	748	41.85	12.31	63.37	66.94
80.01 - 85.00	83	6,265,921.81	3.36	7,564,017.00	82.86	10.784	2.802	75,493.03	341,251.88	665,057.29	737	740	42.85	14.18	64.85	67.82
85.01 - 90.00	60	5,939,279.52	3.19	6,774,663.00	87.70	10.651	2.665	98,987.99	422,290.68	804,536.53	740	741	39.63	15.17	66.66	68.76
90.01 - 95.00	67	6,616,330.45	3.55	7,135,258.00	92.75	10.821	2.823	98,751.20	370,858.14	676,165.66	747	751	39.75	18.31	71.44	72.88
95.01 - 100.00	1,065	105,686,324.54	56.70	106,062,825.26	99.65	10.801	2.805	99,235.99	382,476.44	709,800.10	743	742	42.80	17.59	69.69	69.75
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) As of the Cut-off Date, the weighted average Current Credit Line Utilization of the HELOCs related to the Mortgage Loans (weighted based on the Unpaid Principal Balance of the Mortgage Loans) is expected to be approximately 88.43%.
(2) The Current Credit Line Utilization is equal to a fraction, expressed as a percentage, (i) the numerator of which is the Total Unpaid Principal Balance of the HELOC and (ii) the denominator of which is the Credit Limit of such HELOC.

Drawn Loan-To-Value Ratios[(1)(2)]

Range of Drawn Loan-To-Value Ratios (%)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Less than or equal to 5.00	156	6,062,312.98	3.25	13,527,801.00	67.28	10.274	2.285	38,860.98	522,933.16	1,075,552.69	759	757	40.38	3.96	53.41	57.29
5.01 - 10.00	777	45,314,267.83	24.31	59,885,049.26	81.45	10.594	2.602	58,319.52	415,973.17	778,980.62	746	746	41.53	7.77	61.35	63.75
10.01 - 15.00	693	53,585,936.62	28.75	63,267,986.00	87.99	10.788	2.792	77,324.58	340,803.04	627,310.58	744	742	42.05	12.50	66.91	69.12
15.01 - 20.00	358	38,435,430.57	20.62	42,239,792.00	92.56	10.744	2.754	107,361.54	324,510.45	624,459.99	739	741	42.47	17.31	69.05	70.77
20.01 - 25.00	153	20,666,026.97	11.09	22,031,636.00	95.05	10.887	2.889	135,072.07	292,344.23	600,235.68	742	743	43.47	22.58	71.21	72.67
25.01 - 30.00	79	11,627,751.67	6.24	12,295,046.00	95.54	10.637	2.635	147,186.73	235,892.77	543,533.43	751	750	41.00	27.15	70.60	72.14
30.01 - 35.00	31	6,456,334.29	3.46	6,743,572.00	96.46	10.880	2.884	208,268.85	267,615.39	642,717.32	753	748	41.85	32.48	74.12	75.57
35.01 - 40.00	16	2,872,515.10	1.54	3,013,835.00	95.92	10.426	2.395	179,532.19	154,007.19	487,029.25	772	770	40.97	36.91	68.55	70.36
40.01 - 45.00	3	665,000.00	0.36	665,000.00	100.00	11.026	3.026	221,666.67	173,103.04	535,858.67	759	759	46.58	41.39	73.73	73.73
50.01 - 55.00	1	218,500.00	0.12	218,500.00	100.00	10.500	2.500	218,500.00	138,156.51	420,000.00	753	753	47.74	52.02	84.92	84.92
55.01 - 60.00	2	487,000.00	0.26	489,000.00	99.59	10.547	2.547	243,500.00	61,352.00	439,686.00	793	778	43.02	55.38	69.30	69.52
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) As of the Cut-off Date, the weighted average Drawn Loan-to-Value Ratio of the HELOCs related to the Mortgage Loans (weighted based on the Unpaid Principal Balance of the Mortgage Loans) is expected to be approximately 15.42%.
(2) The Drawn Loan-to-Value Ratio is equal to a fraction, expressed as a percentage, (i) the numerator of which is the Total Unpaid Principal Balance of the HELOC and (ii) the denominator of which is the related property value of the Mortgaged Property at origination (which is generally the lesser of the sales price, if applicable, and the appraisal value used at the time of origination). Neither the Participation Depositor nor any Originator makes any representation as to the actual value of any Mortgaged Property at any time. The Drawn Loan-to-Value Ratios disclosed in this Memorandum that are based on an appraisal are based solely on the appraised values provided by the related appraiser. Appraisals and other valuation products are opinions of the related preparers and may not accurately reflect the value or condition of the Mortgaged Property, particularly during periods of volatility in the applicable real estate market (whether local, regional or national). In addition, property values may have declined since the time the valuation products were obtained. Accordingly, the Loan-to-Value Ratios that are disclosed in this Memorandum may be lower, in some cases significantly lower, than the applicable Loan-to-Value Ratios that would be determined if current appraised values of the Mortgaged Properties were used to determine those ratios. Prospective investors should consider that if a valuation overestimates the prices at which Mortgaged Properties are actually sold, the proceeds of the Mortgage Loans may be significantly less than anticipated by investors.

Drawn Combined Loan-To-Value Ratios[(1)(2)]

Range of Drawn Combined Loan-To-Value Ratios (%)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
10.01 - 15.00	2	74,088.05	0.04	100,000.00	74.09	10.066	2.066	37,044.03	38,268.68	567,821.50	789	789	48.33	7.75	13.43	16.11
15.01 - 20.00	5	327,033.37	0.18	621,000.00	74.85	10.583	2.583	65,406.67	119,763.86	1,016,427.00	746	747	46.13	7.44	18.50	26.07
20.01 - 25.00	11	508,468.97	0.27	1,119,000.00	81.36	9.719	1.755	46,224.45	236,223.27	1,223,356.45	753	748	42.87	5.99	23.89	25.99
25.01 - 30.00	19	1,499,713.97	0.80	2,855,499.00	66.58	10.129	2.137	78,932.31	244,730.09	1,146,282.05	750	752	40.64	9.09	28.07	34.23
30.01 - 35.00	25	2,287,200.86	1.23	3,124,000.00	81.56	10.450	2.445	91,488.03	264,229.21	1,078,054.40	747	749	40.14	9.77	33.05	35.72
35.01 - 40.00	45	4,756,514.96	2.55	5,955,200.00	87.18	10.108	2.126	105,700.33	374,445.16	1,277,400.33	747	743	40.02	11.50	37.51	39.31
40.01 - 45.00	75	5,042,478.51	2.71	7,549,025.00	76.79	10.090	2.079	67,233.05	277,907.50	812,444.92	750	748	41.09	11.38	42.56	46.76
45.01 - 50.00	102	6,998,841.81	3.75	9,517,300.00	81.02	10.277	2.290	68,616.10	309,772.84	791,162.24	742	747	42.73	11.50	48.00	51.31
50.01 - 55.00	155	12,861,990.41	6.90	16,862,266.00	83.89	10.240	2.249	82,980.58	363,019.54	850,322.12	754	753	41.39	13.42	52.55	55.11
55.01 - 60.00	230	17,309,611.18	9.29	22,206,365.00	84.77	10.287	2.294	75,259.18	341,771.53	726,622.39	741	745	41.45	13.51	57.55	60.06
60.01 - 65.00	285	21,745,505.36	11.67	27,843,335.00	84.87	10.504	2.515	76,300.02	338,687.98	663,252.77	744	742	42.56	14.91	62.63	65.54
65.01 - 70.00	342	28,273,030.34	15.17	33,615,084.00	87.41	10.577	2.583	82,669.68	374,356.30	676,799.67	743	745	41.69	15.77	67.57	69.95
70.01 - 75.00	404	33,640,584.18	18.05	38,053,226.00	91.07	10.866	2.871	83,268.77	370,492.66	623,636.07	736	736	42.50	16.48	72.77	74.35
75.01 - 80.00	326	27,890,430.90	14.96	30,546,775.26	93.34	11.028	3.026	85,553.47	399,183.63	622,635.20	745	743	42.08	17.53	77.98	79.08
80.01 - 85.00	161	14,138,051.58	7.59	15,136,050.00	94.86	11.353	3.360	87,813.98	387,911.42	573,227.58	756	754	42.59	18.87	83.20	84.10
85.01 - 90.00	82	9,037,531.58	4.85	9,273,092.00	97.81	11.841	3.841	110,213.80	567,404.18	763,198.57	765	758	43.01	17.01	88.90	89.26
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) As of the Cut-off Date, the weighted average Drawn Combined Loan-to-Value ratio of the HELOCs related to the Mortgage Loans (weighted based on the Unpaid Principal Balance of the Mortgage Loans) is expected to be approximately 66.60%.

(2) The Drawn Combined Loan-to-Value Ratio is equal to a fraction, expressed as a percentage, (i) the numerator of which is the sum of the principal balance of the Senior Unpaid Principal Balance, known subordinate financing and Total Unpaid Principal Balance of the HELOC and (ii) the denominator of which is the related property value of the Mortgaged Property at origination (which is generally the lesser of the sales price, if applicable, and the appraisal value used at the time of origination). Neither the Participation Depositor nor any Originator makes any representation as to the actual value of any Mortgaged Property at any time. The Drawn Combined Loan-to-Value Ratios disclosed in this Memorandum that are based on an appraisal are based solely on the appraised values provided by the related appraiser. Appraisals and other valuation products are opinions of the related preparers and may not accurately reflect the value or condition of the Mortgaged Property, particularly during periods of volatility in the applicable real estate market (whether local, regional or national). In addition, property values may have declined since the time the valuation products were obtained. Accordingly, the Combined Loan-to-Value Ratios that are disclosed in this Memorandum may be lower, in some cases significantly lower, than the applicable Combined Loan-to-Value Ratios that would be determined if current appraised values of the Mortgaged Properties were used to determine those ratios. Prospective investors should consider that if a valuation overestimates the prices at which Mortgaged Properties are actually sold, the proceeds of the Mortgage Loans may be significantly less than anticipated by investors.

Maximum Loan-To-Value Ratios[(1)(2)]

Range of Maximum Loan-To-Value Ratios (%)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Less than or equal to 5.00	45	2,263,266.64	1.21	2,598,600.00	91.77	10.249	2.270	50,294.81	692,866.58	1,391,359.69	751	747	40.70	3.95	54.21	54.55
5.01 - 10.00	535	30,809,276.87	16.53	36,551,623.26	88.35	10.628	2.640	57,587.43	467,338.80	873,067.67	743	743	42.03	7.08	61.64	62.58
10.01 - 15.00	735	51,463,651.15	27.61	61,148,010.00	88.26	10.732	2.733	70,018.57	362,711.46	668,043.41	744	743	41.91	11.15	65.98	67.45
15.01 - 20.00	498	44,396,134.30	23.82	52,326,510.00	88.98	10.774	2.786	89,148.86	318,773.08	606,420.79	742	743	42.17	15.48	68.09	70.03
20.01 - 25.00	235	26,219,269.57	14.07	32,796,873.00	87.96	10.744	2.748	111,571.36	303,668.49	624,611.27	743	744	42.63	19.80	68.94	71.62
25.01 - 30.00	129	16,356,230.13	8.78	20,554,287.00	87.88	10.673	2.669	126,792.48	267,274.49	588,398.66	752	750	41.39	23.86	69.23	72.51
30.01 - 35.00	47	8,270,229.93	4.44	9,637,450.00	90.53	10.683	2.686	175,962.34	265,979.18	635,626.06	754	751	42.39	29.41	71.23	74.25
35.01 - 40.00	25	3,700,746.59	1.99	4,646,564.00	88.07	10.604	2.584	148,029.86	181,243.06	497,593.20	765	759	40.61	32.98	67.86	72.33
40.01 - 45.00	12	1,726,741.56	0.93	2,573,800.00	78.86	10.917	2.903	143,895.13	162,395.05	510,690.83	750	755	41.98	32.99	63.56	72.45
45.01 - 50.00	4	451,665.69	0.24	590,000.00	76.65	11.681	3.681	112,916.42	95,248.17	316,270.00	740	740	45.82	35.77	65.68	76.60
50.01 - 55.00	1	218,500.00	0.12	218,500.00	100.00	10.500	2.500	218,500.00	138,156.51	420,000.00	753	753	47.74	52.02	84.92	84.92
55.01 - 60.00	2	487,000.00	0.26	489,000.00	99.59	10.547	2.547	243,500.00	61,352.00	439,686.00	793	778	43.02	55.38	69.30	69.52
70.01 - 75.00	1	28,363.60	0.02	246,000.00	11.53	11.125	3.125	28,363.60	34,155.43	330,000.00	736	736	47.97	8.60	18.95	84.90
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) As of the Cut-off Date, the weighted average Maximum Loan-to-Value Ratio of the HELOCs related to the Mortgage Loans (weighted based on the Unpaid Principal Balance of the Mortgage Loans) is expected to be approximately 17.46%.

(2) The Maximum Loan-to-Value Ratio is equal to a fraction, expressed as a percentage, (i) the numerator of which is the Credit Limit and (ii) the denominator of which is the related property value of the Mortgaged Property at origination (which is generally the lesser of the sales price, if applicable, and the appraisal value used at the time of origination). Neither the Participation Depositor nor any Originator makes any representation as to the actual value of any Mortgaged Property at any time. The Maximum Loan-to-Value Ratios disclosed in this Memorandum that are based on an appraisal are based solely on the appraised values provided by the related appraiser. Appraisals and other valuation products are opinions of the related preparers and may not accurately reflect the value or condition of the Mortgaged Property, particularly during periods of volatility in the applicable real estate market (whether local, regional or national). In addition, property values may have declined since the time the valuation products were obtained. Accordingly, the Maximum Loan-to-Value Ratios that are disclosed in this Memorandum may be lower, in some cases significantly lower, than the applicable Maximum Loan-to-Value Ratios that would be determined if current appraised values of the Mortgaged Properties were used to determine those ratios. Prospective investors should consider that if a valuation overestimates the prices at which Mortgaged Properties are actually sold, the proceeds of the Mortgage Loans may be significantly less than anticipated by investors. Maximum Loan-to-Value Ratio is rounded to two decimal places, and can have a tolerance up to 0.01% due to the use of pre-rounded data.

Maximum Combined Loan-To-Value Ratios[(1)(2)]

Range of Maximum Combined Loan-To-Value Ratios (%)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
10.01 - 15.00	1	36,795.03	0.02	50,000.00	73.59	9.500	1.500	36,795.03	66,031.66	790,268.00	826	826	46.94	4.66	13.01	14.68
15.01 - 20.00	3	111,793.02	0.06	125,000.00	91.08	9.875	1.875	37,264.34	93,812.86	755,394.67	790	792	43.77	7.29	17.17	18.43
20.01 - 25.00	7	587,182.03	0.32	677,000.00	88.50	10.018	2.034	83,883.15	207,931.64	1,303,082.71	743	739	44.81	6.99	21.93	23.05
25.01 - 30.00	8	533,122.87	0.29	650,500.00	83.34	9.984	2.023	66,640.36	156,451.97	834,056.25	734	733	42.26	8.23	26.75	28.56
30.01 - 35.00	24	1,775,956.68	0.95	2,665,999.00	83.53	10.317	2.317	73,998.20	278,110.94	1,210,023.25	747	746	43.64	8.55	30.98	32.55
35.01 - 40.00	39	4,847,235.98	2.60	5,722,900.00	88.15	10.299	2.308	124,288.10	381,693.81	1,399,593.03	748	745	38.73	11.71	36.35	37.75
40.01 - 45.00	58	3,921,312.21	2.10	5,159,025.00	83.26	10.021	2.014	67,608.83	274,514.46	853,559.10	751	748	41.08	11.52	40.04	42.59
45.01 - 50.00	70	4,788,394.30	2.57	5,944,800.00	87.23	10.291	2.298	68,405.63	307,908.99	826,899.81	740	748	43.56	10.44	46.03	47.71
50.01 - 55.00	132	10,936,896.94	5.87	13,457,000.00	86.99	10.243	2.251	82,855.28	369,546.71	896,811.32	752	751	41.69	13.19	51.03	52.71
55.01 - 60.00	198	16,454,560.28	8.83	20,792,431.00	84.95	10.329	2.343	83,103.84	344,741.94	778,737.34	742	744	41.76	13.82	55.18	57.83
60.01 - 65.00	256	19,519,173.36	10.47	23,579,200.00	87.48	10.308	2.320	76,246.77	339,673.99	688,806.30	744	746	41.59	14.24	60.69	62.68
65.01 - 70.00	303	24,925,727.55	13.37	29,859,783.00	88.55	10.464	2.472	82,263.13	372,710.26	694,512.46	743	744	42.42	15.56	65.85	67.83
70.01 - 75.00	446	36,252,038.05	19.45	42,958,724.00	88.91	10.800	2.803	81,282.60	368,853.36	638,298.55	736	734	42.03	15.98	70.90	72.92
75.01 - 80.00	392	32,539,439.32	17.46	37,385,538.26	90.63	10.994	2.993	83,008.77	375,019.12	601,364.38	744	742	42.45	17.53	76.40	78.22
80.01 - 85.00	223	18,022,878.59	9.67	22,337,668.00	88.30	11.269	3.273	80,820.08	379,467.10	576,346.45	757	757	41.58	17.84	80.77	83.33
85.01 - 90.00	107	10,919,569.82	5.86	12,641,627.00	92.43	11.802	3.800	102,052.05	524,885.42	722,982.64	764	757	43.17	16.83	87.21	88.97
Greater than or equal to 90.01	2	219,000.00	0.12	370,022.00	74.21	10.537	2.537	109,500.00	363,458.74	615,088.00	765	761	43.03	25.62	83.46	90.79
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

[(1)] As of the Cut-off Date, the weighted average maximum Combined Loan-to-Value Ratio of the HELOCs related to the Mortgage Loans (weighted based on the Unpaid Principal Balance of the Mortgage Loans) is expected to be approximately 68.63%.
[(2)] The Maximum Combined Loan-to-Value Ratio is equal to a fraction, expressed as a percentage, (i) the numerator of which is the sum of the principal balance of the Senior Unpaid Principal Balance, known subordinate financing and Credit Limit and (ii) the denominator of which is the related property value of the Mortgaged Property at origination (which is generally the lesser of the sales price, if applicable, and the appraisal value used at the time of origination). Neither the Participation Depositor nor any Originator makes any representation as to the actual value of any Mortgaged Property at any time. The Maximum Combined Loan-to-Value Ratios disclosed in this Memorandum that are based on an appraisal are based solely on the appraised values provided by the related appraiser. Appraisals and other valuation products are opinions of the related preparers and may not accurately reflect the value or condition of the Mortgaged Property, particularly during periods of volatility in the applicable real estate market (whether local, regional or national). In addition, property values may have declined since the time the valuation products were obtained. Accordingly, the Combined Loan-to-Value Ratios that are disclosed in this Memorandum may be lower, in some cases significantly lower, than the applicable Combined Loan-to-Value Ratios that would be determined if current appraised values of the Mortgaged Properties were used to determine those ratios. Prospective investors should consider that if a valuation overestimates the prices at which Mortgaged Properties are actually sold, the proceeds of the Mortgage Loans may be significantly less than anticipated by investors. Maximum Combined Loan-to-Value Ratio is rounded to two decimal places, and can have a tolerance up to 0.01% due to the use of pre-rounded data.

Subordinate Financing[(1)]

Subordinate Financing	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Known Subordinate Financing	6	724,292.67	0.39	929,000.00	87.57	11.044	3.044	120,715.45	459,454.50	881,560.33	716	716	45.82	19.86	74.84	77.13
No Known Subordinate Financing	2,263	185,666,783.36	99.61	223,448,217.26	88.43	10.713	2.718	82,044.54	366,455.06	703,246.38	745	745	42.04	15.41	66.56	68.60
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

[(1)] The phrase "Known Subordinate Financing" refers to subordinate financing provided by the related Originator at the time of origination of the related HELOC related to the Mortgage Loan and secured by the related Mortgaged Property, and disclosed by the related Originator to the Participation Depositor. Subordinate financing may have been obtained by the related mortgagor at origination from a party other than the related Originator or at any time thereafter from the related Originator or any other party, and such subordinate financing is not reflected in this table.

Occupancy Type[(1)]

Occupancy Type	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Primary	2,259	185,256,105.11	99.39	222,632,218.26	88.49	10.716	2.722	82,008.01	366,744.78	702,105.17	745	745	42.11	15.44	66.71	68.73
Second Home	10	1,134,970.92	0.61	1,744,999.00	77.80	10.355	2.355	113,497.09	356,807.60	1,068,035.00	772	763	33.08	12.17	47.31	51.96
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) Based upon representations of the related borrowers at the time of origination.

Property Type

Property Type	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Single Family Detached	1,586	126,410,072.09	67.82	153,320,097.26	88.08	10.726	2.733	79,703.70	360,311.37	697,819.18	745	744	41.89	15.25	66.04	68.09
Planned Unit Development	598	50,364,208.49	27.02	60,369,980.00	88.28	10.649	2.651	84,221.08	375,037.99	707,304.18	745	748	42.21	15.36	67.28	69.44
Condominium	55	6,203,738.96	3.33	6,753,660.00	95.32	10.980	2.980	112,795.25	390,340.04	732,248.78	750	750	41.79	19.29	70.33	71.18
2 to 3 Family	20	2,504,725.35	1.34	2,926,480.00	90.60	10.654	2.654	125,236.27	532,427.04	993,150.00	746	734	47.11	15.56	68.91	70.62
Single Family Attached	5	544,467.95	0.29	578,000.00	95.34	11.561	3.561	108,893.59	510,718.09	789,500.40	761	755	47.69	14.87	79.21	80.00
Townhouse	4	243,863.19	0.13	300,000.00	85.69	10.082	2.139	60,965.80	311,607.14	570,653.75	777	774	32.40	17.07	63.17	66.68
Site Condo	1	120,000.00	0.06	129,000.00	93.02	10.500	2.500	120,000.00	400,714.99	660,000.00	806	806	49.73	18.18	78.90	80.26
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

Loan Purpose[(1)]

Loan Purpose	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Refinance Cashout	2,236	181,979,301.32	97.63	219,634,356.26	88.26	10.706	2.711	81,386.09	362,386.51	699,462.64	745	745	42.16	15.40	66.23	68.30
Purchase	32	4,320,885.04	2.32	4,651,861.00	95.14	11.083	3.083	135,027.66	657,290.66	986,170.69	753	744	37.32	16.62	81.85	82.63
Refinance Rate/Term	1	90,889.67	0.05	91,000.00	99.88	9.875	1.875	90,889.67	715,000.00	1,180,000.00	735	674	47.89	7.70	68.30	68.31
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) Designation of Refinance Cashout, Purchase and Refinance Rate/Term in respect of a HELOC related to a Mortgage Loan is made under the related Originator's underwriting guidelines.

Loan Documentation[(1)]

Loan Documentation	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Full	2,269	186,391,076.03	100.00	224,377,217.26	88.43	10.714	2.719	82,146.79	366,700.98	703,717.90	745	745	42.05	15.42	66.60	68.63
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) As defined by the related Originator's underwriting guidelines for the Mortgage Loans.

Self Employed Flag

Self Employed Flag	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
No	2,091	160,279,015.33	85.99	194,392,672.26	87.74	10.711	2.717	76,651.85	351,391.70	674,050.68	745	746	42.16	15.07	66.39	68.51
Yes	178	26,112,060.70	14.01	29,984,545.00	92.61	10.734	2.734	146,696.97	546,542.08	1,052,224.49	745	738	41.35	17.57	67.87	69.38
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

Original Debt-To-Income Ratios[(1)(2)]

Range of Original Debt-to-Income Ratios (%)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Less than or equal to 10.00	2	301,061.65	0.16	322,500.00	93.49	10.410	2.410	150,530.83	687,338.07	1,792,148.50	782	782	8.55	10.46	40.35	41.23
10.01 - 15.00	7	815,538.86	0.44	965,000.00	85.16	10.028	2.040	116,505.55	309,021.51	642,926.00	735	736	12.83	20.51	67.17	70.37
15.01 - 20.00	24	1,790,592.21	0.96	2,485,653.00	84.94	10.678	2.685	74,608.01	381,296.62	695,015.54	768	772	18.67	14.15	70.66	73.15
20.01 - 25.00	51	3,708,347.34	1.99	5,611,450.00	79.64	10.478	2.473	72,712.69	339,061.19	706,838.10	753	754	23.03	14.36	58.80	63.13
25.01 - 30.00	103	8,472,124.57	4.55	10,642,132.26	86.18	10.392	2.390	82,253.64	409,857.78	785,630.55	756	757	27.78	15.04	64.99	67.17
30.01 - 35.00	224	17,631,458.47	9.46	21,929,619.00	86.60	10.619	2.624	78,711.87	367,189.80	694,906.02	755	752	32.67	15.24	66.67	68.92
35.01 - 40.00	319	24,934,772.57	13.38	29,637,333.00	88.30	10.669	2.668	78,165.43	360,749.04	679,886.47	750	750	37.75	15.70	67.29	69.23
40.01 - 43.00	308	23,670,309.03	12.70	28,928,789.00	86.69	10.575	2.581	76,851.65	355,949.32	683,062.78	747	748	41.53	14.14	66.29	68.62
43.01 - 45.00	254	21,241,444.45	11.40	25,635,721.00	88.33	10.826	2.833	83,627.73	370,859.94	700,883.08	746	744	44.07	15.16	67.41	69.45
45.01 - 50.00	976	83,775,426.88	44.95	98,169,020.00	90.06	10.811	2.818	85,835.48	367,387.12	710,831.67	739	739	48.12	15.89	66.77	68.56
50.01 - 55.00	1	50,000.00	0.03	50,000.00	100.00	10.000	2.000	50,000.00	118,006.98	280,003.00	761	761	50.01	17.86	60.00	60.00
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

[(1)] As of the Cut-off Date, the weighted average Original Debt-to-Income Ratio at origination of the HELOCs related to the Mortgage Loans (weighted based on the Unpaid Principal Balance of the Mortgage Loans) is expected to be approximately 42.05%.
[(2)] Debt-to-Income ratios are subject to a variance of +/- 3%. The information in the table is based on data collected in connection with the origination of the related HELOCs related to the Mortgage Loans. No assurance can be made that the information regarding a borrower's or co-borrower's income or debt was accurately and completely collected and reported, and no assurance can be given that the information regarding a borrower's or co-borrower's income or debt that was collected by, or reported to, the an Originator reflected the actual income or debt of the related borrower or co-borrower. For example, certain debts such as loans that were not reported to the Originator and loans that were not discoverable by the Originator may not have been included in the Debt-to-Income ratio calculation. In addition, since a borrower's and/or co-borrower's income and debt may fluctuate significantly in a short period of time, and since that information was collected shortly before origination of the related HELOC related to a Mortgage Loan, no assurance can be given that the information has not varied from the information collected in connection with the origination of the HELOC related to a Mortgage Loan.

Geographic Distribution of Mortgaged Properties (By State)

Geographic Distribution of Mortgaged Properties (By State)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
California	787	77,463,880.63	41.56	92,844,830.26	89.40	10.732	2.735	98,429.33	479,943.08	933,426.73	746	746	42.68	14.14	65.53	67.16
Florida	328	27,320,464.07	14.66	32,516,813.00	89.69	10.799	2.802	83,294.10	316,349.94	624,256.90	739	738	42.89	17.43	66.80	68.79
Arizona	153	11,867,505.29	6.37	14,810,567.00	85.34	10.595	2.594	77,565.39	349,991.06	690,035.99	750	752	41.04	14.74	65.00	67.92
Georgia	156	10,788,455.07	5.79	12,822,083.00	87.26	10.686	2.693	69,156.76	257,291.20	496,487.36	748	749	40.77	16.99	67.24	69.81
North Carolina	102	6,664,612.44	3.58	7,910,488.00	87.14	10.974	2.984	65,339.34	266,747.37	503,365.06	737	736	42.45	16.48	67.76	69.98
Colorado	84	6,630,517.76	3.56	8,053,158.00	86.53	10.660	2.668	78,934.74	383,918.38	679,456.57	745	743	41.73	15.63	69.22	71.71
Washington	75	5,778,749.53	3.10	6,821,790.00	88.53	10.407	2.413	77,049.99	362,631.83	707,119.49	757	757	40.94	14.95	64.33	66.07
New Jersey	72	5,164,163.54	2.77	6,001,500.00	88.90	10.981	2.988	71,724.49	351,551.30	634,918.15	748	745	41.42	15.06	67.02	68.72
Utah	40	3,939,898.51	2.11	4,533,150.00	90.65	11.016	3.016	98,497.46	383,881.16	711,368.60	731	734	41.45	17.33	69.17	71.16
Nevada	48	3,375,175.60	1.81	4,096,460.00	87.44	10.298	2.309	70,316.16	306,773.04	578,871.96	749	744	40.25	14.75	67.10	69.29
Virginia	47	3,353,853.07	1.80	4,341,015.00	83.92	10.512	2.535	71,358.58	343,168.40	596,250.38	759	759	38.85	16.44	70.60	73.67
New York	16	2,140,946.44	1.15	2,864,600.00	88.98	10.171	2.171	133,809.15	589,697.20	1,034,963.75	736	717	47.62	15.85	70.69	73.33
Oregon	34	2,029,705.17	1.09	2,386,900.00	87.03	10.381	2.390	59,697.21	268,699.17	508,865.35	746	753	43.02	14.03	65.46	67.43
Pennsylvania	30	1,889,272.27	1.01	2,270,900.00	85.99	10.892	2.925	62,975.74	277,097.31	510,239.30	743	751	37.91	14.72	68.02	70.70
Michigan	31	1,708,446.74	0.92	2,408,125.00	82.15	10.874	2.874	55,111.19	221,169.13	466,105.45	765	768	39.10	14.85	60.78	64.58
Indiana	30	1,581,322.78	0.85	1,856,400.00	87.69	10.538	2.558	52,710.76	193,044.40	351,306.13	752	752	40.26	17.80	69.67	72.02
Illinois	31	1,566,363.38	0.84	2,160,411.00	81.85	11.189	3.189	50,527.85	220,217.22	391,475.42	748	755	42.51	15.89	70.18	73.83
Ohio	27	1,448,044.66	0.78	1,665,215.00	89.85	10.760	2.784	53,631.28	183,306.30	337,275.89	753	754	40.71	19.67	70.77	73.08
Tennessee	14	1,103,701.14	0.59	1,188,161.00	95.13	10.995	2.995	78,835.80	318,094.52	569,140.64	741	744	46.35	16.24	72.35	73.20
Louisiana	16	960,734.07	0.52	1,142,050.00	86.86	10.568	2.594	60,045.88	199,824.52	353,963.19	755	750	39.36	19.40	74.49	77.38
Alabama	13	912,431.16	0.49	1,070,600.00	87.62	10.687	2.718	70,187.01	243,568.82	451,735.23	746	755	39.57	17.60	70.06	72.52
Idaho	15	896,248.52	0.48	1,113,000.00	81.39	10.013	2.037	59,749.90	240,279.69	510,219.53	738	753	42.74	15.01	60.52	63.94
Minnesota	15	872,024.84	0.47	1,070,900.00	87.36	10.829	2.829	58,134.99	267,151.03	465,777.53	752	751	44.57	16.26	69.53	72.51
Connecticut	8	817,715.95	0.44	945,000.00	87.58	10.656	2.692	102,214.49	335,130.75	650,394.13	710	706	28.20	18.60	69.37	71.99
Maryland	4	803,124.95	0.43	803,386.00	99.97	10.238	2.238	200,781.24	435,157.72	892,071.25	760	749	40.95	30.44	70.56	70.56
South Carolina	12	779,738.40	0.42	1,163,935.00	81.96	10.696	2.651	64,978.20	376,977.83	681,846.75	729	729	37.96	15.01	69.38	72.09
New Hampshire	10	683,451.78	0.37	778,000.00	89.16	10.415	2.415	68,345.18	325,510.70	555,928.60	742	760	35.42	14.22	71.39	73.47
Missouri	10	618,414.54	0.33	751,000.00	84.18	10.031	2.043	61,841.45	199,624.54	398,269.40	750	732	41.45	17.60	69.24	72.28
Arkansas	9	514,337.54	0.28	892,900.00	69.52	10.397	2.383	57,148.62	285,868.37	556,196.67	739	707	41.55	12.57	64.72	70.85
Wisconsin	9	473,546.14	0.25	544,400.00	88.58	10.833	2.878	52,616.24	206,466.63	347,916.67	732	733	39.97	16.31	74.45	76.42
Delaware	7	348,329.17	0.19	402,250.00	88.15	10.339	2.339	49,761.31	226,125.89	438,330.14	745	745	42.73	11.73	63.38	65.14
Massachusetts	4	347,871.01	0.19	363,100.00	96.55	12.338	4.299	86,967.75	387,925.45	639,750.00	701	719	45.00	16.61	76.03	76.40
Nebraska	6	263,046.07	0.14	297,100.00	90.43	10.226	2.226	43,841.01	148,019.85	269,143.83	746	746	42.76	18.83	70.64	72.47
Kansas	5	221,901.31	0.12	234,540.00	95.71	10.564	2.603	44,380.26	175,657.95	304,843.00	736	736	44.04	15.16	71.81	72.39
Montana	4	181,798.63	0.10	237,600.00	80.25	10.208	2.208	45,449.66	290,217.88	534,875.00	777	777	44.72	10.34	61.76	63.90
Rhode Island	4	177,400.00	0.10	245,000.00	73.24	9.806	1.806	44,350.00	225,038.50	391,578.50	795	781	41.75	12.43	70.86	75.78
District of Columbia	1	135,000.00	0.07	135,000.00	100.00	10.000	2.000	135,000.00	457,252.00	1,300,000.00	727	727	49.68	10.38	45.56	45.56
Maine	3	123,424.58	0.07	146,000.00	85.87	10.422	2.422	41,141.53	173,327.21	427,666.67	789	765	45.84	10.98	53.03	54.50
Oklahoma	1	106,000.00	0.06	106,000.00	100.00	13.000	5.000	106,000.00	996,295.25	1,300,000.00	729	729	45.64	8.15	84.79	84.79
Mississippi	2	95,570.04	0.05	110,000.00	89.26	11.512	3.512	47,785.02	202,012.91	332,456.00	740	740	45.38	14.40	75.25	77.31
Kentucky	2	83,390.00	0.04	83,390.00	100.00	11.713	3.713	41,695.00	136,293.73	240,000.00	739	758	45.43	17.86	73.32	73.32
Iowa	1	49,499.24	0.03	66,000.00	75.00	11.875	3.875	49,499.24	207,161.00	334,522.00	820	820	30.82	14.80	76.72	81.66
Wyoming	1	38,500.00	0.02	38,500.00	100.00	10.625	2.625	38,500.00	280,164.35	452,473.00	697	697	33.70	8.51	70.43	70.43
West Virginia	1	37,500.00	0.02	50,000.00	75.00	8.875	1.125	37,500.00	143,447.12	267,000.00	772	772	47.12	14.04	67.77	72.45
South Dakota	1	35,000.00	0.02	35,000.00	100.00	9.500	1.750	35,000.00	98,254.81	186,000.00	743	743	43.84	18.82	71.64	71.64
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

Original Interest-Only Term

Original Interest-Only Term (Months)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
120	2,269	186,391,076.03	100.00	224,377,217.26	88.43	10.714	2.719	82,146.79	366,700.98	703,717.90	745	745	42.05	15.42	66.60	68.63
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

Remaining Interest-Only Term[(1)]

Range of Remaining Interest-Only Term (Months)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
106 - 110	3	185,007.44	0.10	469,100.00	78.50	9.000	1.000	61,669.15	427,814.65	1,324,000.00	777	752	44.20	13.45	67.92	70.51
111 - 115	260	24,822,704.70	13.32	30,487,735.26	88.66	10.648	2.630	95,471.94	417,431.43	793,065.84	746	742	41.24	15.89	67.63	69.89
116 - 120	2,006	161,383,363.89	86.58	193,420,382.00	88.40	10.726	2.735	80,450.33	360,034.35	691,209.77	745	745	42.17	15.35	66.43	68.43
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) As of the Cut-off Date, the weighted average Remaining Interest-Only Term of the HELOCs related to the Mortgage Loans (weighted based on the Unpaid Principal Balance of the Mortgage Loans) is expected to be approximately 117 months.

Gross Margin[(1)]

Range of Gross Margin (%)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Less than or equal to 1.500	306	21,372,137.01	11.47	27,850,221.00	82.71	9.077	1.104	69,843.59	332,268.76	733,127.00	779	775	40.11	13.06	57.94	60.67
1.501 - 2.000	419	35,121,473.06	18.84	43,926,231.26	86.87	9.835	1.843	83,822.13	355,035.84	734,658.24	758	753	41.84	15.30	63.00	65.29
2.001 - 2.500	379	36,223,870.86	19.43	42,424,933.00	90.52	10.307	2.313	95,577.50	401,875.89	772,778.38	741	743	42.02	16.12	66.58	68.43
2.501 - 3.000	360	31,541,542.17	16.92	36,609,990.00	89.94	10.818	2.817	87,615.39	375,601.38	725,949.37	737	737	42.04	16.21	66.27	67.98
3.001 - 3.500	258	20,025,195.99	10.74	24,305,966.00	87.59	11.319	3.317	77,617.04	348,119.16	659,989.57	737	739	43.01	15.83	66.61	68.72
3.501 - 4.000	240	17,689,142.07	9.49	20,532,824.00	90.57	11.819	3.817	73,704.76	350,309.41	624,484.64	729	735	43.11	15.10	70.83	72.32
4.001 - 4.500	151	13,456,758.70	7.22	15,706,184.00	90.74	12.280	4.277	89,117.61	389,192.91	640,948.54	730	731	41.85	16.40	75.71	77.72
4.501 - 5.000	121	8,193,145.05	4.40	9,617,407.00	88.39	12.789	4.794	67,711.94	380,725.17	579,399.98	732	733	43.14	14.18	77.84	79.83
5.001 - 5.500	25	2,123,732.88	1.14	2,604,681.00	89.68	13.342	5.339	84,949.32	424,363.56	646,862.00	750	740	43.68	15.91	78.50	81.25
5.501 - 6.000	5	428,420.76	0.23	508,380.00	88.69	13.677	5.677	85,684.15	644,301.69	968,451.40	722	720	47.10	14.27	76.40	78.46
Greater than or equal to 6.001	5	215,657.48	0.12	290,400.00	82.32	14.221	6.221	43,131.50	305,467.50	458,884.40	717	716	44.53	11.28	77.81	80.48
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) As of the Cut-off Date, the weighted average Gross Margin of the HELOCs related to the Mortgage Loans (weighted based on the Unpaid Principal Balance of the Mortgage Loans) is expected to be approximately 2.719%.

Maximum Mortgage Rate

Maximum Mortgage Rate (%)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
18.000	2,267	186,281,768.03	99.94	224,057,217.26	88.45	10.714	2.719	82,171.05	366,583.45	703,514.30	745	745	42.05	15.43	66.60	68.63
18.500	1	54,308.00	0.03	250,000.00	21.72	10.000	2.000	54,308.00	622,264.76	1,215,000.00	719	758	35.34	4.47	55.69	71.79
18.750	1	55,000.00	0.03	70,000.00	78.57	12.250	4.000	55,000.00	377,590.95	654,000.00	683	668	44.42	8.41	66.15	68.44
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

Minimum Mortgage Rate

Minimum Mortgage Rate (%)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
2.500	91	8,377,891.04	4.49	11,529,437.00	83.22	10.273	2.258	92,064.74	390,359.71	804,657.75	741	740	41.84	14.83	64.49	67.92
4.000	2,178	178,013,184.99	95.51	212,847,780.26	88.67	10.735	2.741	81,732.41	365,712.49	699,500.49	745	745	42.06	15.45	66.69	68.66
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

Initial Interest Rate Cap (Change Up)

Range of Initial Interest Rate Cap (Change Up) (%)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
4.501 - 5.000	6	388,984.23	0.21	451,766.00	89.47	13.676	5.660	64,830.71	392,371.87	586,916.67	718	718	47.23	16.79	78.96	80.93
5.001 - 5.500	48	3,450,143.91	1.85	4,082,599.00	89.97	13.075	5.075	71,878.00	419,084.34	598,075.90	748	741	45.63	15.68	81.95	84.27
5.501 - 6.000	122	8,766,680.46	4.70	10,324,145.00	88.25	12.643	4.647	71,858.04	369,101.04	581,470.66	730	730	42.89	14.58	76.83	78.87
6.001 - 6.500	173	13,854,388.86	7.43	15,593,482.00	91.85	12.217	4.218	80,083.17	395,204.96	631,007.48	733	733	42.62	15.36	76.43	77.84
6.501 - 7.000	200	14,702,416.21	7.89	17,219,316.00	89.68	11.668	3.666	73,512.08	327,973.42	607,438.20	730	733	43.02	15.46	68.61	70.34
7.001 - 7.500	308	24,538,891.07	13.17	29,446,331.00	88.85	11.205	3.207	79,671.72	341,658.82	667,381.58	739	741	42.59	16.71	65.91	67.78
7.501 - 8.000	299	23,156,785.73	12.42	27,474,607.00	87.85	10.823	2.826	77,447.44	352,524.35	665,970.60	736	739	42.29	14.90	66.68	68.74
8.001 - 8.500	454	43,068,811.57	23.11	50,981,536.00	89.61	10.290	2.300	94,865.22	407,136.42	780,947.64	744	743	41.65	15.70	66.81	68.81
8.501 - 9.000	307	26,077,757.44	13.99	31,872,149.00	87.90	9.866	1.877	84,943.84	357,857.67	775,718.25	757	757	41.79	15.00	60.37	62.36
9.001 - 9.500	175	12,780,150.54	6.86	16,500,321.00	84.28	9.444	1.470	73,029.43	333,231.89	719,143.46	764	754	41.60	14.32	59.76	62.38
9.501 - 10.000	97	7,805,237.05	4.19	10,287,272.00	83.20	9.286	1.289	80,466.36	372,493.53	797,348.86	782	783	39.43	13.59	59.24	62.23
10.001 - 10.500	25	2,461,008.18	1.32	2,910,990.00	90.60	10.060	2.053	98,440.33	396,504.20	720,489.24	740	741	40.64	16.65	70.85	72.59
10.501 - 11.000	41	3,820,253.99	2.05	4,962,739.26	86.79	9.722	1.696	93,176.93	380,816.54	766,895.05	752	746	39.97	16.72	65.74	68.19
Greater than or equal to 11.001	14	1,519,566.79	0.82	2,269,964.00	81.99	9.096	1.021	108,540.49	376,236.34	920,934.57	784	760	41.50	19.72	61.37	64.90
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

Subsequent Interest Rate Cap (Change Up)

Subsequent Interest Rate Cap (Change Up) (%)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Uncapped	2,269	186,391,076.03	100.00	224,377,217.26	88.43	10.714	2.719	82,146.79	366,700.98	703,717.90	745	745	42.05	15.42	66.60	68.63
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

Index

Index	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
WSJ PRIME RATE (DAILY)	2,269	186,391,076.03	100.00	224,377,217.26	88.43	10.714	2.719	82,146.79	366,700.98	703,717.90	745	745	42.05	15.42	66.60	68.63
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

Subsequent Reset Periods

Subsequent Reset Periods (Months)	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
1	2,269	186,391,076.03	100.00	224,377,217.26	88.43	10.714	2.719	82,146.79	366,700.98	703,717.90	745	745	42.05	15.42	66.60	68.63
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

Origination Channel

Origination Channel	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Retail	1,248	75,953,667.54	40.75	93,910,023.00	84.43	10.687	2.707	60,860.31	314,460.55	602,868.57	747	746	41.26	13.03	64.55	66.94
Broker	946	103,473,055.98	55.51	120,607,057.26	91.79	10.764	2.759	109,379.55	433,930.52	828,626.41	744	744	42.65	17.20	68.22	69.88
Correspondent	75	6,964,352.51	3.74	9,860,137.00	82.05	10.267	2.255	92,858.03	387,993.31	806,338.20	740	742	41.69	15.14	64.69	68.47
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

Originator

Originator	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
United Wholesale Mortgage, LLC	835	91,886,761.98	49.30	105,282,629.00	92.40	10.833	2.833	110,044.03	438,308.04	826,080.81	742	742	43.06	17.18	68.94	70.46
Spring EQ, LLC	124	12,549,527.36	6.73	16,893,428.26	85.82	10.285	2.238	101,205.87	404,014.27	827,924.07	761	760	38.98	17.26	63.81	66.69
loanDepot.com, LLC	1,219	73,576,895.65	39.47	90,671,723.00	84.50	10.689	2.711	60,358.40	312,089.26	599,730.93	747	746	41.34	12.98	64.39	66.76
Georgia Banking Company	91	8,377,891.04	4.49	11,529,437.00	83.22	10.273	2.258	92,064.74	390,359.71	804,657.75	741	740	41.84	14.83	64.49	67.92
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

Servicer[(1)]

Servicer	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
Specialized Loan Servicing LLC	1,050	112,814,180.38	60.53	133,705,494.26	90.99	10.731	2.725	107,442.08	430,102.59	824,441.83	744	744	42.52	17.02	68.04	69.85
loanDepot.com, LLC	1,219	73,576,895.65	39.47	90,671,723.00	84.50	10.689	2.711	60,358.40	312,089.26	599,730.93	747	746	41.34	12.98	64.39	66.76
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) The "Servicer" is the entity that is contractually obligated to the Issuing Entity to service the HELOCs related to the Mortgage Loans.

Original Valuation Type

Original Valuation Type	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
AVM	1,474	96,914,002.68	51.99	117,934,555.26	86.20	10.665	2.679	65,748.98	321,016.60	609,594.98	746	746	41.65	13.93	65.70	67.97
Appraisal	653	79,076,845.78	42.43	92,816,180.00	91.63	10.763	2.760	121,097.77	463,326.19	901,143.66	743	743	42.71	17.56	67.98	69.67
Exterior Only	62	5,190,568.26	2.78	7,178,621.00	84.30	10.219	2.195	83,718.84	405,914.68	842,782.26	749	750	40.46	15.00	63.62	66.49
BPO	76	4,937,862.80	2.65	6,174,361.00	84.56	11.360	3.360	64,971.88	393,760.96	727,942.34	752	749	40.99	10.96	64.92	66.99
Hybrid Appraisal	4	271,796.51	0.15	273,500.00	99.38	11.579	3.534	67,949.13	305,378.40	542,500.00	787	778	40.64	15.81	72.83	72.91
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

Times 30+ Days Delinquent Over Last 12 Months(1)(2)(3)

Times 30+ Days Delinquent Over Last 12 Months	Number of Loans	Aggregate Unpaid Principal Balance ($)	Aggregate Unpaid Principal Balance (%)	Aggregate Credit Limit ($)	Weighted Average Current Credit Line Utilization (%)	Weighted Average Current Mortgage Rate (%)	Weighted Average Gross Margin (%)	Average Unpaid Principal Balance ($)	Average Senior Unpaid Principal Balance ($)	Average Original Property Value ($)	Weighted Average Original Credit Score	Weighted Average Current Credit Score	Weighted Average Original Debt-to-Income Ratio (%)	Weighted Average Drawn LTV (%)	Weighted Average Drawn CLTV (%)	Weighted Average Max CLTV (%)
None	2,241	183,963,022.00	98.70	221,495,029.26	88.39	10.714	2.719	82,089.70	365,868.43	702,438.38	745	745	42.02	15.46	66.60	68.63
1	28	2,428,054.03	1.30	2,882,188.00	90.94	10.732	2.732	86,716.22	433,334.89	806,125.21	729	717	44.05	13.04	66.40	68.21
Total:	**2,269**	**186,391,076.03**	**100.00**	**224,377,217.26**	**88.43**	**10.714**	**2.719**	**82,146.79**	**366,700.98**	**703,717.90**	**745**	**745**	**42.05**	**15.42**	**66.60**	**68.63**

(1) Using MBA Method of calculating delinquency.

(2) The information in the above table covers the twelve month period preceding the Cut-off Date. Information regarding delinquencies with respect to the HELOCs related to the Mortgage Loans is based solely on information received from the related Servicer and/or the related Originators of the HELOCs related to the Mortgage Loans. Except as expressly represented to by the Participation Depositor or the related Originator in connection with representation (u) in Appendix II-A or Appendix II-B to this Memorandum, no representation is made as to the accuracy of any information regarding the delinquency status or delinquency history of the HELOCs related to the Mortgage Loans.

(3) Any delinquency that occurred with respect to the HELOCs related to the Mortgage Loans in the twelve months preceding the Cut-off Date that was caused by servicer error, or that occurred as a result of a servicing transfer, that was subsequently cured, as reported by the related Servicer, is not reflected in the above table and any scheduled payment that was not made during an active forbearance period is not treated as a delinquency for purposes of this table and is not reflected in the table above.

Annex B:
PRINCIPAL AMOUNT DECREMENT TABLES

PERCENTAGE OF INITIAL CLASS PRINCIPAL AMOUNT OF THE OFFERED CERTIFICATES OUTSTANDING AT THE FOLLOWING PERCENTAGES OF CPR

	Class A-1 Certificates						
Month of Distribution Date	**0%**	**10%**	**20%**	**25%**	**30%**	**40%**	**50%**
Initial Percentage	100	100	100	100	100	100	100
June 2024	100	85	70	63	56	44	34
June 2025	100	72	48	41	34	22	12
June 2026	100	60	36	28	21	9	1
June 2027	100	50	27	19	11	1	0
June 2028	100	44	20	11	5	0	0
June 2029	100	38	14	6	*	0	0
June 2030	100	33	9	2	0	0	0
June 2031	100	29	5	0	0	0	0
June 2032	100	25	2	0	0	0	0
June 2033	99	21	0	0	0	0	0
June 2034	96	17	0	0	0	0	0
June 2035	93	14	0	0	0	0	0
June 2036	89	11	0	0	0	0	0
June 2037	84	8	0	0	0	0	0
June 2038	80	6	0	0	0	0	0
June 2039	74	3	0	0	0	0	0
June 2040	68	1	0	0	0	0	0
June 2041	61	0	0	0	0	0	0
June 2042	54	0	0	0	0	0	0
June 2043	48	0	0	0	0	0	0
June 2044	44	0	0	0	0	0	0
June 2045	40	0	0	0	0	0	0
June 2046	36	0	0	0	0	0	0
June 2047	31	0	0	0	0	0	0
June 2048	26	0	0	0	0	0	0
June 2049	20	0	0	0	0	0	0
June 2050	13	0	0	0	0	0	0
June 2051	5	0	0	0	0	0	0
June 2052	0	0	0	0	0	0	0
June 2053	0	0	0	0	0	0	0
Weighted Average Life in Years to Maturity	20.12	5.68	2.79	2.17	1.75	1.22	0.89
Weighted Average Life in Years to Optional Redemption(1)	2.97	2.36	1.85	1.66	1.48	1.09	0.79

*Indicates a number that is greater than zero but less than 0.5%.

(1) Assumes the Optional Redemption is exercised on the earliest possible date.

PERCENTAGE OF INITIAL CLASS PRINCIPAL AMOUNT OF THE OFFERED CERTIFICATES OUTSTANDING AT THE FOLLOWING PERCENTAGES OF CPR

	Class M-1, Class M-2 and Class M-3 Certificates						
Month of Distribution Date	**0%**	**10%**	**20%**	**25%**	**30%**	**40%**	**50%**
Initial Percentage	100	100	100	100	100	100	100
June 2024	100	100	100	100	100	90	75
June 2025	100	100	96	81	69	46	26
June 2026	100	100	72	56	42	19	2
June 2027	100	99	54	37	23	3	0
June 2028	100	87	39	22	10	0	0
June 2029	100	76	27	11	*	0	0
June 2030	100	66	17	3	0	0	0
June 2031	100	58	10	0	0	0	0
June 2032	100	50	3	0	0	0	0
June 2033	100	42	0	0	0	0	0
June 2034	100	35	0	0	0	0	0
June 2035	100	28	0	0	0	0	0
June 2036	100	22	0	0	0	0	0
June 2037	100	16	0	0	0	0	0
June 2038	100	11	0	0	0	0	0
June 2039	100	7	0	0	0	0	0
June 2040	100	3	0	0	0	0	0
June 2041	100	0	0	0	0	0	0
June 2042	100	0	0	0	0	0	0
June 2043	95	0	0	0	0	0	0
June 2044	88	0	0	0	0	0	0
June 2045	80	0	0	0	0	0	0
June 2046	71	0	0	0	0	0	0
June 2047	62	0	0	0	0	0	0
June 2048	51	0	0	0	0	0	0
June 2049	39	0	0	0	0	0	0
June 2050	25	0	0	0	0	0	0
June 2051	10	0	0	0	0	0	0
June 2052	0	0	0	0	0	0	0
June 2053	0	0	0	0	0	0	0
Weighted Average Life in Years to Maturity	24.72	9.52	4.68	3.63	2.95	2.08	1.58
Weighted Average Life in Years to Optional Redemption(1)	2.97	2.97	2.82	2.61	2.41	1.81	1.36

*Indicates a number that is greater than zero but less than 0.5%.

(1) Assumes the Optional Redemption is exercised on the earliest possible date.

PERCENTAGE OF INITIAL CLASS PRINCIPAL AMOUNT OF THE OFFERED CERTIFICATES OUTSTANDING AT THE FOLLOWING PERCENTAGES OF CPR

	Class B-1 Certificates						
Month of Distribution Date	**0%**	**10%**	**20%**	**25%**	**30%**	**40%**	**50%**
Initial Percentage	100	100	100	100	100	100	100
June 2024	100	100	100	100	100	100	100
June 2025	100	100	100	100	100	100	100
June 2026	100	100	100	100	100	100	100
June 2027	100	100	100	100	100	100	0
June 2028	100	100	100	100	100	0	0
June 2029	100	100	100	100	100	0	0
June 2030	100	100	100	100	0	0	0
June 2031	100	100	100	54	0	0	0
June 2032	100	100	100	0	0	0	0
June 2033	100	100	75	0	0	0	0
June 2034	100	100	4	0	0	0	0
June 2035	100	100	0	0	0	0	0
June 2036	100	100	0	0	0	0	0
June 2037	100	100	0	0	0	0	0
June 2038	100	100	0	0	0	0	0
June 2039	100	100	0	0	0	0	0
June 2040	100	100	0	0	0	0	0
June 2041	100	87	0	0	0	0	0
June 2042	100	32	0	0	0	0	0
June 2043	100	0	0	0	0	0	0
June 2044	100	0	0	0	0	0	0
June 2045	100	0	0	0	0	0	0
June 2046	100	0	0	0	0	0	0
June 2047	100	0	0	0	0	0	0
June 2048	100	0	0	0	0	0	0
June 2049	100	0	0	0	0	0	0
June 2050	100	0	0	0	0	0	0
June 2051	100	0	0	0	0	0	0
June 2052	0	0	0	0	0	0	0
June 2053	0	0	0	0	0	0	0
Weighted Average Life in Years to Maturity	28.81	18.69	10.36	8.08	6.52	4.56	3.36
Weighted Average Life in Years to Optional Redemption[1]	2.97	2.97	2.97	2.97	2.97	2.39	1.72

(1) Assumes the Optional Redemption is exercised on the earliest possible date.

PERCENTAGE OF INITIAL CLASS PRINCIPAL AMOUNT OF THE OFFERED CERTIFICATES OUTSTANDING AT THE FOLLOWING PERCENTAGES OF CPR

	Class B-2 Certificates						
Month of Distribution Date	**0%**	**10%**	**20%**	**25%**	**30%**	**40%**	**50%**
Initial Percentage	100	100	100	100	100	100	100
June 2024	100	100	100	100	100	100	100
June 2025	100	100	100	100	100	100	100
June 2026	100	100	100	100	100	100	100
June 2027	100	100	100	100	100	100	0
June 2028	100	100	100	100	100	74	0
June 2029	100	100	100	100	100	0	0
June 2030	100	100	100	100	99	0	0
June 2031	100	100	100	100	0	0	0
June 2032	100	100	100	60	0	0	0
June 2033	100	100	100	0	0	0	0
June 2034	100	100	100	0	0	0	0
June 2035	100	100	7	0	0	0	0
June 2036	100	100	0	0	0	0	0
June 2037	100	100	0	0	0	0	0
June 2038	100	100	0	0	0	0	0
June 2039	100	100	0	0	0	0	0
June 2040	100	100	0	0	0	0	0
June 2041	100	100	0	0	0	0	0
June 2042	100	100	0	0	0	0	0
June 2043	100	72	0	0	0	0	0
June 2044	100	8	0	0	0	0	0
June 2045	100	0	0	0	0	0	0
June 2046	100	0	0	0	0	0	0
June 2047	100	0	0	0	0	0	0
June 2048	100	0	0	0	0	0	0
June 2049	100	0	0	0	0	0	0
June 2050	100	0	0	0	0	0	0
June 2051	100	0	0	0	0	0	0
June 2052	82	0	0	0	0	0	0
June 2053	0	0	0	0	0	0	0
Weighted Average Life in Years to Maturity	29.07	20.36	11.56	9.11	7.35	5.14	3.79
Weighted Average Life in Years to Optional Redemption(1)	2.97	2.97	2.97	2.97	2.97	2.39	1.72

(1) Assumes the Optional Redemption is exercised on the earliest possible date.

PERCENTAGE OF INITIAL CLASS PRINCIPAL AMOUNT OF THE OFFERED CERTIFICATES OUTSTANDING AT THE FOLLOWING PERCENTAGES OF CPR

	Class B-3 Certificates						
Month of Distribution Date	**0%**	**10%**	**20%**	**25%**	**30%**	**40%**	**50%**
Initial Percentage	100	100	100	100	100	100	100
June 2024	100	100	100	100	100	100	100
June 2025	100	100	100	100	100	100	100
June 2026	100	100	100	100	100	100	100
June 2027	100	100	100	100	100	100	94
June 2028	100	100	100	100	100	100	0
June 2029	100	100	100	100	100	28	0
June 2030	100	100	100	100	100	0	0
June 2031	100	100	100	100	74	0	0
June 2032	100	100	100	100	1	0	0
June 2033	100	100	100	67	0	0	0
June 2034	100	100	100	5	0	0	0
June 2035	100	100	100	0	0	0	0
June 2036	100	100	45	0	0	0	0
June 2037	100	100	0	0	0	0	0
June 2038	100	100	0	0	0	0	0
June 2039	100	100	0	0	0	0	0
June 2040	100	100	0	0	0	0	0
June 2041	100	100	0	0	0	0	0
June 2042	100	100	0	0	0	0	0
June 2043	100	100	0	0	0	0	0
June 2044	100	100	0	0	0	0	0
June 2045	100	61	0	0	0	0	0
June 2046	100	21	0	0	0	0	0
June 2047	100	0	0	0	0	0	0
June 2048	100	0	0	0	0	0	0
June 2049	100	0	0	0	0	0	0
June 2050	100	0	0	0	0	0	0
June 2051	100	0	0	0	0	0	0
June 2052	100	0	0	0	0	0	0
June 2053	0	0	0	0	0	0	0
Weighted Average Life in Years to Maturity	29.29	22.30	12.95	10.28	8.33	5.82	4.29
Weighted Average Life in Years to Optional Redemption(1)	2.97	2.97	2.97	2.97	2.97	2.39	1.72

(1) Assumes the Optional Redemption is exercised on the earliest possible date.

PERCENTAGE OF INITIAL CLASS PRINCIPAL AMOUNT OF THE OFFERED CERTIFICATES OUTSTANDING AT THE FOLLOWING PERCENTAGES OF CPR

	Class B-4 Certificates						
Month of Distribution Date	**0%**	**10%**	**20%**	**25%**	**30%**	**40%**	**50%**
Initial Percentage	100	100	100	100	100	100	100
June 2024	100	100	100	100	100	100	100
June 2025	100	100	100	100	100	100	100
June 2026	100	100	100	100	100	100	100
June 2027	100	100	100	100	100	100	100
June 2028	100	100	100	100	100	100	78
June 2029	100	100	100	100	100	100	39
June 2030	100	100	100	100	100	70	20
June 2031	100	100	100	100	100	42	10
June 2032	100	100	100	100	100	25	5
June 2033	100	100	100	100	70	15	2
June 2034	100	100	100	100	48	9	1
June 2035	100	100	100	75	33	5	1
June 2036	100	100	100	55	22	3	*
June 2037	100	100	98	40	15	2	*
June 2038	100	100	76	29	10	1	*
June 2039	100	100	58	21	7	1	*
June 2040	100	100	44	15	5	*	*
June 2041	100	100	33	10	3	*	*
June 2042	100	100	25	7	2	*	*
June 2043	100	100	18	5	1	*	*
June 2044	100	100	14	4	1	*	*
June 2045	100	100	10	2	1	*	*
June 2046	100	100	7	2	*	*	*
June 2047	100	91	5	1	*	*	*
June 2048	100	71	4	1	*	*	*
June 2049	100	53	2	*	*	*	*
June 2050	100	37	2	*	*	*	*
June 2051	100	22	1	*	*	*	*
June 2052	100	9	*	*	*	*	0
June 2053	0	0	0	0	0	0	0
Weighted Average Life in Years to Maturity	29.63	26.35	17.48	14.17	11.68	8.26	6.10
Weighted Average Life in Years to Optional Redemption(1)	2.97	2.97	2.97	2.97	2.97	2.39	1.72

*Indicates a number that is greater than zero but less than 0.5%.

(1) Assumes the Optional Redemption is exercised on the earliest possible date.

PERCENTAGE OF INITIAL CLASS PRINCIPAL AMOUNT OF THE OFFERED CERTIFICATES OUTSTANDING AT THE FOLLOWING PERCENTAGES OF CPR

	Class BX Certificates						
Month of Distribution Date	**0%**	**10%**	**20%**	**25%**	**30%**	**40%**	**50%**
Initial Percentage	100	100	100	100	100	100	100
June 2024	100	100	100	100	100	100	100
June 2025	100	100	100	100	100	100	100
June 2026	100	100	100	100	100	100	100
June 2027	100	100	100	100	100	100	54
June 2028	100	100	100	100	100	68	27
June 2029	100	100	100	100	100	41	14
June 2030	100	100	100	100	72	24	7
June 2031	100	100	100	87	50	15	3
June 2032	100	100	100	65	35	9	2
June 2033	100	100	93	49	24	5	1
June 2034	100	100	73	36	17	3	*
June 2035	100	100	57	26	11	2	*
June 2036	100	100	44	19	8	1	*
June 2037	100	100	34	14	5	1	*
June 2038	100	100	26	10	4	*	*
June 2039	100	100	20	7	2	*	*
June 2040	100	100	15	5	2	*	*
June 2041	100	96	12	4	1	*	*
June 2042	100	81	9	3	1	*	*
June 2043	100	67	6	2	*	*	*
June 2044	100	57	5	1	*	*	*
June 2045	100	48	4	1	*	*	*
June 2046	100	39	3	1	*	*	*
June 2047	100	31	2	*	*	*	*
June 2048	100	25	1	*	*	*	*
June 2049	100	18	1	*	*	*	*
June 2050	100	13	1	*	*	*	*
June 2051	100	8	*	*	*	*	*
June 2052	69	3	*	*	*	*	0
June 2053	0	0	0	0	0	0	0
Weighted Average Life in Years to Maturity	29.24	22.38	13.57	10.82	8.82	6.20	4.58
Weighted Average Life in Years to Optional Redemption(1)	2.97	2.97	2.97	2.97	2.97	2.39	1.72

*Indicates a number that is greater than zero but less than 0.5%.

(1) Assumes the Optional Redemption is exercised on the earliest possible date.

Annex C:
PERMITTED EXCHANGEABLE COMBINATION

Classes of Depositable Certificates		Related Class(es) of Exchangeable Certificates		
Classes of Depositable Certificates	**Initial Class Principal Amount or Class Notional Amount(1)(2)**	**Class(es) of Exchangeable Certificates**	**Maximum Class Principal Amount (1)(2)**	**Pass-Through Rate**
Exchangeable Combination 1				
Class B-1	$6,057,000	Class BX	$21,435,076	(3)
Class B-2	$3,449,000			
Class B-3	$4,473,000			
Class B-4	$7,456,076			
Class X	$186,391,076(4)			

(1) Depositable Certificates and Exchangeable Certificates may be exchanged only in the proportions shown in this Annex C. In any exchange, the relative proportions of the Depositable Certificates to be delivered (or, if applicable, received) in such exchange will equal the proportions reflected by the outstanding Class Principal Amounts or Class Notional Amounts, as applicable, of the related Depositable Certificates at the time of exchange.

(2) If, as a result of a proposed exchange, a certificateholder would hold a Depositable Certificate or Exchangeable Certificate of a Class in an amount less than the applicable minimum denomination for that class, the certificateholder will be unable to effect the proposed exchange. See "*Description of the Certificates—General*" in this Memorandum.

(3) For a description of these pass-through rates, see the table under *"Summary—The Offered Certificates"* beginning on page 1 of this Memorandum.

(4) This class of Certificates is a class of notional amount certificates.

Appendix I:

SUMMARY OF PRE-OFFERING REVIEW OF HELOCs

[ATTACHED]

Review Vendor Credit, Compliance and Valuation exceptions

The Review Vendor reviewed 2,443 mortgage loans. Below are the findings for each Mortgage Loan reviewed by the Review Vendor that received a final NRSRO grade of “B” or lower.

Credit Review Exceptions

Loan ID	Exception Detail
303844497	FEMA Disaster Issue: The most recent valuation inspection is dated prior to the most recent FEMA disaster.
303844523	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303857317	Title Policy Coverage is less than Original Loan Amount.
303858097	FEMA Disaster Issue: The most recent valuation inspection is dated prior to the most recent FEMA disaster.
303859335	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303871920	Title Policy Coverage is less than Original Loan Amount.
303875280	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303876923	The verification of employment is required and was not found in file.
303877089	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303878383	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303878824	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303879184	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303879236	Title Policy Coverage is less than Original Loan Amount.
303879238	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303879238	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303879330	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303879334	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303879340	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303880545	Title Policy Coverage is less than Original Loan Amount.
303880564	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.

Loan ID	Exception Detail
303882651	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303883168	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303883181	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303883237	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303885496	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303885509	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303885523	Verification(s) of employment is not within 10 business days of the Note.
303885523	FEMA Disaster Issue: The most recent valuation inspection is dated prior to the most recent FEMA disaster.
303885526	Guideline Requirement: Representative FICO score discrepancy.
303885526	Verification(s) of employment is not within 10 business days of the Note.
303886167	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303887938	Title Policy Coverage is less than Original Loan Amount.
303887976	Verification(s) of employment is not within 10 business days of the Note.
303888026	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303888029	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303888030	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303888087	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303888326	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303888328	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303890175	Verification(s) of employment is not within 10 business days of the Note.
303890208	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303890225	Verification(s) of employment is not within 10 business days of the Note.
303891117	FEMA Disaster Issue: The most recent valuation inspection is dated prior to the most recent FEMA disaster.

Loan ID	Exception Detail
303892538	Verification(s) of employment is not within 10 business days of the Note.
303892583	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303892692	REO Documents are missing.
303892786	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303892795	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303892796	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303892797	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303892867	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303892871	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303892873	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303893432	Title Policy Coverage is less than Original Loan Amount.
303893602	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303893602	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303893610	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303893617	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303893725	Title Policy Coverage is less than Original Loan Amount.
303893837	Verification(s) of employment is not within 10 business days of the Note.
303893848	Title Policy Coverage is less than Original Loan Amount.
303893851	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303893862	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303894620	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303894624	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303894642	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.

Loan ID	Exception Detail
303894665	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303894683	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303894714	Verification(s) of employment is not within 10 business days of the Note.
303894762	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303894881	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303894913	Ineligible property type.
303895059	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303895059	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303895060	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303895975	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303896257	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303896291	Ineligible property type.
303896291	Guideline Requirement: Investor qualifying total debt ratio discrepancy.
303896309	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303896449	Title Policy Coverage is less than Original Loan Amount.
303896451	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303896457	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303896550	Guideline Requirement: Representative FICO score discrepancy.
303896589	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303896594	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303896597	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303896635	FEMA Disaster Issue: Property is located in a FEMA Disaster area and has not been inspected.
303897800	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.

Loan ID	Exception Detail
303897800	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303898024	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303898035	Verification(s) of employment is not within 10 business days of the Note.
303898062	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303898066	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303898078	Title Policy Coverage is less than Original Loan Amount.
303898088	Missing Document: Missing Final 1003
303898252	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303898320	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303898337	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303898394	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303898399	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303898399	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303898589	Guideline Requirement: Representative FICO score discrepancy.
303898616	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303898630	Verification(s) of employment is not within 10 business days of the Note.
303898682	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303898686	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303898714	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303898718	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303899511	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303899827	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.

Loan ID	Exception Detail
303899829	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303899874	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303899885	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303900097	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303901838	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303901839	Title Policy Coverage is less than Original Loan Amount.
303901869	Title Policy Coverage is less than Original Loan Amount.
303901871	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303901899	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303902267	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303902368	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303902368	Income Docs Missing
303902398	Guideline Requirement: Investor qualifying total debt ratio discrepancy.
303902403	Guideline Requirement: Combined High loan to value discrepancy.
303902408	FEMA Disaster Issue: The most recent valuation inspection is dated prior to the most recent FEMA disaster.
303902451	FEMA Disaster Issue: The most recent valuation inspection is dated prior to the most recent FEMA disaster.
303902491	Guideline Requirement: Investor qualifying total debt ratio discrepancy.
303902608	Guideline Requirement: Combined High loan to value discrepancy.
303902608	Guideline Requirement: Representative FICO score discrepancy.
303902770	Ineligible property type.
303904321	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303904329	Ineligible Property Type.
303904628	Title Policy Coverage is less than Original Loan Amount.
303905028	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303905034	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.

Loan ID	Exception Detail
303905034	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303905391	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303905408	Guideline Requirement: Combined loan to value discrepancy.
303905421	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303905930	FEMA Disaster Issue: The most recent valuation inspection is dated prior to the most recent FEMA disaster.
303905948	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303906098	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303906898	Income Docs Missing
303906916	Ineligible Property Type.
303906991	Title Policy Coverage is less than Original Loan Amount.
303907964	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303907987	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303908269	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303908302	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303908305	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303909103	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303909965	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303909976	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303909988	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303910180	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303910437	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303910446	FEMA Disaster Issue: Property is located in a FEMA Disaster area and has not been inspected.

Loan ID	Exception Detail
303910467	FEMA Disaster Issue: The most recent valuation inspection is dated prior to the most recent FEMA disaster.
303915157	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303915173	FEMA Disaster Issue: The most recent valuation inspection is dated prior to the most recent FEMA disaster.
303915190	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303916024	Verification(s) of employment is not within 10 business days of the Note.
303916212	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303916212	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303916224	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303916483	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303916485	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303916551	Guideline Requirement: Representative FICO score discrepancy.
303916599	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303916607	Title Policy Coverage is less than Original Loan Amount.
303916621	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303916638	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303916648	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303916649	Title Policy Coverage is less than Original Loan Amount.
303916653	Title Policy Coverage is less than Original Loan Amount.
303917036	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303917038	Title Policy Coverage is less than Original Loan Amount.
303917039	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303917451	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303917516	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.

Loan ID	Exception Detail
303917540	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303917581	Title Policy Coverage is less than Original Loan Amount.
303918245	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303920204	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303920206	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303923213	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303923451	Guideline Requirement: Combined loan to value discrepancy.
303923477	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303923566	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303923685	Guideline Requirement: Combined loan to value discrepancy.
303923709	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303923709	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303924241	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303924242	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303924245	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303924314	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303924318	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303924578	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303925988	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303925991	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303926349	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.

Loan ID	Exception Detail
303927221	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303927222	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303927222	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303927241	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303927784	Title Policy Coverage is less than Original Loan Amount.
303927797	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303927920	Title Policy Coverage is less than Original Loan Amount.
303927921	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303927971	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303928696	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303930929	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303930930	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303931007	Guideline Requirement: Combined loan to value discrepancy.
303931829	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303857940	FEMA Disaster Issue: The most recent valuation inspection is dated prior to the most recent FEMA disaster.
303879187	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303893597	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303898122	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303880552	Guideline Requirement: Investor qualifying total debt ratio discrepancy.
303895945	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303896254	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303901870	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.

Loan ID	Exception Detail
303896613	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303893607	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303898318	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303906108	Ineligible property type.
303906108	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303916605	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303916606	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303916650	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303923565	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303909069	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303907950	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303924244	No indication the UCC filed for Solar Panels was included in the debt ratios as required by FNMA guidelines on Solar Panels
303909959	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303925993	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303929592	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303927219	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303921414	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303923482	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303930928	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303931831	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303929530	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.

Loan ID	Exception Detail
303926341	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303926341	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303927212	Title Policy Coverage is less than Original Loan Amount.
303932082	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303932082	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303926000	Title Policy Coverage is less than Original Loan Amount.
303931570	Title Policy Coverage is less than Original Loan Amount.
303930103	Title Policy Coverage is less than Original Loan Amount.
303924319	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303931832	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303931500	Title Policy Coverage is less than Original Loan Amount.
303932086	Title Policy Coverage is less than Original Loan Amount.
303919172	Verification(s) of employment is not within 10 business days of the Note.
303926339	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303944696	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303928767	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303945315	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303945236	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303946771	FEMA Disaster Issue: The most recent valuation inspection is dated prior to the most recent FEMA disaster.
303945383	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303928871	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303946876	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303946876	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.

Loan ID	Exception Detail
303944783	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303925989	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303930039	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303928869	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303945299	Guideline Requirement: Combined loan to value discrepancy.
303926278	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303945470	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303916604	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303894758	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303931548	Guideline Requirement: Combined loan to value discrepancy.
303948222	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303946040	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303945298	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303951485	Guideline Issue: Property type not allowed per credit guidelines
303947584	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.
303948843	The Preliminary title policy is within CA or NV and does not reflect a coverage amount (no final title policy in file). Unable to determine if appropriate coverage is provided.
303953161	Guideline Requirement: Representative FICO score discrepancy.
303948986	FEMA Disaster Issue: The subject property is located in a FEMA disaster that does not have a declared end date.

Compliance Exceptions

Loan ID	Exception Detail
303844508	(Missing Data) Last Rate Set Date
303844518	(Missing Data) Last Rate Set Date

Loan ID	Exception Detail
303844714	(Missing Data) Last Rate Set Date
303844732	(Missing Data) Last Rate Set Date
303844818	(Missing Data) Last Rate Set Date
303844841	(Missing Data) Last Rate Set Date
303844869	(Missing Data) Last Rate Set Date
303844907	(Missing Data) Last Rate Set Date
303844928	(Missing Data) Last Rate Set Date
303845042	(Missing Data) Last Rate Set Date
303845251	(Missing Data) Last Rate Set Date
303845673	(Missing Data) Last Rate Set Date
303845703	(Missing Data) Last Rate Set Date
303845703	South Carolina Home Loan (Complaint Agency Disclosure Not Provided)
303855812	Fannie Mae 2014 - 3% Points and Fees
303856253	(Missing Data) Last Rate Set Date
303856318	(Missing Data) Last Rate Set Date
303856373	(Missing Data) Last Rate Set Date
303856391	(Missing Data) Last Rate Set Date
303856397	(Missing Data) Last Rate Set Date
303857317	Fannie Mae 2014 - 3% Points and Fees
303858049	(Missing Data) Last Rate Set Date
303858101	(Missing Data) Last Rate Set Date
303858108	(Missing Data) Last Rate Set Date
303858117	(Missing Data) Last Rate Set Date
303858120	(Missing Data) Last Rate Set Date
303858121	(Missing Data) Last Rate Set Date
303858122	(Missing Data) Last Rate Set Date
303858125	(Missing Data) Last Rate Set Date
303858126	(Missing Data) Last Rate Set Date
303858131	(Missing Data) Last Rate Set Date
303858144	(Missing Data) Last Rate Set Date
303858148	(Missing Data) Last Rate Set Date
303858148	South Carolina Home Loan (Complaint Agency Disclosure Not Provided)
303858196	South Carolina Home Loan (Acknowledgement of Receipt of Complaint Agency Disclosure Not In File)
303858196	(Missing Data) Last Rate Set Date

Loan ID	Exception Detail
303859340	Fannie Mae 2014 - 3% Points and Fees
303871920	Fannie Mae 2014 - 3% Points and Fees
303872412	Fannie Mae 2014 - 3% Points and Fees
303877134	Missing Document: Missing Lender's Initial 1003
303877134	(Missing Data) Last Rate Set Date
303877283	Fannie Mae 2014 - 3% Points and Fees
303878383	Missing Document: Missing Lender's Initial 1003
303878816	Missing Document: Missing Lender's Initial 1003
303878824	(Missing Data) Last Rate Set Date
303879184	Fannie Mae 2014 - 3% Points and Fees
303879236	Fannie Mae 2014 - 3% Points and Fees
303879238	Fannie Mae 2014 - 3% Points and Fees
303879239	Fannie Mae 2014 - 3% Points and Fees
303879244	Fannie Mae 2014 - 3% Points and Fees
303879736	Fannie Mae 2014 - 3% Points and Fees
303879845	Fannie Mae 2014 - 3% Points and Fees
303879849	Fannie Mae 2014 - 3% Points and Fees
303880455	Missing Document: Missing Lender's Initial 1003
303880502	TILA Notice of Right to Cancel Expiration Date Prior or equal to Disbursement Date
303880545	Fannie Mae 2014 - 3% Points and Fees
303880549	Fannie Mae 2014 - 3% Points and Fees
303880550	Fannie Mae 2014 - 3% Points and Fees
303880569	Fannie Mae 2014 - 3% Points and Fees
303880573	Fannie Mae 2014 - 3% Points and Fees
303882310	TILA Notice of Right to Cancel Expiration Date Prior or equal to Disbursement Date
303882313	Fannie Mae 2014 - 3% Points and Fees
303882314	Fannie Mae 2014 - 3% Points and Fees
303882712	Notice of Special Flood Hazard Disclosure Not Provided Timely
303882714	Fannie Mae 2014 - 3% Points and Fees
303882761	Missing Document: Missing Lender's Initial 1003
303882793	Fannie Mae 2014 - 3% Points and Fees
303883171	Fannie Mae 2014 - 3% Points and Fees
303883237	Fannie Mae 2014 - 3% Points and Fees
303885509	Fannie Mae 2014 - 3% Points and Fees

Loan ID	Exception Detail
303885514	Fannie Mae 2014 - 3% Points and Fees
303885556	Missing Document: Missing Lender's Initial 1003
303886162	Fannie Mae 2014 - 3% Points and Fees
303886167	Fannie Mae 2014 - 3% Points and Fees
303887940	Fannie Mae 2014 - 3% Points and Fees
303888009	Missing Document: Missing Lender's Initial 1003
303888050	Fannie Mae 2014 - 3% Points and Fees
303888342	Missing Document: Missing Lender's Initial 1003
303890208	Fannie Mae 2014 - 3% Points and Fees
303890221	TILA Notice of Right to Cancel Expiration Date Prior or equal to Disbursement Date
303890261	TILA Notice of Right to Cancel Expiration Date Prior or equal to Disbursement Date
303891100	Fannie Mae 2014 - 3% Points and Fees
303891127	Fannie Mae 2014 - 3% Points and Fees
303891130	Fannie Mae 2014 - 3% Points and Fees
303891133	Fannie Mae 2014 - 3% Points and Fees
303892585	Fannie Mae 2014 - 3% Points and Fees
303892746	Missing Document: Missing Lender's Initial 1003
303892755	Colorado Consumer Credit Code (Borrower Written Reason for Loan, Modification, or Refinance Not Provided)
303892796	Fannie Mae 2014 - 3% Points and Fees
303892832	Notice of Special Flood Hazard Disclosure Missing
303892847	TILA Rescission - Disbursement Date Less than 3 Business Days From Transaction Date
303892847	TILA Notice of Right to Cancel Expiration Date Prior or equal to Disbursement Date
303892847	Missing Document: Missing Lender's Initial 1003
303892863	Fannie Mae 2014 - 3% Points and Fees
303892867	Fannie Mae 2014 - 3% Points and Fees
303893436	Fannie Mae 2014 - 3% Points and Fees
303893564	Fannie Mae 2014 - 3% Points and Fees
303893568	Fannie Mae 2014 - 3% Points and Fees
303893573	Fannie Mae 2014 - 3% Points and Fees
303893617	Fannie Mae 2014 - 3% Points and Fees
303893626	Notice of Special Flood Hazard Disclosure Not Provided Timely
303893680	Missing Document: Missing Lender's Initial 1003
303893726	Fannie Mae 2014 - 3% Points and Fees

Loan ID	Exception Detail
303893843	Fannie Mae 2014 - 3% Points and Fees
303894205	Missing Document: Missing Lender's Initial 1003
303894211	(County High Cost) xxxx Threshold Loan (Calculated APR/Rate)
303894221	Notice of Special Flood Hazard Disclosure Not Provided Timely
303894222	Missing Document: Missing Lender's Initial 1003
303894620	Fannie Mae 2014 - 3% Points and Fees
303894620	Notice of Special Flood Hazard Disclosure Not Provided Timely
303894624	Fannie Mae 2014 - 3% Points and Fees
303894644	Missing Document: Missing Lender's Initial 1003
303894660	Fannie Mae 2014 - 3% Points and Fees
303894665	Fannie Mae 2014 - 3% Points and Fees
303894680	Fannie Mae 2014 - 3% Points and Fees
303894698	Right of Rescission Not Provided - Purchase HELOC
303894721	Notice of Special Flood Hazard Disclosure Missing
303894792	Washington Residential Mortgage Loan (Disclosure of Material Terms Not Provided Timely)
303894873	Fannie Mae 2014 - 3% Points and Fees
303894875	Fannie Mae 2014 - 3% Points and Fees
303894891	Fannie Mae 2014 - 3% Points and Fees
303894895	Fannie Mae 2014 - 3% Points and Fees
303894908	Fannie Mae 2014 - 3% Points and Fees
303894910	Fannie Mae 2014 - 3% Points and Fees
303894912	Fannie Mae 2014 - 3% Points and Fees
303895036	Missing Document: Missing Lender's Initial 1003
303895045	Missing Document: Missing Lender's Initial 1003
303895060	Fannie Mae 2014 - 3% Points and Fees
303895975	Fannie Mae 2014 - 3% Points and Fees
303895975	TILA Notice of Right to Cancel Expiration Date Prior or equal to Disbursement Date
303895981	Fannie Mae 2014 - 3% Points and Fees
303896251	Missing Document: Missing Lender's Initial 1003
303896270	Washington Residential Mortgage Loan (Disclosure of Material Terms Not Provided Timely)
303896309	Fannie Mae 2014 - 3% Points and Fees
303896458	Fannie Mae 2014 - 3% Points and Fees
303896471	Missing Initial Loan Application Test
303896471	TILA Rescission - Disbursement Date Less than 3 Business Days From Transaction Date

Loan ID	Exception Detail
303896471	TILA Notice of Right to Cancel Expiration Date Prior or equal to Disbursement Date
303896519	Missing Document: Missing Lender's Initial 1003
303896535	Notice of Special Flood Hazard Disclosure Not Provided Timely
303896589	Fannie Mae 2014 - 3% Points and Fees
303896594	Fannie Mae 2014 - 3% Points and Fees
303897887	Missing Document: Missing Lender's Initial 1003
303897900	Missing Document: Missing Lender's Initial 1003
303898024	Fannie Mae 2014 - 3% Points and Fees
303898084	Missing Document: Missing Lender's Initial 1003
303898106	Fannie Mae 2014 - 3% Points and Fees
303898322	Fannie Mae 2014 - 3% Points and Fees
303898338	Fannie Mae 2014 - 3% Points and Fees
303898501	Fannie Mae 2014 - 3% Points and Fees
303898528	Fannie Mae 2014 - 3% Points and Fees
303898548	Missing Document: Missing Lender's Initial 1003
303898548	Washington Residential Mortgage Loan (Disclosure of Material Terms Not Provided Timely)
303898562	Notice of Special Flood Hazard Disclosure Not Provided Timely
303898562	Right of Rescission Not Provided - Purchase HELOC
303898687	Fannie Mae 2014 - 3% Points and Fees
303898714	Fannie Mae 2014 - 3% Points and Fees
303898717	Fannie Mae 2014 - 3% Points and Fees
303898793	Missing Document: Missing Lender's Initial 1003
303899412	Fannie Mae 2014 - 3% Points and Fees
303899502	Colorado Consumer Credit Code (Borrower Written Reason for Loan, Modification, or Refinance Not Provided)
303899502	Colorado Home Loan (Tangible Net Benefit Disclosure Not Provided)
303899535	Fannie Mae 2014 - 3% Points and Fees
303899827	Fannie Mae 2014 - 3% Points and Fees
303899867	Missing Document: Missing Lender's Initial 1003
303899870	Washington Residential Mortgage Loan (Disclosure of Material Terms Not Provided Timely)
303900100	Fannie Mae 2014 - 3% Points and Fees
303901869	Fannie Mae 2014 - 3% Points and Fees
303901899	Fannie Mae 2014 - 3% Points and Fees
303901901	Fannie Mae 2014 - 3% Points and Fees

Loan ID	Exception Detail
303902270	Fannie Mae 2014 - 3% Points and Fees
303902340	Washington Residential Mortgage Loan (Disclosure of Material Terms Not Provided Timely)
303902484	HELOC Fees Used For Testing
303904327	Fannie Mae 2014 - 3% Points and Fees
303904329	Fannie Mae 2014 - 3% Points and Fees
303904660	Fannie Mae 2014 - 3% Points and Fees
303905391	Fannie Mae 2014 - 3% Points and Fees
303905399	Notice of Special Flood Hazard Disclosure Not Provided Timely
303905421	Notice of Special Flood Hazard Disclosure Not Provided Timely
303906904	HELOC Fees Used For Testing
303906907	Missing Document: Missing Lender's Initial 1003
303906917	(Missing Data) Last Rate Set Date
303906919	(Missing Data) Last Rate Set Date
303906940	(Missing Data) Last Rate Set Date
303906941	Notice of Special Flood Hazard Disclosure Not Provided Timely
303906947	(Missing Data) Last Rate Set Date
303906956	(Missing Data) Last Rate Set Date
303906957	(Missing Data) Last Rate Set Date
303907011	Missing Document: Missing Lender's Initial 1003
303907082	Missing Document: Missing Lender's Initial 1003
303907106	Fannie Mae 2014 - 3% Points and Fees
303908236	Missing Document: Missing Lender's Initial 1003
303909099	HELOC Fees Used For Testing
303909115	Fannie Mae 2014 - 3% Points and Fees
303910100	Missing Document: Missing Lender's Initial 1003
303910131	Missing Initial Loan Application Test
303910172	Missing Initial Loan Application Test
303915137	Missing Document: Missing Lender's Initial 1003
303916212	Fannie Mae 2014 - 3% Points and Fees
303916529	Missing Document: Missing Lender's Initial 1003
303916550	Missing Document: Missing Lender's Initial 1003
303916570	Missing Document: Missing Lender's Initial 1003
303916608	Fannie Mae 2014 - 3% Points and Fees
303916612	Fannie Mae 2014 - 3% Points and Fees

Loan ID	Exception Detail
303916619	Fannie Mae 2014 - 3% Points and Fees
303916623	Fannie Mae 2014 - 3% Points and Fees
303916627	Right of Rescission Timing HELOC - Receipt Date Missing
303916629	Fannie Mae 2014 - 3% Points and Fees
303916639	Fannie Mae 2014 - 3% Points and Fees
303916642	Fannie Mae 2014 - 3% Points and Fees
303916643	Fannie Mae 2014 - 3% Points and Fees
303916649	Fannie Mae 2014 - 3% Points and Fees
303916653	Ohio Consumer Sales Practices Act (Right Not To Close Disclosure Not Provided Timely)
303916656	Fannie Mae 2014 - 3% Points and Fees
303916658	Fannie Mae 2014 - 3% Points and Fees
303916910	Notice of Special Flood Hazard Disclosure Not Provided Timely
303917075	Missing Document: Missing Lender's Initial 1003
303917502	Washington Residential Mortgage Loan (Disclosure of Material Terms Not Provided Timely)
303917557	Fannie Mae 2014 - 3% Points and Fees
303923427	Notice of Special Flood Hazard Disclosure Not Provided Timely
303927813	Missing Document: Missing Lender's Initial 1003
303927837	Missing Document: Missing Lender's Initial 1003
303927857	Notice of Special Flood Hazard Disclosure Not Provided Timely
303927921	Notice of Right To Cancel Not Provided to All Required Parties
303928699	Notice of Special Flood Hazard Disclosure Not Provided Timely
303929439	Missing Document: Missing Lender's Initial 1003
303929535	Notice of Special Flood Hazard Disclosure Not Provided Timely
303929973	Ohio Consumer Sales Practices Act (Acknowledgement of Receipt of Home Mortgage Loan Information Document Not Received Timely)
303932038	Washington Residential Mortgage Loan (Disclosure of Material Terms Not Provided Timely)
303945279	Missing Document: Missing Lender's Initial 1003
303945284	Missing Document: Missing Lender's Initial 1003
303945284	Ohio Consumer Sales Practices Act (Acknowledgement of Receipt of Home Mortgage Loan Information Document Not Retained by Lender)
303945523	Missing Document: Missing Lender's Initial 1003
303946150	Notice of Special Flood Hazard Disclosure Not Provided Timely
303871606	Fannie Mae 2014 - 3% Points and Fees
303879187	Fannie Mae 2014 - 3% Points and Fees

Loan ID	Exception Detail
303886158	Fannie Mae 2014 - 3% Points and Fees
303898119	Fannie Mae 2014 - 3% Points and Fees
303893724	Fannie Mae 2014 - 3% Points and Fees
303892565	Missing Document: Missing Lender's Initial 1003
303896452	Fannie Mae 2014 - 3% Points and Fees
303893607	Fannie Mae 2014 - 3% Points and Fees
303916211	Fannie Mae 2014 - 3% Points and Fees
303916606	Fannie Mae 2014 - 3% Points and Fees
303916650	Fannie Mae 2014 - 3% Points and Fees
303910112	Missing Document: Missing Lender's Initial 1003
303917554	DC Mortgage Disclosure Amendment Act of 2007 (Mortgage Disclosure Not Provided)
303929610	Missing Document: Missing Lender's Initial 1003
303930957	TILA Rescission - Disbursement Date Less than 3 Business Days From Transaction Date
303930957	TILA Notice of Right to Cancel Expiration Date Prior or equal to Disbursement Date
303931971	Notice of Special Flood Hazard Disclosure Not Provided Timely
303946063	Missing Document: Missing Lender's Initial 1003
303929974	Notice of Special Flood Hazard Disclosure Not Provided Timely
303948991	Notice of Special Flood Hazard Disclosure Not Provided Timely
303951466	Washington Residential Mortgage Loan (Disclosure of Material Terms Not Provided Timely)
303945533	Missing Document: Missing Lender's Initial 1003
303951691	Washington Residential Mortgage Loan (Disclosure of Material Terms Not Provided Timely)
303947473	Ohio Consumer Sales Practices Act (Acknowledgement of Receipt of Home Mortgage Loan Information Document Not Retained by Lender)
303946064	Ohio Consumer Sales Practices Act (Acknowledgement of Receipt of Home Mortgage Loan Information Document Not Received Timely)

Valuation Exceptions

Loan ID	Exception Detail
303872104	Appraisal is required to be in name of Lender
303879340	Appraisal is required to be in name of Lender
303898751	Loan is to be securitized. Highest level secondary valuation supports the value. There is a lower level tertiary product that does not support the qualifying value. Appraisal was provided from prior transaction.; Sec ID: 62

Appendix II-A:

HELOC REPRESENTATIONS AND WARRANTIES

The representations and warranties made by each Originator that entered into an Assignment Agreement are set forth in the table below, together with notes (if any) below each particular representation and warranty that indicate any variance in the representation and warranty that the Originator actually made in the Assignment Agreement from the standard form of representation and warranty set forth in the table below. Any reference to an "Originator" in the notes (if any) below a particular representation and warranty is a reference to an Originator that entered into an Assignment Agreement. Certain variances were not noted if they were not material (e.g., if the related Originator's representation referred to the Mortgage Loan Schedule that the Originator delivered in connection with the sale of the related HELOCs to the Participation Depositor instead of referring to the Data File which incorporates information from such Originator's Mortgage Loan Schedule). Any reference to "Mortgage Loan" in a particular representation and warranty shall be deemed to be a reference to the related HELOC.

With respect to the HELOCs and each of the representations and warranties set forth in the table below, each Originator that enters into an Assignment Agreement made the representations and warranties concerning the related HELOCs to the Participation Agent on behalf of holders of the 23-HE1 PC and any other Participation Certificateholder with an interest in such HELOC. The representations and warranties made by each such Originator (except for loanDepot and UWM), will be made as of the date the HELOC was originally transferred to the Participation Agent, and the representations and warranties made by loanDepot and UWM will be made as of the date such Originator originally sold such HELOC to JPMMAC, prior to the date JPMMAC sold such HELOC to the Participation Agent. JPMMAC will represent solely with respect to the representations and warranties set forth in Appendix II-B to this Memorandum that no action or event has taken place between the date that the related Originator made the applicable representation and warranty and the Closing Date (or the Cut-off Date if specified in such representation) to make such representation or warranty untrue.

Any representation and warranty made by a party in respect of a HELOC is not a description of the characteristics of that HELOC and is not a statement of fact. Rather, the representations and warranties with respect to the HELOCs establish a benchmark to determine whether or not the applicable party has an obligation to repurchase a particular HELOC. Furthermore, a breach of a representation and warranty with respect to a HELOC will be deemed not to have occurred if such breach arose as a result of an exception identified in the "Exception Detail" column of any table included in Appendix I of this Memorandum with respect to such HELOC. No assurance is being made that any of the representations and warranties made by any party were or will be true as of any date.

Representation
(a) With respect each Mortgage Loan, each Mortgage File contains a written appraisal or other property valuation report of the related Mortgaged Property in accordance with the applicable Underwriting Guidelines. Each appraisal was prepared by a Qualified Appraiser, which (i) meets the requirements of the applicable Underwriting Guidelines, (ii) complies with the requirements of Title XI of FIRREA, (iii) was made and signed, prior to the closing of the Mortgage Loan, and (iv) satisfies applicable legal and regulatory requirements. Each Mortgage Loan not requiring a written appraisal in accordance with the applicable Underwriting Guidelines includes an AVM that was used solely for the determination of the value of the Mortgaged Property at the time of origination of the related Mortgage Loan, as permitted by the applicable Underwriting Guidelines or FIRREA, whichever has the lower dollar threshold for the permitted use of such valuation methodology. For the avoidance of doubt, this representation is not a representation as to the value of the related Mortgaged Property. No appraisal or other property valuation listed on the Mortgage Loan Schedule was more than one hundred twenty (120) days old at the time of the Mortgage Loan closing. [Notes: Each of GBC and loanDepot deleted the following sentence in the representation set forth in (a) above: "Each Mortgage Loan not requiring a written appraisal in accordance with the applicable Underwriting Guidelines includes an AVM that was used solely for the determination of the value of the Mortgaged Property at the time of origination of the related Mortgage Loan, as permitted by the applicable Underwriting Guidelines or FIRREA, whichever has the lower dollar threshold for the permitted use of such valuation methodology." Spring EQ represented that: "With respect each Mortgage Loan, each Mortgage File contains a written appraisal or other property valuation report of the related Mortgaged Property prepared by a Qualified Appraiser, which (i) meets the requirements of the Underwriting Guidelines, (ii) complies with the requirements of Title XI of FIRREA, (iii) was made and signed, prior to the closing of

Representation
the Mortgage Loan, and (iv) satisfies applicable legal and regulatory requirements. Each Mortgage Loan not requiring a written appraisal in accordance with the applicable Underwriting Guidelines includes either (i) a written USPAP certified bifurcated appraisal with exterior only inspection report that involves an appraiser licensed or certified by the applicable governmental body in which the Mortgaged Property is located developing a value opinion using a predefined scope of work and in accordance with the requirements of FIRREA, or (ii) an AVM that was used solely for the determination of the value of the Mortgaged Property at the time of origination of the related Mortgage Loan, as permitted by the applicable Underwriting Guidelines or FIRREA, whichever has the lower dollar threshold for the permitted use of such valuation methodology. The scope of work for the written USPAP certified bifurcated appraisal described in clause (i) above does not include inspection of the subject property by the appraiser. The Qualified Appraiser uses a property report prepared by a third-party vendor, along with market data from other data sources (MLS, local tax data, etc.) to identify the relevant characteristics of the subject property. These data sources are the same used in other appraisals to ascertain value and render an opinion on the subject property. The Person performing any property valuation (including an appraiser) received no benefit from, and such Person's compensation or flow of business from the originator was not affected by, the approval or disapproval of the Mortgage Loan. For the avoidance of doubt, this representation is not a representation as to the value of the related Mortgaged Property. No appraisal or other property valuation listed on the Mortgage Loan Schedule was more than one hundred twenty (120) days old at the time of the Mortgage Loan closing." UWM represented that: "With respect each Mortgage Loan, each Mortgage File contains a written appraisal or other property valuation report of the related Mortgaged Property prepared by a Qualified Appraiser, which (i) meets the requirements of the Underwriting Guidelines, (ii) complies with the requirements of Title XI of FIRREA, (iii) was made and signed, prior to the closing of the Mortgage Loan, and (iv) satisfies applicable legal and regulatory requirements. Each Mortgage Loan not requiring a written appraisal in accordance with the applicable Underwriting Guidelines includes an AVM that was used solely for the determination of the value of the Mortgaged Property at the time of origination of the related Mortgage Loan, as permitted by the applicable Underwriting Guidelines or FIRREA, whichever has the lower dollar threshold for the permitted use of such valuation methodology. For the avoidance of doubt, this representation is not a representation as to the value of the related Mortgaged Property. No appraisal or other property valuation listed on the Mortgage Loan Schedule was more than one hundred twenty (120) days old at the time of the Mortgage Loan closing."]
(b) With respect to each Mortgage Loan whose document type on the Mortgage Loan Schedule indicates documented income, employment, and/or assets, the originator verified the Borrower's income, employment, and/or assets in accordance with the applicable Underwriting Guidelines and employed procedures designed to review for reasonability the documentation supporting such income, employment, and/or assets. With respect to each Mortgage Loan, other than a Mortgage Loan whose document type on the Mortgage Loan Schedule indicates documented income, the originator employed a commercially reasonable process designed to test the reasonableness of the income used to approve documented Mortgage Loans. [Note: Spring EQ added the following sentence to the beginning of the representation set forth in (b) above: "Each Mortgage Loan (i) was underwritten in conformance with the Underwriting Guidelines in effect at the time of origination without regard to any underwriter discretion or (ii) has reasonable and documented compensating factors in the Mortgage File and is indicated in the Mortgage Loan Schedule as having such factors."]
(c) All inspections, licenses and certificates required to be made or issued with respect to all occupied portions of the Mortgaged Property and, with respect to the use and occupancy of the same, including but not limited to certificates of occupancy and fire underwriting certificates, have been made or obtained from the appropriate authorities and no improvement located on or part of the Mortgaged Property is in violation of any zoning law or regulation. [Note: UWM deleted "and fire underwriting certificates" from the representation set forth in (c) above.]
(d) With respect to each Mortgage Loan, the originator gave due consideration at the time of origination to factors, including but not limited to other real estate owned by the Borrower, commuting distance to work, appraiser comments and notes, and any difference between the mailing address in the servicing system and the Mortgaged Property address, to evaluate whether the occupancy status of the Mortgaged Property as represented by the Borrower was reasonable. For the avoidance of doubt, this representation is not a representation as to the actual occupancy status of the Mortgaged Property. [Note: UWM replaced the first sentence contained in the representation set forth in (d) above with the following: "With respect to each Mortgage Loan, the Seller gave due consideration at the time of origination to factors, which need not be documented at the time of origination, including but not limited to other real estate owned by the Borrower, commuting distance to work, appraiser comments and notes, and any difference between the mailing address in the servicing system and the Mortgaged Property address, to evaluate whether the occupancy status of the Mortgaged Property as represented by the Borrower was reasonable."]
(e) No loan payment has been escrowed as part of the loan proceeds on behalf of the Borrower. No payments due and payable under the terms of the Mortgage Note and Mortgage or deed of trust, except for seller or builder concessions, have been paid by any person who was involved in, or benefited from, the sale or purchase of the Mortgaged Property or the origination, refinancing, sale, purchase or servicing of the Mortgage Loan other than the Borrower. For the avoidance of doubt, renters and a Borrower's friends and family, when acting in such capacity and not as parties or representatives of parties involved in the building, selling or financing of a Mortgaged Property, are not considered to be persons who benefited from the sale or purchase of the Mortgaged Property or the origination, refinancing, sale, purchase or servicing of a Mortgage Loan.

Representation
[Note: Spring EQ added "As of the Servicing Transfer Date," to the beginning of the first and second sentences contained in the representation set forth in (e) above.]
(f) The information set forth in the Mortgage Loan Schedule identified on Appendix A to this Appendix II-A relating to the terms of the Mortgage Loan and the Mortgage Note correctly and accurately reflects the terms of the documents contained in the Mortgage File in all material respects. Any seller or builder concession has been subtracted from the Appraised Value of the Mortgaged Property for purposes of determining the LTV and CLTV.
(g) No fraud, error, omission, misrepresentation, negligence or similar occurrence with respect to the Mortgage Loan has taken place on the part of the Seller or any party or person (including without limitation the Borrower and any originator, correspondent, mortgage broker, appraiser, realtor, builder, developer, title company, closing or settlement agent) involved in the solicitation or origination of the Mortgage Loan, the determination of the value of the mortgaged property, the application of any insurance in relation to such Mortgage Loan, or the sale or servicing of the Mortgage Loan or Mortgaged Property prior to the related Closing Date. [Note: UWM represented that: "No fraud, error, omission, misrepresentation, negligence or similar occurrence with respect to the Mortgage Loan has taken place on the part of the Seller or to the Seller's knowledge, the Borrower and any originator, correspondent, mortgage broker, appraiser, title company, closing or settlement agent involved in the origination of the Mortgage Loan, the determination of the value of the mortgaged property, the application of any insurance in relation to such Mortgage Loan, or the sale or servicing of the Mortgage Loan or Mortgaged Property prior to the related Closing Date."]
(h) Each Mortgage Loan (i) was underwritten in conformance with the applicable Underwriting Guidelines in effect at the time of origination without regard to any underwriter discretion or (ii) has reasonable and documented compensating factors in the Mortgage File and is indicated in the Mortgage Loan Schedule as having such factors. [Notes: Each of loanDepot, Spring EQ and UWM represented that: "Each Mortgage Loan was either (i) underwritten in substantial conformance to Underwriting Guidelines without regard to any underwriter discretion or (ii) if not underwritten in substantial conformance to Underwriting Guidelines, has reasonable and documented compensating factors."]
(i) Each Mortgage Loan complied in all material respects with all applicable federal, state and local laws including, without limitation, usury, truth-in-lending, real estate settlement procedures, consumer credit protection, equal credit opportunity, predatory and abusive lending laws and disclosure laws in effect at the time of closing or such noncompliance was cured subsequent to origination, as permitted by applicable law. The servicing of each Mortgage Loan prior to the related servicing transfer date complied in all material respects with all then-applicable federal, state and local laws.
(j) Each Borrower is one or more natural persons and is, and was at the time the Mortgage Loan was originated, a U.S. citizen or a permanent resident legally permitted to reside in the United States. No Borrower is a debtor in any state or federal bankruptcy or insolvency proceeding. Unless otherwise indicated on the Mortgage Loan Schedule, any Borrower prior bankruptcy was taken into consideration in accordance with the Underwriting Guidelines. Unless otherwise indicated on the Mortgage Loan Schedule, no Borrower previously owned a property in the last seven (7) years, or three (3) years where allowable per Underwriting Guidelines, that was the subject of a foreclosure or which title to the real property was conveyed to Seller or a deed in lieu of foreclosure during the time the Borrower was the owner of record. [Note: UWM replaced the first sentence contained in the representation set forth in (j) above with the following: "Each Borrower is either (i) one or more natural persons or (ii) an inter vivos trust which meets the requirements in Seller's guidelines. Each Borrower was at the time the Mortgage Loan was originated, a U.S. citizen or a permanent resident legally permitted to reside in the United States."]
(k) As of the Closing Date, Seller was the sole owner and holder of the Mortgage Loan and the indebtedness evidenced by the Mortgage Note. As of the Closing Date, Seller had good and marketable title thereto, and Seller had full right to transfer and sell the Mortgage Loan to JPMorgan Acquisition free and clear of any encumbrance, participation interest, lien, equity, pledge, claim or security interest and has full right and authority to sell or otherwise transfer the Mortgage Loan. [Note: Spring EQ deleted "As of the Closing Date," from the beginning of the first and second sentences of the representation set forth in (k) above.]
(l) The Mortgage is a valid, existing and enforceable, first lien or second lien (as indicated on the Mortgage Loan Schedule) on the Mortgaged Property therein described. The Mortgaged Property is free and clear of all encumbrances and liens having priority over the lien of the Mortgage except for (i) liens for real estate taxes and special assessments not yet due and payable, (ii) covenants, conditions and restrictions, rights of way, easements and other matters of the public record as of the date of recording which are acceptable to mortgage lending institutions generally, (iii) liens created pursuant to any federal, state or local law, regulation or ordinance affording liens for the costs of cleanup of hazardous substances or hazardous wastes or for other environmental protection

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purposes, (iv) such other matters to which like properties are commonly subject that do not individually or in the aggregate materially interfere with the benefits of the security intended to be provided by the Mortgage, (v) in the case of a second lien Mortgage Loan, the Senior Lien and (vi) any security agreement, chattel mortgage or equivalent document. Any security agreement, chattel mortgage or equivalent document related to and delivered in connection with the Mortgage Loan establishes a valid and existing first lien or second lien (as indicated on the Mortgage Loan Schedule) on the related property, as described in the related Mortgage Loan Schedule, and as of the Closing Date, Seller had the full right to sell and assign the same to JPMorgan Acquisition.
(m) The Mortgage Loan Documents required to be delivered on or prior to the Closing Date have been delivered to the Custodian in accordance with the requirements of the Agreement.
(n) The Mortgage has not been satisfied, cancelled or subordinated (other than to a related Senior Lien in the case of a second lien Mortgage Loan) or rescinded, in whole or in part, and the Mortgaged Property has not been released from the lien of the Mortgage, in whole or in part unless otherwise indicated on the Mortgage Loan Schedule, nor has any instrument been executed that would effect any such satisfaction, cancellation, subordination, rescission or release, except in each case as reflected in an agreement included in the Mortgage File. [Note: Spring EQ added “As of the Servicing Transfer Date,” to the beginning of the representation set forth in (n) above.]
(o) All taxes, governmental assessments, insurance premiums, and water, sewer and municipal charges, which with respect to the Mortgaged Property previously became due and owing have been paid, or an escrow of funds has been established, to the extent permitted by law, in an amount sufficient to pay for every such escrowed item which remains unpaid and which has been assessed but is not yet due and payable. [Note: Spring EQ added “As of the Servicing Transfer Date,” to the beginning of the representation set forth in (o) above.]
(p) The Mortgaged Property is undamaged by waste, water, fire, earthquake or earth movement, windstorm, flood, tornado or similar casualty so as to materially adversely affect the value of the Mortgaged Property as security for the Mortgage Loan or the use for which the premises were intended. As of the Closing Date, there was no proceeding pending or, to Seller’s knowledge, threatened for the total or partial condemnation of the Mortgaged Property.
(q) There are no mechanics’, materialmen’s or similar liens or claims filed for work, labor or material (and no rights are outstanding that under law could give rise to such lien) affecting the related Mortgaged Property which are or may be liens prior to, or equal or coordinate with, the lien of the related Mortgage. [Note: UWM represented that: “There are no mechanics’, materialmen’s or similar liens or claims filed for work, labor or material affecting the related Mortgaged Property which are or may be liens prior to, or equal or coordinate with, the lien of the related Mortgage which are not insured against by the title insurance policy referenced in clause (w) below.”]
(r) The Mortgaged Property consists of a fee simple estate in real property. All improvements subject to the Mortgage which were considered in determining the Appraised Value of the Mortgaged Property lie wholly within the boundaries and building restriction lines of the Mortgaged Property (and wholly within the project with respect to a condominium unit). No improvements on adjoining properties encroach upon the Mortgaged Property except those which are insured against by the title insurance policy referred to in clause (w) below. All improvements on the Mortgaged Property comply with all applicable zoning and subdivision laws and ordinances.
(s) Unless otherwise indicated on the Mortgage Loan Schedule, all payments required to be made up to the Due Date immediately preceding the Cut-off Date for such Mortgage Loan under the terms of the related Mortgage Note have been made, and no Mortgage Loan has been more than thirty (30) days delinquent more than once in the twelve (12) months preceding the Cut-off Date. All delinquency figures are calculated and reported using the Mortgage Bankers’ Association methodology.
(t) The Mortgage Note and the related Mortgage are genuine, and each is the legal, valid and binding obligation of the maker thereof, enforceable in accordance with its terms, except as such enforcement may be limited by (i) bankruptcy, insolvency, liquidation, receivership, moratorium, reorganization or other similar laws affecting the enforcement of creditors’ rights generally and (ii) general principles of equity, whether enforcement is considered in a proceeding in equity or at law. All parties to the Mortgage Note and the Mortgage had the legal capacity to execute the Mortgage Note and the Mortgage, and the Mortgage Note and the Mortgage have been duly and properly executed by such parties.
(u) All costs, fees and expenses incurred in making or closing the Mortgage Loan and the recording of the Mortgage have been paid, except recording fees with respect to a Mortgage not recorded as of the Closing Date.
(v) With respect to any insurance policy including, but not limited to, hazard, flood, title, or mortgage insurance, covering a Mortgage Loan and/or the related Mortgaged Property, neither Seller nor any prior holder has engaged in any act or omission which would impair the coverage of any such policy, the benefits of the endorsement, or the validity and binding effect of either, including

Representation
without limitation, no unlawful fee, commission, kickback or other unlawful compensation or value of any kind has been or will be received, retained or realized by any attorney, firm or other person or entity, and no such unlawful items have been received, retained or realized by Seller.
(w) Except as otherwise permitted under the applicable Underwriting Guidelines and indicated on the related Mortgage Loan Schedule, the Mortgage Loan is covered by an ALTA lender's title insurance policy or other generally acceptable form of policy or insurance, acceptable to Fannie Mae or Freddie Mac, issued by a Qualified Insurer as of the origination date, insuring (subject to the exceptions contained in (i), (ii), (iii), (iv), (v) or (vi) of clause (l) above) the Seller and its successors and assigns as to the first or second priority lien (as indicated on the Mortgage Loan Schedule) of the Mortgage in the Credit Limit of the Mortgage Loan and against any loss by reason of the invalidity or unenforceability of the lien resulting from the provisions of the Mortgage providing for adjustment in the Mortgage Interest Rate or Monthly Payment. Additionally, such lender's title insurance policy affirmatively insures ingress and egress, and against encroachments by or upon the Mortgaged Property or any interest therein. As of the Closing Date, Seller was the sole insured of such mortgagee title insurance policy, and such mortgagee title insurance policy was in full force and effect and will inure to the benefit of JPMorgan Acquisition Corp. upon the consummation of the transactions contemplated by the Agreement. The assignment to the participation trust of such mortgagee title insurance policy does not require any consent of or notification to the insurer which has not been obtained or made. No claims have been made under such mortgagee title insurance policy. For second lien HELOC Loans for which a title insurance policy has not been obtained, Seller has obtained an owner and encumbrance report with error and omission insurance in accordance with the applicable Underwriting Guidelines. [Notes: GBC represented that: "For first lien HELOC Loans, the Mortgage Loan is covered by an ALTA lender's title insurance policy or other generally acceptable form of policy or insurance, acceptable to Fannie Mae or Freddie Mac, issued by a Qualified Insurer as of the origination date, insuring (subject to the exceptions contained in (i), (ii), (iii), (iv), (v) or (vi) of clause (l) above) the Seller and its successors and assigns as to the first or second priority lien (as indicated on the Mortgage Loan Schedule) of the Mortgage in the Credit Limit of the Mortgage Loan and against any loss by reason of the invalidity or unenforceability of the lien resulting from the provisions of the Mortgage providing for adjustment in the Mortgage Interest Rate or Monthly Payment. Additionally, such lender's title insurance policy affirmatively insures ingress and egress, and against encroachments by or upon the Mortgaged Property or any interest therein. As of the Closing Date, Seller was the sole insured of such mortgagee title insurance policy, and such mortgagee title insurance policy was in full force and effect and will inure to the benefit of JPMorgan Acquisition Corp. upon the consummation of the transactions contemplated by the Agreement. The assignment to the participation trust of such mortgagee title insurance policy does not require any consent of or notification to the insurer which has not been obtained or made. No claims have been made under such mortgagee title insurance policy. For second lien HELOC Loans for which a title insurance policy has not been obtained, Seller has obtained an owner and encumbrance report based on a title commitment, title opinion, title search or an instant property report in accordance with the applicable Underwriting Guidelines." loanDepot represented that: "Except as otherwise permitted under the applicable Underwriting Guidelines for second lien HELOC Loans, the Mortgage Loan is covered by an ALTA lender's title insurance policy or other generally acceptable form of policy or insurance, acceptable to Fannie Mae or Freddie Mac, issued by a Qualified Insurer as of the origination date, insuring (subject to the exceptions contained in (i), (ii), (iii), (iv), (v) or (vi) of clause (l) above) the Seller and its successors and assigns as to the first or second priority lien (as indicated on the Mortgage Loan Schedule) of the Mortgage in the Credit Limit of the Mortgage Loan and against any loss by reason of the invalidity or unenforceability of the lien resulting from the provisions of the Mortgage providing for adjustment in the Mortgage Interest Rate or Monthly Payment. Additionally, such lender's title insurance policy affirmatively insures ingress and egress, and against encroachments by or upon the Mortgaged Property or any interest therein. As of the Closing Date, Seller was the sole insured of such mortgagee title insurance policy, and such mortgagee title insurance policy was in full force and effect and will inure to the benefit of JPMorgan Acquisition Corp. upon the consummation of the transactions contemplated by the Agreement. The assignment to the participation trust of such mortgagee title insurance policy does not require any consent of or notification to the insurer which has not been obtained or made. No claims have been made under such mortgagee title insurance policy. For second lien HELOC Loans for which a title insurance policy has not been obtained, Seller has obtained an instant property report or owner and encumbrance report with error and omission insurance in accordance with the applicable Underwriting Guidelines." Spring EQ represented that: "Except as otherwise permitted under the Underwriting Guidelines and indicated on the related Mortgage Loan Schedule, the Mortgage Loan is covered by an ALTA lender's title insurance policy or other generally acceptable form of policy or insurance, acceptable to Fannie Mae or Freddie Mac, issued by a Qualified Insurer as of the origination date, insuring (subject to the exceptions contained in (i), (ii), (iii), (iv), (v) or (vi) of clause (l) above) the Seller and its successors and assigns as to the first or second priority lien (as indicated on the Mortgage Loan Schedule) of the Mortgage in the Credit Limit of the Mortgage Loan and against any loss by reason of the invalidity or unenforceability of the lien resulting from the provisions of the Mortgage providing for adjustment in the Mortgage Interest Rate or Monthly Payment. Additionally, such lender's title insurance policy affirmatively insures ingress and egress, and against encroachments by or upon the Mortgaged Property or any interest therein. As of the Closing Date, Seller was the sole insured of such lender's title insurance policy, and such lender's title insurance policy was in full force and effect and will inure to the benefit of JPMorgan Acquisition Corp. upon the consummation of the transactions contemplated by the Agreement. The assignment to the participation trust of such lender's title insurance policy does not require any consent of or notification to the insurer which has not been obtained or made. No claims have been made under such lender's title insurance policy. Each Mortgage Loan not subject to a lender's title insurance policy has a legal vesting and property certification or title search with respect to such Mortgage Loan that includes the current vesting and ownership, the property legal description, any open encumbrances against the vested owners, any open and valid liens recorded against the subject property or current owners, delinquent and current tax information, and the effective date of the county jurisdiction when the title search was completed."

Representation
UWM represented that: "Except as otherwise permitted under the Underwriting Guidelines and indicated on the related Mortgage Loan Schedule, the Mortgage Loan is covered by an ALTA lender's title insurance policy or other generally acceptable form of policy or insurance, acceptable to Fannie Mae or Freddie Mac, issued by a Qualified Insurer as of the origination date, insuring (subject to the exceptions contained in (i), (ii), (iii), (iv), (v) or (vi) of clause (l) above) the Seller and its successors and assigns as to the first or second priority lien (as indicated on the Mortgage Loan Schedule) of the Mortgage in the Credit Limit of the Mortgage Loan and against any loss by reason of the invalidity or unenforceability of the lien resulting from the provisions of the Mortgage providing for adjustment in the Mortgage Interest Rate or Monthly Payment. As of the Closing Date, Seller was the sole insured of such lender's title insurance policy, and such lender's title insurance policy was in full force and effect and will inure to the benefit of JPMorgan Acquisition Corp. upon the consummation of the transactions contemplated by the Agreement. The assignment to the participation trust of such lender's title insurance policy does not require any consent of or notification to the insurer which has not been obtained or made. No claims have been made under such lender's title insurance policy."]
(x) The Mortgaged Property is insured by a Qualified Insurer against loss by fire and hazards of extended coverage in an amount not less than the lesser of (i) the full insurable value of the Mortgaged Property or (ii) the Credit Limit of the Mortgage Loan and the outstanding principal balance of any Senior Lien, but in no event less than the minimum amount necessary to fully compensate for any damage or loss on a replacement cost basis. If the Mortgaged Property was, at origination of the Mortgage Loan, in an area identified on a flood hazard map or flood insurance rate map issued by the Federal Emergency Management Agency as having special flood hazards, a flood insurance policy meeting the requirements of the current guidelines of the Federal Insurance Administration is in effect, which policy conforms to the requirements of Fannie Mae or Freddie Mac and was issued by a Qualified Insurer and provides coverage in an amount equal to not less than the least of (i) the Credit Limit of the Mortgage Loan and any Senior Lien, (ii) the full insurable value of the Mortgaged Property, and (iii) the maximum amount of insurance that was available under the National Flood Insurance Act of 1968, as amended. The Mortgage obligates the Borrower thereunder to maintain all such insurance at the Borrower's cost and expense, and on the Borrower's failure to do so, authorizes the holder of the Mortgage to maintain such insurance at the Borrower's cost and expense and to seek reimbursement therefor from the Borrower and may not be canceled, reduced or terminated without thirty (30) days' prior notice. If the Mortgaged Property is a condominium unit, it is included under coverage afforded by a blanket policy for the project. [Note: UWM replaced the last sentence contained in the representation set forth in (x) above with the following: "The Mortgage obligates the Borrower thereunder to maintain all such insurance at the Borrower's cost and expense."]
(y) There is no monetary default (other than a payment delinquency of less than thirty (30) days as calculated under the Mortgage Bankers Association delinquency methodology), monetary breach, monetary violation or event of acceleration existing under the Mortgage or the related Mortgage Note and no event which, with the passage of time or with notice and the expiration of any grace or cure period, would constitute a monetary default, monetary breach, monetary violation or event of acceleration. As of the Closing Date, to the best of Seller's knowledge, there was no nonmonetary default, nonmonetary breach, nonmonetary violation or event of acceleration existing under the Mortgage or the related Mortgage Note and no event which, with the passage of time or with notice and the expiration of any grace or cure period, would constitute a nonmonetary default, nonmonetary breach, nonmonetary violation or event of acceleration. No default, breach, violation or event of acceleration has been waived. No foreclosure action is currently threatened or has been commenced with respect to the Mortgage Loan. [Note: Spring EQ changed "is" to "was" in the first sentence contained in the representation set forth in (y) above.]

Representation
(z) No Mortgage Note or Mortgage is subject to any right of rescission, set-off, counterclaim or defense, including, without limitation, the defense of usury, nor will the operation of any of the terms of the Mortgage Note and the Mortgage, or the exercise of any right thereunder, render either the Mortgage Note or the Mortgage unenforceable, in whole or in part, or subject to any right of rescission, set-off, counterclaim or defense, including, without limitation, the defense of usury, and no such right of rescission, set-off, counterclaim or defense has been asserted with respect thereto. No Mortgage Loan provides for any right of offset or defense to payment by the Borrower if the Seller or Servicer fails to fund a Draw on such Mortgage Loan. There is no basis for the Mortgage Loan to be modified or reformed without the consent of the Mortgagee under Applicable Law. No Mortgage Loan is subject to forfeiture or any material penalties as a result of non-compliance with Applicable Law. [Notes: Each of GBC, loanDepot and Spring EQ deleted the last sentence contained in the representation set forth in (z) above. UWM represented that: "No Mortgage Note or Mortgage is subject to any right of rescission, set-off, counterclaim or defense, including the defense of usury. None of the terms will render the Mortgage Note or Mortgage unenforceable or subject it to any right of rescission, set-off, counterclaim or defense, including the defense of usury. No such right of rescission, set off, counterclaim or defense has been asserted. No Mortgage Loan provides for any right of offset or defense to payment by the Borrower if the Seller or its servicer fails to fund a Draw on such Mortgage Loan. There is no basis for the Mortgage Loan to be modified or reformed without the consent of the Mortgagee under Applicable Law. No Mortgage Loan provides for forfeiture or any material penalties as a result of non-compliance with Applicable Law."]
(aa) The Mortgage and related Mortgage Note contain customary and enforceable provisions such as to render the rights and remedies of the holder thereof adequate for the realization against the Mortgaged Property of the benefits of the security provided thereby. There is no homestead or other exemption available to the Borrower that would interfere with such right of foreclosure.
(bb) Unless noted on the Mortgage Loan Schedule, each Mortgaged Property is located in the United States or a territory of the United States and consists of a one- to four-unit residential property, which may include, but is not limited to, a single family dwelling, townhouse, condominium unit or a unit in a planned unit development.
(cc) The Mortgage Loan is a "qualified mortgage" within the meaning of Section 860G(a)(3) of the Internal Revenue Code of 1986, as amended.
(dd) As of the Closing Date, Seller, and to Seller's knowledge, all other parties which have had any interest in the Mortgage Loan, whether as mortgagee, assignee, pledgee or otherwise, were (and, during the period in which they held and disposed of such interest, were) in compliance with any and all applicable "doing business", licensing, or other requirements of the laws of the state wherein the Mortgaged Property is located.
(ee) To Seller's knowledge, as of origination of the Mortgage Loan, the related Mortgaged Property was in material compliance with all applicable environmental laws pertaining to environmental hazards including, without limitation, asbestos.
(ff) In the event the Mortgage constitutes a deed of trust, a trustee, authorized and duly qualified under Applicable Law to serve as such, has been properly designated and currently so serves and is named in the Mortgage, and no fees or expenses are or will become payable by the Purchaser to the trustee under the deed of trust, except in connection with a trustee's sale after default by the Borrower. [Note: Spring EQ deleted "authorized and" from the representation set forth in (ff) above.]
(gg) Unless otherwise indicated on the Mortgage Loan Schedule, the terms of the Mortgage Note and the Mortgage have not been modified in any material respect.
(hh) The Mortgage contains an enforceable provision, to the extent not prohibited by applicable law as of the date of such Mortgage, for the acceleration of the payment of the unpaid principal balance of the Mortgage Loan in the event that the Mortgaged Property is sold or transferred without the prior written consent of the Mortgagee thereunder.
(ii) No Mortgaged Property is subject to any ground lease.
(jj) No Mortgage Loan is a "high cost" loan, "covered" loan, "threshold" loan or "predatory" loan under any applicable state, federal, or local law at the time of the origination of the Mortgage Loan.

Representation
(kk) Each original Mortgage was recorded and the Assignment of Mortgage is in recordable form and is acceptable for recording under the laws of the jurisdiction in which the Mortgaged Property is located. [Note: UWM added the parenthetical "(except with respect to each MERS Designated Mortgage Loan for which an assignment of mortgage to MERS has been duly and properly recorded)" at the end of the representation set forth in (kk) above.]
(ll) No Mortgaged Property consists of a leasehold interest.
(mm) In addition to its conformity with the Mortgage File, the information contained under each of the headings in the data tape delivered by Seller to JPMorgan Acquisition identified on Appendix B to this Appendix II-A is accurate and factually correct in all material respects.
(nn) Any HELOC Loan is exempt from the "ability to repay" standards as set forth in Section 129C(a) of the federal Truth-in-Lending Act, 15 U.S.C. 1639c(a), and Section 1026.43 of Regulation Z. Any reference to Regulation Z in this paragraph is to Regulation Z as in effect as of the origination date of the related Mortgage Loan.
(oo) No Mortgage Loan has primary mortgage insurance.
(pp) As of the related Closing Date: (i) with respect to each Mortgage Loan, any Draws made prior to the related Closing Date have been consolidated with the outstanding principal amount secured by the Mortgage, and the secured principal amount, as consolidated, bears a single interest rate and single repayment term reflected on the Mortgage Loan Schedule; (ii) the consolidated principal amount does not exceed the Credit Limit of the Mortgage Loan; (iii) each Draw made with respect to a Mortgage Loan was made in compliance with the terms of the related Mortgage Note and Customary Servicing Procedures; and (iv) Draws under a Mortgage Loan may only be made pursuant to a borrower check or a wire transfer request in accordance with the terms of the Mortgage Note. [Notes: Each of GBC and loanDepot replaced "Closing Date" with "Cut-off Date" in the representation set forth in (pp) above. Each of GBC, loanDepot and UWM added "material" before "compliance" in the representation set forth in (pp) above. loanDepot deleted "a borrower check or" from the representation set forth in (pp) above. loanDepot added the following sentence to the end of the representation set forth in (pp) above: "With respect to each Mortgage Loan, the Borrower is not permitted to make use of checks or credit cards to access their HELOC Loan credit lines, and the Line of Credit Agreement does not entitle the Borrower such access."]

Appendix A to Appendix II-A – Mortgage Loan Schedule Fields

1. The first payment date
2. The maturity date
3. The original Mortgage Interest Rate
4. Original Loan Amount
5. The stated original term to maturity
6. The original amortization term
7. The original interest-only term
8. The term of the initial fixed interest rate period (ARMs Only)
9. A code indicating whether the Mortgage Loan has a balloon payment
10. The zip code of the Mortgaged Property
11. The state of the Mortgaged Property
12. The ARM index, if applicable
13. The gross margin, if applicable
14. The initial interest rate cap (change up), if applicable
15. The maximum mortgage rate, if applicable
16. The minimum mortgage rate, if applicable
17. The periodic rate cap, if applicable
18. The subsequent interest rate reset period
19. The property type
20. HELOC Limit
21. Senior Balance

Appendix B to Appendix II-A– Mortgage Data File Fields

Field Name
Loan Number
Primary Servicer
Originator
Servicing Fee-Percentage
State
Postal Code
Lien Position
Margin
Index Type
Home Equity Line of Credit Draw Term
Home Equity Line of Credit Draw Expiry Date
Home Equity Line of Credit Limit
Home Equity Line of Credit Remaining Available Draw Amount
Lifetime Maximum Rate (Ceiling)
Lifetime Minimum Rate (Floor)
Amortization Type
Current Loan Amount
First Payment Date of Loan

Field Name
Maturity Date
Paid Through Date
Current Payment Status
Original Amortization Term
Original Interest Only Term
Original Interest Rate
Original Loan Amount
Original Term to Maturity
P&I
Servicer Loan ID
TILA Status

Appendix II-B:

JPMMAC HELOC REPRESENTATIONS AND WARRANTIES

JPMMAC will represent that with respect to representations and warranties set forth on this Appendix II-B, no action or event has taken place between the date that the related Originator made the related representation and warranty and the Closing Date (or the Cut-off Date if specified in such representation) to make such representation or warranty untrue.

Representation
(i) The servicing of each Mortgage Loan prior to the related servicing transfer date complied in all material respects with all then-applicable federal, state and local laws.
(j) No Mortgagor is a debtor in any state or federal bankruptcy or insolvency proceeding.
(k) As of the Closing Date, Seller was the sole owner and holder of the Mortgage Loan and the indebtedness evidenced by the Mortgage Note. As of the Closing Date, Seller had good and marketable title thereto, and Seller had full right to transfer and sell the Mortgage Loan to JPMorgan Acquisition free and clear of any encumbrance, participation interest, lien, equity, pledge, claim or security interest and has full right and authority to sell or otherwise transfer the Mortgage Loan.
(l) The Mortgage is a valid, existing and enforceable, first lien or second lien (as indicated on the Mortgage Loan Schedule) on the Mortgaged Property therein described. The Mortgaged Property is free and clear of all encumbrances and liens having priority over the lien of the Mortgage except for (i) liens for real estate taxes and special assessments not yet due and payable, (ii) covenants, conditions and restrictions, rights of way, easements and other matters of the public record as of the date of recording which are acceptable to mortgage lending institutions generally, (iii) liens created pursuant to any federal, state or local law, regulation or ordinance affording liens for the costs of cleanup of hazardous substances or hazardous wastes or for other environmental protection purposes, (iv) such other matters to which like properties are commonly subject that do not individually or in the aggregate materially interfere with the benefits of the security intended to be provided by the Mortgage, (v) in the case of a second lien Mortgage Loan, the Senior Lien and (vi) any security agreement, chattel mortgage or equivalent document. Any security agreement, chattel mortgage or equivalent document related to and delivered in connection with the Mortgage Loan establishes a valid and existing first lien or second lien (as indicated on the Mortgage Loan Schedule) on the related property, as described in the related Mortgage Loan Schedule, and as of the Closing Date, Seller had the full right to sell and assign the same to JPMorgan Acquisition.
(m) The Mortgage Loan Documents required to be delivered on or prior to the Closing Date have been delivered to the Custodian in accordance with the requirements of the Agreement.
(n) The Mortgage has not been satisfied, cancelled or subordinated (other than to a related Senior Lien in the case of a second lien Mortgage Loan) or rescinded, in whole or in part, and the Mortgaged Property has not been released from the lien of the Mortgage, in whole or in part unless otherwise indicated on the Mortgage Loan Schedule, nor has any instrument been executed that would effect any such satisfaction, cancellation, subordination, rescission or release, except in each case as reflected in an agreement included in the Mortgage File.
(o) All taxes, governmental assessments, insurance premiums, and water, sewer and municipal charges, which with respect to the Mortgaged Property previously became due and owing have been paid, or an escrow of funds has been established, to the extent permitted by law, in an amount sufficient to pay for every such escrowed item which remains unpaid and which has been assessed but is not yet due and payable.
(p) The Mortgaged Property is undamaged by waste, water, fire, earthquake or earth movement, windstorm, flood, tornado or similar casualty so as to materially adversely affect the value of the Mortgaged Property as security for the Mortgage Loan or the use for which the premises were intended. As of the Closing Date, there was no proceeding pending or, to Seller's knowledge, threatened for the total or partial condemnation of the Mortgaged Property.
(q) There are no mechanics', materialmen's or similar liens or claims filed for work, labor or material (and no rights are outstanding that under law could give rise to such lien) affecting the related Mortgaged Property which are or may be liens prior to, or equal or coordinate with, the lien of the related Mortgage.
(s) Unless otherwise indicated on the Mortgage Loan Schedule, all payments required to be made up to the Due Date immediately preceding the Cut-off Date for such Mortgage Loan under the terms of the related Mortgage Note have been made, and no Mortgage Loan has been more than thirty (30) days delinquent more than once in the twelve (12) months preceding the Cut-off Date. All delinquency figures are calculated and reported using the Mortgage Bankers' Association methodology.

Representation
(v) With respect to any insurance policy including, but not limited to, hazard, flood, title, or mortgage insurance, covering a Mortgage Loan and/or the related Mortgaged Property, neither Seller nor any prior holder has engaged in any act or omission which would impair the coverage of any such policy, the benefits of the endorsement, or the validity and binding effect of either, including without limitation, no unlawful fee, commission, kickback or other unlawful compensation or value of any kind has been or will be received, retained or realized by any attorney, firm or other person or entity, and no such unlawful items have been received, retained or realized by Seller.
(w) To the extent a Mortgage Loan is covered by title insurance policy, the assignment to the participation trust of such mortgagee title insurance policy does not require any consent of or notification to the insurer which has not been obtained or made. No claims have been made under such mortgagee title insurance policy.
(y) There is no monetary default (other than a payment delinquency of less than thirty (30) days as calculated under the Mortgage Bankers Association delinquency methodology), monetary breach, monetary violation or event of acceleration existing under the Mortgage or the related Mortgage Note and no event which, with the passage of time or with notice and the expiration of any grace or cure period, would constitute a monetary default, monetary breach, monetary violation or event of acceleration.
(z) No Mortgage Note or Mortgage is subject to any right of rescission, set-off, counterclaim or defense, including, without limitation, the defense of usury, nor will the operation of any of the terms of the Mortgage Note and the Mortgage, or the exercise of any right thereunder, render either the Mortgage Note or the Mortgage unenforceable, in whole or in part, or subject to any right of rescission, set-off, counterclaim or defense, including, without limitation, the defense of usury, and no such right of rescission, set-off, counterclaim or defense has been asserted with respect thereto. No Mortgage Loan provides for any right of offset or defense to payment by the Mortgagor if the Seller or Servicer fails to fund a Draw on such Mortgage Loan. There is no basis for the Mortgage Loan to be modified or reformed without the consent of the Mortgagee under Applicable Law. No Mortgage Loan is subject to forfeiture or any material penalties as a result of non-compliance with Applicable Law.
(cc) The Mortgage Loan is a “qualified mortgage” within the meaning of Section 860G(a)(3) of the Internal Revenue Code of 1986, as amended.
(gg) Unless otherwise indicated on the Mortgage Loan Schedule, the terms of the Mortgage Note and the Mortgage have not been modified in any material respect.
(pp) As of the related Closing Date: (i) with respect to each Mortgage Loan, any Draws made prior to the related Closing Date have been consolidated with the outstanding principal amount secured by the Mortgage, and the secured principal amount, as consolidated, bears a single interest rate and single repayment term reflected on the Mortgage Loan Schedule; (ii) the consolidated principal amount does not exceed the Credit Limit of the Mortgage Loan; (iii) each Draw made with respect to a Mortgage Loan was made in compliance with the terms of the related Mortgage Note and Customary Servicing Procedures; and (iv) Draws under a Mortgage Loan may only be made pursuant to a borrower check or a wire transfer request in accordance with the terms of the Mortgage Note.

Appendix III:

REGULATION S INVESTOR REPRESENTATION LETTER

_______________ ___, 20__

J.P. Morgan Mortgage Trust 2023-HE1
c/o Wilmington Savings Fund Society, FSB
500 Delaware Avenue, 11th Floor
Wilmington, Delaware 19801
Attention: JPMMT 2023-HE1

Wilmington Savings Fund Society, FSB
500 Delaware Avenue, 11th Floor
Wilmington, Delaware 19801
Attention: JPMMT 2023-HE1

J.P. Morgan Mortgage Acquisition Corp.
383 Madison Avenue
New York, New York 10179

J.P. Morgan Acceptance Corporation II
383 Madison Avenue
New York, New York 10179

J.P. Morgan Securities LLC
383 Madison Avenue
New York, New York 10179

Re: J.P. Morgan Mortgage Trust 2023-HE1 (the "Issuing Entity"), Mortgage Pass-Through Certificates, Series 2023-HE1, Class [____] Certificates (the "Securities")

Ladies and Gentlemen:

In connection with our proposed purchase of the Securities, we represent, warrant, agree and acknowledge, in each case, on our own behalf and on behalf of each account for which we are acting, as follows:

1. This letter has been duly executed and delivered by us. We have not relied upon any communications with or information from the Issuing Entity, J.P. Morgan Acceptance Corporation II (the "Depositor"), J.P. Morgan Securities LLC ("JPMS") or any of their respective affiliates in connection with our determination to acquire the Securities other than the Private Placement Memorandum related to the Securities and any loan tape delivered in connection therewith, and we have made our own assessment and have satisfied ourselves, based on our own independent review and such professional advice as we have deemed appropriate, as to all considerations relevant to our acquisition of the Securities, including all legal, regulatory, tax, capital and accounting considerations, and that our acquisition of the Securities (a) is consistent with our financial need, objectives and condition, (b) complies and is consistent with all investment policies, guidelines and restrictions applicable to us and (c) is a suitable and appropriate investment for us, notwithstanding the clear and substantial risks inherent in investing in or holding the Securities.

2. We understand and agree that (a) the Securities have not been and will not be registered or qualified under the Securities Act of 1933, as amended (the "1933 Act"), any state securities law or any other

jurisdiction's securities laws, (b) none of the Issuing Entity, the Depositor, JPMS or any of their respective affiliates is required to so register or qualify the Securities, (c) the Securities may be resold only if an exemption from registration and qualification pursuant to the provisions of the 1933 Act and any applicable laws of any other jurisdiction is available and (d) the operative documents related to the Securities contain numerous restrictions regarding the transfer of the Securities.

3. We, and each investor that we are acting for the account of, (a) are a sophisticated institutional investor having knowledge and experience in financial and business matters, and, in particular, in such matters related to securities similar to the Securities, such that we are capable of evaluating the merits and risks of investment in the Securities, (b) are able to bear the economic risks of such an investment, including without limitation a complete loss on our investment and any risk of loss due to modifications or prepayments of the underlying mortgage loans, (c) own and invest on a discretionary basis at least $50 million in securities of unaffiliated issuers, (d) are purchasing the Securities in an offshore transaction pursuant to Regulation S under the 1933 Act ("Regulation S") and (e) are not a "U.S. person" as defined in Regulation S.

4. We are acquiring the Securities for our own account or for the accounts of other investors that meet the standards set forth in paragraph 3 above and not with a view to, or for sale or other transfer in connection with, any distribution of the Securities in any manner that would violate the 1933 Act or any applicable securities laws of any other jurisdiction.

5. We are (a) not a "U.S. person" as defined in Regulation S, (b) acting for our own account or the accounts of other entities that do not fall within the definition of a "U.S. person" as defined in Regulation S, and (c) aware that the Issuing Entity, the Depositor, JPMS and their respective affiliates intend to rely on an exemption from the registration requirements under the 1933 Act in connection with the sale of the Securities.

6. The Issuing Entity and the Depositor have furnished or provided us with access to, and we have had an opportunity to review, such information concerning the Securities and the underlying mortgage loans as we required in connection with our decision to purchase the Securities. Any questions arising from our review of such information have been answered by the Issuing Entity or the Depositor to our satisfaction. We agree that other than as provided in this paragraph 6, we have not requested from the Issuing Entity, the Depositor, JPMS or any of their respective affiliates, and the Issuing Entity, the Depositor, JPMS and their respective affiliates have not furnished or provided us with, any information, representations or advice regarding the Securities, the mortgage loans or the related transaction parties other than the Private Placement Memorandum related to the Securities and any related loan tape.

7. We have received all information, including any information regarding the underlying mortgage loans that we believe to be necessary or appropriate in connection with our consideration of an investment in the Securities. We agree that, in connection with the offer and purchase of the Securities, none of the Issuing Entity, the Depositor, JPMS or any of their respective affiliates has acted as our agent, financial advisor or fiduciary.

8. We will not sell, offer, pledge or otherwise transfer any of the Securities, except in compliance with the provisions of the related operative documents and this letter, and we will not take any action that would render the disposition of any Security a violation of Section 5 of the 1933 Act or any other applicable law of any other jurisdiction, or that would require registration or qualification pursuant thereto.

9. We hereby make the representations that are deemed to be made by an investor in a Regulation S Global Certificate as set forth under the caption "Notice to Investors" in the Private Placement Memorandum and hereby agree that we will provide notice of such deemed representations to any subsequent transferee prior to their purchase of any Securities from us.

10. We will provide notice of the transfer restrictions on the Securities included in the related operative documents to any subsequent transferee prior to their purchase of any Securities from us.

11. We will comply with all applicable laws and with the terms of the related operative documents in connection with any subsequent resale of the Securities by us.

12. We understand that the Issuing Entity, the Depositor, JPMS, their respective affiliates and the related transaction parties have relied upon and will rely upon the truth and accuracy of the foregoing representations, acknowledgements and agreements.

This letter and all disputes, claims, controversies, disagreements, actions and proceedings arising out of relating to this letter, including the scope or validation of this provision, shall be governed by and construed in accordance with New York law without giving regard to the choice of law provisions thereof (other than Sections 5-1401 and 5-1402 of the New York General Obligations Laws), and the obligations, rights and remedies of the parties under this letter shall be determined in accordance with such laws.

[Rest of Page Intentionally Left Blank; Signature Page Follows]

Very truly yours,

[PROSPECTIVE INVESTOR]

By: ______________________
Name:
Title:

Address: [●]

THE CERTIFICATES HAVE NOT BEEN AND WILL NOT BE REGISTERED UNDER THE SECURITIES ACT, OR REGISTERED OR QUALIFIED UNDER ANY APPLICABLE STATE SECURITIES LAWS AND ARE BEING OFFERED ONLY TO PERSONS THAT ARE QUALIFIED INSTITUTIONAL BUYERS (AS DEFINED IN RULE 144A) IN RELIANCE ON THE EXEMPTION FROM THE REGISTRATION REQUIREMENTS PROVIDED BY RULE 144A OR OTHER THAN WITH RESPECT TO THE REGULATION S RESTRICTED CERTIFICATES, NON-U.S. PERSONS OUTSIDE THE UNITED STATES PURSUANT TO THE REQUIREMENTS OF REGULATION S UNDER THE SECURITIES ACT. ACCORDINGLY, THE CERTIFICATES WILL NOT BE TRANSFERABLE EXCEPT UPON SATISFACTION OF CERTAIN CONDITIONS AS DESCRIBED HEREIN. INVESTORS SHOULD BE AWARE THAT THEY MAY BE REQUIRED TO BEAR THE FINANCIAL RISKS OF THIS INVESTMENT FOR AN INDEFINITE PERIOD OF TIME.

$186,391,076

(Approximate)

J.P. Morgan Mortgage Trust 2023-HE1

Issuing Entity

Mortgage Pass-Through Certificates, Series 2023-HE1

J.P. Morgan Mortgage Acquisition Corp.

JPM Sponsor and Participation Certificate Seller

BLUE RIVER MORTGAGE IV LLC

Retaining Sponsor

J.P. Morgan Acceptance Corporation II

Depositor

PRIVATE PLACEMENT MEMORANDUM

Sole Bookrunner

J.P. Morgan

Co-Managers

AmeriVet Drexel Hamilton Loop Capital Markets
Raymond James Baird Stifel

This Memorandum has been prepared by the Depositor for use solely in connection with the initial offering of the Certificates described herein. The Depositor has not authorized or assumed any liability for any use of this Memorandum in connection with any other offer or sale of any Class of Certificates by any person.

The information contained herein is confidential and may not be reproduced in whole or in part. J.P. Morgan Securities LLC, AmeriVet Securities, Inc., Drexel Hamilton, LLC, Loop Capital Markets LLC, Raymond

James & Associates, Inc., Robert W. Baird & Co. Incorporated and Stifel, Nicolaus & Company, Incorporated are acting as initial purchasers with respect to the Certificates.

June 22, 2023